Infosys Ltd. (INFY)

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TO ALL STOCK EXCHANGES

BSE LIMITED
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July 28, 2022
Dear Sir/ Madam,

Sub: Transcripts of the press conference and earnings call conducted after the M eeting of Board of directors on July 24, 2022
Please find enclosed the transcripts of the press conference and earnings call conducted after the Board meeting held on July 24, 2022, for your information and records.

This information will also be hosted on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2022 -2023/q1.html

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2022-2023/q1.html

Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha
Company S ecretary

"Infosys Limited
Q1 FY 23 Media Conference Call "
July 24, 20 22

CORPORATE PARTICIPANTS

Salil Parekh
Chief Executive Officer and Managing Director

Nilanjan Roy
Chief Financial Officer
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Corporate Communications

J O U R N AL I S T S

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ET Now

Reema Tendulkar
CNBC- TV 18

Sajeet Manghat
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Zee Business

Sumit Mehrotra
CNBC Awaaz

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The Times of India
Chandra Ranganathan
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2 Sankalp Phartiyal
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Shivani Shinde
Business Standard
3 Rishi Basu
A very good evening, everyone and thank you for joining us today. My name is Rishi and I would like to welcome all of you to our first quarter result s press conference. Before w e begin I want to take a moment to mention a few guidelines. Our friends from media , you will be on mute throughout the pr ess conference, kindly unmute yourself as soon as we announce you. We request one question from each media house to accommodate everyone over the next hour. In case you get disc onnected, kindly rejoin using the same link. With that , let me invite our C hief Executive Officer Mr. Salil Parekh for his opening remarks. Over t o you Salil.
Salil Parekh
Thanks, Rishi. Good evening to everyone joining. Thank you for joining us this Sunday evening.
We had an excellent start to the financial year with 5.5% seq uential growth and 21.4% yea r-on-year grow th in constant currency terms.
We continue to gain market share with our Cobalt Cloud capabilities and t he differentiated digital value proposition for our clients. Growth continues to be broad- based across busines s segment s, service lines, and geographies . Each of our business segments grew in double - digits with several of th em growing at 25% or higher.
The US market grew at 18.4% and Europe grew very strongly at 33.2%. Our Digital revenues were 61% of our total revenues in Q1 and they grew at 37.5%. Within D igital our Cloud work continues to grow faster still. Our operating margins were at 20%. Our large deals at $1.69 bn in Q1, which comprise of 19
large deal s, 50% of these were net new. Our quarterly attrition declined in Q1.
We had a net he adcount growth of over 21,000 employees within the company. With our strong growth in Q1 and our current outlook on demand opportunity a nd pipeline, we
4 increased our revenue growth guidance which was at 13% - 15%, now to 14% - 16% grow th for this ye ar.
We keep our margin guida nce at 21% - 23%. With the increase in cost environment we will be at the lo wer end of the margin guidance.
Thank you and now back to you Rishi for questions.
Rishi Basu
Thank you, Salil. We will now open the floor for questio ns. Joini ng Salil is Mr. Nilanjan Roy, Chief Financial Officer, Infosys. With that we have the first question from Anisha Jain from ET Now. Anisha kindly unmute and ask your question.

Anisha Jain

Good evening gentlemen , congratulations on a great set of numbers. Salil, the first question to you, you know t he rest of your pee rs and the entire industry is talkin g about a lot of headwinds which is actually not visible with the numbers that you have really reported. Do you think tha t the effect will come with a lag and there will be a bit of slow down when it comes to the second half of the year and Nilanjan a question to you on t he margin, you said you will be at the lower end of the margin. What kind of levers do you see to de fend b ecause this quarter the margins are lo wer than expected at 20.1%. How do you plan to scale it back to the 21% level? Thank you.

Salil Parekh

Thanks for your question, Anisha. I think what we see is the growth that we ha ve, we are gaining mar

ket share. A t 5.5% for the quarter o r 21% for the yea r, we are significantly ahead – leadi ng the industry in growth, and this is c oming primarily from the position ing of our capabilities which are resonating with our cl ients b oth on digital and c loud and the overall approac h to One Infosys. S o we think this is something that differentiates us in the market and that is the reason why we are seeing growth which is higher an d leading the industry.

Nilanjan Roy

5 On the mar gin qu estion , as you know , we have given margin guidance at the beginning of the year at 21 % - 23% and we have ended this quarter at 20%. C oming from Sal il's answer , I think, we are seein g the growth traction in the market and we are clear that we must put everything behind to get this growth. W hether it is in terms of hiring – we have done a reco rd hiring of 21,000 during the quarter. This is higher than any of the top five other peers in this industry. W e also had compensation hike from Q1 itself and that has impacted margins by about 160 basis points. B ecause of the impact of freshers coming in, the u tiliza tion has gone down. B ut these are all investm ents because we know in the long run we can actually optim ize these cost s. W e do not want to leave the demand on the table and of course we know there is a massive supply crunch and therefore , in a w ay these are the flip side of the coin. But we are very clear we will get the demand , we will invest behind getting the supply side sorted out and at the same time work on the cost lever.

So, coming to 21% - 23%, we are going to look at the cost much more aggressive ly, looking at utilization, sub con that we have built up because of this demand – we will lo ok to optimize that over a period. Automation continues to be a big driver for us – every quarter we replace people from various projects into new projec ts. Looking at the pyramid – the fresher benefit will come into our pyramid. We tal ked about at the beginning of the year – hir ing more than 50,000 freshers . These are all the levers which we have. S o we will actually go and get profitable growth. We will invest behind thi s growth and take out cost inefficiencies as we move along.

Rishi Basu

Thank you. The next question is from Reema Tendulkar from CNBC -TV18. Reema please unmute and ask your question .

Reema Tendulkar

Thank you very much f or that. Salil my f irst question is on de al wins. Deal wins have fallen by 25% on a quarter -on-quar ter basis. Can that be read as a reflection of slowing demand, the uncertain economic environment which you refer to because deals wins are seen as a proxy for fu ture growth so can you talk about what is happening on the deal front and the deal pipeline? And Nilanja n can we take Q1 margins at 20%, have they bottom ed out and what 6 would be the outlook from here on because there w ill be some further hiccups on ac count of wage hike and do you think you will be able to hire more than 50,000 fresher s given the supply cru nch that you are facing ? Thank you.

Salil Parekh

Thanks for the question. On the deal wins we see the re are large deals which are always volatile - some q uarters high, some quarters low - because these are deals which are typically over $50 mn in size for us and we have had a good number in terms of 19. What we see today is the pipeline for deals, large deals are larger than what we had in the last three and six months s o the demand outlook is good. Of course , the environment as we have referenced in our press note is different. There is a talk of recession. There is an increase in the interest rate and there are some pockets where we see this , for e xample in the m ortgage busine ss, in our financial services area, t here are pockets where we see some of thi s impact coming in, but the view for us today given what we see in our pipeline is the overall pi peline is strong at thi s stage, bu

t of course, we are watching out f or wha t can happen as the environment evolves and changes.

Nilanjan Roy

Yes, coming back to our margin question. Of course , we are going to be at the bottom end of our 21% to 23% and we are at 20 %. We will expect m argin expansion from here on, and putting fresher at the pyramid is one way of doing it , and in fact when we p ut in 85,000 freshers last year that is the thought we had. We will take a hit in utilization but we know over a period of t ime we can actually improve the utilization as more and fr eshers go into the system . We cannot suddenly put them in all projects but that is an investment we are doing and absolutely open- minded making into the pyramid itself at the beginning. S o that is a source of improvement of our cost structure going forwar d and like the other levers I have mentioned about in terms of mix, in terms of pricing . We are also looking at how we continue to push the pricing question with our client , whether it is in terms of looking at a discount reduction, whether it is on renew als, whether i t is in terms of COLA increases , so that discussion is on. O f course, there is no quick win coming immediately from that, but that is an ongoing discussion which we are having with our clients.

7 Rishi Basu

Thank you. The next question is from Sajeet Ma nghat from BloombergQuint . Sajeet please unmute and ask your quest ion.

Sajeet Manghat

Good evening gentlemen. My first question is for Salil. Salil you spoke about increasing your guidance range to 14% to 16% but at the same time , your TCV wi ns ha ve been muc h lower in this quarter . Is there a reason for that and the seco nd part is that you are talking a bout recession talks which may impact BFSI going forward. Given these scenarios in place do you think this is a conservative 14% to 16% guidance that you have given? What are the other headwinds that we see going forward? And for Nilanjan 20% margin you hit this quarter but you are saying that you will be maintaining 21% to 23% and remaining at the bott om end of that range . How confident are you to maintain that ki nd of margin and what is the kind of outlook that you have for hiring this year ?

Salil Pa rekh

Thanks , Sajeet . I think the vie w we have today is we see that our Q1 was very strong with 5.5% gr owth sequential - all of this is essentially orga nic growth. We see good volume in what we are seeing in terms of the pipeline. F or us , large deals are al ways volatile in some quarters up and some quarters down, but the overall pipeline for our large deals remains strong. So at this stage looking at where we see the dem and w e increased our growth guidance for the full year. Yes , there are pockets as I re ferenced before where we see of course the impact coming in some areas , but we are not seeing it across the board. Each of our sectors has grown well , many of them 20% to 25%. G eographies have done well. We have had very strong growth i n Europe, strong growth in the US, an d strong growth in the rest of the w orld. So we feel , at this stage , that gives us the comfort to increas e our growth guidance.

Nilan jan Roy

I have been rep eating on the margins – we are at 20% , we have tak en a hit of 1.6% from wage hike, w e have taken a hit of 40 basis point s on utilization this quarter , we have taken 30 8 basis points hit on subcon as well. So these are three big hits we have taken. Now going forward , we have a marginal wage hike co ming in Q2 for medium to senior people, but then all our cost optimization s, the fresher k icking in, the utilization kicking in, pricing, automation , I think those will all start kicking as we go ahead . So guidan ce of 21% to 23% and being at the bottom end of that - we are quite confident.

Rishi Basu

Thank you. The next question is from Kushal Gupta from Zee Business. Kushal please unmute and ask your question.

Kushal Gupta

Good ev

ening gentlemen, s o Salil I would ask abo ut the demand outlook first to you because in the US an d particul arly Europe if we see, there are things like inflation and other concerns , particularly on the growth factor, there are peers they going into recession so probably maybe the demand outlook might be slowing down there going ahead, so are we looking at other geographies to grow and keep our pipelines healthy. A nd secondly on the localization front as to how are we moving ahead with localization in Australia and other geogra phies as well.

Salil Parekh

On the other geo graphies, I think we have within our pipeline a good demand outlook on large deals within the US market, within the European market. We have seen really strong growth this quarter in Europe. Ye s, we are lookin g at other geogra phies. We have had historically a very good business in Australia which also has today a good pipeline. We continue to expand with strategic partnerships in Japan and in Singapore . So those are markets that we are looking at and those have been some of the markets that h ave been par t of our strategic plan as we have gone through this. Even within Europe , we did an acquisition a few days ago that we announced which was a company focused on Life Sciences in Denmark . So we are loo king more and more at Denmark and countries in the Scandinavi an

Region which are giving us good growth and also good opportunity. S o those things will continue across the different geographies we talked about.
9 In terms of localization that is something that has been an o ngoing program that we have driven. A lot of it has been driven as you referenced in many of the western geographies - in the US, in Europe is also something that is moving along well in the Australian geography.
Rishi Basu
Thank you. The next question is from Sumit Me hrotra from CNBC Awaaz. Sumit p lease unmute and ask your question.
Sumit Me hrotra
Good evening gentlemen. My first question would be for Salil. Salil top five client contribution has increased substantially on a Q -on-Q basis despite we hav e seen a low client addition so how do we read t his first of a ll. A nd for Nilanjan , Nilanjan we have raised revenue guidance for FY2023 to 14% to 16% but margin guidance remains unchanged and it was lower 100 basis points last quarter so can we say margin i s stabilized or we see some more cost escalation going forward? Thank you.
Salil Parekh
Than ks Sumit. I think on the first point in terms of the top five , we are seeing really strong traction with our large clients , where we are expanding - working on big digital and c loud trans formation programs. So that gives us that sort of an impact across those five at this stage. On the margin let me pass it on to Nilanjan.
Nilanjan Roy
I think, from a n overall suppl y environment you are all seeing the number in the industry in terms of attrition . Of course, we have seen moderation over the l ast three quarters. In Q 3 it was stabilizing. In Q4 it actually came down by about 5%. This quarter usually is seasonally very high attrition , but despite tha t we have act ually seen a 1% drop. One thing, as we are putting in more freshers , the industry puts in more freshers , we will see that benefit flowing through as well . But the reality today is attrition is higher than what we would like but the n we have to go and invest behind the ta lent. We are paying some str etch salaries in case where we are going outside. We are paying a compensation hike after last June - so in 9 months we
10 have done our next compensation hike - earlier than som e of the peers but we are ready to invest. B ecause th is growth is strong as Salil has mentione d - at 5.5% QoQ and 21.4% YoY - it is industry- leading growth. We want to continue to invest there and going forward we will have these cost optimiz ation l evers to continuously deploy.
Rishi Basu
Thank you. The nex

t question is from Jochelle Mendonca from E T Prime. Jochelle joins us on audio. Jochelle kindly unmute and ask your question.
Jochelle Mendonca
Good evening gentlemen, congratulation on spec tacular results. I have two questions. Mr. Parekh firs t on demand, you said t hat the pipeline is better than it has been in the past three and six months . Could you give me some colour on what will be driving the improved pipeline are there particular ver ticals or business unit s that are showing greater resili ence? And Mr. Roy t he second question is on pricing. Y ou said you are having these conversations with clients in the past when the rupee has depreciated significantly clients have as ked for some o f those gains to be paid back to them . How is the rupee depreciati on factoring i nto the pricing conversation you m ay be having?
Salil Parekh
Hi Jochelle, thanks for your questions. On the pipeline what we see are really two types of big progr ams in the large deal pipeline. O ne is when clients have embarked or are embarking on the digital or cloud transformation journey. So there for example there are clients which are working on their supply chains, t here are clients that are working on customer co nnect , there are clients that are w orking on optimizing their financial processes and these are very strong program s that cl ients have launched. These give them tremendous impact in their end market or efficiency in their business so these are cri tical pro gram s. Then there are cloud transformation programs where clients are seeing benefits fro m leveraging o ur Cobalt capabilities on a private C loud set up. They are seeing some benefit with a public Cloud transformation across their whole infrastr ucture and these n eed a lot of work and they are drivi ng some of the large deals . And then there is a s et of deals w hich are focused on cost s
11 and making sure that the efficienc ies that the clients are looking for are coming through. S o we have strength in automation, we have strength in what we call applied AI /Artificial Intelligence . These are things that we use to make sure that we can optimize the technology landscape for our clients and that give s them a cost -benefit. So both of those are things that we are seeing in the pipeline and give n the environment there are drives for growth and there are drives for cost s which are giving us the benefi t. There are nuances across the different segment s. We still see some strength s which are visible , for ex ample in our CM T segment , we see strengths in our manufacturing segm ent, financial services segment, overall is solid

with some poc kets that I mentioned earlier for example in mortgage where we see some areas of weakness . So the overall picture that w e see are both sorts of deals are in the pipeline on the growth side and the cost side.

Nilanjan Roy On your question on the rupee depreciation , I think in a normal period, you would be having these conversations like you said, but these are highly abnormal times. We have seen wage inflation across the world. The consequent impact on attri tion as well and clients are ve ry well a ware of that because they are seeing that in their own domains and their own set of people. S o in that sense we are seeing much less when people asking for discounts etc. T hey are aware of that impact , so we are pushing back as much on that and we have seen a much lesser impact on that. And in fact , more conversation on how we start gett ing COLA increases against accounts when the accounts come in for renewals, can we get a price hike on our digital rate cards etc. So those are kind of conservations are
happ ening. We have not
heard anything more about the rupee and the dollar really.

Rishi Basu

Thank you. The next question is from Shilpa P hadnis f rom The Times of India . Shilpa please unmute and ask your question.

Shilpa Phad nis

Good evening gentleme n. I

nf osys has many contracts o n a long- term basis , especially on
fixed price that could throw surprises given the inflation- related and wage- related increases 12 so with c ross currency headwinds do you think there is scope at all to have a higher realization on these contracts especially g iven the uncertaint ies? My second ques tion is on revenue productivity, it has come down sequentially by $1200. A lso, what you spoke about the growth and market share gains that are coming at the cost of margins?

Nilanjan Roy

I think we mentioned that we are ready to invest behind this growth because we know we have the optimizat ion levers . For instance, our subcon which used to trend a year and a half, two years back at 6.5%, are closer to 11.3% now - that is a le ver. W e know we will g et our fresh ers and we will get our lateral recruitments in, attrition will come down and we will be able to replace this . But at this moment in a way we are on a treadmill a nd therefore this whole subcon increase is easily one l ever which we have av ailab le. Utilization - deliberately we brought it down because we want freshers to be hired, we want th em to go through training in Mysore for four months , then we put them on the bench and over a p eriod of time they start getting deploye d and these are there fore investment s because you just cannot get freshers and overnight start changing the overall pyramid . That is an investment we are ready to make really.

Coming back t o your fixed price issue , absolutely - so when we model our contra cts over a longer period of time we build in wage inflation, we build on what are the automations we can do there, the onsite -offshore mix that is the lever, t he extra work which we can also get from many o f these clients - because once you are sit ting front and center in a large deal we pretty much have a ring side view of what is happening inside the clients , and many of our add on deals which we get from the clients because of we have done the large deals ar e at significantly higher margin. So, there are lots of other tools which we have to see the overall margin profile - both on the deal and around the deal as well.

Rishi Basu

Thank you. The next question is from Chandra Ranganathan from Moneyc ontrol. Chandra, kindly unmute and ask your question. Chandra Ra nganathan

13 Thanks. Salil just wanted to know the kind of project that you are seeing that has given you the confiden ce to kind of increase the revenue guidance annually because there are lot of analysts believe that in the current market clients will look a t cost-saving project s, it will not be discretionary , transformational spend that is happening so anything diff erent that you are seeing that kind of giving you the confidence? Also attrition , you say it’s moderating but it is still inched u p quarter -on-quarter so w ill this kin d of be the upper end for you, and will it now start co ming down? And Nilanjan, I did not get the thing on hiring guidance so are you sticking to 50,000 or are you increasing it on the back of your hi gher revenue guidance for this year since yo u have alread y added 21,000 in this quarter ?

Salil Parekh

Thanks for the question, Chandra. I think in terms of the demand and the type of projects or program s on large deals there are two types w here there is one which is driven m ore towards the growth ar eas on dig ital and on cloud and there is a lot of work on C loud transformation that is in ou r pipeline . And then there is another as you pointed which is focused more on cost and efficiency and there we are d riving from what we have in terms of our leading automation c apabilities, what we are doing in Artificial Intelligence to help optimize the client technology landscape . So we have both of those within our mix and as we looked at even in the previous months, we have made sur e that our focus remain s on both types of progr

am s and frankly we feel in terms of automat ion, we have a tremendous capabili ty that we think will be of great use to clients in any environment as we look at making efficiencies within the tech landscape. On attrition, what we have stated , our quarterly attrition has come down and we have seen moderation last quarter we have seen moderation this quarter. As we look out for some of the benefits of the initiatives we put in place that are coming through, that is the approach with respect to a ttrition.

Nilanjan R oy

Your question on fresher s so as we plan the talent model for the yea r it is a combination of freshers, it is a combination of attrition, it is a combination of lateral hiring and of course subcons. S o when we put all this tog ether , at the moment we are seeing about 50,000 it may go up, and the beauty I think of COVID is for the industry is, now we have been able to get freshers on demand because earlier th e enti re industry actually used to lock themselves up
14 with the fresher entirely in the campus which we do in the Jan uary cycle. N ow we have a combination of this lock in during the January campus hiring cycle and throughout the year we have a program which is off campus r unning. S o that is a big benefit we ha d over the last two years to get a much more flex i-oriented talent model for freshers.

Rishi Basu

Thank you. The next question is from Sankalp Phartiyal from Bloomberg. Sanka lp pleas e unmute and ask your question.

Sankalp Phartiyal Good evening Salil and Nilanjan. I wanted to ask you on the macro level , we saw commentary from TCS earlier and they were very confident about robustness like yourself, just wanted to ask you when you talk with clients is there any colo ur or sign s that there are news in terms of the macro economics worrie s that almost a number of econom ists point out in terms of greater econom ic slow down and cooling off and get spending because your commentary obvious ly is part of that collection, but if that happens how do you plan to reset and optimize in resources, that' s one.

Salil Parekh

Thanks, Sankalp I think the second question you broke off. On the first , the question was a macro question, if I got it right? Here, I think the way w e look at this as I shared earlier , there are pockets where we see some changes . For example, I gave the example of mortgages in Financial Services . There are areas like that but the prevalent view across our pipeline today is we have a good pipeline overall. Now looking ahead, we do not have a view on what is likely to happen let us say 12 months out or 18 months out. Our focus remains reall y on what we are seeing in our pipeline to day and making sure as we have finished one quarter of this financial year that we work our way through this financial year always being aware of the environment, what is going on, well at the same time when client s are looking for changes, whether their g rowth driven initiatives on Digital or Cloud or cost driven initiatives foc used on automation or other areas that we provide them with the capabilities and the services th at can help them . So yes we are aware and obviously cogni zant of what the macro envir onment
15 is, but that is not what is driving everything in terms of our day- to-day. We see the pipeline, we see what our clients are looking for and we are making sure we are agile as things evolve that we can also adapt . The second part we missed out. There w as something about hiring. We did not get the full question.

Rishi Basu

Sankalp, w e will try to come back to you, otherwise, we will addr ess th is offline.

The next question is from Sethuraman from Reuters News. Sethuraman joins us on audio.

Sethuraman

Good evening gentleme n. Thanks for your time . Sir I just wanted to hear back on the gross client additions that were k ind of low on QoQ as well as year-on-year and the TCV also saw a bit of softness so is this s

tarting of the soft period is it like because I see that like you said your large cl ient traction remains very good, so I just wanted to know like whether you are seeing softness in terms of smaller deals are concerned like adding new clients because of the macro environment?

Salil Parekh

Today, for us the way we are seeing the demand and the strength of Q1 in terms of our overall growth and the volume growth that gives us the confidence to increase our revenue guidance a s we have done. In terms of w hat we see with clients, in terms of the additio ns, large deal s in our experience are volatile, some quarters they are high, some quarters they are low but the pipeline for it today looks in good shape and that is what giving us the view in terms of increa sing our guidance.

Rishi Basu

Thank you. T he next question is from Sai Ishwar from The Economic Times. Sai also joins us on audio. Sai, please unmute an d ask your question.

Sai Ishwar

16 Hi gentlemen, Sal il one quest ion for you would be you spoke about attrition, you are billing the arrest attrition to two special initiative s, could you tell us like how or what are these initiatives and also on an LTM b asis it has climbed up so once the annual cycle has high cycle finished, so do you see that inching up on a n LTM b asis continuing and also profit has fallen on Q-o-Q basis so could you tell us what is the reason there and also one question for you Nilanjan is , you said on an overall basis the rupee depreci ation won' t result in any impact but in the near term do you se e any benefits because the rupee has depreciated from 7 6 to 80 so at least in the near term do you see any impact ? Thank you.

Salil Parek h

Let me start off. Thanks for your que stions, Sai. O n the at trition , in the previ ous quarters, we have shared some of t he focus that the team and we have put on what we really want to do in improving the engagement with employees. There are areas which ar e focused on increased opportunities , there are areas which a re focused on increased rewards , there are areas which are focused on making sure that there is more stability an d predictability in the way career progression is managed for our employees , and there are areas where we are making sure that all of the training capabi lities and facilities are available to develop individu als all through their careers . We have seen much more engagement from employees, there is tremendous flexibility that we have vis -à-vis how we have employ ees working in the hybri d model . All of these are initiatives that have been launched over the past several quarters and over some years , which we see start ing to give us benefit , and that is where we have seen on a quarterly basis reduction i n the attrition in the first quarter .

Nilanjan Roy

Your first question basically was on the profit decline and that is directly linked to the operating margin. We have talked about the decline in operating margin and the reasons . The wage hike was the bigg est, it was 1.6% . This was both onsite and off shore and thes e have been higher than what we have done in the past . Our compensation hikes in the western economies was even higher what we have done norma lly. Even in India it was high single - digit with top performers getting double digit and like I said, this is an i nvestment we are willing to make . So that is the fundamental decline in margin and that flows straight into net profit decline . The se cond question was dollar rupee - of course , there will be some benefits
17 going forward but like you have seen in this quart er, there i s also cross currency headwinds becaus e the depreciation of the Euro, the G BP, the Aussie dollar and the Canadian dollar . So in fact , half of our rupee dollar benefit , this quarter was eroded by the cross currency headwinds so we actually only got a 30 B PS benefit on our margins because of currency . So, we shou

ld see some benefits of that but just to make sure that we are modeling in the cross - currency as well.

Rishi Basu

Thank you. T he next question is from Haripriya Sureban from The Hindu Business Line. Haripriya joins us on aud io. Haripri ya please unmute and ask your question.

Haripriya Sureban

Good eveni ng gentlemen . Much has been talked about numbers. I would like to get an update on the kind of traction and the deals that Inf osys Metaverse Foundry is getting . Also in what kind of secto rs are you seeing the reception? Also do you think this offering would give you increased gross margin in comparison with your other traditional offering s? Thank you.

Salil Parekh

Thanks for your question, Haripr iya. I think the Metaverse Foundry is an excellent example of where we have the leading capability in the ma rket. We are one of the fir st if not the first company to launch this. We have real exam ples of where this can create a positive impact with clients. We already are doing some work on a very few s elect client situations so this is starting to be a truly leading capability for us in the market . Having said that , it is som ething that we put in a view that we talked about when we launched our str ategy i n things that will develop over time. It is not something that is going to give us the benefit right here in this quarter in terms of large scale but we see tremendous interest and really good traction in what we are putting together in the Metaverse Found ry.

Rishi Basu

Thank you. The next question is from Vive k Kumar from Informist . Vivek joins us on audio. Vivek please unmute and ask your question.

18 Vivek Kumar

Hi good evening. My que stion is on supply- side challenges. Infosys ga ve doubl e-digit salary hikes to employees on an average last y ear so given that attrition right now is at elevated levels itself and we are not sure when it might move back to nor mal levels far away from that so do we expect similar salary hikes this year also or could it be even higher than last year?

Nilanjan Roy We have done a lot during last year in June, and w e have actually accelerated in nine months we have had the April cycle, and at the same t ime we are seeing the moderation of the

attrition . We have also rolled out a more predictable talent program for our employees and
the same time we are getting fresher s. S
o all this s hould help us going ahead in the future.
Rishi Basu
Than k you. The next question is from BD Narayankar from UNI. BD Narayankar joins us on
audio. Please unmute and ask your question. BD Narayankar
I am sure, m y questions will not pleas e you all but I cannot stop myself from asking the m.
Firstly why this press c onference is being held on a Sunday? S econdly, why this show -off
event, on the iss ue of a non-compet e clause, w hy have you not honored the summons of the
elected govern ment . Thirdly, I think Nilanjan can tal k about it . Is the salary hike of Mr . Salil
is it in line with Narayana Murthy 's philosophy. He had once said, It is inappro priate to
increase the salaries of top executives when lower levels do not get them? These are my three
questions. Salil Parek h
Thank you for your que stions . The second one I did not get . It cut of f. The first one was why
we doing it on Sunday? The way w e had our board meeting which wrapped up just earlier
today and given that this was information we were sharing right away in te rms of our press
note we thought it was appropr iate to make sure we answer questio ns from anyone from the
19 press that had a quest ion for us with respect to the result so that is why we had it pretty much
as soon as our board meeting concluded. I am sorry I did not catch the second one and third
one relates to me so I will request Nilanja n to address .
Nilanjan Roy
On the third one , like I said the b oard decide s very extensively on benchmarking. In fact, we
have given out a thr

e e-page statement on the reason for the increase in compensatio n and I
think mor e importantly the overwhelming support of all shareholders across the wor ld - from
promoters, everybody I think about close to 98% . This in my view would probably be the
highest sort of reaffirm ation of the compensation for Salil which have been complete ly
globally benchmarked as well. So I would encourage you to read the statement of as part of
the annual resul ts and the transparency we have given on all the metrics around which the
reward will be given. Rishi Basu
The second question was on non-compete and why we have not attended the summons.
Salil Parekh
On the non- compete, our HR leadership, the leadership f rom the company are working very
closely with the respective authorities both locally and c entrally. Our teams are making sure
that the specific position that the company has which is essentially related to making sure that
if and when an employee leaves , the client c onfidentiality of the work that
is of utmo st
importance is observe d. We have no cons traints within anyth ing within the company which
precludes anyone from choosing what they want to do and we have had extensive discussions
and meetings with the appropriate auth orities .
Rishi Basu
Thank you. The next question is from Shivani Shinde from Busines s Standard and Shiva ni
has sent her questions on text . Salil, Nilanjan I a m going to read it out. For Salil, there are a
couple of questions . With guidance of 14% to 16%, can yo u break the growth that you ha ve
seen in terms of d eal nature and pricing scenar io, attrition c ontinues to go up, will the hir ing
20 target be the same i.e., 50,000? The second is it looks like you and your peers have missed on
margin performance which kind of means that the suppl y issue is st ill out of control. How is
Infosys seeing the attrition going ahead? For Nilanjan , what is the headroom for margin
improvement and t he impact of cross currency this quarter?
Salil Parekh
Thanks Shiva ni for your questi ons. On the first one I did not understand it the question wa s
about..
Rishi
Guidanc e 14% to 16% breaking down the growth that you see in terms of the deal nature and
pricing scenario ?
Salil Parekh
The guidance that we see today we have had very strong growth in Q1 at 5.5%, we see good
volume growth, and the way we see Q2 and the outlook on the quarters is a good pipeline for
our large deals plus we see good volume today in what we are seeing in the terms of activity
in Q2 . So based on tha t we created the view in terms of the increase in our guidance. In terms
of pricing we see today stabil ity in the pricing, so there was no unusual positive or negative
that we have seen in Q1 numbers vis-à-vis pricing.
Nilanjan Roy I think I like somebody else or colleague of yours asked that in terms of 50,000 so last year
we have demonstrated a capacity t o hire has been closer to 8 5,000 so we ha ve the capacity to
hire but as I mentioned we do the entire talent model with a combination of freshers , looking
at attrition, lo oking at lateral s and subcons and on the basis of that we still have the 50,000

mark b ut we can always increase that because we have the off -
campus hiring program which
we can turn on.
Rishi Basu
21 Thank you. With that, we come to the end of this Q&A session . We thank our friends from the med ia for joining us today. Thank you Sal il and thank you Nilanjan for being here . Before we conclude, please note that the archive webcast of this press conference will be available on our YouTube C hannel and on the Infosys w ebsite later today .
Thank you once again for joining us and have a great even ing.

"Infosys Limited
Q1 FY2023 Earnings Conference Call "

July 25, 2022

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Chief Executive Officer & Managing Director

Nilanjan Roy
Chief Financial O fficer
Sand

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JM Financial

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HDFC Securities
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Moderator
Ladies and gentlemen good day and welcome to Infosys L imited 's Earn ings Conference Call.
As a reminder all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions a fter the presentation concludes. Should you need assistance during the conference call, please signal an oper ator by pressing "*" and then "0" on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sandeep Mahindroo. Thank you an d over to you, Sir .
Sandeep Mahindroo
Thanks Inba. Hello everyone and w elcome to Infosys Earnings Call to discuss Q1 2023 Financial Results. This is Sandeep from the Investor Relations team in Bangalore. Joining us today on this call is CEO and MD, Mr. Salil Parekh; CFO, Mr. Nilanjan Roy; and other members of the senior managem ent team. We will commence the call with some remarks on the performance of the company by Salil and Nilanjan. Subsequent to which, we will open up the call for questions. Please note that anything that we say that refers to our outlook for the future is a forward - looking statement that must be read in conjunction with the risks that the company faces. A full statement and explanation of thes e risks is available in our filings with the SEC, which can be found on www.sec.g ov
.
I would now like to pass on the call to Salil.
Salil Parekh
Thanks, Sandeep. Good morning and good evening to everyone on the call. Thank you all for taking the time to join us.
We had an excellent start to the financial year with 5.5 % sequential g rowth and 21.4% year - on-year growth in constant currency terms.
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We continue to gain market share with our Cobalt cloud capabilit ies and our differentiated digital value proposition driving a significant pipeline of opportunities for us.
For example a premi er online retailer in the U.S . leveraged Infosys Cobalt to embark on a cloud- driven transformation journey to enhance the cus tomer experience and improve the ir security p osture.
Another example is European manufacturer who i s reimagining their Digital workpla ce with best-of-breed network security and IT infrastructure powered by Infosys Cobalt.
There are examples like this all across the spectrum in different sectors and tha t are driving Infosys Cobalt into the market.
Clients continue to place an immense amou nt of trust and confidence in Infosys to help accelerate their digital transformation agenda , both on eff iciency and the growth dimension of their business. The strong growth we have seen in the quarter lays a robust foundation for the year .
Growth continue s to remain broad -based across the segments, service lines and geographies. Each of our business segment s grew in double -digits with several of them growing at 25% or higher. In terms of geography the U.S. geography grew at 18.4% and Europe grew at 33.2%. This indica tes a healthy demand environment and is a reflection of how our industry- leading digital cap abilities are relevant for our clients.
Our Digital revenues w ere 6 1% of the total and grew at 37.5% in the quarter in constant currency terms. Within digita l, our cloud work continues to grow faster , with our Cobalt cloud capability seeing significant traction with our clients .
Our overall pipeline remains strong. We do see pockets of weakness , for example

in the area
of mortgages in Financial Services . We keep a c lose watch on the evolving macro environment in terms of the changes to the pipeline . Within our pipeline , we also have focus in addition to the growth are as in digital and cloud to the cost areas through automation and AI.
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Our operating margins were at 20% . We have completed the majority of our compensation

review for this year. Nilanjan , will also provide more details on the overall margin update.
Some o ther highlights of our results are
- We signed 19 large deals with a TCV of $1.69 bn . This is comprises o f 50% net new work
- Our onsite mix was at 24.3%
- As we build capacity for the future, our utilization was at healthy levels of 84.7%
- Our free cash flow was strong at $656 mn
- Our quarterly attrition declined . Historically , Q1 attrition incre ases by three to f our percentage points sequentially on a quarterly annualized basis; however, our attrition declined by one percentage point on a sequential basis - reflecting the impact of various initiative s we have put in place
- We had a net headcount increase of over 21,000 e mployees attracting leading tale nt from the market , which is a reflection of our enhanced recruitment capabilities, solid brand and deeper penetration into various talent markets.

Our Cobalt C loud capability continues to be market leading. We have 3 60 te chnology and domain solutions , five of our assets have over 50 clients each, we have 150 industry focused solutions, 20 Infosys living labs, 50 experimentation programs , and 60,000 knowledge assets.
Our 'One Infosys' approach is serving us well to bring the bes t of Infosys and service to our client 's needs .
Earlier this month we announced the acquisition of BASE Life Sciences , a Denmark -based technology and consulting firm in the life science s industry. BASE brings to Infosys domain expertise in medic al, digita l marketing, clinical and regulatory areas.
With our strong growth in Q1 and our current outlook on demand opportunity and pipeline, we increase our revenue growth guidance which was at 13% to 15%, now to 14% to 16% for the full year . We keep our margin guidance at 21 % to 23%. With the increased cost environment , we will be at the lo wer end of this margin guidance.
Thank you and with that let me hand it over to Nilanjan for his update.

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Nilanjan Roy

Thanks Salil. Good morning everyone and thank you for joining th is call in an early Monday morning.
We had a st rong start of FY20 23 with a robust year -on-year growth of 21.4% in co nstant currency. All our business segments and major geos recorded double -digit growth with manufacturi ng, communication and EURS along with Eu rope region recording 25 % plus growth. Sequentially , revenue growth was 5.5% which was led by a healthy volume gr owth and some RPP benefits. Digital revenues now constitute 61% of total and grew by 37.5% in constant currency .
Client metr ics were strong wit h increase in client counts across rev enue buckets compared to the previous year . Number of $50 mn clients increa sed by 10 to 69 creating the next potential centurions . Number of $100 mn clients increased by 4 to 38 and the number of $200 mn client s have grown by 6 in the last one year. Th is reflects our ability to deepen mining across our large clients.
We had ano ther quarter of strong employee additions with over 21,000 to cater to the growth opportunities ahead. The fresher addition was particularly strong which resulted in drop in utilization to 84.7%. Onsite effort mix inched up to 24.3%. Voluntary LTM attritio n increased marginally to 28.4%. Quarterly annualized attrition declined another by 1% from Q4 levels despite Q1 usually seein g an uptick due to seasonal ity.
As announced earlier we have given competitive salary increases for majority of employees from April. Given the supply tightness and high prevailing inflation, salary

increases across
all geos this year are higher than historical levels. The increases va ry based on job levels and performance of employees with top performers getting double -digit hikes. S alary hike for other employees is being done effective 1st July.
Q1 margin stood at 20% , a drop of 150 basis points versus pr evious quarter . The major component s of the sequential margin movements were as below :

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Headwinds of
- 1.6% due to salary increases ,
- 0.4% due to drop in utilization as we create capacity for future ,
- 0.3% due to increases in subcon, third party and other costs.

These were offset by ta ilwinds of
- 0.5% due to increase in R PP from higher working days , a reversal of a cl ient's contractual provision in our F S segment partially offset by discount s.
- 0.3% benefit s from rupee depreciation benefits partially offset by cross -currency headwinds.

Q1 EP S grew by 4.4% in rupee terms on a year -on-year basis .

Our balance sheet conti nues to be strong and debt -free. Consolidated cash and investments were 4.4 bn at the end of the quarter after returning more than $850 mn to the shareholders through di vidends. T his has led to increase in ROE to 31%.
Free cash flow for the quarter was $656 mn which is a conversion of 95 % of net profit s. Yield on cash balance remain ed stable at 5.3 % in Q1 . DSO declined by 4 days sequentially to 63. DSO including ne t unbilled was 82 days an increase of 1 day versus Q 4.
Coming to segmental performance:
We signed 19 large deals in Q1 with a T CV of $1.69 bn. This comprises of the 50% net new. We have signed 5 large deals in retail and CPG , 4 in Hi -Tech, 3 each in financial servi ces and energy utility resources and services and 2 each in manufac turing and communications verticals. Region- wise 15 were in Americas and 2 each in Europe and R oW.
In Financial Services clients continu e to focus on digital c ustomer experience, contact center transformation and virtual branches aimed at improving customer engagement. While the order pipeline remains strong across regions , we are seeing some slowness in mortgage industry and lending business due to incr eased in terest rates. We remain wat chful of impacts of emerging global developments on budget for clients.
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In the retail segment the pace of Digital transformation large -scale cost breakouts and improving business resilience continues to be on the rise across vari ous subsegments . Our focus on proactive engagement has helped us in creating a robust pipeline. Clients are monitoring the emerging macro situation and the impact of that on their business.
In communications segment clients are focused on rapid digitization and protecting the ir assets from cyber threats , we see enormous potential to partner with them both on the digital transformation agenda as well as in the cost takeout front.
Deal pipeline in energies, utilities , resources and serv ices segments comprise s of opportunities around cos t takeouts, vendor consolidation, digital transformation, c loud- led transformation and asset monetization across industry sub- verticals .
Manufacturing segment is seeing broad -based growth across geographies and industr y sub-verticals . The sector has se en traction across energy, I oT, supply chain, c loud ERP and accelerated cloud adoption.
In Q1 we have been ranked as leader in 9 ratings in the areas of Oracle Cloud , SAP S/4HANA, Public C loud, Industry 4.0, employee experience an d automation services.
In this supply constrained environment, we continue to invest in our growth momentum which requires us to hire premium, skill talent while simultaneously investing in existing employees through competitive comp ensation increases acr oss geos. Additionally, we expect normalization of costs like travel and other overheads. We will continue to focus on various cost optimization measures including rationalization of sub

cons , flattening of the pyramid,
increasing automation, reducing onsit e mix and increasing pricing.
Whilst we retain o ur operating margin guidance of 21% to 23%, we expect to be at the bottom end of the range. The revenue guidance for the year has been revised to 14% to 16% from 13 % to 15% earlier.
With that we can open the call for questions.
Moderator
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Thank you very much. Ladies and gentlemen we will now begin the question and answer session . Our first question is from the line of Surendra Goyal from C iti Group. Please go ahead.
Surendra Goyal
Thanks for that. Good morning just a c ouple of questions from my side. Firstly a clarification . Nilanjan , I believe you said that the contractual provision was largely offset by discounts. Could you please clarify a bit . Did you mean discounts to the same client or discounts in general ? Curious because on one hand we are ta lking of a strong demand environment and potential price hikes and at the same time we are also talking of discounts ?
Nilanjan Roy
The comment was 0.5% increase in RPP is a combination of three to four elements – higher working days, the client contraction provision reversal benefits partially offset by discount. So it is not a direct linkage of discounts and client contractual provisions . It is not to the same client . These are generic discounts and the se automatical ly kee p on comi ng. But, like I said discounts have come down as we have started negotiating with our clien ts in terms of pricing but that i s the net impact of all these.
Surendra Goyal
Just another question on margin down 360 bps year-over-year, operating pro fit growth Y-o-Y is worse in historical trends despite all the strong demand and growth we are t alking about. So if you just think about this 360 basis point decline , how much of that is really investment which you think can be recouped as w e go forward from here ?

Nilanjan Roy
When we were 360 bps down, we knew we were having some b enefits in a way - our utilization was very high it was 88%, we have never operated at that leve l before , the benefits of trave l etc. Now we are seeing more an d more of that h as been coming back. So that is something which we were well aware of in last year . But as we see the demand volume ahead , I think we are very clear that in terms of our ability to support this dem and first we

have to hire , we have to pay c ompetitively . So we actually did two wa ge hikes in c alendar year 2021 and now this year we have already rolled out in April . So within one and a half year we have done three substantial CRs and actually in September las t year also we did a skill based increase. So we have been continuous ly investing behind that and we know that to capitalize this demand we have to pay for premium skills. We have to go behind the volume . Comparing subcontract or costs - perhaps fr om an industry leading 6.5% position we are closer to 11% now , but again these are something we know over a period of time we have a lot of optimization levers . We do not want to leave a five -year demand on the table because of short -term cost pressure s and these we can optimize over this year and over the future as well. So in that sense we are quite confident and that is why we have talked about 21% to 23% range and we will be at the bottom end of the range . Of cour se if we are 20 % today, we will see that improvement as the year progresses .
Surendra Goyal
Sure than ks for that I will get back in the queue.
Moderator
Thank you. Our next question is from the line of Moshe Katri from Wedbush Securities . Please go ahead .
Moshe Katri
Thanks. Spectacular numbers especially on revenues side of the business . Just a follow -up t o the last topic or question about margins . We are getting a lot of pushbacks on that . From your perspective looking at the levers that you highlighted, w hat do you think is t

he biggest
potent ial lever here for you to be able to catch up to the margin range that you mentioned and then I have a follow -up after that.
Nilanjan Roy
Firstly if you see, how our margin profile, has changed, so one , of course has been this utilization and in fact, 21,000+ net adds during the quarter which is well above our volumes and t hat is to create the buffer . So when we put in freshers , we train them and th en over a

period of time, we are able to put them int o pro duction. So you cannot just have higher freshers and expect them to start contributing from day 1. We are very vigi lant about that . They go through mandatory training in Myosre , and then we put them into projects . So that is one big part of where we think we can start i mproving. As the hiring c atches up automatically, you will see the sta bilization of subcon costs, whi ch as percentage of revenue, you are seeing this increase every quart er. While we have seen it flattening out and over the future, as we got our recruitments done and we are able to hire fresher, we sh ould see benefits coming out of that.
Pyramid benefits will continue to happen for us . While we are seeing some adverse impact from the onsite movement, this is largely as travel overse as starts , but we think this is more of a aberration in terms of uptick, be cause the inherent story of taking cost out and ha ving a more offshore mix in the entire cost optimization will come into benefits especially in this environment where cost take out is becoming a big theme across our clients. So, we know we can have multiple areas.
Pricing is another thing, which we have been talking about. We have see n les s impact of discounts, etc., we are going back to clients in terms of COLA adjustments at the time of renewals . Now these are much more longer -term impact decisions, but I think at least the conversations have started i n right direct ion across all the segments and you can hear similar commentary across. So I think these are the areas we continue to focus on and are something we have done over the year s. We continue to be very forceful in terms of our cost efficiency exercises .
Moshe Katri
Just as a follow -up, just remind us what i s the sensitivity for margins ver sus utilization rates i.e., 100 basis points expansion in utilization rates what does it mean to margins in terms of sensitivity ? Thank you.
Nilanjan Roy
Yes, so I think it depends on by which levels we see utilization . So, it is quite complicated if you have a different utilization in onsite , different in offshore and then the impa ct of the freshers in the pyramid in that utiliza tion. So, it is a bit complicat ed how the mix changes . I

just cannot give you off the cu ff number of what 1% will lead to , but to give you the impact
in this quarter, 40 basis points becaus e of utilization on margins.
Moshe Katri
All right thanks for the color.
Moderator
Thank you. Our next question is from the line of Kumar Rakesh from B NP Paribas. Please go ahead.
Kumar Rakesh
Good morning. Thank you for taking my question. My first ques tion was continuation on the margin side. At the end of the fourth quarter , and not just Infosys but acr oss the industry what the management commentary had indicated compared to that the margin performance appears to be a sharper decline. Now Salil what do you think could be the reason behind tha t? Is it driven by higher than expected demand and higher use of subcontracting than what you are planning early or is it more supply side driven that the fresher was higher than what we had planned for through the quarter?
Nilanjan Roy Are you talking about us in particular about the industry?
Kumar Rakesh
Anything whatever you could give us color on because the trend has been very similar to yourself. Nilanjan Roy Yes, so we do not operate in a vacuum and this industry also does not oper ate in a vac

uum .
The attrition trends are pretty much similar across industries b ut the good news , like you said is that attrition is coming down. Our quarter attrition figure is actual ly below our LTM

figures and as Salil s aid we are 1% down on a sequential basis , we were 5% down in the previous quarter and we were flat the earlier qu arter. The reported LTM is more of a catch -up effect and in that sense you will see stabilization . The freshers will sta rt coming in and getting permeated. So that benefit in a way should start creeping into the cost structure because at the end of the day if you ar e putting freshers we have l ess attrition, the fresh hikes which you have to give for lateral hirers shoul d come down, joining bonuses impact should come down. So these are the things which can play in our favour . You ha ve seen these numbers of decline prett y much across industries . I think we have a very, very sharp cost optimization program in a way which will go and offset these headwinds .
Kumar Rakesh
Got it. So it appears the supply side pressure was higher than what we were earlier expectin g. My se cond question was on the acquisi tion.
Nilanjan Roy
I think there is no question about that . You see our attrition and the net adds , the gross hiring has been very well and of course in that sense i n terms of our stre tches and all we have t o offer. So it is an overall industry issues led from the demand side.
Kumar Rakesh
Thanks . My second question was on BASE acquisition. So we already have a pretty strong life sciences practice with more tha n $1 bn scale, so what exactly we are looking and targeti ng to get help from this acquisition?
Salil Parekh
On BASE there are multiple things . This is a business which is very hig h end in the life sciences area. When we launched our strategy a few weeks ago just at the start of the quarter we had shar ed also a ne w focus or an expanded focus on Europe . Denmark fo r us is a very strategic market , the whole Scandinavian market is a very strategic market for us. So that is the second area that it benefits us . We also see clients are using the capabili ties of BASE as a starting point and then that leads to large technology transformation, digital transformation

and that helps us overall in terms of scaling up that segment. That is a segmen t which we feel is a strong segment for the future and where in our v iew underweight in percentage terms. So we want to enhance that with these existing capabilities .
Kumar Rakesh
Got it thanks a lot for that Salil.
Moderator
Thank you. Our next question is from the line of Keith Bachman from BMO. Please go ahead .
Keith Bachman
Thank you very much. My first question is I wanted to get your views on how you think wage inflation will impact the balance of the year . And what are the tensions on that to your margin model ? So you mentioned that attrition has in fa ct moved lower , do you think a ttrition continues to move lower and how do you think wage inflation will unfold over the next about three, four quarters and be a force in the gross margin equation and then will follow up ?

Nilanjan Roy
I think like we started last year we were very clear that we have to be competitive in the market . So, we did the first hike in January of 20 21 then we did the next hike in July of 2021 then we did a follow -up on our talent in September of 2021. I n a way , we have not waited one year we have actually gone ahead and done our majority of our wage hike from 1st of April this year . Increase for middle to hi gher level to senior force will happen in July but not the same margin impact of quarter one which was very broad based.
Other than that , I think these are q uite competitive and of course if you see in the mix, we also get a lot of laterals where there i s a hidden cost of hiring because they come at stretches. So in a way , your overall we

ighted average compensation in any case i s going up across . I
think overa ll this is a very competitive hike . In India it is more like high single digits and in

overseas geos because of high wage i nflation across we have given very competitive hikes . This is something which we have not done befo re. So these are very much higher than what we d id in the pa st. But we think this is something which is going to stand up in good stead in terms of attrition and we have seen three quarters of the attrition benefi ts and expect it to continue .
Keith Bachman
We cover a number of software companies and software companies have started t o say they are seeing pockets of weakness with demand elongation on s ales cycles . It does not sound like we made one very specific industry comment but it does not sound like you a re seeing the same any kind of iteration on the demand side pa rticularly on t he negative side, but if you could just clarify , are you seeing any el ongation on the new business front , yes or no, and if the macro does weaken will that in fact help your wage situation and that i s it from me . Thank you.
Salil Parekh
Thanks for that . A couple of points that you raised, I think what we see on the demand , the pipeline that we have today for our large deals is larger than what we had three or six months ago. Having said that , we of course recogni ze what is going on in the global environment and we mentioned a couple of areas . Nilanjan talked within retail, he also mentioned within Financial Services - mortgages. So we see pockets wh ere we see some i mpact .
On the overall deal discussions we see a little bit where it is slowing in the decision making; however , the pipeline remains strong f or us today . We ha ve also g et two types of deals, one is deals which are on digital transformation or cloud which are growth orientated for clients driving to what they want to do with their customers in their supply chain, how they want to make an impact . The second is on cost , we have a very strong play on cost and efficiency through our automation work, through our artificial intelligence work where we can really impact the cost base in the tech landscape of our clients. So those are areas which we are already very active within this environment and given our positioning we feel good that those will start to co me into play as and when the environment changes . But today this is how we are seeing the demand situation.

Now your other question was will that have a change on the wage if the macro evolving. W e do not have a clear view on where that will go be cause it i s a function of how the macro evolves and what happe ns. O f course , we are seeing attrition starting to come off a little bit and that wil l clearly have a positive impact for us with respect to compensation. So the timeline is not clear , it depen ds on how the macro evolves.
Keith Bachman
Okay great many thanks.
Moderator
Thank you. O ur next question is from the line of Nitin Padmanabhan fro m Investec. Please go ahead .
Nitin Padmanabhan
Good morning. Thanks for the opportunity. I had two questions. O ne, is from a margin perspective, whatever we saw as one offs in the previous quarter which included visa and these contract provisions - both of them have b een sort of offset in this quarter is that a fair understanding? The secon d is in terms of salary increases is it only for the associate level this quarter and if so then the question is that we have 145,000 associates JL 3 and below and 130,000 people in the mid level and general understanding is mid level obviously as a percen tage of the employee cost it should be higher so the thought process was about should not your mar gin impact be even higher next quarter - if you could just help with that thought process that will be very helpful ? Those are two questions. Thank you.
Nilanjan Roy
A

s I said in the margin walk , we had a benefit of 50 bps in RPP which is a combination of clients contract ual provisions reversals partially offset by the d iscounts . So we have seen a benefit there. T here i s no way we said that has it been eroded , we have caught the benefit of client contractual provisions clearly.

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The other one on visa , travel - I think they largely offset each other . On the outlook on wages, we have done it for most of our employees , it is up to mid level . For more of th e senior levels is what we are going to roll out in July and that impact would be far less than 1.6% which we have done which is a much more broad based for us.

Nitin Padmanabhan

Both associates and mid level happen this quarter itself. I t is not only associat e.

Nilan jan Roy

Yes, associates and mid level , correct.

Nitin Padmanabhan

Correct that is v ery helpful. Thank you so much.

Moderato r

Thank you. Our next question is from the line of Bryan Bergin from Cowen and Company. Please go ahead.

Bryan Bergin

Thanks for tak ing the que stion. I wanted to just dig on the commentary around pockets of weak ness. So I heard you mentioned mortgages , mentioned subcomponent of retail . Can you just give us a sense and quantify what mix of your business is actually seeing some slowing decision making is it 5%, is it 10%, is it less and even does this hel p frame or quan tify areas that are seeing pockets of weakness?

Salil Parekh

Thanks for your question. This is Salil. We do not quantify typically what part of Financial Services is mortgages or the ot her areas which are impacted. We are now seeing pockets , this is not across our whole business . And the way I would look at it is with all of that given our pipeline we have increased our revenue guidance. So the majority of our business is still

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seeing good demand. I t is really pockets with out quantifying, that is how I would give a context to it.

Bryan Bergin

Okay and then just a follow-up on margin. You gave sequential changes can you give us what the year -on-year changes in operating margin with the different categories ?

Nilanjan Roy

So largely we k now it was the c omp related hike that i s near only about 3 70 basis points that was the biggest one and there were some rupe e benefits offset by both cros s currency as well and the n we got some benefits of cost optimization , we got some hits on lower utilization. So these are the broad things but the biggest one was the comp which was about 370 basis points.

Bryan Bergin

Alright thank you.

Moderator

Thank you. Our next question is from the line of Sudheer Guntupal li from Kotak Mahindra Asset Management. Please go ahead .

Sudheer Gu ntupalli

Good morning gentlemen. Thanks for giving me this opportunity. I ha ve just one question on margins. Ideally the strong growth at the headline level should have translated into some operating leverage, but that does not seem to be happening and Nil anjan we seem to be of the view, we will chase growth for now and focus on margin optimization at a later date. What is the risk to that hypothesis because this growth margin paradox seem to be a mere reflection of what is happening in U.S. and U .K. now a very tight job market, ver y high nominal growth, but very little benefit trickling down to th e bottomline level. So sooner or later this

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nominal growth r ates may cool off and onsite job markets and some supply costs may auto recalibrate. But back in India job market may not be as m uch of a free market as it is in U .K. and U.S . there may be some st icky elements both at headcount and wage level translating i nto negative operati ng leverage as demand moderates. So what is the risk that margins will remain struc turally lower than even the pre- COVID levels going ahead because demand tends to be more cycl ical while some of these supply costs tend to be more sticky?

Nilanjan Roy

There

are a couple of things. See one is that m any of these cost increases canno t be pas sed on the client on da y one . If I have to give a wage hike on all my existing base they will come up for renewal s that is the time when you have a wage discus sion. When you a re doing new deal, automatically we will build it and the industry in a way will build it into their wa ge

profile. So these things wil l automatically flow back , there i s no fre e lunch for anybody. So that is one thing which wi ll happe n over a period of time, but that i s more of a generic point I am making . But in terms of subcons , we have operated at 6% -6.5% of subcon; today we a re sitting at 11.3% , there i s no reason fo r us to be at these levels unless we know what the job market is. In the overall demand environment , when our recruiting picks up we can replace these subcons wi th our o wn headcount , put more freshers into projects and this is something we have been doing very well in t he past as well. So I think these lever s are well known for us, we know how utilization works , our pyramid works , so we are quite confide nt in the forward model of taking out cost from our overall structure.
Sudheer Guntupalli
Just one more question if I m ay. So when we say the pipeline is larger now , just curious if th e pipeline is getting bigger and bigger because some of the deci sion making is getting slower , is there any correlation you read i n between the two ?
Salil Parekh
The pipeline what we are seeing is there is appetite and you go by different industry for Digital transformation pr ograms , for large cloud programs, for programs which start to relate to cost and efficiency , that is what is in the pipeline . It is not a function of the timeline which the delay that you reference d which is causing an increase , it is where we see traction with

more and more client discussi ons a s of today that we see. Now we will see how that evolves , that is the outlook we have today.
Sudheer Guntupalli
Thanks Salil. Thanks Nilanjan . That i s it from my side. All the very best.
Moderator
Thank you. Our next question is from the line of Ankur Rudra from JP Morgan. Please go ahead.
Ankur Rudra
Thank you for taking my question. First question is what i s the level of conservatism or realism infused into both the revenue and the margin guide t his time , part of that is on the revenue gui de we have given the potential macro headwinds ahead of us and the ask rate from the second half of this year . Similarly , on margins we still have another round of wage hikes which can impact margins by maybe a s much as 100 basis points if I look at t he wage hike impact so far and a similar ratio between the first and the second rounds in the previous years and also keeping up travel and facility cos ts? Tha nk you.
Salil Parekh
Thanks for the question. This is Salil. Let me start off and then Nilanjan may have a few points to add. On the guidance for growth , as we ha ve shared in the past , the approach we take is we see how things are as we look at th e financial year today . What we saw is in Q1 we had extremely st rong revenue growth - 5.5% and we also had underlying volume growth which was very strong. When we see the outlook, where we have clarity looking ahead for some per iod of time and then a set of estimates that we have for the rest of the financial year and also looking at how typically H2 works versus H1 and then putting in some views on where the end of the year could be. Based on that , we felt comfortable to increase the revenue growth guidance , whether it is conservative or reali stic that is the appro ach we take to make sure that we then share what we think the revenue is going to look like from here.

On the margin I will start off and then Nilanjan will tal k a little bit about the wage component and what we have done. Overall on the margin , we have m

ade sure that we work to get all of
the levers in place. So the approach to driving cost efficie ncy is in place, several levers that Nilanjan ment ioned, one of the bigger on es we got the bulk impact , the vast majority of our compensation increa se already done in Q1. So yes there is a small component but it i s not really a huge component that will come up and then we see steadily other areas which will help us . There are areas where we can focus on how the subcontracting works , there are areas where we can focus on discussions with clients vis -à-vis wage increases and COLA, areas where we are doing wor k which is having significant impact for clients .
So we think t here are a set of tho se levers that can help us through the margin discussion that will be focused on in this financial year. Our approach is to make sure that we remain a high margin business and that i s the underlying thing that we are working wit h. Given where we are, given the inflation around the world, we thought it was clear to make sure that we communicated that in the way we see the markets . Nilanjan, anything else, if you want to add?
Nilanjan Roy
No. T hat is good.
Ankur Rudra
Just a quick follow -up if I may on margins . Nilanjan are there any one -offs in the margin this

time, asking another way what would be the pro- forma margins , if the provision reversal was not to happen and related to that can you s ay that 20 % in Q1 should be the bottom of margins going forward so that we can get back to 21% for the year realistically ?

Nilanjan Roy

Yes, so I think we have mentioned the margin walk at the beginning of the c all. So if we are at 20% and we are guidi ng at the bottom end of 21% , so ma thematics indicates that we have to improve going forward . So absolutely, from 20% we will have to see the improvement quarter -on-quarter .

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Ankur Rudra

Thank you and best of luck.

Moderator

Thank you. Our next question is from the line of Ravi Menon from M acquarie. Please go ahead .

Ravi Menon

Congrats on good set of numbers. Just wanted your thoughts on how broad base d in North America you will see such problems to sustain for a long time until you call out som e headwinds in BFSI , even that still have quite a bit of revenue. If you could give some color about how sustained the demand environment is there. A nd secondly on the pyramids , we have already seen a large intake of fresh ers last year so had hoped that so me of that would have come into production and he lped us offset the margin headw inds through this quarter but looks like given the utilization, as well it does not look like much of that has happened. So, if you could give some color on that ?

Salil Parekh

This is Salil. I did not catch the first part of the question. I think it was about demand but maybe you can just say the first question? Ravi Menon

It was around the demand. W e have seen broad -based revenue addition acros s verticals in North America and i f you are seeing the pipeline also along similar lines . So are there any specific verticals where you see some softness starting to come in ?

Salil Parekh

As we referenced, we see some pockets of softness w ithin our overall business . That is wh y we want ed to be very clear that that is something that is visible. C ouple of examples w e have shared on Financial Serv ices and Retail , there are areas where we see that weakness ;

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however, once we say that we also have a view and we see it in our pipeline the overall pipeline is stronger. So there are areas where we see some good traction as well and it is a mix of the growth and the cost opportunities within our pipeline . I think the second one was about the pyramid?

Nilanjan Roy

Yes we have hired a lot of freshers last year and many of them also have gone into training pipeline because as we had the previous year there was nothing really in the pipeline in term

s

of hiring. So in fact if you see our utilization there i s a 2% gap between the excluding trainees and incl uding trainee numbers on a year -on-year basis as well. We continue to deploy them into projec ts. Like I said, you cannot overnight stuff project s with freshers and that is why it is importan t to build a pipeline in advance and make them go through the trainings and then put them into production bench and then move them into projects as well. So that benefit will come in and we are seeing th at slowly coming in , but it is important to invest ahead. If you are planning just in time , you will be probably sub optimizing in terms of how fast you can deploy. So that is why we have made these investments because we know it will take time for these fres hers to be productive , hence it is important to make that investment ahead.

Ravi Menon Thanks gentlemen. One follow -up of this last quarter's contractual rev enue. S o did you recognize all of them this quarter or is there still something pending?

Nilanja n Roy

Yes, it was all recognized this quarter.

Ravi Menon

Thank you. Best of luck.

Moderator

Thank you. Our next question is from the line of Pankaj Kapoor fr om CLSA. Please go ahead .

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Pankaj Kapoor

Thanks for the oppor tunity. Salil c an you give some color o n the overall order book since th e reported TCV , what we give that covers only $50 mn plus deal and m ay not really be representative. So any quantitative or qualitative comment on the scale and how the overall order book has grown, that will be helpful ?

Salil Parekh
Thanks for the question. As you know , we share the large deal win number s. We do not publish the overall deal win s. Having said that , the main context I would put is the increase in the growth guidance that we have provided and that factors in all of the inputs that you may be looking for , which essentially comes from a very strong Q1 execution - 5.5% QoQ, 21.4% YoY growth and then a vie w that we have on what we see in the coming quart ers and an overall view of H1, H2 in our mix within the company - that is sort of broadly how we looked at it. On the large deals , we have shared this in the past. Typically , this is a number which is a little bit more volatile beca use we only report deals which are larger than $50 million in our large deals and so that i s really the way you can look at .
Pankaj Kapoor
My second question is on the profitability in the manufacturing vertical where the margins have been coming down and in f act the last three quarters probably they have halved despite a very strong revenue growth. I understand this could be because of a very large deal which is still ramping up there , can you give a sense of how the profitability cu rve in this vertical could shape over the next two, three quarters . What I am trying to understand is that has it bottomed out now or you think that this could potentially go down further ? Thank you.
Nilanjan Roy
Firstly , you have seen the revenue growth which has been quite spectacular in this segment . This has been led by large deals . As we talk about our approach , from day one a lot of client s woul d like to see savings , but we are very clear that over a period of time we hav e a lot of cost optimization lever s. On day one you cannot pivot the cost structure , whereas clients may ask for the savings , but we know there are enough leve rs over time that w e continue to deploy

on all these large deals . And if I go back to the last three years, four years in fact when the large deal strategy started , we ha ve actually seen an increase in margins over that period. S o, there is no historical correlation in saying whether the large deals are dilut ive, because we continue working on taking out costs from the system and that gets facto red into our entire process . We look at how we are going to optimize onsite offshore , many of

these projects
require dramatic auto mation , we can inject that th rough all our servi ces which we a re providing, we kn ow how the pyramid works . So these are the things which we know works over the life time of these large deals and that is something we know we can deploy. S o that i s something, without getting specifically into manufacturing , what we do well.
Pankaj Kapoor
Got it. Thank you and wish you all the best.
Moderator
Thank you. Our next question is from the line of Gau rav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria Good morning. Thank you for taking my question. So firstly is there any difference i n the client decision making behavior in U.S . versus European clients and th e reason is that I am asking is U.S. is seeing fair bit of broad- based growth across segments but when you look at Europe, there is a weakness specifically in retail and communicat ion vertical whereas the other two verticals , energ y, Hi-Tech has grown very, very well. So just tryin g to understand are there any client specific pockets especially in Europe where you kind of see decision making behavior has changed compared to the U.S. market ?
Salil Parekh
Thanks for that question. Today we are not seeing something which is more geography based as you a re describing. W e see something which is more globally industry- based and client based, as you know well is mainly U .S, Europe and Austr alia. So not so much color on which is more geogr aphy related .

Gaurav Rateria
Second question on margins , your margin outlook at the lower end - you explained very well the supply side and cost rel ated factors which has led to this , but is there also an el ement of expectation of pricing increase that has been tapered down , which has l ed to you to now take the margin outlook to the lower end and is it fair to say that with all the cost levers that you have in place the exit margin should be better tha n the l ower end of the guidance ? Thank you.
Nilanja n Roy
I think when we do our margins forecast with a combination of factors that we look at and that eq uation keeps on changing and it i s more dynamic . What happened in the previous quarter , what do we see as out look, what i s happening on subcon, wage inflation - so that mix continues to change and evolve . Sometimes we have to push harder on some pedals in terms of accelerating some programs . And then going back to the level where we are today at 20 % and we are saying we will be at the bottom end of 21%, I think that should give you a good sense of the margin trajectory for the rest of the year .

Gaurav Rateria
Thank you.
Moderator
Thank you. Our next question is from the line of Ritesh Rath od from Nippon India. Please go ahead.
Ritesh Ratho d
Just on this margin within a qua rter you have to lower your guidance on the margin side so this is des pite rupee depreciation benefit, despite attrition coming down in last two quarters. So what has surprised internally in you r expectations , so that you have to bring it down to the lower end?
Nilanjan Roy
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Yes, I think I just mentioned this is a very dynamic and moving forecast completely . What is the impact of attrition , how much wage hike s will come in , new hires - it is very dynamic , how the pricing plays out. So, this is a very fluid situation , but the 21% to 23% band we said , we are within that but of course at the bottom end of it . We are committed from where we are today at 20% to do all our various cost optimizations , facto ring the cost impacts of what we see in terms of wage inflation there could be potential benefits of the rupee etc. So it is a combination of all this into the forecast.
Ritesh Rath od
What would have been the bigge r surprise element ? would it be the wage or w ould it be the pricing benefit not coming through? Any one highlight compared to what you expected at the start of

the year ?
Nilanjan Roy
It is a combination of various things and I would not sa y surprise . Like I said , it is a fluid situation a nd we have to remain agile . That is more important rather than anything else.
Ritesh Ratho d
Coming to pockets of weakness which is pointed out in retail , mortgages , can you give some color are clients tak ing a pause in decision maki ng, are the new deals not gett ing converted or are the existing deals which have been moving, they are not getting ramped up? What is the exact sense on the business over there ?
Salil Parekh
There within the areas of that pocket s that w e described , there w e see a slowing . For example, if you look at the mortgage situation the volume there in the market meaning the client volume as a macro level has gone down in the Euro pean and U.S. market. So our work there is proportionally reduce d. The overall point whi ch I share d earlier , we see some s lowing in decision making but nonetheless the pipeline remains today in a good position and that allows us to increase the guidan ce.
Ritesh Ratho d
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Maybe last one on your deal wins on LTM basis , your deal wins are down sharp ly if you see last three, four quarters versus the previous four quarters and even if I adjust the base because of the high value deals, which you won in a couple of quarters , four, quarters back, you a re still down minimum by 15 %, how do you connect those two dots that your LTM deal wins are down but your deal pipeline is all time high . Are the deal conversion ratios dropping then what it was used to be?
Salil Parekh
There on the large deals we always see some volatility because these are deals whic h were larger , the ones we share in this number are larger than $50 mn in value . We do see the pipeline being larger than where it was and what we referenced in some areas slowing of it , that we do not see any change in the other parameters o f the p ipeline.
Ritesh Rat hod
Okay thank you wish you good luck .
Moderator
Thank you. Our next question is from the line of Manik Taneja from JM Financial. Please go ahead.
Manik Taneja
Thank you for the opportunity and sorry for harping on the margin question once again. I just wanted to understand how should we be thinking about the segmental or the improvement in segmental margins for manufacturing vertical given the sharp drop that we ha ve seen over the last three quarters and how does that heal in terms of th e overall margin outlook? Thank you.
Nilanjan Roy
Somebody else has asked a similar question and without going into any specifics , we have seen that growth coming out of a large deal in manufacturing and like you said as we look at the tenure of the se large deals in some cases they start off with lower than portfolio margins

because clients may ask for savin gs upfront but we have already started plan in terms of over
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quarter -on-quarters what do we need to do to bring back profitability because from day o ne clients come to us because they know we can opt imize the cost structure. So that is something which is generically what we have been doing and since we started the large deal strategy and we have seen margin improvements over tha t period. So I think we are quite confident of the future profile of these businesses.
Manik Taneja
Sure thank you.
Moderator
Thank you. Our next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead .
Apurva Prasad
Thanks for tak ing my question. Salil t his is on mega deals while the industry frequency tends to be low and it ha s been a while for Infosys it will be good to know your comments on mega deals from a pipeline perspective and secondly on pricing how i s the ability to get price increase versus last quarter do you see any changes to that? Salil P arekh
From the mega deals , I think again we do not share anything specific in terms of what we publish. The color fr

om our side is we have mega deals in our pipeline , if that will give you a context. On the pricing, we hav e seen pricing currently holding in our deal values for Q1 . My sense is we have seen examples that Nilanjan was sharing earlier where we are working , we have worked with clients to demonstrate to them the impact of compensation increases and that has translated to COLA or price benefits . We have had examples where we have had increases , which are related to the digital high value work that we are driving for clients . We now have to make sure we take that across a whole portfolio and see the benefit s coming into our business. T ypically the salary increase happens at a periodic time and these things where we
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have not seen a high inflation environment like this for over 40 years in the western ma rkets that takes a l onger time . That is what as Nilanjan shared is part of what we have put in plac e to support our margin as we go ahead.
Apurva Prasad
Thank you for that.
Moderator
Thank you. Ladies and gentl emen that was the last question. I no w hand the conference over to the managem ent for closing comments.
Salil Parekh
Thank you everyone . Thanks a gain for joining for this call. I just want to summarize with a few points ; first we have had industry leading growth in Q1 , 5.5% quarterly, 21.4% year-on-year. We clearly s ee a tremendous market share gain driven primarily by the strength of our digital and c loud - c obalt capability set that is resonating with our clients . We highlighted there are pockets of weakness and we are aware of the environment around us . We see in ou r pipeline both growth opportunities in digital c loud and cost opportunities in automation . With all of that, we increase the growth guidance for the full year. We are now seeing attrition comi ng down on a quarterly basis . We see many of the initiatives
we put in place starting to create some impact . We have levers for the margin , several that Nilanjan shared, large programs will transition to steady state, COLA because of increases in compensat ion costs to pricing , pyramid adjustments as we have college hires joining the production environment , subcontractor usage and then several others on the cost side . Given all of that we feel we are already well positioned to work with clients on their growth and cost opportunities and have a margin profile that is someth ing that sustains the high margin approa ch of the company . We are looking forward to this year with strength and optimism. Once again thank you all for joining us and catch up in the next quarter. Thank you. Moderator
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Thank you members of the management. L adies and gentlemen on behalf of Infosy s that concludes this conference call. Thank you for joining us . You may now disconnect your lines .

Call: Oct 2022

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October 17, 2022
Dear Sir/ Madam,

Sub: Transcripts of the press conference and earnings call conducted after the M eeting of Board of directors on October 13 , 2022
Please find enclosed the transcripts of the press conference and earnings call conducted after the Board meeting held on October 13, 2022, for your information and records.

This information will also be hosted on the Company's website, at https://www.infosys.com/investors/reports -filings/qua rterly -results/2022 -2023/q2.html

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2022-2023/q2.html

Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha
Company Secretary

"Infosys Limited
Q2 FY23 Media Conference Call "

October 13 , 2022

C O R P O R A T E P A R T I C I P A N T S:

Salil Parekh
Chief Executive Officer and Managing Director

Nilanjan Roy
Chief Financial Officer

Rishi Basu (Emcee)
Corporate Communications

JOURNALISTS

Ritu Singh
CNBC TV 18

Anisha Jain
ET Now
Sajeet Manghat
BQ Prime

Kushal Gupta
Zee Business

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Moneycontrol
Shilpa Phadnis
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Sai Ishwar
The Economic Times

Haripriya Sureban

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Debasis Mohapatra
Deccan Herald
Reshab Shaw
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3 Rishi Basu
A very good evening everyone and thank you for joining us physically this time at our second quarter results press conference. My name is Rishi and on behalf of Infosys, I would like to welcome all of you , our friends from media, and our leaders from Infosys. We are delighted to host you today. A couple of house rules before we start. We have a lot of friends from media present today, so I will reques t one question from each media house like I always do so that we can accommodate everyone over the next one hour. With that let me invite our Chief Execut ive Officer Mr. Salil Parekh for his opening remarks. Over t o you Salil .

Salil Parekh
Thanks , Rishi. Good afternoon and welcome . It is always good to have all of you here on the campus and I am sure you are also enjoying being back in person and being at our campus, so thank you for being here.
Our Q2 performance was strong with year -on-year grow th at 18.8% and sequential at 4% in

constant currency. Growth in Q2 was broad- based with all industries and geographies growing
in double digits in constant currency. This momentum is accompanied by a strong pipeline of
large deals and the highest large de al value in the last seven quarters at $2.7 bn, 54% of this is
net new.
These elements are a clear reflection of the deeply differentiated digital and cloud capabilities
we have developed, that are highly relevant to our client's strategic priorities.
Our digital revenues are now 61.8% of our overall revenue and they grew at 31.2% in the
quarter in constant currency terms. While digital continues to see strong growth rates, we are seeing in this quarter
acceleration in the growth trajectory of our core se rvices. This is due to
our industry leading- automation capabilities and reflects an interest among clients towards cost
optimization programs. We also see this in our large deal pipeline with strong focus on cost
reduction programs, in addition to the digi tal transformation programs in the pipeline.
While we generally do not share the specific amount of our cloud revenue, we are delighted to share that in Q2, our cloud
revenue was larger than $1 bn showing tremendous strength of our
cloud services, especially our industry- leading Cobalt capability. A strong growth was
accompanied by an operating margin expansion of 150 basis points, where we had an operating
margin in the quarter of 21.5%. This stems from cost efficiencies, optimization in large deals ,
and currency benefits.
4 Our attrition has been decreasing now for three quarters on a quarterly annualized basis,
including now in Q2 and we see this trend along a downward trajectory.
In keeping with our capital allocation policy, the board has announced a s hare buyback of
Rs.9,300 c rore and an interim dividend of approximately Rs .6,940 c rore.

With that, let me open it up for questions. Rishi , over to you.

Rishi Basu
Thank you, Salil. Joining Salil is Mr. Nilanjan Roy, Chief Financial Officer, Infosys. With that we will open up for questions. T
he first question is from Ritu Singh from CNBC TV18 .
Ritu Singh
Hi Salil. A quick question on your guidance that you have give n from 15% - 16% revenue, you
have tightened it further to about 14% - 16%. The upper end remains the same, but if you could
give a sense on what made you tighten the guidance ? And also, your share buyback, you have
the option to go all the way up to 18,000 as we understand then w hy capped at about Rs. 9,000
crore odd that you have done?

Salil Parekh
On the guidance, we have had an incredibl y large deals performance in thi

s quarter at $2.7 bn.
We have had strong momentum at 18.8% growth in the quarter. We continue to see good
traction. We also see that there is some caution. Last time we had mentioned that we saw some caution in mortgages in f
inancial services. We talked about retail. We now see some caution in
hi-tech and in telecom. Keeping all of those factors -- the positive factors and the global macro
factors, we have decided to make our guidance narrower at the higher end of the band tha t we
had - so it was 14% - 16% and now it is 15% - 16%. On the share buyback, let me request
Nilanjan to address that.

Nilanjan Roy
On the share buyback, of course , the board considers a lot of factors, but coming to your
specific point on the maximum . Since this is an open market offer , it is limited to 15% of the
share capital and reserves which is about Rs. 9,400 odd crore -- give or take. So, the board has
decided on a figure of Rs. 9300 crore .
5
Rishi Basu
Thank you. The next question is from Anisha Jain from ET Now and Anisha sent her question on text. What has supported
the margin performance? What are the levers to improve margins
hereon? Deal wins is strong at $2.7 bn. Going forward do you expect clients to cut spending of
this run rate of over $2 bn, will that continue? Will FY24 also see double -digit growth ?

Salil Parekh
Let me start with a couple of them. On the margin, Nilanjan will come back on. On the deal
wins , I think this is an incredible performance from the company, $2.7 bn is a very large
number. We have a very strong focus on large deals and 54% being net new that gives us a
really good platform for what we see in the future. Now large deals, we have alway s
maintained, these are volatile. In s ome quarters the numbers are high, and some are low. These
are not very predictable outcome s, but in general , if you look over a four -quarter period, we
have a fairly good large deal momentum. Our pipeline for large de als remains quite strong

today and it is in a good position. So we feel comfortable with where we are in the market. Just to add, the macro comments that I made in the earlier question , those obviously, still hold.

Nilanjan Roy

On the mar gins, we have improved from 20.0% - 21.5% sequentially , which is a 150 basis points improvement. We have got 70 basis points out of that because of currency benefits, all currency versus the dollar as you know depreciated as well , and of course , there was cross -cost currency impact so that gave us 70 BPS. We got 90 basis points from cost optimization and you are aware of the levers we deploy in terms of the pyramid, in terms of automation, in terms of onsite /offshore , pricing , so between that large deal optimization , and other cost s which we have been able to take out are partly offset by utilization , we got about 90 BPS from there. We have got about 40 BPS from reducing our subcon. Again, cost lever which we have been trying to attack gave us 40 BPS and this was offset by about 40 BPS from comp related because some of our comp hikes were rolled out on 1st July as we mentioned. So, all in all, we got 150 basis points improvement. If you see from the guidance perspective and as we had mentioned in the last earnings call, we had said we will be at the bottom end of our 21% - 23% guidance. We

6 are now looking at our first -half performance. We have for this year at least tightened it to 21% - 22% and we expect to be at the bottom end of that band.

Rishi Basu

Thank you. The next question also on text is from BQ Prime . Sajeet Manghat asks Sali l, can you elaborate on the demand environment in the US and Europe in the context of the geopolitical events in Europe and macroeconomic challenges seen in the US. What is the exposure to Europe , especially Germany , and how do you see the TCV pipeline ? For Nilanjan , a similar question on margins again, how do you see the trajectory for margins given weak traditi

onal H2 ? And what is the kind of leverage available with respect to bench utilization ?

Salil Parekh

On the demand environment , what we see is on the macro front , which we had indicated last time is that we started to see some concerns on the mortgage side, in financial services, and in the ret ail industry. W e are seeing this time some concerns in the hi-tech and in the telecom industry, in addition to those, these are more on the discretionary part of our pipeline. We are also at the same time seeing a strong large deals pipeline, which gives us some confidence. We have pivoted and I think the market itself is also pivoting, the clients where there is more and more interest in automation and cost efficiency , and we see that coming through within our pipeline. We have seen growth - both in digital over 30% and in the core which shows that both of our engines are working quite well. In terms of the US and Europe , in Q2 we had very strong growth in Europe near 30%, and strong growth in the US over 15%. We continue to see the pipeline between both of those geographies today, but also keep in mind that we are being watchful given the macro environment developing.

Nilanjan Roy

7 On the margins as we look at the second half, we have ended the first half with about 20.7% . And like we have gui ded, at the bottom end of 21% to 22% , so, of course , margins for the second half will have to go up. W e have our levers in terms of our utilization , which is one of the factor s mentioned because we are really at the bottom end of utilization as we put a lot of freshers into the system , now t hey are sitting on the bench, but over a period of time they will start getting deployed so this will become a tailwin d. As attrition starts coming down, this will be a benefit in terms of stretch salaries so that is one of the other things which started helping us. So, in this range of 21 to 22, we are quite comfortable for the full year as well.

Rishi Basu

Thank you. The next question is from Zee Business from Kushal Gupta. Kushal 's question for Salil – Europe's growth has been great with 28.5% constant currency growth. Is there actually no issue with client IT budgets for the next year amidst the fears of r ecession? For Nilanjan , operationally the performance has been great, what were the key factors behind this and the outlook ahead?

Salil Parekh

We have had very good traction in Europe for the last several quarters and that has shown again in this quarter 's growth number. We continue to see that the pipeline of large deals is strong, but we are also cautious and watching the macro development. Today our pipeline looks good and our guidance for the full year, therefore, is at 15 % - 16%.

Nilanjan Roy

On the operations, as we have mentioned , we have a good margin story but I think even beyond that our ability to absorb freshers and making sure that they are trained, they are picking up new skills, putting them into projects , and then over a period of time start rotating them.

Because this talent pipeline for us we knew , in the long run, i s the only way this industry would
grow other than rotational churn. Therefore, in fact , in the first half we have already done, I
8 think close to 40,000 fre shers across the company in all streams. So , we are quite hopeful in
terms of absorbing the fresher s, putting them through their paces , and then start putting them
into large deals and other deals as well and that has been a big learning for us during this entire
process.

Rishi Basu
Thank you. The next question is from Chandra from Money Control .

Chandra
I just want to ask you about the net employee addition number. I mean it is usually a good lead
indicator of growth and that has come in at 10,000 I think which is what compared to 21,000
in the previous quarter. So, what does it say about the growth going ahead, I mean because on
the one hand you sound confid

ent , but is this also a sign of caution? W hat are you hearing from
clients in conversation because other companies are saying at least in Europe , the discussion is
only about how they are going to manage the winter so if you can give us a sense on what you are hearing from North
America as well as Europe? For Nilanjan , a question on the margin
guidance, you know you have kind of tightened at the upper end at a time when supply side
challenges are coming down, again how should we read this ? Are there growth constraint s,
pricing constraints and if you can also tell us about why you are opting for a market buyback for the second time because
even the l ast time many shareholders felt it was a negative move
because it really does not benefit them so why are you opting for a market buyback? A nd one
question for HR head on moonlighting. Infosys sent out a missive to its employees on how they
should not two time, but if you can give us your views on moonlighting, thanks.
Salil Parekh
On the first question, I think 10,000 is a very strong net addition for us on top of the 20,000
that we had in the last quarter . Having said that , what we see with clients in the industries that
I was referring to before, for example mortgages in financial services, retail , or parts of hi -tech
9 or telecom , we see more caution in the way that the buyers, the clients are looking at services.
We also see some impact on discretionary spending there. At the same time our pipeline is
extremely large, we had a very strong large deals number for this quarter. The way we are
looking at it is we are making sure that we support our clients as they are looking for their
growth/ transformation programs and now more and more for their cost efficiency where we
are deploying our automation services and our pipeline has shown that there are more and more
of those types of activities as well. Our view is we are ready in t his macro environment for all
types of client work - whether it focuses on digital and growth, whether it focuses on cost, and
yet we want to be careful that we are cognizant of what is going on with the macro environment
and make sure that we go into thi s watchfully so that is how we are seeing this progression
happen at this stage.
Nilanjan Roy
On the buyback, I think firstly we have a very predictable capital allocation policy which we
believe is really best in class. It is a five -year policy. From FY20 to FY24 we said we will
return 85% of our free cash flows so it is a very predictable policy. It has got a dividend element
on it and it has got a buyback and an option also to do special dividend and therefore we also
look at over this period how will our cash flows change and therefore how do we give back
money in terms of both dividends and buybacks or special dividend and therefore we also want
to see how much cash will be on the balance sheet . So, it is not about finishing our cash on day
one, so we pace all this out . And of course , one of the ways you can do it - is through a tender
offer or through an open market offer. For t he last two we have done open market offers and
the board feels looking at our listings in the US, our regulatory concerns, and EPS accretion
that it could be better to go for an open market offer so they look at other considerations as well
and we decide d to go for an open market. On the margin guidance , I just mentioned we are
20.7% at H1 , and like we said , we are going to be at 21% to 22% , at the bottom of 21% so
mathematically we will have to be probably closer to 21.4 % or something to even hit 21% so
we are looking at margin levers going ahead. As we talked about , there will be some abatement
from the attrition side , there will be on the same side headwinds because of furlough because
it is a seasonally weak quarter as you mentioned, so we will have some headwinds coming
from furlough and lower working days and which some of these we wi

ll try to of fset through
10 our cost optimization, etc., and therefore like we said that 21% to 24% is a narrow band which
we will be comfortable with for this year.
Salil Parekh
On moonlighting, let me address it. One of the things that our company is always focused on

is making sure that we have real attention to learning opportunities and general opportunities for all of our employees and we have always encouraged our employees to have that sort of mindset within the company. In fact , within the company, we have set up - over the last several years not now, not last week over the last several years a platform which we call ‘ Accelerate’ where employees can look at what we call internally - gig work, different projects outside of their main work . On the average quarter , over 4000 people apply for this. About 600 are selected so it is something that is active within the company. Now for gig opportunities in the external environment, we support the aspirations of our employees to learn beyond their work. We will support th em to work on certain gig projects after the prior approval of the ir managers. We are also developing more comprehensive policies for that while ensuring contractual and confidentiality commitments are fully respected. However , to be clear we do not support dual employment.

Chandra

(Inaudible question)

Salil Parekh

I do not have the information on the processes. If we have found in the past that the employees who are doing blatant work in two specific companies , whether it is confidentiality issues , we have let go of them in the last 12 months.

Rishi Basu

The next question is from Shilpa Phadnis from The Times of India. Shilpa Phadnis

11 Infosys believes in converting an adversity into an opportunity, what are two or three things you would do differently in a probability of uncertain events especially when the client's decision -making velocity has slowed down? My second question is that barring BPM very few subsidiaries are firing up, you and Mr . Roy did an internal review two months back on different subsidiaries so are you taking a hard look at some of them , and are you folding some of them ?

Salil Parekh

Sorry Shilpa can you just repeat the first one please ?

Shilpa Phadnis

Infosys believes in converti ng an adversity into opportunity. What are the two or three things that you will do differently when uncertain events are panning out , especially in terms of macroeconomic indicators and client decision -making veloci ty slowing down? My third question is Infosys long back started collapsing layers internally. Recently , we have seen some of the seniors put on sabbatical and some of them ar e let go due to account -related challenges . How do you plan to motivate this back especially when we hear that variable payout of JL7 and above have still not been rolled out?

Salil Parekh

I will start with the first one. I think it was a question about how we convert in this environment different situations to what Infosys can do best. I think that is a very critical point. What we are seeing in this environment is the capabilities that Infosys has. We have a very strong set of capabilities on digital and cloud and we are seeing good traction and growth on those. We also have very good capabilities on automation, leveraging artificial intelligence and machine learning and efficiency and we are seeing very good traction on the cost programs where clients are looking at efficiency . So what our approach is we want to make sure that both of those pillars and both of those engines are available to clients depending on what situation they are in. And as the macro develop because the macro will change, there could be positive stimulants , there could be negative stimulants so that are things we do not know , but we have both of these engines which are working well and we believe that that will support us as we look at it in a careful way as

we go through the next period of time. The second one was about subsidiaries. Nilanjan, do you want to take that one ?

12 Nilanjan Roy

We review subsidiaries every quarter. It is not as if it is an annual exercise. In fact , three of our best subsidies : Ben is here. Andrew is here. Radha is here. We continue to push them for performance. There is no question about it , the way we get pushed and so, that is part of the game, but I think they are all doing very well. There are a lot of synergy benefits. Ben looks across the entire DX world . WONGDOODY is now across Europe and India, and i t is now in the USA and across the DX and it is a very large platform for us to take to our clients for experience so I think we have no concerns.

Salil Parekh

On the layer , I am not aware of people on sabbatical . We have internal tracking , for example , connecting with our employees and we track what we call our engagement scores . We have seen a steady and good increase in our engagement scores acro ss our company. We are seeing real connect where people are seeing , there is a new set of policies and initiatives that our HR team has rolled out for leadership development, for skilling, for making sure that there is much more awareness and support in the time during COVID , both from a medical perspective and also from a mental health perspective, so we are seeing a lot of traction. I do not see any of those levers being something which is a concern. There is always something that is being watched and in fact , we are now seeing the last three quarter 's attrition coming down quite significantly each quarter. In Q2, it was down by over another two points than the previous quarter , so we think some of the initiatives that were put in place are starting to hav e an impact and we will continue to drive those initiatives ahead.

Rishi Basu

Thank you. The next question is from Sai Ishwar from The Economic Times.

Sai Ishwar

Sir, you had said that you are seeing caution in mortgages, financial services, retail and that is catching on to hi -tech and telecom as well , right? So, can you actually tell us whether these are discretionary spends that are getting affected , or do you see the total tech spends itself being held back by clients ? And also , one more question to Nilanjan Sir is , we are also hearing news
13 about the onboarding delay of freshers , but on the other hand you have already reached the 40,000 target s in terms of fresher hiring , so, how should we read into this ? Because we are hearing r eports seeing people who got offers in 2021 are not on- boarded yet . So, did Infos ys probably overestimate demand?

Salil Parekh

On the first one , what we are seeing in those specific industries , that I mentioned whether it is mortgages or hi -tech or the others , is an impact on the discretionary spend right now. What we are also seeing is the stepping back from all of that , many large companies are also looking at being more cost -efficient , So, we see that given that we have a strength in digital, we have strength in transformation, we have strength in discretionary , and we have strength in automation , and cost efficiency , we are able to support clients on both of those engine s. But we do see those areas where we see some caution in more of the discretionary side.

Nilanjan Roy

On the fresher side , like I said , we have already done 40,000. When we started, we told you 50,000, so, I do not think there has been any delay, particularly. A lot of people are going to Mysuru. In fact , in physical it is a good thing that w e have opened up the campus and it is a big attraction for our talent to go through the physical training of Mysuru and then go to the DC . We are tracking , as per our plan , in fact , like we said , our 10,000 net add probably is the highest in the industry. It will go up maybe. We have not given out a number as yet, but of course the 50K will go up.

R

ishi Basu

Thank you. T he next question is from Haripriya Sureban from The Hindu BusinessLine

Haripriya Sureban

So, what percentage of your workforce is back to the offices? What is your play there? Do you intend to call your employees back to offices ? And the second question on attrition, you have sort of tried to get it down, so what is helping you? How have you achi eved it ? And do you see moderation going forward? Thank you.

14 Salil Parekh

On the return to work, we are looking at this every week. Last week , across India , we had about 45,000 employees in the office at any given time , not all five days , but at different times and that is a huge number , given where everyone was in this industry a few months ago. And what we are finding is the approach we have taken so far , we have been extremely supportive of our employees. We have been extremely supportive of a flexible approach, and it has been well received and it is working. We are seeing that this is now gradually increasing. A couple of weeks ago , I was in our Pune DC. In fact , Radha and I were both there. We could see a lot of engagement with employees as we connected with several of them. My sense is that over time, we will make all the support necessary so more and more employees can come back. There are, of course , several client situations which require specific action , so, those will be followed as the clients are requiring it, but where we are able to provide some flexibility, we will continue to provide flexibility.

On the attrition , there were several initiati ves that Krish and our HR team rolled out , maybe 12/18 months ago, and I think we had shared some of those. There is one of them , for example , where there is a very well -defined path in terms of career in the first several years of an employee and the step s are clearly defined and well understood. That is a big positive for employees so there are no surprises anymore for them. There is a lot of emphasis on leadership development and skilling. There are programs with large global universities which the compa ny runs , which give employees the ability to self -improve, and then we have our online platform , which allows employees to do it . So, there are several of those initiatives as a combination of that and it is worth it. The trend in the last three quarters i s good, and my sense is, these initiatives will continue to give us benefit.

Rishi Basu

Thank you. The next question is from line Reuters News , Sethuraman .

Sethuraman

Good evening, Sir. I just wanted to know , was there any standout deal or closure this quarter? Would you be able to help me with your benchmark for the large deal? Just wanted to know whether there were multiple sized chunk of deals ? And also wanted to know about where there 15 any smaller deals because you do not normally give out details on the smaller ones? Also, last minute buy back announcement and the open market buying looks like a bit of a pressure from the market , in terms of, I just wanted to know , was there any pressure? B ecause normally , you consider buyback when you come out with earnings announcement , so this was the last moment, so, was there any delay or any consideration about that ? And lastly , is there any reorganization going on in the company with Mr . Ravi Kumar's exit ? Will the ba ckfill happen for the president role? Are you looking at anything? Thank you.

Salil Parekh

I will start with the first one. I think on large deals. We had 27 large deal s. So, for us , large deals are deals which are more than $50 million in value , and so it is a very significant size of a deal. We do not give out any specific deal information. To give you a sense , there are 27. That number can then give you a sense , given the overall value of the large deals. On the buybacks, let me start and Nilanjan might want to add. We ha ve a very well-defined capital allocation policy. We have f

ollowed all of the reviews internally and externally on that. We feel no unusual activity, whatever sort of phr ase you use , it was a well -informed decision by the board, and we think it is going to be a huge positive because we have a capital return approach through this policy and Nilanjan can add a little bit on that in a second. On Ravi, first : Ravi is a good friend. I wish him all the best in his new endeavors. Infosys has incredible leadership talent in my mind . So over time we will make sure that all of the activities are in the best interest of the clients, the employees , and the company.

Nilanjan Roy

Our capital allocation is very predictable. We said 85%. In fact , last year we had given 73% . So, I think if we have to catch up to 85% , buyback was the most natural way to do it . So, I do not think there is any pressure and that is the beauty of our policy. It is so predictable.

Rishi Basu

Thank you. The next question is from Binu Paul from Business Today.

Binu Paul

16 On the hiring of the freshers so there is a large number of people that you have hired and? I just wanted to ask what kind of impact when these freshers get on to newer projects will it have on your cost optimization and margins?

Salil Parekh

Regarding the hiring of college graduates , I think last year we did something in the range of 80,000 college graduates who joined us. One of the things that we are extremely good at and known for is our training program and especially now that everyone is back in person at Mysuru training centre and in addition to what we have now which is online. We have also set up training for some of the modules within our different DCs , i.e., our delivery centers . We find that these individuals coming out of the Infosys training are extremely ready to start to be productive and they help us tremendously. Last year we had 20% growth, with Q1 having 21%. This quarter has 18% growth, so that needs tremendous input that we see from new employees joining us.

Rishi Basu

Thank you. The next few questions are on text. We have a question from Shivani Shinde from Business Standard - Attrition is still in the 20% range . By when do you see this coming down to sub-20%?

Salil Parekh

On attrition , my sense is that it has come down three quarters in a row for us. Each quarter is a sizeable, large step. All of the initiatives that have been put in place by the company and by the HR leadership are starting to yield some benefits. Over time my sense is that we will continue to see more benefits with attrition.

Rishi Basu

Thank you. The next question is from T he New Indian Express. Any plans to make work from office mandatory as your peers are calling employees back to office? Or any plans to continue the present work- from -home model? Also , are there any plans to increase l ocal hiring in the American and European markets ?

17 Salil Parekh

I think what we have seen is that over the last several quarters all through COVID , our work - from -home approach has been extremely effective for our clients and for our employees. We have already seen a lot of our employees coming back. We have put in place in the past a very flexible approach where employees really had a tremendous amount of choice . And we see this traction of the employees coming back increasing week -on-week on its own . We want to make sure that we build things in the future which keep this element of flexibility and make sure that we address client -specific needs , but we want to make sure that it is something that our

employees are comfortable with.
Rishi Basu
Thankyou. The next question is from Financial Express. What is the revenue model for Infosys from 5G ? Are you in talks with clients to leverage the opportunity? There is also another question on moonlighting which we have already answered.
Salil Parekh
On 5G , it is really a step change in the world as it is in India. At Infosys, we ha

ve developed
huge sets of capabilities for 5G, with client solutions first for the telco industry and also for use cases which are for other industries leveraging 5G . For example , retail , financial services, logistics , warehousing, there is a host of these use cases being developed. We see a huge amount of traction in this business as we look forward and so it is one of the growth drivers that we will continue to see in the future.

Rishi Basu
Thank you. The next question is from CNBC Awaaz. Are you sensing any hesitation from clients on expanding budgets? What is the sentiment of clients in Europe ? You mentioned some pressure in the BFSI sector, is it likely to worsen ?
Salil Parekh
18 On the client environment , the information that we read comes down to us in different format s. One is that we have two big drivers or engines on digital which is growing in Q2 for us and core services which is also growing. Both are supported by ver y strong capabilities whether it is Cobalt or automation. We also see that there are specific areas in the macro environments where we are more cautious - mortgages in financial services , retail , and some parts of hi- tech or telecom . But at the same time , our large deals pipeline is doing quite well, and we see good traction in this quarter in large deals which was at $2.7 bn. S o all of those are different aspects of what we see in the environment.

Rishi Basu
Thank you. The next question is from Deccan Herald. How is the overall pricing environment ? Are you looking at passing some of the costs to clients where cross currency movement has an adverse impact ? Will the current pricing power sustain in the second half of FY2023?
Nilanjan Roy
We have seen inflation across the world and the pandemic in some sort of way across geographies. It is both across consumer prices and wage inflation . And of course , we are going back to many of our clients, one being as part of the clauses which we have like COLA. Sometimes we are going back as part of our digital pricing and trying to demonstrate the value we are able to bring . For instance, in the cost takeout program and how that can be taken back in terms of pricing or productivity with us. So, these are multiple conversations across each client because clients are unique. They speak on tracks, t here are T&M contracts, mid -cycle contracts, and new contracts . But the good news is that we have seen a reduction in discount s which is very visible . The kind of discount we would have on renewal s, etc. earlier has definitely come down. On the other hand, we are trying to position oursel ves to increas e our prices on the digital rate card , at the same time demonstrating the value this talent can give . So, the answer is yes , but this is a very long haul , and it will take time. It is not something which we can flip the book on every quarter , but this is something which we are seeing some traction in.

19 Rishi Basu
The next question is from The Informist. How do you see the Q3 performance giv en the macroeconom ic situation? You have answered this in case you want to add more.
Salil Parekh
I think on Q3, we do not give quarterly guidance , we give annual guidance . We have taken our growth guidance which has gone from 14% - 16% to 15% - 16% , which is at the higher end of the growth guidance. We expect it to be in the 15% -16% bracket for the full year.

Rishi Basu
The last question for this evening is from Mint. On the India market , given that there has been a steady growth of enterprise spends for digital transformation in India , how does Infosys expect the domestic market to contribute in the coming quarters?
Salil Parekh
We are extremely bullish on where the Indian digital transformation agenda is. We have done projects which are really mission -critical. We can see, for example, on the GST program , there is a tremendous realization and increase in the coll

ection that the government is seeing through
the digital implementation of a completely new platform. We have seen similar things this year with the IT platform. S o, we are well positioned to do scale d digital transformation program s and we look forward to working with government organizations and private companies in that area as appropriate.

Rishi Basu
Thank you. With that , we come to an end of this Q&A session. We thank our friends from media for being part of this press conference. Thank you to our leaders from Infosys for being part of this press conference. Thank you, Salil, thank you, Nilanjan. Before we conclude , please note that the archived webcast of this press conference will be available on the Infosys website and on our YouT ube channel later today.
20 Thank you and please join us for some high tea outside .
1

"Infosys Limited
Q2 FY2023 Earnings Conference Call "

October 13, 202 2

C O R P O R AT E PA R T I C I PA N T S :

Salil Parekh
Chief Executive Officer & Managing Director

Nilanjan Roy
Chief Financial Officer

Sandeep Mahindroo
Financial Controller & Head Investor Re lations

A N A LY S T S

Ankur Rudra
JP Morgan

Moshe Katri
Wedbush Securities

Ashwin Mehta
Ambit Capital

Jamie Fri edman
Susquehanna

Zack Ajzenman
Cowen

Keith Bachman
BMO

Aniket Pande
ICICI Securities

Kumar Rakesh
BNP Paribas
2
Dipesh Mehta
Emkay Global

Nitin Padmanabhan
Investec

Sandeep Shah
Equirus Securities

Manik Taneja
JM Financial

Ravi Menon
Macquarie

3 Moderator
Ladies and gentlemen good day and welcome to the Infosys Limited's Earnings Conference Call. As a reminder all participant lines will be i n the listen -only mode. T here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone telephone. Pleas e note that this conference is being recorded. I now hand the conference over to Mr . Sandeep Mahindroo. Thank you and over to you Sir!
Sandeep Mahindroo
Thanks Inba. H ello everyone and welcome to Infosys Earnings Call to discuss Q 2 FY23 financial results. This is Sandeep from the Investor Relations team in B angalore . Joining us today on this call is CEO and MD, Mr. Salil Parekh ; CFO, Mr. Nilanjan Roy and other members of the senior management team. We will start the call with some remarks on the performa nce of the company by Salil and Nilanjan, subsequent to which we will open up the call for questions.
Kindly note that anything that we say that refer s to our outlook for the future is a forward - looking statement, which must be read in conjunction with the risks that the company faces. A full statement and explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov .
I would now like to pass on the call to Salil.
Salil Parekh
Thanks Sandee p. Good afternoon, good evening , and good morning to everyone joining the call and thank you for joining our call.
Our Q2 p erformance was strong with year -on-year growth at 18.8% and sequential growth at 4.0% in constant currency. Growth in Q2 was b road based with all industries and geographies growing in double -digits in constant currency.
4 Growth in constant currency in the first half of FY2023 was 20.1% , compared to the first half of FY22. This momentum is accompanied by a strong pipeline of large deals and the highest large deal value in the last seven quarters of $2.7 bn, 54% of this was net new . These element s are a clear reflection of the deeply differentiated digital and cloud capabilities we have developed that are highly relevant to our clie nt's st rategic priorities.
Our digital revenues are at 61.8% of our overall revenue and grew 31.2% in the quarter in constant currency terms. While digi

tal continues to see some strong growth rates , we are
seeing acceleration in growth trajectory of our c ore servi ces this quarter . This is due to our industry leading automation capabilities and reflect s an interest among clients towards cost optimization programme s. We also see this in our large deal pipeline with strong focus on cost reduction programme s.
While we do not generally share the specific amount of our cloud revenue, we are delighted to share that in Q2 our cloud revenue was larger than $1 bn showing tremendous strength of our cloud services , especially our industry leading Cobalt capabilitie s.
Several exa mples of client transformation demonstrate the value we deliver –
- A European telecommunication company is closely engaging with us to accelerate their business growth an d prepare for a digital future.
- An aviation giant is working with us to digitally advance the engineering of the product development and emerging air craft programmes.
- A fast-growing logistic s company is working with us to secure the cloud environment and build greater resilience into the ir operations.
These examples and seve ral other s showcase our commitment to deliver value for our clients and the trust and confidence in our expanding digital capabilities.
Strong growth this quarter was accompanied by operating margin expansion of 150 basis points. The ope rating margin for the quarter was 21.5% . This was because of cost efficiency, optimization in large deals and currency benefit s. Nilanjan will provide more colour on this. Our H1 operating margins are 20.7%.
5 Our attrition has now been decreasing for the past three quarters i ncluding this Q2 on a quarterly annualized basis.
While the overall demand environment continued to b e healthy as reflected in broad -based growth and robust large deal pipeline, we also see signs of cautious behavior by clients due t o macro concern s. Apar t from slowness in the mortgage segment of financial services and the retail industry segment we talk ed about last quarter , we see emerging concerns in hi gh-tech and telecom industry s egments in the form of reduced sp end especially t owards discretionary

programmes. We are well positioned to help our clients with their digital agenda and the ir cost agenda. Growth in our digital and core services demonstrate that. As the macro environment evolves , both of these compo nents of our business will help us to b e appropriately positioned with our clients.
We have initiated a pivot to focused cost programme s within our large deal pipeline. Our operating model and offering s are agile to deliver value for clients in this evolv ing macro environment.
In keeping with capital allocation policy , the Board has announced a share buyback of `9,300 Crores o r $1.13 bn and an interim dividend of approximately `6,940 Crores o r $850 mn.
Our H1 performance of 20 .1% growth in constant currency and robust large deal signings in Q2 give us the confidence to change our revenue growth guidance , which was at 14% to 16% earlier to 15 % to 16% , even as we are seeing emerging concerns that we talked about earlier.
Our ability to grow at strong rate and take market share gain is a clear vali dation of the relevance, depth and breadth of our service offering s and deep client relationships. We change our operating margin guidance for FY2023 , only for this year to 21% to 22%, which was earlier 21% t o 23%. We anticipate , we will be at the lower end o f this range.
With that let me request Nilanjan to share other updates.

Nilanjan Roy
Thanks Salil . Good evening everyone and thank you for joining th is call.
6 Q2 revenues grew by 18.8% year -on-year and 4 % sequentially in constant currency term s.
All busi ness segment s and geos grew in double digit year-on-year in constant currency .
Specifically , North America grew by 15.6%, Europe by 28.5%, Manufacturing by 45%, EURS by 24.

3%, Communication by 18.4%, and Retail by 15.4%.
Digital revenue s constitute 61.8% of total revenue s and grew by 31.2% year -on-year in constant currency. Revenue growth was 20.1% in constant currency terms in H1 2023 over H1 2022.
Client me trics remained strong with year -on-year increas es in clie nt count across revenue buckets. N umber o f $50 mn clients increased by 15 to 77 , while number of $100 mn client s increased by 4 to 39. Number of $300 mn clients increased to 5 from 2 in the Q2 last year reflecting our strong ability to mine top clients by providing the m multiple services .
Employ ee count increased by a pproximately 10 ,000 to 345 ,000. Utilization excluding trainees was 83.6%. Onsite effort mix remained flattish at 24.4%. Quarterly annualized voluntary attrition ca me down further by another 2.5% during the quarter. This is also starting to reflect in reductio n in our LTM attrition numbers which reduced to 27.1% compared to 28.4% in Q1. We expect attrition to reduce further in the coming quarters.
Q2 operating marg in stood at 21.5%, an increase of 150 basis points Q oQ. The major compo nents of Q oQ margin m ovement s were as follows :
- The margin tailwinds of 70 basis points comprising of rupee depreciation partially offset by cross -currency,
- 90 basis points from cost optimization including large deal optimization , RPP incre ase, etc., partially offset by lower utilization,
- 40 basis points from reduction in subcons spends,
- These were partly offset by headwin ds of approximately 40 basis points from compensation related increases and impact.
Q2 EPS grew by 11.5% in rupee terms on a year -on-year basis.
Our balance sheet continues to remain strong and debt free. Consolidated cash and investment s were $4.8 b n at the end of the quarter. Free cash flow for the quarter was $589 7 mn implying conversion of 79% of net profit s. Free cash flow genera tion is typically low in Q2 d ue to higher tax payout in both India and t he US. ROE increased by 1% year -on-year to 30.8% .
Yield on cash balances increased to 5.8% in Q2 . DSO increased by 2 days sequentially to 65 reflecting higher billing done during the quarter.
Coming to segmental performance,
We signed 27 large deals in Q2 with a TCV of $2.74 bn with 54% net new . 5 large deals in Financial Services, 4 each in Retail, Communication, Energy Utility Resources and Services and Hi-Tech segments, 3 in Manufacturing, 2 in Life Sciences and 1 in Others verticals.
Region wise 18 in America, 6 in Europe, 1 in India and 2 in the Rest of the World.
Growth in Financial Services seg ment continues to be strong backed by large deal win s, account expansion and new accou nt opening. We continue to se e acceleration in cloud adop tion in the FS sector and are working with many of our clients in cloud migration, cl oud management, and other c loud-related platform deals.
In Retail we are s eeing focus on digital consumer eng agemen ts, supply chain transfor mation initiative s; cost op timization , legacy modern ization and new in -store capabilities. There are , however , some pockets of slowdown in dif ferent cycles especially for fashion /apparel retail

and general merchandisers. We have a healthy mix of outsourcing and digital deals.
In Communication segment we are seeing healthy ord er pipeline and deal conversion, but we expect cost pressure s from cli ent side with impact on budgets especially for traditional services due to macroeconom ic concern s.
Energy , Utility , Resources and Services segment reported robust and steady growth backed by strong large dea l wins . The cost take out in itiative s continue to take momentum in the vertical .
Manufacturing segment growth continues to remain strong and broad based along w ith steady flow of new deals. We see continue d tech spends by customer s driven by the need to increase
8 security postu re, migration to cloud, increase

the productivity by transforming to smart
factory, transitioning to smart products and other broader digi tal transformation initiatives.
In sm aller verticals like Hi-Tech as well we are seeing some increasing cautio usnes s amongst clients around discretionary spend and consequently , there have been some delays in deal closure.
For digi tal services capabilit ies, in Q2 we have been ranked as leader i n 19 ratings in the areas of public cloud, tax, design experience, automatio n, and data and analytics.
We remain committed to maximizing our total shareholder returns and in line with the cap ital allocation policy o f returning 85% of free cash over the per iod, the Board has recommended the following :
- an interim dividend of `16.50 per share for FY2023 versus `15 per share for FY22;
this is a 10% increase in dividend per share.
- Buyback of equi ty shares of up to `9300 Crores through open market route pos t
approval of shareholders at a maximum buyback price of `1,850.
We believe our progressive capital allocation policy continues to provide predictability to our shareholders.
Although there is a gradual abatement of talent cost pressures , they continue to ex ert pressures on the cost structures and hence will need to be countered by our various cost optimization measures including rationalization of subcons, flattening of the pyramid, increasing automation, reducing onsite mix and engag e with clients to in crease pricing.
While H1 growth was strong we expec t H2 growth to be impacted due to seasonality comprising of furloughs and lower working days. The revenue guidance for the year is changed to 1 5% to 16%.
As we men tioned in the last quarter earnings call F Y2023 , operating margins would be at the bottom end of the guidance band. We are now narrowing the guidance ra nge to 21% to 22% for FY2023 and we expect to be at the lower end of the range.
With that we can open the call for questions.
9 Moderator
Thank you ve ry much. Ladies and gentlemen we will now b egin the question and answer session . We will take our first question from the line of Ankur Rudra from JP Morgan . Please go ahead.
Ankur Rudra
Thank you and good evening . The first question is for Salil, you mentioned the macroeconomic conditions , in that context could you elaborate how realistic or conservative your guidance is for the second half and also what has been the nature of the client conversations in the last month or so and have you seen any impact on the pipeline refill rate in this p eriod?
Salil Parekh
Thanks Ankur. On the guidance , I think what we saw was very strong large deals in Q2 . We had great growth in Q1 and Q2, w e continue to see ove rall pipeline f or large deals is quite strong , in fact , it is larger than it was in the last couple of quarters. We also see the macro points that I shared earlier , specifically mortgages in financial services, some aspects of retail or hi -tech or t elecom . So, keeping all that in mind we came with a view on the guidance which was 14% to 16% earlier and now moving it to 15% to 16% which is the higher end of that band.
The conversations with the clients we have seen for this quarter , our digital busin ess has grown over 30% a nd our core services have also grown. We see in our pipeline a good focus on cost programs and on the growth program s. And, there are clients in different sectors a t different intensity looking at both of those , so the conversation depends more on the context that the client is in. We feel that given these two engines that we have we are somewhat well prepared for the evolving macro environment.
Ankur Rudra
Thank you . Nilanjan clearly great to see the margins back in the band and the extent of margin recover y in the quarter . Could you elabor ate if there were any special interventions
10 that were taken that drove this change in the quarter or perhaps with respect to wage incr

eases
or somethi ng else and if there is any one -offs within th is? Thanks .

Nilanjan Roy

Ankur as we explained , I think our cost opt imization engine continues to chug along well. I think working on the pyramid, working on subcon s - this was something which was very apparent , you would have also seen the numbers QoQ . So I think it has been an overall continued fo cus across and we have seen that benefit helping us . But for the year , as we know we are still at 20.7 % and we have a guidance of 21 % to 22 % and we said we will be at the bottom end of that range , so we still have ways to go . Of course , this is going to continue - the conv ersations on pricing, etc. with clients , like I mentioned in the earlier press conference that our discounts definitely have come down . We continue to push our sales force on how to go and approac h clients on this . So, this is a long haul on pricing but at least the discussions have started around this.

Ankur Rudra

Just one clarification in your margin breakup that you have highlighted before - the impact of compensation in creases seemed a bit light , is there any change in the compensation trajectory over the next two or three quarters or if you do not mind may be elaborating that part a bit more?

Nilanjan Roy

No, there was nothing . This is largely for the Q1 that we had the biggest impact, Q2 was more for t he mid senior level of folks so I do not think there is anything unusual in that.

Ankur Rudra

Appreciate it. Thank you and best of luck .

Moderator

Thank you. Our next question is from the line of Moshe K atri from Wed bush Securities . Please go ahead .

11 Moshe Katri

Thanks for taking my question and a good quarter. S o on your point o f clients being cautious beyond longer sales cycles and delayed deal closures , are we also seeing project d eferrals or project cancellations or are we not there yet, but obviously this would be us playing the 2008 kind of slowdown playbook , so I just wanted to get some more color on that?

Salil Parekh

I could not hear properly but what I understo od was , are there any project cancellations or other such things i n the quarter , if that is the question , we did not see any project cancellations in the quarter. We saw some slowness in discretionary spend within the m acro segments that I mentioned . For example , in Hi-Tech we saw that, we saw some in Telco , we had mentioned last quarte r in mortgages within financial services a nd the parts of retail industry . That is how we saw it for this quarter.

Moshe Katri

How would you categorize the discretionary spend , is it predominantly cost takeout?

Salil Parekh

For that , the discretionary spen d are more spend s which support transformati on programs - is the way we see it. For the cost programs those are different – more targeted or fixed spends.

Moshe Katri

Do you have any views about the budget cycle for next year , do you think we will see any slippage ? i.e., rather than budgets being all set and ready sometime by January , maybe we see some sort of a slippage becaus e of the macro?

Salil Parekh

So today , what we are seeing is within our large deals pipeline there is a large number o f programs whi ch are cost relate d and we see our own core services growing. What it shows us is there is an in terest from clients on both - some el ements of digital and now also on
12 elements of cost. On the budget cycle , this is the quarter in which we will start to get a sense for the calendar year b udget , so it is not something that we have within a grasp from the previous quarter. In the next few months we will start to see that.

Moshe Katri

Just final point just a slight detail can we get the number in terms of subcon tractor costs for the quarter as a percentage of revenues?

Nilan jan Roy

It is 10.1% now

Moshe Katri

Thank you very much.

Moderator

Thank you. Our next question is from t

he line of Ashwin Mehta from Ambit Capital . Please go ahead.

Ashwin Mehta

Thanks for t he opportunity. I had a question on what is happening in the manufacturing vertical in terms of margins because we had a $46 mn incremental revenue addition but our segmental profitability bumped up by almost $49 mn, so that seems to have helped our margin by almost 100 bps plus, so wanted to get some color on what exactly is happening there . And then a clarification on our cloud revenues you mentioned is now above $1 bn, so is it on a quarterly basis or o n an annual basis?

Nilanj an Roy

For the manufacturin g margins , I think the same question many of you had in the previous quarter , and we took h eed of that advice and we have worked on making sure our manufacturing margins across deals and large deals improve. And yes we have plans on how 13 deals evolve over a period of time and that should give us comfort . This is what we have over the last four to five years of how we approach large deals and large deal margin improvement s. And of course , the other cost optimiza tion levers across the entire manufacturing whic h helped the other sectors as well. The second question I did not clearly get.

Ashwin Mehta

I want to get a sense in terms of the cloud revenues that you mentioned of $1 bn plus , is it for this quarter ?

Nilanjan Roy

It is for this q uarter $1 bn plus .

Ashwi n Mehta

Thanks and all the best.

Moderator

Thank you. Our next question is from the line of Jamie Fr iedman from Susquehanna . Please go ahead.

Jamie Friedman

Again let me echo the congratulations on the robust result s. I am sorry to come back to th e macro S alil b ut in the instance that there were recession , is that contemplated in the guidance?

Salil Parekh

Thanks for your question. The way we look at it today is - the guidance is for our financial year which is two more quarters, we have kept in mind what we have done in Q1 and Q2 and a very strong large deals number that we had in Q2 with 54% net new . We have also kept in mind the seasonality which all of you know , for example i n Q3 there will be some i mpact 14 with furloughs and typically Infosys h as more sea sonality in Q3 and Q4 . And then we built in what we see today of the macro environment specifically those industry segments that I talked about where we see some of the slowing . Keeping all that in mind we built this guidance for the revenue grow th given w here we are , that is what we factored in to the guidance up date.

Jamie Fri edman

In terms of the potential transition from transformation al work to cost contain ment , you are obviously very well posit ioned for both, is there a gross p rofit or margin differenc e for the same quantum of work like dollar transformation versus a dollar or cost contain ment , how do we think about the margin implications from that transition?

Salil Parekh

As you pointed out , we see growth s today in both of these engines wh ich is a hug e positive for Infosys, it is something where we are very differen tiated from many of our peers. The margin profile is not so much differentiated on the type of work, there are different scenarios in the margin profile, for example , depending on the scale of the entire industry, the geography , in general we will see that at aggregate level, so aggregate cost program, aggregate transformation programs w e will have similar margin outl ook. So we do not consider today that pivot itself ha s any positive or negat ive impact on margin . However, as Nilanjan was pointing out we have a very strong internal cost program which he and the team has put in place and that will continue to give u s benefit in e ither of the scenarios.

Jamie Fri edman

Thank you so much. I wil l join back in the queue.

Moderator

Thank you. Our next question is from the line Bryan B ergin from Cowen . Please go ahead.

Zack Ajzenman

15 Hi,

this is Zack Ajzenman on behalf of Bry an. First ques tion that we have is on the revenue per fulltime employee , looks l ike it is trended lower for multiple quarter s now can you give us a sense of the dynamic s here, what the expectation is going forward ?

Nilanjan Roy

This is directly reflect ing our utilizatio n as well . So, like I mentioned in fact pricing h as been actually stable to positive this quarter, but revenue per employee is across entire headcount of the company and we have put so many freshers in both in our training program s in Mysore and on the b ench . So, this is just a mathematical number around revenue per empl oyee, it is not indicating anything about pric ing really. There is also c ross-currency impact as well , as you can imagine because only 6 8% odd of our revenues are in dollars, 3 2% are on currency outside dollars and those have depreciated, so just as a pure metric it will also automatically come down.

Zack Ajzenman

Understood make sense and followup is more of a broader one on the macro, so more industries are seeing caution now we have heard Hi-Tech a nd Telecom this quarter in addition to what we heard in the prior quarter, are there any other specific areas that ar e expecting to get worse going forward based on line of sight here ?

Salil Parekh

What we a re see ing today is in the areas that you just mentioned and that reflects in some of the discretionary s pend which is slowing . We also see that the large deals pipe line is at a very strong level, so we see somehow some balance in the cost programs also becoming a part of the large deal s pipeline, but in terms of the macro we will see those areas as of today that we are watchful and making sure we have early signs if any other areas show this sort of a point in the future.

Zack Ajzenman

Thank you.

16

Moderator

Thank you. Our next question is from the line of Keith Bachman from BMO. Please go ahead.

Keith Bachman

Thank you for taking the question. I wanted to ask you about the sensitivity of your margins to revenue growth and more specifically what I want to see if you could address this, w e loo k at over the horizon the calendar year 2023, if revenue growth were t o slow to something like 10%, just to pick a number, how sensit ive is that growth rate to margins and specifically what I am asking, could you reduc e the subcontractors and or just let attrition take your headcount lower such that you could maintain your 2 1% kind of operating mar gins or just any characterizations on how we should be thinking about the sensitivity of operating margins to the g rowth rat e which I think you can tell by the question , a lot of industry is concerned, growth will continue to slow a s we look a little bit lo nger term than your fiscal year? Thank you.

Nilanjan Roy

I think you have answered most of the questions. Reality is that we can predict our operating margin quite fast and fundamentally in the IT services business, the operating l everage element is quite small compared to other fixed cost businesses . So you can in terms of both the points like you mentioned , first the intake of laterals or intake of freshers, gradual attrition, the subcon s, all these four literally by quarter and you can pivot on these to get cost structure in line . So, I do not think it is a big drag unlike high fixed cost industries , so in that sense in t he past also we have seen it . A perfect example I would sa y, the COVID period wherein six month s pretty much ev erybody in the industry when they were seeing negative growth had pivoted at least from the margin front, we did not deg row during that time, but nonetheless given the slower growth at that time we were able to pivot our entire cost model.

Keith Bachman

17 I was not asking you to guide margins, I was just asking for the sensitivity, what you think about, you can manage your cost structure regardless of the rev

enue growth rate to sustain

margins even if growth were to slow .

Any comments more specifically on ho w we should be think ing about attrition , as you said you will move it lower, but should we thinking kind of point of quarter or how should we be thinki ng about attrition as we look at to the end of fiscal year and that is it from me. Thank you.

Nilanjan Ro y

So I think like Salil has mentioned , we have three consecutive quarters of decline, 2.5% decline in this quarter i tself and indicators improve going into Q3, because we have in a lot of geographies like 90 -day notice period and that gives us a reasonable view of what is c oming ahead and we continue to see that the figure of attrition going down.

Keith Bachman

Many tha nks.

Moderator

Thank you. Our next question is from the line of Aniket Pande from ICICI Securities. Please go ahead.

Ankit Pande

Thanks for the opportunity. I just have two questions. Salil, I wanted to understand the trend of your TCV number, I wanted to understand how the mix between cost optimization and transformation deal change d since last three quarters and has the deal tenure increased now as compared to before?

Salil Parekh

Thanks for the question. First, on the large deal pipeline i tself or are you asking on the TCV, we declared as large deals.

18 Aniket Pande

The trend between the TCV actually . And how the mix has changed between cost optimization and transformat ion?

Salil Parekh

On the large deals itself, we have looked at it within our numbers, so that is not information that we have shared outside . What I can share with you is what we see in our pipeline today is a good focus on cost programs and we are also seeing because of the growth of core that I shared earlier that we have both sides growing, of course digital growing over 30% and we also see now the cost programs which is core also growing.

Aniket Pande

Thank you. Last question, if I turn to pricing , so just wondering what the tone and tenure of pricing conversion has been, how they have progressed since last two quarters and right now, how are you buildin g that in? Thank you.

Nilanjan Roy

Like we said, it is horses for courses , it is client specific, it is whether there is a new deal , there is a renewal, is it FP deal, is it a T&M, is there a COLA clause, it is really complex . We have seen discount , which used to be a quite large in terms of pricing, in terms of renewal etc., that definitely has come down. There is a lot more focus on the clients , and the clients also appreciate that because they are seeing th e same impact on their attrition etc. . Some we have seen in terms of COLA cla uses, we have seen a larger implementation of that - being able to push as the COLA increases . In some cases, you have to show more value to the customers in terms of digital rate card - so wh at you have been able to offer to client in terms of transformation dollars . So like I said , it is varied acr oss clients, but it is going to be a long haul, we never said it is going to easy and that continues.

Aniket Pande

Thank you.

19 Moderator

Thank you. Our next quest ion is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh

Good evenin g team and thank you for taking my question. My first question, Salil, can you help us understand on the deal win side, so we have seen quite a sharp accelerati on in deal win especially in the new deal side, which has almost doubled both quarter -on-quarter and YoY basis . At the same time, we are talking about some caution coming in at some of the verticals and some of the clients taking more cautious stance . In that context, what is driving the sharp increase in our new deals wins , is it that these discu ssions of caution are still at the CXO level and we are yet to see the impact of that in the deal wins or these concerns are getting compensated by a higher focu

s on the cost side?

Salil Parekh

Thanks Rakesh. The deal wins I think represe nt the strength that we have on both sides of the capabilities - on digital and on core , automation . So what we have seen today is we have the ability to b e appropriate for clients depending on what macro they are facing and as the overall macro evolv es, we have both sides ready for that . There my sense is we have sort of differentiation from our peers with this approach. We have als o put a l ittle bit more emphasis within our pipeline to actively look at automation , cost deals with o ur clients, so that is driving it. Having said that, it is also to be kept in mind that large deals are deals which are over $50 million for us and we h ave always maintained that there is no sort of quarter -on-quarter trend on this . It is more to look at for that quarter and that is also something to keep in mind.

Kumar Rakesh

Got it. Thanks for that. Second question was for Nilanj an, y ou have talked about margin band and margin coming close r to 21% and we have already been 2 1.5% in this quarter . So, that effectively implie s we are not expecting sequential margin improvement meaningful ly from here on and that is in the context when we are ta lking about supply side concerns have started 20 easing and our subcontractor cost i s also coming down . So, where do these two points meet when the supply side issues are resolving, but we do not expect margin to expand from here on this year?

Nilanjan Ro y

First, we are at 20.7% for H1 and the guidance is 21% to 22% . We are also goin g into Q3, Q4

– seasonally weak quarter s because of furlough s, lower working days and those straightaway dropdown to margins . Yes, we a re seeing some of the benef its which we are getting from lower attrition figure , and all these basically play into the guidance which we have gi ven for the year.

Kumar Rakesh

Got it. Thank you that answer s my question.

Moderator

Thank you. Next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta

Thanks for the opportunity. Two questions first about moderation in revenue growth trajectory which you are implying from the revised guidance . So can you help us understand you eluded some of the segments which are likely to be softer but even after considering there s eems to be some sizable moderation which is happen ing in next two quarters . So if you can provide some sense whether any specific industries where you are seei ng more weakness or clie nt specific situation. Second thing is about the deal intake . Now you indicated about cost efficiency pr ogram and cost take out programs showing uptick . Do you think it would lead to a higher dea l TCV closures in next few quarters ? And on mega deal - how the mega deal pipeline is picking up - if you can provide some pr ogress or are clients deferring those decisions. Thanks.

Salil Parekh

21 Hi, I did not follow all of your question s. The first one I think you are talking about the future Q3, Q4 growth in the segments . If that is the question, we do not give more color for future growth firstly by quarter or by segment . But overall , I go back to what we shared earlier that the macro environment has some areas which we are looking at with more caution . Our overall large deal pipeline is strong , and both sides of our engine, digital and core and automation are do ing well . I did not follow the next point.

Dipesh Mehta

The sec ond question was about the cost e fficiency program or cost take out generally they are large in TCV because of tenure and overall volume efficiency which client s are generally expecting considering the mix is now tilting towards those programs compared to discretionary digital program, do you think deal TCV will be showing uptick which we have seen even in Q2 which will is seven qua rter high kind of deal TCV.

Salil Parekh

So on the cost op

timization we see good discussions of that with our clients , in some of the industries we see more of that, in others at a moderate level . So, that is where we are seei ng a good traction which is also showing up in the growth of core services. Deal TCV again - in a quarter -by-quarter basis it can go up and down because these are deals over $50 million and these deals take some time to build up . As Nilanjan shared , it is 27 deals in Q2, but if I look on an annual cycle there is a good way of looking at large deals across years . So on a quarter -on-quarter basis we do not have a li ke a simple way where we forecast it, it can go up and down there.

Dipesh Mehta

Let me rephrase the quest ion. Do you think that size of the deal between digital and cost take out by nature cost take out it wi ll be larger in size or you do not think any suc h thing.

Salil Parekh

The size of the deal sorry I did not follow that. No I do not think so because some times w e have a very large digital transformation program of the client and sometime there could be
22 large modernization plus cost efficiency prog ram, sometime there could be only cost efficiency program . So it is not like one is larger and one is sma ller.

Dipesh Mehta

Understood thank you.

Moderator

Thank you. Our next question is from the line of Nitin Padmanabhan from Investec . Pleas e go ahead.

Nitin Padmanabhan

Hi good evening, thanks for the opportunity. I wanted to ask on the client pe rformance this quarter. So I think most of the revenues have come from the non top 25 and top 25 h as been relatively soft. So just wanted your though ts on, do you see that softness sort to continuing and do you think the remaining can sort of hold up, so t hat is the first question. The second one is I think over the past two years there were lot of sma ller size deals that sort of was a reasonable mix o verall and that sort of led to faster velocity and deal conversion, deal to revenue conversion . Do you thi nk in the new sort of setup wherein it is more cost optimization the deal to revenue conversions should slow down or there is no such though t

process there . Thank you.
Salil Parekh
I will start with the second one. In general at a higher level there is no big correlation between the conversion of a deal to revenue. Sometimes there is an immediate lar ge impact because there is early transformation , sometime there is ra pid transition and other time it is more drawn out in the size, specifically large deals which is more than $50 million . So, there is no real link to conversion like that which i s you can correlate to something .
Nilanjan Roy
23 I think the question was about the 25 clients they declined f rom 36.3 % to 35.3%. I do not think there is anything really impacted . But one thing to be kept in mind is there is a lot of cross currency applicable during this time , so there could be clients in certain geographies like Europe etc., who could be in the mix but nothing we have seen unusu ally in the top 25 slowing down or anything like that.
Nitin Padmanabhan
Sure fair enough. Just one last quick one from my end how big is the capital market for us within the financial services piece because I thought that should normally be a cause for concern but I have not heard that in any of the calls so far so just wanted your thoughts on t he same.
Salil Parekh
So we typically do not breakup the segme nt beyond what we have g iven in financial services. We have a very good business in capital mark ets across the board . The w hole financial services has insurance, asset management and capital markets among other things.
Nitin Padmanabhan
But is there any slowness that you are se eing within that piece - that was not a call out at all , so just curious .
Salil Parekh
So the ones we called out at this stage were related to what I shared earlier which was o n mortgages in financial services, pa

rts of retail , high-tech and Telco.
Nitin Padmanabhan
Thank you so much and all the very best.
Moderator
24 Thank you. Our next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Sh ah
Thanks for the opportunity. So the ask rate to achieve the guidance is 0 to 1.2% in the next two quarters which looks softer despi te a strong de al wins , also we are talking about more cost optimization deal coming along with the digital deals . So, is it a client specific issue or is it higher than abnormal furloughs are we factor ing or this is more a conservative way of looking at things because of the higher macro issue in the second half and I have a follow up which I will ask later.
Salil Parekh
So there first what we are seein g typically as you know the Q3 has furlough - we ha ve not estimated anything higher or lower, we have essentially had a sort of a similar estimate to previous year. We typically have more seasonality for us in the past year in both Q3 and Q4 so that is what we have estimated . And then for the macro what I shared earlier is the sort of color that we put as we were developing the guidance and then we factored in the large deal . So, there is no additional vi ew to say whether it is conservative or not conservative, if those factors are taken into accoun t to develop the guidance.
Sandeep Shah
The follow -up is the question to Nilanjan. So if I look at we are implying a EBIT margin guidance of 21.3 % in the se cond half versus 21.5 % in the second quarter, this is a QoQ decline versus Nilanjan your first q uarter comment was in to Q3, Q4 we may see a QoQ increase in the margins and the way we are in terms of the utilization as well as likelihood of lower subcontra cting cost, likelih ood of lower pass through cost is it fair to say again on margin we are conse rvative or there are some additional cost headwind which we should be aware about.
Nilanjan Roy
25 No I do not think it is conservative. I think we are realistic i n our margin projec tions. We see certain headwinds, we see some impact of furloughs , some of the attrition impact will come, some of that will be in sub -cons etc. With th e seasonality of the volume , we do not have growth as a le ver really in te rms of operating leverage . So SG &A for instance is where we think we have so me operating leverage . So, these are multiple things and that is all factored into the figure th at we have given fo r our H2 and full year.
Sandeep Shah
Just last thing on the variable pay it looks like in the first quarter we might have paid 70% .

How was the variable pay payment in the second quarter , is it a headwind or a tailwind on a QoQ basis .
Salil Parekh
So on var iable pay we do not share that number externally as you know . We will come back with what we do from an internal basis when we disclose it internally.
Sandeep Shah
Thanks and all the best.
Moderator
Thank you. Our next question is f rom the line of Manik Taneja from JM Financial. Please go ahead.
Manik Taneja
Thank you for the opportunity. Just had one clarification question related to the margin performance or the margin impro vement this quarter when one looks at our cost schedule, you said subcontracting ex penses are down by about 120 BPS while in your opening remarks you suggested that subcontracting expenses are down 40 BPS so just to un derstand if some of the large deals co st optimization being captured in the cost of taking subco ntractors.
Nilanjan Roy
26 Yes so I think that is the cost as a percentage of revenue, but the impact on margin is what is the premium you are paying to subcont ractors vs. own employee so it is not a mathematical impact of subcontractor cost comin g down from 11 to 10 - by that toke n if we say if we can bring down subcontractors to zero our margins can go up by 10% . So this is just the premium you are paying to the subcont

ractors which is impacting your margins. That is the 40 BPS.
Manik Taneja
One last question was with regards to th e hiring that we have seen through the year we have already hit the full year hiring target in terms of the fresher intak e how are we thinking about the fresher intake in th e second half of the year given the fact tha t there have been some media reports of compan ies in the sector delay on fresher onboarding.
Nilanjan Roy
Yes, so like I said we had 40000 in H1 and we will b e above 50000 . We will get back later on the numbers b ut we will go above the 50000.
Manik Taneja
Sure thanks and all the best for future.
Moderator
Thank you. Our next question is from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon
Thank you and congratulations for excellent performance t his quarter especially consider ing that utilization has dropped. Can you talk a bit about how you see headroom for utilization and margin improvement as attrition has started to decline ?
Nilanjan Roy
27 Yes, sure so I think at 83.6 % we are much lower t han what historically we have been . The fresher which we have got in, we want to make sure that they are learning both at our training facility in Mysore plus on the bench. So we are very cognizant of not putting them into projects on day one and th erefore we are ready to take a hit on the margins and ut ilization on account of this . We know th is is long-term investment for us . We strongly believe the industry can only grow through fresher intake year -on-year and that is an investment we are ready to make and over a period of time . As the demand picks up and we are able to train them we can rotate them into project - so we are quite comfortable , and of course , we want to get this figur e slowly in ching back to the more comfortable 85 % levels .
Ravi Menon
While you talked about concerns started to emerge in industry verticals like retail, high -tech, telecom and the mortgage subverticals, have we actually started seeing project cancellations or we are just seeing slower decision making f or new programs .
Salil Parekh
So today where there are discretionary work we see slown ess in that area . We will keep watch on anything else that start s to develop in those specific industry vertic als.
Ravi Menon
So do we mean that there have been no cancellations yet ?
Salil Pare kh
So we do not see cancellations of programs, we see slowne ss in the discretionary part of the programs.
Ravi Menon
Okay, thank you so much best of luck.
Moderator
28 Thank you. Ladies and gentlemen that was the last question I now hand the conference back

to the management for closing comments.
Salil Parekh
Thanks e veryone for joining us. Just a few comments from me to close out.
In summary, first we really h ave both eng ines in our business digital and core growing which is very strong for us. Digital capabi lities and Cobalt are resonating and core and automation we believe we have industry leading set of capabilities and that makes us ready for the evolving m acro environment . We had large deals of $2.7 bn which we are delighted with and we have a very strong margin performance of 21.5 %. So margin is clearly part of our focus and we have a strong internal cost program that will help us drive all of these thi ngs. Attrition is com ing down so we see a huge impact of the initiatives that we put in place sometime ag o. So overall we feel we have a good quarter and we are well position for the environment that is coming ahead in whichever scenario that evolves in th at environment.
Thank you all for joining and we will catch up in a quarter or so.
Moderator
Thank you me mbers of the management. Ladies and gentlemen on behal f of Infosys Limited that concludes this conference. Thank you for joining us and you may now di sconnect your lines.

Call: Jan 2023

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January 17, 2023
Dear Sir/ Madam,

Sub: Transcripts of the press conference and earnings call conducted after the M eeting of Board of directors on January 12, 2023
Please find enclosed the transcripts of the press conference and earnings call conducted after the Board meeting held on January 12, 2023 , for your information and records.

This information will also be hosted on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2022 -2023/q3.html

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2022-2023/q3.html

Yours Sincerel y,
For Infosys Limited

A.G.S. Manikantha
Company Secretary

"Infosys Limited
Q3 FY23 Earnings Conference Call"

January 12, 2023

CORPORATE PARTICIPANTS :

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Chief Executive Officer & Managing Director

Nilanjan Roy
Chief Financial Officer

Sandeep Mahindroo
Financial Controller & Head Investor Relations

ANALYSTS / INVESTORS

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Moderator
Ladies and gentlemen good day and welcome to the Infosys Limited Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode. Should you need assistance during the conference call, please signal and operator by pressing "*" and then "0" on your touchtone telephone. After today's presentation there will be an opportunity to ask question. To ask a question you may press "*" then "1" on your telephone keypad. To withdraw your question please press "*" then "2". Please note that this conference is being recorded. I now hand the conference over to Mr. Sandeep Mahindroo. Thank you, and over to you, sir.

Sandeep Mahindroo
Thanks, Inb a. Hello, everyone, and welcome to Infosys earnings call to discuss Q3 FY23 financial results. Let me start by wishing everyone a very happy New Year. Joining us here on this call is CEO and MD, Mr. Salil Parekh; CFO, Mr. Nilanjan Roy and other members of the senior management team. We will start the call with some remarks on the performance of the company by Salil and Nilanjan, subsequent to which we will open up the call for questions. Kindly note that anything which we say that refers to our future outlook is a forward - looking statement that must be read in conjunction with the risks that the company faces. A full statement and explanation of these risks is available in our filings with the SEC, which can be found on www.sec.go v
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I now like to pass it on to Salil.

Salil Parekh
Thanks, Sandeep. Good evening and good morning to everyone on the call. Thank you for joining us.
We are delighted to share with you that our Q3 performance was strong with year -on- year growth of 13.7% and quarter -on-quarter growth of 2.4%. This performance was in a seasonally weak quarter for us and amid a chang ing global economy. We continue to gain market share.
Growth in Q3 was broad- based, with most industries and geographies growing in

double digits in constant currency. Growth in constant currency for nine months of FY23 was 17.8% compared to the same period of FY22. Our large deal value was $3.3 bn, the highest in eight quarters. With 32 large deals, this is the largest number of large deals in our history, 36% of this is net new. Our pipeline of large deals remain strong.
Our digital revenue grew at 22% in the quarter in constant currency and are now close to 63% of our overall revenue. Our core services revenue grew at 2.4%. We are seeing growth in both areas of our business, digital and core services. This is a testament to our industry- leading digital capabilities, including our Cobalt C loud capability and our industry- leading automation capabilities, both of which are resonating w ith our clients.
Our large deal pipeline is seeing increased traction for automation and cost efficiency programs. Our results reflect our deep- rooted client relationships, coupled with client - centric strategy, differentiated digital and cloud capabilities , strength in automation and the ability to pivot our business rapidly to changing client needs.
Our cloud revenues continue to have healthy growth this quarter. Our client s are focus ed on accelerating the digital and cloud transformation, both to grow and to become operationally more efficient. They trust us to partner with them through the complexity of managing this change because of our differentiated capabilities. Our industry- leading cloud offering, Cobalt, is playing a key role in helping them naviga te the digital transformation.
Two examples of this,
- Cobalt is helping accelerate business growth and resilience for a large telco and making the ir decision -making more data driven.
- We are supporting a leading aerospace company by

automation of their customer experience area, leveraging a modernized technology infrastructure, driving material cost efficiency.
Strong growth wa s accompanied by stable operating margin at 21.5%. This was driven by healthy revenue growth and cost optimization benefit s. Our operating margin for the first nine months of FY23 was at 21%, in- line with our margin guidance.
Our voluntary quarterly annualized attrition continues to decline steadily and reduced by 6 percentage points sequentially to well below 20% for this quarter.
We are encouraged by the immense confidence and trust that clients have in us. The signs around us , around the slowing global economy are visible. Some areas such as
mortgages and investment banking and financial services industry, telco, high- tech and retail are more impacted and that is leading to delays in decision -making and uncertainty in spending in these areas. We are confident that the strength of our digital and cloud capabilit ies and our automation capabilit ies will continue to position us well in the market. We are keeping a close watch on the global economy.
Driven by our growth of 17.8% in constant currency for the first nine months of FY23 and strong large deal value for Q3, we are increasing our revenue growth guidance, which was at 15% to 16% earlier to 16% to 16.5% , despite the changing global economic conditions. We are retaining our operating margin guidance for FY23 at 21% to 22%. We anticipate to be at the lower end of this range.
Thank you. And with that, let me request Nilanjan to share other updates .
Nilanjan Roy
Thanks, Salil. Good evening, everyone and thank you for joining this call. Let me start by wishing everyone a very happy and safe 2023.
Q3 was another quarter of resilient performance. Our revenue grew by 13.7% year -on- year and 2.4% sequentially in constant currency terms, despite s easonal weakness. Most of our business segments and geo s grew in double digits year -on-year in constant currency. Specifically, manufacturing grew by 36.8%, EURS by 25.9% and Europe grew by 25.3%.
Digital revenues constitute 62.9% of total revenues and gr ew by 21.7% year -on-year in constant currency. Core revenue saw another quarter of growth reflecting the accelerated client focus on cost take- out.
Client metrics continue to remain strong with year -on-year increases in client counts across revenue bucket s. Number of $50 mn clients increased by 15 to 79, number of $200 mn clients increased by 5, while number of $300 mn clients increased by 3 over the same quarter last year, reflecting our strong ability to mine top clients. During the quarter, we added 134 new clients.
Utilization, excluding trainees, reduced to 81.7%, reflecting seasonality and employees joining the bench post completion of the ir training. On- site effort mix remained stable
at 24.5%.
Quarterly annualized attrition continued to trend downwards and reduced further by another 6% during the quarter. This is the lowest quarterly annualized attrition in the past seven quarters. Consequently, LTM attrition reduced to 24.3% as compared to 27.1% in Q2. We expect attrition to reduce further in the near -term.

Revenue growth was 17.8% in constant currency terms over nine months FY 23.

Operating margin for the same period was 21.0%, in -line with the lower -end of our full year guidance as called out earlier.

Q3 operating margin remained st eady at 21.5%. The major components of QoQ margin movement are as follows :

Tailwind s of

- approximately 40 basis points due to benefits from R upee depreciation and cross currency , offset by lower benefits from revenue hedges .
- 70 basis points from cost optimization, including lower subcon.

This was offset by headwinds of

- 30 basis points from higher SG&A and
- the balance 80 basis points due to seasonal weakness in operating parameters, higher third- party costs, furloughs etcetera.

Q3

EPS grew by 13.4% in R upee terms on a Y oY basis.

DSO increased by three days sequentially to 68, reflecting higher billing during the quarter. Our balance sheet continues to remain strong and debt -free. ROE increased by 2.2% YoY to 32.6%. Free cash flow for the quarter was $576 mn, a conversion of 72% of net profit. YTD FC F was $1.8 bn, which is implying a conversion of 81% of net profits.

Yield on cash balances increased to 6.3% in Q3. Q3 marked the 30th consecutive quarter of delivering positive forex income despite the volatile currency environment.

Consolidated cash and investments declined from $4.79 bn last quarter to $3.91 bn, consequent to $1.32 bn being returned to investors towards interim dividend and buyback.

We initiated the buyback on December 7th and till date have bought back $31.3 mn shares worth ■4,790 cror es or 51.5% of the total authorization of ■9,300 crores at an average price of approximately ■1,531 per share compared to the maximum buyback price of ■1,850 per share.

Coming to segment performance

We signed 32 large deals in Q3, which is the highest ever. TCV was $3.3 bn, the highest in the last eight quarters with 36% net new. 7 large deals were in R etail, 6 each in Financial Services and Communications, 5 each in EURS and M anufacturing , 2 in Life Sciences and 1 in Hi-Tech. Region- wise, this was split by 25 in the Americas, 5 in Europe and 2 in the rest of the world.

Growth in Financial Services was impacted due to a higher -than-normal furloughs and some specific project closures. Deal pipeline continue to be strong and oriented towards cost takeout and tech/ops transformation transformation. Our competitive position in the industry as demonstrated in the past year s, remains very strong.

Retailers are seeing uncertainty on consumer spending as a result of high inflation, high interest rates and softer economy. However, at the same time, direct -to-consumer and digital commerce are opening up many new opportunities on the back of our growing presence in leading e- commerce platforms and als o our very own Infosys Equinox.

We have healthy deal flow in the C ommunications segment, along with continued steady pipeline. However, cost pressures and economic concerns continue on the client side impacting discretionary budgets.

Energy, Utility , Resources and Services Segment reported strong growth along with healthy level of large deal wins during the quarter. The deal pipeline is strong and on increasing trend versus the previous quarter, given medium- term growth visibility.

Manufacturing segment continues to be robust, supported by healthy pipeline of deals in both traditional and new technology areas. We are helping clients across engineering, IoT, supply chain, cloud ERP and digital tr ansformation, including helping clients accelerate their journey to the cloud.

We continue to see caution around budget and spending for consumers in the H i-tech segment, especially around discretionary spend areas.

For Digital service capabilities in Q3 , we have been ranked as leader in 7 ratings for our cloud services, digital engineering services and Salesforce implementation services. We have also been positio ned as a major player in 7 ratings for our IoT and engineering, security and automation services.

We believe, the structural lever s for medium to long- term growth for the industry remains intact and Infosys is well positioned to support its customers in their transformation al journey.

With strong revenue performance in the first nine months of the year, the revenue guidance for FY23 has changed to 16% - 16.5%. Operating margin guidance band remains at 21% - 22% for the year. And as mentioned previously, we expect to be at the lower end of the range.

With that, we can open the call for questions.
Moderator
Thank you very much. We will now begin the question- and-answer session. The first question is from the line of Moshe Katr

i from Wedbush Securities. Please go ahead. It looks like Mr. Katri's line is dropped. In the meanwhile, we will move to our next question, that is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan
Yes. Hi, good evening and thank you for the opportunity. My question was around the increase in cost of software packages , that is up by almost $69 mn sequentially. How should we think of this cost , do you think this incremental $69 mn will be a sticky number out there or do you think it's sort of representing the headwind -- instead come-off going forward? And is this sort of a pass -through in nature , that is the second sort of clarification on the same thing? Thank you.
Nilanjan Roy
Yes, Nitin. So the $69 mn is a combination of software , it is other deals which we do which have D aaS etcetera. It could be infrastructure. So , these are part of our integr ated services offering . These come with both manpower component and sometimes they also come with an attachment of these services. So that is the way we do it. I t's an integral part of our service offering.
We have to see where we end up for Q4 , but I think, this is part of our overall offering and it is actually giving us traction in the market in many of our service lines.
Nitin Padmanabhan
Sure. So it is a pass -through in nature in a way, is that correct? A nd basically, at least earlier in the past, we have suggested that the new level would sort of sustain. So, in the new operating model, this is sort of sticky thing that continues, is that assessment fair – longer time ?
Nilanjan Roy Like I said this is integrated with our services offering, s o they are not just standalone deals we do, they come with the service element as well . So that is the way you have to look at these deals.
Nitin Padmanabhan
Sure, fair enough. Thank you so much and all the best.
Moderator
Thank you. Our next question is from the line of Bryan Bergin from Cowen. Please go ahead.
Bryan Bergin
Hi, good evening. Thank you. Why don't you just clarify some comments around demand? I am curious , if you would say there is a material change in the way that clients are behaving now versus three months ago, in your reported 2Q, because the areas you are citing weakness , I think were the same ones, the pockets of weakness that you talked about. I am really just trying to understand if you think there has been a real change to spending and contracting there or more broadly the same?
Salil Parekh
Hi, thanks for the question. What we are seeing today , in addition to what we said last quarter, for example in financial services beyond mortgages, we see the investment banking side of our clients as well are showing an impact of the economic environment ;
and they are in telco, hi -tech and retail , in some c lients. So, we do not see a material change, but there are within financial services one more area that we see some of the impact coming in.
Having said that, we have , for example clients in energy or utilities or manufacturing, those industries are still looking quite strong in terms of the ir outlook.
Bryan Bergin
Okay, that is helpful. And then on the large deals, the renewals were a big component of that TCV and you have also cited benefits from consolidation in the commentary, are you taking any differ ent approach as it relates to proactive renewals to try to drive more vendor consolidation opportunities?
Salil Parekh
Some large deals, as you pointed out, we have had a very strong result, $3.3 bn and 32 deals. We see the focus which we had on transformation continue. But outside of the industries that we discussed before, where there is some impact, we see huge cost automation, cost efficiency plays across all industry segments. And there, we have, we believe, very strong capability, which is helping us. And within all of those discussions, we see areas where there is vendor conso

lidation. The approach we have put in place is similar to what we have had in the past. However, we see, given our market share gain

over the last several quarters, many clients are looking at us, when they start to narrow
the list in the ir vendor consolidation.
Bryan Bergin
Okay. Thank you very much.
Moderator
Thank you. The next question is from the line of Apurva Prasad from HDFC Securities.
Please go ahead.
Apurva Prasad
Good evening. Thank you for taking my question. Salil, I'm not asking for any guidance
for '24 or ahead, but would appreciate your comments. And generall y, the visibility that
you have for the year ahead, so how different would it be versus typically this time of the year? So perhaps any comments on pipeline or pipeline -to-TCV conversion?
Salil Parekh
Thanks for the question. I think, as you rightly said, we are not in a position to provide
the guidance for the year, which starts in April. Pipeline, we have a very strong large
deals pipeline. So we are feeling good that the pipeline is at a level which is in good
shape. We see good traction of large deals, and we have seen more -and-more relevance,
connect with our clients on the cost efficiency and automation plays and in the areas, in the industries where there is economics support, a good traction of Cobalt and the
digital transformation plays. So the pipe line is looking quite good today, based on what
we see in the deals flow.
Apurva Prasad
Got it. And Salil, we called out IB, mortgage and parts of telecom, hi -tech and retail, is
there any vertical trend for deals between transformation, the ones that are transformation in nature and deals that are more on the cost optimization across
verticals?
And the second part to that is, do you see any moderation in new client acquisition
channel with more vendor consolidation deals happening? This was something which
had very strong traction more recently.
Salil Parekh
On the first part, we see some of the growth transformation plays impacted in those
industries that we talked about, for example, mortgage, investment banking, retail, hi -
tech, etcetera. The cost efficiency plays everywhere. So we see that even in programs
let's say, in the energy sector or manufacturing. There , and in many places, we see
essentially clients looking to use the cost efficiency to fund the transformation because in many cases, they still need to drive digital or cloud transformation to keep t heir
market growth or the ir client connect, customer connect going. So that is how we see
that play right now.
Apurva Prasad
And Salil, on the other part on the new client acquisition, with more vendor
consolidation rates.
Salil Parekh
Yes, there on new cl ients, we have seen -- while we don't disclose the number, we have
seen a very good new client acquisition in Q3. And on vendor consolidation -- there's
no contradiction in there to at least -- both are carrying on within our sales expansion,
new client acquisition continues to be important as well. W hat we are seeing is on
several discussions, clients are looking, especially if they have six or seven vendors,
they want to narrow it down to one or two or three, and we are appearing to be
beneficiaries in qu ite a few of those discussions.
Apurva Prasad
Got it. Thank you and all the best.
Salil Parekh
Thank you.
Moderator
Thank you. Our next question is from the line of Mukul Garg from Motilal Oswal
Financial Services. Please go ahead.
Mukul Garg
Sure. So Sali l, I have two questions. First, on the strong TCV wins this quarter. Can
you at least qualify how much of the strength was on account of share gains, which you guys have made, versus the resilience, which is there on the technology spend? Because
if you look at the broader market commentary, and you have also highlighted retail as
one of the weaker areas, whereas you got seven large deals in retail. So if you can just
help us break out these t

wo, to get a sense of the deals w in momentum?
Salil Parekh
I think the large deal momentum for us is really a function of what we have seen that

we have put in place, we still, within this mix of $3.3 bn, have digital transformation deal, and we have cost efficiency automation deals. What we mean by some of the industry callouts, for example, retail or telco, is, there are some clients , it is not everyone in that industry, but there are some clients which are getting impacted by the economic environment. We have been quite focused, we have a broader portfolio. So for example, you saw that in retail, we have those large deals there, it is a mix between transformation and cost efficiency automation. And so many times when clients feel an impact of the economic environment, there might be a gr eater need for the cost efficiency play as well. So we are ensuring that both of those engines continue to work well with our clients.

Mukul Garg

Right. And another question was on the margin side. You guided for margins of 21%-22% band, with margins towar ds the lower end. Can you just help us with the -- what are the pools which you are seeing on profitability, given that the supply scenario is easing rapidly? Is there some portion of the pressure which is on account of the higher share of cost efficiency deals, which you guys are winning with initial ramp- up cost? Because if you look at Q4, obviously, Q3 also had the pass -through business, which got impacted. I'm assuming, as Nilanjan mentioned, there was some seasonality into that.

Nilanjan Roy

Yes. So I think like we mentioned, the reason for Q3 margins, we have already given the breakdown. So as we look ahead, see the levers which we have, one is, utilization. And you have seen at 81.7% - this is probably, I think, one of the l owes t in the last three to four years since I've been here. So that is one lever which we will have.

And as we start putting these fresher s onto the production floor, you will automatically get a pyramid benefit . So that will be a double value benefit for us.

We also have subcons today, we have dramatically reduced our subcons literally in three quarters. We were 11% plus, we are at 8.7%. Historically, we have been at 7%. If you look at our pricing, it has been quite stable. And historically, this is one lever which always used to drag down, repeatedly, due to discounts on renewals, et cetera. And as of now, we have not seen that at all. We continue to push with clients on where all we can get price increases.

Automation – in terms of our own workforce continuing to operate that and that is a steady lever which we have. So we are continuing to use these levers as we look a head , and we will continue to deploy them.

Mukul Garg

Right. So, is it fair to assume that we should see at least better profitability in the next quarter, given that we have a number of levers with us?

Nilanjan Roy

So we have given a guidance for the year. You have seen in the first nine months, and that should give a good indication of what could Q4 be.

Mukul Garg

Fair enough. Thanks for taking my question. I'll get back into the queue.

Moderator

Thank you. Our next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management. Please go ahead.

Sudheer Guntupalli

Good evening gentlemen. Thanks for the opportunity and congrats on a good quarter. Salil, during some of the previous macro uncertainties like Brexit, within a few weeks of the vote, we had seen some of our large clients cancel ing and ramping down projects.

This time, even on the tough comps, the pace of growth moderation is much lower than what many people have been anticipating.

And many forward -looking indicators like deal wins, pipeline and CIO surveys still continue to be very strong, even 11, 12 months into this macro concerns. So having seen the previous three to four macro downturns, how do you nuance the cu

rrent cycle,

especially on the variable of the resilience of IT service spends?

Salil Parekh

So, thanks for the que stion. It's always difficult to compare across cycles. From the perspective of Infosys, my sense is what you mentioned earlier, we are still seeing the pace of change when there is change within an industry or a client to be not rapid. And we are also seei ng that the opportunities for cost optimization and efficiency are expanding within the work that we are doing. So in many ways, we are in a good position to be able to work on both sides.

And so while it is difficult to predict what the way the situation in the economy will evolve, we feel quite balanced . Our sales team is quite agile. We have pivoted quite quickly and developed various points of view on different efficiency scenarios in different industr ies that we feel comfortable that the pipeline is looking good at this stage, and we will continue to work on that.

Sudheer Guntupalli
Sure. T hanks Salil. So, is it a right understanding to say that we are now in a much
better position to navigate this macro weakness, probably through more than enough
compensation from the cost efficiency deal and vendor consolidation deal? Is that a correct int erpretation?
Salil Parekh
The way we see it is we have both components of -- at least the two large components
the clients are looking for, we have good industry- leading capability. So it's really a
function of how a specific industry or subindustry or a c lient will evolve. But we have
positioned ourselves to make sure that we can support our clients in that area.
Sudheer Guntupalli
Sure. Thanks Salil. All the best for the future.
Moderator
Thank you. Our next question is from the line of Moshe Katri from Wedbush Securities.
Please go ahead.
Moshe Katri
Thank you, and happy New Year, and congrats on strong execution in a pretty tough
environment. I have a three -part question. First, March gui dance upgrades is pretty
unusual from a seasonality perspective and given the macro concerns. So it seems like you have better visibility, now, can
you share any views on the budget cycle itself? We
were kind of concerned over slippages, maybe a month or t wo, budget delays. Are you
seeing any of that or you think that budget will be awarded or finalized as on time this
time?
Salil Parekh
Thanks Moshe. On the budget, so far, we have seen, in some clients and especially in
the industries we have called out, some areas where there has been slowness in deciding
or some changes, especially on some discretionary work. So we mentioned hi-tech, for
example or mortgages or bank, investment banking. So all of those ones that we
mentioned before.
But we don't see a broad- based change. Equally, we do see good behavior with the
budgets moving ahead as in the past, with energy, utilities, manufacturing. So, it is not
like one answer that it’s a little bit by industry or sub industry somewhat different.
Moshe Katri
Understood. And then you, in the press conference, you mentioned that about a 1/3 of
your new or 1/3 of TCV came in from new logos. Can you remind us, is this within the
range of what you've seen in the past in terms of mix of new logos versus renewals?
Salil Parekh
Referring to the large deals, $3.3 bn, there was 36% net new. That is in the range where
we do - some quarters it's lower, some quarters higher, but these numbers are not
unusual.
Moshe Katri
Okay. And then the final question is for Nilanjan. When we met in Bangalore back in
December, you pointed to pivot in the nature of the new deals flow towards, as you
said, cost optimizations and vendor consolidation. Obviously, this is wha t you're seeing.
Are these deals typically less dependent on clients' budgets, given the fact that you're taking over a specific function with the
objective of reducing delivery costs? And is
there any difference in profitability levels here in terms o

f th ese projects versus some
of these projects that you've been doing in the past few years? Thank you.
Salil Parekh
So in that, I think the way you described it, these are not fully correlated with the budget
of a client . In many instances these are areas where given the evolving economic
situation, clients are looking to reduce their tech spend across the enterprise, in many
cases, use some of that savings to fund transformation programs. It sometimes gets
coupled with vendor consolidation. So let’s say – there are clients who may have five
or six vendors and when we benefit from the consolidation we see tremendous
efficiency that can be created. Our automation tools become quite useful. We typically
add automation on our ongoing programs, which give an annual benefit. But when we
see something of scale where we have not been involved earlier, we have an ability to
provide a much greater benefit. In aggregate, the profitability of these deals is within
the range of the rest o f our company and especially has been more -and-more over time
leverage the automation tools and our capabilities, we see these becoming stable high
profit deals.
Moshe Katri
That is very helpful. Thank you.
Moderator
Thank you. Our next question is from the line of Pankaj Kapoor from CLSA. Please go

ahead.
Pankaj Kapoor
Yes. Hi. Thanks for the opportunity. So, my first question is on the smaller deals, which are less than, say, $50 mn TCV. If you can give some qualitative color on how your win and pipeline in that basket has been moving? Is it higher, lower versus, say, what it was six months back?
Salil Parekh
Thanks for the question. We don't typically disclose much about those deals. Overall, we have a good healthy pipeline while we publicly disclose more about the larger deals.
Pankaj Kapoor
Understood. And Salil my second question is on these cost takeout deals. Can you give some sense on how the pricing in such deals behaving? Are you seeing the pressure there more than normal, either because clients are pushing for more discounts or because of competitive intensity?
Salil Parekh
So there, the pricing in Q3, we have seen quite stable within the mix, we have not seen a change. Typically, it is really a function of what type of focus that clients have, which industry they are in, as we have not seen, at least in Q3, in the deals that we have closed in the discussion we have had, a big change on that. It looks stable at this stage.
Pankaj Kapoor
Thank you and wish you all the best for '24.
Moderator
Thank you. Our next question is from the line of Ankur Rudra from J.P. Morgan. Please go ahead.
Ankur Rudra
Hi, thank you and congratulations on strong headline numbers there . I'm going to try Pankaj's question in a different way. You mentioned i n previous calls that the mix of deals was changing in favor of smaller deals. And that is why the headline , TCV was declining, but growth was still quite healthy. This time, of course, both have done well. Do you think the mix of deals is still the same a s it was in the last year before this quarter?
Salil Parekh
Hi, Ankur this is Salil. I am not clear on the mix of deals on the previous discussions. But just looking backwards , we see the mix of deals remaining in good shape across the board. There are som e quarters in which there are disproportionate number of larger -sized deals. But in general, we do not have a pattern in that, at least that is evident in Q3 here.
Ankur Rudra
Okay. All right. The next question I wanted to check, Salil, again, was on the US business. The headline growth seems to sort of slipped down to close to low double digits, whereas the Y/Y growth has been led by very strong performance in Europe and manufa cturing.
Do you worry about the US business it is sort of slower than Europe it is not the case in the rest of the industry then many of your peers?
Salil Parekh
So there, Ankur, o

ur view is, we have had very strong growth in the US at over 10% in Q3 in constant currency. Europe, of course, has been a standout in the growth that we have had. We feel the traction, the pipeline, the work remains pretty strong, as we have described earlier, across the two dimensions, transformation and cost , across the geographies.
If you look at the economic situation, we do see the European side a little more impacted, but we see good traction on the pipeline on both sides. We had a very successful Europe program over the last 18, 24 months, and that is also helping us with the growth in this quarter.
Nilanjan Roy
I mean out of our 32 large deals this quarter, 25 were actually in the Americas. So I think -- just to, s how that we have a very strong pipeline there.
Ankur Rudra
Understood. Maybe a last question over here was on pricing and contract profitability in the projects you are winning right now, especially the large number of big deals this time you signed. How is that trending? Is that improving, staying the same or maybe becoming a bit lower than before?
Nilanjan Roy
These are for the new deal signings?
Ankur Rudra

Yes, new deal signings this quarter. How is that trending versus before?
Nilanjan Roy No, I don't think anything is unusual. Yes, absolutely new deals, I mean since many clients want the productivity, efficiencies upfront. So we always see that the initial part of the deals will be lower -than-portfolio margins.
But like we have shown in the past, at the same time, our existing deals are reaching higher profitability, and that offsets some of this pressure which is coming from the newly signed deals, where the margins will typically be lower. But nothing unusual on the trends.
Ankur Rudra
Okay. Appreciate it. Thank you for the color and best of luck.
Moderator
Thank you. Our next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal
Hello. Yes. Hi. Thanks for taking my question and congrats on a s olid quarter. So, Salil my question -- I have just two questions. One, I wanted to basically get an idea on -- I mean you've seen attrition coming down in this quarter quite sharply. And as you mentioned in your opening remarks as well, so how do you see t he trend of this attrition going forward, of course, downwards? And how do you believe the benefit of this could actually percolate to our margins? Again, not asking for objective guidance of a number. But in terms of the direction, do you think it is going to aid our margins? Or do you think most of the impact of this is already built into the numbers that we have currently?
And my second question was majorly on the geography of Europe. So just wanted to pick your brain on how the conversations with the cl ients are happening in that part of geography, specifically if you could maybe break up between Continental Europe, Eastern Europe and in the UK?
And which pockets of those geographies do you think are looking more softer? Or is there more of delayed decis ion-making in that part of the geography?
Nilanjan Roy
I'll take the first one on the lower attrition. Absolutely, we have seen this coming down. And like we said, even in the future in the next quarter, at least until -- what we are seeing the latest initial figures we are seeing this coming down.
Absolutely, this should have a positive impact on margins. I mean, during the year, whether it was stretched hiring on laterals, whether it was the compensation hikes we did, that really impacted our year -on-year margin story.
So as looking ahead in attrition, as an impact both the macroeconomic and also the internal policies we are doing in terms of promoting within, etcetera, should benefit us.
Salil Parekh
On Europe, I think the way we see - some 25% of our business in Europe, and we have a few countries . In the countr ies we operate in, we see some slowing , some economic

impact in Germany. There is some in the UK, less so in the Nordic countries at this stage.
But overall, the coloring is a l ittle bit more by the industries that we mentioned earlier in the call, which are across sort of on a global perspective. But relatively, Europe seems a little bit more impacted today than certainly the US.
Vibhor Singhal
Got it. If I can just maybe drill down just a little bit more, any specific color that you can provide on European Retail and European Manufacturing segments?
Salil Parekh
So there, we don't necessarily provide that much sort of granularity, same comments on a global level on manufacturing that we mentioned earlier and for energy, which is looking stronger, and more sort of, let's say, attention to the economy on retail in this case.
Vibhor Singhal
Got it. And the softness in retail, do you believe it is, as of now, confined to the retail stores and maybe percolate, and you could in your discussion with clients, do you see percolating down to the CPG companies and probably other ones as well? But as of now, if you it is limited to more of the retail stores that we are talking about?
Salil Pa rekh
So within retail, we have not called out any specific subsegment, at least in our commentary. We have not gone down to that granularity in our public statements.
Vibhor Singhal
All right. Got it. Thanks for taking my questions and wish you all the bes t.
Moderator
Thank you. Our next question is from the line of Sameer Dosani from ICICI Prudential Asset Management. Please go ahead.

Sameer Dosani
Thanks a lot. Just one question around Europe again. If I look at your commentary
around regions in North America versus Europe, Europe looks more cautious overall.
But if I look at performance for the last few quarters, I think Europe has been
performing better than North America as a whole.
So, do you think this impact of the cautiousness is yet to reflect in the numbers and you see more growth trajectory will be a little more affected, going forward, in your
thoughts around that?
Salil Parekh
I think, in Europe, there is two different things. We have had a very strong Europe
program, both on transformation and cost over the last 18, 24 months. So, some of that
comes through in the benefits we see, even in this quarter.
The commentary or the view is more to share what we are seeing just in the economic
activity. And again, we see the coloring more by industry, which is a little bit global as,
opposed to just specifically across the board in a geography.
Sameer Dosani
So the outlook -- I mean, do you think the outlook that you're giving will reflect in the
numbers in medium term in the next two quarters because till now, it has been an outperformer versus the overall portfolio?
Thanks.
Salil Parekh
So there, we have given a view on outlook only up until March this year, so we w ill
come up with a guidance for the next financial year at the end of this quarter.
Sameer Dosani
Okay and that is it from my side . Thanks.
Moderator
Thank you. Our next question is from the line of Girish Pai from Nirmal Bang Equities.
Please go ahead. Mr . Girish Pai, could you please unmute and go ahead with your
questions? As there is no response from this connection, we will move to our next
question, that is from the line of Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain
Yes. Hi. Thanks for the opportunity. Firstly, we commented that manufacturing is doing
well for us, but actually the vertical is doing exceedingly well in European region,
where it is up 60% Y oY, but is much weaker in the US, where it is up 7% YoY.
So, wha t is that we are doing so well in Europe? Is it led by a few very crucial deals?
Or it's more holistic? And why it's different in the US?
Salil Parekh
So, thanks for the question. Within the industry, we don't typically comment on a client ,
multi- client level activity. But we do have good tract

ion, as you pointed out, within a
European business in manufacturing.
Rahul Jain
Okay. And another thing was on digital revenue. For the quarter, it is up 17% YoY or
let say, CC would be 20% or 21%. This is like our s lowest ever since we have been
giving this time series on digital revenue. So is this a bit worrying? Or is it more because
of the furlough and any other factor?
Salil Parekh
So there, it's partially due to some of the changes that we were discussing earlier where in certain industries and sub industries. We see much more attention to the economic
environment. And there, we see some of the digital or transformation work being
slower, where we see much more focus across the board on the cost and automation
plays.
Rahul Jain
Got it. And lastly, if I can, the margin impact of furlough was too high in the quarter.
How has this shaped up in the current month? Are these clients resume d to normalcy
now? Or the pain remains extended in Q4 as well?
Nilanjan Roy
So we will have to see how it goes, it is a bit too early to say what is going to be the Q4
outlook on that. Rahul Jain
Okay. That is it from my side. Thank you so much.
Moderator
Our next question is from the line of Girish Pai from Nirmal Bang Secu rities.
Girish Pai
Yes. Thank you for the opportunity. I just wanted to understand with cost optimization
deals more in the pipeline and in the TCV, has the average deal tenure gone up in the
last couple of quarters?
Salil Parekh

So, thanks for the question. We don’t typically comment on the deal tenure in terms of public statements.
Girish Pai
Okay , you said that the third- party items, have given you a lot of traction in terms of getting deals . Now the number has gone up from about less than 2% of revenue to almost like -- I think this quarter is -- in this quarter, it comes to almost 6.5% of revenue. Do you see this number going up in the coming quarters and years?
Nilanj an Roy
Like I said, our offering i s quite holistic. In some cases, many of the cloud- based deals come with services, there could be licenses, there could be DaaS. So more and more integrated deals.
And then you go to IT as a Service, which is really sort of very holistic, we could see this. But I mean, it may vary from quarter to quarter, you could have some quarters which are up . But there's nothing to say that in the long run where this is going. It's a bit early to say that.
Girish Pai
Okay. And lastly, from a competitive landscape perspective in the vendor consolidation deals, who are the ones losing out? Are these the global MNCs or these are typically
Tier 2 vendors?
Salil Parekh
Again, on those, we don't specifically comment on where we are getting the benefit of the consolidation. We are seeing some benefits coming through with large clients.
Girish Pai
Ok, thank you very much. Moderator
Ladies and gentlemen, that was the last qu estion. I now hand the conference back to the management for closing comments.
Salil Parekh
Thank you, everyone, for joining us. F antastic to have our Q3 close out, 13.7% growth, 21.5% operating margin, $3.3 bn in large deals, very happy with that outcome.
We can see a guidance increase on our growth for that. And we can see both sides of our business on transformation, digital work and core services, cost automation working well.
And so we feel good with the current environment and how we can play and support our clients on both sides.
Thank you all for joining us, and we look forward to catching up during the quarter.
Thank you.
Moderator
Thank you. Ladies and gentlemen, on behalf of Infosys Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

“Infosys Limited
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3 Rishi Basu

A very good evening, everyone, and a very happy New Year. Thank you for joining Infosys' Third Quarter Financial Results. My name is Rishi , and on behalf of Infosys, I'd like to welcome all of you. Over the next hour with our management, we are going to have our financial results commentary. We request one question from each media house so that we can accommodate everyone over the next hour. As always, we will start with broadcast media and then move on to our other friends from media who are present here. With that, let me invite our Chief Executive Officer, Mr. Salil Parekh, for his opening remarks. Over to you, Salil.

Salil Parekh

Thanks, Rishi. Good afternoon, and welcome to everyone who is here on the campus and everyone who is joining us online. We are delighted to share with you that our Q3 performance was strong, with year -on-year growth of 13.7%, quarter -on-quarter growth of 2.4% – this in a seasonally weak quarter for us and amid a changing global economy.
We continue to take market share. We continue to benefit from consolidation. Growth in Q3 was broad -based , with most industries and geographies growing in double digits in constant currency. Our large -deal value was at $3.3 bn, the highest in eight quarters. With 32 large deals, this is the largest number of large deals in a quarter in our history, 36% of this is net new. Our pipeline of large deals remains strong. Our digital revenues grew at 22% in the quarter at constant currency and are now close to 63% of our overall revenue. Our core services revenue grew as well at 2.4%.

We are seeing growth in both areas of our business – digital and core services. This is a testament to our industry- leading digital capabilities, including our Cobalt cloud capability and our industry- leading automation capabilities, both of which are resonating with our clients. Our large -deals pipeline is seeing increased traction for automation and cost -efficiency programs. Strong growth was accompanied by stable operating margins at 21.5%. This was driven by healthy revenue growth and cost optimization benefits. Our voluntary quarterly annualized attrition continues to decline. It was reduced by 6 percentage points sequentially to well below 20% for this quarter.

While we are encouraged by the immense confidence and trust our clients have in us, the signs around are showing a slowing global economy. Some areas such as mortgages and investment banking in the Financial Services industry, Telco, Hi -Tech , and Retail are more impacted, and that is leading to delays in decision- making and uncertainty in spending in these areas. We are confident that the strength of our digital and cloud capa bilities and our automation capabilities will continue to position us well in this market. We are keeping a close watch on the global economy.

Our operating model and offerings are agile to deliver value for our clients in this evolving macro environment . Driven by a growth of 17.8% in constant currency for the first nine months
of FY'23 and the strong large -deal value for Q3, we are increasing our revenue growth guidance, which was at 15% to 16% , we are increasing it to 16% to 16.5% for the full financia l
4 year, despite the changing global conditions. We are retaining our operating margin guidance for FY '23 at 21% to 22%. We anticipate to be at the lower end of this range. Thank you.

With that, Rishi, let's open up for questions. Rishi Basu

Thank you, Salil. We will open the floor

for questions. Joining Salil is Mr. Nilanjan Roy, Chief Financial Officer, Infosys. With that, we have the first question from Ritu Singh from CNBC TV18.

Ritu Singh

Hi, thank you, you said you have increased your revenue gr owth guidance despite changing global conditions. What gave you this confidence? Why the revision up? What about furloughs, were they lower than what you were expecting from your comments in the last quarter?

Also, we have seen a significant rupee depreci ation during the quarter, and yet the margins have more or less remained flat. What is the reason for that? And any visibility you have on the FY'24 growth? Because you are talking about this difficult macro environment and yet you revised up your guidance . So, what are you hearing from clients in terms of their budgets? And these large deals that you say continue to be strong in the pipeline, are you seeing more renewals or newer deals that you expect to win?
And a word on attrition and hiring as well – do you expect it to continue to trend lower? I think it is the lowest in the last five quarters. And also, hiring is lower than the previous quarter – is it because you are anticipating lower growth? Any comment on that as well?
Salil Parekh
Thanks for the questions. I will try to get through most of them. On some of the points on margin, Nilanjan will jump in as well.

On the guidance, our focus is really on what we see as we closed out the quarter. We had exceptionally strong growth Q oQ 2.4% , YoY 13.7% , for the first nine months, we are at 17.8%. Then we had very strong large deals. At $3.3 bn, it is the largest we have had in eight quarters. And the number of deals is also a testament to the environment for us , at 32 deals, it was very strong. Given all of those factors, we saw that it was right to increase our guidance.
The point we made also is we do see that there are changes in the economic environment. We have called out, for example in Financial Services, beyond mortgages, investment banking; we have called out the T elco sector ; we have called out Hi -Tech and Retail. But keeping all that in balance, there were some things that give us a lot of support while we see other factors in the environment changing. B ut keeping all that in balance, we were ready to increase our guidance.
On attrition, before we go to the margin and so on , we have seen a steady quarter -on-quarter decline for the last several quarters. We believe many of the policies we have put in place to make sure that we are more and more aligned to where our employees are focus ed on, is
5 helping. And of course, the overall environment is also changing in the market. So, we see attrition continuing to go down.

On FY'24, we have no comments at this stage. We will absolutely look at it at the end of the quarter in Q4. On hiring, we have the number of hiring based on what we saw on the demand,
and we have also had a very strong hiring for the full year in FY'23 and also before that. And we are making sure that all of that hiring goes through our various training and is ready for deployment.

Nilanjan Roy
Yes. So , on margins, we are at 21.5%, and that is flat sequentially. A couple of reasons , and first you mentioned about the benefits of currency. So, we got a net benefit of about 40 basis points from currency, net of our hedges. So, that was one tailwind for us. We got another benefit of about 70 bps from our cost optimization, for instance, our subcon costs, etcetera.

And from a headwind perspective , there is about 30 basis points additional spend on our SG&A. And the balance, about 80 basis points, was traditional seasonality in the quarter, furloughs, partly because of our third- party costs. So, these are balance, 80 bps. So that is a broad walk ab out a flat 21.5% margin within our guidance, as you know, of 21% - 22%.
Rishi Basu
Thank you. The next question is from Ani

sha Jain from ET Now. Anisha sends us her questions on text. Salil, the question for you is , there has been a strong execution and deal
win in Q3 that led to the guidance upgrade as well. Can we extrapolate this to believe that the client budget will be robust and double -digit revenue growth will sustain in FY'24? And
could you give us a bit more insight on the trends you a re witnessin g in Europe and for verticals like BFSI and Hi -Tech?
And Nilanjan, for you, there is a question on margin, which you just answered. A follow -on question on attrition that is coming down sharply. Could there be a sharp reversal in margins from Q4 onwards? How are the pulls and pushes stacked for margins?

Salil Parekh
Thanks, Rishi. On the first part, I think we talked a little bit about why the margin was increased i n terms of what we see in the environment . We are not commenting obviously on the financial year '24 and what the guidance or growth in that year will look like. What we do see in terms of demand environment is what I shared earlier. We see some areas, for example, the mortgages area or the investment banking area in financial services, we see some areas in Telco and H i-Tech and some in R etail.

There is mor e variation we see in the European markets, more concerns on what is going on with the economy. The US market is also there, but relatively less so in the US compared to Europe. We will see how this plays out because this is not a scenario where it is the same for every industry. For example, we have seen extremely strong growth in energy, utilities, that part of our business, and we continue to see that in Q3. W e saw very strong growth in manufacturing, and we continue to see some of that traction in our business in Q3.

Rishi Basu

Nilanjan, the question on margin was attrition. Nilanjan Roy

Yes, so absolutely. So one is, of course, as you know, if you ha ve seen our utilization, in fact, that came as a headwind for us. We have built a large, fresher pipeline. They go through our training, like Salil mentioned, at Mysore. And they are on bench now. We are training them, reskilling them. And in fact, that wi ll give us some headroom, for growth looking ahead. So, the question partly about do we need to hire more, so we have a very substantial bench. And I think our utilization at about 81.7% is one of the lowest we have had. So, we have some headroom there.
Looking ahead, of course, subcon costs, we have brought them down. At one stage, we used to be closer to 7% of our revenue , we are at around 8.7% ; utilization is another factor. We continue to work on pricing, onsite -offshore, the pyramid itself, with the f reshers coming in will help us. So, the se are the levers, we will have to deploy as we look ahead, in the next few quarters.
Rishi Basu
Thank you, Nilanjan. The next question is from Sajeet Manghat from BQ Prime. Sajeet has a couple of questions. For Sal il, he wants to know, give us a sense of the demand environment
in North America, UK, and Europe. And have you seen a trend of small deal sizes compared to what we saw in the last two years? Do you foresee a slowdown in deal closures?
Nilanjan, your quest ion is again on margins, which has already been answered. So, I am not asking that again.
Salil Parekh

On the demand environment, similar view. I think we see different demand environment in different industries. And even within some industries, there is a variation based on the client. We a re also seeing much more demand today for automation, cost efficiency, operational improvement programs.

The size of the deals, as we see with $3.3 bn in large deals, we have a tremendous volume, 32 of those deals for this quarter. So we do see a change in the environment. But we see that both of our engines, the one for digital and cloud driving transformation and the one for automation driving cost efficiency, both are working and gro

wing for us.

Rishi Basu

Thank you. The next couple of questions are from ZEE Business, Kushal Gupta, and from Harshada Sawant from CNBC Awaaz. Both are on client and IT budget spending, which we have already answered. I will ask one question. What is the sense you a re getting from your 7 clients in terms of future pricing of deals? How concerned are you about Europe and what impact could it have on deal flows ahead?

Salil Parekh
Pricing, maybe Nilanjan will take. I will take the question on Europe.

Europe, I think we mentioned earlier that there are differences within the European economies. We are seeing today more economic changes in the European market relative to US. But even so, there is a factor of the industry. We are seeing good traction in some indust ries, for example, energy utilities, and that is across geography, while we see some constraints which are in Hi -Tech and parts of Financial Services.

Nilanjan Roy On the pricing side I think , we have seen a much more stable pricing regime than what we have seen historically. And part of that has been the high inflation we have seen in these economies as well and also because of the compensation hike . So some of that, we are trying to work with our clients to pass that on, and we have had some successes there.
Of course , things like discounts have actually come down over the years. So, I think this is a discussion we have by each client, and I think that is something which we will continue to work on irrespective for the year ahead.
Rishi Basu
Thank you. The next question is from Reuters News from Nandan Mandayam. Nandan Mandayam
I just want to know, how long do you expect the softness in BFSI to persist in the US? And also, if you could give us an insight into how you maintain around the same growth in Europe. And lastly, could you give us an insight into what FY'24 hiring is going to look like, both in the fresher and lateral terms? Is it going to exceed what we have seen in FY'23 so far?

Salil Parekh

So, on the BFSI, I think we do not have a defi nitive number in terms of when things are going to look different. Again, we see differences. There are parts of it, for example, mortgages and investment banking, where we are seeing some constraints on what they are doing with their business. There are other parts of Financial Services , which are not seeing those same constraints. We have places , where because of consolidation of partners, we are actually seeing some growth across some clients as well.
In terms of hiring, we have no comment today on our plans for FY'24. Those things, in any case, we wi ll not comment on the hiring number. We will, at the end of the quarter, lay out the guidance for growth and margin for next year.

Nandan Mandayam
8
Inaudible question

Salil Parekh
On Europe, I think we are fortunate to see a very strong growth. We have had a good focus on that geography for the past several years, and we continue to see traction from some of the work and programs that we have started a while ago.

Rishi Basu

Thank you. The next question is from The New Indian Express, Uma Kannan.

Uma Kannan
Congrats on a strong quarter. So, do you expect client spending to come down in Q4 and whether this includes reduction in workforce? And also, one more on automation that you spoke about just now. So Infosys has good capabilities on automation, AI, M L, how are you looking at this AI chat bot as you have invested in OpenAI also? So what will be the future or how does the future look like in AI? And how this will actually help in servicing your clients better?

Salil Parekh
So I think the first part of the question was more on what we see the client spend in Q4. I think our sense is the points that we have laid out with respect to different industries and different clients is what we are seeing right now in Q4. What we see going ahead, we wil

l describe for the financial year '24 as we come to the close of this year.

In terms of automation, we made tremendous progress, and that is one of the reasons, because we have used artificial intelligence, machine learning, we have benefited from clients' needs to be more efficient with their technology spend. And we have been at the forefront of what is going on with automation. And that is really the reason why we see both our digital business and our core services business growing.
On OpenAI, several years ago, Infosys had supported this initiative in a very small way through a donation. We s ee the progress they have made. Huge congratulations to what they have done. We have examples where we are using ChatGPT with client situations , that is starting to further increase productivity and automation. Rishi Basu

Thank you. The next question is from Haripriya Suresh from Moneycontrol.

Haripriya Suresh
Hi, good evening. I have one follow -up on ChatGPT. Just wanted to understand if Infosys at some point – I know OpenAI has since shifted from nonprofit to for -profit – will Infosys look 9 at putting more money? And how do you think it will impact coding and service delivery as well?

Another question is you had a very strong quarter, but do you think we will go back to a single -digit growth? And Nilanjan, just wanted to ask, last quarter, you had ment ioned that in H1 FY'23, you had hired 40,000 freshers. 50,000 was the target for this year. How many freshers were hired in Q3? And has that target been revised? Thank you.

Salil Parekh
On the first one, I think we have a huge focus and commitment through the past several years on automation, artificial intelligence, machine learning. We have no plans today which relate to anything in terms of an investment in any activity. But we are looking at the way to really work with and partner with, and there are many technologies which enable a way to do l ow-code/no- code enhancement or efficiency of building code faster. So we are working with several of them to make sure that we work with our cli ents on it.

Haripriya Suresh

In terms of growth?
Salil Parekh
On growth, we do not have a guidance for FY'24 at this stage. What we have is really the focus on Q4 and for FY'23. Nilanjan Roy Yes. On the freshers, I think the 50,000, we are short of that now, but I think we should be around that number by the time we end the year. So, we have continued to hire. Yes, I think about 46,000 we have done, if I am not mistaken.

Rishi Basu

Thank you. The next question is from Ve ena Mani from T he Times of India.
Veena Mani

Good evening gentlemen. So, a couple of questions on the HR front. With attrition coming down, will the pressure on giving out more bonuses and increments ease out for you? And also on this quarter's variable pay, on an organization average level, what is it going to be?
And if it is 100%, what part of your workforce will be covered in that 100% variable pay bracket?

And, also on the utilization, excluding trainees, it is at 81.7%. Is it largely because even in the existing projects, clients want to ramp down, want to bring down the number of billed resources or why is it exactly?

Nilanjan Roy
10
Yes, sure. So, I will take the second and then the first one. So, 81.7% utilization is la rgely because of our fresher's bench. That is the biggest reason and because we have been hiring so many freshers through the year and putting them into training. So, over a period of time, they will start going into production, because you cannot overnight put a new project and have them with all the freshers.

And like we have talked about in the past, it was an investment we are ready to make because you cannot overnight flip the model of putting freshers. And so, we are ready to make that investment and then start leading them into the production projects and rotate existing headcou

nt. So, we are not so concerned. Over a period of time, that will start actually helping us.

The second thing about variable pay, we do not disclose the amount of variable pay during the quarter, and that is just something in the past we have looked at pay out to each quarter on performance.

Veena Mani

Inaudible question
Nilanjan Roy Yes, that is been going on. Yes, absolutely. In fact, one of the projects is about helping us during this attrition - this whole project internally about predictability of promotions, and that continues unabated as people reach a certain seniority. And in certain leve ls, we are continuing that. Rishi Basu
Thank you. The next question is from Sai Ishwar from The Economic Times.
Sai Ishwar

Hi gentlemen, good evening. So Salil, in the press release, you have said you have gained market share. Could you actually explain in which markets or in which functions are you gaining market share? And, also about the deal win, it has come at an elevated number right now. So, do you think going forward, it is sustainable? And also, could you tell us what worked this time? Do you think your automation capabilities helped in terms of winning a lot of cost -based deals? Could you just give us more colour on t he deal pipeline and the wins?
Thank you.

Salil Parekh

So, on what are the reasons for some of these deals that we are winning or the size and scale of it, I think you a re absolutely right, the automation piece, the fact that we have a real strength and industry- leading capability has absolutely helped us. We think we are gaining market share, because if you look at the growth, average growth over the last 12 months, 24 months, 36 months, including in this quarter of the industry and you look at our growt h, we
11 think we are ahead of the average. So, we are gaining market share from people who are below that average and it is in multiple areas. We have gained tremendous market share on cloud because of Cobalt, on the digital areas on data, on analytics and a lso on cost efficiency and automation, because we have the ability to take large platforms and programs and make them more efficient for our clients.

Rishi Basu

Thank you. The next question is from Ayushman Baruah from The Financial Express.
Ayushman Ba ruah

Hello. Hi, Salil and team, wishing you a very happy new year, first of all . So, most of the financials have been asked. So, I have something from a technology point of view. Last year, we spoke a lot about Metaverse, right? Infosys has also invested into it. So how do you see the adoption among clients? Is it still in the initia l phases? Or have you seen the adoption pick up? That is one.
And number two is that last year, we also heard a lot about moonlighting, right? So over these months, has Infosys firmed up

any policies around moonlighting yet? Salil Parekh
So, on Meta, I think we are starting to see, as we discussed last time, some projects, some programs, especially as it relates to AR, VR in the manufacturing context, on a shop floor context, in an education training context and maintenance context. It is small right now, so it
is not a large part of what we do, but we are seeing a steady sort of improvement on that. On people doing gig work, we have made a clear statement a while ago. We are very much of
that same view. We have built internal capabilities to support that. We have had a program,
which internally we call Accelerate, which was put in place some years ago. And that program is being used to make sure it is done. We want to ensure, while doing all of that,
client confidentiality is always mainta ined. But outside of that, we want to make sure that the
employees have the ability to do some of this to improve and enhance their learning.

Rishi Basu

Thank you. The next question is from Haripriya Sureban from The Hindu BusinessLine.

Haripriya Sureba n
Hi guys. Salil, you spoke a

bout client spending. But specifically, when it comes to cloud, we
hear that people are taking a re- look at their cloud spend and maybe even rethinking how
much they are spending on it. So, what is it that you see on that front? What is your reading
on it? And given the current environment, are customers looking at vendor consolidation? And would that be helping you going forward? Thanks.

Salil Parekh

12 On cloud, it is a significant part of what we see within our digital portfolio. We have seen
good growth in digital all through the year and including in Q3. We do not split out the cloud
growth specifically, but it is in good shape for us as the cloud business is growing based on
Cobalt. Overall, we have seen that there is a fo cus in some of the industry or some verticals that I
mentioned earlier, where there is more attention to what should be done with these
transformation programs and much more focus now on how to be more cost efficient. So that
is going on as an overlay, but the cloud remains a strong part across all industries.
Haripriya Sureban

And on vendor consolidation?

Salil Parekh

On vendor consolidation, we see a tremendous benefit for us. We see many large enterprises
are starting to look at things which are more in selecting a very small set of partners. And in
many of those cases, Infosys becomes the preferred partner for our clients.
Rishi Basu
Thank you. We will move on to the next set of questions from journalists who have sent on
text. The first is f rom Jochelle Mendonca from ET Prime. Jochelle's question is one thing that we
have seen is Salesforce talking about a slowdown and there is talk about a slowdown on the hyperscaler side as well. Given that you are a strategic partner to these companies, wh at are
you hearing from them and your clients about the cloud, which has been a big driver of
growth?
And the other question is, given the uncertainty, could you give any colour on how close to
the growth your customer teams or any steps that you have taken to be able to capitalize
when we see an upturn?

Salil Parekh

On the cloud, I think it is similar to what we were just sort of mentioning. Essentially, there is
still emphasis on what is going on with the cloud. There are just different parts of the
industries that are doing things differently. So, if you look at, for example, in energy or
utilities clie nts, if you look at manufacturing, we see a huge movement today already with
cloud with all of the components of our Cobalt capability. But in some other industries, it is
less so. And therefore, overall, there is obviously less in that.

Rishi Basu
The other one was on the uncertainty. Could you give any colour on how close to the growth
your customer teams or any steps that you have taken to be able to capitalize for the time
when we see an upturn?

Salil Parekh

So there, I think we are positioned well with the fact that we have a very strong digital transformation capability. And even today as our clients are looking at it, that capability will become more and more critical as and when the overall economy also changes. And in that same time, the focus on cost efficiency will give us benefit. That is something that we can work on with clients to rationalize what they are doing with their spend across the technology platform.

Rishi Basu

Thank you. The next question is from Shouvik Das from Mint.
Salil, for you the question is , the per employee consolidated revenue declined further to $54,000 level, down over 6% Y -o-Y. Does this show that employee costs have still remained high in the sector despite falling attrition rate? And is this something tha t we expect to see in the coming quarters as well? For Nilanjan, a couple of questions. You have raised guidance for FY'23 on the back of a strong quarter. However, the number of active $100 million- plus customer s reduced by one during the quarte

r. Is that a factor of uncertainty coming from North America and Europe? And do you expect large deals to remain muted or even decline through the next quarter? This was already asked.
And there is another question. Revenue from India saw a 5.4% Y -o-Y constant currency decline, while the rest of the world, including Europe saw growth. What is the reason for such movement in market metrics?

Nilanjan Roy Okay. So, I will start with India. So, India is a very small portion with about 2.5% of our global business is from India. And a lot of the work we do with our clients is also volume and transaction -led. So, you will see these pluses and minuses on a quarter basis on the growth figure. But like as I again said, it is only 2.5% approximately our revenue.

The second one was about the revenue per person. I think that is just a reflection of our utilization over the year, which was about 88%, and now we are at 81%. So that is just the math of the overall RP P as such. So, our margins have, like I said, quarter -on-quarter, remained stable. So that’s a different way to look at the metric because we have also hired freshers during this time , who are sitting on bench and are in training in Mysore. But from a productive perspective, we have seen that utilization factor come down by only about one and a half percent during the quarter.

Rishi Basu

Thank you. The next question is from Shivani Shinde from Business Standard. In continuation to the earlier question on cloud, can you give some colour on cloud deals? If 14 cost transformation deals have gone up, why is the core revenue down in reported terms? Also, can you give some colour on the TCVs won this quarter?

Salil Parekh
On the deals, first, the reported terms have a lot of currency in it. So, we always look at our business on a constant currency terms. We think that ’s a metric, which is more stable and more indicative of how the underlying business is doing. So, the key for us there is the core is growing this quarter on a constant currency basis.
We don’t typically give out the average TCV on our deals. The reality is we have a huge large- deals number at $3.3 bn, and that makes a big difference as we look ahead into what is going on with the future of the business. On cloud deals, those really come back to what is the view of individual clients and within industries what ’s happening and then the overlay of the cloud as an ecosystem.
Rishi Basu

Thank you. The next question is from Reshab Shaw from the Informist. For Salil, you said Europe sees more stress, but segment revenue shows the region's share of revenue is going up. Going forward, do you see that changing? And what are the reasons that drove large deals even as you said there were delays in decision- making?
Salil Parekh
On Europe, to the earlier question about what is the overall economic environment like. We see the economic environment acr oss the world slowing. Within that, relatively, Europe seems to be more slowing than the US today. For our own work, Europe is very strong. We have had a really good platform there , put in place over the last 18- 24 months. And we are seeing the benefits of that coming through today and also some of the large programs that we launched in that last 18- 24 months' time frame.

Rishi Basu

Thank you. The next question is from Debasis Mohapatra from Deccan Herald. For Nilanjan, despite a fall in attrition and benefits coming from operational efficiency, why did operating margin not improve in Q3? Are large deals margin- dilutive in nature? When can we see revenue per employee inching up?

Nilanjan Roy

Yes. So, I think I have answered many of those. So, we have given our margin walk on 21.5% sequentially as well.
And the other one - large deals continue to perform well. You will see our overall strategy over the last four years since the large- deal strategy was put in place. At 21.5%

, we are actually well above where we started around FY'20. So, despite all the large deals, we have seen that , as we go through the deal cycles, we have seen the improvement in margins. And of course, new deals come into the funnel with lower mar gins, but that is a mechanism we have actually mastered, and I think that is something which we do every day.

Rishi Basu

Thank you. The next question is from Rohit Chintapali from Businessworld. This is a similar question in case you want to add any more colour to it. Your revenues from North America have declined sequentially and they have improved only marginally in Europe in Q3. This is in line with ICRA's report that predicts moderation of growth in the IT sector over the medium term. How do you plan to address these key markets as you expect tough times ahead?

Nilanjan Roy

If you look at our constant currency, we have grown in all the three geographies as R est of the W orld, in Europe and in North America. Of course, the growth rates are different. But we are seeing a very strong pipeline in all the markets, like Salil ha s mentioned.

Rishi Basu

Thank you. The next question is from Harichandan Arakali from Forbes. Two questions. One is on hiring in the context of looming recession that I think, gentlem en, you have answered.
The next question is , while there is the nuance of Infosys Cobalt and other such capabilities which may be useful to clients, overall, what does the recruiting scene look like in the coming few months?

Salil Parekh

On recruitment, I think we have already mentioned – first that we are increasing our growth guidance. We have talked about the recruitment that we have done across this year already. And as we see the demand environment building up, as we see utilization inc hing up, we will make sure that the recruitment utilization and the way we are training all of the college graduates makes it an efficient model for us to grow with them.

Rishi Basu

Thank you. With that, we come to the end of this Q&A session and the press conference. We thank our friends from media for joining us today. Thank you, Salil , thank you, Nilanjan.

Before we conclude, please note that the archived webcast of this press conference will be available on the Infosys website and on our YouTube channel later today.

Thank you very much and have a good evening.

Call: Apr 2023

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April 18, 2023
Dear Sir/ Madam,

Sub: Transcripts of the press conference and earnings call conducted after the M eeting of Board of directors on April 13, 2023
Please find enclosed the transcripts of the press conference and earnings call conducted after the Board meeting held on April 13, 2023 , for your information and records.

This information will also be hosted on the Company’s website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2022 -2023/q4.html

The audio/video recordings of the press conference and earnings call are also made available on the Company’s website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2022 -2023/q4.html

Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha
Company Secretary

“Infosys Limited
Q4 FY23 Media Conference Call”

April 13, 2023

CORPORATE PARTICIPANTS :

Salil Parekh
Chief Executive Officer and Managing Director

Nilanjan Roy Chief Financial Officer
Rishi Basu (Emcee)
Corporate Communications

JOURNALISTS

Ritu Singh
CNBCTV18.

Shilpa Phadnis
The Times of India
Jochelle Mendonca ET Prime
Chandra Srikanth
Moneyc ontrol

Sai Ishwarbharath
The Economic Times
Haripriya Sureban
The Hindu BusinessLine

PP Thimmaya
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Rukmini Rao
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Reuters News
Anisha Jain
ET Now
Tushar Deep Singh
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Harshada Sawant
CNBC Awaaz

Rishi Basu
Very good evening, everyone and thank you for joining us today at our Fourth Quarter Financial Results Press Conference. Glad to see a full house and we'd like to welcome our friends from media, our leaders from Infosys. My name is Rishi and on behalf of Infosys, I'd like to welcome our leaders, Salil and Nilanjan to this press conference. As always, like I say, we request one question from each media person, so that we can accommodate everyone over the next hour.
With that, let me invite our Chief Executive Officer, Mr. Salil Parekh for his opening re marks.
Over to you, Salil.
Salil Parekh
Thanks, Rishi, and good evening everyone here for joining in, and thank you for being here on the campus. We had an excellent full year performance in Financial Year 2023, with a growth of 15.4% in constant currency.
Our digital business grew at 25.6%, now being 62.9% of our overall revenue. And our core services grew as well at 1.9%. We had 95 large deals with a value of $9.8 bn for the year, 40% of which were net new.
Our operating margin for the full year was at 21%, and our attrition has continued to decline in each quarter of the year, including in Q4.
We are leveraging generative AI capabilities for our clients and within the company today , we have active programs and projects with clients, working with generati ve AI platforms to address specific areas, processes, and libraries within their business. We have trained open-source generative AI platforms on our own internal software development libraries. We anticipate generative AI to provide more opportunities for work with our clients and to enable us to improve our own productivity.
In Q4, we saw changes in the market environment. During the quarter, we saw unplanned project ramp -downs in some of our clients and delays in decision- making which resulted in lower v olumes. In addition, we had some onetime revenue impact. While we saw some signs of stabilization in March, the environment remains uncertain. This led to our Q4 year -on-year

growth of 8.8% in constant currency and quarter -over-quarter decline of 3.2%.

Our operating margin was resilient at 21% for the quarter. We had $2.1 bn in large deals in the quarter. Our pipeline of large deals is extremely strong. Several of these are mega deals and several of them are opportunities for cost and efficiency programs wi thin clients and consolidation opportunities. Based on our sustained momentum in the financial year '23, the strong pipeline of opportunities, especially the ones in cost efficiency and consolidation, while also keeping in mind the uncertain environment, our revenue growth guidance for this financial year is 4% to 7% in constant currency. Our operating margin guidance for the financial year is 20% to 22%.
Thank you, and over to you, Rishi, for our questions.
Rishi Basu
Thank you, Salil. We will now open the floor for questions. Joining Salil is Mr. Nilanjan Roy, Chief Financial Officer, Infosys.
With that, our first question is from Ritu Singh from CNBCTV18.
Ritu Singh
Hi Salil, Hi Nilanjan. Your constant currency revenue decline for the quarter is far worse than what the s treet was expecting. And then that sort of explains why your full year revenue growth guidance is missed, what you guided at 16% - 16.5%. I just wanted to understand where are you seeing softness? I re member reading your comments that your exposure to US banks isn't that large. What are the verticals that are seeing softness? And also on your margin guidance, which now for FY'24, you'v

e brought to about 20% to 22%. Again, last year, we thought it was an aberration because of higher wage bills, and the expectation was that it would be brought back to 21% to 23%, which is not the case. Could you tell us a bit more about why this?
And a second question on attrition as well, which has been coming down. If you expect that trend to continue in your hiring plans for the year, please? Thank you.
Salil Parekh

Let me start off with the market. Nilanjan will share a little bit about the margin and the other points we will come back to as well.
On what we saw in Q4, during the quarter, we saw some ramp- downs which were unplanned, and these were across different sectors. We saw some in Telco. We saw some in Hi tech, some in Retail and within Financial Services, it was on mortgages that we have talked about in the past, in Asset Management and Investment Banking. So those were the areas in which we saw things which were unplanned. In addition to that, we saw some onetime impact in the quarter. Now in terms of the margin, go ahead please.
Nilanjan Roy
Yes, I'll take that. So, we have ended the year, as you know, at 21%, and this has been pretty stable as the year has gone by. So, 21% was the full year margin as the exit margin as well. And in a way, it's a midpoint between 20% and 22%. It gives us the flexibility in t his year as well. So, we will have some headwinds which we will see with compensation, we will have some travel coming back. But we know with things like utilization, more automation, etc., we also have a runway to increase the margins. But this gives us t he necessary flexibility into next year.
Ritu Singh
With Infosys, like even with your revenue guidance last year, you started with something, and you kept increasing it every quarter. Should we expect some sort of upside risk to these guidance figures you have given us for this year as well for FY'24?
Salil Parekh
So, the guidance we have given is based on what we see from the deals we won $9.8 bn in the year, plus what we see with a steady business and the outlook we have in the demand environment today. So that is the way we build our guidance. That is the way we look at it. We don't have a view on what will change as the year progresses.
Nilanjan Roy

Sorry, what was the question again?
Ritu Singh
It was on attrition and hiring. Salil Parekh
Attrition an d hiring.
Nilanjan Roy
For next year?
Ritu Singh
Yes, for FY'24.
Nilanjan Roy
Yes, FY'24. So, looking at the volumes, one is , we have a lot of bench with us. In fact, over a long period of time, we have kept this bench. They are ready to move into production projects. But of course, they will take time as volumes come in their own pace. And of course, we have an agile model of hiring off campus as well. So as demand picks up, we have that flexibility as well. So, I think our model in terms of hiring has got enough flexibility to take care of new volumes. In any case, we have a rich bench, 80% utilization is what we have, and usually, we have operated w ell above that.
Rishi Basu
Thank you. The next question is from Shilpa Phadnis from The Times of India.
Shilpa Phadnis
I just wanted to understand from you, if you look at the guidance for the next year, it looks really understated. And way back in 2016 is when you had the low single -digit guidance that was re- revised downwards. I just wanted to understand from you, where are the headwinds

coming from? Is it largely in BFSI, last quarter also, you called out some account headwinds. Can you please take us th rough that?
Second, you said onetime impact. So, is it largely related to ramp -down or any other client - related issues? Can you please help us with that?
Salil Parekh
So, on the first, I'll address it

, Nilanjan will come back on the second one. We saw during the quarter certain clients where we saw these ramp -downs, which were not planned. And they were across the Telco sector, Retail, Hi tech and Financial Services, parts of which mainly focused on Mortgages, Asset Management, and Investment Banking. So it was across those industries that we saw some of the constraints that came up.
Nilanjan Roy
On the revenues onetime, so most of the decline in revenue actually was from volume and the impact of revenue onetime is a combination of cancellations actually, exactly what you said. So, the combination of cancellations and also some specific client issues. So, it's a combination of that, but most of the decline actually has been from volume.
Shilpa Phadnis
I had one last question. With the two presidents leaving the organization, do you see some sort of a restructuring that you are going to announce, you're going to break up some of the verticals which are anyway monolithic and you going to break it down into smaller business units, is that plan underway? And you ventured into the delayering exercise - top delayering, so I just wanted to understand from you that you have not called out replacements for the two presidents. Is Infosys breaking away from the past in terms of doing away with the president structure?
Salil Parekh
So, we have announced and rolled out internally a structure, which is focused on delivery with the exit when Ravi left. We are in position to now roll out the structure that would be for Financial Services as we move ahead. What we see is within Infosys, we have a strong

leadership team. And so, we are fortunate that the leaders are coming from inside and then we see more and more at the next level. There is no delayering plan within Infosys at all.
Our organization structure really is something we are building, which is agile and also quite solid to deliver our consistent trajectory that we have been driving through. We have, as you know, growth drivers on digital and growth drivers on cost and automation. And so those are the ones that we'll continue to drive. And we have probably the best delivery organization in the industry. So, we want to continue to enhance that with the team we have.

Shilpa Phadnis
So, the current responsibilities will be split between other lead ers in the organization?
Salil Parekh
Sorry?
Shilpa Phadnis
The current responsibilities of BFSI?
Salil Parekh
The leaders within the company will step up and also in delivery it is done. The next one will be done in the next few weeks.
Rishi Basu
Thank you. The next question is from Jochelle Mendonca from ET Prime.
Jochelle Mendonca
Hello, I want clarification on something you have said in the press release. You' have said that you have expanded your internal program on efficiency and cost to build a higher path to margins. I am asking this specifically because I am looking at headcount, and headcount fell in this quarter, but it fell more on the software professionals while sales and support staff actually went up marginally. So, could you give me some clarity on what this efficiency program is and

how it is feeding into how you look at the sales staff and what augments or detractions you might make on that front?
Salil Parekh
That I think is a very critical program. We were running it. In fact, N ilanjan was driving that with a very strong team. We have expanded the attention to that program during the last quarter. We have several methods in which we can do better in that program, whether that relates to automation, it relates to pyramid, it relates to onsite mix, relates to subcontractors, relates to travel. And also relating to pricing and how we can drive that within our system, given the inflation that all of us have seen.
What we are communicati

ng with that is that program gets a very focused attention. And we have within our internal way of looking at it, a path to bring us to the aspired margin that we
want, because we want to be at that margin as we go ahead. Having said that, we have low utilization that Nilanjan mentioned. We are going to make sure that we look after our people
with that commitment. We are going to make sure that we continue with the training, and that is an area we will continue our focus on. We are not going to take some short -term actions
against that and that will be a way to build it because over time, that is a team that will start to work on projects as well.
Rishi Basu
Thank you. The next question is from Chandra Srikanth from Moneycontrol.
Chandra Srikanth
Going by the guidance that you mentioned, can you give us a sense of the incremental revenues that you will be adding for FY'24? Because based on the back of the envelope calculation, I think it will come up to some $300 mn to $500 mn compared to the $3 bn that you added in the previous fiscal. So, can you give us a sense of how much incremental revenues you expect to add in FY '24?
And Salil, what are you hearing from clients? I mean, yesterday, the TCS management mentioned that discretionary projects are getting deferred. There are no cancellations or budget

cuts, but clients are spending wisely. If you can give us a sense of what the conversations are like, what kind of deal discussions are happening, and how impacted are you by the regional banking crisis in the US? I think JPMorgan recently said that you and TC S have the highest
exposure to regional banks in the US. So, if you can give us a sense of that because financial services have declined quarter -on-quarter and year -on-year?
Salil Parekh
The first part is on the regional banks, Nilanjan will come back wit h that. But on the first part -- two parts what you asked. One, on the incremental revenue, so as you know, we don't give a specific dollar number for that. But our guidance very clearly allows you to interpret it as 4% to 7% constant currency growth on the base, which now is closed on March 31. So, both reported and constant currency, we have those numbers. But that is our guidance, which will therefore give you the incremental revenue.

On what our clients are telling us. Now several industries where we ha ve talked about, Telecom, Retail, Hi tech, and parts of Financial Services, there are some clients which are seeing in their own business, whatever constraints they're seeing with the economic environment. As a consequence, we have noticed that some decisions were made during the quarter to stop some parts of the programs, not everything, but some parts of the program. And that's what we observed in the quarter. Plus, what Nilanjan and I also shared, there was some one-time impact in the quarter.

Now, what w e see going ahead, we saw some stabilization in March, but the demand environment is still uncertain. In the last quarter, we saw that certain banking situations were in the US and European geographies, impacting decision- making across the board. With that in mind, we are working very closely with our clients and supporting them, making sure that we remain committed to our clients as they go through their way of dealing with the situation that's changing. And we believe that as we did in the past, the clients connect with us will help us massively in the future as well.

Having said that, we have an extremely large pipeline, the largest pipeline we have seen in a long while, while there is still a slowing in the cycle of closing the deals, the deals are very

strong, and some of the m are mega deals. So, we feel good that there is a pipeline focused on cost and efficiency, and consolidation.

Chandra Srikanth

I think the Street was expecting 2

1% to 23% and I think you've given 20% to 22%. So again, what are the pressure points there? Is it rising onsite cost?

Nilanjan Roy

So, like I said, we have ended the year at 21% and in fact, the quarter closed at 21% and the full year is 21%. So, we have seen a very steady 21% and frankly, that is the midpoint between 20% to 22% and it gives us the flexibility to look at certain headwinds if they arise. There will be some increases like I just mentioned earlier, it will be in terms of travel and compensation. And of course, we have the whole benefit of utilization, the pyramid, etc., to work. So, I think that's a fair range. And of course , our aspiration continues to be to improve our margin profile.

Rishi Basu

Thank you. Next question is from Sai from The Economic Times.

Sai Ishwarbharath

Hi, gentlemen. So, looking at the guidance, I just wanted to ask, even last year, you had given guida nce and you had kept updating it, right? So, would you call this some sort of a misstep like kind of seeing the demand forecast as overestimating demand? And also, I wanted to know you were saying that a lot of project cancellations and the one -time impact were there. So, has that impact subsided, or should we also expect similar pressure in the pipeline that's coming? Also, for Nilanjan, I wanted to know the campus hiring target for FY ’24. Thanks.

Salil Parekh

Many of the things that Nilanjan and I shared earlier today were things that happened in the quarter. For example, some of the clients decided to slow down or stop some of the projects. So, these were things we had not seen at the start or at the end of last quarter, and that's what we felt. We have also seen some of that stabilizing in March, but the demand environment is

uncertain. So, we are making sure that we keep that in mind as we look ahead and remain agile as we look ahead.

Nilanjan Roy

So, on the freshers , like I said, we have a very rich bench now. We have hired more than 50,000, and we have said, we will hire 50,000. We actually had, I think, hired 51,000- odd last year. And a lot of them on the bench are getting skilled, are getting trained. So, we have quite a leeway for the n ext few quarters in terms of the availability of freshers. And of course, with our agile model of doing both college and off -campus recruitment, we can always turn that up. So, we have no specific number for FY ’24 at this stage. We have enough, actually , today sitting on the bench.

Rishi Basu

Thank you. The next question is from Haripriya Sureban from The Hindu BusinessLine.

Haripriya Sureban

Hi guys. Salil, you mentioned about slowdown. I just wanted to understand, is it more sentimental, or is it structur al? Why are these deals getting delayed? And on the ChatGPT part that you mentioned, are there any specific use cases that you guys are working on? And we keep hearing that ChatGPT could make a job redundant or something like that. So would roles change, and would the nature of jobs change? And are you internally training employees for these technologies?

Salil Parekh

The first part was?

Haripriya Sureban

Is it sentimental, around what you are seeing and the client behavior that you are seeing, is it sentimental because everybody is scared or is it structural?

Salil Parekh

So there, what we are seeing is some clients have made a decision to slow down or ramp-down projects. We see that across the different industries that I mentioned, Telecom, Hi tech, Retail, and parts of Financial Services. So, I don't know whether it's sentimental or structural, but we have seen that as the way the clients have interacted with us. As we were sharing, we saw some stabilization in March, but the environment is uncertain, so we will see how it plays out.

On Generative AI, we are working with multiple platforms. We are wor

king with open- source platforms, and we are working with proprietary platforms. We have active client projects today. The projects that we are working on are focused on large models within the client organization for different areas. And how Generative AI can take advantage of those large models and create something more efficient for the client.

And then, we are working on our own software development tool, on an open-source Generative AI platform. We are actually working with two of them. And we are building, we are training it on our software development libraries. We have already done that with several of our internal software library elements. And we feel quite good that these things are going to help us with client work, so more work and also with productivity.

So, it's really incredible how we think our organization has moved quickly into driving Generative AI within our business. And it’s now part of all t he new training as well because once you have it for your own software library, you can really deploy it very effectively.

Rishi Basu

Thank you. The next question is from PP Thimmaya from YourStory.

PP Thimmaya

Hi. Just have two questions. One is the kind of negative growth you saw in this Q4. I understand the SVB crisis, the banking crisis, the Credit Suisse, and UBS crisis, but was it expected? I mean such kind of deep cuts for Infosys as such from a revenue pe rspective ?

And secondly, the kind of revenue outlook you have given for the current financial year. Is this a long- term trend you are going to see that the overall growth rate is going to be under single digit -- maybe high single-digit or below 10% kind of thing?

Salil Parekh

So, first, every quarter, we look at where our large deals , overall wins plus the current work is. And we build in a bottom-up way, what our estimate is and what our forecast is for the period ahead for the financial year. And that's the guidance update or change that we gain, and we have given that consistently over the last several years. We saw a different kind of volume when we were at the end of last quarter. And then things changed during the quarter, which is what we shar ed with the projects ramping down.

Now looking ahead, first, if you look at, let's just say, the last couple of years, we had 19.7% growth the year before, and 15.4% this past year. So, we know that it depends on where the economic environment is and how we see that. We think our business has two growth drivers. When there is a huge change going on within our client organizations and they are putting in large investments there.

There is digital transformation, and we have deep capability in that. That comprises the cloud. We have a very strong capability on Cobalt. And then, when there are different areas where the client wants to focus on efficiency, costs, and even consolidation. We have a very strong capability in automation, our own AI that we have used for that in the past. So, we feel

comfortable on both of those dimensions depending on how the economic environment is.
Rishi Basu
Thank you. The next question is from Rukmini Rao from Fortune India.
Rukmini Rao
Salil, this is just an addition to what Shilpa asked on delayering of your leadership, your answer essentially meant that you are not going to have the president structure anymore. Would that be a fair inference, or do you plan to make changes again?
Salil Parekh
So, what we are doing is for the delivery organization, we have already put in place the new team and the structure. We have rolled that out. We have a lot of people because we have, I

think, a very good leadership team within the company. So, a lot of people are really energized and excited with the new roles that they're already playing. On FS, we will be rolling that out in the next few weeks.
Rukmini Rao
Okay.

Nilanjan, also, if you can give us some understanding around the reduction in the free cash flows?
Nilanjan Roy
No. So I think we had a very good quarter in terms of cash flow at $713 mn .
Rukmini Rao
On a year -on-year basis?
Nilanjan Roy
We had an 85% conversion of free cash. And I think as a percent of net profit, that's a very good conversion because also you have investment into working capital. Last year was very unique. We went above 100%, and the capex was low. We had other working capital benefits. There were some delays because of COVID in terms of our payments, which we had got benefits from governments on payments of taxes which came back this year. So otherwise, 85% is a very good ratio of conversion.
Rukmini Rao
Salil, also given that, the US macros look so weak and the commentary coming from various quarters also has been the same. So, would that mean that for Indian IT services companies, would there be opportunities to pick up, like, say, captives of non- core assets of, let's say, big bankers, and are there M&A opportunities that will come out of this slowdown?
Salil Parekh
We are seeing very good opportunities in the M&A environment. And this is a good environment. We have a very strong balance sheet, a very good way to deploy it. If we find a

company or an entity that fits in strategically, but also culturally and we have a way of integrating it, we will look at that.
Rukmini Rao
So, you are on the lookout?
Salil Parekh
Yes, we are -- but we are on the lookout at all times. But yes, this environment is a good environment for finding it.
Rishi Basu
Thanks, Rukmini. The next question is from Sethuraman NR from Reuters News. Sethuraman NR
Good evening, gentlemen. So, the question is, this weak, I mean, the soft outlook, is it going to drill down to your plans for hiring next year, as well as the increm ents and the variable pay? That is one. And do you see a recovery period over the next few quarters? Like, I mean, one or two quarters from where, you feel that the situation in North America will stabilize, or at least, if you have a hint? Also, is the softness overall coming from North America, or you are seeing pockets of softness from other regions as well, like Europe? And you also mentioned about the Generative AI. So, I just want to know whether this is in association with Open AI, where you have some stake, or how it's going to play?
Salil Parekh
I'll take the second one, which is on the softness. Nilanjan will come back on the first one. And I'll also talk about Generative AI. So, firstly , our view today is from where we sit today, which

is sort of in the middle of April, as we look out to our financial year. We will see how the economic environment, how the global environment evolves. It's not something that we have
a clear view of what it will look like for the full year. We have a good approach to building
what we consider our guidance, based on what work we have already got committed from

clients, what we have seen from the past that's continuing and then what we typically see in
Q3, Q4, and in most years. So that's how we have built our guidance, and that's the approach.
I think on the geography, we do see, more impact in US and less in Europe. And that's in our
numbers. You see the growth in the full year or even in quarter is stronger in Europe than in
US, even though there is growth in both for the full year.
On Generative AI, with clients, we have many projects going on. We are working on the Generative AI platform that the client has some interest in, where they have a preference. If
they don't have a preference, we have a certain set of reco mmendations that we have. We work
with both open- source platforms for clients, but also with platforms that they want, which could
be open sourced or proprietary

platforms.
For our own work, we are working on open- source platforms today. And we have the ability
to work on any Generative AI platform, because we have our software development libraries, and we can train them on that model.
Nilanjan Roy
On the first question, of course, as we build out the financial model for the year, we factor in
lateral hir ing. We factor in attrition, the questions around the freshers in the pipeline. And
therefore, and of course, we have a margin guidance accordingly built in. So, this factors in many of these things, including things like compensation, travel. So, the mode l actually puts
together all these various factors and has that flexibility to change each lever as per where the year will progress.
Rishi Basu
Thank you. The next few questions are on text from friends from media who have sent it to us.
I just want to make a quick announcement that we are going to consider those questions in the
interest of time which haven't yet been addressed. Most of our quest ions have been addressed.
The first question on text is from Anisha Jain from ET Now. And Anisha's question, Salil, is to you. Regarding the one -time revenue impact, you said in your opening comments, is there a
slowdown caused by a client -specific issue o r a specific sector, or is it broad -based?

Nilanjan Roy
Yes, like we mentioned, I think the majority of the revenue slowdown is from volume. And
part of the one -timer, which is on revenue, is a combination of one -time client issues as well
as client cancel lation, in a way which is a subset of the ramp-downs.
Rishi Basu
Thank you. The next question is from BQ Prime. Tushar has sent us two questions, one for Salil and one for Nilanjan. For Salil, what is the rationale behind the revision in guidance, given
the weakness in the BFSI space? For Nilanjan, how do we see deal -making and margin panning
out over the next two quarters? Is growth likely to return in a hurry?
Salil Parekh
So, on the first one, in that sense, there is no revision in the guidance because it is the start of
our financial year. So that is our guidance for the year. There is no revision in our guidance.
Nilanjan Roy
Yes, I mean, I think, we see the guidance in the context of the macro environment, which we are sitting in now, right? And that, of course, can change. But the other thing is we have a very
strong pipeline. In fact, our large -deal pipeline is the strongest ever we have had. And in a way,
that gives us the confidence, at least as the year progresses, that we will have some conversion of this. And the second half of the year, we will definitely see a definite improvement, which
is why the four to seven band, we have widened that band exactly for that reason.
Rishi Basu
Thank you. The next question is from Kushal Gupta from Zee Business to Nilanjan. What are
the tools available at your end to safeguard the margins ahead, given the current scenario
remains like this for some more quarters?
Nilanjan Roy

Yes. So, I think four or five of them, which straightaway we know, I think our automation capabilities are tremendous. I think it is the biggest source of our margin improvement. And of course, with new tools coming in, I think we can see more -and-more productivity increases.
The one which is sitting out there really is utilization. I think at 80%, we know we have a large headroom to improve that. Onsite offshore mix, which post -COVID, slightly went a skew because, of course, there was some travel which went back. That now strategically can be looked at and as we can offshore more work.
Definitely on the pyramid side as well. So, as freshers' go into the pyramid, you will get a benefit really on the production workforce. So today, the bench has a double whammy on cost because you have idle people and, of course, you have a rich pyra

mid in terms of a very top-
heavy pyramid. And as freshers' go in, you will be having that benefit as well.
So, there are multiple levers, which we have. Pricing is one of them. Sali l mentioned that as well. We continue to work with our clients where we can put COLA clauses into our deals, where we can sell with new innovative commercial constructs. Of course, the environment is tough. The good news is we have not seen, for instance, a return back to a heavy discounting environment. We are making sure that we are continuing to push back on our clients on
discounts, etc., and that really has stayed even during this time.
Rishi Basu
Thank you. The next question is from CNBC Awaaz for Sa lil. Has the sentiment worsened among clients? Is there fear of further uncertainty or just caution? Does the uncertainty and delay in decision- making make it likely to play on the pricing of deals in the coming quarters?
Salil Parekh
So there, the way we saw -- during the quarter we saw some of our clients looking at ramp-downs in their projects, and then there were some one -time impact on revenue. These were spread across different industries. There were some in Telecom, some in Hi tech, Retail and parts of Financial Services. We see some stabilization in March, but the demand environment is uncertain. So, we will watch it and with agility and adapt to it.
Rishi Basu

Thank you, Salil. With that, we come to the end of this press confere nce. We have perhaps 10 more minutes in case anybody would like to ask another question. Jochelle. Please go ahead -
- Thimmaya, please use the microphone because we have to record it?
Thimmaya PP
We would like to know about the sharp drop in client addition in the fourth quarter of FY’23, any particular reason for that?
Nilanjan Roy
No, I think it's probably to be seasonal. I don't have the exact number offhand.
Thimmaya PP
Because your own fact sheet shows that you added about 115 clients in fourth quarter. And December quarter, it was 134, and if you look at a year back…
Nilanjan Roy
There is nothing specific really at all. I mean, 115 clients on a large base of about 1,900 clients. So that happens, the ups and downs that happens. We also loose some clients, and we add, in fact, net more than a loss . So, I don't think anything specific in that.
Rukmini Rao
Nilanjan, also, in terms of the utilization, whether it's including the trainees or excluding, given that you are going into a difficult year, is there any sort of a number that you are working with
in terms of improving your utilization?
Nilanjan Roy
Of course, as we look, as the year progresses, we will have different targets for, as the quarters progress. Because you can't put all the freshers into on day one into programs. So, it depends on the kind of work that you will have. You will have T&M work, FP work. So, it's literally horses for courses. Which programs come in, how many freshers can you put in, in large deals, by default you can put in more freshers. So, it's quite complicated.

Rukmini Rao
But given that your revenue guidance is not great, that would mean to say that you'll not have as many work, or…?
Nilanjan Roy
No, that is of course a headwind. So, one of the ways you get around that is on existing deals. So, if a current project is three years old , you move people out from an existing deal, which is three years, well into tenure, move up the people into higher roles, put freshers in, and move those experienced people into other deals. So different ways you can play this game as well. But yes, of cours e, I mean, if you don't have those large volumes , there is a bit of a headwind in terms of how much we can deploy.
Rishi Basu
Rukmini , thanks. Jochelle had a question. Shilpa, one sec. Jochelle had a question, and after Shilpa's, we'll close the conf

erence .
Jochelle Mendonca
So, it's a broader question. Over the past few months, we have seen companies say that they have record high deals, strong deal wins, and with Accenture announced 19,000 job cuts, or in the case of TCS, say, the market is still uncertai n, and have issues with not as strong growth as maybe the market had expected. Could you give some color on why there may be this disconnect between strong demand and high deals, and good deal wins and large deals, that's not somehow flowing into the reven ue line?
Salil Parekh
Jochelle, it'll be difficult for me to comment on those two companies.
Jochelle Mendonca
No, I mean a broader industry thing, because I think, you have had good deal wins this quarter. It's not terrible deal wins for Infosys.

Salil P arekh
For us, I think, for Infosys, we have had very strong year in terms of wins, $9.8 bn, and that is what we see the growth guidance that we have given, 4% to 7%. Then we saw in the quarter some of the ramp -down. So, there is always some additions, and then this what we had not seen at the end of last quarter, those ramp -down. So, then we balance those two things as we give the guidance.
Jochelle Mendonca
Slowdown is so bad that it's offsetting the remarkable deal wins we saw in the quarter?
Salil Parek h
There, the way we look at it is, we had very good large deal wins. And then we had some clients where we had ramp -downs.
Rishi Basu
Shilpa, you had a question?
Shilpa Phadnis
Yes. The revenue productivity has dropped sharply. And that too, it’s on a consolidated basis with all the subsidiaries added. It’s $53,400 vis-à-vis, $57,000, nearly $58,000 last year. So, if you can help us understand that – revenue productivity per employee?
Nilanjan Roy
So, this is just your total revenue by headcount. And in a way, our utilization, if it's down from 88% to 80%, straightaway, mathematically, you have a 10% reduction. So, that's just the impact of utilization. So, we are just carrying many more freshers than we did last year. That is as simple as that.
Shilpa Phadnis

And in terms of the renewals, are clients taking longer than usual to renew? And hence, the revenue recognition hasn't happened. Is that one of the reasons why you see more slower closures?
Salil Parekh
There, what we are seeing is in a large deal pipeline, we have seen an expansion in the time to close a deal. So, it's not specific to a renewal or to something new. It's more that in the large

deal pipeline, we have seen that. And then once it's closed, then it flows in, once it's closed, there is no other constraint on how the project starts and so on.

Rishi Basu

Thank you. With that, we come to the end of this press conference. We thank our friends from media for being part of this press conference. And thank you, Salil. Thank you, Nilanjan. And thank you to all our leaders from Infosys who were with us today. Before we conclude, please note that the archived webcast of this press conference will be available on the Infosys website and on our YouTube channel later today. Thank you, and please join us for some tea outside.

"Infosys Limited
Q4 FY23 Earnings Conference Call"
April 13, 2023
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Morgan Stanley

Sudheer Guntupalli
Kotak Mahindra Asset Management

Surendra Goyal
Citigroup
Keith Bachman
BMO Capital

Abhishek Kumar
JM Financial

Moderator
Ladies and gentlemen, good day and welcome to the Infosys Limited Earnings
Conference Call. As a reminder, all participant lines will be in the listen -only mode.
Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
After today's presentation, there will be an opportunity to ask questions. To ask a
question, you may press star then one on your telephone keypad. To withdraw your
question, please press star then two. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep Mahindroo. Thank you and over to you,
sir.
Sandeep Mahindroo
Thanks Inba. Hello, everyone, and welcome to Infosys f inancial results for Q4 and FY
'23. Joining us here on this call is CEO and MD, Mr. Salil Parekh, CFO, Mr. Nilanjan Roy, and other members of the senior management team. We will start the call with
some remarks on the performance of the company for the recently concluded quarter
end year by Salil and Nilanjan, subsequent to which the call will be opened up for
questions.
Please note that anything we say that refers to our outlook for the future is a forward-
looking statement that must be read in conjunction with the risks that the company
faces. A full statement explanation of these risks is available in our filing with the SEC,
which can be found on www.sec.gov
.
I would now like to pass it on to Salil.
Salil Parekh
Thanks, Sandeep. Good evening and good morning to everyone on the call and thank you for joining us.
For the full f inancial year 2023, we had a good performance with growth of 15.4% in
constant currency. Our digital business grew 25.6%, now being 62.9% of our overall
revenue and our core services grew as well at 1.9%.
We saw broad based growth across our business segments, with most in double digits.
We had 26% growth in Europe and 12% in the US.
We had 95 large deals with a value of $9.8 bn for the year, with 40% net new . Our
operating margin for the full year was at 21%. We generated free cash flow of $2.5 bn
in the year. Our attrition has continued to decline in each of the quarters through the
year.
We are leveraging generative AI capabilities for our clients and within the company. We have active projects with clients working with generative AI platforms to address
specific areas within their business. We have trained opensource generative AI
platforms on our internal software deve lopment library. We anticipate generative AI to
provide more opportunities for work with our clients and to enable us to improve our productivity.
In Q4, we saw changes in the market environment. During the quarter, we saw
unplanned project ramp downs in s ome of our clients and delays in decision making,
which resulted in lower volumes. In addition, we had some one -time revenue impacts.
While we saw some signs of stabilization in March, the environment remained
uncertain. This led to a Q4 year -on-year growt h of 8.8% in constant currency and
quarter -on-quarter decline of 3.2%.
Our operating margin was at 21% for the quarter and we had $2.1 bn in large deals in
the quarter. We generated $713 mn of free cash flow in the quarter.
Our pipeline of large deals is extremely strong. Several of these are mega deals and several of these opportunities are for cost and efficiency programs and for consolidation
projects.
Some industries such as financial services (in Mortgages, Asset Management,
Investment Banking), Telecom, Hi -Tech and Retail are more impacted, leading to
uncertainty in spend and delays in decision making. The US geography is more
impacted than Europe.
Keeping in mind the current environment, we have further expanded our internal efficiency and cost prog ram t

o work on our pyramid, onsite ratio, automation, travel,
subcontractor cost, office consolidation and on pricing. We anticipate this program will
build a path to higher margins in the medium term.
We are committed to investing in our people in this pe riod. We are committed to
working with our clients as we deal with changes in the economic environment. Based on our sustained momentum in financial year '23, a strong pipeline of
opportunities, especially focused on cost, efficiency and consolidation, while also
keeping in mind the uncertain environment , our revenue growth guidance for this
financial year is 4% to 7% in constant currency. Operating margin guidance for this financial year is 20% to 22%. Thank you.
With that, let me hand it over to Nilanjan .
Nilanjan Roy
Thanks, Salil. Good evening, everyone. And thank you for joining this call. FY '23 was a year of two halves, mirroring broader macroeconomic conditions. Growth
was extremely strong in H1 with 20%, year -on-year constant currency which reduced
to 11.2% in H2 due to the slowdown in verticals like telecom, high- tech, retail, and
parts of financial services. Q4 came in slower than expected due to some specific client
ramp -downs in discretionary spend and delayed client decision- making on new deal s.
In addition, we had some one -off revenue impacts, including project cancellations, etc.
Despite the above, we closed FY '23 with a strong 15.4% growth in constant currency, leading to continued market share gains.
Operating margins for Q4 and FY '23 we re at 21% in line with our guidance. Free cash
conversion to net profit for FY '23 was near 85%. FY '23 EPS grew by 1.3% in dollar
and 9.7% in rupee terms.
Client metrics were strong with the number of $50 mn clients increasing to 75, $100
mn client counts increasing to 40, and $200 mn client counts increasing to 15.
LTM voluntary attrition declined to 20.9%. Quarterly annualized attrition reduced by
over 4% sequentially and is the lowest in the last nine qua rters. This is also well below
pre-pandemic levels.
Coming to Q4 performance, revenues grew by 8.8% year -on-year and declined by 3.2%
sequentially in constant currency terms due to the reasons mentioned earlier.
Utilization declined to 80% on the back of softness in demand. We expect the utilization
to improve gradually in the coming quarters as freshers starts getting deployed.
We will calibrate the hiring for FY'24 based on available pool of employees, growth
expectations and attrition trends.
Q4 margins were at 21%, which is a decline of 50 basis points sequentially. Major
components of sequential margin movements are
- tailwinds of 50 basis points on cost optimization, including reduction in sub-con.
- 60 basis points benefit from reduction in PSCS, which is post sale customer
support.
Offset by a headwind of about
- 70 basis points from a drop in utilization and
- the balance 90 basis points with a combination of revenue one -timers as
mentioned above, partly offset by other savings.
Q4 EPS grew by 0.2% in dollar terms and 9% in rupee terms on a year -on-year basis.
Our balance sheets remained strong and debt- free.
Consolidated cash and equivalents stood at $3.8 bn at the end of the quarter. Free cash flow for the q uarter was robust at $713 mn with a conversion of 95% to net profit.
Yield on cash balance was 6. 66% in Q4.
The board has recommended a final dividend of ■ 17.50 per share, which will result in
a total dividend of ■34 per share for FY '23 versus ■31 per s hare for FY '22, an increase
of 9.7% per share for the year. Including the final dividend and recently concluded
buyback, we have returned 86% of FC F to shareholders over the last four years under
our current capital allocation policy.
In Q4, we completed the open market share buyback of ■9,300 crores, buying back 1.44% of shares at an average buyback price of ■1539 versus a maximum buyback price
of ■1850.
ROE increased to

31.2% in FY '23 from 29.1% in FY '22 as a result of higher payout
to investors.
Comi ng to segment performance,
Large deal momentum continued, and we signed 17 large deals in Q4. TCV was $2.1
bn with 21% net new. Five large deals were in manufacturing, four in FS, three in CRL,
two each in Life Sciences and Hi -Tech, and one in EURS.
Regio n-wise, this was split by ten in America and seven in Europe.
In FY '24, we signed 95 large deals with TCV of $9.8 bn with 40% net new.
Coming to vertical segment performance,
Financial services vertical was impacted by budgeting delays at the start of the year led

by macroeconomic uncertainty coupled with softness in m ortgages, asset management and investment banking. However, our strong pipeline and large deal -wins in areas like infra, production support, cybersecurity and business operations is helping in better visibility for FY ‘24. We have a very diverse portfolio of clients in the US a nd hence, exposure to multiple regional banks is less than 2% of our overall revenues. We do not anticipate any material impact on our operations a s a result of recent news and regional banking segment.

In Retail, there is heightened focus on accelerating digital transformation to enable top line growth with rigor in ensuring budgets get spent on right programs to maximize ROI. While there is some pr essure on discretionary tech spending, companies are prioritizing investments in key areas such as e -commerce platforms, supply chain management systems and customer engagement tools.

Manufacturing segment continues to see ramp- up of large deal wins and be nefits of vendor consolidation. There is increased focus on digital spend, including opportunities on ER&D, 5G and industrial IoT. Increased energy prices and interest rates coupled with continuous supply chain disruptions is impacting spend on the run side of the business, especially in Europe.

Communications segment is witnessing increased opex pressures, cost cutting ramp-downs and delayed decision- making. Demand for ideas and solutions are moving from cost takeout to revenue growth side with heavy focus on customer success. Cloud and mobility remain top driver for 5G adoption. Overall pipeline remains strong, which gives us the confidence of growth opportunities in the coming quarters.

The positive momentum in energy utilities resources and services for FY '23 was supported by large deal wins. Our renewed strategy to re -pivot our offerings and developing integrated Energy as a Service solution and the focus on the journey to net -zero initiative has positioned us well ahead of competition. While we are s eeing delays in kicking off discretionary spend projects, the cost takeout and vendor consolidation initiatives continue to pick momentum.

We expect our revenues to grow by 4% to 7% in constant currency terms in FY '24.

Our pipeline of large deals remains extremely strong with increased focus on cost takeout programs. Operating margin guidance stands at 20% to 22%. The margin guidance factors in growth assumptions for FY '24, impact of utilization, employee cost increases, further normalization of costs li ke travel, facilities, etc. We continue to focus on various cost optimization and efficiency improvement measures.

As we look beyond FY '24, we believe we have various levers to generate more efficiencies like improving utilization, reducing subcons, improving pyramid apart from growth acceleration and potential pricing increases, which will enable us to aspire for higher margins over time.

With that, we can open up the call for questions. Moderator

Thank you very much. Ladies and gentlemen, we will now begin the question- and-answer session. Our first question is from the line of Yogesh Aggarwal from HSBC. Please go ahead.

Yogesh Aggarwal

Yes, hi, good evening, couple of questions. Firstly, while the quarter was weak, the guidance at the upper end still l ooks very solid whe

n we just mathematically look at the sequential build up from here. So, is that 7% based on some macro pickup or is it what you see today 7% is possible? And related to that, Salil, in general, the demand and the growth picked up post -COVID. So are we back to pre- COVID growth rate of 5%, 6%, 7% or FY '24 is one -off? And we can see a pickup from FY '25. And then I have a follow -up, please.

Salil Parekh

Hi, Yogesh, this is Salil. I didn't catch the second one. I'll go with the first question, then you can just repeat the second one. On the guidance, what we have built it with today is, what we see with the deals we have sold and the ongoing work that we have and then put the range between 4% and 7%. There are different scenarios in which different things happen. We have widened the band to three points given the uncertainty in the environment. We also have a very strong large deal pipeline with some mega deals in the pipeline. Of course, these are always binary. But given the strength of the pipeline, we believe that there is, ways that we can achieve the high end of the band of guidance.

Yogesh Aggarwal

Got it. So, I was asking, the second question was 4% to 7% is almost going back to pre -COVID growth rate. So, is it like the new normal again or we can expect some pick up again from FY '25? That is one. And also, Salil, I wanted to ask you on the recent management exits. Just recently, you had two President s and COO. Now all three are not there for whatever reasons. So, has it impacted the business by any chance? And what is the new structure? Are you going to replace them or is it in, the new structure

doesn't need Presidents and COO.
Salil Parekh
So, on the first one, as of course, we don't provide a view or a guidance beyond this financial year. Underlying the way we see the business, we see two growth drivers. And we are well positioned on both in terms of capabilities and track record. One is on digital transformation, comprising of cloud and other elements and one is on cost efficiency, automation and an additional element, which is on consolidation that comes in through that.
We see both of those drivers working. We have seen a reduction in the digital transformation work today. We see more in the cost and efficiency and consolidation play today. But going through and depending on where the client is, what the environment is, we feel comfortable for both of those drivers to work over time.
In terms of t he structure, we have put in place a structure for the delivery organization, which is already rolled out. And in the next few weeks, we'll roll out the new structure for our FS team. So, we feel good with the leadership pool that we have within the compan y, who are moving up to take a broader role and a larger role , and that they will step up and deliver what we are driving to.
Yogesh Aggarwal
Very helpful. Thank you so much Salil.
Moderator
Thank you. Our next question is from the line of Bryan Bergin from TD Cowen.
Bryan Bergin
Hi. Good evening. Thank you. I wanted to ask on the growth outlook first. At the midpoint of your 4% to 7% range, can you give us a sense on how much of the backlog is already in hand versus having to go out and convert upon the pi peline to achieve that growth target? And does the amount that you have to sign in that pipeline to hit the target differ relative to prior years at this time?
Salil Parekh
Hi, this is Salil. Thanks for that. We don't have a specific number there that we s hare externally. What I can share is, we see through this past financial year, we have had a good, large deals booking, $9.8 bn with 40% net new and we see a set of very strong active relationships, some of them are expanding through the year through other work. And then we saw in Q4 during the quarter , some ramp downs. So, keeping those factors in mind, we have built the guidance of 4% to 7%. And we see that we have the ability to deliver

on that guidance.
Bryan Bergin
Okay. And my follow -up is kind of on margins here. So, you've cited internal efficiency programs that you are going to progress upon, I think, pyramid, office consolidation and other items. Is there a stated target of cost reduction that you are expecting to achieve? So, a run rate of operati ng margin expansion? Just trying to get a sense of how you think about the structural margins of the business, assuming the efficiency initiatives you've cited?
Salil Parekh
So, there, we put together an internal plan with targets and, a road map for each of the subcategories that we outlined and a few others. And we have a view to drive that through the next period here in the coming quarters. We have not shared that target externally, but our view is to make sure that we put in place, execute on that programs in place and deliver to that in the medium term.
Bryan Bergin
Thank you.
Moderator
Thank you. Our next question is from the line of Ankur Rudra from JPMorgan. Please go ahead.
Ankur Rudra
Hello, Thank you. The first question is on, I just wanted to get a bit more color, if you can, on the reasons for the very sharpness on revenues and margins versus the guidance. Why did it surprise you? And how much of the demand environment has existed through the quarter or versus what probably came in the last 30 days? That is the first one.
Salil Parekh
So, what we saw there was during the quarter, as the quarter progressed, we saw some clients ramped downs on programs. And this was across different sectors - Telecom, Retail, Hi- Tech and parts of Financial Services - mortgages, investment banking, asset management. And that was something which were unplanned as we went through. And then additionally, we had some one -time impact, which we saw in the quarter as we ll.
Ankur Rudra
Would you be able to elaborate on the one -time impact, Salil?

Nilanjan Roy
Yes, so I think firstly, the majority of the decline is volume -led. The balance of the revenue is one -timers which is a combination of specific client issues including the impact of cancellations as well, which is just a top line impact, more and more over and above the volume impact. So that is the state of play, really for the quarter.
Ankur Rudra
Okay thank you. On the guidance, I just wanted to get a sense, looking at what happened in the quarter and the uncertainty in the environment, are you turning more conservative for the guidance setting process for F Y24 both on the revenues and the margins versus what you may have done before? And also along with that, if you can share what is the visibility that you have at the moment for the full year versus what you may have had at the beginning of last year?
Salil Parekh
So there on the guidance, we took into account what we see typically as we close the year in March on what we have had in new large deals and overall new deals. And the ongoing work that we have across our client base. And that basically becomes the foundation of our guidance. Typically, again, as you know well, we don't have a detailed view of Q3 and Q4. So, we have more typically estimates from other years that we use. And that is the same approach we have used this year from what we see as we look out. And the same on margin we finished the year at 21%.Utilization in Q4 is low compared to what we want to target. We have a very strong efficiency and cost program but within that program we are very clear that from an employee perspective we will continue with our commitment with employees. And so, the utilization will go up through the quarters but in the m edium term, we will get that impact back into the margin and that is how we build the ‘20 to ‘22 margin guidance.
Ankur Rudra
Understood. Just a last question on the leadership, I think this was attempted before, clearly there has been departures as you know / acknowledge. And some of them have gone to competition, pr

obably will drive hungrier peers going forward. Do you think you are losing muscle and increasing the roles and responsibilities at a more concentrated leadership team? At least I've seen this from the outside , at a time when the industry is facing a tougher period this year?
Salil Parekh
Sorry Ankur, I didn't follow you. You said, will we have concentrated leadership or?
Ankur Rudra
Yes, the concentrated leadership and basically more roles and r esponsibilities . As an example, on your door or Nilanjan's door versus having three other very senior leaders helping you with a wider leadership team.
Salil Parekh
Okay. What we have seen and what we know is within the company, there is a very strong set of leaders across different roles. On delivery, many of them have now stepped up. And clearly any role as you start to step up to delivery and leadership within a large company like Infosys becomes more concentrated. And that has been announced and rolled out and the same will happen with FS where we are rolling that out in the coming weeks. FS segment of course, is a large segment for us. So those will be concentrated in that sense. So we will have a leadership structure with a very strong responsibility for several of the senior leaders.
Ankur Rudra
Understood. Thank you and best of luck.
Moderator
Thank you, our next question is from the line of Kawaljeet Saluja from Kotak. Please go ahead.
Kawaljeet Saluja
Yes, hi. I have a couple of questions. The first question is on the guidance once again. Is it back ended or guidance that you've seen with growth through the course of the year? And related question to the guidance is that given the deterioration in the macro environment along with the huge miss i n the 4Q, along with weak signings do you think you have been watchful in your guidance for FY ‘24? You know, has the process been tightened. Any thoughts on that would be welcome?
Salil Parekh
Hi, Kawal. This is Salil, on the revenue growth guidance , the thinking is really spread over the four quarters. I'm not sure I would say it is front or back but it is based on what we see in the large deals today. And also, in the pipeline that we have, where we do have some mega deals in the pipeline. So, that gives some weightage to the guidance given where those deals will come in the, later on in the year itself. The second one, sorry, Kawal was, are we more conservative? Is that the point?

Kawaljeet Saluja
No, has the process of guidance have been tightened , or rather the forecasting process
has it been tightened given the magnitude of miss in your revenues in the quarter, which obviously would have shocked you as well. You know, have you basically built -in
better cushion, greater cushion in your guidance for FY ‘24? Or is the process and the underlying assumptions the way it used to be historically?
Salil Parekh
So we have tried to put in place what is changing or changing and uncertain economic environment which where we saw some of these impacts. So, those factors have been taken in as we build this guidance.
Kawaljeet Saluja
Okay and the second question that I had is on profitability. You know every company would you know I mean want to operate at a certain base level of profitability. Now in Infosys’s case, this profitability has been drifting down and the profitability guidance is down to 20% to 22%, which is a new low. How should one think about the underlying operating assumptions behind these deal wins you know, and the process of bidding for large deals? And how does that tail in now with the underlying base of profitability aspirations and rather assumption that you have? S o how should one think about structural profitability, if you may?
Nilanjan Roy
Hi, Kawal. Yes, so I think if you step ba ck a bit into the last year and a half, I mean, basically the whole chasing of this demand side, three compensation hikes in 15 months, stretch salaries - al

l that in a way has made our structure bit inefficient . And in
a way, part of that today is the reve rse that you are sitting with 80% utilization whereas you want to be at much higher levels and the pyramid is not as efficient because you had to get talent from anywhere when the market was hot.
So, we have seen a lot of these sort of things during this period where we can identify these pockets sub -con rising to 11.5%. So, we were clear that we had to go behind getting the volumes in and we knew we had time to correct the margin structure. And therefore, that is fundamentally what we still believe in. Ou r guidance is just today at a midpoint at the end of the year at 21%. And we have enough flexibility guidance in this between 20% to 22% and in- a-way 21% is just a midpoint of that. To take care of firstly of course there may be some headwinds coming because of compensation, there could be something on travel. But at the same time you have levers of improving our utilization at 80%, really which is probably on the lowest I have seen. We have other opportunities of improving the pyramid, because the higher b ench comes with a double whammy of course. One is you have the ideal cost of the bench and at the same time you have a very rich pyramid.
So the moment you start moving freshers into the pyramids, you get a double benefit of cost that , the idle cost goes away from the bench and your quality of the pyramid improves on the production side. So you are sitting on in fact two inefficiencies now. These are the levers we start using, pricing etc, still going on, maybe conversations,
how we built in COLA (cost of living adjustment s). So, our aspiration continues to be that we continue to look at improving margins from where we are. The guidance is just a reflection of the flexibility in this uncertain year and we have ended at 21% as you
saw consistently during the last year as well.
Kawaljeet Saluja
Sorry to interrupt you Nilanjan there, see uncertainty might be there on revenue but on cost, there are only tailwinds and there are a number of tailwinds that you listed out and
I presume that the labor market is also cooled off , so why bring down the lower end of the band actually?
Nilanjan Roy
Yes, so I think also some is that many some of these levers will take time to put in because it is a different situation of how much room you have to deploy levers whe n you are growing at 10% versus when you are going at 4% to 7%. So, for instance you have fresher, how fast can you deploy them, when you are growing at 4% is at a different pace versus what you were deploying at 7% versus what you were deploying at 10%.
So, all that will still weigh into the structure. It is not that you can immediately say, I'm going to overnight change my utilization from 80 % to 85% or shift the onsite offshore because in a way a slower volume regime has that overhang on how fast can we deploy.
But like I said, when we started, that we are sitting on these inefficiencies which are very visible to us. And we know we can deploy many of these levers which we have to continue to aspire for higher margin profiles.
Kawaljeet Saluja
Okay, got that. Thank you so much. Moderator

Thank you. Our next question is from the line of Pankaj Kapoor from CLSA. Please go ahead.

Pankaj Kapoor

Thanks for the opportunity. Nilanjan just continuing on Kawaljeet's question around margins, two things. One, what kind of a time frame are you looking at for this year's wage hike? Are you sticking to first quarter? And what kind of a quantum are you expecting? What kind of a margin impact will you foresee of that? Will it be similar to last year, or do you think this could be lower this year?

Nilanjan Roy

Yes, so this will be continuously evaluated. We have built in, like I mentioned, into our guidance , the compensation. And we will take the decision during the year as we're looking at the market context, to competitiv

e context, so no decision has been taken as yet.

Pankaj Kapoor

So the hike may not happen in the first quarter, is that what you are saying?

Nilanjan Roy

At this moment, no decision has been taken for the hike.

Pankaj Kapoor

Understood. And at the lower end of the guidance, are you keeping a buffer for some kind of a potential pricing pressure that might come in during the course of the year? Is that the headwind which you see as the major one, when you are guiding for a 20% margin ?

Nilanjan Roy

No, I don't think, specifically on pricing. I think it is just that we are at 21% and the midpoint between 20% to 22%, just happens to be 21%. And like I said, there may be some headwinds and maybe some tailwinds. And of course the aspiration will continue to do better than our margins as well. So nothing specific like that in terms of pricing contingency or something.

Pankaj Kapoor

Okay. And Salil, if I look at the net new deal wins, probably this was the lowest since we had from the start of the pandemic. I mean, was this mainly due to clients delaying decisions on deal awards, towards the last 30 days? And are you bui lding any conversion of this to get to that 7% at the upper end of the guidance?

Salil Parekh

So there, one of the things we have seen in the pipeline is a slowing in decision making. So, large deals are staying in the pipeline longer. Having said that, the net new or even the quantum of large deals as we discussed in the past, there is always volatil ity. These are only deals over $50 mn and not everything. I t is not a full booking value. And so we have always seen that volatility in the past. We think, it is the large deal pipeline that we have today, which happens to be a very large pipeline and some mega deals in it. We have the ability to drive to our growth guidance as we run through the year.

Pankaj Kapoor

So just to clarify at an upper end of the guidance, we are expecting some of those mega deals to convert during the course of the year?

Salil Parekh

I would not be so specific in that to say what it is based on. We do have a large pipeline with mega deals and we anticipate that some of those will allo w us to get to the higher band of the guidance.

Pankaj Kapoor

Understood. Thank you.

Moderator

Thank you. Our next question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari

Thank you for the opportunity. Salil and Nilanjan, this quarter we had certain unanticipated external events that led us to miss our guidance of 16% to 16.5%. Specially, after we have upgraded at the end of Q3. Do you think you could have considered issuing a profit warning citing results from beyond your control? Because this time the miss seems to be fairly sudden and shocking in the fourth quarter?

Nilanjan Roy

No, I think when we see the full year, we said 16% and we are at 15.4%. And we said 21% margin, and we were at 21% as well. So, I am not sur e what are you referencing to.

Abhishek Bhandari

Nilanjan where I was coming from, we had raised the band at the end of Q3. We signaled we possibly had better execution under control. Of course, things have changed there a macro situation beyond our contro l and there were some

cancellations. So as a good practic e.
Nilanjan Roy
This evolved during the quarter right. So the situation also has evolved during the quarter, it is not as if suddenly on one day, we wake up and suddenly see that the volumes are down. This is a situation during the quarter as well.
Abhishek Bhandari
Okay. The second question is, Salil, I think i n the press conference, you mentioned M&A could be an opportunity, where some of the global companies could consider selling the captives. Do you foresee a meaningful deployment of capital for that particular purpose this year? Are there enough number of s uch captive conversations in your pipeline?
Salil Parekh
So, on M&A, I think we have, with a strong balance sheet, the ability to do something small or medium or large . Today we look at many opportunities. We will see how those fit in. There are various components to it, a strategic fit, valuations, which are much more reasonable today, cultural fit of those companies and the ability for us to integrate that in and so all of those we will keep in mind. And if it meets those points for us, we will look at t hose opportunities.
Abhishek Bhandari
Thank you, Salil. And all the best.
Moderator
Thank you. Our next question is from the line of Ashwin Mehta from AMBIT Capital Private Limited. Please go ahead.
Ashwin Mehta
Thanks for the opportunity. So Salil, what is the nature of this one -off client issue? And when this reverse out like we saw last year in the same quarter, where we took a client contract provision. Secondly, is it a single client or multiple client issue that we are talking about? And in which segment have you seen this client issue? And I have a follow -up.
Nilanjan Roy
Yes. So like I said earlier, this is a one -off client revenue issues and there are a number of clients. It is a mixture of clients, and so me of it is a provision against them. Some may come back, some may not come back and some of it is also linked to cancellations . Because the revenue impact also beyond the volume impact of cancellations. Yes there is a mixture of clients there.
Ashwin Meht a
And the 10% decline that we have seen in US Telecom, is it related to this, these client issues because that appears to be a pretty steep decline?
Nilanjan Roy 10% decline in?
Ashwin Mehta
In the US telecom business of yours?
Nilanjan Roy No, I don't thi nk anything specific i s coming out of these issues really.
Ashwin Mehta
Okay. And the last one is, if I look at your guidance it implies a 2.9% sequential growth over the next four quarters. The last we saw this ex of the COVID surge was in FY '16, so what drives such a high growth comfort for us in an uncertain environment?
Salil Parekh
Can you repeat please?
Ashwin Mehta
So the CQGR requirement for your top end of guidance is around 2.9% sequential every quarter. This is something that excluding of FY '22, we have seen last in FY '16. So in an uncertain demand environment, what drives such a high- growth comfort?
Salil Parekh
So, what we have seen with our guidance is we have some good large deals that we closed in the previous financial year. And we have a pipeline , several of them mega deals which gives us the opportunity to have those come into our mix and give us a flow th rough the year.
Ashwin Mehta
So would you say the sub $50 mn deal flow is where the traction is much stronger than what appears in the greater than $50 mn deal flow that we announce typically?
Salil Parekh
We don't have a view that we share typically on the non- large deals , but our large deals is one of the components that we use to build out the guidance.
Ashwin Mehta
Sure Salil, thanks a lot and all the best.

Moderator
Thank you. Our next question is from the line of Gaurav Rateria from Morgan Stanley.
Please go ahead.
Gaurav Rateria
Hi, thanks for taking my question. So first is conversion of the order book to revenue. If I look at your fiscal '23, you entered the year with a net new deal win of roughly $3.8
bn, which generated incremental revenues of $1.9 bn. You are entering fiscal '24 with a net new deal wins of $3.9 bn, which is pretty similar to last year, but the guidance
implies incremental revenues of $1 bn at t he midpoint. Just trying to understand that
what has changed that is driving significant downtick in the incremental revenue with a very similar net new deal wins in your book.
Nilanjan Roy
So, I think part of it is the net new wins and the phasing of that , right? And I think in
FY '22, you would have seen them more throughout the year. And if you are seeing in
FY '23, I think the last quarter, for instance

somebody has also mentioned has been a
weaker quarter because there is usually a four to six- month ga p between that deal win
right before it comes into revenue. So I think partly is the phasing, but the underlying is I think we have had strong deal wins on both sides and a percentage of net new. I
think part of the answer is the way the net new has phased in during the year.
Gaurav Rateria
So, it is to do with the ACV growth being weaker than the TCV growth. Is that like a
fair understanding?
Nilanjan Roy
Could be, could not be, also a timing of it, right? So I'm just saying that in the net new,
like, for instance, in quarter 4, is about 21%. So that will reflect in FY '24 going forward
initially. And then, of course, as new deals ramp up, that is a separate volume impact.
But the phasing of the wins within that is also to be seen, where the net new has com e.
Gaurav Rateria
All right. The second question is around the comment that you made around the stabilization that you have seen in March. So, is it fair to say that your guidance is
assuming things are likely to improve sequentially from here on? And this is the worst?
Or it is difficult to say that the worse is behind us?
Salil Parekh
At this stage we are not seeing any of those things. What we are saying is we saw some stabilization, but the environment is uncertain. So, we are watchful and agile. And on e
of the reasons we have expanded the growth guidance band to three percentage points
is to take that into account.
Gaurav Rateria
Got it. Last question from me on the margins. So how much of the margin downtick is
primarily a cost- led issue, which will re ctify over a period of time? And how much it is
kind of flexibility you have given to yourself to go after the deals, which may have a fundamental different contract profitability?
Nilanjan Roy
Like I said we explained how we have done the margin guidance. We ended at 21%.
That is the midpoint of 20% to 22%. We have some headwinds. We have some
tailwinds. And this margin allows us that flexibility as well. Of course, we continue to
aspire to improve that.
Moderator
Thank you. We'll take a next question from the line of Sudheer Guntupalli from Kotak
Mahindra Asset Management. Please go ahead.
Sudheer Guntupalli
Hi good evening, thanks for the opportunity. A couple of clarifications. Due to unplanned ramp- downs and ca ncellations, you said we have seen a sharp 3.2% fall in
the revenue. However, margins fell just 50 basis points. And even based on the positioning of margins you gave, utilization and cancellation led impact isn't so much
in proportion to 3.2% fall in reve nue.
Logically, this decline of this magnitude should have entailed a much bigger margin
impact, given the cost recalibration is difficult in the near term. So just curious, is there any sizable pass -through element which would have gotten rolled off, whi ch would
have also led to the revenue decline? Or is there any deferred cost component, which will come and hit us in the subsequent quarters?
Nilanjan Roy
As we went through the margin walk earlier, if you go back to our script, we have
explained the four key elements. I think they are quite clear of how the margin has
moved from 21.5% to 21%.

Sudheer Guntupalli
Sure. And the second part, the reason why I'm also asking about this pass -through component is the SVB scare and the sentiment overhang sort of unfolded from 10th March, post which there were 12 to 15 working days. And the revenue was almost 3.5% to 4% short of guidance or expectations, which means there is a $180 mn revenue swing. It looks quite a bit for 12 to 15 working days of invoicing, so again to put it conversely, is there a deferred revenue component, which can come in the subsequent quarters since you also mentioned somewhere about the provision reversal or one off?
Nilanjan Roy
No, I am not clear on your question really.
Sudheer Guntupalli
No. What I w

as asking was in general, the macro sentiment overhang unfolded in the last quarter?
Nilanjan Roy
No, I think if you say that whether all the shortfall of 3.5% has happened in the last, like month or something like that?
Sudheer Guntupalli
Yes. So , you are saying the 3.5% shortfall is evenly spread from the beginning of the quarter itself and not necessarily SVB etc.
Nilanjan Roy
Yes, of course the onetime is a different issue, but the majority of the drop in revenue is because of volume. A nd like Salil said, this was pretty much after 15th and we have actually seen March stabilizing. So it was in the initial half of the quarter.
Sudheer Guntupalli
Thanks.
Moderator
Thank you. Our next question is from the line of Surendra Goyal from Citigr oup. Please go ahead.
Surendra Goyal
Hi good evening. So my first question was on the revenue guidance. Just wanted to confirm that the guidance is all organic in nature?
Salil Parekh
Yes, the guidance is all organic.
Surendra Goyal
And second question is on margins for Nilanjan. So, while I understand that your guidance is always annual. But how do you really think about medium -term margins, right? So the common question we have been getting from investors, given the direction of margins is can it be 18% a couple of years down the line. So, I know you can't quantify it, but just wanted to understand how you guys think about medium -term margins?
Nilanjan Roy
We have explained it earlier in the question to Kawal as well. If you have to step back and you see during this period of COVID , for us to go after in a very talent constrained environment, the impact on the cost structure of the company all across - per capita cost went up, with a combination of compensation stretches, pyramids got skewed , basically, fundamentally, you were going behind these large deals. We don’t have time to really optimize on all these levers , subcon at a record 11.3%. All these ineffici encies we saw, but like we have continuously said during that period that we knew that we had to go and grab that volume, and we would have enough time to subsequently as we start unwinding those inefficiencies and this is a cost optimization program we run throughout That is where we still think these inefficiency still exists across - utilization is a classic one, we're sitting today at 80%, as we mentioned and it is got a double whammy on cost, like I mentioned earlier. So, these are things we will continue to target on and aspire to improve our margins, and 20% to 22% really gives us that flexibility and 21% just happens to be the midpoint where we ended the year.
Surendra Goyal
Sure, I get the annual guidance. My question was more medium -term because in good demand scenario, margins go down because of supply side issues and in bad demand scenario, possibly, they go down because of either pricing or whatever other reasons.
So maybe, I'll just take it offline.
Moderator
Thank you. Our next question is from the line of Keith Bachman from BMO Capital.
Keith Bachman
Yes. I had two questions also. Could you talk about w hat the growth rate of the backlog in the pipeline was during the March quarter and how that differed during the December

quarter? I'm just trying to understand the magnitude you called out volume was the
major driver. But how did it impact the overall bac kdrop? And within that context,
could you give us a sense of you called out there are several onetime events for customers. Could you give a quantification about what that was in the quarter?
Nilanjan Roy
We don't quantify that. But like I said, the majori ty has been because of volumes and
the balance has been because of the one -timer across clients, some of them related to
cancellation and other provisions.
Keith Bachman
Okay but you don't want to give a characterization of what those cancellations were a
quantification of it?
Nilanjan Roy
No, I don't think anything el

se we have to add on this, Keith.
Keith Bachman
My second question then relates to pricing. And the previous question, I think, was
trying to get at this. I'm not sure I understood the answer. But if you think about the
guidance that you provided- on the one side, perhaps I would think that you give COLA
benefits associated with your contracts, but a lot of your customers, frankly, are
experiencing the same economic weakness you are and therefo re, could negotiate can
tougher pricing as we look out over the next 12 months. In other words, what price reductions because they're experiencing economic pain as well. So maybe just talk how are you thinking about like -for-like pricing as you look out over the next 12 months in
terms of the forecast that you provided
Nilanjan Roy
If you see pricing in generic, and I won't say how much of the pricing element has been
built in. So, this is a program we started about a year and half back. And it is a
combination of two or three things. One is the renewal discounts, which clients come
back when programs are ending. And basically, after productivity increases at the
renewal stage, which we are just loosely calling discounts. That is something which we
have really curved over the last few years, basically pushing back on the renewal
because there are other ways we can get productivity as well. So that is something which
has actually stemmed quite a lot. In fact, clients understand that we have to also provide
for our own talent and in this hot talent market to compensate their teams. So that is
something which we have learned appreciate as well. So that is one part of it.
Second, is the program, which we run on digital pricing where we're going after new
digital deals and this is a combination of how we have changed our pricing model into
linking it, for instance, the new early acquired subsidiaries which have higher pricing,
it could be more broad -based pricing, outcome -based pricing. There are new
innovative pri cing construct, so that is second.
Third is simple hygiene work of having COLA clauses into our MSAs. And of course, how much you can execute and implement is a different question, but at least with that and deals going in, at least you have a starting poi nt to negotiate with the client as
well.
So it is all three we look at in terms of existing deals, new deals and renewals and of course, you have clients where we are able to push this through great levels, some clients ask for that to be ploughed back int o the employee sets. Some clients, it depends on markets, of course, who are going through their own sort of concerns on their environment, it may be more difficult. And therefore, it is literally horses for
courses in which we go literally client by clien t to see where we can get an
improvement in the underlying RPP realization.
Keith Bachman
And so, what is the underlying assumption associated with the guidance for FY '24?
And how is that different on what you've experienced
Nilanjan Roy
We don't break down our guidance into volume and price, if you want to call it that
way, it is contracted into the overall guidance.
Keith Bachman
Yes, more just directional. Is it the same, better or worse, just kind of directional
barometer ?
Nilanjan Roy
Yes. We would expect pricing to improve, right? Now I can't give you a sense of
versus last year, how much will this improve, but yes, we have pricing improvements built into our overall plan.
Keith Bachman
Okay fair enough many thanks. Moderator
Thank you. Our next question is from the line of Abhishek Kumar from JM Financial.
Please go ahead.

Abhishek Kumar
Hi, good evening and thanks for taking my question. You've seen some divergence in the cli ent behavior that we have talked about versus what some of our larger peers
have spoken about. One, we have seen m arch stabilizing while what we heard
yesterday was m arch actually deteriorated?
And second, the discretion

ary spend for peers have actually got deferred and not canceled, while we have seen certain cancellation in the project. So in that context,
just wanted to understand the nature of these projects which are being cancelled, are
these discretionary or there are also vendor consolidation deals
Salil Parekh
What we shared was that some of the projects or programs were stopped in an
unplanned way during the course of the quarter. These are not resulting from vendor
consolidation. These are resulting from decisions that the clients have typically made
on their spends given the environment that they are faced.
Abhishek Kumar
Okay, sure. Thank you and all the best.
Moderator
Thank you. Ladies and gentlemen, that was the last question for today. I now hand the
conference over to the management for clo sing comments. Over to you, sir.
Salil Parekh
Thanks everyone for joining us. As we shared through the call, first, for the full year
we had good growth, good margin, good cash collection. We saw during the quarter
some situations which were new situations during the quarter with the changing
environment. We have a strong guidance for next year of 4% to 7% of growth. We have a good guidance on margin. We have put in place even more emphasis on our
cost and efficiency plan, which has many components at a det ailed level, and we look
to see that benefit come through over a multi- year period and aspire to higher
margins.
And we have an extremely strong pipeline with large deals and some mega deals,
especially on cost efficiency and automation. With that, we feel the business remains
in a good position and we have the ability to work through different environments on
digital transformation and on cost efficiency consolidation as the course of the year
develops. So, we look forward to executing on that and connecti ng with you at the
end of this Q1. Thank you.
Moderator
Thank you. Ladies and gentlemen, on behalf of Infosys Limited, that concludes this
conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

TO ALL STOCK EXCHANGES

BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE
July 2 5, 2023

Dear Sir/ Madam,
Sub: Transcripts of the press conference and earnings call conducted after the Meeting of Board of directors on July 20, 2023

Please find enclosed the transcripts of the press conference and earnings call conducted after the Board meeting held on July 20, 2023, for your information and records.
This information will also be hosted on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2023 -2024/q1.html .
The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2023-2024/q1.html .

This is for your information and records.

Yours Sincerely ,
For Infosys Limited

Manikantha A.G.S.
Company Secretary

Infosys Limited
Q1FY24 Media Conference Call
July 20, 2023

CORPORATE PARTICIPANTS:

Salil Parekh
Chief Executive Officer and Managing Director

Nilanjan Roy
Chief Financial Officer

Rishi Basu (Emcee)
Corporate Communications

JOURNALISTS

Ritu Singh
CNBC TV18

Haripriya Sureban
The Hindu BusinessLine
Shilpa Phadnis
The Times of India

Chandra Ranganathan and Haripriya Suresh
Moneycontrol

Sai Ishwarbharath
The Economic Times

Ayushman Baruah
Business Standard

Uma Kannan
The New Indian Express

Sameer Ranjan Bakshi
Financial Express

Varun Vyas Reuters
Shraddha Goled
Mint
Reshab Shaw
Informist

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Rishi Basu
On behalf of Infosys, I would like to welcome all of you. We request one question, or let us say, restricted number of questions from each media house to accommodate everyone over the next hour. And with that, let me invite our Chief Executive Officer, Mr. Salil Parekh, for his opening remarks. Over to you, Salil.
Salil Parekh
Thanks Rishi and good evening, good afternoon, welcome to everyone that is here. It is always wonderful to have all of you here with us on the campus. I am sure you have seen there are a lot more people on the campus as well, and we are also benefiting from that.
We have had a very strong Q1. Our Q1 growth was solid at 4.2% year -on-year, 1% Q -on-Q in constant currency. We had 20% growth in manufacturing, 13% in life sciences. Our European business grew by 10%. Our operating margin for the quarter was strong at 20.8%.
Our large deals value for Q1 was at $2.3 bn - 56% of this was net new. This included one mega deal win. We also announced a mega deal with a value of $2 bn after the close of Q1, but before our results. With strong large deal and mega deal wins, we are building well for the future.
We are delighted that Topaz, our Generative AI platform is resonating well with our clients. We are working on 80 Generative AI projects for our clients at this time. The work we are doing, covers large language models for software development, for text, document, voice, and video.
Internally, we have developed Generative AI tools based on open- source model of Generative AI platforms that are focused on software development. We have trained 40,000 employees in this area, a nd we see Generative AI and Topaz being transformational for all of our clients.
In the short term, we see some clients stopping or slowing down transformation programs and discretionary work. This is especially so in financial services, in mortgages, asset management, investment banking, payments , and in telecom. W e also see some impact in hi- tech industry and in parts of retail.
Even as we have won two mega deals recently, we have a strong pipeline of large and mega deals. We see revenue from some of these and other lar ge deals towards the later part of our financial year. Keeping that in mind, we are changing our revenue growth gui

dance for this financial year to growth of between 1% to 3.5% in constant currency.
We have launched a broad comprehensive margin expansion program. The program will work across five areas : pyramid efficiency, automation, improvements in critical portfolios, reducing indirect costs , and communicating and deriving value across our portfolio.
We have an ambition to improve our operating margins in the future periods. Our operating margin guidance for this financial year remains unchanged at between 20% and 22%.
With that, let us open it up for questions. Rishi .
2

Rishi Basu
Thank you, Salil. We will now open the floor for questions. Joining Salil is Mr. Nilanjan Roy, Chief Financial Officer , Infosys. With that, we have the first question from Ritu Singh from CNBC TV18.
Ritu Singh
Hi.. The first question, of course, is on your guidance cut. It was a steady quarter for Infosys, whether it is the constant currency growth, the mega deals that you have announced, couple in the quarter and after the quarter close. And your TCV is also higher than the previous quarter. What has so drastically changed in the last three months for you to cut your guidance from 4% - 7% to 1% - 3.5%, and given that top- line you are expecting lower now for the year, how are you confident of maintaining margins at 20% to 22% for the year? That is the first question.
And also, you know, your commentary from clients in terms of when you see, revival in your discretionary spends from whether it is BFSI, retail, hitech all these areas of concern that you have outlined. And your net employee reductions for the last couple of quarters , that has also been coming down. So, we wanted to understand what your hiring plans are? We understand you have already deferred pay hikes for some of the employees, if you could give us a sense on that? Thank you.
Salil Parekh
On the first point, on the revenue growth guidance, we have, as you rightly pointed out, had a good Q1. We

have had good large and mega deals. We have also seen some of these deals, the signings and the start dates being delayed. With that, we see a lot of that revenue from that sort of large and mega deals towards the later part of the financial year. And through the quarter, we have seen volumes in some of our clients , in the industries that I shared , were impacted where they were reducing transformational projects or slowing down decision making. So, when we combined those two and we looked out for the full year, we saw that sort of a range in terms of the growth guidance and decided that we should change our growth guidance.

Rishi Basu

Thank you. We will try to come back to you.

Ritu Singh

That did not answer my question.

Salil Parekh

On the margin, we have an extremely strong discipline for our operating margin. We have put in place this expanded margin program that I was referring to. There are five elements of that program, each of them being driven to make sure we have efficiency. You have also seen utilization in Q1 go up, and we will continue to see that with all the focus we are putting into productivity. We are also looking at reducing, within those five

elements , indirect spends , and cuts of that nature. So, we feel comfortable with our operating margin guidance. And our operating margin for Q1 at 20.8 % was more towards the middle part of that range.

Ritu Singh

We have seen a reduction in the headcount for the last couple of quarters, keeping that in mind, what are your hiring plans for the year?

Salil Parekh

So, we still have a target for recruiting for the year, but we will see how that plays out with respect to, what are the changes in terms of the demand environment and what we do in terms of the attrition numbers that we are seeing. The attrition that we saw in the quarter was stable versus last quarter. Our trailing last 12- month attrition is down to around 17%. So, we see that driving some of

the decisions on the recruitments.

Ritu Singh

What did you say, your target for hiring for the year was?

Salil Parekh

We have not given that target. We said, we will look at that based on what that demand environment looks like and how we see the rest of the year playing out.

Rishi Basu

Thanks, Ritu. The next question is from Haripriya Sureban from The Hindu Business Line.

Haripriya Sureban

What is it just for the transformational deals that you are seeing? Or has it translated to the cost takeout kind of - regular kind of deals as well? And given that AI, you have mentioned, you have many active projects, do you think that will sort of help you with margins as well, given that it is coming at a higher price point?

Salil Parekh

So, on the first, the decision making we see has slowed down across large programs. The way a lot of the transformation programs that are running today, they are funded from cost efficiency that comes through that program itself. So overall, the decision making sometimes is slowing down. And we are seeing the start dates in terms of where some of these programs are likely to start, more towards the back end of the year. And that is the reason we are seeing the revenue impact through the year.

On Generative AI, we are excited to be doing 80 projects. AI programs generally have a good margin. They have a lot of work which is focused on enhancing productivity, driving new areas of growth. But at this stage, it is a start. So, we will see when that scales up what the impact of margin is.

Rishi Basu

Thank you. The next question is from Shilpa Phadnis from The Times of India.

Shilpa Phadnis

Hello Sir. If you just look at your sequential revenue growth of 1%,

On an annualized basis, you could have grown at 4% and your guidance is sub- par. So, I just wanted to understand from you, are there deep client concerns that has, you know, made Infosys scale down the guidance significantly?

Salil Parekh

So, the discussion on the guidance is sort of similar. We have seen many of these large and mega deal wins really give us much more confidence in the way clients are working with us, especially on cost efficiency, even with financial services, when we announce on transformation and also consolidation. However, there have been delays in the start of some of these programs and the decision- making in those.

Coupled with that, we have also seen some of the volume during the quarter coming down because of clients in the industries that I mentioned, so financial services, asset management, payments, mortgages, telco, etc. ,

in those specific industries, reducing their volume of work. And those two things have combined for reducing the guidance.
Shilpa Phadnis
I had one more question on your deal win. You spoke about the $2 bn deal win. Would that qualify as Infosys' biggest win that could potentially surpass Daimler?
Salil Parekh
So first, we are now sharing the deal value making sure that that is aligned to the regulations that are there. For the past, we have actually never shared the deal value. So, it will be difficult to compare that.
Shilpa Phadnis
And one last thing on the headcount, Sir. The sector itself is going through a lot of people challenges, you know, deferments of hikes and increments. So, if you can please clarify, what is the kind of hikes that you plan to roll out this year? Is it going to be deferred at all levels? We are getting to hear that senior level hikes are getting deferred. Can you please throw some light on that?
Nilanjan Roy
Yes. So actually, on the compensations, we are actively under consideration as we speak. So, I am sure, you will hear of it even before we finalize that, but it is under active consideration.

Rishi Basu
Thank you. The next question is from Chandra Ranganathan and Haripriya Suresh from Money control.com.
Chandra Ranganathan
Hi. Salil, you know, on the guidance, again,

I wanted to understand what has changed in one quarter, 4% -7%
to, you know, 1%-3.5% , any specific ramp- downs that you are seeing, what exactly is happening? And when we spoke to other managements, they say that, even though transformative programs, discretionary has slowed down, clients are still going in for short -term ROI projects. So, you know, is that something that you are looking at in the pipeline?
Secondly, Nilanjan, on the hikes, you said it is under consideration, by when do you expect to announce?
Haripriya Suresh
Hi, also wanted to get some perspective on your, you have seen some top level exits recently as well. Is that a matter of concern? And what are you doing to sort of stem top level attrition? Just wanted to understand that.
Salil Parekh
So, the first question on the guidance, I think the way we have seen it is, what we s aw in the start of the quarter, we had a certain view of where our large and mega deals were in terms of, when they would close and when some of that work would start. Plus, what was the volume on the other programs, on the transformation programs, on the digital programs, on our overall volume of work across the portfolio.
What we saw is some of the start dates for the large deals, the mega deals were more later in the year. And the decision making, even as we have announced two of them, we still have some in our pipeline and we will see those over the course of the year as the pipeline evolves , and the volume which we saw the changes in for many discretionary projects or some of the transformation work .
Combining all of that is where we decided that this was the guidance in terms of the growth that we could see today in terms of the outlook. What we do see is, as we look towards the back end of the year, much more growth orientation, because some of these deals will at that stage start to deliver the ir revenue as well.
Chandra Ranganathan
Short term, are you seeing more, the nature of the deals becoming more short term, ROI, cost takeout?
Salil Parekh
Yes, so we are definitely seeing consolidation, cost efficiency, automation, but we are not seeing short term, meaning short projects like that. But those are the types of deals we are seeing which is more focused on the efficiency as opposed to transformation.

On the compensation, Nilanjan will come, I will just go with the third one first. We have seen, we have announced and rolled out our new leadership structure within the company. We have the great fortune of having incredible leadership talent within the company. And each of them, several of them are stepping up into new roles, driving the growth of this business.
As you can see from these two mega deals and other large deals, overall strength of the business, those people have stepped in, and my sense is Infosys will continue to produce those sort of leaders.
Nilanjan Roy
Yes, so I think, like I said, this is under consideration, so we will come back on the timing etc. , but as of now, we are looking at it. We are looking at it as we speak .
Rishi Basu
Thank you. The next question is from Sai Ishwar from the Economic Times.
Sai Ishwarbharath
Hello, gentlemen. So, Salil, you were talking about the fall in volumes across the portfolio, right? So, what

exactly is the reason for this fall in volume? Are clients fearing the recession and tightening their spends. And I just wanted to ask about the $100 mn- plus clients, it is falling by 2 sequentially. So, is that because of the ramp- down or is it because of projects getting completed? Thank you.

Salil Parekh

On the first one, the volumes, there mainly, it is clients in the industries that I was referencing, trying to maintain their cost discipline to reduce what they consider discretionary in the short term. So, we see many of these sorts of actions, for example, in mortgages and financial services, or we see that in telecom, or we see t hat in investment ban

king, or we see that in hitech. Those are the sorts of projects that typically have got less attention in Q1.

Sai Ishwarbharath

So, have you priced in, like you said a lot of these start dates are baked in the second half of the year, right? So, the guidance now has baked in all th e expected revenues, or do we see any improvement in guidance?

Salil Parekh

What we have announced as our wins on large deals and mega deals that is already in the guidance we have given. As we go through the year, as there are more events in terms of wins, we will see what impact that has. There could be impacts which are positive there could be impacts, depending on some of things, gets delayed or not. But as of what we see today is what we have put into the guidance.

Nilanjan Roy

On those two, I mean, I cannot specifically comment on those two specific clients. But generally, as Salil said, the overall impact had a discretionary spend cut rather than any projects fundamentally getting over, that is the general theme.

Sai Ishwarbharath

So, they shifted one bucket lower?

Nilanjan Roy

Yes, they shifted. So, if you see above 50, that is not changed.

Rishi Basu

Thank you, Sai. The next question is from Ayushman Baruah from the Business Standard.

Ayushman Baruah

Hi. A lot has been spoken about AI, so keen to know, what percentage of deals are AI led? Do you see a component of AI in majority of the deals? Is AI integrated in most of the deal conversations that you have? That is first.

And secondly, on the pricing, are you seeing any pricing pressure as such? Thank you.

Salil Parekh

On pricing, Nilanjan will come back on that. On AI, first, we do not disclose the percentage of AI within our portfolio. However, AI or Generative AI is really transformative, and it is something that is changing everything that is going on. For example, we are doing work, which is related to software development, which is related to new code enhancements, migration, maintenance that covers the spectrum of the work that we do. And it is also related to other areas, for example, voice, video, text. These are areas where we do work, which is expanding the type of work we are doing. So, my sense is Generative AI is really going to transform everything that is happening within our portfolio. And Topaz that we have launched, being the leading platform or set of capabilities for Generative AI, I think will make a huge impact. Having 80 active projects is a massive step and it is moving with rapid speed.

Nilanjan Roy

The pricing environment remains quite stable. We have seen in some places, we are able to get some increases from c ola, etc. Some cases isolated again, you get some discounts, but by and large it is a very stable environment.

Rishi Basu

Thank you. The next question is from Uma Kannan from The New Indian Express.

Uma Kannan

Good evening, gentlemen. You said, there are some softeners in verticals like BFSI, hitech. So, will this continue, or will it be better going forward in H2? And I also want to know, where are the headwinds coming from? And is it really paradoxical times for the IT industry as such?

Salil Parekh

So there, on the first part, what we look at is, what we see within our portfolio on a daily, weekly, monthly basis. It is, from our perspective, not something we look at as to when something will stop or not stop. We have within our portfolio, work that we can do on digital transformation, cloud, Generative AI, which are really growth drivers in the market. When clients or industries are looking at that we are ready with that, and we have that as one

of our growth engines.
On the other hand, when clients are looking at cost, efficiency, consolidation, we also have deep capability in that, and that is some of these wins that you have seen, that we have announced, are reflective of that. So that is what will kick in, in the other side, but we do not have a speci

fic view on when something will change in that.
Rishi Basu
Thank you. The next question is from Sameer Bakshi from the Financial Express.
Sameer Ranjan Bakshi
Hello, Sir. So, in these times, do you see challenges in winning smaller deals, when there is a cut in discretionary spend? And the second one is, when your peers are focusing on Europe, why are you not able to consolidate the European market? Your revenue has fallen by 2%. Thank you.
Salil Parekh
In Europe, I will come to that , on a constant currency basis, we are at a growth of 10%. So, Europe, in fact, you are absolutely right, is an area, we have a lot of attention and focus on. And in many of those markets, we are expanding quite well.
On the smaller projects, we do not see a difference. We are comfortable to win larger programs and smaller programs . It is just that there are some, which are more, not smaller but more discretionary from the perspective of a client, which is where we see some of the volume impact. On the larger mega deals, actually we are seeing very good traction in the two wins but also a good pipeline of large and mega deals.

Rishi Basu
Thank you. The next question is from Varun Vyas from Reuters News.
Varun Vyas
Hello. I was wondering if you could tell me, if the results missed the company's own expectations and when you might see some recovery? And could you explain how you classify large and mega deals? Like, is there a certain threshold above which a deal is considered that?
Salil Parekh
So, the way we see this, we find that when we look at things like Generative AI or if you look at the mega deals or the large deals, we see very good traction and momentum. When we see volumes on discretionary projects, we see some of those slowing down. So, in that sense it is not one size that fits all, we are seeing really good traction on the former. In terms of classification, it is $50 mn or larger that is classified within our system as large deal, and $500 mn or larger is a mega deal.
Varun Vyas
I was wondering, if you could also tell me what kind of variable pay you are paying.
Salil Parekh
So, we do not comment on that externally.
Rishi Basu
Thanks, Varun. The next question is from Shraddha Goled from the Mint.
Shraddha Goled
Hi, good evening. I wanted to ask about the Generative AI training that you mentioned. About 40,000 employees are being trained. So, what kind of training are they undergoing, more details on that? And also wanted to know, if any Generative AI apps or tools are being used internally for any of the operations or functions?
Salil Parekh
So, on the training, we are working with clients on both open- source Generative AI platforms and proprietary Generative AI platforms. These span from different tech companies. Our training internally is on many of these different platforms. Plus, we have built some tools on an open- source Generative AI platform that we are using internally for areas where we do software development. For example, in our products business, in some other areas of services, where we are doing new code development, enhancements or migration.

So for all of those we have built some tools on open- source platforms. So, the training is on those elements of those platforms. We have in fact, rolled out what we call ‘AI assistance’ for our employees where the employees are focused on delivery work, which is in the software development area, on the sales work, on training, on knowledge management, on different components of the work. So, for us, really, we are becoming an AI -first company, driving through the change internally as well as externally.
Shraddha Goled
Are you also using for your internal operations?
Salil Parekh
Yes, absolutely. So those are the ones which we are using internally as well.
Rishi Basu
Thanks, Shraddha. The next question is from Reshab Shaw from The Informist.

Reshab Shaw
Hi, gentlemen. We

have seen utilization going up by 2 basis points and attrition coming down. What stopped us from reaching the upper end of the margin guidance?

Nilanjan Roy
Yes. So, I think guidance of 20% to 22%, I mean, we ended the year as you know at 21% for the full year and for the quarter. So, at 20.8%, it is about a 20- basis points reduction. We know, we have levers available, like utilization is definitely, one of them. And the program which we have put into place has actually got five pillars. The first is automation through Generative AI. The second is a much more beneficial hierarchy index. The third is through more critical portfolio of projects. Fourth is value -based selling, the pricing, and the fifth is a whole indirect cost initiative. So, this is a five -pillar holistic approach we are taking. It has got about 20 tracks and it is being led by Jayesh.
So, we have 30 leaders leading all these tracks. And d efinitely the aspiration is to continue to grow our margins in the medium term and long term.

Rishi Basu
Thank you. With that, we come to an end of this Q&A session. We thank our friends from media for being here today. Thank you Salil. Thank you Nilanjan.
Before we conclude, please note that the archived webcast of this press conference will be available on the Infosys website and on our YouTube channel later today. We request our friends from media to join us for high tea outside. Thank you once again. Have a lovely evening.

Infosys Limited
Earnings C onference Call
J
uly 20, 2023

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Moderator
Ladies and gentlemen good day and welcome to the Infosys Earnings Conference Call. As a reminder, all participant lines will be in the listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assista nce during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep Mahindroo. Thank you, and over to you, sir.
Sandeep Mahindroo
Hello, everyone, and welcome to Infosys earnings call for Q1 FY '24. Joining us here on this call is CEO and MD , Mr. Salil Parekh, CFO, Mr. Nilanjan Roy and other members of the senior management team. We wi ll start the call with some remarks on the performance of the company for the quarter by Salil and Nilanjan, subsequent to which the call will be opened up for questions.
Kindly , note that anything which we say that refers to our outlook for the future is a forwar d-looking statement which must be read in conjunction with the risk that the company faces. A full statement explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov.
I would now like to pass it on to Salil.
Salil Parekh
Thanks Sandeep. Good evening, and good morning to everyone on the call. Thank you for joining us.
We had a strong quarter in Q1. Our Q1 growth was solid at 4.2% year -on-year and 1.0 % quarter -on-quarter in constant currency. We had 21% growth in manufacturing, 14% in Life Sciences. Our Europe region grew by 10%. Our operating margin for the quarter was strong at 20.8%. We generated robust free cash flow of $699 mn in Q1.
Our large deal value

for Q1 was $2.3 bn , 56% of this was net new. We had one mega deal win in Q1. Our value of deals of financial services was 50% of the overall large deal value in Q1. We announced a mega deal of $2 bn value after the close of Q1 and before our results , before today. With a strong large deal and mega deal wins, we are building well for the future. Our pipeline of large deals is strong and we continue to have megadeals in our pipeline.
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We are delighted that Topaz, our AI and generative AI platform is resonating well with our clients. We are working on 80 generative AI projects for our clients at this time. The work we are doing encompasses large language models for software development, text, document, voice and video. Internally, we have developed generative AI tools using an o pen-source model for software development. We are working wit h open -source and proprietary generative AI platforms and modules. We have trained 40,000 employees on generative AI. We see opportunities for new work and for productivity improvements through this technology. All of these elements are available within our Topaz set of capabilities. We see this area of generative AI and Topaz being really transformative for our clients.
As we look ahead with the large and mega deal successes and our strength in cost efficiency, automation and consolidation, we feel confident. In the short term, we see some clients stopping or slowing down work on transformation programs and discretionary work. This is especially so in financial services, in mortgages, asset management, investment banking and payments and in the telecom industry. We also see some impact in the hitech industry and in parts of retail.
Even as we won two mega deals recently and have a strong pipeline of large and mega deals, we will see revenue from some of these and other large deals towards the later part of our financial year. Keeping that in mind, we are changing our revenue growth guidance for this financial year to growth of 1.0% to 3.5% in constant currency.

As a consequence of our mega deal wins , overall traction in cost efficiency, automation, a differen tiated digital cloud and generative AI capabilities, we are well positioned for the medium term and especially towards the end of our financial year and the period after that.
We have launched a broader and comprehensive margin expansion program. The progr am will work across five areas: pyramid efficiency, automation and generative AI , improvements in critical portfolios , reducing our indirect costs and communicating and deriving value across the portfolio.
Our senior leadership is mobilized on this. We're working on this program with our clients, our employees and partners, and we're taking steps for the short, medium and long term , while keeping the overall strategic direction of the company in mind. We have an ambition to improve our operating margi n in the future periods. Our operating margin guidance for the financial year remains unchanged at 20% to 22%.
With that, let me hand it over to Nilanjan.
Nilanjan Roy
Thanks, Salil. Good evening, everyone, and thank you for joining the call.

We entered FY '24 on the backdrop of uncertain macroeconomic environment with clients reassessing the IT spend and continue to focus on cost and efficiency programs.
Q1 revenue growth was 4.2% on a Y -on-Y basis in constant currency. Sequentially, revenue grew by 1% in constant currency and 1.4% in dollar terms.
Operating margin for Q1 was 20.8%, 20 basis points lower sequentially. This was primarily due to a 70 basis points of benefit from cost optimization, including utilization and automation, which was offset by a balanced 90 basis point impact from employee- related costs, including higher variable pay, promotions, etc.
Client metrics remained strong with the number of $50 mn clients increasing to 79 and $200 mn clients at 15, reflecting our strong ability to mine top c

lients by providing them multiple relevant services.
Headcount at the end of the quarter stood at 336,000 employees, which is a decline of 2% from the previous quarter. A substantial portion of attrition has been backfilled by training and reskilling existing pool of talent and deployment of freshers . Consequently , our utilization excluding trainees improved to 81.1%, which has further headroom for growth. We will calibrate the hiring for FY '24 based on available pool of employees, growth expectations and attrition trends.
Free cash flow for the quarter was robust at $699 mn and the conversion to net profit for Q1 remained strong at 96.6%, led by strong collections. DSO increased by one day sequentially to 63.
Consolidated cash and equivalents stood at $4.5 bn at the end of the quarter. This is before the payout of final dividend that happened in the first week of July.
EPS grew by 6.6% in dollar terms and 12.4% in rupee terms .
Yield o n cash balance was 6.71% in Q1.
ROE increased to 32.8% in Q1, a 1.8% increase year -on-year, which is a reflection of our strong cash generation and capital allocation policy.
Large deal momentum continued and we signed 16 large deals in Q1; TC V was $2.3 bn with 56% net new. 3 deals reach were in FS, E URS and commun ication; 4 in retail; 2 in manufacturing and 1 in Life Sciences vertical. Region wise this split by 11 in America, 4 in Europe and 1 in ROW.
Com ing to vertical segment performance.
Financial services vertical witnessed continued softness in areas like mortgage, asset management, investment banking, cards and payments. Large and super regional banking clients in U S have been resilient during this quarter. Large banking clients are focusing on vendor consolidation, cost takeout

and self -funding transformation programs. Many financial institutions are looking at outsourcing the non-core business that includes taking away existing employees across technology and operations.
While delayed decision- making is impacting the vertical, our recent deal wins and the strong pipeline will help create momentum and opportunity for future growth.
In retail, cost efficiency and consolidation continues to remain top priority for our clients. There is intense focus on leveraging AI to accelerate digital transformation for enhanced customer and employee experience, predictive analytics and real -time insights. While decision cycles are long, large deal pipelines remain healthy in infra, apps and process modernization, cloud and workload migration.
Communication sector is witnessing continued impact from budget cuts, delayed decision making for newer spend and slow ramp -up. Growth challenges for the clients persist due to increasing opex pressures. Cost optimization and vendor consolidation are top priority for clients who are open to innovative solutions and are asking for AI to amplify productivity. OEM clients are showing greater interest in revenue -generating services, decreased time to market, increased product quality and improved customer experience. Large deal pipeline in this vertical remains very healthy.
Outlook for the energy, utilities, resources and services vertical continues to be positive, though there

slowdown in decision- making. Energy clients are coming to us for large- scale transformation
programs such as digital capabilities for energy transition and journey to net zero. Utilities clients are
focused on in -flight transformation programs or those required for regulatory compliance. Service
clients are focused on consolidation and M&A, cloud cost optimization and legacy transformation. Our investment in industry cloud and solutions in the energy transition area had helped us differentiate in these sectors to win multiple deals and build a very strong pipeline.

Manufacturing clients are focusing on controlling the spend and awarding deals which are focused
on differentiation. Despite the volatile envi

ronment, deal pipeline is strong. Areas l ike, engineering,
IoT, supply chain, cloud, ERP and digital are seeing increased traction. There i s a need to increase
paper migration to cloud, increasing productivity by transforming to smart factories and transitioning to smart products. We are seeing opportunities across auto, aerospace and industrial.

We have revised our revenue growth guidance for FY '24 to 1 .0% to 3.5% in constant currency terms.
This is due to lower -than-expected volumes, due to ramp -down in discretionary spend, coupled with
lower m ega deal volumes arising from delayed timing and longer ramp- up times due to regulatory
approvals and transition.

Margin guidance remained at 20% to 22% for FY '24. We continue to aspire for higher margins over
the medium term with the razor -sharp focus on cost optimization and efficiency improvements. As

Salil mentioned, we have launched a new margin maximization program across the five pillars
comprising over 20 tracks .

With that, we can open up the call for questions.

Moderator

Thank you very much. We will now begin the question- and-answer -session. The first question is from
the line of Kawaljeet Saluja from Kotak. Please go ahead.

Kawaljeet Saluja

Yeah, hi. Thank you. You know, my first question is the fact that i n the prepared remarks, both
Nilanjan and Salil, both of you mentioned that the guidance cut is partly due to a delay in volumes or
the delay in timing of mega deals. But as far as I remember, your guidance at the lower end was not predicated on mega deal closures , which is 4%, and 7% was predicated on mega deal closures and
volumes flowing through.

So I'm just trying to understand, if you can just delayer your guidance , you know basically just
highlight what percentage of the c ut is attributable to your perception of change in view in the external
environment and what percentage is really the delayed signing of mega deals here?

Nilanjan Roy

Yes. So Kawal as you know, there was a guidance of 4% to 7%. Of course, the higher end of the
guidance had a larger amount of the mega deals. And the 4%, of course, was predicated a lot on the
base volumes, which by default would be in quarter 1, quarter 2. And this is where we have seen
discretionary spend cuts in quarter 1 in some client s, and of course, in Q2 as well, some of that
softness continues.

As you know, if you have to meet the year, quarter 1 and quarter 2 are very critical for that really to
happen. So fundamentally , that is the base reason . As we exit the year, of course, at the higher end,
there was the impact of mega deals and our guidance on both ends have come down. A nd one more
reason is that the top- end has come down is also largely also due to the delay in mega deals signing
and the transition time. But the pipeline, as Salil said is very healthy. We got two deals under the
belt, and we are as confident as we exit the year.

Kawaljeet Saluja

But Nilanjan , just to try to know, when you basically spoke in the last quarter, you did highlight that
1Q would be weaker and we expect pickup in 2Q, whereas right now you a re saying that 1Q and 2Q
are strong quarter s. I'm just trying to understand the disconnect in commentary .

The second part to the question Nilanjan is that , two consecutive quarters, two consecutive misses.
I guess last time around as well, there were a lot of pushback saying that the environment has
deteriorated and how you built any extra cushion into your guidance, etc. So what are your learnings
in the last two quarters? And what are the steps you have taken to ensure that the forecasting
process is a little bit more robust than what the guidance cut in the last two quarters indicate?

Nilanjan Roy

Yeah. So Kawal see, when we give the guidance, we see the outlook at that point of time. We have
a semblance of what is a pipe. We assume some convertibility. There is an existing book of business.
But

like I just said , in Q1, from a sequential basis, we are lower than where we thought we would
end up to be, right?

Because like I said, Q1 and Q2 was critical for us to meet that guidance. And we have seen these discretionary cuts in clients in some sectors which we have just called out . And that is, what I would say, the base business. And on the other side, there is the mega deal impact. We have got a good pipeline and some of these deals which was supposed to ki ck-in earlier, are getting delayed later into the year as we speak.

Kawaljeet Saluja

Okay , that is clear. Just a final comment on how the pipeline after the conversion of the $2 bn mega deal as such? Can you just comment on the pipeline? That wi ll be useful .

Salil Parekh

So Kawal, this is Salil. The pipeline, we still have a good pipeline of both large deals. We have some mega deals in the pipeline as well. We see a lot of the work that we a re doing on cost, on efficiency, automation, in consolidation t hose are tracking well with clients. There are some transformation programs which are funded from within the cost efficiency t hose are also something that we are tracking through. So we do see with the two mega deals signed, a good pipeline today of large deals and we have mega deals in the pipeline as well.

Kawaljeet Saluja

Right. And just one thing, is the upper end of the guidance band in any way predicated on future mega deal closures , or it's based on the deals closed up to now?

Salil Parekh

So here, the way we have built this guidance, or our view of the 3.5 % is based on what we have closed today in large and mega deals , and then we have a way of estimating based on what we see

into the future as an aggregate, not as a one- off, or no t as a binary discussion, but in aggregate with what we see as the probabilities and also the probability of when that work will transition and the revenues are . So those are what we see in the pipeline and are baked into it.

Kawaljeet Saluja

Thank you.

Moderator

Thank you. The next question is from the line of Yogesh Aggarwal from HSBC. Please go ahead.

Yogesh Aggarwal

Yeah, hi. Thanks for letting me come. Salil, just a couple of questions. Firstly, on banking, your banking weakness has been there for a few quarters and now most other companies are showing weakness as well. Whereas if you look at the clients itself, most of their financial results, the tech commentaries and the data is not that weak. So where is the disconnect you think? Are they spending more with captives or smaller subcontractors? Where is this market share loss coming from?

Salil Parekh

Yogesh, I think, what we see in our financial services or banking part of financial services, there are different clients of ours that have different patterns in terms of their own pressures within their business. Some of our clients have had good results, but there are some which have had more difficult economic situations. Also with a mix from geography between Europe, Asia Pacific, and US , when you break it down into specific sub -industry areas, when you look at asset management, when you look at investment banking, when you look at payments or mortgages, those are the ones where we are seeing the impact. Our sense is , generally our clients are not spending on those projects. It is not that they are spending somewhere else. Typically, they are choosing not to spend at this time. And as the environment changes, we will see how that pattern changes.

Yogesh Aggarwal

Okay, thanks. And just a quick follow -up. The revised guidance now, at the lower end, I wanted to ask, you have already won few mega deals and the lower end of the guidance suggests almost negative or flattish growth for the next three quarters, which would also mean that for six quarters,

seve n quarters now, revenues would be flat. So what are the assumptions for the lower end of the guidance I wanted to know?

Salil P

arekh

See, here as Nilanjan was sharing about the guidance, the approach is really focused on what we have seen in terms of volumes, discretionary projects in Q1 and an overlay then of the actual mega deals and large deals we have already won, and the estimate that we are looking at. Some of those deals have start dates have moved out, whereas the volume and discretionary project slowing is still in quarter. So our view is based on how that plays out between those trends, we saw the 1% in terms of the lower end of the guidance when you combine that and then, of course, the high end we talked about earlier.

Yogesh Aggarwal

Great. Thanks, Salil. Thank you.

Moderator

Thank you. The next question is from the line of Ankur Rudra from J .P. Morgan. Please go ahead.

Ankur Rudra
Thank you. Salil, thank you for the updated guidance. I just wanted to get a sense of, obviously, the ask rate for the next three quarters has now moderated from, maybe it could have been 2% to 4%. With the same old guidance, it's 0% to 1.5% as discussed. Just curious about the discretionary cuts and the delays you referenced in your guidance change description. Has this happened more towards the latter half of the quarter? Has there been a linear change over the course of the quarter?
Salil Parekh
So there, Ankur, the way we have seen it is, there will be no difference in the pattern at the beginning or the end of the quarter. It is more focused on the industry that we referenced in our opening remarks between Nilanjan and me. We have seen in different places the discretionary work and some transformation work, where it has either slowed or stopped based on different industries.
Ankur Rudra
Okay. And also, I just want to get a sense of maybe asking this in a slightly different way. Obviously, the guidance change is quite drastic. Is this just the change in environment of spending over the course of the last three months? Or is this also a difference in the way you measure the likelihood of

success of when the deal s ramp -up, or the win rate of future deals? Just curious about that and if this guidance is more conservative anyway versus the last time you said it?
Salil Parekh
So there, it is a combination, as you pointed out, of the environment in terms of the discretionary or transformational projects in the quarter. And then some of the mega deals and large deals, we saw a delay in decision- making in closing and also delay or changes in the start time or ramp- up of the profile of that deal. We have actually not seen any change in the win rate. And in fact, internally, we had a good win rate in Q1, and we continue to see good traction, whether it is consolidation, cost efficiency on the win rate side.
Ankur Rudra
Appreciate that. Just one clarification, if you could. I know this $2 bn framework agreement that you referenced is the second large deal. Could you clarify if this is fully contracted? And is this type of deal historically also been disclosed in your TCV' s over the last few quarters or years?
Salil Parekh
This deal, while we have first made the announcement, and I'm sure you have seen, we have completed the contract signing of the deal , that is when the deal was announced. These types of deals were also included in the past within our large deal mix. Of course, in the past, there was no requirement of disclosing the specific values.
Ankur Rudra
Okay. Understood. Last question if I can. On margins, they were obviously flattish this time, it seemed like you have done well given what the growth has been. The five- point margin maximization plan you have highlighted, is this you playing offense or defense on margins? In other words, is Infosys confident of potentially expanding margins in F '24? Or is it more for margin defense because growth outlook does not look very strong, at least at the lower end of guide?
Nilanjan Roy
Yes. So like we said, I mean, this is a two -y

ear program we have started. It is quite comprehensive.
It is just not looking at cost, it is looking at portfolio. And this is now being led personally by Jayesh with 20 tracks, 30 leaders. Of course, our aspiration continues to be that we will aspire for higher margins than where we are today. So from that perspective, it is offensive -- on offense, I would say offensive, but on offense, this thing to increase our margins. That is the intent.

Ankur Rudra
Appreciate it, thank you, and best of luck.
Moderator
Thank you. The next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.
Apurva Prasad
Yes, thanks for taking my question. Salil, just wanted a broad further on the guidance. In the last quarter, you had referred to achieving top- end basis the strength of pipeline and factors that are binary. So are those binary factors still in the pipeline or converted b ut transition is taking longer? So what I am trying to get at is how should we really reconcile the change in revenue guide in the last three months between delay and volume cuts, which is as large as $600 mn?
Salil Parekh
So there, we have already announced two mega deals, which is a positive. We have large and mega deals in the pipeline. The way we have seen it is really the two points you mentioned, which is the volume discretionary work in quarte r and the delay in the start of the realization, transition of some

of the large and mega deals, those are what have translated to the change in the guidance.
Apurva Prasad
Any way that you could split those factors, how much of an impact would that have been?
Salil Parekh
We will not be in a position to quantify that further between those two, unfortunately.
Apurva Prasad
So okay. And just how would you characterize the business environment and your client conversations at the end of the quarter as compared to how it was at the beginning of the quarter?
Salil Parekh
So there, it is really, the way we see it is, our pipeline for large and mega deals is in excellent shape as we closed the quarter. We see good traction for mega deals and our large deals. The focus is much more when you are talking to clients on efficiency or cost or consolidation. We have a real traction with them. We see less discussions on digital transformation.

And then in general, across the client base for those industries that I referenced in the opening remark, we see where there are discretionary programs where the client feels that they can slow them or pause them for some time, we see that action. So those are the two sort of actions we are seeing. V ery good traction, in fact, on the large and mega deals.
Moderator
Apurva, does that answer your question?
Apurva Prasad
Yes, thanks.
Moderator
Thank you. The next question is from the line of Kumar Rakesh from BNP Paribas Please go ahead.
Kumar Rakesh
Hi, good evening. Thank you for taking my question. My first question was more of a clarification. So can you just confirm the process of deciding the revenue growth guidance? Is it the same, which was last fiscal year versus this year? Or have you changed some of the assumptions for the processes that you follow?
Salil Parekh
Hi, Rakesh. This is Salil. So we have following the same approach that we followed over the last several years as we build our outlook or our guidance that we share with the market.
Kumar Rakesh
Great. Got it. Thanks. My second question was on the margin side. So this quarter, we had a slight decline on the margin sequentially. Now wage hike is yet to be given out. So how confident are you on holding on to the current margin or the margins which we had last year? And the cost saving program also you are going to start running? Or there would be more of headwinds than tailwinds on the margin side?
Nilanjan Roy
As you saw my margin walk , we had a 70 basis points benefit from utilization, cost optimizat

ion. So
we are seeing the tailwinds of that. And the big part of that, we actually put back into employee-related compensation, which is variable pay , that is a big part - promotion. So it is not that we are losing that to the market. That is a conscious decision for us to plow it back towards employees.

So as we look ahead, we are actively considering compensation hikes , we announced this as well at press conference earlier. And the new program that kicks -in, we th ink in optimization will give us the necessary tailwinds to be well within the margin guidance band.
Kumar Rakesh
Thanks for that. My last question was around the volume commentary which you gave. So last quarter in April when we had the discussion. You had talked about that volume through the quarter, you were seeing signs of improvement. However, in this quarter, you have seen performing much below your expectation. So which are specific pockets you are seeing the weakness specifically? Is it more client specific or the entire industry working a much sharper weakness?
Nilanjan Roy
It is a client- specific , like this time iIn fact, we saw slightly more resilience in the US -based clients. Europe turned out to be slightly weaker. So it is very client specific actually across. I mean, it is sort of a leaking bucket in a number of clients. There is no large drop -off. And this is largely with the discretionary part . So it is some programs which can be pulled back and are discretionary in the nature, those are the ones we are seeing.
Kumar Rakesh
Thanks for that.
Moderator
Thank you. The next question is from the line of James Friedman from Susquehanna. Please go

ahead.
James Friedman
Hi, thank you. Salil, I think many investors are wondering, so I appreciate your thoughts. Does it seem to you that the soft demand was primarily due to macro factors, which are presumably temporary? Or is it potentially something more profound like perhaps related to the relevance of services or mind share? So is this just macro it is going to go away, or is it a question of services in itself?
Salil Parekh
So this is Salil. Thanks for the question. The way we see it today, we see this demand environment, especially on discretionary , that we have been discussing so far, as a function of the macro environment. We can see, for example, if you look at different industries, manufacturing growing at

21%, other industry is doing well, whereas financial service is weaker. So our service portfolio, we believe, works well.
We have already transformed the company, moved it predominantly into a digital business. We are very strong on cloud with our cobalt offering. And now with generative AI and broadly with AI, we have launched our Topaz offering.
My sense is that those are resonating well with clients. And the places where we see the constraints have been more with the macro. Even some of the large and mega deals we are winning, w e are winning against a fairly intense competition where we are demonstrating our capabilities, whether it is on transformation or on cost or efficiency or consolidation.
James Friedman
Okay, thank you for that context, Salil. I will drop back in the queue.
Moderator
Thank you. The next question is from the line of Abhishek Bhandari from Nomura . Please go ahead.
Abhishek Bhandari
Yeah. Thank you. I have two questions. First of all, Salil, congrats to you for this $2 bn mega deal. And if you could share some more details around this project given that it is probably the largest you announced anywhere globally. Is it pure services deal? Or there is an element of any hardware purchase along with it? And do you think this will get into revenue translation more in the second half of this year?
Salil Parekh
So thanks for the question. On this specific deal, what we have shared in the public domain is as per the filing with the stock exchange. I t really focuses on work that we are

doing related to AI and
automation- led development, modernization and maintenance services. We do not have anything more to add to that comment.
Abhishek Bhandari
Sure. And do you think this goes into revenue translation in second half?
Salil Parekh
Yes. So again, there, we do not have anything more on the specific deal. It is more about the general comments that we have talked about the large and mega deals. We do see, in general, across our

large and mega deals, the revenue coming through in terms of the transitions and revenue realization more towards the later part of the year.
Abhishek Bhandari
Got it. Thank you Salil for that. Nilanjan, my final and second question is to you. So you commented that the salary hikes are under active consideration. So do you think this year, the hike cycle could differ compared to a usual cycle? And it could be more linked to when the growth comes back, we probably will be in a better position to give the hikes for employees?
Nilanjan Roy
So like I said, we are considering everything. Nothing to add more than that really in terms of timing or anything like that.
Abhishek Bhandari
Okay, got it. Thank you and all the best.
Moderator
Thank you. The next question is from the line of Moshe Katri from Wedbush Securities . Please go ahead.
Moshe Katri
So far, Europe has really been holding up well, much better than the US. Can you talk a bit about what you are seeing in Europe, maybe areas where you are seeing some strength in terms of verticals? I am assuming the UK is a big part of it. And if that trend continues based on what you are seeing, i.e. is Europe still holding in there or is it also slowing down? That is my first question, thanks.
Salil Parekh
So thanks to your question. This is Salil. We saw good traction, and we have seen that over the last

several quarters in Europe, as you pointed out. We have seen that, especially in the manufacturing segment. We have had good traction in multiple geographies in Europe. So we have a good traction in the Nordics. We also announced a strategic win in the Nordics, which was public a few weeks ago. We have good traction in Germany, as you referenced, a good traction in the UK. So we have had good traction so far. Now the macro environment, we feel, as Nilanjan also pointed earlier, is definitely something that is affecting overall in Europe. So we are seeing within the segments we referenced, for example,

Financial Services and the sub- segments there in telco, in some parts of retail, those being impacted in Europe as well, and we will see how that plays out into the future .

Moshe Katri

Okay. And my follow -up is about an article that came out this week in the local media in India, suggesting that there is an uptick in demand for lateral hires in the industry. And these hires will probably start happening in the month of October and on. Does that make sense to you versus what you are seeing out there in terms of demand and pipeline and the ramp up, that is kind of , as you said, it is going slower than expected?

Salil Parekh

So for that, my sense is, again, some of the comments you might have heard earlier from Nilanjan, our utilization has gone up. Our total headcount number is reduced, and we believe, we have some headroom for the utilization to go up further. So that would be the context in which we are operating.

Moshe Katri

Understood. Thanks for the color .

Moderator

Thank you. The next question is from the line of Mukul Garg from Motilal Oswal Financial Services. Please go ahead.

Mukul Garg

Yes. Hi, thanks. Salil, just wanted to kind of probe a bit further on the change in the guidance, and I'm just focusing on the lower end of your previous guidance. Where it does not look like the miss in Q1 from what you are kind of thinking about last quarter was that meaningful for the guidance at the lower end to come down so drastically.

So is it fair to assu

me that, the incremental slowdown which you have witnessed is more front ended, i.e. in Q2? Or was there an expectation of a meaningful pickup- in the business in the second half, which is now no longer there?

Salil Parekh

So on the guidance, again, some of the comments that Nilanjan shared earlier , we saw in Q1, the volume and discretionary projects slowing. And based on that, plus the delay in some of the large or mega deals are starting up in terms of revenue, we felt that has given us the view of the lower end of the guidance.

What we see really the function of the way, the volume in the discretionary project evolves. The macro environment, as we look out, is changing as we see things, which are from US to Europe, to Asia, keeping those factors in mind is how we build that lower end of the guidance.

Mukul Garg

Sure. And similarly, on similar track, is there something, we need to kind of see, visualize in terms of sanctity of large deal TCV, which we disclosed. The commentary on pipeline and large deal wins continues to remain very robust. But there is a fair bit of pain, which you are kind of talking about from a discretionary side, which would be coming out of the large deal number.

So can you share the impact on overall TCV? Or is that something, which you would kind of start reassessing simply because it is giving a misleading picture, when you look at only the large deals wins?

Salil Parekh

So there are some distinctions, what we are seeing in the large deals, mega deals, wins in the pipeline and what is more recent in the past quarters is more on cost or efficiency or consolidation. And so that work is continuing.

What we referenced on the slowdown is more on discretionary projects, which are projects or transformation projects, which are from before, which could have been paused or slowed down by the client, and specifically in the industries, where we referenced the impact. Those are the ones, we are seeing. So they are not, in a sense, correlated with the large deals that we are look ing at today.

Mukul Garg

Sure. And if I may just ask one clarification. You know, is there any impact in terms of your growth guidance from any client -specific issue , specifically, as Nilanjan kind of highlighted in Europe, in terms of client in -sourcing o r kind of slowing down business to you, in any vertical?

Salil Parekh

So there, what Nilanjan was referencing to is not that it is client specific , as you know, in one or two clients. It was more in terms of clients within that industry vertical and more now shifting, what we had in the US to the European market. So it is not that we have specific one or two clients, where we have seen this impact showing up from there.

Mukul Garg
Sure. I think that is helpful. Thanks for taking my questions. I will get back in the queue.
Moderator
Thank you. The next question is from the line of Surendra Goel from Citigroup. Please go ahead.
Surendra Goyal
Yeah. Good evening. So, I know that you do not share this data point, but could you give us a directional sense of how ACV, annualized contract value trends would have moved or would compare Y -o-Y, given the changing nature of the things towards the large and mega cost takeout deals?
Salil Parekh
Thanks for the questions, Surendra. We are not in a position to share that information.
Surendra Goyal
Okay. And on this recently announced mega deal in terms of renewal versus new?
Salil Parekh
The one that was announced after the quarter, before the results ?
Surendra Goyal
Yes.
Salil Parekh
Okay. So again, we are not announcing the net new in a specific deal. What I mentioned earlier was the type of work, and that is what, we can say, in addition to what we filed with the stock exchange.
Surendra Goyal
Sure. Thanks, Salil.
Moderator
Thank you. The next question is from the line of Prashant Kothari from Pictet . Please go ahead.

Prashant Kothar

i
Yeah. A couple of questions. One is, when you are looking at the revenue growth guidance this year, it seems we will be growing maybe worse than the peer group that we track , even in terms of the deciding on management compensation, how do we think about t hat? What are the things that we need to do in order to regain the kind of competitiveness in the market, so we can continue to outgrow out there? Or do you think, it is all down to discretionary demand being weak and therefore, there is nothing much that we can do, and we just need to wait for the cycle to come back? That is the first question.
Salil Parekh
So there, we have a view with our portfolio. There is a portfolio of services that works well with our clients. We absolutely have the intensity in the client environment with a large and mega deal wins to be back into the growth mode that we have been in for the last several years.
We also have a high base for comps. Q1 of last year was a 21% growth year -on-year, in the previous year, whereas the environment of other peers were not there. So all of those factors coming into play, we are very much of the view that, we have what we need, and we are continuing to go into new areas, like, generative AI or continued investments in cloud to build out, what we want, what our clients are looking for, to continue with the growth situation.
Prashant Kothari
Okay. Thank you. So if it is kind of more about the external environment then, what would be a good kind of a leading indicator that you would use may be internally to figure out that, this weak discretionary demand phase is kind of coming to an end?
Salil Parekh
So internally, we have several elements, that we look at. These are not typically data we share externally. But in terms of the overall translation of that is what we translate into the guidance there.
Prashant Kothari
All right. Yeah, which is presenting a bit of a weak picture as of now. All right. Okay. Thank you very much.
Moderator
Thank you. The next question is from the line of Bryan Bergin from TD Cowen. Please go ahead.

Bryan Bergin
Hi, good evening. Thank you. I wanted to ask on the margin expansion program. So I understand that this is a two -year initiative. Can you give us a sense of materiality to just how are you thinking about the potential cost savings or an approximate margin expansion potential that you expect to achieve from these pillars?
Nilanjan Roy
Yes. So we cannot really quantify it. These are five critical track s, pricing and a more holistic sort of value- based selling approach. That is a big one. We know from a pyramid perspective, we have a lot of scope as well. We understand the generative AI and our ongoing automation projects, which we have. That is a continuously and actually with generative AI, we think, we can up the productivity from baseline even more.
Some of our portfolios in our mix, how do we improve margins , – a dedicated head team looking at these accounts. And finally, the indirect cost side and how do we keep a cap on that, looking at more efficient buying, procurement, savings, etc.
So it is a quite a holistic approach, like I said, across 20 tracks. And these are being kicked- off. We cannot quantify the number at this stage. But like we said, our aspiration continues to be to improve our margin in the medium term.
Bryan Bergin
Okay. And then my follow -up, I understand you have got a lot of questions here on the fiscal '24 growth outlook. Just trying to clarify maybe here and maybe tie all these questions together. Is it right to say that at the low end of your '24 growth guidance, that you are assuming a worsening of volume reductions and a worsening of decision-making pace for the balance of the year? And then at the upper end, that the decision- making improves? Just trying to really get to the point of are you assuming more of the same in the improvement or further deterioration, within t

his range?
Salil Parekh
There, the way we have constructed this guidance, we see that, there is a change or a difference in the environment, in the decision- making. We have seen some of the impact in some of the industries that we shared earlier. And we will see how that volume, discretionary work translates itself over time. So we baked in some range of possibilities into that. We wanted to see how those possibilities play out.

Bryan Bergin
Thank you.
Moderator
Thank you. The next question is from the line of Nitin Padmanabhan f rom Investec . Please go ahead.
Nitin Padmanabhan
Yeah. Hi, good evening. Thanks for the opportunity. So Nilanjan, the employee headcount is down 3% over the last two quarters, but the absolute employee cost is up 2%. So what explains that dynamic?
Nilanjan Roy
Yeah. So like I said, this time, we have about 90 bps of impact , we do not see the entire thing in employee cost because even third- party costs have come down. But if you see about 90 basis points, actually more than 120 basis points and then 90 basis points is actually in employee costs , variable pay is a big one, which we have upped consciously, in this quarter, a little bit of promotion, then there are other balancing items.
Nitin Padmanabhan
Yeah. So, just a clarification there. So in the context of the deteriorating environment and attrition sort of falling, the assumption was that employee cost would be something relatively easier to manage. And obviously, because the performance, company -wide performance itself is lower, the variable also should be lower. So what is driving the dynamic on higher variable pay and the compensation?
Nilanjan Roy
So we look at this holistically . And we do not look at just one quarter and decide these decisions. We are looking at the overall environment and attrition, etc, and that is a decision we collectively take. It is just not on a quarter -to-quarter basis.
We have enough headroom in our utilization to grow volumes. And therefore, the attrition, which we see is not entirely replaced by lateral hiring. A part of that happens through lateral hiring, and we continue to re -skill and move up our fresher bench and rotate people through projects. So that benefit, we continue to get.
And like I said, the 70 bps benefit, which we are seeing is coming partly because of i mproved utilization .

Nitin Padmanabhan
Sure. And lastly, the $2.1 bn deal that we announced, in which vertical is that? If you could clarify

that would be helpful?
Nilanjan Roy
No, we do not mention that on what vertical it is.
Nitin Padmanabhan
Okay, sir. Thank you so much all the very best.
Nilanjan Roy
Thank you.
Moderator
Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities . Please go ahead.
Vibhor Singhal
Yeah, hi. Good evening. Thanks for taking my question. So, Salil, two questions from my side. One on the harping on the guidance part again. I mean, for long, I think, the guidance that Infosys gives is kind of seen a benchmark for the industry and a lead across for the entire sector as well. And the sharp cut that we had at this time. So just wanted to understand, the putting on hold of discretionary spend and other issues that you mentioned that caused us to lower the guidance, d o you see that as a very Infosys specific thing, or do you see it more of an industry across the board that maybe other companies are not seeing it right now, they might be following suit in the next few quarters. Or is it something in the nature of our portfolio because of which you probably feel that it was cyclical?
I mean, in the last thr ee months , because the other companies that have reported, there might not have been such number difference in the guidances . But the kind of $600 mn shock that we have seen, we have not seen that kind of a change in commentary over the past three months by any other player per se. So wo

uld you like to basically give some colour on how readable is this environment , that has caused this deterioration to us and not to the other companies in the sector or
the industry?

Salil Parekh
So there, my sense is, if you look at our Q1 number, we have 1% quarter -on-quarter growth, which from what I have seen across the industry is, maybe one of the strongest quarter -on-quarter growth. We have a clear view of what we see as we have been discussing on large and mega deals, giving us a strong growth orientation later in the year with some discretionary work, which is slowing in Q1. So I do not have a sense for the other players. That is how we see it. And if I look at Q1, we have a good outcome in terms of a solid quarter and looking at the industry, maybe higher growth Q -on-Q than many others.
Vibhor Singhal
Got it. And in terms of conversations with the clients, just a follow -up on that, in terms of the conversations with the clients, I think you mentioned it before on the call as well. What is the overall general conversation like, when they put this discretionary part of the deals on hold? I mean, do they want to do it, given the weak macro at this point of time? Is there any rethinking on the part of whether they need this kind of spend at all? Are those original decisions being questioned itself to begin with? What exactly is the nature of the conversation with the clients, which are putting these spends on hold?
Salil Parekh
So here, what we have seen is, again, in the industries, we referenced before, whether it is financial services or telco or hi -tech, the clients or the industries are going through a difficult environment themselves in the macro. They are looking for help or support from their partners like us, where they put some projects, which they perceive to be not immediately relevant for them on a pause or slowing. Those are the discretionary works that slow down. And we will see as the environment changes, what happens there.
Vibhor Singhal
Got it. Great. Thanks for taking my question. And wish you all the best for the rest of the year.
Moderator
Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for their closing remarks. Thank you, and over to you.

Salil Parekh
Thanks. This is Salil. I just want to close out. Thank you, everyone, for joining us. In summary, for us, really, we have had a solid Q1, very good Q -on-Q growth, solid margins, excellent large deals and mega deal wins. This sets us up very nicely , with some of the delays and the volume slowing more for the later part of the year. We have also got incredible traction in generative AI with 80 projects and the Topaz work resonating with clients.
We now put in place a stronger program on margin expansion, which is in play. Putting all of that

together, we see this is a year, where we will make that difference translat ing to mega deals and large deals, and as we come towards the later part of the year, showing the realization of all of those. So thanks again, everyone, for joining in, and look forward to catching up at the next quarterly call.

Moderator

Thank you very much, members of the management. Ladies and gentlemen, on behalf of Infosy s, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jul 2023

TO ALL STOCK EXCHANGES
BSE LIMITED NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

July 6, 2023
Dear Sir/ Madam,
Sub: Transcript of the 42
nd Annual General Meeting

Please find enclosed the transcript of the 42nd Annual General Meeting of the Company held on June 28, 2023.

This will also be hosted on the Company's website, at www.infosys.com

This is for your information and records. Yours Sincerely,

For Infosys Limited

A.G.S. Manikantha Company Secretary

42nd Annual General Meeting
June 28, 2023
CORPORATE PARTICIPANTS:

Nandan Nilekani
Chairman
Salil Parekh
CEO and Managing Director

D. Sundaram
Lead Independent Director

Michael Gibbs
Independent Director
Bobby Parikh
Independent Director

Chitra Nayak
Independent Director

Govind Iyer
Independent Director

Helene Auri ol Potier
Independent Director
Nilanjan Roy
Chief Financial Officer

A.G.S. Manikantha
Company Secretary

Other key executives and senior management
Shareholders

Welcome address – Nandan Nilekani

I welcome the members to the 42nd Annual General Meeting. Hope all of you are safe and in good health. This meeting is being held through video conference in accordance with the circulars issued by the Ministry of Corporate Affairs and SEBI . We have the requisite quorum present through video conference to conduct the proceedings of the meeting. Participation of members through video conference is being reckoned for the purpose of quorum as per the circulars issued by MCA, and Section 103 of the Companies Ac t, 2013. The quorum being present, I call this meeting to order.

Before we start the main p roceedings of the meeting, I request my colleagues on the video conference, introduce themselves. Salil…

Salil Parekh

Good afternoon. I'm Sal il Parekh , I’m the Managing Director and CEO of Infosys joining in from Bangalore.

Nandan Nilekani

Sundaram

D. Sundaram

Good afternoon. This is Sundaram, speaking from Bombay and the Lead Independent Director and also the chairperson of the NRC and R isk Management Committee, thank you.

Nandan Nilekani

Bobby

Bobby Parikh

Good afternoon. I'm Bobby Parikh, independent director and chairperson of the Audit Committee. I'm joining in from Mumbai.

Nandan Nilekani

Michael

Michael Gibbs

Good evening. Good morning. Good afternoon. This is Mike Gibbs. I'm joining as an independent director from Houston, Texas.

Nandan Nilekani

Chitra

Chitra Nayak

Hello and good evening. I'm Chitra Nayak , independent director and chairperson of the ES G Committee joining in from Bangalore.

Nandan Nilekani

Govind

Govind Iyer

Hi, this is Govind Iyer . Good evening. I am an independent director and chairperson of the CSR Committee joining in from Bombay.

Nandan Nilekani

Helene

Helene Auriol Potier

Hi, good evening. I’m Helene Auriol Potier, independent director, joining in from France.

Nandan Nilekani

Nilanjan

Nilanjan Roy

Hi, good evening. I'm Nilanjan Roy, CFO , joining in from Bangalore.

Nandan Nilekani

Manikantha

A.G.S. Manikantha

Hi, good evening. I am Manikantha, joining from Bangalore, Company Secretary.

Nandan Nilekani

Apart f rom them , we also have key executives and senior management joining from their respective locations. Statutory auditors and secretarial auditors have also joined this meeting. I now request Manikantha, C ompany Secretary , to provide general instructions to the members regarding participation in this meeting.

A.G.S. Manikantha

Hi, good evening, everyone. Members may note that this Annual General Meeting is being held through video conferencing in accordance with the Companies Act , 2013 and circulars issued by the Ministry of Corporate Affairs and Sebi. The facility for joining this meeting through video conference or other audio-visual means is made available for the members on a first -come -first-serve basis. The C ompany has also provided a webcast facility to view the live proceedings of this meeting on the C ompany's website. The register of directors and key managerial personnel , the register of contracts or arrangements and other documents mentioned in the AGM N otice have been made available electronically for the inspection during the AGM. M embers seeking to inspect any of these documents can send their request to investors@infosys.com.

As the AGM is being held through video conferencing, the facility for appointment of proxies was not applicable, and hence the proxy register for inspection is not available. The C ompany has received request s from a few members to register them as speakers at this meeting. Accordingly, the floor will be open for these members to ask questions or e xpress their views. We will facilitate this session once the Chairman opens the floor for questions and answers. Members can also post their vie

ws or
questions on the Ask a Question tab on their video conference screens before 4:30pm IS T. It may be noted t hat the C ompany reserves the right to limit the number of members asking questions depending on the availability of the time at this AGM.

The Company has provided the facility to cast votes electronically on all resolutions set forth in the Notice. Member s who have not cast their votes yet electronically and who are participating in this meeting will have an opportunity to cast their votes during the meeting through the e -voting system provided by NSDL. Members can click on the vote tab on the video confer ence screen to make use of this facility. Members are requested to refer to the instructions provided in the N otice or appearing on the video conference page for a seamless participation through video conference and also for voting. In case members face any difficulty , they may reach out on the h elpline numbers . Members may not that this AGM is being recorded. Please do not disclose any sensitive personal information or personally identifiable information belonging to you or any other persons that has no bearing on this meeting. Thank you very much.

Nandan Nilekani

Thank you, Mani . The C ompany has taken all feasible efforts under the current circumstances to enable members to participate through video conference and vote at the AGM. I thank all the members ,

colleagues on the B oard, auditors and the management team for joining this meeting over video conference.

Chairman’s speech – Nandan Nilekani

Dear s hareholders , welcome to the 42nd Annual General Meeting of Infosys. As we gather again virtually to discuss the progress made in the year gone past , it is a pleasure to host you. On behalf of the Infosys Board of D irectors , I thank you for making the time to join us today and for your continued

support over the years.
Fiscal 2023 has been a year of strong overall growth – 15.4% in constant currency, delivering US$ 18.2 billion in revenues. Operating margin for the year remained healthy at 21%. And we generated US $ 2.5 billion in free cash flows. Our digi tal business continued to expand and makes up 62.2% of our total revenue. We gr ew in double digits across most industry segments and across major geographic markets , 26% in Europe and 12% in the US . We had 95 large deals valued at US $ 9.8 billion for the year, of which 40% was net new. This promises a solid foundation to grow and build resilience in the months to come.

For fiscal 2023, t he Board has recommended a final dividend of ■ 17.50 per share. T ogether with the interim dividend of ■16.50 per share already paid, the total dividend per share for FY23 amounts to ■34, which is a 9.7% increase over FY 22. With this , the Company has announced a total dividend of approximately ■14,200 crores for FY23. A Company has completed the open market share buyback on February 13, at an average price of approximately ■1,539 per share compared to the maximum buyback price of ■ 1,850 per share. I ncluding the recent ly concluded buyback and final dividend for FY23, the Company has returned approximately 86% of free cash flow to shareholders over four years starting FY20.

The shareholders at the 41st AGM held on June 25
th, 2022 , reappointed Salil Parekh as CEO and MD
effective July 1st, 2022 , till March 31st, 2027. Salil is effectively s teering Infosys towards growth and continued relevance through the changing economic macro environment. He has successfully institutionalized the ‘One Infosys ’ approach to position our company to work with clients, both for their
long- ranging digital transformation and for cost efficiency and resilience programs that are of vital importance to them to thrive in the near term.
The s hareholders also approved the appointment of Govind Iyer as an independent director, effective Jan 12, 2023, for a term of five years till Jan 11 , 2028.

The Board, based on the recommendations of
the Nomination and R emuneration Committee, appointed D. Sundaram as Lead Independent Director of the Company, effective March 23
rd, 2023, and recommends the appointment of Helene Auriol Potier
as an Independent Director of the Company effective May 26th, 2023, for a period of three years, subject to the approval of the shareholders. Kiran Mazumdar -Shah, L ead Independent Director, ret ired as a member of the B oard of D irectors on completion of tenure effective March 22nd, 2023. We profusely thank K iran for having been an integral member of the Infosys family, providing valuable guidance and leadership to the B oard over the years . I am p ersonally very grateful to her as she has been a tremendous ally, and an amazing colleague on the B oard ever since I rejoined Infosys in August

2017. Uri Levine also retired as an independent director effective April 19th, 2023, u pon completion of his term. T he Bboard places on record its sincere appreciation over Uri’s contribution to Infosys.

The receding pandemic brought an end to one set of challenges, but its aftermath has created new ones . The cocktail of inflation, interest rates, geopolitics , war, demand volatility , supply chain dislocations, the shift from efficiency to resilience and security , all morphing quickly and without warning is upon us. This means doing all we can to be more efficient in the present, as well as nurturing readiness for growth in the future. This is no mean task. The volatility of our times creates several probable future states, and businesses must be equally prepared to succeed in any one of those. That is why it is critical to be flexible and avoid making choices today that may shut key avenues in the
future, and to reduce concentration risks that can make the business less adaptable to new realities that can emerge in the times to come.

At Infosys, we understand what it takes to navigate this era of optionality . Through times rough and smooth, we have brought great focus to becoming better, becoming more efficient, and resilient in the present, while also securing our relevance in a progressive future. This has stood us in good stead. We understand what it takes to pr epare for many eventualities, and we know our clients, our employees and you, our shareholders, count on us to be agile, adapt quickly and nimbly learn to thrive in any new reality. Not only are we committed to doing that, but we are also relentless in our efforts to set our clients up for success. A big part of that is helping them build their digital adaptability, so they can flex from strategy to execution in response to the fast -paced changes and intense uncertainty.
With the One Infosys approach to orchestrating our collective capabilities, we started our transformation to become a digital -first Live Enterprise bringing the same advantage of digital agility and resilience to our clients as well. Our disproportionate investments in cloud t hrough Infos ys Cobalt cloud solutions are helping our clients bring its advantages into every facet of their own business, from re -energizing operations, to driving innovations for growth. In addition, Infosys acquired Base life science A/S, a consulting and technolog y firm in the Life Science space industry in Europe to scale its digital transformation capabilities with cloud -based industry solutions. Even more significantly, the C ompany's

cloud capabilities have created the foundation for our clients to build their A I-first business. The immense potential of AI and more recently , advances in generative AI , we know from our own experience of rapidly evolving into an AI -first enterprise, are not without their share of complexities . Several practical , ethical and intellectual property -related issues , when it comes to AI , remain unresolved. We also know that the path to scaling AI in the enterprise is far from sim

ple. And yet , the
AI-first strategy we 've embrac ed is already working for us. We have redesigned the organization to judiciously balance people, technology and process while also executing work by segmenting into cognitive tasks. Today, we are able to bring to our global clientele, the same ability to accelerate business value and amplify human potential using AI technology with Infosys Topaz ™.

While technology is core to everything we do , at its core, Infosys is a people company. Nurturing talent for the future is key to our continued success. We spare no efforts to provide our employees ample opportunit ies to learn and grow, while assuring them of a safe workplace that is fair, rewarding and free of discrimination and bias . The well-being and intrinsic motivation of our very talented, diverse and multicultural workforce will propel us forward. We recruit ed over 50,000 college graduates in the year,

bringing our total headcount to over 340,000 employees, of which 39% are women . Upskilling and reskilling them all for careers of the future is a top priority for us. Over the year, a training ecosystem enabled over 5.5 million learning days for our employees. Our people track and manage their own digital skills aided by a comprehensive score, D igital Quotient . Through accelerated learning, when they complete certified courses and gain substantial experience in the skill set or technology , they qualify for Skill Tags. As employees gather more Skill Tags, multiple career pathways into exciting technology spaces open for them within the Infosy s ecosystem . Bridge programs and intelligent platforms like Accelerate and M arketplace automatically match employees with the roles of their aspirations.

Matching a passion to deliver for clients and nurture our people is a commitment to the larger community. This is encapsulat ed in our shared purpose – to amplify human potential, and create the next opportunity for people, businesses and communities. It inspires us to be a sustainable business in every sense of the word. It drives us to nurture ambitious ESG aspirations, and to come together as One Infosys to realize it. From building a diverse workforce with strong, inclusive leaders to embracing positive climate change to helping our clients do the same and earning the trust of all our stakeholders through ethical corporate governance, we do our best to move us all forward. As a result of these efforts, and aligned to our ESG vision for 2030, we also continue to be responsive to the needs of society in new and innovative ways. As an example, digital skill s taught through Infosys S pringboard, Infosys ' flagship digital learning platform , is opening up a wealth of new opportunities for Brent Council 's business community in the UK, ensuring Brent businesses have the skills to thrive in the digital age. In a partnership with Harvard Business P ublishing, students and young learners in India are now able to access resources including select Harvard Business Review articles, videos and podcasts, as wel l as 10 Harvard Management Mentor course s on Infosys Springboard. In the US , Infosys
Springboard includes three learning tracks for the entire learner spectrum from K -12 through post-secondary and professional digital skills development. Today, we are empowering 8.5 million people, the world over , through our digital skilling initiatives.

With mindful and planned efforts , Infosys continues to be carbon neutral for the fourth successive year. Through the work of Infosys Foundation we support a variety of s ocial causes, including creating positive impact in healthcare, education, sustainability, and women empowerment. Internally within Infosys, our systems practices controls and procedures are well -governed not just to help us make effective decisions, but t o comply with the law in letter and spirit, so we can effectively meet the needs and expectations

of external stakeholders. This has always been the Infosys way.
The digital transformation of every industry and every aspect of life over the last several y ears, has laid the foundations for the opportunities that are to emerge. Our clients trust us to enable them not only to make the right digital investments but to mine these to deliver greater value for them through the future. After all, Infosys today is ranked in the top three IT services brands, and among the top 150 most valued brands globally. The challenge to keep moving ahead in these particularly dynamic times no doubt is immense. But the opportunity , and our capability and confidence to harness it is tremendous too. We are w ell-prepared for the future that may be unpredictable, but it is also up to us to build. On behalf of the B oard. I want to assure you that Infosys is geared in every way with its rich track record, dedicated workforce, strong capabilities, premium brand and a clear strategy to provide exceptional service and value to all our stakeholders. I want to thank all our employees, clients, co- founders, and

governments of the countries and states that we operate in for their unstinting support over the years. Infosys has gone from strength to strength because of your backing . And to each of our shareholders , a a big thank you. Your commitment to Infosys , the people we serve and the businesses we drive, inspires us to bring our best to work for you every day. Our sincere thanks to all of you.

CEO’s address – Salil Parekh

Good afternoon, g ood evening, all of the shareholders . Welcome to the Annual General Meeting. Over the next few minutes , I will share with you an update from our business perspective how the year was. We've had in this year a strong performance in a changing, evolving dynamic environment, and we have some leading capabilities in generative AI that I will also reference in the discussion.

First, in terms of the year, we had a good growth over 15% , our digital business grew very nicely at 25%. Our clients, which are over 100 million in revenue annually, were at 40. So good metrics and good dimensions to see the growth of the business. The operating margin was strong at 21%. And we had free cash flow of two and a half billion US dollars. We also had a good set of large deals, very strong 95 deals, each over 50 million in size, and the total of that at 9.8 billion, with 40% net new which helped us in building the foundation for the years to come. On the large client relationships, we have seen steadily growing numbers , 40 in the previous financial year , 38 before that, and 32 b efore that.
As we look at our industries, we had good growth across most of our industries . In fact, all of them were growing. A very strong performance in manufacturing and energy utilities . We are also good performance in retail and the communication sector.
Our em ployee base continues to expand at over 340,000 a t the end of the year in March 2023. And of that, we also had a continued strong recruitment of college hires across the world, but more in India at over 50,000 c ollege hires .

If I look at the financial performance, and we want to share this in rupees, each of our metrics , if you look at total revenues, this is in rupees a growth of 20% net profit, very solid, operating profit , very solid. We saw the operating cash flow and the f ree cash flow reducing from previous years, but at a very solid level, given the dynamic nature of the industry and the macro- economic environment last year.

In terms of our Balance Sheet, we continue to remain strong, debt -free and liquid. And that B alance Sheet is really the foundation of how we can position ourselves as a company into the future.
When we look at total shareholder return across five years, we've had a strong performance both between the share price increase and the dividend yield. In addition, we have returne

d over the last
four years , over ■69,000 crore to shareholders between the buyback and the regular dividend in each of the last years. This is very well -aligned with the policy that we had put in place. This represents just approximately 86% of our free cash flow in that past four financial years. Our total shareholder return as

we compare with other peers stands very well as we look across the period of December 17 to March 23.

Now one of the things we've been focused on ov er the past several years is building out deep capabilities, especially in the digital space. We had put together a strategy representing the p entagon with different elements of digital. Today, we are really delighted that we have a leader capability in 56 of these categories when we look at different external agencies, which ranked various companies on their digital ratings.

One of the most significant moves we've had in the past year, year and a half, two years was the push on the cloud. And that has been really the launch of Cobalt, which combines all of our cloud capabilities, whether it's infra as a service, software as a service , platform as a service , and in fact , software partnerships which come from many of these cloud providers.
We have built tre mendous capabilities on our own with our partners. And today, we are in the leading position of driving cloud- driven business innovation, which supports the transformation of our clients when they go on to the cloud journey.
More recently, we have launched Topaz ™. Topaz ™ is really encompassing all of AI and especially generative AI capabilities. In generative AI, we have created leading capabilities using large language models, which are open source by nature, large language models, which come from different companies . We have today 50 active client projects where we are using generative AI. And this is becoming an increasing part of the n ew world, which is going to be defined on an AI -first basis.
Here, we've also built a very strong group of ecosystem partners, which we work with on AI and also on generative AI. It’s not just generative AI , it's on AI operations on vision areas, several AI startups and the hyperscal ers and how they are leveraging the AI capabilities. We believe this is really the foundation Topaz and generative AI offer large transformation, which will go into the future as the world changes and leverages AI and generative AI.

One of the most critical reasons why we've had a strong performance this past year and over the past

few years, is the concept we put in place of O ne Infosys . Here, all of our employees work directly for the benefit of our clients across all boundaries, departments , function. W e are both focused on new transformation work and making sure that all of the w ork is getting delivered to our clients, leveraging all of that capability as one single Infosys, keeping the clients ’ interest s first in our mind.
With that, I will conclude. F irst, the financial year 2023 was a strong year for our business. We have positioned the C ompany to work with our clients for digital transformation, but also more and more as they look at cost efficiency and the automation programs. We have developed a strong set of capabilities in generative AI , and overall in an AI -first approach via Topaz ™. We have already extremely strong capabilities on cloud, which is based on C obalt, which our clients are leveraging. And One Infosys is really the foundation of all of this work that we do within the Company and for the benefit of our clients. I want to in conclusion, thank you all of our shareholders, for your continued trust and support in the C ompany . With this sort of a foundation and your trust with us, we see a future which is

successful future for Infosys, working with more clients and en abling more of our employees for a future in an AI -first technology -driven world. Thank you. And

back to you , Nandan.

Nandan Nilekani

Thank you, Salil. I now request Manikantha, the Company Secretar y, to provide a summary of the auditor's report .

A.G.S. Manikantha

The statutory auditors, Deloitte, Haskins and Sells LLP, and the Secretarial Auditor, Makarand Joshi and Company, have expressed unqualified opinion in the respective audit reports for the financial year 2022 -23. There were no qualifications, observations or adverse comments on the financial statements and matters which have any material bearing on the functioning of the C ompany. The statutory auditors ’ report s on the standalone and cons olidated financial statements , respectively, are available on page nos. 207 and 291 of the Integrated Annual Report . The secretarial auditor's report is enclosed as Annexure 5 to the B oard's report on page no. 85 of this year's Integrated Annual Report . Thank you.
Nandan Nilekani

Thank you, Mani.

As the Notice is already circulated to all the members, I take the Notice convening the meeting as read.

Before we proceed, I'm pleased to bring to your notice that as required under the Companies Ac t, 2013, the Company has provided you the facility to cast your vote electronically on all resolutions set forth in the Notice. Members who have not cast their vote electronically and are participating in this meeting, will have an opportunity to cast their votes through the e -voting system provided by NSDL. Members may please note that there will be no voting by show of hands.
We now take up the resolutions as set forth in the Notice. We will open the floor for any questions by members after all the resolutions are tabled. Accordingly, I will now only read out the resolutions.
Item no. 1 of the notice – Adoption of the financial statements . The financial statements of the Company including the consolidated financial statements for the financial year ending March 31 , 2023, including the reports of the B oard of D irectors and auditors have already been provided to the members .
Item no. 2 of the notice – Declaration of dividend. T he Board ha s recommended a final dividend of ■ 17.50 per equity share. Y ou would recall that an interim dividend of ■16.50 per equity share has already been paid for the financial year ending March 31 , 2023. This year , the dividend income , including the interim , will be ■ 34 per equity share.

Item no. 3 of the notice – Appointment of Salil Parekh as a director liable to retire by ro tation .

Item no. 4 of the notice – Appointment of Helene Auriol Potier as an independent director of the Company

Item no. 5 of the notice – Reappointment of Bobby P arikh as an independent director
The text of the resolutions along with explanatory statement is provided in the N otice circulated to the members.
If any member desires to ask any question pertaining to any item on the N otice , he/she may do so now. Members are requested to keep the questions brief and specific. To avoid repetition, the answers to all the questions will be provided towards the end. Members may also note that the C ompany reserves the right to limit the number of members asking questions depending on the availability of time. While

members are queuing up to ask questions, may I request the team to play short videos on Infosys Topaz ™ and Infosys Foundation – Grow and help others grow with you.

[Videos]

A.G.S. Manikantha

Dear shareholders , thank you for joining our 42nd AGM today and for taking time to participate in the proceedings. Before we go live with the Q&A, here are some points to note for your convenience. When your name is called and you're projected on the screen, please mention y our name, folio number and the location from where you're joining and proceed to ask your question. Each shareholder will have two minutes for their questions. To avoid repetition, the Board will respond to all the que

stions at the
end. Once you have asked your question, you can switch to watch the proceedings. The B oard will be taking questions from shareholders in two or three sets, depending on the number of questions on the video.

With that, I will request the first shareholder , Celestine… Celestine, kindly go ahead and ask your question, please.

Celestine

Hello, am I audible?

A.G.S. Manikantha

Yes ma dam, you are audible. K indly go ahead with your question.

Celestine

Okay. I want to just greet [unclear audio] non-independent promoter Mr. N andan M. Nilekani and, MD and CEO , Salil Par ekh, other B oard members, my fellow shareholders attending this e -meeting. I am

Mrs. C .A. Mascarenhas. I am speaking from Mumbai . First, I thank the C ompany Secretary , A.G.S. Mani kantha and his team for sending m e an e- annual report and also registering as a speaker at my request. Thank you s o much, and giving me this beautiful platform , where I can interact . I come to the Annual Report , very exhaustive, but self -explanatory adhering to all the [unclear audio] corporate norms . The working is very good , there is no any , it is par excellence speaks , market capitalization speaks , dividend of ■ 34. A lso with it , buyback in the open market it amounts to, I don't know, 86% of the fr ee cash flow. What a wonderful company ! Now I congratulate for all the awards, all our document s in the annual report. Congratulations, which to say 10 times, for obtaining ESG corporate award and we got Platinum Award. I am reading so many B alance Sheets, I'm not able to find this sort of award, I don't know , Infosys, I am so pleased , very, very happy. We are recognized by … top performer in 20 23 by Sustainalytics. A nd, also our company has topped the charts of ESG leadership rankings and was featured in the Crisil S ustainability Y earbook 22 for the second consecutive year. Keep it up , very good. I would like to know that we are in some international ESG list , platform listed there if you could thro w lights . Now the currently , the changing what is our motto like, changing game with intelligence. How much is invested , how much like total, I want total percentage in AI, our level in meta verse , machine learning, any acquisition of any companies which are seasoned in this field, th row some light. I don't want to ask many questions because ESG is covered and then all that CSR. So all is told, and there's full report on …How many employees are in the design operations, how many are in the [unclear audio] sector, and what is the attriti on level ? Also, total attrition level on the whole and if it is high, how do we plan to k eep our staff so that they don't do hop here and there. Next is, Infy has grown from strength to strength and I feel still the best is yet to come. This is not over , it has grown and it is best going to come. So, I don't want to ask further questions , I want to sit and take [unclear audio] in the way of acquisitions, in the way of dividends and in buybacks . With this I support [unclear audio] I wish my Company all the best. Especially, I wish all the Infoscions good health because health is [unclear audio] . Once again, I say thanks to the entire team for giving this patient hearing.

A.G.S. Manikantha

Thank you, ma’am.

May I now request the next shareholder , Mr. Shailesh ?
Shailesh, Sir, kindly go ahead and ask your question.

Shailesh

Yes, Sir. Respected Chairman, d istinguished directors, the management team members and the members of Infosys.

Sir, let me first congratulate the entire C ompany for getting one more year of excellent results financially and in all other activities. Sir, the presentation by the C hairman was excellent. And it was further supplemented by the Managing Director . Sir, I have become wiser, as far as our company 's working is concerned and more satisfied than what I was. Now,

I wish to also appreciate the services of

the secretarial department, which has enabled me to participate in this meeting. Sir, with this, I would like to ask two or three questions . Sir, my first question is that there are frequent changes in technology, particularly in recent times, and this trend is likely to continue. Sir, what I would like to understand is how fast our employees get adjusted to this changing situation in such a fast way. Are we encountering any problem in this particular situation? Sir, my second question is regarding the world economic growth, which is likely to remain low in the current year also. Sir, our business has a direct relation with the GDP , world GDP . Sir, my question is that I'm sure some of our businesses must have also been affected, not canceled but delayed. Sir, what I would like to know is which of the verticals of our business has remained unaffected or least affect ed and which vertical has been affected to the maximum. And Sir, m y last question is regarding the security, cyber security . Our business is so very sensitive and data preservation etc . is extremely important. And we also hear many cases that this safety and security is breached. Sir, what I would like to know is what steps we are taking in this particular field. And Sir, lastly, before I end, I would like to appreciate the excellent work being done by Infosys Foundation under the leadership of Mrs. Sudha M urty. I would also like to add that all our promoters in their individual capacity also , they are working to the society in a very big way. Well, the nation is proud of all of you. And I hope you will continue to make the progress as you have been doing in the last so many years . With all this, my pranaam and best wishes to all of you.

A.G.S. Manikantha

Thank you, S ir.
May I now request the next shareholder , Shrenik Mehta. Sir, kindly go ahead and ask your question.

Shrenik Mehta
[Missing audio] Mehta from port city of Jamnagar . Age -wise, I'm 70 +, and I'm a minority shareholder. Academically I am M.Com LLB, advocate , and I'm a long- term investor in share market also, as well as I'm a sub broker on NSE. That is my short introduction. My DP ID is IN30097410 028000.

Our beloved Chairman, Nandan Nilekani Saheb, Salil Parekh Sir, the B oard of D irectors, Mr. Mani kantha , our C ompany Secretary and his secretarial team. First of all, I would like to convey my thanks to all of you for giving me an opportunity to speak at the 42nd AGM. My questions are: Sir, it is said by our very good, loved Motilal Oswal Financial Services , share market ke baare mein bola jaata hai, bhaav Bhagwan hai . [It is said about the share market, that price is God] . If so if I translate into English, shaayad [maybe] Nandan Nilekani doesn't know Gujarati , price is like, for share market, price is like a God. Now I am coming to the Infosys . From all-time high, today, our Nifty has again touched back. And IT index is minus 8% wherea s our Infosys price are minus 22% as on today . That much underperformance, Nandan Nilekani , Salil Parekh Sir, and Manikantha, our company's price has done. And [unclear audio] , I have put much more weightage in my total portfolio of my total holdi ng. So it is quite concerning to me.
Now, let me come to second point . Sir, during last three- four AGMs , me and other shareholders are requesting the Board of Director s to do buyback through tender route. Then again also, after so many requests, you have not accepted our request and last buy back was through open market operation. So, we don't get direct benefit. Now Manikantha, question to you . If I'm not mistaken, from 1
st April

2024, recently Sebi has passed an order that from 1st April 2024, a ll buyback will be through tender route. K indly confirm whether my understanding is correct or not , because personally, me and my Jamnagar Chamber of Commerce have repres

ented to SEBI that buyback should be compulsorily by
tender route, not by open market operations. Kindly confirm in your answer .

I think dividend policy , I think 85% you are returning back , so, I don't have much question about it .

But now, Mr. Salil Parekh and Nandan Nilekani . What about organic growth and inorganic growth for future ? About Salil Parekh's address, much talk about artificial intelligence but as I'm a student of commerce and law , I don't understand much but as a shareholder , I wou ld like to know , will artificial intelligen ce support our working or it will distract our working? Pl ease throw some light in simple language, who can understand , a student of commerce and law .

Manikantha, now question is to you . Every time , I have to cas t my vote through these my demat account . When I go, that NSDL site shows my email and my mobile number is not registered. Then I lodge a complaint with my deposited participant , Marwadi Shares. They say we have already registered your number . Then I lodge complaint with NSDL. They say we have also registered your mobile number and email id perfectly. Toh bola problem kahaan hai, Sir? [Sir, where is the problem ?] So, why e-voting site says so? Uske kehne ka matlab yeh hai, NSDL ka. [What the NSDL is saying is…] I got reply from NSDL , ke jo aapka transfer agent hai, transfer and register, KFin Tech, woh puri tarah se hamara data uthathe nahin hai. Iski wajah se aapka email and mobile numbe r does not show . [Your register and transfer agent, KFin Tech does not take the data completely . This is why your email and mobile number do not show] while you want to do e -voting. Phir unhone koi special password bhi de diya. [Then they gave me some special password.] Then I was able to cast my vote and register myself. And last point , Sir, you are doing so much of Corporate Social Responsibility work. I'm from Jamnagar district . It is my humble suggestion that do some corporate social responsibility in my district of Jamnagar , in consultation with Member of Parliament, Mrs. Poonam ben Maadam. Thank you for giving me an opportunity and as a shareholder , I'm quite happy . But, my price , share price of Infosys are not going and you are not doing buyback by tender route. So, these are my two grievances, please. Thank you all.

A.G.S. Manikantha

Thank you, Mr. Mehta . Now, may I request Mr. K aushik . Kaushik, kindly go ahead and ask your question.

Kaushik
Yes, I'm audible?

A.G.S. Manikantha

Yes, Sir. You are audible.

Kaushik

Yeah. So good evening, everyone. I am honored to have the opportunity to speak with you all today. I want to start by thanking the B oard of D irectors for giving me this chance to address you all once again. As many of you wi ll remember, my name is Kaushik S owcar , and I'm a chartered accountant from Mumbai . I have been facing physical challenges due to dystonia, which has affected half of my body paraly zed, impacted my right hand, my right leg and speech. However, I have not let this challenge impact my passion for accounting. However, I do need your support to continue to be self -reliant. I have been reaching out to you for last few years. But it seems that my request has gone unheard. I understand that you may be having been busy with other things , important things. But I would like to know the reason why my request has not been given the attention it deserves. I want to make it clear that I'm not looking f or any freebies , free money. I'm simply asking for help to ensure that I continue to work to the best of my abilities. As a practicing chartered accountant, I value independence and self -reliance, and I hope that you can appreciate my desire to maintain the independence. Thank you for considering my request. I strongly believe that with your support, I can make significant contribution to our organization and positively impact society. I e

agerly await your response and sincerely appreciate the time and attention you have given me today . If you're interested and willing, I would greatly appreciate the opportunity to meet you in person. Thank you. Thank you so much.

A.G.S. Manikantha

Thank you, Mr. Kaushik. Now, m ay I request Mr. Santosh? Santosh, can you ki ndly go ahead and ask your question?

Santosh Kumar Saraf
Maananiya aadyakshji, upasthith netayein and sadasgan, adhikarigan, aur mere shareholder bhaiyon behenon, jo aaj video conference ke through present hai, main Santosh Kumar Saraf se, aap sabhi ka namaskar karta hoon. Aur visheshkar hamare Manikantha ji ko bhi namaskar karta hoon , jinke ache

[unclear audio] aur unke team bhi bahut ache hai, unko bhi dhanyavaad deta hoon .
[Respected leaders, Board members, and fellow shareholders, who are all present on video conference today, namaskar from me, Santosh Kumar Saraf. Namaskar also especially to Manikantha and team and thanks to them for enabling this.]

Sabse pehle dhanyavaa d deta hoon, Sir, is saal aapne jo [unclear audio] jo dividend diya hai, who high dividend hai, iske liye dhanyav aad deta hoon. Doosra, Sir, main aapko iske liye bhi dhanyavaa d deta hoon ke aapke yahan 39.4% women employees hai, out of 3,40,000. Aur iske saath dukh is baat ka hain ki women employees toh 40% hai, female directors sirf 12% hai. Toh main chahunga future mein ek director aur laake isko kam se kam aage badhane ka koshish karenge. Jaise aapne kahaan women empowerment ke liye aap kaam kar rahen hai, toh directors ke andar women empowerment nahin dikh raha hai. Iska dhyan rakhenge, Sir.

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[First of all, thank you, Sir, you gave high dividend this year, thank you for this. Secondly, I would also like to thank you because Infosys has 39.4% women employees out of a total of more than 3,40,000 employees. But, it is also sad that even when women employees make up 40%, female directors on the Board is only 12%. So, I hope that in the future, you will hire a woman director to increase this. You said you were working for women empowerment, but this women empowerment is not seen among directors. Hope you will keep this in mind, Sir.]

Sir, last year, aapke active clients 1,872 hai, Sir, Toh isme abhi new client kitne hai ? [unclear audio] Agar aapke pass report hai, toh batane ki cheshta kariyega Sir.

[Sir, last year, you had 1,872 active clients. How many of these were new clients. If you have the reports, please share with us.]

Sir, how m any employees work from home? P ercentage kya hai , unke numbers kya hai n jo abhi work from home kar rahe hai, Sir? Aur Sir, iske saat mein yeh hai, Sir, ke aapke yahaan jo buyback jo aapne kiya, uska value, how many billion? Aapne highest price mein, 1539 mein buyback kiya Sir lekin humein mila nahin, milta toh aaj humein kaafi help hogi. Toh future mein, hum chahunga Sir aap buyback jab bhi karen, toh is route se karen, tender ki route se, jaise Wipro wale kar rahen hai. Usse aap actual benefit jo sha reholder ko dena chahenge, who unko milega. Otherwise kya hai n ki immediate jo sell karte hai, unko mil jaata hai . Hum jo bache long- term investors, jo aapka shares bechna nahin chahte hai n bazaar mein, who loser hote hai. Sir, iske baare mein zaroor vicha r kariyega. [unclear audio] Zaroor vichar kariyega, jo aapke loyal shareholder hai, woh toh bazaar mein maal bechte nahin hai . Actually, unko tender ki through agar milta hai, toh benefit hota hai, otherwise benefit nahin hota.
[Sir, how many employees are working from home. What is the percentage of those who are currently working from home? Also, Sir, what is the value of the buyback you have done? Your buyback was done at the highest price of 1,539 but we didn’t get it. IF we had got it, it would have been good. In future, I hope you will do the buyback through the tender route, like Wipro does. By doing this, the actual benefit that you wa

nt to give shareholders will reach them. Else, whoever sells immediately will gain. For us, your long- term investors, who don’t want to sell in the open market, we become losers. Sir, please think about this because your loyal shareholders, they won’t sell in the open market. If they get it through the tender route, they will benefit. Otherwis e, they don’t get any benefit.]
Main zyaada say nahin loonga. Sir, main yeh chahunga ki is saal kitne new employees aapne add kiye hai, unke numbers kya hai n aur Sir, unke female percentage kya hai. Zyaada samay nahin lete hai, ek baar phir hamare jitne bhi director hai, jitne bhi adhikari hai n aur jitne bhi shareholder s jo video conference pe hai, unko aur unke parivaar ko shubhkaamnayein deta hoon. Aur Bhagwan se prarthana karta hoon, jo 2023 ka financial year hai, who sabhi ke liye healthy, wealthy, prosperous ho. Ek baar aur Secretary and unke team ko dhanyavaa d deta hoon, unke kadhi mehnat ki kaaran, dry run ki kaaran hum meeting attend kar sakte hai. Namaskar.

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[I won’t take too much time. I would also like to know how many new employees were added this year, and what was the percentage of female employees among them? I once again wish the people on the call and their families all the best and wish the financial year 2023 will make them healthy, wealthy and prosperous. Thank you once again to the secretarial team, whose hard work, and dry runs, helped us participate in this meeting. Thank you.]
A.G.S. Manikantha

Thank you, S ir. Thank you, Mr. Santosh. Now, may I request Mr. D harav ? Mr. Dharav, can you kindly go ahead and ask your question?

Dharav Jamedar

Yeah. Good evening and greetings of the day to the respected Chairman and all the B oard members of the company. My name is Dr. Dharav Jamedar . I'm from Sura t, Gujarat . My DP ID is I N303028. First of all, I would like to congratulate each and every stakeholder of my Company on performing tremendously well , outperforming the peers and posting r obust numbers , both on Q -o-Q and Y -o-Y basis . Sir, every year it is an honor and a memorable moment to get an opportunity to have an insightful conversation with you on different aspects. I would also like to acknowledge and appreciate the efforts of corporate secretar ial department. Some of my questions which I would request you to address are first, apart from the cloud capabilities and differentiated digital services, which segment might be the third pillar to the stellar growth in the coming years. Second, what is my C ompany's strategy of maintaining higher ROE despite suffering from the issue of lower m argins? Third, how is my Company going to improve its free cash flow conversion in this particular fiscal year? Fourth, apart from leveraging more on generative AI capability, what are the steps that my C ompany is taking to improve the productivity within the company? Fifth, c onsidering the company's BFSI segment has only 2% exposure in US A's regional banks, which segment o f yours do you think shall be highly and which segment will be least impacted by the case , case being that US goes in recession? Six, what according to you, shall be the role of IT services five years down the line f actoring in all the recent developments of AI and many such things related to it? Seven, what steps has my company taken for the well -being of its employees in this last fiscal year? I wish all the best to my C ompany for this current fiscal year. Thank you, S ir.

A.G.S. Manikantha

Thank you, Mr . Dharav. N ow, may I request Ms. Shruti. Ms. Shruti, kindly go ahead and ask your question.

Shruti Saraogi

Good afternoon, respected Chairman S ir, and members of the B oard. I am Shruti Saraogi, a proud shareholder of Infosys , folio number 300693 joining in from Kolkata, and a member of the Kolkata chapter of M illennium Mams . I have two questions , Sir. An important part of our operations is human

resources. As we know , there is a shortage and attri tion rates are high in the industry. Do you think it

would be a good HR policy to provide accommodation? Theoretically, if we put up a campus in Mysore with the new Mysore -Bangalore highway, the distance is only one hour. This could be on the lines of the GIFT city in Gujarat, where all facilities are available. This would help reduce attrition rates. Please share your views on that. Secondly, … about AI replacing humans in many work areas and being a threat . On which side of the opinion spectrum are you and why ? Thank you so much , Sir.

A.G.S. Manikantha

Thank you, M s. Shruti . Now, m ay I request Mr. Om Prakash? Mr. Om Prakash , kindly go ahead and ask your question.

Om Prakash Kejriwal

Am I audible, Sir?

A.G.S. Manikantha

Yes Sir, you are audible.
Om Prakash Kejriwal

Thank you.

A.G.S. Manikantha

Sir, please go ahead with your question .

Om Prakash Kejriwal

Thank you, Sir . Good evening, Sir ji. And good evening to everybody attending this AGM . Myself, Om Prakash Kejriwal [unclear audio] .

A.G.S. Manikantha
Yes, Sir, we can hear you. K indly go ahead with your question.

Om Prakash
Yeah, right. Thanks to our secr etarial team for helping me register as a speaker shareholder. Sir ji, t his is my first AGM only due to virtual . Thought I am your very old shareholder , it is just an opportunity for me to speaks and join this AGM virtually sitting in Kolkata. New technology ka kamaal hai n Sir ji. [It is the magic of new technology, Sir]. If possible, please follow this type of virtual AGM in next year also.

Sir ji, what a performance! M ind-blowing performance! Iske liye aapko, aapke sabhi Board of Directors ko, aur employees ko bahut bahut dhanyav aad. [For this, thank you and Board of Directors and employees too.]

On equity of ■2,074 crore, our total income is ■ 127873 crore , matlab [meaning] one lakh twenty -seven thousand eight seventy -three crore on a standalone basis and our net profit is ■ 23,268 crore. It means EPS is ■ 55.48, 10% more than previous year and dividend is ■ 34, means 62% dis tribution of net profit. Very good distribution Sir ji. Thank you once again. You are an Indian MNC . Beauty of our C ompany. Our total income is increasing every year. Our net profit is increasing every year. Our EPS is increas ing every year. O ur dividend is increasing every year. And our equity is decreasing every year. This is the beauty of our C ompany. Ek shareholder ko aur kya chahiye, Sir ji? Bahut bahut dhanyavaa d iske liye . [What more does a shareholder want, Sir? Many thanks for this.]
Sir ji, today my dream come true. Today , I'm interacting with a scientist, a n innovator , a good human and a donor. Mr. Nandan Nilekani Sir. S ometime back , I came to know from media that you donated a good amount of money to IIT Mumbai . Acha laga Sir sunke. [Felt good to hear that, Sir.] It will be helpful in developing a new crop of students. You developed Aadhaar card, which is helping today our country too much. Thank you, Sir ji .

Mr. Sali l Parekh , you are also a great person, you are helping our country in several ways. You developed new software for our Income Tax department , which is working well today. Sir ji, ek-do question hai. Driverless car – How much it has been developed? Second: Artificial intelligence, which is also called AI. Unemployment increases after 2- 3 years . How it will affect human life , means what is its side effects ? Third, any modification in guidance? P reviously , you have given downward guidance. You have sen t your new contracts 2-3 times back . Iske baad aapke guidance mein kuch change hua kya? Iske liye thoda sa bataiyega. [After this, is there a change in your guidance, please tell.]

Thank you. Thank you, S ir ji. At last Sir ji, please maintain your smile and be cheerful . We are always with

you as a long -term investor. Thank you. Thank you.

A.G.S. Manikantha
Thank you, Mr. Om Prakash . May I now request Srirama Vinoda Adilakshmi? Ma'am, kindly go ahead and ask your question.

Srirama Vinoda Adilakshmi

Good evening , Chairman Sir and members of the Board. I'm a member of M illennial Mams, Bangalore Chapter , and a proud shareholder of Infosys. I would like to ask you two questions. My first question is, recession is looming large in America. It is affecting revenues , given that the North American business grew only 6%. Sir , in this condition, what is your view about Infosys in the next three years? And my second question is how is Infosys investing in employee ups killing and reskilling to adapt to emerging technologies and meet changing client demands? Thank you.

A.G.S. Manikantha

Thank you, ma'am. May I now request Mr. Hiranand Kotwani? Sir, kindly go ahead and ask your question.
Sir, we can't hear you . If you can unmute and ask your question.

Hiranand Kotwani
I'm audible, gentlem en?

A.G.S. Manikantha

Yes, Sir. We can hear you now. Kindly go ahead.

Hiranand Kotwani

Thank you. Thank you. It's great pleasure to join you, Infosys . Highly respected and humble, our Chairman and other dignitaries attending this meeting. So many questions have been asked, nothing more to add. Just one question to Mr. Chairman, because his address was too good. And Salil has already given us a picture. The question remains not to ask . But, certainly I have one question regarding to the fluctuation in dollar. Mr. Chairman, what is the contingency plan, if the dollar crash es? How you will see the future growth of industry, particularly I T, globally ? How the growth and future of our organization will be? Thank you and good luck ahead.

A.G.S. Manikantha
Thank you, Mr. Hiranand . May I now request Mr. Alex ? Mr. Alex, kindly go ahead and ask your question.

Alex Punnen

Hello, am I audible?

Manikantha
Yes, Sir. You are audible.

Alex Punnen

Good afternoon, everyone. Good evening, everyone. Thanks for this opportunity. So I am Alex Punnen joining from Bangalore. I ’m a minority shareholder, actually. So I ’m also a software developer for around 20 years. So my question is related, something related to generative AI . I had to ask this actually, I couldn’ t sleep. So basically, I ’ve been using this and I know the power of this actually. So it increases productivity by around 30 to around 90% , depending on how it is used. So, the thing is that , which Chairman Nandan Nilekani Sir and Salil Parekh Sir have told about Infosys Topaz ™ and

externally how clients are using it and are needing that . But, my question is internal looking. So if you don’t adapt to this, this is going to be a threat, actually to our C ompany, actually. So maybe this is already getting reflected in the market. I ’m not really sure. But what is the plan, short -term and long-term of Infosys in leveraging this technology for inc reasing productivity and quality? And , there are a lot of implications to this. So what is our C ompany doing related with this? So it ’s a hard question, but I had to ask this because, yeah, this is on top of my mind, actually . But thanks once again, for th is opportunity .

A.G.S. Manikantha

Thank you, Mr. Alex. Now, I will request Mr. Athanu Saha. Athanu, k indly go ahead and ask .

Athanu Saha

Ah, y es. Am I audible?

A.G.S. Manikantha

Yes, Sir. You are audible.
Athanu Saha

Yes. Namaskar. Good evening. And also good early morning to our world. Because Infosys it works never sleep. S ir, I Athanu Saha, a shareholder of Infosys . My respected C hairman, and Board independent directors, and my Company Secretary and his total team, and all personalities and all my shareholders present in this virtual meeting.

Sir, I thank you that I get this opportunity to speak. Sir , tod

ay , it’s 28 June, 2023. Our company
organizing its 42
nd Annual General Meeting. Sir, previous shareholders , they arise number of questions ,
so not necessar y to repeat. So, my just two or three questions. H ow many MSME s participated in this year? And how Infosys manage its M etaverse Foundry and explain cost of sales in this financial year, and how we do return and returning to green initiative and sustainable all developments ? And how our

company combat with climate change situations ? Dhanyavaa d. I, Athanu Saha, with a good year ahead, with good result , and good health to everybody. Now , I am hand over to our moderator. It 's Infosys, which Navigate our Next. Dhanyavaa d. Namaskar .

A.G.S. Manikantha

Thank you, Mr. Athanu Saha. Now, I will request Mr. Sadananda Shastri. Sir, kindly go ahead and ask your question.

Sir, kindly unmute and ask your question.

Hello.

Hello .
Sadananda Shastri

Hello .

A.G.S. Manikantha
Sir, we can hear you now. Kindly go ahead and ask your question.

Sir, I think again, it has been muted. If you can unmute once again, please.

Yes, Sir, please go ahead. Yes, S ir. We can hear you. K indly go ahead.

Sadananda Shastri

Good evening, I'm Sadananda Shastri from Bangalore. My number is 11702201.

First of all, I thank the B oard for having given a nice performance. Bu t however, a profit growth of growth is 1, 962 crore , which is lesser than earlier years. I'm sorry to say shareholders are losing dividend benefits in the form of TDS that even though they are not liable for it . It may be due to lack of the guidance from the C ompany's team concerned. Lot of confusions are being cropped up in submitting Form 15 H. What particulars the coordinators team is required , we do not know . Neither they will disclose it nor rectify it. With this , I have lost many thousands . During our earlier years , proper guidance from the team is needed, Sir. Sir, I will go by page -wise from the report , purely from the report , I will not deviate anything. [Unclear audio]

Report page no. 19, in revenue geography , India has secured the least place – 2.6% How do you uplift this? Is there any negligence in the Indian market?

Page no. 22, in the column T erm Ending Date of Chairman , you have used the abbreviation NA. How do you justify the word NA when all other directors are having ending date? Is the word NA appropriate?

Page no. 45, it is pitiable to note revenue growth is negative of 0.4. How the company will bring it up to positive in the current year ?

Page no. 46, y ou have said 1, 357 employees disclosed their disability . What is its meaning? D oes it not affect the image of the Company ?
Page no. 58, Board's report, an excellent amount of income of 268 crore is taken out from profit towards comprehensive item to make round the other figure to 23,000. What is this item , Sir?

Page no. 163, in transfer of reserves, it is said that you have not transferred any amount to reserves . Does it not speak about the stability of the company?

Page no. 66, that is resignation of directors. Many stalwarts like Mrs. K iran Majumdar, Mr . Ravi Kumar, Mr. Mohit , etc. are leaving the C ompany. How do you safeguard the image of the C ompany ?

Page no. 70, out of 98 subsidiaries , some like U nit 15 – Shanghai , 33 – Base life, 38 – Malaysia , 53 – Turkey , 88 – Germany , are incurring loss. How do you struggle hard to bring these to a positive line?

However, Panaya is shining now, thank you very much for that.
Page no. 81, in the re muneration of managerial personnel , 287 c rore, more powerful [unclear audio]

profit. Why can't the personnel adopt the ethics and follow the other company's C EO sacrifice in the interest of company first as well as company's employees ?

Page no. 83, c ongrats for the company 's second place in top 10 i n remuneration. I n what way this rank benefits to the Company ? Do we see first rank in the next year?

Page no. 219, B alance Sheet, why there is a large variation in investments in standalone and consolidated, that is , 23,686 crore versus 1 2,569 crore .
Lastly, page no. 301, in other expenses , 130 crore increase in credit loss . Can the company adopt strategies to reduce interest to nil, whether this would be a hit for the current year profit ? Thank you very much , Sir. See you next year in our Bangalore only, in a physical meeting. Thank you very much.

A.G.S. Manikantha

Thank you, Mr. Sadananda Shastri. Now may I request Mr. Manoj to kindly go ahead and ask the question.

Manoj Kumar Gupta

Hello. Hello . Can you hear me?

Manikantha

Yes, Sir, we can.

Manoj Kumar Gupta

Good evening. Good evening. Respected Chairman, Board of Directors , fellow shareholders. My name is Manoj Kumar Gupta, I've joined this meeting from my residence, Kolkata .

First of all, I thanks to you and your team for the excellent result of the Company for the year 2022 -23. But I have a great respect to you , Mr. Nilekani. But I could not recognize you, a fter seeing you today through VC. That is, last five years , everything has changed. Your hair has become white. Because when I meet you five or six years back in Delhi, you looked like as a young man. Today , your age is saying tha t you become between 60 to 70. But anyway, I wish to God for your healthy and prosperous, safe long life. And thanks to our MD , Mr. Parekh, whos e nice presentation that the shareholders will inspire and the market will boost tomorrow because on his present ation. He has given a nice presentation. And thanks to Mr. Manikantha and his team for their excellent job to [unclear audio] the small shareholders , to help the small investors to join this meeting through VC. S uch type of people should be in the corporat e sector that can help the people too. Please convey my best wishes to our founder , that his son -in-law has become the PM of UK . Because I know that one thing, those have ruled on us for 200 years. Now we have got a chance to rule on them , after 200 years . So, please convey our best wishes to him. That his son-in-law has got success, ultimately , to be PM . And, thanks for your dividends, Sir .

And what's your policy for CSR? Hav e you any plan to expend some amount in this part of the country to do something for the community and the society under the CSR ? And, Sir, there was a media report some days back after the close down of the work from home , several young generation people tendered their resignation in TCS and Infosys . Sir, what is the status , how many people have tendered their resignation, after shutdown of window of work from home. And Sir, have you got any other work of the government like the Income Tax? H ave you any pl an to bid to get further job of the government of India or any state government?
And I have no plan to say of the cybercrime itself. Have you any plan further to launch any buyback and plan for new campus in northeast ? Northeast is growing up after become the anti -government. S o, think about that to launch some new campus in N ortheast to give a young generation chance to take a campus .
Any plan to split the shares, increase the liquidity in the market ? Sir, have you any plan to tie up with the IRCTC for railway work through Infosys? Thank you, S ir, once again, thanks to your Company Secretary and his team for their support to the small investors to help join this meeting through VC . Namaskar.

A.G.S. Manikantha

Thank you, Mr. Manoj.

May now I request Mr. Ashish to kindly go ahead and ask the question?

Ashish

You can hear my voice, Sir?

A.G.S. Manikantha

Yes, Mr. Ashish. We can hear you. Kindly go ahead.
Ashish
Respected Chairman and Board of Directors, f irstly, I thank the Company Secretary to connect this AG

M today.
I hear the news about the employees working at home three days and three days in off ice. [Unclear audio] Why are we working at home?
Also, you have gone for buyback. You are going to the open market. Why are you not going through tender offer route? Small shareholders can participate. I cannot understand that point, S ir. Please clear it. Also, I have given my vote. I do not want to take your time. If you can reply to my queries by name, I am thankful to you. Thank you so much.

A.G.S. Manikantha
Thank you, Mr. Ashish. Now, I will request Mr. Keerthi Shah.

Keerthi Shah

Chairman Sir, my name is Keerthi Shah. Good afternoon. You are showing a steady performance every year. Last quarter also, you have a turnover of ■ 32,000. This quarter also it is ■ 30,000 crore and profitability is also ■ 6,000 crore, same. What is your plan for the future? Revenue will be increased. Net profit will be increased. What is your future plan? Why steady growth only?

Chairman Sir, I have sent you so many emails. But you are not replying with full details. Why?
Chairman Sir, you have to follow corporate governance. You are not following corporate governance, Sir. Kindly, I expect you are now following the corporate governance. I will remind you once again. Kindly follow the corporate governance and then reply in full detail to my email. I wish you all the best. Thank you very much.

A.G.S. Manikantha

Thank you, S ir. May I now request Mr. Redappa?
Mr. Redappa, kindly go ahead and ask your question.

Redappa Gundluru

Yeah, thank you, Manikantha.

Is my voice audible, S ir?

A.G.S. Manikantha
Yes, we can hear you.
Redappa Gundluru

Thank you. Thank you. Thank you.

Mr. Nandan Nilekani S ir – dynamic leader, Aadhaar chairman, my company's backbone. Thank you. Namaste Sir.

Salil Parekh ji, Nilanjan Roy ji and Manikantha ji, and all the other directors, independent directors, auditors, scrutinizer of this AGM and my fellow shareholders of this video conference. Good evening. Namas te. Sir, my name is Redappa Gundluru. I'm from Hyderabad. I'm a financial advisor with the Motilal Oswal. Sir, as a shareholder, I'm very happy about the company's performance for financial year 2022. As usual , Sir, thank you so much. Chairman S ir, you hav e given very good speech about my company's performance during the last financial year. I would like to share my experiences about the physical AGM. Nandan Sir and Salil S ir, you are both the backbone of my company. I have very good memories and very good photographs from physical AGM 2018 -19. Nandan S ir is a very good person. I have requested for a photograph, and he immediately accepted. He asked the security people to allow

and took the photograph. It was a wonderful moment of my life, S ir. Thank you so much. That's the reason I'm waiting for this AG M for the last one year. Thank you so much.
Sir, I would like to thank this corporate governance. Earlier, a shareholder spoke about the corporate governance. I'm not agreeing with that. Our corporate governance is very wonderful. Ethically, accountabili ty, transparency of accounts, everything is there, Chairman S ir. Please keep it up and special thanks and kudos to my Company Secretary, Manikantha and all the KMPs of my company.

Nandan sir, I wanted to highlight the work you are doing for the society and the IIT technology. Wonderful, Sir. Nowadays, IIT students are very much needed to develop our country. I congratulate you for this wonderful and generous donation to the IIT for supporting the infrastructure and improvements, research and deep technology startup ecosystems. It shows you are the technology person. My company is technology, but you are developing another society for IIT students. Really, I am touched, Sir. Wonderful decision by my company's Board. Thank you so much and congratulations Sir.
Despite of adverse of macros, enterprises co

ntinue to reevaluate to their cost to structure and strengthen their business to resilience. Additionally, they are adopting technology investments to foster agility. Sir, there's no need to tell about my company 's financials. Wonderful, strong and consistent performance. Thanks for dividend. Congratulations to the wonderful team, the CEO team and technical members. All people are wonderful, S ir.

Sir, we have received very wonderful awards. Congrats for many mor e awards and achievements. Also, CSR is very wonderful, S ir. No need to say about our work with the Foundation and I have also gone through the all the separate annual report for the Foundation. Thank you so much, Sir.

Mr. Chairman, I have three questions:
First question, S ir – what is the future vision for the next of couple of years?

And in last few quarters, Infosys has seen high profile exits at Delivery level. Since high- level exists are at Delivery level, could you potentially halt project timel ines in the short -term?

Third question, S ir – Financial year 2024 revenue guidance was 4 -7% Y -o-Y. CCA optically looks soft versus peers. Does the company see at revising any guidance for the coming quarters?
Another question, S ir. Any updates on mega deals which are 500- million US dollar?. Please comment. Infosys is at the forefront of adoption for technologies. What is the current percentage top -up line and what is the growth expected in financial year 2024 -25?
Yeah, I have a couple of questions. I' m going to conclude. Thank you.

Sir, another question. Infosys margins may remain subdued over the next three years - financial years 2024 to 2026. What are the levers available to get back to financial year 2016 or 2022 levels?

Another question – strong growth in digital revenue but at the same time, a decline in core and non-digital revenue. How does the company plan to maintain growth in digital and non- digital revenues?

Another question – the management sounded cautious about the outlook demand sc enarios from North America during Q4 financial year 2023. How is the outlook after Q1 FY24?
Final question S ir – In Q4 financial year 2023, there was weakness in Retail, Hi -Tech, Financial Services and Telecom segments due to unexpected ramp down. So, what is the outlook after Q1 financial year 2024? These are my observations. And I have already submitted all the resolutions and thank the Company Secretary department, Manikantha and other employees and teams for the wonderful support for the smooth functioning. Thanks once again, Mr. Chairman S ir. I'm happy to see you healthy and fine. And all the Board of Directors, I wish all the best and hopefully, in the coming financial year, under your leadership, my company will achieve many more higher awards and recognitions and many more milestones under the leadership of my one and only leader, Nandan Nilekani. He's the strong pillar of my company with the support of all the Board of Directors. Thank you, Salil Sir, in the last five years, very wonderful, you are hardworking Sir. Thank you so much for giving this opportunity. I wish good health to all the Board of Directors. Thank you, Manikantha ji.

A.G.S. Manikantha
Thank you.

May I now request Mr. Manoj?

Mr. Manoj, kindly go ahead and ask your question.

Good afternoon, S ir.

Yes, we can hear. Kindly go ahead S ir.
Manoj Kumar

First question is what is our future outlook on core? Number one, how are we are geared up to tackle upcoming recession in the US and European market and adverse impact of foreign currencies? Second one is what are our plans to achieve sustainable financial growth and next point is return on earning targets for upcoming three to five years. That is what I just want to understand. And another one is that question has already been answered I think. How are we geared up for the technical disruption?. So that, with Salil S ir's good p

resentation, I got the answer well in advance.
Last question is while going through the Balance Sheet and P&L, I was just wondering what is the reason for 84% increase in travel expenses, and what is the reason for 60% increase in cost of software Y -o-Y. I found that these two are major factors which have brought gone down our profitability by 2%.
Although, there is an increase in revenue from op erations of 20%, our PBT has dropped by 2%. I feel these are the two major causes – 84% increase in traveling expense and 60% increase in cost of software Y -o-Y. So, I just want to understand the reason for that. Thank you.
A.G.S. Manikantha
Thank you, S ir.

May I now request Mr. Srikantha? Sir, kindly go ahead and ask your question.

Srikantha

Respected Chairman, MD, Board of directors, employees of Infosys and fellow shareholders, namaskar.

So, I was in for a very pleasant surprise when I met my auditor few days ago while I was filing my IT returns. The IT portal has been done so well, so effective by our own company, that earlier we had to give all the details to our auditor, like what are our earnings, expenses and everything. But now, to my surprise, everything is captured there. Even a small amount of ■ 25 dividend from a company is captured there. This is fantastic. My congratulations and applause to the team who have done the hard

work here. And in fact, I remember last year, there were a lot of glitches and trouble, but you're able to overcome everything and this is quite wonderful. I think all the auditors would be very happy. With that, I have only two questions.
Sir, Infosys is known for giving special dividends on reaching each and every milestone. I remember when Infosys reached 25 years' operations, they declared a fantastic special dividend. Likewise for 30 years. Now that you have completed 40 years, I am yet to hear something of that. So please, please do that. And coming to the question. This question was asked by a few shareholders regarding this buyback. See when Infosys announced a buyback of ■ 1,850 per share, and it went to the market for the buyback and got it around ■ 1,500 or so, why was this done? See, instead of going f or a buyback, you could have awarded the shareholders with a special dividend. These are my two questions. Thank you, Sir. Namaste.

A.G.S. Manikantha
Namaste, Sir. Thank you. May I now request Mr. Bharat Raj?

Mr. Bharat Raj, kindly go ahead and ask your question.

Bharat Raj

Good evening, Mr. Chairman. I'm calling from Hyderabad. First of all, thanks to Mr. Manikantha for arranging a wonderful VC. Sir, first of all, congrats to the Board for completing $15 billion company. I'm very proud. Under the leadership of Mr. Salil, we are doing wonderful. Salil S ir, you successfully completed five years. I hope you remember at the physical AGM, you successfully completed three years like a marriage contract. Now, you've completed five years. Sir, I wish you that you retire from my company. I am telling you in advance that you should retire from my company. Under your leadership, Mr. Nilanjan Roy, wonderful performance and he's taking care of the dividend payouts and everything. I know how painful it is for hi m to arrange all these funds, but he is very maturely and very intelligently handling the financials , Sir. Thank you.

Sir, I thank my Chairman Mr. Nilekani for giving ■ 350 crore to the IIT. Wonderful Sir. This is the beginning in the country. I hope more entrepreneurs will come and contribute something to the society. Regarding this dividend payout, thank you very much S ir.

When ex -CEO Mr. Vishal Sikka came, he gave two bonuses. Mr. Parekh, I'm expecting some something from you S ir. When can we expect bonus for you, S ir? Please look up to the bonus , Sir. Stop buyback and take care of at least one bonus because you successfully completed five years. At least this year, declare

one bonus. One more thing. I want to bring your notice, Sir. You are a great leader.
There is something I have seen in the Balance Sheet in page number 83. There are 78 sexual harassment cases. Last year, it was 25. It jumped to 78. I don't know what is happening under your leadership, Sir. Please look into the issue. Next time this shouldn't be happening. Discrimination cases are also 111. I'm very sorry S ir. You're a very good leader. If anything happens, somebody will point at

you. My intention is that my leader, my Dhoni, the captain of our team should not be in this position. You are the best leader, and you are captain of my team. We will always support you. I support everything for you and all the resolutions, S ir. Mr. Chairman, I requested Mysore visit and you successfully arranged it. Now, I am requesting Mangalore visit. Whoe ver is attending the AGM, please arrange a Mangalore DC visit only for those. In 2019 physical AGM, you said you will look into the issue. Now COVID is also over. So, whoever is attending the AGM, please arrange a visit to Mangalore and inform to Manikanth a too, S ir. We hope we will visit next year for physical AGM.

Our prime minister is going all over the world S ir but why is my company not giving an opportunity to arrange a physical AGM? Next year, I hope we will have a physical AGM, get together and gr eat gala, Sir. We will be happy to see you and meet personally. Once again, all the best for the upcoming year and my best wishes to the entire Manikantha's team. God bless you. Thank you for giving this opportunity. Thank you, Sir.

A.G.S. Manikantha

Thank you, Mr. Bharath .

May I now request Mr . Dilip. Mr . Dilip, kindly go ahead and ask your question.

Dilip

Yes.

A. G. S. Manikantha
We can hear you. Kindly go ahead and ask your question.

Dilip

Namaskar Sir. Nandan Nilekani S ir. Salil S ir aur aapke secretary staff ko bahut bahut dhanyavaad jinhone itna efforts karke aur iss meeting ko arrange kiya. T heen theen chaar chaar baar call karke humse trial liya. Itne badiya arrange kiya yeh VC. Fellow shareholders ne sab cheez bol diya. jyada bolne ke liye nahi hain. Main Jaipur, Pink city se bol raha hu. Aur, ek hi request thi aapse. Sir, ye jo open market se aapne jo shareholder buyback ki, uski jaga ye shareholders se kyun nahi ki jaate? Shareholder tho already loss mein hain, aur aap open market se ■1,500 bhaav mein 1,850 ka share khareed rahe hain. Toh, yeh Sir, shareholders ke saath mein yeh galat hain dekhajaye toh. Baaki toh sir, jo decision aap logon ne liya woh soch ke liya hoga. Lekin thoda sa minority shareholders ka bhi dhyan rakhna chahiye. Baaki sab ko bahut bahut dhanyavaad iss opportunity ke liye. Thank you, sir.

[Thank you to Nandan Nilekani S ir, Salil S ir, and the entire Company Secretary team for all the efforts you made to organize this meeting. The team called us several times for trial runs and made wonderful

arrangements. My fellow shareholders have already discussed everything. I do not have much to add. I am calling from Jaipur, the pink city.

I have a request, S ir. Why do not you go to the shareholders instead of going to the open market? The shareholders have already made losses, and you buy back a share worth 1,850 for 1,500 . That is completely wrong. That being said, I understand that any decision you made was well thought out. But please also think about the minority shareholders. Thank you for giving me this opportunity. Thank you, Sir.]

A. G. S. Manikantha

Thank you, Mr. Dilip.

May I now request the next shareholder, Abhirup Nandy?

Abhirup Nandy

Yeah, good evening, everyone. I'm Abhirup Nandy, shareholder from Kolkata. Namaskar .

Respected Board members and key managerial personnel, I have connected from the City of Joy, Kolkata. I 'm very grateful regarding the financial performance. It is very strong whether it is growth or cashflow.

All have been very strong. Very happy with the financial performance. I just want to know what our company is doing regarding the adoption and integration with the upcoming process of e - rupee and how it is adopting with the digital form of currency that RBI has launched. And what is our plan regarding our expansion of Cloud business, whether there is any plan for expansion? Rest, I'm very happy with the corporate governance of the company and also with the financial performance. That's all from my side. I'm Abhirup Nandy signing off. Namaskar.

A. G. S. Manikantha

Thank you, Mr. Abhirup .

Now, I will request Mr. Satish Shah.
Mr. Satish, if you can kindly go ahead and ask your question.

Satish Shah

Hello. Hello.

A. G. S. Manikantha

Yes, Sir. We can hear you.

Satish Shah

Hello.

A. G. S. Manikantha

Mr. Satish, are you there?
Satish Shah

Hello. Hello.

A. G. S. Manikantha

I think we have difficulty hearing Mr. Satish. Now, may I request, Ms. Suman Agarwal?

Suman Agarwal, can you kindly go ahead and ask your question?

Suman Agarwal?

Suman Agarwal

Can you hear me now?

A. G. S. Manikantha
Yes, I can hear you. Kindly go ahead now.

Suman Agarwal

Very good evening, Chairman Sir and all the Board members present. I am Suman Agarwal, member of

Millennium MAMS joining from Kolkata and a proud shareholder of our company.

Sir, I would like to understand how the company is going to grow in the next five years. Will it be through inorganic growth, new verticals or the existing verticals? Please share your views. Thank you.

A. G. S. Manikantha
Thank you, madam .

May I now request Mr. Satish? Satish, if you have joined back, kindly go ahead and ask your question.

Mr. Satish?

Satish Shah

Hello… Hello…

A. G. S. Manikantha
Yes, Sir. We can hear you.

Mr. Satish, hello.

Satish Shah

Hello… Hello… A. G. S. Manikantha
Hello, Sir. We are able to hear you. Go ahead and ask your question.
Satish Shah

Hello… Hello…
A. G. S. Manikantha

Mr. Satish, if you're there, kindly go ahead and ask your question.

I think Mr. Satish has some issue from his end.
With that, we'll come to the end of this question system from all the shareholders. Now I will hand over back to Mr. Chairman.

Nandan Nilekani
Thank you for all the questions.
While we provide the answers to the questions shortly, I would request the team to display questions received on the webchat and play videos which showcase the work done by Infosys during the past year.

[Video plays]

We will begin the answers to the questions. In this round, we are answering the questions that were raised in the web chat. After one round of web chat questions, we will come back with a round of questions from the video and audio questions that were just asked.
We'll start with my quest ions. I have three questions.

First question is - Infosys donated to Open AI a few years back when they were a non -profit. Now they're incorporated for for -profit subsidiary. Is Infosys having a stake in that? If yes, how much does Infosys have? How is O pen AI supporting Infosys as one of the early investors or donors? This question is from Ganesh Gopi .
The answer is yes, Infosys was among the earliest supporters of the non- profit Open AI. And, we had made a donation several years back. We have no stake in the for -profit of the company. But we are delighted by the success that Open AI has achieved, and we wish them very good future with all the outstanding AI work that they're doing.

Second question – what are the disruptions you foresee for industry in the near future , from Sreenivasa Rao Kilaru.

It really is a very exciting time. There are a lot of changes happening in the world of technology. For the last decade, we had first whole migration for digital way of doing things using

smartphones and so on.
And then following that, we had the big wave of Cloud and Cloud migration, where Infosys plays with products like Cobalt. Recently, of course, there's the whole interest in AI and generative AI. Infosys is well-placed there with Topaz. So, all these changes are happening all at the same time. And we expect that in the next few years, all our global customers will have to fundamentally do a lot of changes to their technology and architecture. To leverage this, you will have to do things more efficient and become more cost -effective. At the same time, they will have to leverage all this, create transformation to create better business and better consumer experience. We're also at the beginning of many other mega trends. First is the whole green transition which includes decarbonization, which means that whole energy system for the world will migrate for the next several decades, from a hydrocarbon -based future to a renewable future means that the way we produce energy will go from having monolithic producers to millions of small producers, which has a huge impact on the grid means that instead of petrol pumps we will have gas stations, we will have charging stations. So, there's a huge decarbonization or climate change which is going to affect all our businesses. And of course, thanks to the geopolitics, people are now looking at how to make their supply chains more resilient, and allowing people to have multiple options, where they can produce and how it is shaped. Then of course, thanks, when also because of the whole security issues, you have issues of how to deal with cybersecurity, we have issues of how countries are going to become more able to defend themselves and so on. And of course, there's the whole telecom thing happening through the rollout of the 5g network. So, there are many, many disruptions or changes happening in the future. Now, I want to assure all of you that we at Infosys are fully seized of this, we are keeping a close eye on this. And we will make sure that we

understand these trends and changes and what they mean for our clients. We make sure that we can bring them best ideas and support that they can navigate the future successfully.

Third question is from the Nani , who is a member of this Millennium Mans, Calcutta chapter, seems to be very strong group. She says, S ir, the world i s divided as operations of AI is concerned. So which side do you belong?

[No audio]
And deep fakes, it will affect our elections and our politics. So, there are many short -term issues with AI. And of course, there are some people who believe that long- term AI could almost have an extinction risk for our humanity. Yet, Infosys believes that AI has many possible powerful use cases. And therefore, we will use AI using our Topaz infrastructure and our AI -first thinking to bring about transformation of our clients. And we will do that using responsible AI. We'll make sure that the AI follows regulatory rules, privacy rules, and the accuracy rules that we need. So, we believe that AI can be a force for good with the appropriate guardrails. So, my question and answers, I now hand over to Salil to take his questions.

Salil Parekh

Thanks, Nandan. Now, to the questions that we have received from the web chat, I have a few that I will go through.

The first from Mr. Vipul Kumar Shah . Will generative AI resul t in loss of jobs for coders or will it increase productivity, and what will be the impact on the profit of the company?

Generative AI has a huge potential for impact with our clients. We see a lot of different projects that are already coming into the work that we're doing. We are working with both generative AI platforms, large language models, which are open source, and we are working with generative AI with different companies have put forward. We see productivity improvements, depending on different a reas that could range fro

m 10% to 30%. We also see a huge level of new type of work, for example, generative AI leveraging within companies, large areas of information, which are then sourced through for better usage. That data being used more precisely, f or their purposes. We see that in vision, we see that in software development in various areas. So, our view is most times when new technologies are coming, that they have an impact which changes how our clients look at new technologies, and that expands the type of work that those new technologies are providing within clients. And there's also the need to of course, look at technologies over the past generations and making sure that they are integrated in. So overall, we see an exciting future that is unleashed by generative AI.

Next question, Mr. Krishnendu Chakraborty. What will be Infosys view on future complete remote office or Metaverse, or similar platform?

Here, we have really built a flexible approach to how our employees are working. Over the last several months and quarters, we've seen a steady increase in employees that are starting to come back into the office. We also see that there are office locations in newer areas that we've set up, for example in Vizag, for example in the Navi Mumbai, where we are seeing more and more employees starting to come into these offices. We believe over time, there will be more need for social connect and social capital. There are several clients who are requesting that the teams be working on campus for their projects and that is happening. And this is going on all around the world and within India for our employees.

The next question from Mr. Munirathnamma Raghavendra. Where do we see Infosys in the next five years across different sectors, and the impact of AI into those sectors?
Earlier what I shared on generative AI and Topaz; Topaz really has become the platform, the foundation on which all of our AI and generative AI work is being done. We have tremendous level of large templates, use cases and real cl ient examples beyond generative AI on AI, as well. Each of these are impacting different industries in different ways. We see, for example, Financial Services industries are leveraging AI in a fast way to rework what their internal approach to data and inf ormation is looking like. We see a different approach coming in Telecom, we see a different approach coming in Utilities. And overall, we see the industries are all getting impacted in a way that will leverage more and more of AI, which is supporting data analytics, machine learning and overall generative AI into the future.

Our next question from Mr. Sajit Chellappan – What is the long- term strategy for work from home policy for India- based employees?

Again, building on the previous point, our focus so far has been to make sure that we have a flexible approach for our employees. And we've seen a tremendous positive reception from the employees all around India on this. We are making sure that the employees have the ability to work from home or work hybr id. In some cases, where clients are requiring it, we have employees and teams that are working within the campus. On a long- term basis, we see a mix of where people will work, where there will be a need for increased social capital to connect with people, to work with teams, to do new work jointly, and for mentoring and coaching of individuals. And we see the flexibility that will enable more and more employees to be part of the work system. So, we are seeing that as really the way the future is evolving. And we are also keeping a close track of how our employees are relating to it, and how our clients are relating to it to build this strategy as we go ahead.

Next question from Mr. Vasudeva Rao. The question is, why are we not going for big acquisitions. COVID provided a good opportunity to acquire. Any plans in the future to go for big acquisitions?
So here, our view i

s we have a very good balance sheet and a good position overall, with respect to how we can look at acquisitions. Our approach has been to look at things which will fit in strategically within a digital or Cloud or AI framework. And then look at what will be the way to integrate it, then we look at the culture of the company. And then we look at what is the method of running it day to day once the company has been acquired. Based on those, of course the price value, we make the

decision. We’re here today, looking across different sizes of acquisitions. As a potential company falls into the right buckets for those, we will continue to do acqui sitions. We've also been mindful, as we've seen over the last two years, where some of the acquisitions that were initially of high value, the value has come down. So, we are now looking more carefully at the future of acquisitions.

Our next question from [unclear audio] – what are the growth opportunities in Middle East and South America? And what are the current revenue percentages in in these markets?
We have a presence in Middle East and South America. Those are low revenue percentages. We've taken a focus in the past few years, where it's been much more on North America, European, and other parts of Asia Pacific, specifically Australia and New Zealand to develop those markets. We've also built strategic joint ventures in Japan and in Singapore to expand our markets. We are now looking at the future where there's a huge set of opportunities in the Middle East. And we want to scale that market up as well. And we will see more and more focus into the Middle East as we go ahead.

Our next question is from [unclear audio] – when will our investments in Metaverse start yielding revenue? How large do we expect revenue stream in percentage terms?

As you may be aware, we have created what we call the Metaverse Foundry, which is widely accepted within our client base. Today, we are seeing more and more use cases and interest in that. However, it is at an early stage today of development. And we see over time, more and more interest in this.

Next question is from Mr. Ramesh Babu Satrasala – The question is because of the slowdown in the economy for software and export, how is the impact on profit and fresh hires in the coming quarters?

So here, the overall demand environment, as was discussed earlier, is changed. With the global economy slowing down and the GDP rate slowing down, we see now more attention of clients moving from digital and cloud transformation to cost efficiency and automation. And we are fortunate that even in the consolidation area, we have a lot of opportuni ties that are coming in. We just announced you may
have seen a few weeks ago a memorandum of understanding with BP, the original British Petroleum,
where there's a huge benefit to Infosys from consolidation and a tremendous opportunity in the future.
We have also announced jointly with our client just a couple of days ago, a very large transformation and efficiency program in the Denmark market with Danske Bank. These are the sorts of opportunities
we see coming about, and therefore we see our focus into those areas will continue to give us benefits.
Those are the questions I had and now I pass it on to Nilanjan.

Nilanjan Roy

Thanks, Salil.

The first question I have is, why are our margins dropping when most of our competition is doing fairly well? Is large deals eating the margins? What is the strategy to maintain good margin while having good growth? And this is a question from Jagirda Hanumesh Vasudeva Rao.

So, in FY 23, as you're aware, we had margin impacts from salary increases. We had some cos ts coming back like travel and our utilizations dipped. Also, large deals which were struck in prior years we had the initial impact of that. But as you know that our aspiration continues to be to give, you know, robust and strong growt

h, and robust and st rong margins. So, we are working on the margin side
continuing to look at levers like automation, looking at Pyramid optimization onsite- offshore mix. And from the growth side, as you are all aware, we have delivered industry -leading growth over the last f ew years. And we continue to aspire towards that.
The next question is how many MSME vendors were engaged during the financial year and what is the transaction value of business with such MSME vendors? Is there any delay in payment to such vendors in FY 22- 23? If so, what is the value? This is a question from Mr. N. Nanchiappan.
As on March 31, 2023, the outstanding value of dues to MSMEs was ■97 crore and the value of payment made after the due date along with interest thereon during the year was ■33 c rore.

The third question is how prepared is the company to hedge the risk of dollar depreciation?
As you all know that we have a very strong natural hedge in many markets which we operate. The revenue and the costs are matched. So, you have salaries in the local currency as well as the revenue. At what level of market risk is remaining, we hedge that through a very robust treasury policy which is governed by the Audit Committee. And you've seen the impact of that over the last few years which we have reduced the volatility of the Forex line tremendously due to this policy.
With that, I pass on to Man ikantha.

A. G. S. Manikantha

Thank you, Nilanjan. I had a few questions from the web chat.

There were two shareholders who were asking of how to view the statutory registers. The questions were from Supriya and Pankaj Gupta .
The shareholders may not e that all the information of the company is actually available on the website of the company. So, therefore, I request all the shareholders to look into the website of the company and also the Stock Exchange website for information dissemination and there are registers which are also filed with the Ministry of Corporate Affairs. So, shareholders can actually take the information from those publicly available information. In spite of that, if there are any specific questions or information which is required , you can refer or you can send a query to investors@infosys.com and we will answer that suitably.

There was a next question from Sujata Kiran. The question is what is assurance from the company side against any allegation which may bring down the share price of the company such as insider trading and all that?
The answer is our robust policy framework always ensure compliance with applicable rules and

regulati ons. We have also updated our compliance frameworks in response to the requirements of regulator and remain proactively engaged with them. Our robust Whistleblower Policy and program also ensures that any allegation is investigated in an objective manner. This framework serves to the interest of all the stakeholders.

Those were the questions which was directed at me. With that, I'll hand over to Mr. Chairman.

Nandan Nilekani
Thank you, Mani. And now we'll come to the second round of questions. These are the questions that were asked in the video conference, and we will answer them in the same order.

I had two questions. First question is our ratio of female directors is only 12% against 40% at employee level. Can we increase this please? This is shareholder Santosh .

Santosh, this AGM we have the resolution for Helene's appointment placed before the shareholders for approval. Post that approval, if it is obtained, the ratio of female directors will go to 25%.

Second question – what is your view on AI r eplacing humans in the workforce?
We believe that AI has the potential to make a big improvement in the productivity of people. And we have found that the more qualified, the more experienced a person is, you can derive more benefit from AI like automatic code generation and all that. So definitely p

roductivity will go up. But we believe that it will be used to amplify the productivity of existing people. Therefore, we feel that we'll be able to benefit
from this much more. At the same time, we agree we have to become more efficient and share the efficiencies with our clients. So, we will take this, and Infosys is on the path to applying AI in a very rapid way with our AI -first strategy that we are rolling out across the company at the moment. Than k
you. Now I'll hand over to Salil.

Salil Parekh

Thanks, Nandan.

I have a few questions from the questions asked in the video and by some audio.

The first question from Mr. Sadananda Sastry, for me, what is the revenue by geography, India? India has the least place. How do we uplift this?

So, here we are doing some extremely strategic work to make India fully digital, as is being driven across the entire government. We are working on the GST program, on the Income tax program. And we will continue to work on such strategic programs as they become as the government is doing more of them. And we have really very strong expertise in those areas. So, this will continue to increase. We are also looking at the private sector where more and more o f this digital work is starting to happen across the country.

Next question, also from Sadananda Sastry.
The question was about many senior employees leaving the company. How will the company take care of the image?
Here, we are extremely solid in ter ms of the strong bench of leaders that Infosys has. We feel that that group of leaders that Infosys has produced over the years through its own leadership development and through the work they do with clients in Delivery, in markets, really prepares them t o do more and more work. And we have made sure that those leaders step up and take that on. We feel good about the fact that we have such a deep leadership bench, and we will continue to work on that as we go ahead.

Our next question from Abhirup – what are the company's plans on expanding the Cloud business?

Cloud is really absolutely core to what we are driving. We discussed earlier, the Cobalt platform, the capability set, whether it's on Infra- as-a-service, Software -as-a-service, Platform -as-a-servi ce, we really have the leading market capability in Cloud. We see good traction for Cloud activity overall with clients. We see that there is a Cloud becomes the underpinning for transformation, as companies are looking to move into the digital age, into t he AI age. That becomes the base foundation that will be needed. And with our strong partnerships with several of the large Cloud companies, we believe we are well - positioned to play in that and this will continue to grow.

Next question from Suman Agarwal . Question is how is the company going to grow in the next five years, organic versus inorganic?

Now, here, over the past several years, we made about eight or so acquisitions. Those acquisitions are well-integrated. We feel that approach will continue into the future. We will look for acquisitions which fit the strategic direction, the cultural fit and the value, the ability to integrate. Based on that, we will continue the acquisition approach and the organic approach will continue. We will continue to work with our clients to expand as they look for the cost and efficiency and automation programs in this environment and also look to expand on transformation programs as they continue to make changes i n the business. So, both dimensions will carry on into the next few years.

Next question from Shailesh – Which are the verticals in the business which have been least affected and also significantly affected by the current macro- economic conditions?

So, here what we have shared in the past, we have seen industries such as Financial Services in mortgage and asset management, and investment banking, the Telecom sector, Hi -Tec

h, some areas of Retail, those are the ones that are most impacted within this environment that we have seen, what we reported in the end of Q4 and before that. We will see as we go ahead and how these evolve into the future quarters.

Next question from Celestine – How is the company managing employee attrition?

What we've seen ov er the last four quarters, Q4 and before, attrition has steadily been coming down each quarter on a quarterly basis. We see a lot of the initiatives that we've put in place, and also the overall economic environment, both of them relating to the attrition coming down, our employee engagement scores are continuing to go up and we believe that with that we will have a good control on attrition in the coming quarters. And we will make sure that that becomes translated as we look at the recruitment cycle and br inging in more employees from outside.

Our next question from Santosh – Can you please provide detail on how many new clients were added in the last financial year?

So here, in a specific point, in the last financial year, we have added 458 new clients .

Next question from Dharav – Apart from the Cloud capability and digital, does the company have other pillars on which it sees future growth?

So very clearly, the digital approach which comprises Cloud, digital, then also data and analytics, cybersecurity, IoT (Internet of Things), those are really good growth drivers. We are now seeing much more focus on generative AI that we have discussed quite a bit in all the questions and answers and overall becoming more AI -driven, AI -first and clients are looking at that. Then, in this environment, which is a different macro environment, there is more and more attention to cost efficiency, automation and consolidation. So, we are fortunate that we have both types of growth drivers where people are looking at transformation, they can look at Di gital, Cloud and AI. And when they're looking at efficiency, they can look at cost, automation, consolidation and both engines are available with Infosys.

Our next question also from Dharav – Considering the FSI segment has small share in US regional banks, what do you expect impact on Infosys?

So, we have a diverse portfolio in Financial Services, large global banks, regional banks, mid- sector banks, in cards, in payments, investment banks, asset managers, really very broad and diversified client base in the FS business. Now within US, less than 2% of our revenue has this exposure into the regional banking, and there we are therefore comfortable that that exposure is not going to because it's less than 2% not going to impact us in an overall scale of the business.

Next question also from Dharav – What steps has company taken for wellbeing of employees?
So here, Infosys, over the years has been extremely focused on wellbeing of employees. We have internally programs, for example, on health assess ment and lifestyle enrichment. We have wellness programs for physical wellbeing and social wellbeing. And we also have wellbeing rates, where across locations, we track it and support employees in driving that. We are seeing a good traction overall on empl oyee wellbeing within the company today.

Next question from Redappa – A strong growth in digital with decline in core, how does the management have a plan to have growth both in digital and core?
What we saw last financial year in some quarters, we actually saw good growth in core and digital. And now in this environment, as we see more and more focus on cost efficiency, automation and consolidation, we will see more and more attention to core services. But keeping in mind the overall macro condition, we will balance and make sure our focus on digital transformation and on core services remain strong.

Next question from Shrenik Mehta – Please provide company strategy on both organic and inorganic.

So here, similar

to the point we discussed earlier, we have an approach to both organic and inorganic. In acquisitions, we have a focus on what will fit strategically and culturally in terms of value and
integration. And on organic growth, we have a lot of focus on the areas we've discussed on Cloud, on digital, on AI -first, and on cost and efficiency in this environment.

Next question from Shri Rama Vinodha – How is the company investing in employees for reskilling and upskilling?

So there, we've always had, over the last several years a strong focus on skilling. We have Mysore campus where we have in- person training for all of our new employees. Over the last few years, we put in place the Lex capability which allows online training through mobiles for all employees. We measure reskilling by each of our different departments to make sure that employees have the opportunity of reskilling, and then the projects that become available to employees to drive through that reskilling. We are tracking internally, something called a Digital Quotient, that allows us to measure what is the

change in the type of skills every employee has, and that allows them to then become more and more relevant for the new types of work our clients are doing.

Next question from Alex . What is the plan of the company in internally using AI for increasing productivity and quality?

So there, what we discuss ed on generative AI is applicable both with our clients, but also within the company, where we are leveraging large language models both on the open source and dedicated generative AI platforms to improve productivity in software development. We've already seen
places where that improvement is visible within our teams. We're also taking our own software development modules and approaches, especially in our product business and putting them through the large language model to enhance productivity. And you wi ll start to see the impact of this as we go
through the next few quarters and years to make the benefit available internally to our productivity.
Those are the questions I had. With that, I'll pass it on to the Nilanjan.
Nilanjan Roy
Thank you, Salil.
The first question I have we have requested multiple times for the company to do buybacks using tender offer mode. SEBI has come up with new regulations that the buybacks need to be done through tender offer. Please confirm if further buybacks will be like that. And the shareholder name is Shamit Mehta .
So as you all know, we have a five-year capital allocation policy which we've laid out for the financial year 2024 period. And within that there are three components: there's a dividend component, a special
dividend and a buyback component. And these allow predictability and consistency of returns. And as we've said, we've already returned 86% back and the Board looks at multiple elements looking at EPS
accretion, looking at share price, yield on a cash return and then determines the most appropriate way to return this capital back. As regards the latest SEBI mandates on buybacks, we will continue to see that and how they will be implemented over the next year or two years.

The next ques tion is from Sadananda Sastry on page 301, Other expenses ■133 crore increase in ECL. How do we reduce it?

So, as you know, the company makes provisions for expected credit losses based on historical performance on the macro-economic conditions in terms of the geographies we operate in, and the sectors we operate in, and therefore makes the provisions appropriately. This is as per the relevant accounting standards.

Does the company have plans of doing CSR activities in the eastern part of the country? This is from shareholder Manoj Kumar .

So, as you know, our CSR policy encompasses work around women empowerment, around health, education, and of course, sustainability, targeting the underprivileged. We also look at criteria around

scaling up of these pr ojects, and making sure that they have an impact and follow our overall themes. We have also started doing many projects in the east of the country, and if they meet these criteria, we will continue to expand there.

The next question is regarding work fro m office two days from office two days from home, what is the policy of the company in this regard?

I think we have a very flexible policy and a hybrid policy in terms of working from office and working from home to give people the flexibility. We encour age, of course, people to come to work a few days, and we believe that increases our social capital. And I think a big portion of this, of course depends upon our client requirements and our clients of course insist that employees come into work. So, this helps us maintaining a fair balance of giving client connectivity, and time for teams working together.

Infosys margins may remain subdued in the next two, three years. What are the levers available to improve this? Redda ppa.

So as you know, we've given guidance for financial year 2024. And of course, we don't give a guidance beyond that. But like I explained earlier in one question, we have multiple levers for us to aspire to get higher margins and robust margins. We've talked about the Pyramid. We've talked about onsite offshore mix. Automation remains a big element, pricing, and there are the levers like subcon, etc., which help us to continue to look at improving margins.

Next question is whether the company is listed on any global ESG forum or platform. And this is from shareholder Celestine.

Yes, as we already mentioned, we have of course got recognized, you know, rankings in India as well. But we are also recognized globally. We are part of the Dow Jones Sustainability Index, we hav e got a double A rating from MSCI ESG ratings, a global rating. We are under A -list of CDP in 2022. We are on the EcoVadis ratings as well. So, we are recognized as a leader in both our sector and even across sectors in many of these ratings globally.

Cybersecurity and data privacy are big concerns these days. What steps are we taking in this direction? And this is a question from Shailesh .

So, in cybersecurity, at Infosys, it's managed to multi -layered controls with defense in depth approach, starting from cybersecurity strategy, policies, processes. We got multiple certifications from ISO 27001. And also, we've been attested by SSAE, which is an independent audit firm. On data privacy, also

Infosys has seen significant growth of the DPO from 2010. And we've established an independent data privacy office and we are consistently working with our clients to improve both our security and zero trust profiles and also on data privacy as well.

Next question is can the company provide the initiatives just tak en on sustainability and climate change?

As you can see from our ESG book, which is on our website, we have an encompassing goal across all the three pillars of E, S and G. On Environment, we are looking holistically at climate change, at waste, and for water and we have aggressive goals, all of them. On the sustainability side, you know of Springboard program, which is giving free education across both India and across the world. We have digital skilling as another initiative, which we are taking up, women in workforce 39.4%, one of the highest in the sector across the world, across many of our peers as well. On the G side, we're working on improving governance, we've got the Ethisphere award for the most ethical company three years in a row. We're continuing to work on our supply chain ESG and auditing many of our supply chain partners to make sure that their ESG elements are also built into what we are consuming. And these are the initiatives we have taken, and we are laying out a goal every year and reporting against that in the ESG data book.

Next question is how are

we geared up to handle recession in the US and Western countries? And this
is from Manoj .

Yes, as you've heard, both from Salil, there has been across the macro environment slowdown, and this is reflected in our growth guidance for FY24. We have a very healthy pipeline, our pivot towards cost takeout for our clients in this environment becomes very cr itical. And therefore, some of the deals you have been seeing winning are based on these. This helps our clients reduce costs to automation to improve offshoring, digitization, and therefore makes us as, IT services company, a very important part of their overall business environment. And our end- to-end offerings during digital transformation help our clients to take out cost as well as help them in their longer -term transformation exercise.

Next question is what is the reason for increase in travel expenses and software expenses?

Travel, of course, came back last year as the COVID controls really have eased during the last year and therefore, if you can see pre -COVID as well, our travels are now going up at that level. Software expenses are going up, and because they are integrated to our overall delivery, whether it is Cloud, whether its overall infrastructure, these are becoming integral to the delivery model, which we have.

Infosys is known for giving special dividends. What can we expect? When can w e expect special dividend on completing 40 years? This was from a shareholder Srikant ha.

Like I just mentioned, we have the Capital Allocation Policy which talks about special dividends, buybacks and regular dividends. And of course, over the last four years in line with our policy, we returned 86% back. The Board continuously looks at different elements into the decision of giving buybacks and of course, at this stage, we don’ t have any special announcement on special dividend.

The last question is when can we expect a bonus from the company?

At this stage, we have no such announcement to make.

A. G. S. Manikantha

Thank you, Nilanjan. There were a few questions which came from video and audio questions.
The first question is from Mr. Shrenik . The question is every time I cast my vote, I find my mobile and data is not registered with NSDL. KFin Tech is not picking up the data fully from NSDL. W hat can you do to help?

The shareholders may note that the RTA system is fully automated, and it actually reflects the details which is uploaded on the depositories. There is no manual intervention there. So therefore, the information which is available at the depositories is the one which has been processed by an RTA.
In case if you cannot retrieve your details, the way you have done it, you can request for resetting the login ID and password. You will receive the same.

The next question was from Mr. Bharat Raj . Request to arrange for the Mangalore DC visit and there was also a suggestion for holding the physical AGM .

We were privileged to hold the shareholders in our Mysore campus a few years back. As we returned to the normalcy, we will look into the request appropriately in the future. And with request to the physical meeting, I think as you know virtual meetings give shareholders access from across the globe. In fact, a few shareholders have suggested that the meetin g should be conducted virtual.

In this AGM, we have around 23 shareholders who are joining from different countries and from different time zones, which actually helps them to connect from everywhere.

The next question was from Mr. Sadananda Sastry , about the details are mentioned in the tenure of director which is mentioned as not applicable.

The answer is, Nandan is appointed as a non- executive and non- independent director. He is liable to retire by rotation as required under the Companies Act, 2013. Accordingly, he is offering himself for shareholders' approval, periodically.
There w

as another question from buyback requesting the details of the regulations. I think these details were already provided by Mr. Nilanjan.

Those were the questions which were directed at me. With that, I'll hand over back to Mr. Nandan.

Nandan Nilekani

Thank you, Mani. Members may note that e- voting on the NSDL platform will continue to be available for the next 30 minutes. Therefore, I request m embers who have not cast their vote yet, do so within the next 30 minutes. The Board of Directors appointed B. Hemanth, practicing Company Secretary as the scrutinizer to supervise the e-voting process.

Further, I hereby, authorize Manikantha, the Company Secretary, to declare the results of the voting and place the results on the website of the company at the earliest.
The resolutions, as set forth in the notice shall be deemed to be passed today, subject to the receipt of the requisite number of votes.

We had 373 members participating in today's 42
nd Annual General Meeting. Thank you for attending
the meeting. I hereby declare the proceedings of Infosys limited 42nd Annual General Meeting closed.
Thank you. Have a great day.

Call: Oct 2023

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

October 18, 2023
Dear Sir/ Madam,
Sub: Transcripts of the press conference an d earnings call conducted after the Meeting of
Board of directors on October 12, 2023

Please find enclosed the transcripts of the press c onference and earnings call conducted after the Board
meeting held on October 12, 2023, for your information and records. This information will also be host ed on the Company's website, at
https://www.infosys.com/investors/reports -filings/quarterly-re sults/2023-2024/q2.html .

The audio/video recordings of the press conference and earnings call are also made available on the
Company's website, at https://www.infosys.com/investors/re ports-filings/quarterly-results/2023-2024/q2.html .
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha

Company Secretary

Infosys Limited
Q2 FY '24 Earnings Conference Call
October 12, 2023

CORPORATE PARTICIPANTS:

Salil Parekh
Chief Executive Officer and Managing Director

Nilanjan Roy
Chief Financial Officer

Sandeep Mahindroo
Senior Vice President, Financial Cont roller & Head of Investor Relations

ANALYSTS

Bryan Bergin
Cowen

Kawaljeet Saluja
Kotak

Moshe Katri Wedbush Securities

Kumar Rakesh
BNP Paribas

Sandeep Shah
Equirus Securities

Nitin Padmanabhan
Investec

Vibhor Singhal
Nuvama Equities

Ashwin Mehta
Ambit Capital Private Limited

Gaurav Rateria
Morgan Stanley

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Keith Bachman
BMO Yogesh Agarwal
HSBC

Vivek Gedda
SBI Mutual Fund

Abhishek Kumar
JM Financial

Apurva Prasad
HDFC Securities

External Document © 2023 Infosys Limited 3 Moderator
Ladies and gentlemen, good day, and welcome to th e Infosys Earnings Conference Call. As a reminder, all participant lines will be in the listen- only mode, and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep M ahindroo. Thank you and over to you, sir.
Sandeep Mahindroo Hello, everyone, and welcome to Infosys Earnings Call for Q2 FY '24. Joining us here on this call is CEO and MD, Mr. Salil Parekh; CFO, Mr. Nilanjan Roy; and other members of the leadership team.
We will start the call with some remarks on t he performance of the company for Q2 followed by comments from Salil and Nilanjan, subsequent to which we will open up the call for questions.
Kindly note that anything we say which refers to our outlook for the future is a forward-looking statement, which must be read in conjunction with th e risk that the company faces. A full statement and explanation of these risks is available in the filings with the SEC, which can be found on www.sec.gov. I would now like to pass it on to Salil.
Salil Parekh
Thanks, Sandeep. Good afternoon, good evening, good morning to everyone on the call. Thank you very much for joining us.
We have had a strong quarter in Q2. Our growth was 2.3% quarter-on-quarter and 2.5% year-on-year in constant currency. Our operating margin was at 21.2%. Large deal TCV was at the highest ever for us at $7.7 bn, and 48% of this was net new. Our Q2 large deals include four mega deals. It does not include the MoU we signed and announced for $1.5 bn.
We see that with our large deal wins in the past two quarters, we are winning market share in the area of cost, efficiency, automation and AI. This is a testament to ou

r strong position as partner of
choice for clients. With a clear focus on client relevance, as the economic environment changed, we rapidly pivoted from delivering tr ansformation projects to also delivering productivity benefits and cost savings at scale.

 These large and mega deal wins help us to build a strong foundation for our future. We continue to
see the overall environment wher e digital transformation program and discretionary spends are low
and decision-making is slow. This is impacting our volumes.
The adoption of Topaz, our Generative AI capability set is helping us deliver more value and to
increase market share. We are currently working on over 90 Generative AI programs. Our work is
with proprietary and open-source large language m odels. We continue to make investments in
Generative AI as we look to help our clients navi gate the way forward with deep capability. We have
trained 57,000 employees in Generative AI.
We have announced the launch of our compensation review program for al l employees effective
November 1.
Our margin expansion program is being driven comp rehensively across the company. We have five
areas of focus: pyramid, automation, critical port folio, indirect cost and value and it has 20 specific
tracks within these five areas.
We are delighted to welcome Rafael Nadal and Iga ■wi■tek as our brand ambassadors. We are
thrilled to be recognized on Kantar's list of most valuable global brands at number 64.
With the continued reduction in digital trans formation programs and di scretionary spend and the
ramp-up of our large and mega deals towards the end of our financial year, we are changing our growth guidance for this financial year to be growth of 1% to 2.5% in constant currency. Our operating
margin guidance for the financial year remains unchanged at 20% to 22%.
With that, let me hand it over to Nilanjan.
Nilanjan Roy
Thanks, Salil. Good evening, everyone and thank you for joining the call. Q2 revenue growth was 2.5% year-on-year in cons tant currency. Sequentially, revenues grew by
2.3% in constant currency and 2.2% in dollar terms. While we saw continued softness in underlying
volumes, revenue for the quarter was supported by stronger growth in the balanced portfolio and
improved realizations from one-timers.
H1 revenue growth was 3.3% in constant currency terms and operating margins were at 21%, which
is the midpoint of our guidance range.

 Highlight for Q2 was the large deal TCV of $7.7 bn of which a sizable 48% was net new.
Consequently, our H1 large deal TCV is at $10 bn, which has already exceeded the total large deal
signing for FY '23. I will talk about it in more details later.
As announced in the previous quarter, we have launched Project Maximus, which is a margin
improvement plan across five pillars and over 20 tracks. This program has been well received across
the organization, and we have been able to identify seve ral new opportunities across the pillars. We
have also seen some early benefits in some areas like utilization and optimization of overheads. We
remain confident that this program will create a more meaningful impact on operating margins in the
future.
Operating margins for Q2 were 21.2%, an increase of 40 bps sequentially, bringing H1 margins to
21%. Increase in operating margin sequentially wa s due to 0.5% from cost optimization benefits,
comprising of higher utilization, pricing, etc ., 0.3% from revenue one-ti mers, 0.1% from rupee
depreciation, offset by 0.5% increase due to thir d-party cost, salary related and other items.
Client metrics remained strong with a number of $50 mn clients increasing to 80 and $100 mn clients
at 39, reflecting our strong ability to mine top clients by providing t hem multiple relevant services.
We are rolling out FY '24 compensation hikes fo r employees effective November 1. Headcoun

t at
the end of the quarter stood at 328,000 employees, a decline of 2.2% from the previous quarter.
Our focus on improving operating efficiencies has resu lted in an improvement of utilization, excluding
trainees, from 81.1% to 81.8%, which we believe has further room for optimization. LTM attrition for
Q2 reduced further to 14.6%, while quarterly annual ized attrition was flat sequentially. Free cash
flow for the quarter was robust at $670 mn and the conv ersion to net profit for Q2 was robust at 89%.
Our unbilled revenues dropped for the second consec utive quarter and consequently, this has partly
led to an increase in DSO by four days sequentiall y to 67. Consolidated cash and equivalents stood
at $4.2 bn at the end of the quarter. The Board announced an interim dividend of INR18, an increase of 9.1% when compared to last year.
EPS grew by 1.7% in dollar terms and 4. 6% in rupee terms on a year-on-year basis.
Yield on cash balances was 6.7% in Q2. ROE wa s 30.9% an improvement of over 8% under the
current capital allocation policy started in FY '20.
We had an excellent outcome in our large deal wins, thanks to our strong client relationships and the
relevance of our service offerings. We signed 21 large deals in Q2, including four mega deals. As
mentioned, the total large deal TCV was $7.7 bn with a strong 48% net new. We signed six large

External Document © 2023 Infosys Limited 6 deals in retail, five in manufacturing, four in telecom, three in FS, two in life sciences and one in
EURS vertical. Region-wise, we signed twelve in America, eight in Europe and one in ROW.
Coming to our vertical segment performance, Outlook continues to remain uncertain in financi al services sector with slowdown in areas like
mortgages, asset management, investment banking, cards and payments. Q2 growth was impacted by spend reduction in some large clients, which was partially offset by ramp-ups of large deal wins in areas like cost optimization and vendor consolidation. We rema in cautiously optimistic about medium-term outlook due to the movement to cl oud led by increased need for real-time insights and analytics.
Growth challenges in communication sector continues, coupled with increasing opex pressures, risk of inflation, high interest rates and supply/dem and imbalances are creating near-term uncertainties. Delays in decision-making continues. Our strong large deal signings and pi peline will help support growth in medium term. The recent deal with Liber ty Global restates our positioning as a leader in partnering with clients to provide significant savings, as well as i nnovative ways to transform their landscape.
EURS clients are taking a conservative approach to discretionary spend and the trend is likely to continue through the year. In energy, spending remain s cautious due to the economic slowdown with focus on cost takeout and ROI. Utilities, especially in North America, continue to feel the pressure from high interest rates, resulting in delays in capital-intensive programs. European Utility players are continuing to make investments on legacy modernization.
While the external environment continues to be vo latile, manufacturing sector continued to show double-digit growth year-on-year in Q2. Our capabilities in areas like digital transformation, cloud ERP, supply chain, smart factory, etc., are resonat ing well with clients resulting in benefits with vendor consolidation in turn leading to stronger deal signings. While pressure on discretionary spend continue, there are opportunities in areas like infra transformation, cost consolidation, etc., which is resulting into a stronger pipeline.
In the retail segment, budgets continue to remain tight with clients continue to focus on budget consolidation, cost and efficiency. Interest on Gen AI is growing and clients are evaluating our Topaz offerings to modernize enterprise an d refactor, reengineer and deploy code.
While we

had a very strong sequential growth in Q2, the underlying softness in volume and discretionary spends continue. We have revised our re venue growth guidance for FY '24 to 1% to 2.5% in constant currency terms. Our deal si gning and strong pipelines lays the foundation for

External Document © 2023 Infosys Limited 7 acceleration and growth beyond FY '24. We retain our margin guidance band for the year at 20% to
22%.
With that, we can open up the call for questions. Moderator
Thank you very much. We will now begin the ques tion-and-answer-session. The first question is from the line of Bryan Bergin from Cowen. Please go ahead.
Bryan Bergin
Hi, good evening, thank you. So I wanted to just start with the growth guidance reduction. And I am trying to understand if the reduction is more due to the delay of the large deal ramps versus what you had expected three months ago? Or if it is more due to incremental volume cuts and other program efficiencies?
Salil Parekh
Hi, thanks for the question. This is Salil. I think it is a combination of those points. There is a way large programs start off, there is delays in starting them. The closing cycle was also a bit longer as we were signing these deals. So that had a bit of slowness. And we are seeing discretionary spend which is coming down and we saw that continuing on transformation program s being slow, that is also continuing on in this quarter. So, it was a combination of those points.
Bryan Bergin Okay. I appreciate the color. And then just on margin, on an understanding you have the wage increments that you have just announced here but y ou also have margin tailwinds through Project Maximus, so, can you give us some color on wher e you are finding comfort within the margin range that you refer to here today? So I know you are roughly at the midpoint through the first half. Do you expect to be above or below that as you go through the second half?
Nilanjan Roy
Yes. So like I said, we had a good quarter 2. And as I explained in my margin walk, we nearly had a 50 basis points improvement from our project Ma ximus on cost optimization. And that gives us comfort for the rest of the year and of course a much longer program, which will take not only into this year into next year as well. We also realiz e that we have apparent inefficiencies. Our utilization is still low. So these will go and help us and, of course, offset the wage hikes, etc.

External Document © 2023 Infosys Limited 8 So we have a good program over the next 18 months to see where we end up. And of course, our
aspirations continue to be that to improv e margins from where we are presently.
Bryan Bergin Thank you.
Moderator
Thank you. The next question is from the line of Kawaljeet Saluja from Kotak. Please go ahead.
Kawaljeet Saluja
Hi, thank you. I have a couple of questions. My fi rst question is that can you quantify the revenue one-timers? And are these revenue one-timers in th ird-party items bought for service delivery to clients or those are separate?
Nilanjan Roy
See, in the margin walk, we have talked about 30 basis points impact on margin from revenue one-timers. So it is going to be around that figure or slightly more than that. So, these are largely items that will fall through straight to margin. What is the second part, Kawal?
Kawaljeet Saluja
Okay. The second part of the question is that can y ou detail out the verticals to which the mega deals belong? And the other question related to the deals is that normally, you expect the direction of revenue growth and deal wins to synchronize, wher eas actually, they are moving in the opposite direction. So what needs to change for the synchronization to happen again?
Nilanjan Roy
Yes. So Kawal, we do not give out which segm ents, the mega deals are falling under. The second part was you are saying where will revenue and the large deal announcement synchronize, is that the question?
Kawaljeet

Saluja
Yes, yes, absolutely. I mean they seem to be moving in different directions. With the $7.7 bn mega/large deal wins, you would have expected a happi er picture on growth outlook, whereas things seem to have changed there. So, what needs to change for the synchronization of growth and the deal wins to happen?

External Document © 2023 Infosys Limited 9 Nilanjan Roy
Sure. So I think one is, of course, mega deals. As you know, post signing, they have a runway in terms of, firstly, in some cases, they may have rebadgi ng, so that is the time it takes, sometimes we have regulatory approval, so you cannot even do peopl e transfer. And then, there is a transition period. And then, post transition, there is a transf ormation element or a run. So these are all steps in the process. And as you can imagine, being such large deals, these cannot be turned on and turned off, if we are taking over the entire landsc ape, etc, they have to be planned through entirely. Therefore, it takes a couple of quarters before they start building into the revenue figures. And like I said, this will set us up well for FY '25 fundament ally. And as Salil said, in the near term, in the quarter, there is, of course, the underlying volume sluggishness. And we have to recognize that part as we build in our forecast for this year.
Kawaljeet Saluja
Okay, what is the deal pipeline like after the recent conversion of pipeline into a mega deal? So how does the pipeline look like? I mean, is it signific antly lighter, or does it stay remarkably strong?
Nilanjan Roy
It is a strong pipeline, with $7.7 bn this quarter, I think it cannot be higher than the previous quarter, but it is a very strong pipeline. And we will contin ue to have enough in the funnel to start refilling this.
Kawaljeet Saluja Okay. Just a final question on deals. I think the pas t experience of mega deals and the transition of that into profitability has not been very encouraging. But if I look at your comments and Salil's comments, all of you have highlighted that your profit ability aspiration is to improve your profit, you
want to improve your profitabili ty. Now at the same time, you hav e those mega deals as well. So how does the profitability dynamics play out, especially given the past context?
Nilanjan Roy
So Kawal, as you know better than anybody else, when we set out the large deal strategies more than five years back, we were close to about 21% margin. We have signed probably $50 bn plus of large deals. And today, we are at 21%, 21.2%. So , we have not seen any margin erosion because of the large deal strategy, right. We recognize ov er all these periods and this experience which we have, we will sign on these large deals. Of course , upfront, they will have margin pressures. And from a portfolio perspective, as you look in the d eal tenures, we have our experience to say how we can improve the margin of the deal from day one versus, say, in year five.

External Document © 2023 Infosys Limited 10 And in a way, that is the portfolio we are able to rotate, go and get deals. At the

same time, with our
cost optimization programs, make these deals approa ch portfolio margins. And I mean, the proof of the pudding is in the eating, $50 bn of large deals later, our margins are where they were.
Clarification: Operating margin guidance for FY 19 when the large deal strategy was announced was 22-24%, as mentioned in earnings release on April 13, 2018
Kawaljeet Saluja Okay, sure. Thanks, thanks a lot.
Moderator Thank you. The next question is from the line of Moshe Katri from Wedbush Securities. Please go ahead.
Moshe Katri
Hey, thanks and congrats on very strong TCV bookings fo r the quarter. So, if we are trying to kind of figure out the conversion pace of some of those large deals that I mean, I guess at this point, it seems that we have not seen a lot of that conversion happen, but when do we start seeing that reflected in bette

r top line growth? Is the March quar ter next year is the quarter or we could actually see better top line growth because of those conv ersions? Is that the right way looking at it?
Nilanjan Roy
Yes. So, there are a number of deals in this pipeline. Some will start in Q4, some which we signed last quarter have already started coming, a bit of that into Q3. So, it is not like one day, we suddenly have these 21 deals, which have rebids inside. So, they are phased. And in terms of even ramp-ups, you will see it is not that you hit the run rate on the day of the revenue booking, right, some of them take a longer period. So, it is a combination of all that.
Moshe Katri
Okay. And just to be clear, these are deals that are funded with the calendar '23 budget, you do not need calendar '24 budget to continue funding these deals. Is that the right way of looking at it as well? Salil Parekh
Sorry, can you repeat that? I could not hear that, Moshe.

 Moshe Katri
Yes. So, the deals that you have won this year ar e funded with calendar '23 budgets. I just want to confirm that. i.e., you do not really need the approval of Calendar '24 budgets to continue funding these deals, is that the right way of looking at it?
Nilanjan Roy
Yes. So, they have already come out of existing budget s, but many of these are actually cost takeout programs in this environment, right, vendor consolidat ion, cost takeout. So actually, we are giving money back in a way to the organization which is why in a way we are winning these deals.
Moshe Katri
Yes. Good. And then the final question. Do you have any view, maybe Salil can talk about that, about calendar '24 budget cycle that probably should start may be by next month. Do we feel that the budget cycle is going to be on time? Do you think t here is going to be budget delays, which is what happened earlier this year? What are you seeing at this point based on some of the client conversations that you are having? Thanks a lot.
Salil Parekh
Thanks. The way we are seeing the client conv ersations today, we do not see a change that has come about. There is a lot of constraints with cli ents, whether it is on transformation programs or discretionary projects, which are significantly reduc ed or slowed down. So that thinking is continuing on. As you pointed out, over the next few weeks, we wi ll get a better sense if that is changing, either improving or not for the following year.
But at this stage, that is the mindset we are seei ng. And there is an attention on cost and efficiency, which also continues as we are in discussion. So, the conversati ons that we have been having over the last few months is the same tone we see as they go into the end of the year for next year's budgeting. We do not see a change in that at this stage.
Moshe Katri
Understood. Thank you.

 Moderator
Thank you. The next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh
Thank you. So Salil, my first question was ar ound the volume performance during the quarter. You did talk about that it is under pressure in last quarter also, you had talked about it. So, during the quarter, how the volume performance you saw through the quarter? Was it further deteriorating since where we saw last quarter? And is your guidance implying that there would be further deterioration outside of the seasonality in coming two quarters?
Salil Parekh
So, I did not share the volume specifics, I mentioned that there was continued constraints or pressure on that. What is happening, if you step back a little bit is, there is impact on revenue, which is from

slowing or stopping of discretionary work and the transformation programs. And then we have, on the other hand, with the large and mega deals, some of those starting off, that giving us a benefit on the revenue side. So there we saw

the volume constrained from the fi rst part of that in this quarter. In the coming quarters, you know that, we will have in Q3, the us ual seasonal impact with the end of the calendar year, holidays and so on. And typically, for us, for Infosys, Q3 and Q4 are softer quarters in any case. So, we anticipate that. We do not have a view which is different from that. That is how we are looking at it going in. But these things are changing as we go through each quarter.

So we were fortunate, we delivered a very strong quarter, but as we look out, we can see the pressures with the clients. And that is what give s us the reason to be watchful on both those sides.

Kumar Rakesh

Thanks for that. My second question was during the pr ess conference, you did talk about that Infosys is working on proprietary large language models. So, clarification is, are these models that you are working on, Infosys' own or thes e are for clients or your ecosystem partners? And what kind of models, use cases and dataset you are using for them?

Salil Parekh

 So there, what I was referring to was proprietary models from our partners. So, we are not developing a large language model of our own. As you know, t here are a large number of these models, which are already in the market. Some of them are pr oprietary, and some of them are open source. We are working with both types of those models.

Typically, we are working in what is called the na rrow transformer approach, where we start to see datasets, which are a little bit more enterprise focu sed, which allow enterprise, large clients to take advantage of that dataset for their own activity. And the applications, again, you have probably seen that. We are seeing applications on software devel opment, on text, on voice, on video. So, we are seeing applications today on all of these areas and are actually working on all of these areas. And that is for the clients. we are doing some work inside Infosys as well for our own activities.

Kumar Rakesh

Got it. Thanks. That is very helpful.

Moderator

Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah

Yes. Thanks for the opportunity. The first questi on is Nilanjan, in your opening remarks, you mentioned that the mega deal wins and the robust order book signing will help us to accelerate the growth beyond FY '24. So is it fair to say, most of the deal wins of this year will have a solid support in terms of the growth pick-up in FY '25?

Nilanjan Roy

Yes. I mean, these will translate into revenue one day. So, like I said, they will start in FY '25 and like somebody else also asked and we answered before, it is not like on one sudden day, they all start together. So, they will have a run up. But absolutely, some of them will start even sooner in FY '24 towards the fag end.

Moderator

Sandeep, is your question answered? Thank you. We move to the next question. That is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan

 Yes. Hi, good evening and thank you for the opportunity. I had two questions. So, one is on discretionary spends. As yesterday, I think, your peer had mentioned that they do not think discretionary spends recover even in 2024. Just w anted your thoughts on how are you thinking about this, overall?

And in the context of this, well, we have seen very strong deal wins this time around. And obviously, those are deals that would have been under the hood fo r maybe the last 12 months, which have all closed. When you look at it going forward, do you th ink that deal activity per se, could sort of slow down, is there a risk there? Or if you could give so me context in terms of pipeline versus how it was before these deals closed? And how is it today? Is there a lot of replenishment that needs to be done to reach b

ack to the same level? That is the first question.

Salil Parekh

So, on the first part, we do not have a view on financial year '24 in terms of volume and so on. What we are sharing today is, what we have seen, for example, in Q2 and what we observed from that

keeping in mind some of the seasonality of th is coming quarter and the end of our financial year.
On the pipeline or deal activity, as Nilanjan was shar ing, we see a good pipeline. Of course, the deals we have closed have come out of the pipeline. But it is still a good pipeline for us. There is a lot of interest from clients in cost and efficiency and auto mation, which is where many of these large and mega deals have come in. There is a good interest in consolidation, which is where some of those deals have come in. And we continue to gain market share in that. So, we feel good about it. And there is that continuing interest in that type of work.

Nitin Padmanabhan

Sure. The second question was the underlying assumption on the guidance, if I understand right, is that the revenue accretion from these large deal s will be very miniscule this year, and you have headwinds on the discretionary side. The bigger accretion should really happen maybe next year. So this year is very miniscule. That is a very fair assumption?

Nilanjan Roy Yes. The definition of miniscule can vary and can be qui te different. But yes, I mean, it is more largely in FY '25, absolutely.

Nitin Padmanabhan

 Yes. So, I meant on a quarterly run rate basis, would it be miniscule of that coming into the revenue versus what you originally thought? That was the context.

Nilanjan Roy Yes.

Nitin Padmanabhan

Sure. Fair enough. And lastly, in terms of the headwi nds on discretionary, which verticals really stand out in terms of where you are seeing the maximum pressure? That is the last question. Thank you.

Nilanjan Roy

Yes. I think, as we mentioned the three verticals, I think, you can see it both sequentially. You can see it year-on-year. You can see it with the peer gr oup. It is financial services, it is mortgage, it is asset management, it is parts of retail, it is comm unication. And I do not think, we are any different from any of our peers. Everybody is calling out that these three verticals have been soft.

Nitin Padmanabhan Sure. Fair enough. Thank you so much. All the very best. Moderator

Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal

Yes. Hi, thanks for taking my question. Salil, just two questions from my side. As we started the year with a guidance of 4% to 7% for FY '24, and we basically downgraded the guidance, second time this time around. So, in the last callyou had menti oned that, maybe in the first guidance, there were some assumptions which did not play out, and we had a fair bit of conservative numbers into the 1% to 3.5% guidance which we had given last time.
So, I just want to understand that we have been winning good deals all along, especially in this quarter, and as you mentioned that some of t he deals are taking time, so, what has changed from the time that we gave the first guida nce to this time, in terms of the projects that we have already there in existence. Is that discretionary part of that, which is being put on hold much longer than

 anticipated? Is there any one single or a couple of large projects which has kind of stopped contributing the amount that we had expected? Any color on that would be really helpful.

Salil Parekh So, there is no one project or one specific client that is where this is coming from. I think, as we look at each quarter, we look at the combination of the two streams on discretionary work and on digital transformation and other programs. How that is slow ing down, where it is slowing down, what the volume implications are. And then

we look at how the large and mega deals are coming into the revenue stream.
As we look out, when we see changes in the discr etionary work or we see some slowing down of decision-making for closing deals or slowing down in the start of ramp up, those are the factors that come into play as we look at the revenue outlook. And then as we come into this time of the year, especially, we look at the seasonality in Q3 and Q4 and how the thinking is in the client buying environment. So that is really the combination of things that we do. There is not any one activity which has led to that change for us.

Vibhor Singhal

Got it. Any specific pockets of weakness which y ou have seen deteriorate at a much sharper rate than anticipated? It could be maybe vertical-wise or maybe a specific domain, let us say, cloud adoption, or any other domain, or is it across the board?

Salil Parekh

So, the way we see in terms of industries, we have a similar sort of view from last quarter, the ones that Nilanjan outlined within financial services, mo rtgages, asset management, if you look at Hitech, telco, some parts of retail. So those are the ones . We have not seen any sort of dramatic changes in that, but those are the ones where we see the impact.

Vibhor Singhal

Got it. Sure, great. Thank you so much for ta king my questions and wish you all the best.

Moderator

Thank you. The next question is from the line of As hwin Mehta from Ambit Capital Private Limited. Please go ahead.

Ashwin Mehta

 Yes, thanks for the opportunity. Nilanjan, just one question in terms of the third-party bought-out items that seems to have added almost ~$75 mn this quarter. So do you see this item sustaining or it kind of falls off? And is this one of the reasons for your weak guidance?

Nilanjan Roy

So like I said, this is sometimes integral to ou r strategy as well because we are doing large-scale transformations and sometimes they have elements of licenses or software, hardware inside. And therefore, our guidance takes into account both vo lumes and any of non-headcount portfolio as well.

Ashwin Mehta Okay, okay. And in terms of wage hikes next quarter, what is the impact on margins that you see or the quantum of wage hikes that you are giving out?

Nilanjan Roy

So, we have rolled it out. We cannot say what is going to be the impact, but it is like we said, it is effective 1st, of November.

Ashwin Mehta Okay. Fair enough and all the best.

Moderator

Thank you. The next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria

Hi, thanks for taking my question. First one is that, does your guidance factor in the current environment remaining similar in the next two quarte rs, or it further deteriorates from here because it is kind of implying a decline sequentially over the next two quarters? So just trying to understand, what is the underlying assumpti on on the current environment.

Salil Parekh

I think the way we are looking at the guidance is , typically, Q3 and Q4 are seasonally weaker quarters. So that is something we factored in, in addition to what I was sharing earlier, the slowing of discretionary transformation and with the large and mega deals, seeing how the ramp-up will look

 like as it converts. But we have looked at more, w hat we see seasonally weaker Q3 and Q4 from our historical perspective.

Gaurav Rateria Secondly, you closed a couple of mega deals in t he last few months. Now when you look at your large deal pipeline, how do you char acterize this? Do you still have mega deals that you are pursuing, which can close in the coming months?

Salil Parekh

So there we have closed four of these mega deals that I referenced earlier. We have a good pipeline. We are not detailing beyond that, the type of deals. What we see is, the deals that we have closed have come off, but t

here is a huge appetite with clients for cost and efficiency. And those tend to be larger within even our large deals pipeline. So yes, we will see some of those larger deals going ahead there.

Gaurav Rateria Got it. Last question to Nilanjan that the Project Maxi mus that you talked about. Is it fair to say that the full benefit would accrue to the company in fiscal '25 and it just started to kind of trickle into the numbers in recent quarter, but the full benefit will accrue in FY '25?

Nilanjan Roy

It is a very complex program. Ther e are a number of tracks. So we have new ideas as we see each quarter. You will see an impact over maybe 18 m onths of this program and throughout as we are tracking it every quarter. Sometimes you will see a faster benefit like utilization, for instance, there is clearly something which is here and now. So you will see some of that impact even faster, but some of course, take longer to materialize.

Gaurav Rateria Thank you.

Moderator Thank you. The next question is from t he line of Keith from BMO. Please go ahead.

Keith Bachman

 Yes, absolutely. So you have mentioned a few ti mes that discretionary spend

or discretionary
projects are a reason for the revenue guidance and r eporting. Can you tell us what percent of your revenues would you characterize as being sourced from discretionary areas? Is it 30% of total revenues, 40% of total revenues? Any rough estimate you could give us on how much of your revenues are generated from discretionary sources?

Nilanjan Roy

Yes. So we do not really give that number out in public domain. So I think that is where we are. Of course, generally, we have fixed price projects where we are more committed and T&M side of the house which will have a bit of variability into it. But we do not give the discretionary really.

Keith Bachman

Okay. The second question is the $7.7 bn large deal TCV, within that number, do the clients have the ability to cancel those contracts? And if it is yes, what is the cancellation rate been over the last few quarters versus historic norms?

Nilanjan Roy

These are largely signed contracts. They take ti me to ramp up. So we have not seen any real cancellations really. They may take longer to ra mp up than originally envisaged, but there are no cancellations really.

Keith Bachman Okay. Fair enough. Perfect. And then my last questi on is, as you think of Infosys, TCS and Accenture and other IT services organization ar e experiencing challenges with gr owth. So it is an industry-wide issue. Against that backdrop, w hen you think about pricing that yo ur clients are willing to accept, have you seen any changes in like-for-like prici ng, when you are negotiating with clients for large deals or otherwise, has that changed at all? Or is t he like-for-like pricing remain fairly steady even in this weak macro backdrop?

Nilanjan Roy

Yes, I think you are right. I think largely, it has been stable. Of course, in some quarters, you can see few clients are coming back and asking for discounts. Bu t I think, overall, even if I look back, it has been in terms of the annual renewals etc., I think pr icing has been more stable over the last year or two years as a general trend, I would think, in t he industry. Of course, deal-to-deal, yes, it gets competed hard. But overall, I do not see a deteriorating pricing environment.

External Document © 2023 Infosys Limited 20 Keith Bachman

Okay. That is it from me. Many thanks, cheers.

Moderator

Thank you. The next question is from the line of Yogesh Agarwal from HSBC. Please go ahead. Yogesh Agarwal Yes. Hi guys. Just one question on large deals, whic h have been extraordinary, almost 2x, 3x of your past run rate. I was curious, what is the share of large deals from existing customers versus new? Can you just give some context there?

Salil Parekh

So there, again, we shared the net new amount, which

is 48%, but we do not share what is from new client versus not new client.

Yogesh Agarwal

Okay. Sir, the reason I am asking is, it is ve ry intriguing that client s are not spending on small discretionary projects, but awarding such mega contracts. So, is it possible, since this year, everyone is cautious, they are just clubbing a lot of smaller projects and awarding in larger deals, which means next year we will effectively have tw o years of catch-up on discretionary spend?

Salil Parekh Some of these deals have been publicly announced. These large programs are many times a combination of cost or efficiency automation pr ogram, and sometimes there are programs, which take all of that, let us say, the saving that the client is likely to accrue and from that fund some transformation programs.

So, these do not appear from our interactions to be a consolidation of smaller discretionary work. These are large independent programs. And that is why we feel, that in that space, this cost efficiency space which is really more acti ve today , we seem to be gaining market share and that those with the way they are being set up and what we see, give us a good foundation for our future.

Yogesh Agarwal Fair enough. Thank you so much, sir.

External Document © 2023 Infosys Limited 21 Moderator

Thank you. The next question is from the line of Vivek Gedda from SBI Mutual Fund. Please go ahead.

Vivek Gedda

Hi, thanks for the opportunity. Salil, in fact, just on your comments that you just made, I just wanted to get a sense of the market share gains that you have been talking about currently because of these large deal wins. Could you give us a sense of how these market share gains have been versus the past? Are you seeing quite a bit of acceleration out there and how to think about it?

Salil Parekh So there, we are seeing more discussions on cost or consolidation. And for example, when you have

a win as we have had over the last few quarters in c onsolidation of partners with a client, there is a
significant change that changes the market dynamic wi thin that client. And then we put all of these
things together between some of the large programs you run on cost efficiency and then on consolidation, it looks like we seem to be gai ning traction. We have a very good capability set on
automation and clients are appreciating that. So that seems to be the reason, why we believe or we
think that it looks like, we are gaining market share in those areas.
Vivek Gedda But is there a way to quantify, from the sense that are you seeing that client budgets are actually not increasing while you potentially are getting more deals versus what your pe er sets are?
Salil Parekh
Difficult for us to say on a sort of macro level, but I think generally speaking, the client budgets at
least we do not see those increasing at that this stage.
Vivek Gedda Got that. Secondly, I also wanted to get a sense of tenure of some of these large deals that you won
and in the context of, how it has been historically. So -it is probably logical to expect that these are
long tenure deals. But if you could give us a sens e of how ACV growth has been versus let us say,
TCV growth?
Salil Parekh

 So there, some of them with the disclosures we have done have that information, but we do not
generally speaking, share that information for the aggregate and certainly not vis-a-vis what was
going on in the past. But for the specific ones where we have had the disclosures, we have shared that information.
Vivek Gedda
Got that. Just lastly from my side, I just wanted to also get a sense on this third-party items bought
out which almost increased $75 mn. However, we called out that one-time revenue bump-up that we
got was 30 basis points, which is relatively lesser than what we see here. Is that different items and
how to think about that?
Nilanjan Roy
Absolutely. They are different

items. And in a way, the margin walk, I also talked about the one-time
having a positive impact and the license sales, et c., having a third-party cost having a downward
impact on margins, they are different.
Vivek Gedda
Got it. Thanks a lot.
Moderator
Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go
ahead.
Abhishek Kumar
Yes. Hi, good evening. Thanks for taking my question. I was also trying to deconstruct this quarter's
growth. It seems to me there is a volume dec line, just going by the headcount decline and small
increase in utilization. So, is it the realization which has helped us or some of the one-time which
you mentioned, and it has been asked in the previous questions also?
Or is it that some of the smaller deals, like less than $50 mn, which we do not disclose, the uptick in
those deals or kind of inflow of those deals has ki nd of dried up significantly, which is basically
resulting in mega deals needed to sustain the volume growth?
Nilanjan Roy

 So in my opening remarks, I said that we are c ontinuing to see softness in the underlying volumes
and the revenue for the quarter was supported by stronger growth in the balanced portfolio and
improved realization from one-timers.
Abhishek Kumar
Okay. So, my question also was, while I know we do not give the numbers out, but the contribution
of less than $50 mn deals in our revenue contribution or pipeline how has that changed? The reason why I am asking is, it seems that without the mega deal or large deals ramping up, there is a
sustained pressure on margins. And these deals c ould be difficult to time, when really these deals
will ramp-up. So, in the absence of that, the contri bution smaller deals, has that really kind of changed
as a proportion of revenue over the last few quarters?
Nilanjan Roy
So, we do not give out this information.
Abhishek Kumar Sure. Okay. Thank you and all the best.
Moderator
Thank you. The next question is from the line of Apurva Prasad from HDFC Securities. Please go
ahead.
Apurva Prasad

Thanks for taking my question. Salil, I had a ques tion on the headcount, how should we really think about that progressing over the next few quarters? It is been down 5% over the past three quarters with utilizations that have been flat. So how should we expect that to play?

Nilanjan Roy

Yes. So, you have to triangulate across volume, a ttrition, new hiring and utilization. The broad message is that even with the util ization increase today to 81.8%, we still have headroom to improve the utilization further. So that should give you a sense of things to come. And of course, we continue to monitor overall volumes, etc., so there is enough headroom and this is helping us in margins, like I said at the beginning, right? This is a margin lever which we can use.

Apurva Prasad

External Document © 2023 Infosys Limited Right. And secondly, any vertical call out in the one-timer in revenue that should affect volume?

Nilanjan Roy

No.

Moderator Apurva, your line is muted, I guess. Do you have any other follow-up questions? Sir, there seems to be no response from the current participant.

Ladies and gentlemen, that would be our last ques tion for today. I now hand the conference back to the management for their closing remarks. Thank you, and over to you.

Salil Parekh

So, thanks, everyone. This is Salil. Thank you for al l your questions and the interactions. I just want to close on a few points.

First, we have had an incredible quarter on large and mega deals really with $7.7 bn, the largest we have seen in the company for a quarter and this gives us a good foundation for the future. The quarter itself was great in terms of sequential growth and operating margin.

We have got a comprehensive program on margin ex pansion, which is in place with several large components and tracks running across the compa

ny. A nd we continue to invest in Generative AI, where we are making great connects with clients, especially leveraging Topaz . So those really are the main points from us. And thanks, thanks very much again for joining in for the call.

Moderator

Thank you very much, members of the managem ent. Ladies and gentlemen, on behalf of Infosys, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Jan 2024

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

January 16, 2024
Dear Sir/ Madam,
Sub: Transcripts of the press conference and earnings call conducted after the Meeting of Board of directors on January 11, 2024

Please find enclosed the transcripts of the press conference and earnings call conducted after the Board meeting held on January 11, 2024, for your information and records.

This information will also be hosted on the Company's website, at https://www.infosys.com/investors/reports-filings/quarterly-results/2023-2024/q3.html.

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/reports-filings/quarterly-results/2023-2024/q3.html .
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha
Company Secretary

Infosys Limited
Q3 FY24 Financial Results Press Conference Call
January 11, 2024

CORPORATE PARTICIPANTS:

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Chief Executive Officer and Managing Director

Nilanjan Roy
Chief Financial Officer

Rishi Basu
Corporate Communications

JOURNALISTS

Ritu Singh
CNBC TV18

Beena Parmar
The Economic Times

Ayushman Baruah
Business Standard

Reshab Shaw
Moneycontrol

Jas Bardia
Mint

Tushar Deep Singh
NDTV Profit

Haripriya Suresh
Reuters

Haripriya Sureban
The Hindu BusinessLine

Sameer Ranjan Bakshi
Financial Express

Rukmini Rao
Fortune India

 Rishi Basu

A very good evening, everyone, and wishing you all a very happy new year. Thank you for joining us today at Infosys' Third Quarter Financial Results. My name is Rishi and on behalf of Infosys, I would like to welcome all of you today. Over the next hour through the course of this press conference, we request one question from each media house.

And with that, I would like to invite our Chief Executive Officer, Mr. Salil Parekh, for his opening remarks. Over to you, Salil.

Salil Parekh

Thanks, Rishi. Good afternoon, everyone, and wish you a Happy New Year. Our Q3 revenue declined by 1% Q-o-Q and 1% Y-o-Y in constant currency terms. For the first three quarters, our revenue grew by 1.8% over the same period last year, in constant currency.

Our operating margin was at 20.5%. Large deals were at $3.2 bn, 71% of these were net new. This includes one mega deal. We are seeing strong traction for generative AI programs leveraging our Topaz capability. We have integrated our generative AI components into our service line portfolio, creating impact for our clients. We have 100,000 employees trained in Generative AI areas and we have developed a range of use cases and benefit scenarios across different industries for our clients. Our margin improvement program continues to gain traction.

Based on the performance in the first three quarters, and outlook for Q4, we are tightening our

revenue growth guidance for FY24 to 1.5% to 2% growth in constant currency. Our operating margin guidance for FY24 remains unchanged at 20% to 22%.
As you probably know, Nilanjan is leaving Infosys at the end of this financial year. I want to thank Nilanjan for the excellent work he has done and for the strong position he has put Infosys in. In addition, I also want to thank Nilanjan for his partnership and his friendship over the past several years. We wish him all the best in the future.
With that, let us open up for questions.
Rishi Basu
Thank you, Salil. We will now open the floor for questions. Joining Salil is Mr. Nilanjan Roy, Chief

Financial Officer, Infosys. The first question is from Ritu Singh from CNBC TV18.
Ritu Singh

 Hi, Salil. Hi, Nilanjan. As always, we want to understand why yet again now for the third time during
the year, you have revised this guidance. What is the visibility you have now for the remaining part of the year? Why the tightening? I mean, sure, it is going to be higher than 1%, perhaps lower than 2.5% on the upper end.
Secondly, what are you seeing when it comes to client budgets now? Are clients in the U.S. open to spending more? What are the areas of weaknesses and strength, whether it is geographies or sectors?
And again, the same question, the headcount continues to come down even in this quarter, even though your attrition rate is lower at 12.9%. Your hiring plans for the year, if you could outline? And apart from the numbers, if you could clarify on the deal wins and that mega $1.5 bn deal, that MoU that you had signed with a global client in the AI transformation space that you seem to have lost out on. What was the reason for that? Are you continuing to see deal cancellations?
And while you wish your colleague all the very best and you always say that Infosys has produced talent for other companies, you are proud of that. What is the impact on business? Because this is not a one-off event. We have seen multiple exits over the course of the last 18 months or so.
Salil Parekh
Okay. So let me start off. There are several questions in there. The first, I think was on margin. So what we have done is really as we get closer to the end of the financial year, we have tightened the revenue growth guidance, the margin guidance remains the same. So in effect, really, the higher end has come a little bit lower and the lower end has gone up a little bit. So, we see the outlook in essence, quite similar, but the guidance is tightened, that is how we are seeing it.
Based on what we have seen in the first three quarters, where our growth has been 1.8% in constant currency terms over the previous years' three quarters. And that is really all we have done with the guidance.
On the budgets, I think that was one of the questions on what we are seeing with the budgets. At this stage, we have not seen any different behavior from clients. Typically, as you know well, Q3 is a quarter with large furloughs and other end-of-year holidays and that we have seen continue. We have not seen either an increase or either a decrease, so the same view. Digital programs are fewer. Cost and efficiency, automation is much more. And Generative AI has a lot of interest and traction even if it is small revenue numbers today.
Then there was a question, I think about the MoU, we have no additional comment. We have shared the comment in the statement we have made some time ago in the quarter.

 In terms of leadership, we are indeed fortunate to have a good team and a very strong set of leaders
within the company and over last several quarters and even in the past, the people who have taken on many of the new positions are people who have been in the company, have developed their skills there.
And we are delighted Nilanjan has spent five years in that role. He will obviously share his view and we had a fantastic outcome in those five years. And really, Nilanjan has contributed immensely to that and all the best wishes as he looks ahead.
Rishi Basu
Thank you.
Ritu Singh
On the headcount question as well. And for Nilanjan, your Project Maximus, just before you go, I would like to know from you, where do you see the end goal of that project? How do you evaluate your term here and what is next for you after March?
Nilanjan Roy

Yes, so it is been tremendous five years here. I think how the company has transformed over the years have been truly remarkable, in terms of the client intimacy, what we see as hunger for larg

e

deals, the focus on people, the entire focus on the shareholder, the capital allocation. So truly, outside the numbers which you all asked about, has been this whole transformation happening inside and under Salil and the Board's leadership that has truly been wonderful.

Five years is a long time, 20 quarters answering the question so I think it is time to move and I will do something later on and as the press release says. But more importantly for me, I may leave Infosys, but Infosys can’t leave me, it’s just a part of me inside.

Rishi Basu

Thanks, Ritu. The next question is from The Economic Times, Beena.

Beena Parmar

Hi, Salil. Thanks for the call. Firstly, in terms of your deal pipeline, could you give us a sense, you know, how does the next two quarters look like? Because your deal pipeline, the order book has reduced that we have seen, in the previous quarter, it was $7.7 bn, but the TCV has reduced this quarter? Could you give us a reason for that?

And on the senior level management churn that we have seen, just adding to what Ritu said, what is the reason that you have not really absorbed newer or recruited newer or made newer

 appointments? And what is the reason that you are seeing a lot of this churn happening? Do you

see this as a one-off event and what are the reasons?

And another thing is on the reports that are doing around about Infosys sending in communication to a rival about anti-poaching and unethical practices. Could you give us your view on that?

Salil Parekh

Okay, thanks. Let me try and go through the questions. I think first on the wins, in fact, this quarter has been, I think, very strong at $3.2 bn. If you look at the nine months, it is the highest ever value of deal wins that we have had. Actually, it is more than what we had in the year before, where we had a very large deal in that instance. So, we feel extremely good. 71% of this is net new. That again is extremely strong because it helps to position us for more into the future. The deal win from last quarter was also exceptional, but those are big numbers. I mean, $3.2 bn is really well above our average deal win in any quarter, if you look back, let us say 8, 10, 12 quarters and so on. So, we feel extremely strong with what we see going ahead. And these have deals which are related to cost efficiency, automation, consolidation, new work on SAP, cloud. So, a lot of different areas, which is good. It is across the portfolio.

I think you had a question on our senior leadership team. Again, my sense is we have an exceptionally strong team at different levels within the company. We have continued over the last several years and even well into the past, always promote a lot of people internally with larger responsibilities. We will do that this year and in the years ahead.

And the type of work that we do, people have exposure to some incredible opportunities, both with clients, with delivery, with projects, and the type of projects we are working on are quite leading. So we feel good about that. In terms of some of the media reports you alluded to, we have no real comment on that.

Rishi Basu

Thank you, Beena. The next question is from Ayushman Baruah from Business Standard.

Ayushman Baruah

Hi. So I think the trend seems to continue that despite the large and mega deals, revenue growth has not been on par, with the deals. So, when can we expect the revenue growth and the large deals to be in sync? That is one.

 And secondly, any specific pockets of weakness you would like to highlight, both in terms of verticals

or geographies?

Salil Parekh

So there, I will start off and then Nilanjan may add some things. I think large deals, more represent what is the level of connect we have with our clients for large transformation programs or consolidations or cost and efficiency programs. The revenue reflects

both what deals contribute and

then what programs clients are doing or not doing.

For example, digital programs have been reduced in what we have seen over the last few quarters with clients. That combination gives us the outcome for the revenue and we will see how the global

economic environment evolves and that will tell us when that comes in. Sorry, what was the second one?
Ayushman Baruah
It was about any pockets of…
Salil Parekh
Yeah, the segments. So, there we are seeing, you know, financial services, hitech, telco, where we still see impact in the market. We see growth in manufacturing, energy utilities, life sciences. So, we do see both of those things. In geography, similarly, we see impact in our North American business, the growth in the European business. So, it is not one thing for all.
Rishi Basu
Thank you. The next question is from Moneycontrol, Reshab Shaw.
Reshab Shaw
Hi, gentlemen, Reshab here. So, on your headcount, Y-o-Y we have seen a lot of headcount decrease, so does that indicate a weaker than expected revenue trajectory from here onwards? Your number of clients has been down month-on-month and Y-o-Y. So, would like to say something on that? And on furloughs, how much has that impacted revenues this quarter? And discretionary spending, when do you see it coming back?

 Nilanjan Roy
So, I will take a couple of them. So, I think furlough is a seasonal industry impact and it is reflected in the minus 1% constant currency decline, so it is part of that as well. In terms of headcount, we had already told you all last quarter that we have a lot of utilization headroom still. In a way, that led to the 6,000-odd headcount reduction. We are still at 82.7%, and our comfort range is between 84%, 85%. So, we still have some capacity and we can always crank this up by taking more trainees on short notice as well. So, our model is very flexed in terms of ability to recruit fast, train them fast and put them on production. So in that sense, I think we are in a good space in terms of ability to capture any future growth.
Reshab Shaw
Great. Thank you.
Rishi Basu
Thank you. The next question is from the Mint newspaper, Jas Bardia.
Jas Bardia
Just a couple of questions. At the start of the year, you had expected to grow at 7% and now this is the third such revision. How much of this revision do you attribute to company-specific factors? And how much of it do you attribute to macro-economic issues?
The second question, did the cybersecurity incident at McCamish lead to the termination of the $1.5 bn MoU. Could you give more details on this? And also, could you cite some measures that Infosys is taking to address this?
Salil Parekh
So let me start off with the guidance point first. I think on the guidance, this quarter we see this more as a tightening of the guidance. So, in that sense, it is not so much a change. It is more that as we get closer to the end of the financial year, the visibility gives us to a similar outcome.
So, if you look at last quarter and this quarter, it looks in that sense similar, except the distance to the end of the year is reduced by half. On the deal specifically, the MoU, we have no additional comment and we have made a specific disclosure at the earlier time.
On the McCamish question that you asked, I just wanted to maybe share with you a comment from what we had stated in our financial results. As we have shared earlier, one of our subsidiaries, Infosys

 McCamish experienced a cybersecurity incident that resulted in the disruption of some of its services.
The systems have been largely restored and are now up and running.
Rishi Basu
Thank you. The next question is from NDTV Profit, Tushar Singh.
Tushar Deep Singh
Hi, a couple of questions. First on the deal signings, we see that the large deal wins are still happening, but they are sti

ll not meaningfully converting into revenue. So, when do you think that is going to come back? And are the large deals ramping up as per expectations so far?
Also, your margins have declined quarter-on-quarter, I think because of the wage hikes that went out. But you have maintained your operational profitability guidance for the full year. So, what are

the margin levers left in play that is giving you the confidence to maintain those margins? A final question on your acquisition that you have done of InSemi Tech, can you just talk to us about it?
Salil Parekh
On the first one, I think, the way we see large deals, they are really helping us to build a foundation into the future. And the win sizes, the overall win value is very strong at $3.2 bn and at 71%, very good to have the net new. That gives us, let us say one piece of the revenue into the future. And equally, there are digital programs or other programs which are not something that clients are looking at in this environment. And that takes away a little bit from the revenue. So that combined gives us the revenue outcome as we see it, and we give out the outlook as we see it. So that is how we will put that together.
Nilanjan Roy
On the margin, as you have seen in our disclosure, one is, we of course, given our wage hike from 1st of November that is about 70 basis points of the drop. In fact, we have dropped 70 bps. We have had another impact of $30 mn between revenue and cost because of the McCamish incident as well. So that is actually 1.3% headwind. We have compensated that at about 50 basis points from the Project Maximus, which now is in full flow. This is across, we have talked about five tracks and many verticals. And there is about 10 basis points which is from currency. And then, of course, there is a balancing around furloughs, etc. So we actually are seeing a very strong underlying margin movement coming because of Maximus and of course, the wage hikes, etc., were planned and known for and are leading to this margin gap for this quarter.
Tushar Deep Singh

 The acquisition of InSemi?
Nilanjan Roy
Yeah, so as you know, we have a very large and growing engineering business. We do not probably talk about it as much. It is a business which is working with leading engineering companies around the world and as you know, semicon is a space which is expected from today, a $500 bn market to go about a $1 trillion . And this is a very exciting business in terms of semiconductor chip design working with leading fab, non-fab players across the world. And I think it will give us, firstly, a good entry into a new space and also a new set of clients which we do not have. So we are very excited about this.
Rishi Basu
Thank you. The next question is from Haripriya Suresh from Reuters News.
Haripriya Suresh
Good evening, gentlemen. First, I wanted to understand, now that client budgets have firmed up, at least for the calendar year, do you see what does the deal momentum look like? Are there any signs of improvement at all? how do we expect things to look like, so far?
And on the guidance, I wanted to understand because it was 2.5% at the upper end, right? Like I wanted to understand, if you are not seeing cancellations, etc., why it was narrowed at the upper end. In terms of geographies, I mean across, this is not obviously an Infy phenomenon, across the companies - North America has obviously been impacted. How much is that affecting you? And is Europe helping in any way?
And in terms of hiring, you said that it would be in time. So, is it fair to presume you will not be going to campuses this year and we can expect headcount to trend the way it has right now? Thank you.
Salil Parekh
So maybe combining a few things. On what we are seeing for the budgets as the calendar year starts, most of our comments are on the financial year that we are looking at. The budget process ha

s started and launched for many of our clients. It is still early in January. So, it will work its way through.
At this stage, we do not see any change from what we were seeing last quarter. In that we do not see things becoming worse. We do not see any change in that dynamic. We will have our own view of the next financial year as we come into the March, April timeframe, when we have the April results.

 The guidance again, for us, we are seeing similar outlook to what we were seeing in the past quarter.
But as we get closer to the end of the year, just the variability reduces, and that is how we have narrowed the guidance. So it is not a question of reducing the upper end. Because in that sense, we have increased the lower end. So, I would say it is quite balanced between what we were seeing last quarter and this quarter.
Haripriya Suresh
On the campus hiring?

Nilanjan Roy
Yes. Like I just mentioned earlier, we continue to monitor the utilization. And our flexi hiring model, in fact, with COVID, which is both off-campus and on-campus, I think that is really been a new learning for us. So it is on demand, we can go behind that, in case any fresh demand comes in. And at this stage, of course, we are not seeing any immediate campus requirement. But for any volume increase, we have a very strong off-campus program as well now.
Rishi Basu
Thank you. The next question is from Haripriya Sureban from The Hindu Business Line.
Haripriya Sureban
Hi, guys. Salil, could you give us some more color on the visibility in the market. We keep listening that the macro condition and situation is bottoming out. Do you think so? And do you see any sort of green shoots or what is your reading like which verticals do you expect to bounce back earlier? And on the margin front, do you see any impact? if there is no tailwind from the currency depreciation given that rupee has been flat for almost one year now so?
Salil Parekh
So, on the outlook in the macro, we do not have a view on where it is in terms of the cycle. What we are focused on is how that is impacting our client decision-making. And there, we see what we were sharing earlier, financial services, telco, hi-tech, we still see the impact. Equally, we see growth in manufacturing, energy utilities, life sciences. There is a difference in the geographies as well, as we shared earlier, between North America and Europe.
So, at this stage, there is no more view that we have than that. We are obviously very positive with the deal wins we have got. A lot of those deals win in cost and efficiency. But there are also deal

 wins which we have seen, for example, in cloud, in SAP and these are areas which we have
tremendous strength in and so we feel good. And then Generative AI is becoming more and more important in all discussions, while it is not a big revenue component, it is still becoming more and more important in all discussions.
Nilanjan Roy
On the currency side, we do not plan for actually any currency movement when we do our margin plans as well. So, whatever comes on top of a currency benefit is actually always a bonus. But our underlying plans do not reflect that.
Rishi Basu
Thank you. The next question is from the Financial Express, Sameer Bakshi.
Sameer Ranjan Bakshi
Hello sir. Please correct me if I am wrong. You said a lot of Gen AI projects are in pipeline, right? And you have around 1 lakh Gen AI trained employees. So why is this that we are seeing smaller and active clients, their number have fallen?
Nilanjan Roy
I think if you see from a revenue perspective, which is more relevant, it is the large clients who continue to grow well. Of course, there is a longer tail towards the 1,500 plus clients. But I mean the biggest revenue chunk comes from the top 50, top 100, top 200.
Sameer Ranjan Bakshi
Okay. Thank you.
Rishi Basu
T

hank you. The next question is from Rukmini Rao from Fortune India.
Rukmini Rao
Hi, thank you. I have two clarification and a question. One, the $30 mn impact of McCamish, it has been accounted for completely this quarter?
Nilanjan Roy
Yes, between loss of revenue and in cost, yes.

 Rukmini Rao
Sure, thanks. And the other one, this is in continuation to what Beena asked. So Salil, I do not fathom how two companies can informally talk to each other? And if at all, Infosys has actually written to a peer raising certain concerns, it must be legal in nature. I mean I am guessing so. So, could you actually tell us whether you have had any communication with your other peers when it comes to talent?
Salil Parekh
I think you are referring to the media report?
Rukmini Rao

That is right, that is right.
Salil Parekh
So we have no additional comments on that.
Rukmini Rao
Going back to the deal that did not fructify, right? I just want to understand from you, was it a client concern about Infosys' ability to be able to execute this deal or was it a client-specific problem that you faced? The way large deals are getting structured or the check boxes the very last minute that are getting countered, what really led to this deal not fructifying? And also some sense on the large deals, is there any fundamental change that is happening how vendors are being looked at by clients when it comes to closing large deals? Thanks.
Salil Parekh
So, on the way large deals are working, in fact, in this quarter, in Q3, we have seen quite a few deals which are consolidation deals where we have been the beneficiary, where clients are looking to consolidate to select partners or strategic partners. So, that is one of the things that we are visibly seeing.
On the specific MoU which was not completed, there is no additional comment. We made the statement, as we had shared earlier. The deal flow in the market is good because the way we look at it, at $3.2 bn, it is well above the average that we see for large deals in any quarter. With 71% net new, that is also very strong because that gives us a good confidence that, that is building out for the future. I think that then you get coupled with, the digital programs which are not happening or

 slowing down. And that takes away a little bit from the possible benefits of these large deals. And
that is really the balance that we are working on.
Rukmini Rao
Salil, like you mentioned earlier saying that digital deals are not still a big component of your revenue, right? But when you have another peer of yours already calling out Gen-AI revenues that they are doing, when do you see actually Infosys being able to call out this number or reach a size in revenue, where are you there in the curve when it comes to being able to grab a Gen-AI deal and make it, let us say substantial or be able to have a statable set of revenues coming out of Gen-AI?
Salil Parekh
So, in Generative AI, we have an extremely strong capability set, a lot of activity with our clients. For example, we are working with a large retail company on their AI-first transformation. This is a very strategic work with the client. We are working with a large global bank on their risk area to use large language models to make that risk area better for them.
So we have a large number of such deals. We are not at this stage of publicly sharing what the Gen-AI revenue is, but we have tremendous capability, a good leading market position. And we feel in Generative AI, we are very strong in the capabilities we build.
For example, there are a lot of large language models out there. There are several different use cases, different benefits scenarios. We have many of them, for example, in customer service, in analytics, in data, in software engineering. So a host of areas which we are working with clients on.

We have also developed what we think is an appropriate approach for large enterprises, what we call the narrow transformer approach.
Here, when you are looking at large companies, the interest is not just on consumer Generative AI. It is much more on what is going to make an impact to them with their data set. And so which is the appropriate large language model you can use for their data set, depending on what the area is.
So I believe we have an incredible capability in Topaz. And clients are also resonating with that capability. We are not today calling out the Generative AI value today, but that is a different subject. But the work we are doing, I think, is quite impactful.
Rukmini Rao
Salil, just to understand the Gen-AI needs that you are actually getting are from existing clients, or you have been able to get newer clients, maybe of smaller ticket sizes. Just to understand…

 Salil Parekh
It is a mix of both. A large number of them are existing clients. We have good relationships. They have seen our capability set, and they are, as I said, it is resonating. We have also done what we call a Generative AI roadshow. It is a tour where we are taking all of our capabilities in the different locations around the world. And there are some new clients as well, where we are sort of first time doing Generative AI.
Rishi Basu
Thank you. With that, we come to the end of this Q&A session. We thank our friends from media for being part of this press conference. Thank you, Salil. Thank you, Nilanjan.

Before we conclude, please note that the archived webcast of this press conference will be available on the Infosys website and on our YouTube channel later today. Thank you, and we request you to join us for some high tea outside.
Salil Parekh
Thanks.

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Ladies and gentlemen, good day and welcome to the Infosys Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep Mahindroo. Thank you and over to you, sir.
Sandeep Mahindroo
Hello, everyone, and welcome to Infosys Earnings Call for Q3 FY '24. Let me start by wishing everyone a very Happy New Year. Joining us on this call is CEO and MD, Mr. Salil Parekh; CFO, Mr. Nilanjan Roy; and other members of the leadership team. We will start the call with some remarks on the performance of the company for Q3, subsequent to which we will open up the call for questions.
Please note that anything we say that refers to our outlook for the future is a forward-looking statement that must be read in conjunction with

the risk that the company faces. A full statement
explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov.
I would now like to pass on the call to Salil.
Salil Parekh
Thanks, Sandeep. Good evening and good morning to everyone on the call. Wish you a Happy New Year.
Our Q3 revenue declined by 1% quarter-on-quarter and 1% year-on-year in constant currency terms. For the first three quarters, our revenue grew by 1.8% over the same period last year in constant currency. We see lower traction for digital transformation programs and more activity for cost and efficiency programs and increasing interest in Generative AI programs.
Our operating margin was at 20.5%. We delivered this outcome while managing through one-off business disruptions. Nilanjan will provide more detail for this. Large deals were at $3.2 bn. 71% of this was net new. This included one mega deal. With this, our large deal value for the first three quarters stands at $13.2 bn, of which 55% is net new. This is the highest ever large deal value for the first three quarters in the fiscal year for us.

External Document © 2024 Infosys Limited 4 We see that with our large deal wins, we continue to win market share and strengthen our position
through our leading capabilities in helping clients with cost, efficiency, automation programs and by leveraging Generative AI, digital and cloud.
We have seen impact in financial services, telco and hi-tech segments. We see strength in manufacturing, energy utilities and life sciences segments. We are seeing strong traction for Generative AI programs, leveraging our Topaz capability. We have integrated our Generative AI components into our service line portfolio, creating impact for our clients.
We have 100,000 employees trained in Generative AI areas. We have developed a range of use

cases and benefit scenarios across different industries for our clients. Some of these areas are related to client analytics, process optimization, sales, marketing, knowledge analysis, software development, self-service and personalization.

Some examples of the work we are doing in these areas. We are working with a large global bank to support them in their risk analysis program by using a large language model for them. We are working with a global food supplier to personalized food experience for their customers and to make their operations efficient using artificial intelligence. We are working with a global retail company in defining their AI first business transformation strategy.

Our clients are leveraging all these Generative AI capabilities in Topaz, combined with the cloud capabilities in Cobalt to help them navigate through this current business environment and setting up for the future.

Our margin improvement program continues to gain traction. The five pillars, the large organization mobilization and steady execution are creating impact. Based on the performance in the first three quarters and our outlook for Q4, we are tightening our revenue growth guidance for financial year '24 to 1.5% to 2% in constant currency.

Our operating margin guidance for financial year '24 remains unchanged at 20% to 22%.

As you probably know, Nilanjan is leaving Infosys at the end of this financial year. I want to thank Nilanjan for the excellent work he has done and the strong position he has put Infosys in. In addition, I also want to thank him for his partnership and his friendship over the past several years. We wish him all the best in his future plans.

With that, let me hand it over to Nilanjan.

Nilanjan Roy

Thanks, Salil. Good evening, everyone and thank you for joining the call.

Coming to our Q3 results, revenues declined by 1% year-on-year in constant currency. Sequentially, revenues similarly declined by 1% in constant currency and 1.2% in dollar terms. This includes the impact of furloughs

and one-offs. Volumes remain soft, coupled with seasonality and normalization of one-time revenues we had in Q2. While the overall environment remains subdued, our large-deal TCV is highest ever on a YTD basis. I will talk about the large deals in more detail.

Revenue for nine months increased by 1.8% in constant currency and 2.5% in USD terms. We are making steady progress on Project Maximus, the margin improvement plan across five pillars and over 20 tracks. This strengthens our confidence that the program will give us the impetus for margin expansion overtime.

Operating margins for Q3 were 20.5%, a decline of 70 basis points sequentially, bringing the nine-month margins to 20.8%, which is within the guidance band for the year. The major components of QoQ margin walk for Q3 margin are as follows:

Headwinds of 130 bps comprising of

- 70 bps from salary increases effective Nov 1st
- 60 bps from McCamish cyber incident which had an impact on both revenues and costs

Partially offset by tailwinds of 60 bps comprising of

- 50 bps benefit from cost optimization including higher utilization and lower SG&A
- 10 bps from currency movement

Balance includes impact of furloughs, offset by higher leave utilization and one-off benefits including lower provision for post sales client support and lower ECL model losses etc

Headcount at the end of the quarter stood at 322,000 employees, a decline of 1.9% from the previous quarter, which is reflected in improvement in utilization to 82.7% excluding trainees. On-site mix also improved by 20 basis points sequentially to 24.4. As mentioned earlier, we continue to improve our operating efficiencies.

 LTM attrition for Q3 reduced further by 1.7% to 12.9%. Free cash flow for the quarter was robust at $665 mn and the conversion to net profit for Q3 was strong at 90.6%. Our unbilled revenues dropped for the third consecutive quarter. And consequently, this has partly led to an increase in DSO by 5 days sequentially to 72 days. Consolidated cash and equivalents stood at $3.9 bn at the end of the quarter after a dividend payout of $895 mn.

EPS declined by 6.1% in INR on a year-on-year basis and grew by 3% in INR for the 9 months period ended.

Yield on cash balances was 6.9% in Q3. ROE improved to 31.8%.

Large deal momentum continued and deal TCV of Q3 was $3.2 bn, with 71% net new. Consequently, our YTD large deal TCV is over $13 bn, which is the highest ever for any comparative period. This clearly reinforces our position and strengthens the relevance and strength of our service offerings.

We signed 23 large deals in Q3, including one mega deal. We signed 8 deals in manufacturing, 6 in FS, 4 in EURS, 2 each in retail and communication and 1 in others. Region-wise, we signed 10 large deals in America, 9 in Europe, 3 in ROW and 1 in India.

Coming to industry verticals,

Inflation, uncertain macro and delay in decision-making continues to impact the financial services sector. With increasing cost pressures, clients remain cautious on spending and are reprioritizing their programs to deliver maximum business value. Topaz is central to our Generative AI discussions, which is gaining momentum and use cases around improving customer experience. We also started implementing use cases in some of our clients focusing on improving client experience, detecting fraud, etc. Overall, while the near-term outlook remains volatile, we will benefit from the recent deal wins and the new account openings.

Clients in communication sector continues to face growth challenges, which is putting pressure on opex spend. Uncertainty about medium-term spend remains with clients, prioritizing cost optimization and vendor consolidation. Clients are looking at conserving cash, which is visible in delayed decision-making and project deferrals. Our focus on large and mega deals resulted in healthy pipeline and deal wins.

Energ

y, utilities, resources and services clients remain cautiously optimistic about the demand environment with cap on short-term spend. In Energy segment, we are seeing market share gains due to consolidation. Our investment on industry cloud solutions and the energy transition, combined

 with extreme focus on human experience, have helped us differentiate, win multiple deals and build

a strong pipeline.

Manufacturing segment continues to deliver strong performance on the back of new deal wins and ramp-up of earlier large deals signed. Growth was broad-based across Europe and the U.S. as well as across industrial, automotive and aerospace industries. While the budget remains largely stable, clients continue to find ways to channel run savings into newer areas like digital, cloud, data and IoT. Pipeline remains healthy with emerging opportunities on various fronts in the ER&D space resulting from increased spending.

In the Retail segment, cost takeouts and consolidation remain the primary focus for the clients. While discretionary spend remain under pressure, there are pockets of opportunities, leveraging Generative AI, in predictive analysis, real-term insights and decision support areas. Deal pipeline is strong, though decision cycles remain long.

A resilient performance in a seasonally weak quarter and the continued momentum in deal wins, coupled with a very large efficient execution engine, gives us confidence for growth in the medium term. Driven by our YTD growth of 1.8% in CC terms and Q4 outlook, we have revised our revenue growth guidance for FY '24 from 1% to 2.5% previously to 1.5% to 2% in constant currency terms. We retain our margin guidance band for the year at 20% to 22%.

Finally, I would personally like to thank all the stakeholders of Infosys, especially the fabulous finance team here for their support over the past five years. As I step down, I look forward to working closely with the entire leadership team over the next few months to ensure a smooth transition. Finally, I wish Jayesh the very best as he assumes the role of CFO from 1st of April '24.

With that, we can open up the call for questions.

Moderator

Thank you, very much. We will now begin the question-and-answer session. The first question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh

Hi, good evening and thank you for taking my question. My first question was...

Moderator

Kumar sir, can I request you to speak up a bit?

 Kumar Rakesh

Sure. Is this better?

Moderator

Yes. Go ahead, please.

Kumar Rakesh

Thank you. So, my first question was around the new deal wins, which has been pretty strong at $2.3 bn, it is some of the highest we have seen in the recent quarters. However, that also implies the renewals have been weaker. In recent quarters, we have seen renewals to be in the range of $1.5 bn to $2 bn. In this quarter, it was less than $1 bn. And that could also be the reason for the slowdown in the second half, which you are expecting.

We can understand that the new deal wins would be lumpy and difficult to predict, but you would have a timeline on the renewals, when they would be happening and what is the probability that you could see winning them back? So how do you see the next quarter or so panning out from the renewal perspective, any visibility on that side?

Salil Parekh

Thanks for that question. I think my reading of the large deals win is more along the lines that we are continuing to do well with renewals and then we have got really excellent net new wins in the $3.2 bn. As we have discussed at other times, the large deals numbers by themselves vary quarter-on-quarter. As you know, last quarter was also extremely large number.

Having said that, we have on the renewals, a clear sight of what is coming up. We are also benefiting in many of these areas f

rom consolidations which Nilanjan referenced. And also where our clients are seeing, opportunities for cost and efficiency. So all of that gets combined with the renewals coming along at regular cycles.

Kumar Rakesh

Got it. Thanks for that. And my second question was around Gen AI. So you have talked about 100,000 employees being trained on Gen AI. But can you just quantify or share some insights on the client engagement side? Anything that you can quantify, number of projects that we are working or the amount of deals that we are winning, anything that we can start tracking on that side?

Salil Parekh

 So there, we are not, at this stage sharing externally any views on revenues or projects and so on.

To give you color what is happening today is, almost every discussion with clients involves some element of Generative AI. And what we have now developed through Topaz is a set of areas where there is benefit cases, use cases scenarios where there is impact, where we are working across a large number of clients on those in different scales, where there are some which are more pilot, some which are programs. And that is the three examples that I shared.

We have also developed strength across a number of large language model, where we have trained our teams. And then on how to leverage datasets. Our focus is very much on large enterprises who are our clients and the datasets within those enterprises, depending on the usage of where that large language model is to be applied.

We have a very strong business in data and analytics, which becomes the foundation for this Generative AI work. We are working to make sure that the benefits are felt across all of our service offerings, so we can start to see in new discussions with clients, productivity benefits, which are downstream coming from this Generative AI. So at this stage, while we are not externally quantifying all of the elements I referenced, that is the sort of color we are seeing across a large number of discussions.

Kumar Rakesh

Thanks for that, Salil.

Moderator

Thank you. The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan

Hi, good evening, thanks for the opportunity. Congrats on the strong deal wins. So I think, first off, Salil, anything that you have seen versus the previous quarter in terms of client behavior that suggests green shoots on the discretionary side? Or do you think that will continue to be under pressure for some time?

The second question is for Nilanjan. It appears that we will exit the year with margins lower than last year. Do you still believe that margin could be better next year versus the current one? We have sort of highlighted that as an aspiration at the beginning of the year, so just wanted your thoughts on how one should think of that at this point in time? Thank you.

Salil Parekh

 Thanks. In terms of the client discussions, we have not seen some significant change in one or the

other direction from what we were seeing last quarter. So some of the digital transformation work or some of that type of programs are where clients are not putting focus or attention, whereas the cost and the efficiency and now even consolidation, we are seeing more and more of that, which is what we were seeing last quarter as well. So in that sense, we do not have any change that we have sensed at this stage.

Nilanjan Roy

So Nitin, on the margin question, I think you have seen this quarter as well, the underlying margins, excluding the one-offs are quite resilient and we have talked about now Project Maximus, this is nearly the third quarter and a lot of work has been going on. We are seeing the benefits of that, and you can see that in our commentary as well. We are very confident about the overall margin outlook. Of course, we would not give a number about next year. B

ut really, the multiple tracks around value-
based selling, around efficient pyramid, around automation and Gen AI, are all working well. So, I think that gives us good optimism over the medium term in terms of our margin structure.

Nitin Padmanabhan

Okay. Thank you so much and all the best.

Moderator

Thank you. Next question is from the line of Moshe Katri from Wedbush Securities. Please go ahead.

Moshe Katri

Thanks for taking my questions and congrats on strong bookings for the quarter. First question, any color of the ongoing budget cycle for calendar '24? Do you think budgets will be on time? Do you think budgets will be delayed? Any color there on that one?

Salil Parekh

Thanks, Moshe. On the budgets, in Q3 end of the year quarter the furloughs were in play. We are seeing that coming into play in the Q1 calendar year which is our Q4. The budget decisions are ongoing and as you know well, these will go through the early part of this month. So, nothing from that. We do not see any change in what we were seeing in terms of behavior from the last quarter where budgets would suddenly have a different direction.

 So, at this stage, it looks like it is similar to what we were seeing, but everything is not yet closed out
from our discussions on the budgets.

Moshe Katri

Understood. And then looking at the deal flow, the large deal flow that went through calendar '23, there were some concerns that they are not converting, some of deals are not converting on a timely basis. Has that changed in any way in terms of conversion on some of these deals, and when we could start seeing that inflection point in revenue growth because of those deals converting? Thanks a lot.

Salil Parekh

On that, as you are aware, the large deals are obviously giving us the foundation, especially the net new and renewal for future revenue. And at the same time, we are also seeing impact of the digital programs not moving or digital programs sometimes being stopped. So that combination is what gives that revenue outcome.

At this stage, we have no specific external view on what will happen in the quarter, but our overall revenue guidance for this financial year, which is only one more quarter, gives you a sense of how we are feeling about that. We will see, because a lot of the large deals, as they start to build up, and when the digital capabilities start to have more interest with clients, we will start to see that change, I am sure.

Moshe Katri

Thanks, Salil.

Moderator

Thank you. The next question is from the line of Ankur Rudra from JPMorgan Chase. Please go ahead.

Ankur Rudra

Hi, thank you. Salil, could you elaborate on what you have seen the client spending sentiment has been, on projects that have already been signed, let us say in the last nine months or so on the cost

 takeout side; and on incremental signing of smaller projects? Because we can see on large projects,
but we do not have a visibility on how your small projects are doing?

Salil Parekh

Sure. So, on the client spending, where clients have signed recently in the last three, six, nine months, that spending is going well, both on cost and other projects, incremental projects, as you were describing. On things that were more in the past, that behavior on the cost has continued and the incremental projects we have seen even in the past quarter some impact. But what has been signed recently, we see those proceeding as per what they have signed.

Ankur Rudra

Understood. And you have mentioned several times on the call that there seems to be delays in revenue recognition because of project reprioritization. Is there a way of maybe estimating this for investors benefit? Like, for example, how much of fiscal '23 or the last 2 years, total contract value or signings may have been impacted because of change in client priorities? Or alternatively, how

much of the signings have been shrinking every quarter, there is one back with new project signings for you to stay at the same place?

Salil Parekh

We are not in a position to share that externally. We have a view on what we look at, in terms of wins, execution and large deals internally. There are also other programs, some small, some mid-

sizes which go up and down. So that whole internal composition is something which we work with, but it is not something which we have shared in the past and are even today sharing externally.
Ankur Rudra
Understand. I wanted a color as opposed to maybe a quantification?
Salil Parekh
Yes. So same, I think at this stage, the outcome is what we have. We have not given any more on that in terms of color as well, Ankur.
Ankur Rudra
Understood. Maybe moving to margins. Just one question. Obviously, this quarter, if I take out the impact of the ransomware incident, it appears that margins would have been up by 60 basis points. Is that right? Number one. Number two, if you could elaborate where we are on the various Project Maximus levers? And where is the remaining support, let us say, over next year or so?

Nilanjan Roy
Yes, we have given the margin walk in the initial script, and quite clear about the one-offs, the salary, etc.
From Maximus, there are a lot of tracks which are currently in play. Utilization is one you are seeing, in fact, that is the biggest one, straight up in your metrics, you can see that and how that is flowing into margins. There are other internal programs on the pyramid, a lot of work there onsite-offshore, is the first time we have seen some positive movement after a lot of quarters.
On automation and Gen AI, a lot of work going on, with Gen AI coming in with additional sort of levers available to us more than the traditional automation which we used to do. Pricing has been much better. There is a lot of work happening on value-based selling. And in fact, that is also reflected in overall RPP that we are seeing a much more stable pricing, in the underlying pricing regime, and that is something which we are pushing on.
So all the levers are in play. We have quarters where we are able to squeeze more and many new ideas. I think with Project Maximus, which have come into the fray as well, looking at large programs and whether we can early on get into a margin improvement program rather than what was originally budgeted during the bid phase. So there is a lot of stuff happening, and I think we are already seeing the early results.
Ankur Rudra
A quick follow-up, if I can. There is some concern that some of the cost takeout contracts won in the last 9 months may drive some margin headwinds. Is that something that should impact on a portfolio basis next year?
Nilanjan Roy
That is something we have always talked about. We have a portfolio of contracts in the first, second, third, fourth, fifth year. So while new contracts come in, which are initially potentially at lower margins, at the same time, we have contracts which have been going into a steady state. Some of these questions were raised two, three years back in one of our segments as well.
And you have seen the improvement for that segment particularly over the period of time where it is nearly closer to the average margin for company. So that is something which we have really fine-tuned and mastered over the few years. So in that sense, that is always built into our projections and forecast.

Ankur Rudra
I appreciate the color. Thanks and best of luck.
Moderator
Thank you. Next question is from the line of Bryan Bergin from TD Cowen. Please go ahead.
Bryan Bergin
Hi, good evening, thank you. First question I have is demand by geography. Can you talk about pipeline and client spending plans across the U.S. versus Europe, maybe also based on what you have in backlog

? I am curious if you think the recent trends of North America weakness being offset by solid Europe performance is likely to continue or whether that may change as you go through fiscal '25?
Salil Parekh
On the geography, as you point out, we had good growth in Europe in Q3, weaker in North America. In terms of pipeline, we don't share the pipeline split by geography. We do see our large deals that Nilanjan shared by geography in good momentum at least on the large deals on both U.S. and European side, but we don't specifically call out pipeline or outlook by geography within our business.
Bryan Bergin

Okay. Any reason that the current growth trajectory should change near term or should it remain somewhat consistent?

Salil Parekh

So, if you look at guidance for the full year, which is for the remaining quarter, it's for the entire business and we don't have a specific view that we share externally on the U.S. or Europe there.

Bryan Bergin

Okay. Follow-up on the third-party items. So another uptick here, just I think, over 8% of revenue now. Can you talk about whether you expect third-party items to continue to rise as mix revenue or may this start to come down as you go forward and deal composition potentially change? I am just trying to think about sustainable level here as this has moved up meaningfully over the last couple of years?

 Nilanjan Roy

Yes. So as we have talked about this before, as we are involved in larger transformation deal, the longer-term transformation deals across the entire IT stack, infra, cyber, application development, data, I think many of these are bundled deals, which have software, hardware elements in it. And in a way, that is also giving us the benefit of taking these larger deals off the table and at the same time, we are able to manage our margins as well.

So, we are able to navigate both, the impact of this. So we have no number in mind to say that this is where we target or this is optimal level. As long as we are able to get incremental market share and get our margins in-line, which is what the program of Maximus is also about, I think we are comfortable with that.

Bryan Bergin

Okay. And just last one for you, just on the headcount resourcing plans. Can you just give us a sense how you are thinking about resourcing plans near term? I know it was down again, sequentially about 2%. I am just curious if you have kind of reached a stabilization point?

Nilanjan Roy

Yes, so we still have a lot of headroom and we have talked about it in the last two quarters that our utilizations are still quite low. We have operated a much higher utilization, 84%, 85% and of course in the COVID years, maybe 87%, 88%. So that is one, and we are still below 84% as we speak. We also have an on-tap demand fulfillment from our fresher model, so we can absorb in freshers very fast, because we do not have to just go for colleges and wait for the annual cycle.

Now we have a source of supply from off-campus as well. And with attrition slowing down, there is a lot of talent, even from a lateral basis available across the country as well. So I do not think that is a big concern for us.

Bryan Bergin

Good luck to you, Nilanjan. Thank you.

Nilanjan Roy

 Thank you.

Moderator

Thank you. Next question is from the line of Keith Bachman from BMO. Please go ahead.

Keith Bachman

Hi. Thank you. I want to ask a couple of questions, if I could. First on pricing, you mentioned specific segment of pricing, but I wanted to ask about, pricing on renewals, are you seeing pricing pressure that is different from past cycles at the time of renewals? And then also, you had good deal signings for large deals. I wanted to talk, if you could address pricing for those large deals and how that might be impacting your margins? And then I have a follow-up, please.

Nilanjan Roy

Yes. We have se

en much better pricing stability over the last few years. And in fact, we are also very conscious with our value-based selling program that we are not leaving any pennies on the table when we are going after deals, because in the hubris, we want to make sure that we are not leaving a lot of dollars on the table. So I think there is a lot of work happening there.

But overall, from a competitive positioning, pricing really has been stable across. And that is reflected on the cost pressure that people are also conscious of, in their margins and in where they are.

So, in that sense, there is no more concern. We, of course, have the one-offs, etc., specific clients, specific segments where they are in trouble. And of course, they may want to rebid some of that. But overall, it is not been something which is really concerning us in that sense today.

Keith Bachman

Okay. And my follow-up relates to duration, this was asked a little bit differently earlier in the call. But as you are getting good signings of large deals, is the duration of those large deals extending so that investors should be thinking about the book-to-bill being a bit longer?

Nilanjan Roy

External Document © 2024 Infosys Limited 17 So, we do not give out the duration of the deal wins. We have deals which come with longer-term
periods. And you could see some of the announcements we have made. But nothing specifically whether they are going up across. So, we do not comment on that.

Keith Bachman

Okay. Well, then maybe I could sneak in one more. As you just look out over the next couple of quarters, if you could just help us on the puts-and-takes on margins that we should be thinking about. I am not asking for guidance. You have already said that utilization perhaps is a source of potential margin upside as it goes up. I would think that wage pressures would be less going forward, but not sure how mix fits into that.

But anything you just want to highlight beyond the March quarter, but just the puts and takes that we should at least be considering as we are creating our margin profile over the next, four, five quarters?

Nilanjan Roy

Yes. So, I think one of the earlier question was on this and probably I talked about it in Project Maximus, as well. There are other benefits, which we don't factor in into any of our models. For instance, operating leverage, you can see the impact of SG&A benefits on operating margins when we were growing during '21, '22, '23. So, that is something which automatically flows into the P&L with growth. And in a way it gets reversed, the operating leverage works against you when revenues are down. So, that is something from a pure margin perspective, which you know flexes.

Secondly, similarly on the currency, we don't build in anything into our programs. And that also comes in the future as well, but it is not part of Maximus. Of course, there are things out there, what the expectations of dollar movements are. So, these are some things more extraneous as well which can impact, but we are more confident of what we are able to control within the 20 tracks of Maximus and we have talked about that.

Keith Bachman

Okay. All right, thank you.

Moderator

External Document © 2024 Infosys Limited 18 Thank you. The next question is from the line of Jamie Friedman from Susquehanna International
Group. Please go ahead.

Jamie Friedman

Hi. Good evening. Nilanjan, in your prepared remarks you expressed confidence in growth in the medium term. I was just hoping you could unpack that a little. When you say medium term is that just a comment about the fourth quarter or is that longer in duration?

Nilanjan Roy

Yes. Medium term is medium term. It is definitely more than the fourth quarter.

Jamie Friedman

Okay. Thank you. Also, Nilanjan and Salil, I have tried to reconcile when Salil observes the strength in the TCV and a record TCV in nine months and when Nilanjan, you used the word subdu

ed in your
prepared remarks. It seems like you are saying, it is hot and cold at the same time. So, I know these are where many of these questions are going, but how can the weather be both?

Salil Parekh

Hi, maybe the way that we are thinking about this, we can share with you. The large deals really give us good confidence of revenue over the next several periods in terms of the wins, both for net new and renewals. And the comment, which was more around subdued, we look at it from a perspective of where we see less activity on digital programs and less activity on some of those type of projects, where that takes away a little bit from the revenue.

So, that is the sort of balance in our mind. One of them giving us that revenue outlook and the other where clients are under constraints on their own spend, reducing some of that. That is how we see the balance on that. Hopefully, that clarifies the comments.

Jamie Friedman

Thank you, Salil. I will jump back in the queue.

Moderator

Thank you. Next question is from the line of Sumeet Jain from CLSA. Please go ahead.

Sumeet Jain

External Document © 2024 Infosys Limited 19 Yes. Hi, thanks for the opportunity. Firstly, I wanted to ask around the one-time loss what you had

around McCamish, are you expecting it to reverse back in Q4 and include it in your guidance? Or will it reverse some time in FY '25?
Nilanjan Roy
No, this is one-time. There is no reversal.
Sumeet Jain
Got it. And secondly, I wanted to check around your platform business. I mean we have seen for the last 2 years, there has absolutely been no growth in that particular business. But although we keep seeing deal wins around your Finacle platform with various regional banks in the Middle East geography and other regional banks in North America as well. So can you share any plans to grow that part of the piece where we are seeing the other SaaS companies globally have actually seen a lot of traction post the Gen AI offerings and their solutions?
Nilanjan Roy
Yes. So I think we continue to do well. I think Finacle business continues to motor ahead, a very nice deal wins across. And overall platforms is a more generic usage. And I mean, we track it across various things, but Finacle actually overall has been doing very well.
Sumeet Jain
So any reasons for the platform business to be flat over the last 2 years?
Nilanjan Roy
So I think we can get back to you on that.
Sumeet Jain
Okay, that is all I had. Thank you.

Nilanjan Roy

 Okay. I think Sandeep is just prompting me that we also use it for internal productivity as well for
services.
Sumeet Jain
Okay. Got it. Thank you.
Moderator
The next question is from the line of Yogesh Agarwal from HSBC. Please go ahead,
Yogesh Agarwal
Yes, hi. Just one quick question. The number of employees are down 7% year-on-year, but the total wage bill is up around 1% or 2%, which means that the wage bill per head is up around 9%, 10% year-on-year. So I would have assumed that the pyramid would have kicked in, in a slower growth last few quarters. So any particular reason why the wage bill per head has gone up so much? Thanks.
Nilanjan Roy
I think one of the things is the comp increase also has happened this quarter. And, of course, in the initial part of the year, we had more lateral movements coming in, in the top end of the pyramid. But if you see the latest quarter, you will see a reversal of that. I think the employee costs have come down, in this quarter as well. So you will see that trend reversing.
Yogesh Agarwal
Great. Thanks. Thanks, Nilanjan, all the best for your future endeavors.
Nilanjan Roy
Thank you.
Moderator
Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

 Vibhor Singhal
Yes, hi. Thanks for taking my question.
Moderator
Please use your ha

ndset. There is an echo in the line.
Vibhor Singhal
Sure. Is it better now?
Moderator
Yes, please go ahead.
Vibhor Singhal
Yes, thanks a lot for taking my question. So, Salil, just a question on the deal flow number. I know we have already had a bit on it. So, I just wanted to take a bit of feedback. We know this quarter was basically on the softer side, both in terms of seasonality and probably furloughs being higher than the last year itself. But on the overall demand environment that we are looking at, both, let us say, in terms of the cost takeout deals or the discretionary spends or basically the different verticals that we

are looking at, is there any change in the overall demand environment that we are looking at from 3 months ago? I mean, when we met for the second quarter results?
And how do you see this playing out over the next couple of months as clients get into the budget cycle and any specific verticals or pockets that you might want to call?

Salil Parekh
So, there, you know, the thing that we have observed is, as we look at a large client base, the way clients are behaving in terms of spend, we have not seen a change in the way they are looking at it. So, we still see, what we were discussing earlier on digital transformation programs being more impacted, where cost efficiency being much more in play, there is also more consolidation that we are seeing, and that was coming through in the past quarter as well.

 And then, there is a lot of interest in almost every conversation we have, where Generative AI is part
of the mix. So, in that sense, I do not have a feeling that there is a change that we are seeing. Now, this is also the start of the calendar year. We will get a sense fairly quickly on how clients are looking at their spend. And as we come to the end of our financial year and as we plan for next year, that will give us, let us say, more view into that spending pattern.
Vibhor Singhal
Got it. And in terms of the deal flow, I mean, the deal wins that we had in the first half of the year were very rock solid deal wins. Any color on some of those deals getting into execution mode driven by the conversation with your clients? I mean, are we seeing incremental intent from the clients on starting those deals, which were maybe a bit delayed on their side? Or, any color on that that we have seen incrementally over the last three months?
Salil Parekh
So, there we have seen, essentially, in this last 3-month cycle, the deal starting or ramping up being as we anticipated. So nothing has changed in this 3-months cycle. There are places in some of the large deals where there is need for incremental work, which is also starting to be visible, which will hopefully flow through.
So, there will be no delay that we have seen. In fact, we have seen more of those on track in the last three months.
Vibhor Singhal
Got it. Thanks for taking my questions and I wish you all the best.

Salil Parekh
Thank you.
Moderator
Thank you. The next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria

 Hi. Thanks for taking my question. The first question is with respect to the mega deal signed in 2Q.
The transition period was expected to be a little longer, and some of them were supposed to come into revenues in the fourth quarter itself. So is the expectation remaining similar on that? Or has anything changed with respect to the transition period and flow-through of the revenue?
Salil Parekh
There, as we had shared previously, it was towards the end of the year and that is where we are, so we do not see that changing.
Gaurav Rateria
Got it. Second question is with respect to the underlying leakage in the business on small deals, discretionary spend that has been continuing now for some time. How do you characterize your 3Q versus, let u

s say, 1Q and 2Q has the leakage remained largely similar or has that kind of come
down compared to the pace at it was leaking in the first two quarters?
Salil Parekh
Let me try to give color in the way we look at it. In the last quarter, so in the last three months, we have not seen those things change in direction, they appear to be stable or similar.
Gaurav Rateria
And is that the similar thing built in your outlook for the fourth quarter as well, when you tightened your guided band?
Salil Parekh
At this stage that is what we have put into the Q4 outlook, yes.
Gaurav Rateria

Got it. Last question is on the margins. Given that you will have some bit of more headwind in fourth quarter because there will be full three-month impact of the wages that you have provided for in this quarter, your margins probably will have some more headwinds, plus your implied guidance points to again, weak revenue trajectory in the fourth quarter also, so no major massive operating leverage per se.
It is just that you are exiting the year with margins closer to the lower end of the guide, is that the bottom for the margins? And given the Project Maximus is underway from here on the margin should

 only be going in the upward direction? Is that the way to look for it? I am not specifically looking for
fiscal '25, but just trying to understand is that the bottom for the margins? Thank you.
Nilanjan Roy
Yes, so in Q4, I mean, it will work out of Q3 as well and you know there are puts-and-takes in Q4. And like we have said, Project Maximus continues to deliver very strongly and in our overall commentary, we have talked about the optimism in the medium-term for our margins coming out of Maximus.
Gaurav Rateria
Thank you.
Moderator
Thank you. Next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah
Yes, thanks. Thanks for the opportunity. Most of the questions have been answered. Just wanted to understand the 60 bps impact on our cybersecurity, is it possible to break down in terms of revenue and cost? And is it fair to assume the impact, which could have been there because of the cost, will actually no longer be there? It would be a tailwind in the fourth quarter?
Nilanjan Roy
Firstly we can't split it, but both these are one-time impacts - the loss of revenue and the cost impact. So, this was like the puts-and-take. So, in Q4, as we see it now, this is not going to be there.
Sandeep Shah
Okay. And so even the revenue will come back in the fourth quarter, right?
Nilanjan Roy
Yes, so I think in the statement, you have seen that the systems are back substantially by the end of December, right? The system is up and running. So I think that part goes away and the work that we do in Q4, should translate to revenues.
Sandeep Shah

 Okay. And Nilanjan for two months of wage hike, 60 bps to 70 bps wage impact looks slightly lower.
So, is the almost 100% of the eligible employees have been covered? And is it fair to assume the wage impact would be much lower in the fourth quarter because it would be one month impact?
Nilanjan Roy
Going to be a one-month impact, absolutely. Every time we do a wage hike, we look at, of course, the competitive scenario we look at the market, attrition, employees, tenure, what are the pay point grids. So, it is a very complex exercise. And based on this, this is what we have rolled out. And of course, you can see the attrition figures are also good.
Sandeep Shah
Okay. And last question, Salil, I think one of the responses, you said the furloughs in the December quarter may continue in the March quarter, have I heard correctly or I have been mistaken?
Salil Parekh
So there, my point was on more Q3, we had the furloughs and that is a seasonal impact. In Q4, we typically see a little bit of that always in our business in Australia and t

hat is really the reference I
was making.
Sandeep Shah
Okay, okay. Thanks and all the best. And all the best Nilanjan.
Nilanjan Roy
Thank you.
Moderator
Thank you. The next question is from the line of Kawaljeet Saluja from Kotak. Please go ahead.
Kawaljeet Saluja

 Hey, hi. My question is for Nilanjan. And Nilanjan you know the margins for this

quarter, is it based
on your normal variable compensation provision? Or is that something which has taken a hit in this quarter?
Nilanjan Roy
So Kawal, we do not talk about the variable pay, of course. I think there will be enough news in the papers about that, but we do not give any commentary on variable pay.
Kawaljeet Saluja
Yes. I mean I think it will make its way to the media after a month, so might as well talk about it now Nilanjan.
Nilanjan Roy
We never confirm at any case.
Kawaljeet Saluja
Okay. Got that. Yes. All the best for your future endeavors, Nilanjan.
Nilanjan Roy
Thanks, Kawal.
Moderator
Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead,
Manik Taneja
Hi. Thank you for the opportunity. I just wanted to understand over the course of last 9 to 12 months, the industry has been complaining about the leakage on the existing projects as well as non-extension of discretionary projects. Are you seeing any change on that front? That is question number one. The second question was with regards to the expansion in terms of captive centers, and we continue to see news flow on that front. Any comments from you on that front?

 Salil Parekh
I think, on the first part, our sense is in the last quarter, so in this Q3, we have not seen any change in the work on those projects that had essentially a similar type of trajectory. On the captive centers there, typically, we see that any time there is new technology shifts, whether there was digital or cloud or Generative AI, there is definitely more interest in some clients building out captives. Equally as technologies age, we see some clients are looking to exit and especially to be more optimized. And we have seen that in several of our large deals, if you look back over the last several quarters. We have had these where, in addition to the transformation, we have taken on the task of optimizing pre-existing captives and so on.
So, we do not see a change. It is just maybe it is that new technology moment where we see the activity. But we also see converse activity of things which were let us say, set up 5, 7, 10 years ago, which are going through that change or decline in that situation.
Manik Taneja
Sure. And one last question from my end, we have been seeing our headcount reduced for the last several quarters. Any sense on how we should be thinking about the optimization on this front given the kind of deal wins that we have had in the last three quarters?
Nilanjan Roy
Yes. So I have mentioned that a couple of times, utilization is something where we have headroom. So the decline in headcount really does not concern us too much. And both from availability of talent to ramp-up, we now have a very strong off-campus program. This is something over the last three or four years, we have perfected post COVID and that is really on tap without having to give out requests to colleges one year in advance.
And of course, from a lateral perspective, like I mentioned, with the market being soft, there is of course, talent available even laterally. So in that sense, we are very, very comfortable with any volume requirements and ability to fulfill.
Manik Taneja
Sure. Thank you and all the best for the future.
Moderator

 Ladies and gentlemen, that was the last question for today. I now hand the conference over to the
management for their closing remarks. Thank you and over to you.
Salil Parekh
Than

k you. Just, first, everyone on the call thanks very much for joining us and for your questions. I want to just summarize with a few points. First, we are very excited with the large deals at $3.2 bn, 71% net new. It really shows the foundation of what we see for the future, very happy with the strong margin and also for an extremely strong margin improvement program that is in play.
Our Generative AI work is really pervasive. It is across all of our client discussions, in our service lines and we believe we are building extremely deep capability within our Topaz set of capabilities.
We see continued strong focus on cost takeout, consolidation and we have extreme strength in that.

We feel good that, that will continue. If that continues, we have a good play into that.
And then finally, we feel good overall about the resilience of our business given the quarter and the seasonality that we had and the overall economic environment. We feel really good about the resilience of our business and the future.
So thank you, everyone, again and look forward to catching up at the next quarter call.
Moderator
Thank you very much, members of the management. Ladies and gentlemen on behalf of Infosys, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2024

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

April 23, 2024
Dear Sir/ Madam,
Sub: Transcripts of the press conference an d earnings call conducted after the Meeting of Board of directors on April 18, 2024

Please find enclosed the transcripts of the press c onference and earnings call conducted after the Board meeting held on April 18, 2024, for your information and records. This information will also be host ed on the Company's website, at
https://www.infosys.com/investors/reports-f ilings/quarterly-resu lts/2023-2024/q4.html.

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/r eports-filings/quarterly-results/2023-2024/q4.html .
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha

Company Secretary

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Infosys Limited
Press Conference Call
April 18, 2024

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Reuters

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The Economic Times

Jas Bardia
Mint
Haripriya Sureban

The Hindu BusinessLine

Uma Kannan
The New Indian Express

Rukmini Rao
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Padmini Dhruvaraj Financial Express

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Rishi Basu
A very good evening, everyone and thank you for joini ng Infosys' Fourth Quarter Financial Results. My name is Rishi, and on behalf of Infosys, I would like to welcome all of you today. As always, we request one question from each media house to accommodate everyone over the next hour.
With that, let me invite our Chief Executive Offi cer, Mr. Salil Parekh, for his opening remarks. Over to you, Salil.
Salil Parekh
Thanks, Rishi. Good afternoon and thank you all for being here. For the Financial Year '24, our revenue growth was at 1.4% in constant currency terms. Our operating margin for the full year was 20.7%. For large deals, we had an excellent year and th e fourth quarter; for the full year, it was at $17.7 bn in large deals, comprising of 90 deals. For Q4, we had $4.5 bn in large deals. This is the highest ever large deal value in a financial year for us.
For Q4, our year-on-year revenue growth was flat in constant currency and declined by 2.2% QoQ. Our operating margin for Q4 was at 20.1%. We are seeing excellent traction with our clients for Generative AI work. We are working on projects across software engineering, process optimization, customer support, advisory services, and sales and ma rketing. We are working with market-leading open access and closed large language models.
As an example, in software development, we have generated over 3 mn lines of code, using one of the Generative AI large language models in the public domain. In several situations, we have trained the large language models with client-specific data wi thin our projects. We have put Generative AI in our services, and developed playbooks for each of our offerings.
We are committed to ethical and responsible use of artificial intelligence. We became the first IT services company, globally, to achieve the ISO 42001:2023 certification, testifying to our commitment to excellence in AI management. All of th is work in AI is part of our Topaz offering and capability.
We are delighted to announce the strategic acquisi tion of a company in the engineering services space today. We continue to focus on our marg in program. We saw good impact during this financial year that we have seen in our results. As we look

at the start of FY25, we see the discretionary
spending and digital transformation work at the same level. We see the focus on cost efficiency and consolidation continuing.

External Document © 2024 Infosys Limited 3 Our large deal wins in FY24, will help us in FY 25. With that, our revenue growth guidance for the
FY25 is growth of 1% to 3% in constant curr ency terms. Our operating margin guidance for the FY25 is 20% to 22%.
With that, let us open it up for questions.
Rishi Basu
Thank you, Salil. Joining Salil is Mr. Jayesh Sanghrajka, Chief Financial Officer, Infosys.
With that, we have the first question from Ritu Singh from CNBC TV18.
Ritu Singh
Hi, Salil. Hi, Jayesh. First, just on your revenue guidance, on the lower end, you have actually lowered the guidance compared to the previous year, now at 1% to 3%. Give us a sense of what you have built into it - when you say deal wins have been the highest ever in FY24? What you expect, what your conversation with clients has been, what the pipeline is looking like?
And earlier, you had highlighted verticals like Hi-T ech, BFSI, etc., showing some weakness. Are you seeing some improvement there? Also, I think now for the fifth quarter in a row, the headcount has been coming down. Any outlook you could give us there as well?
And under your project Maximus, you have been wo rking on expansion of your margins, yet we are seeing in terms of guidance a similar range as the prev ious year. Tell us if this is a conservative estimate, both in the revenue and guidance?
Salil Parekh
So, I will start with the revenue. Jayesh will comm ent on a couple of the other points. On the revenue, what we are seeing is the environment, in terms of discretionary and digital work, is similar to what

we have ended in this year. We also had good traction in large deals, some of which will flow through in the next year, given the duration of those deals.

Keeping that in mind, our growth guidance for next ye ar is, as a band, higher than where we finished for this year. While the difference is small, it is still higher from w here we finished this year. As we go into the industries, we see, for example, financial services to see a better outlook in the next year compared to the past year. We see, for example, manuf acturing, while it will st ill grow next year, will have a slightly lower or slower growth than this y ear. So, there are some puts and takes in terms of different industries, and given the outlook with discretionary spend and digital work remaining same, and more focus on cost efficiency and consolidati on, we have created that revenue growth guidance.

 Jayesh Sanghrajka

Yes, so on the net headcount increases, if you look at it, when we started the year, we were at 77% utilization, including trainees. The gr owth environment also was different at that point in time. We had guided differently.

So, we had to realign some of those factors as the growth environment changed. Our utilization has now gone up to 82%, including trainees, 83.5% excl uding trainees. That is one of the tracks under Maximus as well.

Our attrition has also come down significantly. So that is the reason why you see a net headcount reduction. As we go forward, we always plan looking at what we are exiting in terms of utilization. We are still at 82% - 83% utilization, depending on whet her you are looking at it including or excluding trainees. So that still gives us some headroom because we have always said 85% is achievable utilization. So that is the headroom that we have. We look into guidance that we give, so that we bake in that. Attrition still remains very contained at 12.6%. So, we have that headroom.

And we also have changed in the last few years our hiring model significantly. So, we no more hire all the freshers from campus. We hire less than ha lf of them from campus and the rest we hire off-campuses. So,

we have that agile model. So, we wi ll look at hiring as the year goes through. We do not have a number to give at this point in time.

Ritu Singh

The question, sorry, on what the deal pipeline is l ooking like. You said some of the deal wins from last year will flow into this year. But the new deal wins, what sort of visibility do you have?

Salil Parekh

So, the deal pipeline, again, remains good. As you have seen in this past financial year, we did 90 deals at $17.7 bn. We have a good pipeline. The deals are more on cost and efficiency, and consolidation. That is the theme in our large deals pipeline.

Rishi Basu

Thank you. The next question is from Chandra Srikanth from Moneycontrol.

 Chandra Srikanth

Hi, Salil. I just want to understand why is there a divergence between your TCV numbers and the revenue growth numbers, not just for this year but al so for the next fiscal? Because if you are talking about record deal wins, why is it not translating to revenue growth? Is there a runoff in existing discretionary programs, which is why the revenues are getting impacted? If you can give us some color on that. Also, the guidance, I think it is going to disappoint analysts because a lot of brokerages were expecting between 2% to 6%. So, are you starting conservatively? Will you kind of review this every quarter? Do you expect the second half to be better?

Jayesh, just wanted to ask you on the pricing as well. At least the TCS management said that one of the levers that they hope to use is pricing because they see some opportunities there, because there has not been a price hike in a while. Is that something that you are hopeful of as well? And this is also the first time your headcount has declined on a full year basis in at least 20 years. So, what can we expect with respect to fresher hiring in FY25? Thanks.

Salil Parekh

Let me start off on the guidance with the large deal wins. There what we have seen is, there has been a good traction with the cost and efficiency and the consolidation nature of large deals. Whereas we see that digital program s or some discretionary work is still not as visible within the work we are seeing.

So, when we combine those two trends or those tw o views, we get the guidance that we have come with, which is the guidance as we start the year of 1% to 3%. So, from our perspective, we want to make sure that we reflect what we are seeing in t he market today. Now typically, at this time of the year, we have a good sense of the early part of the year.

And the second part of the year, we have a set of es timates that we work off on. We will see how that develops, because the macro environment is still got a mixed outlook at this stage. We are very

comfortable with where we see our large deals a nd the way we are winning those because we think we are benefiting from the consolidation. But there is the other side where digital or discretionary is still a bit slower.
Jayesh Sanghrajka
On the pricing, if you look at the Project Maximu s, one of the pillars that Salil had explained in the earlier calls is the value-based selling. And that track has done well. We are seeing encouraging results.

 One of the things that has helped move in this dire ction is the onsite inflati on. After many years, you are seeing an increase in onsite inflation, and th e clients are therefore more amenable to having a pricing discussion. You had a second question, sorry.
Rishi Basu
Hiring.
Jayesh Sanghrajka
So, as I said earlier, our hiring model has changed si gnificantly in the last few quarters, the last few years. We are now on a more agile model of campus hiring. We do more than half the campus hiring at times from off-campuses, right, or fresher hiring off-campuses. And we will embark on that. At this point in time, we are at 82% utilization. We still ha ve headr

oom on that. Plus, attrition is very low. So, we have not decided on the campus hiring numbers at this point.
Chandra Srikanth
What is your comfort level when it comes to utilization? Jayesh Sanghrajka
84% - 85% is what we have said is our reasonable, comforting level.
Rishi Basu
Thank you, Chandra. The next question is from Shilpa Phadnis from The Times of India.
Shilpa Phadnis
Can you help us understand how are you reading the U.S. environment now that you have the robust job growth? We are seeing higher inflation. A nd how do you see this demand environment? Are we missing something in reading this? I have a few more questions, I think, if you can help us with the response.
Salil Parekh
On the U.S., I think, as you have seen, we had a slower outlook in U.S., both in Q4 and the full year. In U.S., there are different things by different indust ries. So first, before that, at the higher level, with this sort of an economic situation, the expectation on what will happen with interest rates is also in flux.

 And so that - some of the capital-intensive businesses will benefit from that. That has some constraints to it. Others, we have seen -- for exampl e, we commented in the last couple of quarters on telco and hi-tech, also on financial services, w here there were places where there was concerns of slowness.
Now, those sort of things are visible today. Though, on financial services, we do see something better in the coming financial year than what we had in the financial year that has gotten over.
Shilpa Phadnis
Infosys has been very selective in terms of giving hi kes, so it is more meritocracy and top performers. So I just wanted to understand from you also the emphasis on tenure. Is it going to be a similar commentary this year as well? Is there going to be change?
Jayesh Sanghrajka
So, our last comp hike was in November. We have not decided anything for this year at this point in time. We will decide as the year progress es. We have not made any decision on comp yet.
Shilpa Phadnis
So, Project Maximus (Editor comment – wrong reference, intent was to refer to the cybersecurity incident) , last time the impact was about $30 mn. Now there is an update about how 6.5 mn people were affected because of the cybersecurity incident. Is there an update on the number in terms of how much has been the outgo? And secondly, is there a management action in terms of, from Infosys, on the McCamish leadership si de because of the cybersecurity incident?
Salil Parekh
So can you repeat the first part? I think I did not catch the first part.
Shilpa Phadnis
So last year, Infosys disclosed about $30 mn in terms of the cybersecurity outgo because of the incident.
Jayesh Sanghrajka
Yes, so on the cyber event, we did have an impact of $30 mn last quarter. We have a very small

impact this quarter. It is in the range of $7 mn - $8 mn. That is on the cost of all the expenses around the e-discovery, etc.

 Rishi Basu

Thanks, Shilpa. We will come back if there is mo re time. The next question is from Ayushman Baruah from the Business Standard.

Ayushman Baruah

Hi, Salil. How are you? So you mentioned that the trends in discretionary spending and digital transformation remains the same as such, right? So coul d you just throw some light on that as to still do you see some improvement in discretionary s pending in some sectors in FY25? And is digital transformation spending, do you still consider that to be a discretionary spending? That is first. Secondly, your competitors like Accenture, TCS, etc. have sort of quantified their Gen AI revenues. Is there any reason why Infosys is unable to quantify that? Thank you.

Salil Parekh

So, on the first one, I think the discretionary work or the digital transformation work, as you mentioned, we said the outlook remains similar fr om where we are e

nding the year. So we do not see the change. Now, having said that, some of the color by industry, we see financial services overall, so it is not just digital or discretionary like that, It is looking better in the coming year than in the year that is finished. Manufacturing is looking a li ttle bit slower, while it is still growing in this new year, compared to in the previous year, we had a very strong growth in manufacturing.

So there is some differences within industry, but the overall statement still remains on the digital and discretionary. On the Gen AI, we have an absolute leadership position in Gen AI. The type of work we are doing, for example, the 3 mn lines of code we have generated through a large language model in Gen AI is absolutely industry leading. The pr ojects we are doing, the work that we are doing with our partners. So if you look at some of the la rge tech partners, we are working closely with them to make sure that their platform works in differe nt environments well, whether it is a hardware tech platform or large language model platform. So thos e are the elements that we feel extremely good about.

We have put all of our service lines into the c hange of Generative AI, and we have built playbooks on how that can work. If you look at the way we have looked at the use cases, for example, whether it is in software engineering, on process optimizat ion, on customer support, on advisory services, on sales and marketing, these are detailed use cases wh ich we are working with clients on, where we are creating already some quite good impact.

 So, my sense is, this is a place where we have intern ally taken a view with Topaz of AI-first. And with our clients, we have that same sort of connect and commitment. So we feel good about where we are on Generative AI.

Rishi Basu

Thank you. The next question is from Reuters News, Sai Ishwar.

Sai Ishwar

Hi, gentlemen. So I just wanted to know, do you expect any incremental from the McCamish event? Like you have already shelled around $36 mn to $38 mn. We are also hearing disclosures from the client side from Fidelity, Bank of America and also has that restricted your relationship with any of these clients? That is first question.

And second question to Jayesh, Sir you had spoken about the pricing, right? So, as you said, the onsite is giving you more room to have this pricin g discussions. Is there any headroom you see, like probably 2% to 5% is the headroom you are work ing at with the price hikes? Thank you.

Salil Parekh

I will start with the second part of the first question. I think specifically on McCamish, we made or shared a disclosure some time back. And today in our statements, we have had a comprehensive statement which goes into the points that you are re ferring to. That is the statement that we should refer to with respect to McCamish. the second question was the pricing.

Jayesh Sanghrajka

On the pricing side, as I said, we have seen early and encouraging results on the pricing on the value-based pillar of the Maximus. We have not r eally quantified as to how much we expect in FY25 or beyond. Our endeavor of Project Maximus is in the medium term we expect to expand margins. So we are gunning for that irrespective of whichever pillar it comes from.

Rishi Basu

Thank you. Next question is from Sam eer Bakshi from The Economic Times.

Sameer Bakshi

Hello, sir. This cybersecurity incident, this has come at a time when you are expecting more number of AI and Gen AI projects, right? So is it concer ning you or are our client s concerned because of this

 event? Second, I want to know what is the tailwi nd you are getting in Europe where we are seeing
historical high of a decade?
Salil Parekh
The second question is about growth in Europe?
Sameer Bakshi
Yes.
Salil Parekh
Yes. So I will start with that.

I will come to the other one. So as you have seen again in Q4 as well
for the full year, we had a good growth in our Europe business. We continue to see Europe to be a good market for us as we go ahead. There is, of course, changes in t he economic environment. So we will see how that will affect what the bus iness will look like. But as a geography, we feel good about parts, different countries in Europe at diff erent levels. We have a very good traction, for example, in the Nordic countries. In the past, we have done an acquisition there. Subsequently, we have had also large client relationships building out there. And that is going quite well for us.
Rishi Basu
We have another question. First one.
Sameer Bakshi
Yes. The impact on Gen AI projects.
Salil Parekh
So there on Generative AI, you know, it is someth ing that is being built on cloud, on data and, of course, on cybersecurity. But the work we are doi ng there when Generative AI is really market leading and we are taking all of the learnings into it, especially on the data layer, because data has become the critical enabler for making Generative AI successful in an enterprise AI deployment. And so there, for example, making sure that the access to the data, making sure that the way it is put together and organized, making sure that it is used in the right way becomes more and more
important.

 Rishi Basu
Thank you. The next question is from Jas Bardia from the Mint.
Jas Bardia
Good evening, sir. So you have bought a German company which has about 180 mn in revenue. Now you have outlined a growth of 1% to 3% for this year. Considering that you will get 1% of growth from this acquisition, are you ac tually outlining a negative organic gr owth for the financial year? That is the first question.
Second one is, are you looking at bagging large vendor consolidation deals fr om two of your IT services peer, one of which is based in Europe cons idering that they are witnessing leadership churn at this moment.
And the last question I have is, in a meeting with No mura analysts on, I think, Feb 12 or 13, you had told them that the leadership bench is deep entrenched, that 50% of your 90 SVPs and above have been with the company for more than two decades. Now, what are some of the measures that Infosys is taking to retain this talent?
Salil Parekh
Okay, I will just go one by one on the first one. First, we are very excited with this acquisition. It is a fantastic company in engineering services space. It is a space where we are doing well. We think there is enough opportunity with the strategic platfo rm to build out even more in the automotive area. This acquisition is not included in our guidance.
And so, of course, we will wait because the acqu isition is announced today. Then it takes some time to close as and when that happens. Then it will be. So, today's guidance does not include anything of the acquisition.
I will go to the last one, the one with the leadership . So, leadership is we are really quite fortunate with the leadership team that we have in Infosys. We have over the last several years had many people within the company move up to higher and larger roles, and they have demonstrated what they can do and how they can deliver. So, we feel extremely positive with that bench and that we have a huge bench of leaders, even at different leve ls. One of the things that we have done, and this is going back several years, is focus on the leadershi p development within each different area of the company, whether it is on the sales side or the deli very side or the functions that work with those.

 And that is helping us. It is not like somethi ng that happened in the last 6 or 12 months suddenly.

This is something where people have been there in the company for years and years, and that has helped us. And what it d

oes is quite unique because that is the real difference of what we do with this 'One Infosys' approach.

When you have a team, let us say the leadership team or the company, who have known each other for 10, 15, 20 years in a professional capacity, t hey have a much better way of working together. And that is one of the reasons why we also win so many of these large deals, because we know these complex deals, how people can work acro ss geographies. So it is a huge, huge advantage that Infosys has, which may be very few companies may have.

Rishi Basu

Thank you. The next question is from Hari priya Sureban from The Hindu Business Line.

Haripriya Sureban

Hi guys. Salil, just wanted to understand if you could give more details on this interest in the ER&D space, consecutive acquisitions that we have seen to develop this space. Generally, you guys go for building capabilities organically. So why this inorganic approach? And do you think with these acquisitions, you will be able to go for different kinds of deals? Are you trying to build this expertise to, given this is the kind of a green spot right now in the market, is th is the kind of approach? And given Europe is doing well, is this an ac tive effort to reduce dependence on the American markets? And Jayesh, given the margin for, I think, the last complete financial year, the margin has been in the lower end of the guidance band that you hav e provided. Do you think in the next financial year, there would be possibility to reach the upper end? Thank you.

Salil Parekh

So, on engineering services, you are absolutely right. We think it is a very good space and a strategic space. As it happens, we have a very large business in engineering services already. So, in that sense, it is not like this will be the main thing that starts en gineering services for Infosys. However, it is a strategic acquisition in a space we want to go further and deeper into. They have incredible client relationships and actual work that they are doing.

We believe that combined with our depth in engineer ing services, their depth in automotive part of that engineering services, and then our broad cli ent relationships across whether it is in manufacturing, medical devices, telco, all applicat ions where we can put engineering services, this

 will be a huge multiplier for us. And it is a large-is h acquisition for us relative to what we have done.

So, we feel very good and quite excited about the acquisition.

Jayesh Sanghrajka

On the margin, whenever we have given a margin guidance, we have always looked at various factors, right. What is the margin that we are exiting at? We are exiting at 20%. You know, for the full year, we are at 20.7%. We also look at the compensation increases. We did a last compensation increase in November, so there is a full-year effect which will come in the next year plus the additional comp that we will do.

And then the tailwinds in terms of, you know, the optimization, etc, or the project maximus that brings in pricing, the efficient pyramid, nearshoring. Utilization is stil l a – there is a headroom, as we discussed earlier, in terms of utilization. So, we bake in all of those factors and come to a guidance.

At this point in time, we have given a guidance of 20 to 22. We are not guiding which part of the 20 or 22 we will be at.

Haripriya Sureban

Are you actively trying to reduc e dependency on American markets?

Salil Parekh

There, I think, first, Europe is doi ng well, as you pointed out for us, in the quarter and in the full year. We also, in another question, we discussed how we are doing well in some specific parts of Europe also. For us, the U.S. market is a critical strategi c market, and it will continue to be a very important market for us. So, the reason is not to do the diversif ication away from something. It is more to build on something that is working w

ell and continue with the U.S., which is also in a good, like a good size and place for us.

Rishi Basu

Thanks, Haripriya. The next question is fr om Uma Kannan from the New Indian Express.

Uma Kannan

Good evening, gentlemen. What kind of trends that you are seeing in client budgets? Are they growing, first thing? And second, you were talki ng about large deals. So, can you give some color on how your small deals are doing, like how it will be in FY25?

 Salil Parekh

So, on the client budgets, what we are seeing is, for ex ample, like the digital work or the discretionary work, the trends seem to be similar. Nothing seems to have changed, you know, between March and April or as you look out into this financial year . On some of the industries, we see some changes. For example, financial services, we are seeing sli ghtly better buying situation in the current financial year compared to the past one. Whereas, in manufact uring, well, it will st ill be growing,we see a slightly slower growth in the next fi nancial year. So, the trends, in that sense, are different by different industry groupings.
Uma Kannan
And what about your small deals?
Salil Parekh
Small deals, so first, we do not comment on the s pecific numbers and values of small deals. Having said that, we have a robust small deal business as well. This is not all of our revenue. We just comment on it externally because it is somethin g that gives a good indicator of how we are doing with respect to clients on large decisions.
Rishi Basu
Thanks, Uma. The next question is from Rukmini Rao from Fortune India.
Rukmini Rao
Thank you. I have two questions. One, you have m entioned that in-tech did about nearly €170 mn in FY23. What kind of margins is this company coming to you at? As in, has it has done over the last one year, operating margins of this company?
Jayesh Sanghrajka
So, we do not disclose the margins of acquired entitie s at this point in time. We have never disclosed that.
Rukmini Rao
But is there some indication that it is higher than yours?

 Jayesh Sanghrajka
We do not disclose the margins.
Rukmini Rao
Sure. Salil, also this ER&D acquisitions that you have done, you have many mid-cap companies that specialize in this vertical, right? And they are do ing their business at very good margins. So, what are you up against and how do you see sort of growi ng this segment? And is this, you know, the kind of margins that you have come out with, is this go ing to be something that will be driving your margins going forward? Is this a margin-driven acquisition that you are looking at?
Salil Parekh
So first, I mean, in terms of the size, it is not someth ing which will tilt things in terms of margin in a big way. Of course, having said that, our own busi ness in engineering services also is a good margin business. We think the client work is a very solid area of work, and it has a nice long-term potential. Because what is happening, as you know, the au tomotive companies are completely changing how they look at the building of that cars. Techno logy is within it. Engineering is within it.
We already have good expertise, and we want to expand on that and scale that up. So, we believe with our Infosys global brand, our cl ient relationships, and some of the capabilities that we have, plus the acquired capability, we will be a leader in this space as we go ahead.
Rukmini Rao
But what sort of incremental margins would y ou expect out of this in the next 2-3 years?
Salil Parekh
So, we have an internal, what we call it, a business case, but we do not share the margin view externally on that.
Rukmini Rao Sure, Salil, is there any sort of you know num bers you are working with on how the ER&D business is going to be?
Salil Parekh
Yes, so engineering services, we have a large bus iness today. This wil

l be a nice substantial
increase, but not a big, like it is not a majority. And we will continue to grow that. The market, the

 addressable market of engineering services is quite la rge. So we feel quite comfortable that we will
scale this thing over the next coming years into a multiple of that size in terms of the engineering services, because we have a good business in that place.
Rishi Basu
Thanks, Rukmini. The next question is from Padmini Dhruvaraj from the Financial Express.
Padmini Dhruvaraj
Hi, gentlemen. So, I have a couple of questions. On Gen AI deals, have you started to see contribution from those deals to your top li ne? Can you give us an approximate number? Since

COVID, you said that flexi hiring has been, you have been hiring a lot of flexi workers. So is this happening mainly in the Gen AI space? And your large deals have been robust, but why is there a discrepancy between revenue and margin guidance for FY25?

Salil Parekh

So I will start with the first one. On Gen AI, the work we are doing is quite comprehensive. We do not disclose the revenue element of that work external ly. However, what we are doing today is really working across a large number of projects with severa l of our clients on not just proof of concept, but on actual programs, which they are dep loying either across the enterprise.

So for example, we are doing things with a ban k where they are deploying an instance of a Generative AI, large language model, as a know ledge assistant, and we are the company helping them with that. So those are large programs with Generative AI, but we do not disclose that number externally. On the second one, it was about flexible hiring. And was it about Generative AI and flexible hiring? So, there is not a connection in that sense, meaning the flexible hiring was something we started independently to be more agile. Generative AI is something where, as an example, we have trained the vast majority of our employees at diffe rent levels of training, from awareness to depth. Eight out of ten of our employees are now trained in to Generative AI, but it is not to do with the flexible hiring.

Rishi Basu

Thank you.

Padmini Dhruvaraj

On the margins front.

 Jayesh Sanghrajka

So, as I said earlier, whenever we have given marg in guidance, we have baked into multiple factors. What is the margin exit trajectory that we have h ad, We are exiting the year with 20.7% for the full year, 20.1% for the quarter. And then we bake in what are the compensation headwinds that we are going to get. We have a headwind in terms of, you know we did a large compensation increase in November, so the full year impact is going to come now, as well as the additional comps. So those are the headwinds.

In terms of tailwinds, the growth that comes in, in terms of all the effort that we have put in Maximus across various pillars, prici ng, efficient pyramid, how do we get better utilization, lower subcontractors, deploying more automation and Gen AI on our projects. So, all of those are baked into the margin guidance at this point in time.

Rishi Basu

Thank you. With that, we come to the end of this Q&A session. We thank our friends from media for being part of this press conference. Thank you, Sali l. Thank you, Jayesh. Before we conclude, please note, that the archived webcast of this press conference will be av ailable on the Infosys website and on our YouTube channel later today.

We request our friends from medi a to join us for high tea outside. Thank you and have a lovely evening.

Infosys Limited
Earnings Conference Call
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 Moderator
Ladies and gentlemen, good day and welcome to Infosy s Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. Shou ld you need assistance during this conference call, please signal an operator by pressi ng star then zero on your touchtone phone. After today's presentation, there will be an opportunity for you to ask questions. To ask a question, you may press star then one on your telephone keypad. To withdraw your question, please press star, then two. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep M ahindroo. Thank you, and over to you, sir.
Sandeep Mahindroo
Hello, everyone, and welcome to Infosys Earnings Call for Q4 and FY '24. Joining us on this call is CEO and MD Mr. Salil Parekh; CFO Mr. Jayesh Sanghrajka and other members of the leadership team. We will start the call with some remark s on the performance of the company, subsequent to

which we will open up th e call for questions.
Kindly note that anything we say that refers to our outlook for the future is a forward-looking statement, which must be read in conjunction with the risks that the company faces. A complete statement explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov.
I would now like to pass on the call to Salil.
Salil Parekh
Thanks, Sandeep. Good evening and good morning to everyone on the call. For FY '24, our revenue growth was at 1.4% in constant currency terms. Our operating margin for
the full year was 20.7%. For large deals, we had an excellent year and the fourth quarter. For the full year, we were at $17.7 bn in large deals, comprising of 90 deals. For Q4, we had $4.5 bn in large deals, this is the highest ever large deal value in t he financial year for us. This is a reflection of the
trust our clients have in us. We see good traction in cost efficiency and consolidation yields.
For Q4, our year-on-year revenue growth was flat in constant currency and declined by 2.2% quarter-on-quarter. Our operating margin for Q4 was 20.1%. We had a one-time impact in Q4 that Jayesh will comment on.
We are seeing excellent traction with our clients fo r Generative AI work. We are working on projects across software engineering, process optimizati on, customer support, advisory services and sales

and marketing areas. We are working with al l market-leading open access and closed large language
models.
As an example, in software development, we have generated over 3 mn lines of code, using one of Generative AI large language models. In severa l situations, we have trained the large language models with client-specific data within our projec ts. We have embedded Generative AI in our services and developed playbooks for each of our offerings.
We are committed to ethical and responsible use of artificial intelligence. We became the first IT services company globally to achi eve the ISO 42001:2023 certification, testifying to our commitment to excellence in AI management. All of our wo rk in AI is part of our Topaz offering.
Our cloud work is growing well. We continue to wo rk closely with the major p

ublic cloud providers
and on private cloud programs for clients. Cloud with data is the foundation for AI and Generative AI and Cobalt encompasses all of our cloud capabilities.
Data is the other foundation for AI and Generative AI. We see data structuring, access, assimilation critical to make large language models and foundati on models to work effectively and we see good traction in our offering to get enterprises data-ready for AI.
We are delighted to announce a strategic acquisition of a company in the engineering services space this quarter. Some examples of the work we are doing, for a large U.S. company, we have engineered an enterprise-grade Generative AI platform that has been rolled-out to over 60,000 users.
We are working with a large bank and helping them roll-out an internal enterprise-wide, company-specific Generative AI instanc e of a knowledge assistant.
We continue our focus on our margin program. We saw good impact of this during the financial year.
Our employee attrition was low at 12.6%, down from 20. 9% in the previous year. As we look at the start of FY '25, we see the discretionary spending and digital transformation work at the same level.
We see focus on cost efficiency and consolidation continuing. Our large deal wins in the prior financial year will help us in FY '25 for our revenue. We also see normal seasonality as we plan this financial year in terms of guidance. With that, our revenue growth guidance for FY '25 is 1% to 3% growth in constant currency. Our operating margin guidance for FY '25 is 20% to 22%.
With that, let me hand it over to Jayesh.

Jayesh Sanghrajka
Thanks, Salil. Hello everyone and thank you for joining the call. At the outset, I must say this is an incredible privilege and honor to be the CFO of this ic onic organization and would like to thank Salil, Nandan and the entire Board for their confidence in me.
As I step into my new role, my areas of focus will be;
- further strengthen collaboration with bus iness to increase our market share,
- work with Salil and rest of leadership towards tighter execution and
- continue to steer Maximus program, expand operat ing margins and improve cash flow in the medium term.
Coming to our Q4 results,
Revenues were flat year-on-year in constant cu rrency terms. Sequentially, revenues declined by 2.2% in constant currency and 2.1% in dollar terms. During the quarter, we had a renegotiation and rescoping of contract with one of our financial services clients, which led to slightly over 1% impact

on Q4 revenues. While the part of the work got rescoped, over 85% of the contract is still with us.
FY '24 constant currency revenue growth was 1.4%. Normalized for the impact of revenues from the FS client, the revenues for FY '24 was within our guidance range of 1.5% to 2%.
Operating margin for Q4 was at 20.1%, a decline of 40 bps sequentially, bringing the FY '24 margins at 20.7%, well within the guidance band of 20% to 22% for FY '24. The major components of QoQ margin for the quarter are as follows:
Headwinds of 180 bps comprising of
- 100 bps for the one-time impact of contract renegotiation and rescoping,
- 80 bps from additional impact on salary increa ses, higher brand building and visa expenses,
partially offset by tailwinds of 140 bps comprising of
- 60 bps from lower post-sale customer support, lo wer provision for client receivables, etc,
- 40 bps from Project Maximus and
- 40 bps relating to Q3 impact from cyber incident.
Headcount at the end of Q4 was over 317,000, which led to further increase in utilization, excluding trainees to 83.5%. LTM attrition for Q4 reduced fu rther by 0.3% to 12.6%. Unbilled revenues dropped for the fourth consecutive quarter to $1.7 bn. This is a reduction of $291 mn in FY '24, which is reflecting in increased cash flows. Free cash flow for the year was $2.9 bn, which is a 14% increase over F

Y '23. Free cash flow for Q4 was extremely strong at $848 mn, which is the highest in last 11 quarters. This is a result of our focu s on improving working capital cycles.

 DSO for the quarter was 71 days compared to 70 days in Q3. Consolidated cash and cash
equivalents stood at $4.7 bn at the end of the quarter. Yield-on-cash was at 7.1% in Q4 and return on equity improved to 32.1%.
ETR for the quarter was 22.2% after accounting for favorable orders. We expect the FY '25 normalized ETR to be within 29% to 30% range.
We had another strong quarter in terms of large deal wins, $4.5 bn of TCV from 30 deals, including 2 mega deals, 44% of this was net new. We signed 8 large deals in communication, 6 each in BFSI and Retail, 4 each in Manufacturing and Life Scienc es, 2 in EURS. Region-wise, 16 were from North America, 10 from Europe and 4 from Rest of the World.
We ended FY '24 with our highest ever large deal TCV of $17.7 bn, comprising of 52% net new and 8 mega deals. This is a clear validation of relevance of our service offerings, deep planned relationships and leadership strength.
The Board has declared a dividend of `20 for FY '24 along with special dividend of `8 per share. With this, the total payout for FY 2024 will be 85% of FC F in-line with the capital allocation policy.
The Board has approved the capital allocation policy for the next five years. Effective FY '25, the company expects to continue the policy of retu rning approximately 85% of free cash flow cumulatively over a five-year period through a combination of semi-annual dividend and/or share buybacks/ special dividend, subjec t to applicable laws and required appr ovals. Under this policy, the company expects to progressively incr ease its regular dividend per share.
Project Maximus, our comprehensive margin expansi on program continued to run well across five pillars. This is reflected in more stability in marg ins for FY '24 over '23 compared to the previous year despite the headwinds from lower growth in FY '24. Some of the tracks where we have made progress are:
- value-based selling,
- automation and AI, and - sub-tracks within the efficient pyramid like lower subcons, higher utilization and higher nearshore.
We continue to focus on optimizing various tracks to increase operating margin in the medium-term.
Coming to the industry verticals,
We continue to see macroeconomic effects of high inflation as well as highest interest rates in BFSI . This is leading to cautious spend by clients who are focusing on investing in services like data, digital AI and cloud. Financial services firms are actually l ooking to move workloads to cloud. Pipeline and deal wins are strong, and we are working with our cl ients on cost optimizati on and growth initiatives.

 Manufacturing witnessed a double-digit and broad-based grow th in FY '24. There is increased
traction in areas like engineering, IoT, supply chai n, smart manufacturing and digital transformation. In addition, our differentiated approach to AI is hel ping us gain mind and market share. Topaz is resonating well with the clients. We hav e a healthy pipeline of large and mega deals.
In Retail , clients are leveraging Gen AI to frame us e cases for delivering business value. Large engagements are continuing in S/4HANA along wi th infra, apps, process and enterprise modernization. Cost take-outs remains primary focus.
Clients in Communication sector continue to be cautious with growth and challenges. New capex allocation remains under check, while the budget rema ins tight. We see opportunities in cost takeout,

AI and database initiative. Growth in coming quarters will be led by ramp- ups of previously won deals.
EURS clients are taking cautious approach with focus on cost optimization, AI-driven efficiency. We are witnessing more deals around vendor consoli dati

on and infra-managed serv ices. Deal pipeline
of large and mega deals is strong due to our sustai ned efforts and proactive pitches for cost take outs and digital transformation, etc., across subsectors.
Macro concerns in Hi-Tech continue leading to delays in dea l closures, decision-making and plans to repurposing spend. Discretionar y programs are kept on hold.
In FY '25, therefore, we expect growth to accelerate from FY '24 levels in Financial Services and Telecom verticals due to large deal wins. Manufactu ring sector while still showing a healthy growth, will see lower growth in FY '25. Hi-Tech is expected to remain soft.
Driven by our current assessment of business environment, including continued softness in discretionary spend and ramp-up of mega deals won ear lier, we expect FY '25 growth to be 1% to 3% in constant currency terms. Our operating marg in guidance for the year is 20% to 22%. Guidance for FY '25 does not factor in today's acquisition of in-tech.
With that, let me open the call for the questions.
Moderator
Thank you very much. We will now begin the question and answer session. The fi rst question is from the line of Moshe Katri from Wedbush Securities. Please go ahead.
Moshe Katri
Thanks. And Jayesh, welcome and congratulations in terms of your new role at Infosys.

 Moderator
Sir, sorry to interrupt you. Your voice is not comi ng clearly. May I request you to speak a little louder, please?
Moshe Katri
Yes. So my first question has to do with the J une and September quarters that tend to be seasonally the strongest in the industry. Can you provi de any color on sequential growth for March and June given your guidance for Fiscal '25?
Jayesh Sanghrajka
Moshe, this is Jayesh here, and thank you for the wishes. If you look at our guidance range of 1% to 3%, we expect normal seasonality which means that H1
would be stronger than the H2.
Moshe Katri
Okay. And then the fact that the Fed cutting rates is going to be kind of delayed and pushed out, and that is impacting demand for discretionary spending Are our clients also talking about, in the past few weeks the political instability in the Middle East? That is also one of those negative headwinds there?
Salil Parekh
Hi, Moshe. This is Salil. I think I understood the ques tion. We spoke a little bit about the outlook in terms of discretionary and digital, and I think your question is, the current Middle East situation, what clients are talking about.
So, in general, the sense we have had in discussions with clients is on the discretionary work and the digital transformation work, it is about the same mind-set as it was in the past financial year recently like in Q4, Q3.
Now I am sure we have not specifically heard any co mmentary on this situation, but I am sure that is something that people are thinking about. But it is one among many factors that are playing out is my guess.
Moshe Katri
Understood. Thank you.

 Moderator
Thank you very much. The next question is from the line of Ankur Rudra from JPMorgan Chase & Company. Please go ahead.
Ankur Rudra
Thank you and welcome, Jayesh, on the new role.
So first question is- Salil, the envir onment clearly appears difficult. Now the main thing that we find a bit difficult to understand is the lack of revenue acce leration despite very impressive large contract signings that you have enjoyed fo r close to a year now. Could you maybe elaborate a bit more on the persistent disconnect? And if the large deal signi ngs is something that we should pay attention to, if this environment continues?
Salil Parekh
So thanks, Ankur. This is Salil. What we are seeing , first on large deals is especially for cost efficiency

and consolidation, we are proving to be a good choice for clients, and that is where we are seeing a tremendous benefit for what is goin

g on.
Next, in terms of what we have given as guidance. So first, what we see is the digital transformation or discretionary thinking from clients is remaining si milar, which was slow in the past, in Q4, Q3, we see that continuing on. So that gives some of t he ways where revenue is less within our guidance outlook.
The large deals prove a positive part of that outl ook. And those are the puts and takes. Now we see in Financial Services, the coming year appears better. This is not because of digital discretionary alone. It is across the industry. Whereas on manuf acturing, which we had a good growth in FY '24, we are seeing – we will still have growth, but a slower growth in FY '25.
And those are the sorts of puts and takes, which give us this type of a guidance with some things which are supportive and some things which are constraining.
Ankur Rudra
Thank you for the additional color. I mean, maybe to ask you in another way, if you just report your large contract signings on your contracts above a cert ain threshold, if you were to look at the overall contract signing, would the momentum there be more similar to the revenue momentum we see?

External Document © 2024 Infosys Limited Salil Parekh
So there, we do not disclose the other non-large deal signings. Again, the overall color of the pipeline and the deal wins is good. But what it does not take into account is when some things on a digital transformation or on discretionary slow down. So that does not come into the game when you look at some of the deal wins and contract sizes. Th ose are the puts and takes that we see as we build the forecast for next year.
Ankur Rudra
Understood. Just one last clarification. The 100-bas is point impact you highlighted Jayesh, is that revenue impact a combination of the impact of t he rescoping, which is probably one time, and the penalty because it seems a lot more than 15% of one client?
Jayesh Sanghrajka
Hi, Ankur, thanks for the wishes at the beginning.
That 1% impact, or over 1% impact of revenue is reflecting into the margin pretty much directly in terms of 100 basis points. So that is the ma jority or vast majority of the impact.
Ankur Rudra
Okay. So that is not a revenue impact. T hat is a margin impact to clarify?
Jayesh Sanghrajka
No, it is a revenue impact. That is what I said. It is a revenue impact of 1%, which is flowing down to margins directly.
Ankur Rudra
Okay. Let me repeat. My question was 1% seems a lo t more than 15% of one client, because I think you have said you have retained 85% of scope. So this seems to be more than the impact of rescoping. Is that a one-time impac t, which will reverse? And then the rescoping only will be part of this. That was the question, essentially.
Jayesh Sanghrajka
So Ankur, when you re-scope, 15% of the work does not mean that 15% of the revenue goes away in one quarter. It depends on how much of work you had done, how much of the impact you are therefore taking. There is no penalty per se. It is a question of how much of work I have done and

External Document © 2024 Infosys Limited how much of that goes away pretty much. And that 15% has gone away in one quarter. So, it is 15% of the overall work, which got re-scoped.
Ankur Rudra Okay. I appreciate it. Thank you and best of luck.
Moderator
Thank you. The next question is from the line of Kawaljeet Saluja from Kotak. Please go ahead.
Kawaljeet Saluja
Hi. I have a couple of questions or maybe slightly more than that. The first question is on the guidance in itself. It has been more of quite a series of mi sses in FY 2024. What are the learnings you have incorporated when you basically have taken a stan ce or taking another stab at guiding for FY 2025? That is the first question.
Salil Parekh
Hi, Kawal. This is Salil. So what we have attempt ed to do in the guidance is look at what we have seen, for example, on digital work and discretionary wor

k, which is reducing or slow in the coming
financial year where we do not see the change. And then layer in what we see in terms of the large deal wins into FY '25.

And then as in most years, we have a view of s easonality where the H1 is stronger than the H2 for us at Infosys. Typically, we see t hat impact with a slower Q3, Q4. So that is how we have attempted to build the guidance that we put in 1% to 3%.

Jayesh Sanghrajka

If I may add, when we started the year last time, we were also coming from a very high-growth environment. So we had that kind of exit trajectory that was also helping from a guidance perspective, which was getting baked into the guidance . Today, when we are looking at it, we are coming out of a 1.4% growth, and therefore I believe that kind of a tailwind is not there in any case in the guidance.

Kawaljeet Saluja

Okay. Fair enough. The second question that I had is that can you detail the reasons or factors that led to the rescoping of projects with a large client ? Typically, your large deal s do carry execution risk.

 So what are the learnings from the past large de als that you have signed, which have incorporated
in the current crop of large deals here?

Salil Parekh

This is Salil. First, I think what we have seen across the board is we have had tremendous success in the large deals and various delivery of that. Some of the learnings we are putting in place, in general, not from a specific deal, is more to do with how we understand complexity, how clients look at complexity and how we make sure that we remain aligned in that. On the specific deal, there is no other comment. We have made a statement in all our press notes, but there is no other comment on that specific situation.

Kawaljeet Saluja

Okay. The final question that I had, Jayesh, is that last year, there was a mention that the endeavor would be to expand operating margins. I think the guidance band for FY '25 is unchanged. So is there a timeline of when -- within which you inte nd to expand or increase your operating margins?

And what are the factors or the type of environm ent that is required to push through the margin expansion as such?

Jayesh Sanghrajka

Yes. So Kawal, if you remember the last time as well, we had said our endeavor is to improve margins, our operating margins in the midterm. An d we still maintain that. We have not changed from that. The Project Maximus is in work. We have s een encouraging results, as you can see, even from the work of this quarter or the previous two quart ers. We have called out the benefit that we have got from Project Maximus.

If you look at FY '25 guidance and the puts and takes of that guidance, we do bake in the revenue growth that we are envisaging. On top of that, we had a comp flow-through of last year. We did our comp increase from November. So there is a fu ll year impact or additional seven-month impact coming in, in the next financial year, plus the comp that we will do for this financial year. So those are the headwinds.

And in terms of tailwinds, our utilization is still tad below our comfort level of 84%, 85%. Our subcons are still higher from where we thin k we can operate in an optimum le vel of 5% to 6%. On efficient pyramid we can improve role ratios.

In an ideal scenario, if the growth is better, the abili ty to improve role ratio is much better, but even in a constrained environment, we are improving thos e ratios. So those are the factors on efficient

 pyramid. On the Gen AI and automation, we hav e done a lot of progress and we are doubling down
on that. So I think all of those are baked in, in the current guidance of 20% to 22%. But our endeavor continues to improve operating margin in the midterm.

Kawaljeet Saluja

Okay. Thank you for answering my questi ons and wish you a good 2025. Thank you.

Moderator

Thank you. The n

ext question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh

Hi. Good evening. Thank you for taking my questions.

So my first question was on BFSI. So even if we adjust for this contract renegotiation, the vertical seems to have still declined by about 3% to 4%, wh ile some of your peers have started talking about recovery in BFSI and they have also seen the recovery in the March quarter. So is there something outside of this contract renegotiation also which happened in the vertical, which is specific to you?

Jayesh Sanghrajka

So Kumar, if you look at BFSI, I think one is we have a larger BFSI portfolio. Second is our discretionary share on the BFSI has been higher, and t hat is what is impacting our overall portfolio from the growth perspective. I do not think it is significantly different from the company overall headwind. BFSI also has similar headwind in terms of discretionary work that we do with the clients. In addition to that, we do have exposure to mortgages, etc., which has, as we have called out earlier, which has remained softer in this environment. But as you hear from us, we have called out that we expect BFSI in FY '25 to be better than FY '24. So we do see some encouraging outlook there.

Kumar Rakesh

Okay. And from the renegotiation part itself, is the impac t fully reflected in this quarter, or there could be more impact going into the next quarter?

Jayesh Sanghrajka

The impact is completely taken in this quarter.

 Kumar Rakesh

Okay. Got that. And my second question was around the margin guidance, which you have spoken about. So your global peers as well as domestic peer s, all of them have usually have spoken about margin expansion --confidence around margin expansio n this financial year itself. So I appreciate your target of medium-term margin expansion, but would you say you are confident of margin to have bottomed out around the levels where you currently are seeing? Or the kind of mix you have in the order book holds you back from gi ving any directional sense on that?

Jayesh Sanghrajka

Kumar, we are not guiding which part of the 20%, 22% we will be. As I said earlier, our endeavor is to improve margins from where we are, but we are not giving any other guidance. If you go back to the puts and takes, we do have some headwinds in terms of compensation, some of these large deals ramping up during this year as well as we have tailwinds co ming from pricing, coming from efficient pyramid, the automation and Gen AI we are deploying. So we will not leave any stone unturned on this project, but we have not yet guided in terms of where we will end up in this year within as well.

Kumar Rakesh

Got it Jayesh. Thanks a lot and best wishes in your new role. Jayesh Sanghrajka

Thank you, Kumar.

Moderator

Thank you very much. The next question is from the line of Keith Bachman from Bank of Montreal. Please go ahead.

Keith Bachman

Hi, good evening and good afternoon. I also wanted to ask two questions that are related, and I will ask them together. The first is could you just talk about how you see utilization trends unfolding this year? It seems to me that with the way market fa irly weak that the utilization should go higher. And similarly, that wage hikes with the market being fairly weak on the employment front across many parts of tech, and that it seems to me that wage hikes should be lower. And maybe I will just

 stop there and then I will ask my follow-on question. If you could just talk about those specific puts and takes that would influence margins?

Jayesh Sanghrajka

Yes. So Keith, if you look at our utilization, our utilization including trainees was at 77% last year, which has gone up to 80.7% for the full year, and we are exiting at 82%. So that clearly shows a significant 5-point increment from the utilizat

ion perspective. We have been able to deploy a large number of freshers back to production. So that is on utilization. Our comfort level on utilization excluding trainees is around 84%, 85%. So we still have some headroom there.

On the compensation, whenever we decide on compen sation, we take multiple factors in account like inflation, peer practices, etc. So we will take all of that into account during the year when we decide on compensation. At this point in time, we have not decided on the quantum or the timing as we just did our last compensation in November last year.

Keith Bachman

Okay. Well, this surprises me – I will make a statement, and then I will ask my follow-up question. For the tepid revenue growth, I am surprised that margins would not go higher during the course of the year relative to this past year given those forces and others.

My following question though relates to Gen AI, and there is two parts to Gen AI, the demand side and supply side. So I am not asking about demand. On supply side, are you factoring in increasingly Gen AI as you are undergoing software development ac tivities on behalf of your clients, is that helping your productivity yet or is it still too early?

And along with that, if you are using Gen AI to facilitate or enhance your efficiency on co-development, is that a negotiation that is starting to unfold with your clients that they are asking for lower billing rates, if you will, related to that e fficiency. Is that happening yet or is it still too early?

Salil Parekh
So thanks for that. This is Salil. On Generative AI , on the projects we are working on, we have already seen benefits on productivity in software engineering. What we have seen there is, really more focus on a narrow dataset. In this case the software capability within an enterprise, within a client base, is not, sort of broad-based today. And there, we are seeing impacts and benefits.
What we see is typically, we have not seen so far the rate discussion, but we can certainly see in some instances, benefits where clients can do more work in terms of creating more output for the

 same type of effort. So there is definitely a pr oductivity benefit. But we have not seen something
which has come back on the rates in that sense.
Keith Bachman
Okay, perfect. Many thanks for your help and best of luck during the year.
Moderator
Thank you. The next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria
Hi. Thanks for taking my questions. My first question is with respect to the ramp-up of some of the mega deals that was supposed to start towards the back half of fourth quarter. Have you seen them starting on time? And do you expect these to kind of create some momentum in the coming quarters?
Jayesh Sanghrajka
Hi, Gaurav. So what we had envisaged at the begi nning of the quarter of the mega deal starting in Q4 have started as planned.
Gaurav Rateria
Got it. Secondly, on guidance visibility, typically, w hen you start the year you have a certain level of visibility, maybe let us say, 65, 70, whatever that number is. Given that you are entering this year with significantly larger deal wins, would it be fair to say that visi bility would be slightly higher than the usual year for FY '25?
Jayesh Sanghrajka
So Gaurav, you know if you look at over t he years with the portfolio mix changing where our discretionary portfolio has become larger in terms of our portfolio mix, the visibility has obviously come down from the annual perspective. Some of these projects are short duration, etc. and discretionary in nature. So to that extent, you do have that lack of visibility, if I may use that word, versus the years earlier. But yes, compared to that, if you look at the large deals, large deals does
benefit from a long-term perspective.

 So,

you do have a foundation of large deals, but at the same time you do have smaller deals which are discretionary, where we are still seeing so me of them are being reduced or being stopped or scaled out.
Gaurav Rateria
Okay. Last question on your comment on one of t he drivers for margin medium-term improvement was Gen AI related, automation related savings, how confident you are to retain these savings as quite possibly these get renegotiated over a period of time and the clients kind of extract that back
from the vendor? So just trying to understand is, is this going to be sustainably an important driver for margin improvement in the medium-term? Thank you.
Jayesh Sanghrajka
So Gaurav, I think there the things will evolve over a period of time. At this point in time, we are able to retain part of automation, AI, Gen AI part of the work that we are doing. But yes, how it will evolve over a period of time is yet to be seen.
Moderator
Thank you. The next question is from the line of Bryan Bergin from TD Cowen. Please go ahead.
Bryan Bergin
Hi, good evening. Thank you. First one on the workforce. So understanding you have still some room for utilization to move higher, but do you expect t hat the June quarter headcount might stabilize or may that still be declining sequentially?
Jayesh Sanghrajka
So Bryan, on the utilization, we are currently at 82%%, excluding (Including) the trainees and 83.5% including (excluding) trainees. So, we still have a headroom there. As I mentioned earlier, we think we can go up to 84%, 85% utilization.
Bryan Bergin
Okay. So implying headcount may continue to decline se quentially, if that is the case and just a normal course on attrition?

External Document © 2024 Infosys Limited 18 Jayesh Sanghrajka
And coming back to your other question on headcount. If you look at through the year, we started the year with 77% utilization including trainees and the demand environment was different. So we had a different expectation. Through the year, the demand environment has changed. So that has impacted the need of headcount.
The attrition has significantly come down. We ar e now trending at around 12.6%. Plus, we got some benefit from our value-based selling in terms of pricing. So, all of that has also resulted in lesser requirement in terms of headcount. And that is why you see a net negative.
Going forward, again, as I said, we still have some headroom on utilization. So we will tap into that. We will look into demand and over the years we have moved to an agile hiring model where we can hire a large number of freshers off the campus. So we will tap into that as required as we go through the year.
Bryan Bergin
Okay. I appreciate that detail. And then just on backlog. So you continued to post really strong large deal signings. It is clearly not yet converting to re venue at the same pace, but maybe we can dig in a little bit on backlog trends. Has there been any ma terial backlog degradation or leakage? Is it just significant widening in average duration? Just anyt hing you do to help us understand some of the moving thoughts to better understand the revenue growth?
Jayesh Sanghrajka
I do not think there is anything beyond what Salil ment ioned earlier in the call, in terms of discretionary coming down. There are no material large deals being stopped, etc. So it is just a discretionary ramp down that is resulting into this.
Bryan Bergin
Great. Thank you.
Moderator
Thank you. The next question is from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

External Document © 2024 Infosys Limited 19 Ashwin Mehta
Thanks for the opportunity. I would like to ask this question a different way. You have close to $9.2 bn of net new deals in FY '24. In addition, you wi ll have net new from smaller deals as well, which you do not report. And in addition, there will be more deal signings in FY '25. Plus, you have indi

cated
most of the 2Q deal flow will ramp in FY '25. So assuming whatever duration, ideally the you're the guidance should have been more, but where are the l eakages in the existing business? And is discretionary demand worse in FY '25 versus FY '24?
Salil Parekh
This is Salil. Let me start. I think the point on the discretionary outlook, on digital transformation outlook, we find it similar to what we have been seeing in this Q4 and Q3. So we do not see a change in that. And that is what we factored into how we build the guidance, keeping in mind some of the benefits of the large deals.
Ashwin Mehta
Okay. And my second question was in terms of the 100 bps impact on margins because of renegotiation. Will that reverse immediately for us in 1Q? Or will it take time in terms of recovery?
Jayesh Sanghrajka
So Ashwin, this is Jayesh here. This is one- time impact because of rescoping and renegotiation. There is no reversal happening of this.
Ashwin Mehta
Okay. And the last one, if I can squeeze, the agile m odel of hiring is for fresher s, which would typically take 6 to 9 months to get productive. So, is there a need to hire laterals as you go forward? Or from this year's perspective, given where our guidance is, lateral hi ring will be pretty limited?
Jayesh Sanghrajka
The lateral hiring, you do not really need to plan a year in advance. In offshore, you can hire technically laterals 2 to 3 months ahead of time. And on site, you can hire 1 to 1.5 months ahead of time. So that is how we will keep tweaking the model as we go through the year. So, we have baked in what we see in terms of demand today an d if the demand environment changes, the hiring numbers will change accordingly.

External Document © 2024 Infosys Limited 20 Ashwin Mehta

Okay, fair enough. Thanks a lot and all the best.
Jayesh Sanghrajka
Thanks Ashwin. Moderator
Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah
Thanks for the opportunity. My question is in terms of the impact on discretionary projects. If you look at the pace of the growth slowdown for Infosys and maybe for industry, has started from 4Q of FY '23, and most of the reasons cited by you and the others are decline in discretionary spend which is impacting five quarters in a row for the industry in terms of the discretionary spend. So the question is whether the pace of decline, the leakage in the discretionary projects entering FY '25, would be similar to what we have seen in whole of FY '24, starting with the 4Q FY 24 with weak exit rate?
Salil Parekh
This is Salil. I think what we are seeing is the wa y clients are looking at their discretionary work or digital transformation work is quite similar to the recent quarter. So we have no comment specifically on things which were like from three, four quarters back. We are more seeing how it is changing or not changing in like Q4, Q3 versus what we are seeing today for the next period in FY '25.
Sandeep Shah
Okay. And the second question, Jayesh, just wanted to understand regarding the reversal of 100 bps on the revenue. What could be the impact related to 1Q to 3Q or earlier quarters, which has been accounted in the fourth quarter, which could have been reversed in the first quarter of FY '25?
Jayesh Sanghrajka
Sandeep, this is a renegotiation and rescoping that has happened this quarter, and the impact is taken in this quarter. We have not broken down into how much of this quarter and how much of the prior quarters.

 Sandeep Shah
Okay. But is it fair to say fourth quarter will al so include some reversal of the earlier quarters?
Jayesh Sanghrajka
We are not breaking it down further, Sandeep. Sandeep Shah
Okay. Thanks, thanks and congratulations, Jayesh.
Jayesh Sanghrajka
Thank you, Sandeep.
Moderator
Thank you. The next question is from the line of

Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal
So what I wanted to ask was that if I look at this line item called third-party items bought for service delivery to clients, which is essentially what we call the pass through revenues. Now that has increased significantly over the pas t three years from 4.5% to 7.5% . Now in the earlier quarters, you have called it out that it is now a strategic part of our business.
Be that as it may, this changing nature of the business in which this is becoming an increasingly higher part of our revenue, does that impact our abi lity to expand our margins from the levels that they are today? Because these, as far as, we know these come at very littl e margin as compared to the overall company margin. And is this a change that we can expect to continue, and this line item to continue increasing as a percenta ge of revenue going forward as well?
Jayesh Sanghrajka
So Vibhor, if you are undertaking transformational large mega deals, it comes with all the costs. It is not only effort cost. It comes with hardware softw are costs because you are taking over the turnkey project from the client, and that becomes an integral part of the project delivery. And as a result, you have to procure some of that and provide the end-to- end services to the client, and that is where you see this cost.

 The good part about this is that, these kind of businesse s become very, very sticky business with
long-term commitments from the cli ent and so it is a long-term business. So far as we are making overall margins on the deal, that is how we look at it. We do not look at it whether it is third-party costs or subcon cost or effort costs only. We look at it whether we are making an overall margin on
the deal while deciding whether we want to go for a deal or not.
More importantly, most of these deals that we have taken, we have got much more work from them or significantly more work from them in the su rround environment from the client, which is how we look at it as a portfolio of the business.
Vibhor Singhal

Got it.
Jayesh Sanghrajka
We do not have a view in terms of the whether it wi ll remain at the same level or elevated level. It will depend on the kind and nature of the deals and how we sign it in the future.
Vibhor Singhal
Got it. I think you pre-empted my next question. Thanks for that. But just one more question on the subcontractors. Subcontractor actually came down over the past couple of years from an overall percentage point of view. But it is still, I would say, higher than what we have historically done pre-COVID numbers.
So where do you believe, where are we comfortabl e with this number? And given that generally at this point of time, given the revenue growth is quite low, the demand environment in terms of our work that we require is not that high, given our gui dance of 1% to 3%. Do you believe there is scope for further reduction in the subcontracting cost from the current levels? Or do you believe that 8% that we are today, you have kind of hit the number that -- hit the bottom and is probably going to stabilize at this level?
Jayesh Sanghrajka
So Vibhor, this is one of the tracks under Projec t Maximus, under the efficient pyramid of reducing subcontractors. We have reduced subcontractors from the peak of last year by almost 3%. Historically, in the past, we have operated in 5% to 6%. So we believe there is some headroom to bring that down.

 Vibhor Singhal
Got it. Great. Thank you so much for taking my ques tions. That is all from my side and wish you all the best.
Jayesh Sanghrajka
Thank you, Vibhor.
Moderator
Thank you. The next question is from the line of Surendra Goel from Citigroup. Please go ahead.
Surendra Goel
Good evening, everyone. So I joined the call a bit la te, so apologies if this has bee

n answered before.
But this case of projects or contract restructuring, rescoping, is this like an isolated incident? Or are you seeing multiple examples with this bei ng the only significant one to really call out?
Jayesh Sanghrajka
So Suren, this is one we have called it out, it is one-time impact of a large contract in Financial Services client. It has impacted our revenues by over 1% and therefore, margins are impacted by 1%. It is a renegotiation and rescoping of an existing contract.
But at the same time, if you look at it over the last few years, we have got additional work from the client and the 85% of the work under this deal is stil l continuing with us. So that is all I can offer at this point in time to comment on this specifically.
Surendra Goel
Jayesh, my question was, is this an isolated in stance or are you seeing more such deals getting rescoped and impacted?
Jayesh Sanghrajka
The reason I say it is one-off, one-time impact. It is an isolated impact. We hav e not really seen any other large contracts being rescoped or renegotiated.
Surendra Goel
Right. And does Gen AI have any role to play in such rescoping of contracts?

 Jayesh Sanghrajka
The reason behind this rescoping or renegot iation has nothing to do with Gen AI.
Surendra Goel
And one last question. Like how do you really bake such things into your guidance process, right? Like would you be kind of baking in some kind of costing into the guidance? Because obviously, rescoping seems to be a common theme, which was mentioned by another large peer of yours recently. So is there additional kind of impact bui lt in or this is a risk as it comes along?
Jayesh Sanghrajka
So when we give guidance, Suren, we look at what is visible at this point in time. We bake in everything in terms of -- we know that the discre tionary is going, so we have baked that in. We know the large deals that we have signed, so we have baked it in. We do not expect -- this is one-off incident, so we do not expect any large incidents like that, so that is not really baked in.
Surendra Goel
Fair enough. Thanks a lot, Jayesh. Thank you. Jayesh Sanghrajka

Thank you Suren.
Moderator Thank you. The next questi on is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan
Yes. Hi. Good evening. Thanks for the opportunity. So Salil, you mentioned that the discretionary spending environment is similar to that of Q3 and Q4, and there is no change. Is it considering that Q3 and Q4 have seen higher declines versus the other quar ters of FY '24, is it fair to assume that Q3, Q4 from a discretionary spending perspective has been the worst versus the whole of FY '24 and we are basically assuming that, that kind of a situation is sort of continuing through FY '25? That is the first question.

 Salil Parekh
So on what we saw in Q3 and Q4 is, obviously in our normal year, there is differences between Q1, Q2, which are typically stronger than Q3, Q4. So th ose are things to be layered into any view that we have.
Looking backwards, we do not have any specific co mment on which quarter or where things were. We have talked, as you know, probably on starting with Q1 or even Q4 the prior year, this sort of a view, but we have not given, let us say, quantificat ion of which quarter was where in that sense. Having said all of that, the general perception or the general observation we have is things changed little by little by industry as well and things evolve across geography as well. So there is not like one picture that is there. We are more looking at it from that immediacy of the recent discussions we have had with clients to what we are having now for the future work.
Nitin Padmanabhan
Yes. And is this discretionary headwind more specif ic or, let us say, are more pronounced in BFSI? Is there any such trend

or is it broad-based?
Salil Parekh
No, nothing which is like that very specific on BFSI.
Nitin Padmanabhan
Sure. And lastly, see our utilization is at 83.5%, excluding trainees, and we think it can go up to 85%. Now usually, at least over the last many years, pullback in discretionary has always been pretty sudden. So are we risking opportunity by maximizing on utilization? Is that something to worry about, is just a question out there.
Jayesh Sanghrajka
So as I was saying earlier in the call, we have moved to an agile hiring model. If you look at it in FY '23, '22 numbers of fresher hiring, more than ha lf of the freshers were hired through off-campus cycles. So, we have that ability to dip into. We are at 82% including trainees and 83.5% excluding trainees for the quarter. So that is where we are exiting.
So we still have, looking at including training nu mbers, we still have 2% to 3% of headroom. Our attrition is still at a much subdued levels of 12.6%. So we do not see that as an additional stress as well.

 So we will calibrate this as we go through the quar ter and year and take corrective actions. Of course,
if there is a need, we can always dip into subc ontractors to capture the demand and replenish that through hiring. So all of those tools are available to us to capture demand if there is a sudden change.
Nitin Padmanabhan
And lastly, from a margin perspective, at least in the near term, this 100 bps will be a tailwind and a non-recurrence of visa cost will be a tailwind. So there should be a pickup in margin, at least in the near term. That is a fair assumption to make? Or do you foresee any other headwinds?
Jayesh Sanghrajka
Yes, I did give a margin walk at the beginning of the call as well. We had some tailwinds in this quarter as well, from the lower pr ovision for doubtful debt, provision towards client collectibles as well as from post sale customer support. These ar e the tailwinds this quarter, which will become a headwind in the near term. So I think you have to factor all of those when you are looking at headwinds and tailwinds.
Nitin Padmanabhan
Sure, Perfect. Thank you so much, Jayesh, and all t he best and congratulations for the elevation. All the best for the year.
Jayesh Sanghrajka
Thank you so much. Moderator
Thank you. The next question is from the line of Prashant Kothari from Pictet Asset Management. Please go ahead.
Prashant Kothari
Yes, hi. Thank you for the opportunity. My question was on this contract renegotiation, rescoping thing. For one contract to make such a large di fference of 100 basis poin ts on revenues, you mean that the contract nets to like 6%, 7% of our reve nue base, which seems just impossible to me. What

am I missing here? If you c an help me understand, please?

External Document © 2024 Infosys Limited 27 Jayesh Sanghrajka

So Prashant, it is a renegotiation and rescoping of a large contract. I do not think we are giving any further color on this. So it is a large financial services contract.

Prashant Kothari

But this 100 basis points, is it like an accumulation of impact of several quarters in this one quarter? Or this is just pertaining to this quarter alone?

Jayesh Sanghrajka

When you renegotiate a contract, you will have one-time impact on that coming from that. If it is a fixed-price contract, when you renegotiate, that is likely to happen irrespective of whether it is accumulated or not.

Prashant Kothari

Okay. Understood. And the second question was on your margin kind of trajectory. Salil when you joined in, the margins used to be like a band of 23% to 25%. I think it was lowered to 22% to 24% soon after you joined and now we are operating in a band of 20% to 22%. Just want to understand - is it a function of the large deals that have gone up a lot in our business mix or something else? Just kind of looking from that point to today, what

has changed in the business complexion which is
leading to this lower margin, obviously, over a number of years, not just overnight?

Jayesh Sanghrajka

I think, Prashant, there are a number of factors on that. When we had an elevated level of attrition as well as elevated level of demand, we had to hire employees at a premium from the market. The demand-supply equation has changed in the last two quarters. So that was one factor even during the high-growth environment.

The other factors are the business mix as well, the pricing pressure that we had on the core part of the business. So I think there are multiple factor s that has played over a longer tenure period that you are talking about. I have been here for almost 11 years. So I am assuming that you are talking about since I joined.

But coming back to your questions in terms of wher e we see, our endeavour is to grow margins from where we are today. We have said that in midter m, we want to expand our margins from where we are. So there is everything that we are doing to improve margins.

External Document © 2024 Infosys Limited 28 Prashant Kothari

All right. Okay. Thank you much.

Moderator

Thank you very much. Ladies and gentlemen, we will take that as a last question. I will now hand the conference over to the management for closing comments.

Salil Parekh

Thank you.

So thanks, everyone, for joining in. A few comments fr om my side. This is Salil. First, we are really excited. Our large deals were at $17.7 bn in the y ear, largest that it has been in any financial year. Very focused on cost efficiency consolidation with 90 deals overall.

Second, we are doing incredible work in Generative AI. We are really excited with the opportunities here. We are working across different areas of im pact. One of the examples of 3 mn lines of code that we have developed through Generative AI large language model is just amazing types of results we are seeing at this early stage of the Generative AI opportunity.

Next, our margin program is working well. We are excited about it. And we want to keep our focus on it with a view to expand our margins over time . We are really excited about the acquisition we have done in engineering services. It is a phenomenal growth area. It is in a market we understand well. We are doing quite well in the European market, and it is a space even within engineering services, more narrowly on automot ive, which looks really good.

One of the things we did not talk maybe a lot about in the call, but I just want to highlight is we had extremely strong cash generation at $2.9 bn for the full year. With all of that, we are really looking forward to delivering our growth and margin guida nce for this coming year, and looking forward to more and more work that we see through all of thes e different activities. Thank you all for joining us and catch you at the next quarter call.

Moderator

Thank you very much. Ladies and gentlemen, on behalf of Infosys, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2024

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

July 23, 2024
Dear Sir/ Madam,
Sub: Transcripts of the press conference an d earnings call conducted after the Meeting of Board of directors on July 18, 2024

Please find enclosed the transcripts of the press c onference and earnings call conducted after the Board meeting held on July 18, 2024, for your information and records. This information will also be host ed on the Company’s website, at
https://www.infosys.com/investors/reports -filings/quarterly-re sults/2024-2025/q1.html .

The audio/video recordings of the press conference and earnings call are also made available on the Company’s website, at https://www.infosys.com/investors/r eports-filings/quarterly-results/2024-2025/q1.html.
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha

Company Secretary
ACS-21918

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Infosys Limited
Media Conference Call
July 18, 2024

CORPORATE PARTICIPANTS:

Salil Parekh
Chief Executive Officer and Managing Director

Jayesh Sanghrajka Chief Financial Officer

Rishi Basu
Corporate Communications

JOURNALISTS

Ritu Singh
CNBC TV18

Haripriya Sureban NDTV Profit
Veena Mani
Times of India

Chandra R. Srikanth Moneycontrol

Sameer Bakshi
Economic Times
Beena Parmar Economic Times

Padmini Dhruvaraj
The Financial Express

Haripriya Suresh
Reuters

Jas Bardia
The Mint

Sanjana B
The Hindu Business Line

Sonal Choudhary
Deccan Herald

Rishi Basu
A very good evening, everyone and thank you for joini ng Infosys' First Quarter Financial Results. My name is Rishi and on behalf of Infosys, I would like to welcome all of you. As I always do, I request one question from each media house to ac commodate everyone over the next hour.
And with that, let me invite our Chief Executive Officer, Mr. Salil Parekh, for his opening remarks. Over to you, Salil.
Salil Parekh
Thanks, Rishi. Good afternoon and thank you all for be ing here with us today. We started the financial year with a strong performance in Q1 across mu ltiple dimensions, including broad-based revenue growth, expansion in operating margin, strong large deal wins and strong cash generation.
Our revenues for the quarter grew 3.6% sequentially and 2.5% YoY in constant currency terms. I am particularly pleased with 7.9% growth in the fi nancial services segment, where we are seeing improvement in client spend in North America. All geographies and most industry groups grew sequentially.
Volume growth turned positive after several quar ters. We had another strong quarter of large deal wins with 34 large deals at a total contract value of $4.1bn. Our clients see us as a preferred partner of choice in consolidation, cost takeout and effici ency opportunities. This is also a reflection of our leadership strength.
With the mobilization of our margin program, we see positive impact on operating metrics. This resulted in our margin expanding by 1 (percentage) point sequentially. Free cash flow was highest ever at $1.1bn. We continue to see strong trac tion from our clients fo r Generative AI programs delivered through Topaz. Enterprise s are focused on their own datasets that can be used in Generative AI large language models that create huge impact for them.
Along with our overall robust performance in Q1 and strong opportunity pipeline, we are seeing early signs of improvement in financial se rvices vertical in the U.S. Whil e discretionary spends continue to

be under pressure, our highly differenti

ated offeri ngs around driving efficiencies at scale and the
transformation capabilities around Generative AI have positioned us well in this market.

 With respect to our recent acquisition of in-t ech, we have received the required approvals and have closed the acquisition transaction. Given our strong performance in Q1 and our current outlook, we have revised our revenue growth guidance for the full fi nancial year to 3% to 4% growth in constant currency terms. Our operating margin guidance for the financial year remains at 20% to 22%.

With that, let us go ahead with the questions. Thank you.

Rishi Basu

Thank you, Salil. We will now open the floor for ques tions. Joining Salil is Mr. Jayesh Sanghrajka, Chief Financial Officer, Infosys. With that, the first question is from Ritu Singh from CNBC-TV18.

Ritu Singh

Hi. Ritu from CNBC. Thank you for the question. A huge upgrade in the constant currency revenue guidance, 3% to 4%. So firstly, while you highlighted in financial services in the U.S., you are seeing some signs of a pickup. Overall, what is your sense on discretionary spend coming back? Where are the verticals, you continue to see weakness?

And was all of this upgrade organic or have some of your past acquisitions that you have now completed had some role to play in this upgrade t hat we are seeing? Also, your margins are up about 100 basis points over the previous quarter. I just wanted to understand, is there headroom for further growth when you are expecting to take the wage hikes, etc.?

And just one more question, if I may on your headcount. As we have been asking you for the past several quarters, its now six quarters, it is been coming down. What are your hiring plans for the year, if you could just throw some light on that?

Salil Parekh

Thanks for your question. Let me start with the fi rst one. On the guidance, the way we see what is going on in the market and our guidance. First, we had a strong performance in Q1 on volumes, as well as the point that we made on financial services in the U.S.

Second, we had a very strong perform ance on large deals in Q1, which gives us more visibility into this financial year. And third, we completed the in-tech acquisition, which also helps us in this guidance. And Jayesh will give some color on the specifics with in-tech as well. On the margins, Jayesh, will you?

 Jayesh Sanghrajka

Yes, so if you look at this quarter's margins, we have already expanded our margins by 100 basis points. If you look at the put-and-takes of that, almost 100 basis points came from last quarter's normalization. Last quarter, we had one-off, which im pacted our margins. We had 80 basis points coming from Project Maximus, which is our margin expansion program, on the back of better pricing, which is value-based selling, better benefits from our e fficiency pyramid, which is utilization, etc., and 40 basis points came from one-off benefit that we got in this quarter from one of the clients on revenue side. So those were the positives. On the headwinds, we had 1.2% coming from better variable pay and higher leave and other costs, resu lting in almost 1% margin expansion for the quarter. The Project Maximus as you know, we are working on it for the last couple of quarters and it has started showing results. Our long-term – m edium-term objective on that is to expand margins from where we are. This year's guid ance continues to remain 20% to 22%.

Coming back to your last question on the headcount, as you know last multiple quarters, we have moved to the agile hiring base. That basically means we hire freshers both from the campus and off the campus. This quarter we had a 2,000 person net decline, which is lower than the previous quarters. Our utilization is already at 85%, so we have a little headroom now left. So, as we start seeing growth, we will l

ook at hiring. We are lo oking at hiring 15,000 to 20,000 freshers this year, depending on how we see the growth.

Ritu Singh

On the first question, when you say the in-tech acqu isition also played a role in you upping your guidance, could you give us a clear breakup, how much of it is coming organically and how much inorganically?

Jayesh Sanghrajka

So, we do not break up guidance, first of all, betw een acquisition and non-acquisition. But if you look at the disclosure that we made when we acquired in-tech, the annual revenue of in-tech was around €170 mn. So you can in a way, back calculate. But we do not really break up how much of guidance

is between organic and inorganic.
Rishi Basu
Thanks, Ritu. The next question is from Haripriya Sureban from NDTV Profit.

 Haripriya Sureban
Sir, could you give us a broader sense on the demand environment when it comes to other regions than America's? And what is happening on the prici ng bit? What has changed since the last quarter? What gives you the confidence in terms of like upping the guidance?
Salil Parekh
I will go with the first point on the demand environm ent. In other regions what we see is we have continued to see good growth. First, sequential grow th was good across all the geographies. But we see good demand, in this sort of an environment, in the European market where we have had good traction and we have also had some of our lar ge deals ramping up in that environment equally in what we see in the U.S. or the North American ma rket as well. So, both of those we are seeing good traction on.
Jayesh will also give a little bi t more color on the industry late r. And the second point – go ahead, Jayesh.
Jayesh Sanghrajka Sorry, what was the second point?
Salil Parekh The second point on the pricing.
Jayesh Sanghrajka So, pricing environment has pretty much remained stable, but if you look at again one of the pillars of Maximus is value-based selling where we have been able to make an impact which has helped us improve our overall prici ng, but overall environment has continued to remain stable.
Coming to the sectors that Salil wanted me to talk about. If you look at financial services as Salil mentioned earlier, the U.S. financial services we have started to see some recovery, especially in the cards payments, capital markets areas. Manufact uring continues to remain strong as a sector. Our manufacturing growth, we expect this year to be lower than the last year because last year we had a very strong growth in manufacturing. Retail and EURS remain similar to our commentary earlier and hi-tech continues to remain softer.

 Rishi Basu
Thank you. The next question is from Veena Mani from The Times of India.
Veena Mani
Hi, gentlemen. I have a few questions. Some of y our peers who had the same sort of numbers with some positive growth, could give us an outline only up to the next quarter on what things look like. What do you think the next few quarters of this fi nancial year would be? Would you be able to tell us a little bit more about how the macro environment is going to be like and the deal environment is going to be like?
Secondly, I wanted to ask you about how your internal fulfilment goes. IJP is a huge thing at Infosys. So would that be a focus going on or would you again go back to the market and hire extensively, not just freshers, but even laterals? And the other th ing is about McCamish. So you called out in your annual reports that the cyber security is not as adequate as you would want it to be. So are you going to expand that coverage? What is it like you are going to be doing on the cybersecurity front? And with the McCamish incident, does it make it even more pertinent for you to add to your cybersecurity measures?
Salil Parekh
So let me start with the first one, the macro. On the macro, I think the

sense we have is the
discretionary spend which is a function of macro as it impacts our clients is still the same as what we were seeing in the past quarter with the exception th at we saw a little bit better outcome for financial services in the U.S., but otherwise it is the same. So it is a discretionary still low from where it was several quarters ago. Now to see beyond, so the way we do this like at this time in the start of Q2 we will have an outlook of what we can see into the environment over the next few months. We do not have a view which is, let us say, what will happen at the end of the financial year and so on. So that is how we are seeing it today.
But as we see, as we have done now, as we see any changes like what we saw in financial services, we then, at the end of the quarter, come back and update things on that. On the second point, on IJP or the fulfilment, I think the view is we always look at fulfilment from what we have. As Jayesh shared, our utilization is lo oking at a fairly good level.
We will still have fulfilment internally, but we will also potentially, as we see the demand, have recruitment, both on campus and at other levels as well. On McCamish, I think we issued a statement

External Document © 2024 Infosys Limited 8 on April 18, 2024. In addition to that, the e-discove ry process has been completed, and McCamish
is in the process of coordinating with its cli ents to ensure all the notifications are provided.
In addition, the U.S. State Attorney Generals and Insurance Commissioners have also been notified,
i.e., what we can share wi th respect to McCamish.
Rishi Basu
Thank you, Veena. The next question is from Moneycontrol, Chandra.
Chandra R. Srikanth Hi, Salil. Hi, Jayesh. Salil, in terms of business s egments, with the exception of financial services, which is seen in uptake, all the other verticals are more or less, flat sequentially. I think retail has declined by some basis points. So give us a sense of what you are seeing there. You have already spoken about how financial services is looking up. And in terms of geography also, North America has declined sequentially. Europe is flat. Rest of t he world is flat. But Indi a has seen an uptick. So what is driving the growth for you? Is ther e a specific project that is helping you?
Also last month, I think during your AGM, Nan dan Nilekani mentioned that you have 225 Gen AI POCs -- projects. So if you can give us a sense of your pipeline, are you going to be, giving us a sense of what the size is? Bec ause TCS has called out 1.5 bn. I think Accenture has called out 2 bn. Will you be quantifying that?
Jayesh, for you, I think utilisation has helped, excl uding trainees, it is gone up by 2 percentage points. You have also increased offshoring by, I think, a few basis points, which has helped your margins. So will you be utilising these levers? I mean, can you spread these levers more in the next quarter to keep up margins?
Salil finally, do you have a view on the reservation bill that Karnataka mooted and now it is paused? But as one of the biggest companies operating in Kar nataka, what is your view on reserving jobs for locals? Thank you.
Salil Parekh
So there are a few questions. Let me start first with Generative AI. Jayesh will talk a little bit about the industries and the geographies. On Generativ e AI, we are making huge impact. And as Nandan shared, at the AGM, the sort of work we are doing is massive. We are not, at this stage, disclosing and quantifying externally our revenue from it.

External Document © 2024 Infosys Limited 9 The work we are doing is quite incredible. The fo cus is really on what ent erprises are doing for
Generative AI. And what are enterprises doing? T hey are working on their own datasets within the confine of the enterprise and making sure that the benefit of that comes through for them. For example, there is work that is ma ssively going on

in customer service. There is work that is going on
in software development. There is work that is goi ng on across process optimization in knowledge. So there are a variety of areas in which Generative AI work that we are doing for clients is making a huge impact. And there are several examples, some of which we also shared in our Annual Report, some of which without client names, where we are working on for projects for Generative AI. Let me also -- let Jayesh talk about the industry, and then we can go to the other ones.
Jayesh Sanghrajka Yes. So I think, Chandra, the numbers that you ar e looking at are YoY numbers. If you look at the sequential numbers, financial services have grow n 7.9%, manufacturing has grown 3.6%. Almost all segments have grown, and all the geographies have grow n this quarter. So that is what Salil was referring to in terms of broad-based growth this quarter sequentially.
Coming to your other question on margins, while ut ilization has pretty mu ch reached the peak level in our mind, there are other levers, value-based se lling, more offshoring, near-shoring. All of those are still levers that we have that we will look at in terms of expanding margins from where we are.
Chandra R. Srikanth
The geography split, Jayesh. Jayesh Sanghrajka
The fact sheet. You are referring to the fact sheet?
Chandra R. Srikanth Yes.
Jayesh Sanghrajka The fact sheet is YoY numbers. They are YoY numbers.
Rishi Basu

External Document © 2024 Infosys Limited 10 I think the question was on reservation, the last question.
Salil Parekh
The question -- first, we are planning to work wi th all the regulations that the state and central governments will work on. We support whatever r egulations and guidelines t hat will come. We will wait and see what they look like as time develops. But our approach in general is to make sure we align to the new laws and regulations that come out.

Rishi Basu
Thank you, Chandra. The next question is from Beena Parmar and Sameer Bakshi from the Economic Times.
Beena Parmar Hi. First, we want to know the guidance that you have revised. How much would be inorganic growth from that? And your India growth has also seen a lar ge jump. Could you give us some clarity or color, on where does it come from? Is it from one large deal or do you see this going forward? Do you see this expanding?
And in terms of fresher hiring, you mentioned that you would be going to campuses and also looking at it laterally. How much would be campus recrui tments from the number that you shared? And have the onboarding process of previ ous offers been done already?
Salil Parekh
So on the guidance, what we are seeing today, we had a very strong Q1. With that performance, which focused on specifically volumes, on financial se rvices in the U.S. that gave us more confidence for the year. Then we saw the large deals in Q1 itsel f. That gave us more visibility for what we are seeing for the full year.
And then we had the acquisition with respect to in -tech. Those combined give us the support to increase our revenue growth guidance. As Jayesh said, we do not split out the guidance between organic and inorganic. However, the revenue number fo r in-tech is something that we have shared, Jayesh just shared that. And so from that basis, you can add it is a part of it.
There is a vast majority of it is coming from what we see in the volume, financial services and large deals. In terms of recruitment, as Jayesh just shared, we will be going to campus between the way

 we do campus, which is campus hires ongoing and at campus. And that is in the range of 15,000 to
20,000 for this financial year.
Beena Parmar
Is there a breakup on how much woul d be from campuses and otherwise?
Jayesh Sanghrajka
We generally do not break up that. It is a combination from the campus and off campus. As we see the demand environment gr

owing, we will l ook at which is the best source of.
Beena Parmar
Has the onboarding of previous offers been done completely or is it still pending?
Jayesh Sanghrajka
It is -- a small portion of that would be pending. The rest is pretty much done.
Beena Parmar
And Salil, on the India growth, can you give us some color of where is it?
Salil Parekh
India growth, so there – first, India is a small par t of our business. So each quarter with different events, it can go up and down. In general, India bus iness is doing well for us in terms of growth. In this specific quarter, as Jayesh shared earlier, t here was also one-off with respect to the India business. But in general, it is in good shape. It is a small number and sometimes there is more movement because of small numbers.
Beena Parmar
One more if I can add. From your existing deals, what kind of percentage w ould be Gen AI projects if at all, at least a ballpark number?

 Salil Parekh
So in Generative AI, we are not sharing externally the value in terms of revenue or of the deals. What we are very clear about is if you look at industry ra tings, if you look at what others are saying about Infosys and our Generative AI approach, it is leading in the market. We are also very careful. We are not combining Generative AI revenue with AI revenue. AI has been going on for a while. And really today, there is much more interest with clients on what Generative AI can derive. And that is our focus. That is where we believe we have leadership. And that is where there is a huge distinction between what large companies or enterprises are doing and what consumers are doing on Generative AI. And our focus is very much with the enterprise Generative AI.
Rishi Basu
Thank you, Beena. The next question is from Padmini Dhruvaraj from The Financial Express.
Padmini Dhruvaraj Hi. So you said that you finished acquisition of your ER&D company. So from when do you see it contributing to your revenues? And how many POCs of your AI use cases are in production now?
So this demand you said of BFS space in North Americ a, is it also because the clients want to adopt the new technologies? And is bundling AI services in your regular deals or are AI deals becoming

separate from your transformation deals?
Salil Parekh
Okay, so we will go one by one. I think the first on e was on what we are seeing with Generative AI – sorry, ER&D. So the acquisition is comp lete. I think that was the question.
Padmini Dhruvaraj
From when you see…? Salil Parekh
When? It is complete yesterday, so it will start from this quarter. A nd in fact, engineering services is one of those areas which is growing well for us. We are seeing a lot of traction in the automotive space, in the medical devices space, broadly acro ss all elements of engineering services and we have had now two acquisitions that we have done on that.

 Then the second was a demand in FS if that also incl udes, is it because of AI or not? So there what
we are seeing with the demand in FS which we are seeing improvement in is across all of our capabilities. It is not only from AI or Generative AI. It is also for cost and efficiency, consolidation plays. It is also sometimes very specialized li ke in the payments and cards areas where we have some specialized capabilities, we see demand for those so rt of activities, but it also includes AI in it. On the percentage of projects which have gone fr om POC to production, we do not share that externally but what we do – what we did say and would continue to see is we are seeing a lot more work which is production projects. We are not seeing just POC work. It is real work in production with clients. For example, we are doing some work on cr edit risk analysis. Now this is a project which is in production with a bank where with Generative AI an

d AI we are able to improve the quality of the
decision-making or help them impr ove the quality of decision-making and also the time, make it better. So this is a huge real impact that the client is seeing in this area.
Rishi Basu
Thank you. The next question is from Haripriya Suresh from Reuters.
Haripriya Suresh Hi. Good evening. I think most questions have been asked, but for the last few quarters we have been talking about the delay in TCV to revenue conversi on. Is that – does that timeline getting better or do you still – is there still as much caution and are you seeing any sort of transformation deals or are you mainly in the cost efficiency and vendor cons olidation these kind of a thing? Also your wage hike cycle last year I know was delayed. Are y ou coming back to the old cycle? Has the cycle been delayed? What is that environment like? Also in BF SI I know you called out growth areas as cards payments, but are you still seeing any softness t hat you would want to call out? Thank you.
Salil Parekh
On the deals and the conversion, so there was I think two or three quarters ago we had spoken about some specific deals which it was a slower start than anticipated. Today, we are seeing our large deals converting in as per expectation. So we had alr eady reset that expectation and it is as per that expectation. There is no further slowing and there is no other change in that. The type of deals we are mainly seeing that cost efficiency consolidat ion deals. There is still not the appetite to spend big on a transformation, technology transformation type of program, on the wage hike and the other one.
Jayesh Sanghrajka

 So on the wage hike, as you would recall, we have done our last wage hike in November last year.
At this point in time – and every time we do a wage hike, we take multiple factors into account, right from what is inflation, when the last time we did the wage hike, what is the peer practice, etc. And at this point in time we are evaluating all of that, but at the same time as I called out in my margin walk, we have improved our variable pay this year versus the last quarter and last year.
Rishi Basu
Thank you. The next question is fr om Jas Bardia from The Mint.
Jas Bardia
Good evening, sir. So you started the year with a 3.6% sequential growth in constant currency. And you termed it excellent in your prepared remarks. But you outline a full year growth between 3% and 4% in constant currency terms. So are you expecting business to decline in Q2 or the second half of the year? What explains this stepped outlook despi te a strong start? And sir, the second question, over the last four quarters, the company has ki nd of underperformed. What explains the slowdown? Is it macroeconomic slowdown? Because Fortune 500 companies are doing well. The U.S. economy is resilient. So is this a macroec onomic slowdown, if at all? Or is this because of company-specific issues?
Salil Parekh
So the first one, in fact, my sense is we have done exceptionally well because of Infosys-specific

reasons. 3.6% sequential growth is extremely str ong in any environment, but especially in this environment. The reasons we have, a very we ll-defined approach on large deals which has been working well. We have a very clear approach on Gener ative AI, which is giving us good traction. We have, when the market looks at it, a very clear appr oach on digital transformati on, which helps clients. And in this environment, a strong focus on cloud, which is also doing very well with the work we do in Cobalt.

The foundation of Generative AI is all of the data and how that is coming together. And there we have huge strength. So that is giving us a tr emendous benefit. Then we have had the success on large deals in Q1. Then we have had a strong outcome on the operating margin because of the program we put in place some quarters ago on impr oving

every aspect of how the operations work.

And then we have free cash flow, which is at the highes t level. So all of that combined give us a very strong start into this financial year.

 For the guidance, the 3.6% becomes 2.5% on a YoY basis. So the guidance is more on a YoY basis
where we have said is between 3% and 4%. And so we see that being supportive of the guidance we are driving for three reasons. A good Q1, which is because of volumes and a good FS outcome in U.S., very strong large deals. And the in-tech ac quisition, which got closed in time. And so those are the reasons why the guidance has become 3% to 4%.

Now if you look at what is going on with the macr o, the macro environment, at least in the western markets with high interest rates, has curtail ed most companies from spending on big programs on digital transformation. And we had, as we transform ed the company, moved to 65% of our work into digital. And that is where we see the change. My sense is as and when the macro changes and companies are spending on large technology programs , we are in the best position to start to get that benefit. And this quarter we start to see a littl e bit of that, not in the digital programs but in financial services in the U.S., which is what we have not seen in the past. So all of that really gives us the confidence for what we are seeing in this year.

Rishi Basu

Thank you. The next question is from Sanjana from the Hindu Business Line.

Sanjana B

Hello, gentlemen. So Infosys currently has 2.5 lakh employees that are trained in Gen AI. So what exactly does this mean? And what kind of investment s or initiatives are going into this? And if you could tell us if this reduces or increases hi ring requirements because there has been a reduction in headcount from last quarter. It is been around 1,900 employees?

Also, can you talk about how many roles are being added or will be added because of development on the AI front? And if you are looking to – and if you could give a breakup of how many people that you have currently hired for AI related roles? Thank you.

Salil Parekh

So on the training for AI, we have a program that enables our employees to get trained on different elements of AI and Generative AI. So there is tr aining, which is more focused on awareness. There is training, which is more focused on developing and there is training, which is more focused on deep immersion. And all of that combined gives the to tal that we share externally for AI training.

Our view is all of our service lines are getting ch anged by deploying AI and Generative AI within each service line. So in any of our offerings, we are depl oying it to make sure that we get the full benefit

 of it, and which is what we are driving to beco me an AI-first company. So we had a view when we
became digital-first, cloud-fi rst and now AI-first, so that positions us very differently with our clients.

In terms of recruitment, we do not specify how m any people are getting recruited for A or B different specific category. But overall numbers is what Ja yesh has shared in terms of people joining from college is between 15,000 and 20,000 for this financial year.

Rishi Basu

Thank you. The next question is from Sonal Choudhary from the Deccan Herald.

Sonal Choudhary

Hello, gentlemen. Congratulations on the stella r performance. You have already highlighted what has powered growth in this quarter, but if there is anything to add to that? Secondly, whether this growth momentum will sustain? If yes, what is pr oviding that confidence? What is boosting that confidence?

Salil Parekh

So thank you for that. We are extremely pleased wi th the performance, and we think is something very specific to what we have done within the co mpany and for our clients. The main elements of what is driving the growth is r eally focu

sed on how we have set up, what we are driving within the
Generative AI ecosystem, what we are driving wi th large deals, the intensity with which we are working with our clients across all the industr ies and then the benefits that we are seeing, for example, in Q1, from volumes, from financial servic es in the U.S., the overall large deal and the in-tech acquisitions. As we look ahead, our view is w hat we see today is what we have translated into the growth guidance as we see the year today.
We will see as the year progresse s; we believe we have a leading ability with 3.6% QoQ growth in the market. We will see as the year progresses w hat other things we see in the environment with different industries like we have seen for financial se rvices in the U.S., what other industries at what time if they change and so on and that will give us more and more confidence into the year. The way I would say that is the guidance is what we see t oday. So whatever we have seen in Q1, we have converted that to our guidance and that is w hat we see today in terms of the outlook.
Rishi Basu

 Thank you. With that, we come to the end of this press conference. We thank our friends from media
for being part of today's questions and answers. T hank you Salil, and thank you, Jayesh. Before we conclude, please note the archive webcast of this press conference will be available on the Infosys website and on our YouTube channel later today. Thank you, and please join us for some high tea outside.

Infosys Limited
Earnings Conference Call
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Ladies and gentlemen, good day and welcome to Infos ys Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then ze ro on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep M ahindroo. Thank you, and over to you, sir.

Sandeep Mahindroo

Thanks, Neerav. Hello, everyone, and welcome to Info sys Earnings Call for Q1 FY'25. Joining us on this call is CEO and MD, Mr. Salil Parekh; CFO, Mr. Jayesh Sanghrajka; and other members of the leadership team. We will start the call with some remarks on the performance of the company, subsequent to which the call will be opened up for questions.

Please note that anything we say which refers to our outlook for the future is a forward-looking statement, which must be read in conjunction with th e risk that the company faces. A full statement and explanation of all these risks are available in our filings with the SEC, which can be found on www.sec.gov.

I would now like to pass on the call to Salil.

Salil Parekh

Thanks, Sandeep. Good evening and good morning to ev eryone on the call. We started the financial year with a strong performance in Q1 a

cross multiple dimensions, including broad-based revenue growth, expansion of operating margins, str ong large deal wins and strong cash generation.

Our revenues for the quarter grew 3.6% sequentially and 2.5% YoY in constant currency terms. I am particularly pleased with 7.9% growth in Fi nancial Services segment where we are seeing improvement in client spend in North America. All geographies and most industry groups grew sequentially. Volume growth turned positive after several quarters. We also had an improvement in realization.

We had another quarter of strong large deal wins with 34 large deals at a total contract value of $4.1 bn. Our clients see us as a preferred partner of c hoice for consolidation, cost takeout and efficiency programs. This is also a reflec tion of our leadership strength.

External Document © 2024 Infosys Limited With the mobilization of our ma rgin program, we see positive impact on our operating metrics and

pricing. This resulted in our margin expanding by 1percentage point sequentially. Jayesh will elaborate on margin puts and takes later on the call.
Free cash flow was highest ever at $1.1 bn. Our em ployee attrition rate was at 12.7%. We continue to see strong traction from our clients for Generative AI programs del ivered through Topaz.
Enterprises are focused on their own data sets that can be used in Generative AI large language models.
As an example, we are partnering with a teleco mmunications leader to transform the product engineering practices with AI and to elevate both the customer and employee experience. Another example is how we are optimizi ng and modernizing IT infrastructu re services and transforming the IT operating model with AI for a leading bank.
We are helping several of our clients prepare for the AI transformation journey by building strong data foundations with robust cloud capabilities usi ng our Cobalt cloud services. Industry analysts acknowledge our leadership in the domain of enterp rise Generative AI. We continue to invest in strengthening our AI capabilities and build ing AI-first solutions for clients.
During the quarter, we launched Aster, a marketing suite of AI amplified solutions for our clients to create brand experiences with enhanced market ing efficiency and accelerated performance effectiveness. Our investment in nurturing our global workforce with AI-first skills and expertise continues as over 270,000 of our employees are now well trained in building a wide range of AI-powered solutions for our clients.
We are today uniquely positioned as a digital-first, cloud-first and AI-first brand in the market. And our continued differentiation has helped us bei ng recognized around the 100 most valuable brands in the world by Kantar BrandZ. We have also b een ranked among the most trusted brands across U.S. and India.
Along with our overall robust performance in Q1 a nd strong opportunity pipeline, we are seeing early signs of improvement in Financial Se rvices vertical in the U.S. Wh ile discretionary spends continue to be under pressure, our highly differentiated offe rings around driving efficiencies at scale and transformation capabilities around Generative AI have positioned us well in the market.
With respect to our recent acquisition of in-tec h, we have received the required approvals and have closed the acquisition.

 Given our strong performance in Q1 and our current outlook, we have revised our revenue growth
guidance for the full financial year to 3% to 4% gr owth in constant currency. Our operating margin guidance for the financial year remains at 20% to 22%.
With that, let me hand it over to Jayesh to share his update. Thank you.
Jayesh Sanghrajka
Thank you, Salil. Good morning and good evening, ever yone, and thank you for joining the call today.
We entered FY'25 focusing on key strategic prioriti es, including market share gains to accel

erate
revenue growth and drive margin impr ovement through Project Maximus.
I am delighted to highlight results that we have ac hieved across different business dimensions this quarter, including
- strong and broad-based revenue growth across all geos and most verticals YoY in constant currency terms,
- sequentially positive volume growth after se veral quarters coupled with improvement in realisation
- Financial Services returned to pos itive sequential growth after six quarters with 7.9% growth in constant currency terms
- 34 large deals signed during the quarter, which is a record number of deals in any quarter, large deal TCV at $4.1 bn, including 58% net new..
- Deal pipeline continues to remain strong
- 1% operating margin expansion sequentially
- improvement in operating paramet ers including 1.8% increase in utilization and lowest on-site mix in 10 quarters
- highest ever free cash flow generation in the quarter with free cash flows normalized for tax refunds at 104% of net profit
- fifth consecutive quarter of reduction in unbilled - attrition has remained stable and
- increase in return on equity by 1.5% QoQ to 33.6% primarily resulting from higher payouts to investors
With that, let me now elaborate with details.
Revenue for Q1 was $4.7 bn, up 3.6% sequentially and 2.5% year-on-year in constant currency terms. This included benefit from improved realization from one-timers of 0.5%.

 Operating margin improved by 1% sequentially to 21. 1% led by 1.4% improvement in gross margins

on account of strong operating performance across different dimensions. The major components of sequential margin walk are as follows:
Tailwinds of 2.2% comprising of normalization of Q4 one-timers of 1%, 0.8% benefit from Project Maximus largely from higher utilization and value- based selling, 0.4% from the improvement in realization mentioned above, partly offset by headw inds of 1.2% from higher variable pay, higher leave costs, offset by currency and others.
We continue to drive Project Maximus across the organization with strong intensity. Headcount at the end of the quarter stood at over 315,000 with util ization further increasing to 85.3%. LTM attrition was stable at 12.7%.
Unbilled revenues dropped for the fifth consecutive quarter to $1.7 bn. Free cash flows for the quarter was highest ever at $1,094 mn, a sequential increase of 29%. DSO for the quarter was 72 days compared to 71 days in Q4.
Consolidated cash and cash equivalents stood at $4.3 bn after factoring in payout of $1.4 bn towards dividend declared in Q4. Consequently, return on equity increased sequentially to 33.6%. Yield on cash balances were at 7% in Q1.
ETR for the quarter was 29.4%, which is in line with our expectation for the year. EPS grew by 7% in INR and by 5.4% in dollar terms on a YoY basis.
We closed 34 large deals with TCV of $4.1 bn, 58% of this was net new. Vertical-wise, we signed 8 deals each in Retail and Communication, 6 in EURS, 5 in Financial Services, 4 in Manufacturing, 2 in Hi-Tech and 1 in Life Sciences. Region-wise, we signed 21 large deals in America, 12 in Europe and 1 in ROW.
Coming to verticals,
BFSI returned to positive growth after six quarte rs led by ramp-ups of large deals and absence of one-off of last quarter. In the U.S., we see some recovery in areas like mortgage, capital markets and cards and payments. Overall, clients still rema in cautious on spending and are focusing to deliver maximum business value through deals combining transformation, technology and operations.
Pipeline remains strong, and we are working with the clients to accelerate their adoption of Gen AI for modernizing legacy platforms, fraud detecti on, credit process simplification, etc.
In Manufacturing, growth was broad-based across geographies and sub verticals like industrial, automotive and aerospace. While pressure on di scretionary spends per

sist, we see increased

 benefits of vendor consolidation, opportunities around resolving supply chain bottlenecks and
rationalizing infrastructure and applications. We s ee strong interest on Gen AI with deep client engagements. Our capability and pipeline in the engineeri ng space will be solidified by the acquisition of in-tech, which will help us accelerate the segment growth in FY'25.
Growth in Communication was led by ramp-up of recent large deal wins. Overall environment, however, remains cautious with continued opex pressure and delayed decision-making. Telcos, despite challenges, are navigating their way by focusi ng on rapid digitization and reprioritization of spends.
Uncertainties in Retail sector continued with clients focusing on cost take outs to fund their business transformation journey. Ther e are opportunities around areas like customer and employee experience, predictive analytics, digital market ing and landscape modernization. While the pipeline remains healthy, decision cycles continue to stay elongated.
Environment in EURS continues to be impacted by high interest rates and geopolitical conflicts, which are influencing the spend patterns. While pr essure on discretionary spends persist, our differentiation in areas like energy transition, integration bus iness and human experience is helping us build a strong pipeline.
Hi-tech vertical continues to remain soft. Driven by a strong all-round performanc e in Q1, improvement in U.S. Financial Services, strong large
deal closures and in-tech acquisition, we are in creasing the revenue guidance to 3% to 4% in constant currency terms. We are maintaining our operating margin guidance at 20% to 22%.
And with that, we can open the call for the questions.
Moderator
Thank you very much. We will now begin the questi on-and-answer session. The first question is from the line of Ankur Rudra from JPMorgan. Please go ahead.
Ankur Rudra
Hi, thank you, and good to see very good numbers after a while. Just wanted to get a sense of, Salil, what is the breakup of the very strong momentum this quarter, if you could, between the large deals that you have won over the last year? Any kind of improvement in execution of short-cycle business or discretionary business and potentially better ex ecution? And also when you answer that, if you can talk about how client conversations are changing, if there is anything turning a bit more positive,

 and any change in the momentum on the short-cycle deals, but large deals you

can see is going on
very strongly? Thanks.
Salil Parekh
Thanks, Ankur. The view on discretionary or short cycl e, what we are seeing is in Financial Services in the U.S., we have seen that shift that we have highlighted, and we saw that during the quarter. Outside of that, the discretionary still remains simi lar to where we were, when we started the year, which is still in a difficult situation. So that is the one that we have seen the change in.
The client conversations, in general, there is a lot of talk and discussion with Generative AI, but the programs, even though they are not POCs, the actual projects are not large revenue projects. And transformation is not so much what we are seeing. So even in a large deal, the vast majority is still cost takeout, efficiency, consolidatio n, automation, that type of work.
And in some instances, where there is the trans formation – these are funded massively through cost takeout. So, it is not really large spends there. So that is how we are seeing the discretionary work at this time.
Ankur Rudra
Thank you. And from here on, you have seen th is change in Financial Services. In your client conversations, do you sense there is anything in par ticular, clients, especially in maybe the hi-tech space or energy and utility where you have highlight ed, problems still persist or

even manufacturing,
which might change the client behaviour, maybe not th is year, but into next year. What are the main things clients may be waiting for?
Salil Parekh
So there, first on energy, utilities, we have had a good outcome last year. We have seen similar discussions now, not a huge change. Manufacturi ng again, good outcome last year, will be decent growth this year but just slower than last y ear. It is not like a big, big change there.
On hi-tech, it is still difficult as you point out. I do not know what the trigger could be. Of course, on a macro level, there is, not with clients, but generally speaking, a view that if U.S. inflation and interest rate and all of those discussions change, that will change something. But we do not know what will that trigger be.
Ankur Rudra

 Okay. I appreciate it. Maybe just one question for Ja yesh. Jayesh, great performance on the margins.
Could you maybe talk about how do you think about the puts and takes from here on? Utilization, especially including trainees, seems to be high. I gues s that indicates fewer trainees in the system. What sort of headwind will we see from there?
Secondly, I am guessing there will be wage hikes so me point in the next couple of quarters. So how are you thinking about what will help you maintain , if not improve, margins from here on and extend Project Maximus?
Jayesh Sanghrajka
Yes. So Ankur, thank you for that first. And if y ou look at the Project Maximus and we have talked about the five pillars of Project Maximus, many of them are starting to show results. VBS, which is value-based selling, is one of them, efficient pyrami d, utilization and other factors are other part of it. Lean and automation is the third piece in that.
So, there are many of these tracks which are showing results, and we still believe there is more meat there. Of course, if you look at the headwinds, you will have a comp review at some point in time during the year that could be a headwind.
We have – at this point in time have not decided t he timing, etc., of that. So that would be a headwind. Some of the large deals that we have signed, the tr ansition and ramp-up of that would be a headwind. So, we will have to balance that as we go through the year. At this point in time, we are very confident of our margin guidance.
Ankur Rudra
Appreciate it. Thank you and best of luck.
Moderator
Thank you. Next question is from the line of Keith from BMO. Please go ahead.
Keith Bachman
Hi. Thank you very much. First, I wanted to get some additional feedback on Financial Services. You indicated that you thought that business outcome s or business energy had improved. I just wanted to hear a little bit more about that. It is certainly something we have not heard from some of our software-related companies. But what do you think is the driver of the improvement in Financial Services in particular?

 Jayesh Sanghrajka
So, Keith, there, if you look at our commentary on that, we are seeing some recovery in U.S. Financial Services, specifically in the ar eas like mortgages, capital markets and cards payments and the larger

clients there. So, we are seeing some volumes co ming in and some recovery – some early signs of recovery in those areas.
Keith Bachman
Do you think that is Infosys or do you think that – in other words, are you winning share in those accounts, or do you think that is a more broader bas e in, say, North American banks that there is a general trend towards recovery in spend?
Jayesh Sanghrajka
So, it is a combination of various factors. There are instances where we are consolidating. There are instances where we have won new and larger busi nesses. As I talked about, some of the large deals wins also in the Financial Service sector. So, I thin k there are multiple combination of those factors in that.
Keith Ba

chman
Okay. And then just on the margin guide, in terms of puts and takes, you highlighted some on the previous question. But you closed the deal with adding almost $200 mn in revenue on a run rate basis. How is that impacting margins and/or any other issues you want to call out, including any comments on FX impact as you see it today in term s of margins? And that is it for me. Thank you very much.
Jayesh Sanghrajka
So, Keith, the acquisition that we have done, compared to the size of the company, is relatively smaller to have a material margin impact. And as y ou have seen from our filings also, the in-tech is coming with healthy margins and there are opportunities, etc., in synergies.
Coming to the forex, the forex has remained range bound for the last couple of quarters. So at this point in time, we do not really see an impact. Bu t as you will appreciate, forex is range bound. I mean, forex is unpredictable, and it can have the margin benefit or impact depending on which way it goes. But at this point in time, it is remaining range bound.
Keith Bachman

 Okay. All right. Perfect. Many thanks. Congratulations on solid results.
Jayesh Sanghrajka
Thank you.
Operator
Next question is from the line of Kuma r Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh
Hi. Good evening. Thank you for taking my questi on. My first question was for Jayesh, just a clarification. So during the press briefing, you ta lked about 40 bps of one-off impact in the margins. So, can you just help us understand the revenue and the margin impact coming out of that? And I understand it is a recovery which you have made from one of the customers based in India, if that is correct? Thanks.
Jayesh Sanghrajka
Yes. So that is right. This is for a customer base in India. It is one-off in the revenue, and therefore, most of that has flown into margin directly. So, 0.5% on revenue pretty much impacting 40 bps on margin.
Kumar Rakesh
Got it. Thanks for that. My second question was, Salil, for hyperscalers, we are seeing the growth is accelerating and also the AI demand especially for so me of the chip makers such as NVIDIA has been quite strong. So, it does not seem like t he discretionary demand is entirely missing in the market. So, is there a transformation in the underlying business mix wh ich is happening where possibly discretionary demand for now at least is moving towards platform and hardware makers and not coming to services companies?
Salil Parekh
So, there the view we have is what we saw, and we have highlighted so far. The shift in Financial Services in the U.S. shows that some of that type of demand is coming now. We will wait and see across all the industries, whether it is what you are describing, or whether tech services project discretionary work also comes back or whether ther e will be transformation programs in tech which will also come.

 We are definitely seeing more and more discussi ons in enterprises on Generative AI programs.
Jayesh also shared a couple of examples. I shar ed a couple of examples. And these are not POCs, these are actual projects where we are participating. So we do see that. My own sense is this U.S. FS is one data point. We will wait and see what some of the other data points look like.
Kumar Rakesh
So, Salil, what I was trying to understand was that is there a decoupli ng of discretionary demand

which is happening or is this a sequence in which we will see first the hardware and platform makers getting the discretionary demand and eventually coming to services? So, is that a decoupling or a sequence of event which eventually comes to serv ices as well? What do you think would be the chain of events?
Salil Parekh
That is difficult to say. So again, it is just this year, one quarter, what we saw was that in Financial Services U.S. some of that

discretionary work is there. Whether it was decoupled or following on from something, difficult to say but we did see some evidence of that.
Kumar Rakesh
Thanks a lot for that.
Moderator
Thank you. Next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan
Yes, hi. Good evening. Congrats on the quarter. I just wanted your thoughts on, one, the Financial Services space. You did mention that you sa w growth from mortgages, cards, payments and obviously capital markets. When you think of the su stainability of this recovery, how should we think about it, because mortgages, for it to continue to give you a delta would require rates to come down meaningfully? And from a cards perspec tive, it looks like delinquencies in the U.S. are rising. So it is like a mixed data point that we see on the outside, but just wanted your thoughts on how are you thinking about the sustainability of the recovery on the Financial Services space? And then I had one more quick question?
Jayesh Sanghrajka

 So, Nitin, what we are seeing right now is early sign s, as I said, of recovery. Of course, it is early signs, so we do not know how sustainable at this point in time it is going to remain, but the fact that we saw volume growth after many quarters, we sa w strong growth in our Financial Services after again six-odd quarters. So I think those are the posit ives that we are taking. We are seeing large deals, both the ones that we have signed and the ones there in the pipeline. So all of that put together gives us a little bit of confidence on that. But yes, we have to see more data points to see how the year progress.
Nitin Padmanabhan
So one of your smaller peers characterized it as Financ ial Services who have sort of stalled multiple projects in the past and having not spent for almost six quarters having to make those spend because that is causing problems and thereby that is seeing a pickup with shor t-cycle projects on those deals.
Would you characterize it similarly? Are you seeing something similar?
Jayesh Sanghrajka
I would not say that, Nitin, to be very honest. We are seeing this not specific to one-off clients. It could be limited to one-off clients for that player , I cannot comment on that, but we are not seeing it concentrated on one client, etc.
Nitin Padmanabhan All right. And lastly on the guidance, I think if we include the acquisition and normalize the earlier guidance for the acquisition, I think the earlier guidance would have been in the 2% to 4% range.
Now it looks like they have narrowed it to 3% to 4%, including the acquisition on both cases despite the strong beat in the current quarter. So, is it just that you are being very watchful and careful about it or is there something more to it that you specifically worry about?
Jayesh Sanghrajka
So, Nitin, there we do not really break up the guidanc e into what is organic and what is for a specific acquisition that we have done. Having said that, if y ou look at our filings, the in-tech revenue for last year was €170 mn and we have just closed it. So we will only get part of that revenue. So you can do a back of the envelope calculation and the rest of it is going to be all the factors that Salil talked about, the Q1 performance including large deal wins , the volume and U.S. Financial Services while the discretionary still conti nues to remain challenging.
Nitin Padmanabhan

 Perfect. That is all from my end. Thank you and all the best.
Jayesh Sanghrajka
Thank you.
Moderator
Thank you. Next question is from the line of Vi bhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal
Hi. Good evening. Thanks for taking my question and congrats on a very solid start to the financial year. Salil, two questions from my side. One is we have seen that almost all verticals have done

really well for us this quarter but for the Retail sector . I think Retail sector is something which is like in the almost entire industry, of your peers also, hav e kind of spoken about it. What is the outlook on this sector? I mean what do you think the client s are waiting for to restart their spends and where could those spends be coming in terms of the domains that we are looking at? And then I have a follow-up question?

Jayesh Sanghrajka

So, Vibhor, There I think it is a sectoral challenge at this point in time. The whole sector is going through challenges, and it is not specific to us. And as Salil was mentioning earlier, one of the factors could be U.S. interest rates recovering, etc., but it is hard to predict what will lead to recovery in the sector at this point in time.

Vibhor Singhal

I mean just to dwell a little bit further on that, wh at exactly is – I mean so we know that because the macro-overhang is on most of the BFSI companies and all. At this point of time any specific thing that you think would be a trigger apar t from let us say – I mean of course the interest rate that you mentioned that could possibly see th ese companies reverting their spend or difficult to call out that again?

Jayesh Sanghrajka

So Retail typically has higher exposur e to discretionary as well, right, and that is going to be linked to the macro environment largely, Vibhor. So, I thin k that would be one of the key reasons. Otherwise outside of that we are winning deals. If you look at this quarter also, we have won eight large deals in Retail as well, but the discre tionary spending has to come back.

Vibhor Singhal

Got it. My second question is I think at the end of the last quarter, we had mentioned that we are expecting the first half to be better than the seco nd half. Any change in that outlook given the deal win in this quarter has been quite strong? So if those were to slightly ramp up in the second half, would it be correct to say that maybe we can expec t second half to be slightly better than what we were expecting it three months ago?

Jayesh Sanghrajka

So, Vibhor, two parts there. We still continue to bel ieve our first half is going to be better than the second half. And Q1 is just a testimony of that. From that perspective, we have delivered from there. Of course, the fact that we have increased guidance is also a proof that we are seeing the three quarters better than what we envisaged earlier.

Vibhor Singhal

Got it. Great. Thank you so much for taking my questions and wish you all the best.

Jayesh Sanghrajka

Thank you, Vibhor.

Moderator

Thank you. Next question is from the line of Gaur av Rateria from Morgan Stanley. Please go ahead.

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Gaurav Rateria

Salil, the first question is for you. On revenue, it l ooks like it has surprised you positively which is why you have raised the guidance. So, is it led by the ramp-up on the deals happening faster than you expected? Is it led by leakage in the discretionary improving compared to the last few quarters that you have seen?

Salil Parekh

So, the way this quarter has gone, what we have seen is the volumes have been strong. We have then seen that change in the Financial Services in t he U.S. which has given us more positive outcome

 for the quarter. Then some of the work that we are doing in terms of working with our clients on value and pricing has also translated overall into the mix for our revenue. And then the way we saw the outlook, as we did some of the large deals in this quarter which was a good outcome, and that gives us a little bit more visibility into the year. So all of t hose things led us to look at this as being a stronger outcome.

Gaurav Rateria

Got it. Any reason to believe that this momentum could decelerate in the near term, any data point to suggest that or as of now you would expe ct the mom

entum to continue from a near-term perspective?

Salil Parekh

So, what we have done is we have taken what we have seen in this quarter across the different industries and service offerings and then put in, as Ja yesh shared, what is more typical which is our

second half is usually lower than our first half. And wi th that we have created the outlook for the year, but we did not take into account any other trigger beyond what I just shared.
Gaurav Rateria
Thank you. Last question for Jayesh. What would be the incremental levers for margins from here on, utilization is near peak, subcon has already stabilized. Just trying to understand what could be the additional levers over t he coming quarters? Thank you.
Jayesh Sanghrajka
Gaurav, if you look across all the pillars of Maximu s, there are multiple of them firing. Value-based selling we have seen -- as we talked earlier, we have seen improvement in realization. So that is one lever we do have, we continue to have. We did ta lk about hiring some freshers as we go through the year so that would help in getting some better role ra tios or better role mixes, etc., nearshoring, lean automation. So there are multiple levers we st ill have to improve or offset the headwinds. The headwinds that we see as today, as I said earlier, again, is comp -- which decision we will take as we progress through the year and the ramp up of the deals won towards the end of last year as well as this quarter.
Gaurav Rateria
Thank you very much. Moderator

External Document © 2024 Infosys Limited Thank you. Next question is from the line of Bryan Bergin from TD Cowen. Please go ahead.
Bryan Bergin
Hi. Good evening. Thank you. Firs t question I had is on Generative AI. Can you provide some detail on how Gen AI may be impacting your delivery productivity and whether it may be changing any nature of the contracting conversations with clients yet?
Salil Parekh
Thanks for the question. On delivery and Generative AI, so what we have done, we have taken all of our service lines and start to put in place the impact of Generative AI and broadly AI into this. And that change is ongoing. A lot of it has happened. Where we are seeing some of the benefits on delivery relate to areas, for exam ple, software development or proce ss optimization. There is also a large benefit on productivity for more customer service type of areas that we have already demonstrated through. We do not have a lot of footprin t on that within our current mix, but we know for new work, that is something that is being discussed with clients.
In each of these for the contracting, the way our cl ients are looking at it within their own enterprise on their own data set, when there is a client wher e we see and where they have, let us say, for software development, a single uniform approach across the whole company, which is not that frequent because of acquisitions and different decisio ns in different divisions and department, then the range of benefits is potentially higher.
And the contracting discussions ar e around what of those benefits will accrue with the client. So a lot of these discussions are in that spirit. There is some benefits that accrue to us and some to the client. But there are very few clients within thei r own data sets, which have large consistent tech landscape, which can give the full benefit of Generative AI right away.
Many clients also need that data infrastructure to be put in place where sometimes that is not in place today between structured and unstructured data. So, the work actually starts with building a data program when they are able to spend that on a data program and then to have the cloud capability in place so that part of the data, part of the apps is on the cloud for the client.
So the discussion is typically on here the roadmap for Generative AI in an enterprise, given the landscape of tech. And here are the first steps, data and cloud. A

nd then here is something that can
actually deliver impact today, whic h could be more, let us say, a smaller area of the company. But these are all discussions which are done which eventually relate to how contracting is done.
Bryan Bergin

External Document © 2024 Infosys Limited Okay. That is helpful. Thank for the color. My foll ow-up's a clarification just on the 1Q onetime item.
I think you cited 40 bps quarter-over-quarter op margin benefit and a similar revenue impact. Was that expected in your prior guidance? Or was that a surprise or a new item that was not expected before on the plan?
Jayesh Sanghrajka
That was not expected on prior guidance. That was a new item. Bryan Bergin
All right. Thank you. Moderator
Thank you. Next question is from the line of James Friedman from Susquehanna International. Please go ahead.
James Friedman
Hi good evening. Let me echo the congratulations. Salil, in terms of banking, is the improvement

contemplated to continue?
Salil Parekh
In terms of what, sorry?
Moderator
James sorry, a little louder, please? James Friedman
I am sorry. In terms of the banking vertical, the BFSI vertical, is the growth contemplated to continue?
Salil Parekh
So, what we see today is this change in the U.S. Financial Services. The way we have constructed our outlook is we are assuming that that will be the way it will progress. So we have not assumed that it will change. We have not also assumed that it will become much larger.
We have also not assumed that this will move to some other geography in Financial Services. So we do not know, but that is what the assumption is into our guidance. All the client discussions seem to

 indicate that U.S. Financial Services, we will have th is sort of a traction, but that is the way we built
our outlook.
James Friedman
Got it. Thank you. And then in terms of Europe, it has been an important source of growth for the company this cycle. Could you unpack some of the trends that you are seeing in Europe?
Jayesh Sanghrajka
On Europe, so what we are seeing is different things in different places. So for example, in the Nordic countries, we have had good traction over the last few quarters and even a little bit before in how we have engaged with clients. And we have seen so me good expansion of our large deal programs.
We have seen some of that in Continental Europe broadly. If you look at some of the large deals across Telco, we have seen that a different type of a positive traction in Germany where we are seeing some of our local Europe competitors are having more constraints and where we are benefiting from those constraints as we are expanding. So it is different in different geographies and our focus or even industry, our focus has been to be a little bit more fine tuned into that market and then try to get the benefit of it.
James Friedman
Got it. Thank you Salil. I will just get back into the queue.
Moderator
Thank you. Next question is from the line of Sumeet Jain from CLSA India. Please go ahead.

Sumeet Jain
Hi, thanks for the opportunity. So firstly, I wanted to check in your previous guidance of 1% to 3% you gave in April, was in-tech acquisition part of the guidance?
Jayesh Sanghrajka
So Sumeet, this is Jayesh here. We had clearly called out at that point in time that in-tech acquisition is not part of it because it was pending approv al from various regulatory authorities.
Sumeet Jain

 Right. So maybe in-tech acquisition now being cl osed and the 50-basis point impact on revenue in
India business, can one assume these are the two pr imary factors for your revision in the guidance?
Jayesh Sanghrajka
Not necessarily. Again, as I said we do not br eak out our guidance between the in-tech and non-in-tech from that perspective. But if you look at the numbers that we printed, when we

announced the
acquisition of in-tech, revenue was around €170 mn.
And it is only going to be part of the year consid ering we just concluded or closed the transaction.
And there are other factors, our Q1 performance, volume, Financial Services growth, offset by the continuing softness in the discre tionary part of the business.
Sumeet Jain
Got it. That is helpful. And secondly, I wanted to c heck your cost line item, the third-party items you bought for service delivery is significantly down th is quarter, almost 1 percentage point of your revenue and are also down on an absolute level. So can you just give us a sense as to from the book keeping perspective, how to look at this line expense item going forward?
Jayesh Sanghrajka
So there Sumeet, as we have said earlier as well, the third-party hardware/softw are cost is an integral part of many of the large deals where we take ov er turnkey projects from the clients, including technology landscape out there. And that is, th erefore, dependent on the kind of deals and how the ramp up or ramp down of deals happen across the quarter. So, it is going to be, to that extent, dependent on which deals and how it ramps up and down.

Sumeet Jain
Got it. And lastly just on the India business, can you give us a sense what kind of project it was because it is a pretty sharp jump we have seen this quarter. So any large deal ramp-up we are seeing there or some government contract, w hat exactly the nature of this onetime impact?
Jayesh Sanghrajka
So Sumeet there first of all, the India business is relatively much smaller. So anything that happens in that business shows up in percentage, comes much larger. But having said that, it was a onetime impact on one of our India clients and it is one-off. So, I think we should just take it as one-off.
Sumeet Jain

 Got it. Thanks for the opportunity and all the best.
Moderator
Thank you. Next question is from the line of Ka waljeet Saluja from Kotak Securities. Please go ahead.
Kawaljeet Saluja
Hi, thank you everyone. Great to see well-rounded performance congratulations. Just a couple of questions. First is for Jayesh. That 40 bps recovery that you see, does it show up in either ECL or provision for post-sales client support? It is ju st basically a direct flow-through from revenue?
Jayesh Sanghrajka
It is 50 bps on revenue, Kawal, which is impacting 40 bps on margins.
Kawaljeet Saluja
And basically, does it time with provision for post -sales client support? That something which is separate?
Jayesh Sanghrajka
No, it is separate.
Kawaljeet Saluja
Yes. Second thing is wage revision. I guess the cycle of wage revision was changed last year. Do we get back into wage revision cycle, which is a lo t more normalized, which is, let us say, starting second quarter or is that something on which you have not taken a call yet?
Jayesh Sanghrajka
So if you recall, Kawal, last year, we did our wage revisions effective November. So at this point in time, we have not really decided. We are evaluat ing, considering all the factors that we always consider including the inflation, including when was the last wage revision taken, the environment, the macro environment as well as the peer practice.
And we will take a call considering all of these fact ors. Having said that, as I called out in our margin walk also, we have increased our variable pay during the quarter versus last year as well as last quarter.

 Kawaljeet Saluja
That is very helpful. A final question is, Jayesh, fo r you and Salil. Both of you have articulated the fact that you want the profitability to improve in the medium term. And then there are a number of structural levers that will be utilized to drive t hat expansion. What kind of an environment and what kind of levers does one need to see to gain that dire ctional comfort of prof

it ability improvement from
here on as such?
Jayesh Sanghrajka
So Kawal, if you look at our margin walks across the last three, four quarters since we launched the Project Maximus, you would see consistently the contribution fr om the Project Maximus across various pillars from L&A, Lean and Automation, from value-based selling, on the pyramid, etc. things like that.
So you have seen that, and our endeavor is to continuously focus on all of that. At this point in time, they are offsetting the headwinds to a large extent. The endeavor is to more than offset the headwinds in the mid-term.
Kawaljeet Saluja
Okay. Thanks.

Moderator
Thank you. Next question is from the line of Jonathan Lee from Guggenheim Securities. Please go ahead.
Jonathan Lee
Great evening, and thanks for taking our questions. A lot of moving parts here...
Moderator
Jonathan, sorry to interrupt you. May I requ est you to speak a little louder, please?
Jonathan Lee

External Document © 2024 Infosys Limited 23 Great. A lot of moving parts here on the margin side. Can you remind us how we should be thinking
about seasonality through the year, especially as you think about the impact from Project Maximus
and large deal ramps?
Jayesh Sanghrajka
So, Jonathan, on margin one of the headwinds would be comp decision as and when we take. There
are seasonality in our business model, which is furloughs that impact us in Q3 and Q4. That also
impacts both pricing to some extent and margin, t herefore. But those are the large seasonality that
we have in our model. Outside of that, our ma rgins are going to be dependent on our acceleration
on Project Maximus as well as the revenue and volume growth, which helps us flattening our pyramid
and therefore, benefit from the pyramid.
Jonathan Lee
I appreciate that color. And second, can you help us think through what is contemplated in your
outlook, both at the low and at the high end as it relates to vertical performance based on expected
large deal ramps or what is in your pipeline?
Sandeep Mahindroo
Jonathan, sorry, your question did not come in qui te as clearly. Would you repeat that, please?

Jonathan Lee
Can you help us think through what is contemplated in your outlook as it relates to vertical
performance based on expected large deal ramps and what is in your pipeline, both at the low end
and at the high end of the range?
Jayesh Sanghrajka
So there, Jonathan, it is very difficult to call out which vertical performance will end up to low end
and high end of our range. I think we have done various models internally to get to the margin band. Some of them get us to the lower end of the band, and some of the assumptions will get us to the
higher end of the band. I do not think there is any secular segment that is going to drive either way.
Jonathan Lee

External Document © 2024 Infosys Limited 24 Appreciate the color. Thank you.
Moderator
Thank you. Next question is from the line of Girish Pai from BOB Capital Markets. Please go ahead.
Girish Pai Thanks for the opportunity. The 3% to 4% guidance, if I do my math, comes to about 1% to 1.5%
CQGR from here on. It seems wa y too conservative because that also includes the in-tech
acquisition. So, are you assuming that t he 2H FY'25 is going to be pretty bad?
Jayesh Sanghrajka
So, Girish, there, let me give a little more color on the math. If you look at the first quarter, our YoY
growth has been 2.5%. And 50 bps, as I said, of that is one-off. So that is the first point. We have
always maintained that our H1 is going to be bet ter than the H2 and that the guidance bakes in on
that. And then there is in-tech. So all of that put together makes up for a guidance of 3% to 4%.
Girish Pai The next question is on U.S. Financial Services. Do you think this is more Infosys-specific situation?
Do you think this is much more broad-based that t he other vendors who have U.S. Financial Services
exposure w

ould also be doing well? This is something very specific to you?

Salil Parekh
So, this is Salil. So difficult for us to say like for the other companies. We can see that some of that
benefit on Financial Services, in cards, in payment s. We see some of the benefits which came
through with some of our clients. I am not able to te ll if it is just Infosys or not. We do feel we have a
very strong set of capabilities from digital, cloud, Generative AI, cost and efficiency. So, we do see
much more connect with clients, but it is difficult to say for the others.
Girish Pai
If I may squeeze in one last question. Salil, you mentioned that interest rates are one factor which
would probably be driving demand. So, are the customers looking at the start of a cutting cycle? Are
they looking at a certain level of Fed funds rate before they kind of start spending in a much bigger
fashion?

External Document © 2024 Infosys Limited 25 Salil Parekh
So there, I think my point in the prior comment was more on what is the macro environment. So first,
we do not know if that is a trigger or is not a trig ger. We are typically seeing the large digital program.
The last program even now with Generative AI, cli ents are still not ready to launch on them. So, the
more specific point you make, difficult for us to take a view on that.

Girish Pai
Okay. Thank you very much.
Moderator
Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to the management for closing comments.
Salil Parekh
So thank you, everyone, for joining us. It is really wonderful to get all the questions. We are delighted with the strong first quarter growth, margin, cash, large deals, volume. So very good to see that outcome for our business. We have a good outlook. So, the change in guidance gives a sense of what we see in the outlook, 3% to 4% growth. We hold the margin 20% to 22%. Good to see Financial Services in the U.S. have that change.
We feel extremely strong in what we are building in Generative AI. And we can see the traction to that in the projects and programs we are doing. And we believe we are well positioned really as a company, where we are benefiting from a variety of areas, whether it is in digital, whether it is in cloud, whether it is in technology transformation or cost efficiency.
All of these are something that we can support ou r clients with, and we remain well positioned to do that through this year and into the future. So, thank you again for joining us and catch up at the next quarter call.
Moderator
Thank you very much. Ladies and gentlemen, on behalf of Infosys, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2024

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

October 22, 2024
Dear Sir/ Madam,
Sub: Transcripts of the press conference an d earnings call conducted after the Meeting of
Board of directors on October 17, 2024

Please find enclosed the transcripts of the press c onference and earnings call conducted after the Board
meeting held on October 17, 2024, for your information and records. This information will also be ho sted on the Company's website, at

https://www.infosys.com/investors/reports-f ilings/quarterly-resu lts/2024-2025/q2.html .

The audio/video recordings of the press conference and earnings call are also made available on the
Company's website, at https://www.infosys.com/investors/r eports-filings/quarterly-results/2024-
2025/q2.html.
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha

Company Secretary
ACS-21918

Infosys Limited
Second Quarter Financial Results
October 17, 2024

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Veena Mani
The Times of India
Padmini Dhruvaraj
Financial Express

Uma Kannan
The New Indian Express

Sanjana B
The Hindu BusinessLine

Sonal Choudhary
Deccan Herald

Rishi Basu
Very good evening, everyone and thank you for joini ng Infosys' Second Quarter Financial Results.
My name is Rishi and on behalf of Infosy s, I would like to welcome all of you. This hall that we are in
brings back fond memories for many at Infosys.
In October of 2001, Mr. Ratan Tata visited Infosys to inaugurate this very hall, which is named after
the Tata Group Founder, Mr. Jamshedji Tata. Mr. Ratan Tata spent almost an entire day on our campus and planted a tree to commemorate this occasi on. Over the years that tree has flourished,
a happy reminder of the occasion and all the values that he stood for, and today it stands as a mark of his legacy at Infosys.
Let me share some of those memories wi th you. Could we have the video please?
[Video Presentation]
I now request all of you to join us for a minute’s silence in memory of Mr. Ratan Tata, a Titan of
Indian industry and a leader who exemplified the spir it of India through his life and work. I request
you to put your mobile phones on silent and I request you to rise. Thank you.
[Minute silence]
Thank you. I would now like to invite our Chief Executive Offi cer, Mr. Salil Parekh for his opening remarks. Over
to you, Salil.
Salil Parekh
Thanks, Rishi.
Mr. Ratan Tata has left an indelible mark on our countr y and really for each of us to be able to dream
large and to stay grounded. He will be missed by all of us.
Let me now share with you an update on our results. We had a strong performance in Q2 with robust
and broad-based growth, stable operating margins, strong cash generation, strong large deals and
increased employee headcount. Our revenue grew 3. 1% quarter-on-quarter and 3.3% year-on-year
in constant currency terms.
Financial services grew at 2%, Manufacturing double di git, Energy, utilities and services at 5.8% - all
quarter-on-quarter. We saw growth in all geographi es, quarter-on-quarter. Our operating margin for

Q2 was 21.1%. The Financial Services segment in the U.S. continues to see discretionary spend
increase in capital markets, in mortgages, cards and payments. We have seen slowness in the
automotive sector in Europe. Apart from these vert icals, demand trends remain stable with clients
continuing to prioritize cost take outs over discretionary initiatives.
We are deepening our work in

generative AI. We are deploying enterprise generative AI platforms,
building our own small language model and developing mult i-agent solutions for our clients. With our
strong performance in Q2 and our current outlook, we have revised our revenue growth guidance for
financial year '25. The new guidance is 3.75% to 4.5% growth in constant currency for the full year.
Operating margin guidance remains the same at 20% to 22%.
With that let us open up for questions.
Rishi Basu
Thank you, Salil. We will now open the floor fo r questions. As always, we request one question from
each media house to accommodate everyone over the next hour. Joining Salil is Mr. Jayesh
Sanghrajka, Chief Financial Officer, Infosys.
We have the first question from Ritu Singh from CNBC TV18.
Ritu Singh
Hi. First, on the guidance revision, if you could br eak down for us, how significantly altered is the
demand environment now versus what you saw a couple of quarters ago? How much of this revision
upwards is organic versus the contribution that y ou are seeing because of the in-tech acquisition?
One, if you could begin by telling us that?
Also, there have been seven revisions in the rev enue guidance in the last eight quarters. Could you
tell us what you have in terms of visibility now, in terms of the turnaround that you are speaking
about?
Financial Services is something t hat you have highlighted, but some of the other areas of concern
that you have been speaking about, Retail, Hi-Tech, etc., what are you seeing there? What are you

hearing from clients on discretionary spends?
Your headcount has increased for the first time perhaps in seven quarters. You told us last time you are looking to hire about 15,000 to 20,000 freshers th is year, are you on-track to do that? And if I may, sorry, add another question on guidance while we are talking about this. You have maintained

the guidance for margins at 20% to 22%, but you have deferred the wage hikes to the third quarter. How much will be the impact from that?
And there was no real expansion, despite this Project Maximus that you have undertaken. Just give us a sense of why, despite what we saw with the rupee, why that did not happen and how much of a hit do you anticipate in the coming quarte r because of the wage hikes? Thank you.
Salil Parekh
So let me start off with some of the ones that you asked and then Jayesh will add a little bit on the margins and also on the revenue growth guidance. So, first on the revenue growth guidance, the way we look at this is based on what we have done in the quarter. Then we look at our pipeline and look at what we anticipate and based on those factor s as we sit today looking out for this financial year, that is Q3 and Q4, we look to increase the revenue growth guidance.
The second question you asked on the industries. So , we see Financial Serv ices, discretionary spend is looking stable, strong, especially as we highl ighted in capital markets, cards and payments. We also shared that in automotive, we see slowness in Europe. In the other verticals, the view, the discussions with clients are similar. So, we do not see any change. There is no new discretionary and especially the verticals you mentioned Retail or Hi-Tech.
What we do see is more focus on the cost takeout el ements there itself. In terms of the margin piece, let me first hand over to Jayesh and then there may be some other comments on the revenue itself.
Jayesh Sanghrajka
Yes. So just to add to the guidance piece that Sa lil was talking about and to your question on in-tech, if you recollect, last time when we announced the guidance, we had clarified that in-tech is now completely included in the last guidance. So, there is no additional impact or additional benefit this quarter on account of in-tech. It was already baked in in the last quarter's guidance.
Having said that, there are multiple factors that we look at when we give guidance. A str

ong H1
performance, the pipelines in terms of large deals and less than 50 mn deals that we have. Our less than 50 mn deals have also increased double digit this quarter. So that has also contributed to an increase in our guidance.
Coming to your margin question, if you look at our margin this quarter, our margin has remained steady at 21.1%, similar to last quarter. If you look at the puts and takes, we got 80 basis points of benefit from Project Maximus, 10 basis points from currency that was offset by 30 basis points on account of acquisition because of the amortizati on of intangibles, and the 60 basis points is on

account of the salary and the variable increase that we provided as well as the other costs. So, Project Maximus has been contributing. It is offs etting the comp increase and the variable additions that we are doing.
We have guided for 20% to 22% for the full year. At th is point in time, we are confident of our guidance with the wage hike that we are planning in Q4. The wage hike is going to be in a phased manner. Some part of that will be effective in Januar y and the balance will be effective in April.
Ritu Singh
On fresher hiring? Jayesh Sanghrajka
We are on track to onboard the 15,000 plus freshers that we talked about last time. We have on boarded many of them in the first half, but we are on-track to onboard 15,000 to 20,000 at a group level in FY'25.
Rishi Basu
Thank you. The next question is from Haripriya Sureban from NDTV Profit.
Haripriya Sureban
Hi, guys. Salil, if you could give us a sense on the budgets opening up, right, the U.S. Fed decision and the elections also coming to a close now. More st ability is expected at least in the U.S. markets. So how do you see that in your conversation wi th your clients? Do you see more budgets opening up? Does this mean that Q3 and Q4 will be significantly better?
Also, give us some sense on the growth you are seeing in the emerging markets, because we see that it is an up-and-coming opportunity for other play ers as well. So how is it panning out for you?
And on the margins, just to double-tap on that, you have been on the lower end of your guidance consistently now. So, do you think with the mark ets getting better, demand coming back, that should also translate into better margins, and you probably reached the higher end?
And on the fresher hiring specifically, you have ment ioned your goals there, but with the new AI roles coming up and so much of work with generative A I, do you think you will do more specialized hiring, and will the salaries be better there, even on the fresher level and the lateral hiring?

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Salil Parekh
Let me start off I think first on the budgets and then a little bit on the emerging markets, and then Jayesh will add on the margins, and we will come back on what is going on with generative AI. On the budgets, what we see today is, in Financial Se rvices, we are starting to see the discretionary spend improving. We shared that last quarter, and we see that continuing as we saw this Q2 roll out.
In the other industries, in automotive, we still s ee the slowing in Europe, which we referenced before.
And then for the other industries, whether you look at Retail or Hi-Tech or Telco, we still see the discretionary spend part of the budget is constrained, and there is still much more emphasis on the cost and efficiency discussions.
On the emerging markets, in that sense, our pres ence is much more in Western Europe, in U.S., Australia, though for us, some of the newer grow th markets, we do see good traction in Japan, good traction in Middle East, but relative in terms of size , they are still quite small, but a good outlook in those markets.
Do you want to go on the margins and come on Gen AI?
Jayesh Sanghrajka
Yes. So, on the margins if you look at where we are for the H1, we have delivered 21.1% for H1, both the quarters as well as the same numbers. That pretty muc

h is slightly above the midpoint of
our guidance. Our guidance is 20% to 22%. If you look at contributions fr om Maximus, as I was saying earlier, I think we have got a lot of benefit. Every quarter we have been calling out the contribution from Project Maximus. If you look at the tracks that have delivered well, the value-based selling has been consistently de livering. The lean and automation has been delivering. Our utilization is pretty much at all-time high levels. Subcontractor has reduced.
So, there are multiple tracks which are running well. What the program has delivered at this point in time is, we have arrested the margin decline, and we have offset all the cost headwinds in terms of comp, in terms of additional variable pay, etc. So , despite that, we have been able to maintain our margin. Our aspiration continues to increase our margins in the midterm.
Rishi Basu
Thank you.

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Salil Parekh
On the recruitment part with generative AI -- on generative AI we have a huge amount of focus in three specific areas. We are building enterprise-w ide generative AI platforms. We are building a small language model that will be ro lled out across industries, and we have launched already what are called multi-agent solutions. So, this is beyond being an assistant. It is really an agent which does a lot more of the solutioning within clients. So, we see a huge amount of opportunity, a very deep approach that we have built for generative AI and so that recruiting will continue with those skillsets.
So there, the distinction will be much more focused on as people mature and get deeper in their career. We have for example, within the compan y, a program called Power Programmers, which is focused on different sets of skills. So as those skills become deeper, we will look at those options.
Rishi Basu
The next question is from Chandr a Srikanth from Moneycontrol.
Chandra Srikanth
Salil, on the face of it, you know, your numbers are below what the street was expecting because they were very optimistic of a 3.9% to 4% quar terly growth. Margins, I think the expectation was around 21.3% and even the guidance was between 4% to 5% and I think the TCV number that brokerages were expecting were closer to the 3 bn ma rk. So, can you take us through, if there were one off factors or some deals did not sort of come through this quarter?
Secondly, why do you not just move to a quarterly revenue guidance, instead of revising the annual guidance every quarter because as Ritu said, this is the seventh guidance revision in the last eight quarters. Is that something that you will consider?
And thirdly, can you take us through the cont ribution from pass-through revenues, third-party software sales this quarter because I think that was a significant component last time around. Jayesh, despite deferring wage hikes to Q3, you mentioned t hat the acquisition costs kind of got baked into the margins. So, what other tailwinds will you have in Q3 to maintain it at 21.1 or 21.2? Have all the freshers been onboarded, those who have been hired in 2020 to 2023?
And finally, Salil, tell us about your small langu age model, how many parameters is this going to have? When will it go live and for which industry are you building this first? And are you building this on top of open-source platforms or are you leve raging your partnership with OpenAI? Thanks.

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Salil Parekh
So quite a few questions. Let me see if I can remember them one-by-one On the way we have seen our growth, our focus is really on what we are driv ing in the business. We see a lot of traction that we started to see in Financial Services, which has given us a good growth last quarter and this quarter. And we have called out last quarter and also now that outside of that, we do not see other industries yet starting to have a change in the discre tionary spend. So that is the outlook of where we built out our growth guidance.
We are

actually very positive and delighted that we have gone from 3% to 4% to 3.75% to 4.5%. So, it is a huge upward movement in the growth guidance.
Our view is, we want to share as we see each quar ter what we see the outlook for the year. We are not looking at whether that is a change or not. That sometimes happens, sometimes does not happen. But this way we give a clear color for a full year as best as we know when we close the quarter and look at the parameters. So, those are real ly the factors that have gone into what we have done.
Let me talk a little bit about the small language m odel and then maybe Jayesh you can pick up. So, there it is an incredible approach that we have taken. We are building this on various open-source components. We have a narrow set of data which is from industry and also Infosys proprietary data set that will comprise the small language model.
We are working on different industry applications fo r the small language model, and we believe it will be a huge way for clients to leverage what they c an do on top of that, building some business logic on top of this small language model. So, we think it is an incredible differentiated approach and we are seeing some good discussions on that basis with clients. So that we are not sharing yet. The work has started. The idea was to make sure we share the way we are going about working in generative AI. It is at a very deep level across those three areas.
Jayesh Sanghrajka
So, if you look at margins, as I said earlier, we have delivered 21.1% which is slightly above the midpoint of our guidance, which is 20% to 22%. As we get into the H2, we will have headwinds coming from compensation increase. Our last compensation increase was in November. So, we have decided the next one to start from January in a phased manner in two steps. So, part of that will be effective January and the balance will be effe ctive April. We will have headwinds in terms of softness, which is regular -- which is seasonal in H2 for us. Furloughs, the lower working and calendar days, etc. So, those will be the headwinds . The tailwinds will c ontinue from Project

Maximus, which has been delivering well over the last few quarters. And at this point in time, we are confident of our margin guidance of 20% to 22% wi th an aspiration to increase in the midterm.
Yes, so as I said earlier, we are on track to onboard 15,000 to 20,000 freshers at group level in FY'25. We are not breaking it up between what wa s the past and this, but we are onboarding all the 15,000 to 20,000 freshers.
Yes. So, look -- first of all, it is the third-party co st, which is integral part of all the large deals or many of the large deals that we embark on, where we have taken over the turnkey projects for the clients and third-party costs are integral part of that pr oject. And it comes as part of the mega and large deals that we sign. So, there is nothing specific t here. It will come as and when we sign those kinds of deals, but it also increases our propensity wi th the clients and stickiness with the clients.
Rishi Basu
Thank you, Chandra. The next question is from Beena Parmar from The Economic Times.
Beena Parmar Firstly, the North American geography has seen further de-growth. Could you list out what are the core reasons and what kind of impact do you see because of the rate cuts that we have seen by global central banks?
Also, the status of onboarding, just to follow up, c ould you tell us as to, if all the onboarding has been done from the previous years, 2022 and 2023 and how many freshers have been added so far maybe in this fiscal year and what kind of fresher onboardi ng that you will look at going forward? While you have said it is 15,000 to 20,000, but what is remain ing? And what is the impact of the wage hike, can you quantify it? How much is the wage hike as well, if you can just tell us that?
Jayesh Sanghrajka
So, on the wage hike, we do no

t quantify the impact, nor have we quantified how will it be, in the phased manner, starting from Q4. On fresher onboarding, we will onboard 15,000 to 20,000 freshers during the year.
Beena Parmar
How many have been hired so far in these two quarters?
Jayesh Sanghrajka

We have not given that break-up, but you can see the net numbers for us have been declining for the last few quarters. This is the first quarter wh ere we had a net increase, so that is an anecdote you can write, but we will onboard all the fr eshers that we have committed in the past.
Beena Parmar
North America?
Salil Parekh
North America, yes. So there, first quarter-on-quar ter, we have seen growth in North America. There again, Financial Services were a big part of it. On a year-on-year basis, we saw negative growth. We see as you mentioned, the rate cut in the U.S. plus the lower inflation would indicate signs of some more spend. Certainly, in Financial Services, we hav e seen that, and we will wait to see in the other industries when that starts to happen.
Beena Parmar
Just to follow up on the mega-deal's lineup as well , what is the pipeline and where is the current growth coming from in terms of the deal closures?
Salil Parekh
So, the pipeline is still quite robust on large deals. The type of large deals is still much more on cost and efficiency and not so much on digital transformation. So that is sort of the lay of the land in terms of the deal outlook and we are seeing a lot of di scussion in cost and efficiency still across all industries.
Rishi Basu
Thank you. The next question is from Jas Bardia from the Mint.

Jas Bardia
Good evening. So, your peers have given mixed signal s on the future outlook. Now, I want to ask whether the current prevailing macroeconomic condi tions can dampen any sort of a prospect of a demand recovery; especially that has been aided by the U.S. Fed rate cut.

Second, I want to understand, is cloud a part of di scretionary spending? And I ask this because over the last 15 to 18 months, Infosys and a lot of its peers have said that cost takeout deals are the priority. Now, do clients consider cloud as an ex pensive prospect and hence they are considering it in the discretionary bucket?
Last part sir, are you seeing any kind of a slowdow n in the cloud spend over the last six to nine months? And just if I could squeeze in one more question, what percentage of your total revenue could be described as cloud revenue? That's about it.
Salil Parekh
So, I think the start off was much more on the macro, the first question. I will go through one-by-one. On the macro, typically we have seen, at least in the past cycles, when interest rate cuts start to begin and inflation is more in control, typically in our end markets, Western Europe and U.S. and also Australia, the interest in spending on large technology programs typicall y increases. But today, as we have shared, we have seen this change last quar ter and this quarter in the Financial Services on discretionary.
And last quarter, we had an extraordinary growth in Financial Services, this quarter, very strong growth in Financial Services. Now, we do not know when the others -- when they will come, but that is typically the way the macro affects the tech industry.
On cloud, we have a very strong cloud business. Y ou, of course know that we have the Cobalt set of capabilities where we work with each of the large public cloud players and we build out various tools, templates, industry blueprints, which can work with the cloud provider, with the client to roll out whatever approach our clients are taking. Then we have a private cloud busines s, which is also part of Cobalt. And then of course, we do a lot of work wi th the SaaS providers, where that is part of our cloud activity.
We do not break out the cloud number, but it is in good shape within the company.
Rishi Basu
Thank you. Salil Parekh
Clou

d, so it depends. Sometimes it could be co st takeout, depending on how the cloud TCO looks from a client perspective and what is the usage. For example, when you are doing some work which is more related to the edge, not just the core , then there are different cost considerations.

If you are doing more standard, let us say migrating a set of applications from on-premises to cloud, depending on your time horizon, you could get so me benefit, but sometimes you do not because a lot of times other services are also mixed in. For ex ample, you could also do cyber security with that, and which is separate in some instances. So, it is not like, all cloud is cost, or all cloud is not cost, it depends on which way it is done.

Rishi Basu
Thanks, Jas. The next question is from Veena Mani from the Times of India.
Veena Mani Good evening, gentlemen. So Q3 is usually the quar ter of furloughs around December that is when clients -- what does it look this time? Do you th ink it is going to be as usual or based on your interactions with clients, would it be a lot more because discretionary spend is still on the lower side?
Also, I am trying to understand Q4, you mentioned t hat wage hikes will be rolled out. Now, if you could give us the quantum. For instance, HCL mentioned that 7% to 8% would be the average wage hike and for top performance it will be around 14%. Can Infosys give us some sort of a guidance on what the wage hike pattern would be and what the factors considered would be in terms of tenure or other things, what all thin gs would be considered?
And if you could tell us a little bit about the gene rative AI revenues specifically and the use cases that went live in the second quarter? Some examples of, how the work around generative AI has been done for your clients? You mentioned that the revenue growth has been broad-based, but are there any micro factors, maybe one or two factors t hat really contributed to where the revenue is heading?
Salil Parekh
Let me start off. I think most maybe I can address. I think the first point was on the Q3 furlough situation. So first, we do not comment on the specific furlough outlook we have, whatever we have it is in our guidance 3.75% to 4.5%. Having said that, it is the start of the quarter so it is difficult to anticipate what it will look like, but we do have typically in previous years a range of outcomes that we look at. We have considered that same sort of approach in building the guidance, and it is within that guidance.
Then on the generative AI example, there are a hos t of examples, maybe to share something. We have built for one client, a multi-agent solution w here agents work on a specific business process that they have and do the process almost completely on its own, parts of the process. So, it changes

the way that they can do the process. It changes the way they can scale up what they can do as opposed to doing part of the process.
We have another example with a Telco where we have rolled out one of the items I mentioned, the enterprise generative AI platform, that platform can now -- 70,000 of the employees are leveraging that platform to build out their own use cases or benefits for what they want to use generative AI for, whether it is in knowledge area, customer serv ice area or the coding area. So, we are doing a host of projects, not POCs, actual projects, projects that are getting completed where clients are seeing some benefits from that.
Rishi Basu
Question on wage hike?
Salil Parekh
On the salary increase, we do not comment on the specifics.
Rishi Basu Revenue growth factors? That was the last, I think. Salil Parekh
Specific factors for the growth, I think more of what we discussed before, it is really more focused with what the traction we saw on Financial Serv ices and then each of the others, we have seen quarter-on-quarter growth, except for Retail if you look at our Q2 performance.
Rishi B

asu
Thank you, Veena. The next question is from Padmini Dhruvaraj from the Financial Express.
Padmini Dhruvaraj
Hi. So, your large deal TCV has shrunk to $2.4bn from $4.1bn last quarter, so is this lumpiness because of the factors you mentioned that other sect ors barring BFSI, it is still yet to rebound. And so, this demand for BFSI is it because your client s want to adopt to AI? And what percentage of your top line came from in-tech's revenue contribution?
And your peers, especially in the mid-market space, have said there is a burst in 1 to 10 mn deals. So, while your client addition in that space has declined, so are you losing market share there? So,

are you collaborating with any GCCs here for digi tal modernization? How many have you partnered with?
Salil Parekh
Okay, so quite a few questions. The first one - the large deals growth, right? So there typically our large deals are much more lumpy, if you look at over several quarters, some quarters a few more, some quarters a few less. Our focus really is making sure that if you look at all of H1, those are converted and are already into delivery mode and we are seeing that coming through with the large deals, a lot more focus on cost and efficiency.
On the smaller deals or smaller si ze programs. In fact, as Jayesh shared earlier, we have seen what deals below 50 mn value which is outside of our lar ge deals, which are not in the large deals, we have seen a huge increase, double digit increase in that pipeline. So, we see a lot more traction of

that sort of work that we already see. And the point you made on Financial Services, we do see the discretionary spend there, but in the other industries, not yet.

Padmini Dhruvaraj

And your collaboration with GCCs here?

Salil Parekh

On the GCCs, so we are working very closely with GCCs all around. We ar e working with clients when they are setting up their GCCs. We are wo rking with them when they do a build, operate, transfer and we participate in it with the build, operate and when they transfer. We are working with them, with GCCs in India, to help scale them, to help with recruiting. And we also working in some instances with clients when they are exiting fr om GCCs, when we have programs where we take them, and they become part of us. So, a very strong connect with GCCs across India.

Jayesh Sanghrajka

So, in-tech contributed 80 bps to this quarter's revenue.

Rishi Basu

Thank you. The next question is from Um a Kannan from The New Indian Express.

Uma Kannan

Good evening. In general, I just want to ask you like, how your acquired companies have performed in Q2? And today you have announced an acquisition of B litz, right? So how this will help you in your overall revenue growth?

Jayesh Sanghrajka

So, we do not specifically give out the performance of each of the acquired entities. But overall, our acquisitions have contributed well, both organically as well as in terms of synergy over the years.

Uma Kannan

So Salil, you did speak about BFSI, but I just want to understand why there is de-growth in Retail. Is there any specific reason in terms of revenue? Retail contribution is, yes.

Salil Parekh

No, I think we have talked about Retail in the last few quarters that industry is going through some change. So, nothing has changed except to say that it has not actually come back with the discretionary spend. So, it is not like we ar e pointing out something has changed in the behavior there, as opposed to FS where there is better disc retionary or automotive in Europe where it is a little bit softer.

Uma Kannan

I just want to ask you one question on Gen AI. You did speak about Gen AI, but I just want to understand how the pipeline looks like? And are you s eeing any particular sector growth? Say for example, whether it is BFSI, Reta il, which particular sector you are seeing growth, in terms of deals?

Salil Parekh

So generative AI, first, it is no

t in any specific indus try or sector, it is acro ss every industry. And part of generative AI work is, it is already becoming embedded in everything we do. So, any large program or transformation or cost efficiency productivity, a part of it is generative AI. Then we have different ways of looking at it because say you look at a tech and ops deal in customer service, there will be a large part of generative AI or if you look at so mething where we are building out new capabilities, there will be some productivity benefits through generativ e AI, but it is not the full deal. It is parts of almost every deal that we are doing.

Rishi Basu

Thank you. The next question is from Sanjana from The Hindu BusinessLine.

Sanjana B

Good evening, gentlemen. Salil, last quarter, you had mentioned that while these Gen AI projects are not POCs, they are not large revenue projects either. So, when do you think this change will come? And also, from what I can see, much of your revenues are divided between North America and Europe. There has been a flat growth like betw een your revenue shares, between the rest of the world, and India.

So, with emerging markets like LATAM and Africa, is that something that you are looking at and is nearshoring a strategy that you are employing? And beyond the margin guidance in the medium term, what is your aspirational ma rgin? That is all. Thank you.

Salil Parekh

So, on the generative AI, we do not break out the revenue as we had shared before. What we do see is, the work we are doing is quite deep now. We are building enterprise generative AI platforms; we are building a small language model. We are wo rking on multi-agent frameworks. So, these are things which are quite deep within the generative AI landscape and where clients are really appreciating the sort of, let us say, thought leadership, industry leadership that we have on

generative AI.
In terms of the geographies, we have of course, a st rong focus within North America, within Europe, within Australia. We do not have a business outside of our Finacle business in Africa, so it is a small part of our business. In Latin America, similarly a small part of our business. On nearshoring, we see a lot of traction that we are seeing across different nearshore markets.
In Europe, there are certain markets. For North Amer ica, there are certain markets. And even in Asia, we have some markets in which we are building near shore capability. So that is certainly moving along well.
On the margin aspiration, we absolutely have an inte rnal aspiration to drive margin higher and higher with all of the approach we are taking, but we have not shared that externally.
Rishi Basu
Thank you. The next question is from Sonal Choudhary from the Deccan Herald.
Sonal Choudhary

Good evening, gentlemen. While you have pretty much highlighted everything, there is a few questions that I would like to ask. Firstly, on the hiring as everyone has already asked, the 2022 letters that went out and the hiring which you promis ed that will be done from October, I just want to know if these two years, 2022, 2023, the letters wh ich went out in those years and the hiring that happened now, so was there a lapse or anything on that front?
Salil Parekh
Was there a what, sorry?
Sonal Choudhary Lapse? Salil Parekh
No, I think first, we are going to hire everyone that has got a letter and an offer from Infosys. We have a phased approach to this hiring and that is in process right now.
Sonal Choudhary Okay. Also, your operating margins, they are fla t. They were expected to be at around 21.3%. So, is there anything, any color that you would like to add to that? Is that something that you were also expecting?
Jayesh Sanghrajka
So, as I said earlier, our margin guidance is 20% to 22% and we are slightly above the midpoint of the margin guidance, right? If you look at the put s and takes, we had 80 basis points coming fro

m
Project Maximus, 10 basis points coming from cu rrency and 30 basis points of tailwinds from the acquisition that we did, mainly on account of amortization and the balance 60 basis points was invested in terms of salary hikes, in term s of additional variable pay and other costs.
So, net-net, it offset each other, and we have report ed 21.1% at margin. We do not really call out what we were expecting and where we are, I think we have delivered on what we were planning for.
Sonal Choudhary
And you are expecting this to go ahead? I mean increase going ahead, right? Jayesh Sanghrajka

In the medium term? Yes.
Sonal Choudhary
Okay. Also, GCCs you have spoken about it al ready. The popular mandate did put out that, you know, it is like a competition while you have clearly hi ghlighted that it is not, you collaborating rather. So how many GCCs have you collaborated with till now?
Salil Parekh
So first, GCCs are doing a fantastic job. We are quite fortunate that we are working with many of the client organizations and their GCCs in India. There is a large number of GCCs here. We do not share specifically which GCCs we have collaborated with, but to give you a sense, in Financial Services, in Telco, in Life sciences, we are working with a large number of those GCCs in India and helping them and supporting them. But we do not give specif ic, the number of GCCs we are working with here. It is part of our ov erall client relationship.
We have teams that work very closely because t here are different needs sometimes for what the GCCs are looking for and sometime s it is a holistic need across the client between the GCC in India and between the global organizations.
Rishi Basu
Thank you. With that we come to the end of this press conference. We thank our friends from media for being here today. Thank you, Salil and thank you, Jayesh.
Before we conclude, please note that the archive w ebcast of this press conference will be available on the Infosys website and on our YouTube channel later today. We request all of you to join us for Hi-Tea outside. Thank you once again and have a lovely evening.

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Moderator
Ladies and gentlemen, good day, and welcome to Info sys Limited Q2 FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentati on concludes. Should you need assistance during the conference call, please signal an operator by pr essing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep M ahindroo. Thank you, and over to you, Mr. Mahindroo.
Sandeep Mahindroo
Hello, everyone, and thanks for joining Infosys earnings call for Q2 FY'25. Joining us on this call is CEO and MD, Mr. Salil Parekh; CFO, Mr. Jayesh Sangh

rajka; and other members of the leadership
team. We will start the call with some remark s on the performance of the company, subsequent to which the call will be opened up for questions.
Please note that anything we say which refers to our outlook for the future is a forward-looking statement that must be read in conjunction with t he risk that the company faces. A full statement and explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov.
I would now like to turn the call to Salil.
Salil Parekh
Thanks, Sandeep. Good evening and good morning to everyone on the call. We had a strong performance in Q2 with robust and broad-based gr owth, stable operating margins, strong cash generation, strong large deals and increased empl oyee headcount. Our revenue grew 3.1% quarter-on-quarter and 3.3% year-on-year in constant cu rrency terms. Financial Se rvices grew at 2%; Manufacturing double-digit; Energy, Utilities and Services at 5.8%, all quarter-on-quarter.
We saw growth in all geographies quarter-on-quarter ba sis. Our large deals were $2.4 bn. Our overall pipeline remains strong. We saw a double-digit q uarter-on-quarter increase in our pipeline of deals below $50 mn.

External Document © 2024 Infosys Limited Our operating margin for Q2 was at 21.1%. Free cash flow for the quarter was $839 mn. Employee
attrition is stable at 12.9%. We will launch our employee compensation increase in two phases, effective Jan 1, 2025 and April 1, 2025.
The Financial Services segment in the U.S. conti nues to see discretionary spend increase in capital markets, mortgages, cards and payments. We have seen slowness in the automotive sector in Europe. Apart from these verticals, demand trends re main stable with clients continue to prioritize cost takeout over discretionary initiatives.
Our Q2 performance reflects our sustained strengt h and differentiation in the industry. We are deepening our work in Generative AI. We are workin g with clients to deploy enterprise Generative AI platforms which become the launch pad for client usage of different use cases in Generative AI.
We are building a small language model leveraging i ndustry and Infosys datasets. This will be used to build Generative AI applications across different industries. We have launched multi-agent capabilities to support clients in deploy ing agent solutions using Generative AI.
Our Generative AI approach is helping clients driv e growth and productivity impact across the organization. We are partnering with clients to build a strong data foundation which is critical for any of these Generative AI programs.
One example, we are working with a logistic major, using Topaz to power their operational efficiency improvement. Concurrently, we ar e supporting their digital transfo rmation journey to help them deliver exceptional services for their customers.
With a strong performance in Q2 and our current outlook, we have revised our revenue growth guidance for the financial year. The new guidance is 3.75% to 4.5% growth in constant currency.
Our operating margin guidance for the financial year remains the same at 20% to 22%.
With that, let me hand it over to Jayesh.
Jayesh Sanghrajka
Thank you, Salil. Good morning, good evening ev eryone and thank you for joining the call.
We had a strong Q2 with broad-based growth and re silient margins amidst an uncertain macro environment.
Let me talk about some of the key highlights.
1. Revenues grew sequentially at 3.1% in cons tant currency terms, ahead of our expectations.

External Document © 2024 Infosys Limited 2. All geos and verticals, barring Retail, grew sequentially. Europe had a strong growth and is
now approximately 30% of our revenue.
3. Inorganic contribution was 0.8% QoQ, which contributed to growth in Europe Manufacturing
4. We had another quarter of volume growth. 5. Financial Services in U.S. continues to s ee discretiona

ry spend uptick in capital markets,
mortgages and cards and payments. Both EURS and Manufacturing verticals reported
double-digit year-on-year growth.
6. Overall deal pipeline remains strong. Pipeline for deals less than $50 mn increased double
digits sequentially.
7. Operating margin during the quarter was stabl e at 21.1% driven by better operating metrics,
despite higher variable pa y and acquisition impact.
8. Utilization continued to improve to 85.9%, up 60 basis points sequentially. 9. We saw headcount additions after 6 quarters and added ~2,500 employees sequentially.
10. We had second consecutive quarter of over 100% of free cash flows conversion to net profit.
Free cash flow for H1 stood at $1.9 bn, 41% higher over H1 last year.
Let me delve upon the details now. Revenue for Q2 was $4.9 bn, up 3.1% sequentially and 3.3% on a year-on-year basis in constant
currency terms. This included benefit from acquisition of 0.8%.
Operating margin was stable at 21.1%. The major components of sequential margin walk are-
Tailwinds of
- 80 basis points benefit from Project Maximus
- 10 basis points from the currency movement
Offset by
- 30 basis point impact from acquisitions mainly on account of amortization of intangible assets
- 60 basis points from higher variable pay and other costs
Project Maximus remains a key focus area and succ esses of that is visible in improved operating
metrics like utilization, realization, subcontracting costs, etc., for the quarter.
H1 revenue growth was 2.9% in constant currency terms. Operating margins were at 21.1%, 10 basis
points up year-on-year basis.

External Document © 2024 Infosys Limited Headcount at the end of the year stood at ~3,17,000, returning to a positive sequential growth after
six quarters of decline with net additions of appro ximately 2,500 employees. Utilization, excluding
training increased by 60 basis points to 85.9%. LT M attrition for Q2 was up by 20 basis points at
12.9%. We are on-track to onboard 15,000 to 20,000 freshers in FY '25.
Free cash flow conversion was approximately 108% for Q2. H1 '25 free cash flow is 41% higher than
H1 '24. DSO for the quarter was 73 days versus 72 sequentially. Consolidated cash and cash equivalents stood at $4.6 bn after paying out $1.4 bn towards dividend.
The Board announced an interim dividend of INR21 per share, an increase of 16.7% as compared
to last year.
Yield on cash balance was flat at 7% in Q2.
ETR was at 29.6% for Q2 and 29.5% for H1. We continue to expect ETR for FY '25 to be in the range
of 29% to 30%. EPS grew by 4.7% in INR and 3.4% in dollar terms on YoY basis.
We closed 21 large deals with TCV of $2.4 bn, 41% of this was net new. Vertical-wise, we signed 7
deals in Financial Services; 3 each in Communicati on, Manufacturing and others; 2 in Retail and 1
each in EURS, Hi-Tech and Life Sciences. Region- wise, we signed 12 large deals in America, 5 in
Europe, 3 in India and 1 in RoW.
H1 large deal wins stood at 55 deals with TCV of $6.5 bn and 51% of that is net new. Coming to verticals, Financial Services saw continued growth momentum in Q2 with traction in cost optimization through
large outsourcing and transformation opportunities. We saw discretionary spend uptick in capital
markets, mortgages and cards and payments. Deal wins during the quarter were strong, which
coupled with expanding pipeline of sm all deals gives us visibility fo r future growth. We are doing a
variety of Gen AI projects and are seei ng them getting embedded in large programs.
Retail sector continues to be impacted by economic and political uncertainties. Cost takeout
efficiency and consolidation are ke y priorities for clients. Consum ers spend in the upcoming holiday
season will be a lead indicator for future spend decisi ons. We are progressing well on our journey to
leverage AI to deliver business value with safeguar ds around privacy, ethics, controls, etc., across
areas such as

enhanced customer and empl oyee experiences, digital marketing etc.
Communication sector outlook is challenging with clients primaril y focused on cost reduction and
making that investment profitable. Discretionar y spend for OEMs are expected to remain under

External Document © 2024 Infosys Limited pressure. Cost optimization, vendor consolidation are in the top priorities with clients open to
innovate solutions and asking for AI to amplify producti vity. Growth in FY'25 will be driven by large deal-wins.

In EURS, geopolitical conflicts and higher interest rate continues to influence spending patterns, causing clients to focus on cost optimization initiati ves. We saw strong growth in verticals, especially in energy sector. In energy services, especially t here is significant tracti on in cloud programs with many companies adopting the cloud and AI strategy . Our competencies in energy transition space, human experience and industry clouds and proactive client pitches have helped us build strong pipelines.

Growth in Manufacturing was strong, partially cont ributed by in-tech acquisition. Europe automotive sector has seen recent challenges while discretionary spend remain s under pressure. We have seen increased benefits of vendor consolidation. We see opportunities around suppl y chain optimization, cloud ERP, smart factory and connect ed devices across various sub-vert icals. We are in discussion with multiple clients for setting up AI CoEs to drive AI adoption at scale.

Most Hi-Tech clients remain cautious due to geopolitical tensions. Discretionary spend and new project starts are slow due to cash conversion fo cus. We are advancing multiple AI programs from POC to implementation, focusing on cust omer support and sales effectiveness.

Driven by our H1 performance and outlook for the re st of the year, we are revising our FY25 revenue guidance to 3.75% to 4.5% in constant currency terms. Our operating margin guidance remains at 20% to 22%.

With that, we will open the call for questions.

Moderator

Thank you very much. We will now begin with the question-and-answe r session. The first question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria

Hi. Thanks for taking my question. First question is the reasons for change in guidance for revenue growth. Is it largely because 2Q came in better t han your expectations, or is it because the outlook for 2H has improved versus your prior expectations because of better pipeline of the smaller deal?

Jayesh Sanghrajka

External Document © 2024 Infosys Limited Hi, Gaurav. I think there are multiple factors that led to increase of our guidance. Of course, the H1
performance or the Q2 performance, as you sa id, and more importantly, the broad-based Q2 performance was one factor.

We saw continued momentum in volumes as well as the momentum in financial services. Our increase in the smaller deals pipeline which is less than $50 mn deals, as we said earlier, which has had a strong double-digit growth, I think all of thes e factors contributed to increase in the guidance.

Gaurav Rateria

Got it. Second question on Gen AI adoption. Have you seen Gen AI actually triggering a large transformation project and leading to multi-million dollar deal or multi-year deals? Just trying to understand that is this going to lead to a wave of a larger IT spend and increase the overall addressable market for us?

Salil Parekh

Hi Gaurav. On Generative AI, what we are seeing is , first, we built the capability set, three examples that I shared of how we are doing it with pla tforms, with agents and a small language model. It is also very much focused on productivity and growth as clients are looking at it.

So any of our large deals, now large deals today ar e not that much focused on transformation, more focused on cost and efficiency, so more of the Gen AI focus is productivity. Any of the large deals t

hat we are looking at, there is a Generative AI co mponent to it. Now is it dr iving the large deal, not in itself, but it is very much a part of that large deal.

Gaurav Rateria

All right. And last question for Jayesh. What would be the tailwinds from margin point of view in the second half, which could help us to offset the impact of the wage hike? Thank you.

Jayesh Sanghrajka

So, Gaurav, just to put together all the headwinds and tailwinds, the headwinds will come from compensation increase in Q4 that we talked about. The Q3 and Q4 will have regular seasonality in terms of furloughs, in terms of lower working day in calendar, etc. And tailwinds would be all the things that we are doing in the Project Maximus, whether pricing, whether you are talking about role ratios, subcon optimization, etc., all of those woul d be part of the same bucket of Project Maximus.

Moderator

External Document © 2024 Infosys Limited Gaurav, do you have any follow-up question?
Gaurav Rateria
No. Thank you.
Moderator Thank you very much. Next question is from the li ne of Bryan Bergin from TD Cowen. Please go ahead.
Bryan Bergin
Hi. Thank you. I wanted to ask, just as you think about how you built the forecast forward and the discretionary view, aside from the improvement you have cited in U. S. BFSI, have you basically held everything else muted in your discretionary vi ew as you go through the December and the March quarters?
Jayesh Sanghrajka
Hi Bryan. As I said earlier, I think there are vari ous factors that has led to margin expansion. Our guidance change starting from the Q2 performance, the increase in volumes that we saw across multiple sectors, including Financial Services. Our pipeline, which is str ong large deal pipeline as well as the smaller deals, which are less t han $50 mn deals, which have grown double digit.
So, I think all of these have been baked in. Of course, there will be seasonality in H2 as we all know about in terms of furloughs, in terms of lower working day s, etc. So all of that at this point in time is baked in, in our guidance.
Bryan Bergin
Okay. Thank you. And then just a follow-up, ju st to make sure I understand the furloughs. how do you think about composing the furlough activity that you are embedding in the year-end? Any difference than what you saw from la st year or historical levels?
Jayesh Sanghrajka
No. So we, at this point in time, have baked in th e regular furloughs that we have seen over the past few years.
Bryan Bergin

External Document © 2024 Infosys Limited Thank you.
Moderator
Thank you very much. Next question is from the line of Jonathan Lee from Guggenheim Securities. Please go ahead.
Jonathan Lee
Great. Thanks for taking my questions. Can you sh are further detail around what you are hearing in pricing conversations, both around new deals and any potential rescoping of deal terms, particularly given continued focus on cost optimization for clients?
Jayesh Sanghrajka
Hi Jonathan. The pricing overall, the environment has remained stable. However, within the pricing environment, we have been able to make a lot of progress in terms of getting benefits on the track that we are running under Project Maximu s, which is value-based selling.
So many of those tracks have started kicking in benef its, which is visible in our numbers. If you look at our volume growth using a proxy of the headco unt, you will see there will be a delta between the revenue and the volume growth which is c ontributed by the pricing significantly.
Jonathan Lee
Thanks for that color. And how should we thin k about large deal TCV momentum going forward? Are we seeing any changes to client preferences ar ound signing of large deals perhaps maybe towards smaller deals, given some of what you called out around smaller deal strength?
Salil Parekh
Hi. The large deals, the way we are seeing it is the pipeline remains quite good for us today. There

is a much more focus on the cost efficiency, automation and consolidation type of work. These are lumpy. So in some quarters, we see a little bit more, some a little bit less, but we do not see a change in that outlook for large deals. The point on the smaller deals that Jayesh shared was a little bit
additive. We are seeing more activity there as well, which is different from what we have seen before.
Jonathan Lee
Thanks for that detail.
Moderator

External Document © 2024 Infosys Limited Thank you. Next question is from the line of Vi bhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal
Yes, hi. Thanks for taking my question. So Salil, I just wanted to pick your brains mainly on how the BFSI vertical is looking at this point of time. Post, the interest rate cut, has there been a change in conversation or let us say change in the approach of the clients towards discretionary spend that they might be picking up in upcoming quarters. How do you see that vertical play out? And then I have a follow-up.

Salil Parekh
Thanks. So on Financial Services, we saw last q uarter a good improvement in discretionary spend. And we continue to see that in Q2, the discretionary spend is good. We also saw the results of some of the large U.S. banks look quite strong.
We see, still the focus is much more on the discretionary and then some cost efficiency program. We are still not seeing large transformation type of program. But given our scale and the needs that the banks have and some of our clients where we are seeing good traction, the overall feeling when we look at Financial Services, whether it is c apital markets or mortgages, cards and payments, we see good traction on the discretionary side.
Vibhor Singhal
Got it. Okay. My second question was on the TCV side. TCV of this quarter appears a bit on the softer side. Would you attribute that to anything specif ic? Is the client conversations at this point of time on the side pushing the deals out because of the pending U.S. elections? How would you read that? And how do you see the deal flow in the coming 2 quarters of the rest of the year?
Salil Parekh
So there, we have not seen a change in the behaviour from the Q1 to the Q2 in terms of the deal timelines and so on, on large deals. These are, at l east in our experience from the past over multiple quarters, they are sometimes lumpy. We see some more some quarters, some less because they are large deals. That is where we are looking. So we do not see any change in the data about it, including in the pipeline, which looks good as well.
Vibhor Singhal
But we would have liked a better deal flow, I am a ssuming, for the quarter. Do you see maybe Q3 or Q4 deal flow momentum picking up? Or it will again depend on how the macros play out?

External Document © 2024 Infosys Limited Salil Parekh
It will be both. So the deal flow is decent. Bu t sometimes because the size of these deals is quite large, sometimes they bunch up in a quarter. Sometimes they spread out a bit. So, we look at it a little bit more like over the half over the full year when we look backwards and that way we get them,
because most of them are driving revenue for the next several years. So, it is not really like they convert into a quarterly movement. So, we look at it more in that sort of time horizon.
Vibhor Singhal
Got it. Okay. Just one question if I could squeeze in for Jayesh. Jayesh, what is the thinking behind pushing out the wage hikes to Q3? And I mean, in fact, Q4 and Q1 of next financial year.
I mean if I
understand correctly, to some part of the organiza tion, we would actually be skipping FY '25 completely in terms of wage hike. So, is this got to do with the overall demand environment or the kind of hike that we had given last year, a br eakup? Just wanted to pick your brains on that?
Jayesh Sanghrajka
So, when we look at the compensation hike, we look at various factors, in

cluding what is the demand
environment, what is the market practice, when did we do the last compensation, etc. We have taken all of that into account. Our last compensation increas e was in November last year. So, this is pretty much almost on an anniversary, if you look at it. So that is point number one.
Point number two, if you look at within this quar ter, we have increased our variable pay as well. So that is another factor to consider as well, yes.
Vibhor Singhal
Got it. Thank you so much for answeri ng my question and wish you all the best.
Jayesh Sanghrajka Thank you. Moderator
Thank you. Next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh
Hi, good evening, and thank you for taking my ques tion. My first question was to understand how is the traction on your Gen AI work? So, you have the Topaz platform, which you have launched. You

External Document © 2024 Infosys Limited earlier had for cloud, a similar platform, Cobalt, to build an accelerator to help customers set up the
new technology. So relative to how it was at t hat time when Cobalt initially was launched and how it was first year of traction in terms of how many customer engagements are happening, how many customers signed up for that? Relative to that, how do you see Topaz panning out?
Salil Parekh
Hi, So first, on Cobalt, the way it was launched and rolled out, we had very strong partnerships with the three big public cloud players and have today but when it was launched as well. We had a very strong private cloud offering which we also have expanded. And we had a set of offerings on SaaS providers, a range of them. So that was an ecosys tem which for enterprises was already in motion. And we were already playing on that, and Cobalt brought all of it together.

In Generative AI for, the enterprise, it is a star t, in terms of how it will be adopted. There are, of course, as you know, several use cases, some of them with some good traction with clients. But the method of adoption, so what we have done here in Topaz, some of the examples that I shared, we have created a Generative AI platform, which can be rolled out across a large organization.
And then the individuals in the organization start to build out their own Gen AI applications on that. We are building a small language model. We have a multi-agent framework, where the agents are doing or a set of agents are doing full solutions to certain business processes or certain functions. So, these are different ways that Generative AI is bei ng rolled out. It is difficult to compare, in that sense, the two. We see much deeper capability set that we have rolled out in Generative AI today than what we see anywhere else. Our cli ents are giving us that same view.
We are also seeing Generative AI a lot in produc tivity and especially in the deal flow we see today in cost takeout. And there, almost every large d eal or significant deal even has some Generative AI component related to productivity. While not the w hole deal is Generative AI, a part of the deal becomes Generative AI. So, it is a different way it is creating an impact from what we saw in the cloud space.
Kumar Rakesh
And any insight on the customer adoption? How m any customers have signed up for that? How many transactions are happening or how m any accelerators you have run on that?
Salil Parekh

External Document © 2024 Infosys Limited So there, we have not publicly shared that for the Generative AI. What we have shared, at this
approach we are taking plus that our projects t oday are not a POC or proof of concept. They are actual projects. While they are small in revenue, delivering impact in that space.
Kumar Rakesh
Got it. My second question was, during the press conference, you did talk about the small language model for industry-specific use cases and the data t hat you are working on. My understanding is that at least the big

ger models that we look around ar e either for consumer space or for enterprise
generally for more of generic use cases, not for in dustry-specific use cases. This could be a white space from the product perspective. How do you want to position this in the end market? Would it still be just an accelerator built on top of what the other tools are there? Or you would want to eventually look at this as a separate product as well?
Salil Parekh
So here, first, if you step back, our views on en terprise AI, Generative AI, large language models will also play a part. But in addition, we are working on a small language model. So, it is not one or the other.
The reason for the small language m odel, we believe we have some very good data sets within Infosys. And we are taking some, let us call it, clean data sets from outside the industry and so on. These then help train the small language model.
We are then building it for different industries. And it then becomes deployable in an industry for a specific client where they can build or we c an help them build on this small language model other business applications. So the idea is, it is a new one, we feel we have some level of leadership on that. And we have launched this to see where it ends up.
Kumar Rakesh
Okay. So this will also work as an accelerator in deployment of AI applications. Is that fair?
Salil Parekh
It will also be an accelerator, it will also be a foundation on which other business Generative AI applications can be built by the cl ient or by us for the client.
Moderator
The next question is from the line of Rishi Jhunjhunwala from IIFL In stitutional Equities.

External Document © 2024 Infosys Limited Rishi Jhunjhunwala
Thanks for the opportunity. Just one question. So, your growth in this quarter as well as last quarter has been fairly broad-based across verticals. Th ere has been the commentary that you have given also suggests that discretionary is seeing so me sort of pickup in some verticals.
But the guidance that you have provided for the se cond half effectively means that there is a considerable slowdown in the ov erall growth momentum. Now I understand there is some bit of seasonality that comes through. But given the nature of broad-based growth that you have delivered for two consecutive quarters at the midpoint of the guidance not having growth seems to be a little bit counterintuitive versus what you have co mmented on the demand environment. So, I just wanted to understand how you are thinking about it.
Jayesh Sanghrajka
So, if you look at what we have consistently said in the past is our H1 is going to be stronger than

H2. H2 will have seasonality, which is furloughs, lower working and calendar day in Q3 and lower working and calendar day in Q4.
So, all of that is baked in, in the guidance. Our guidance philosophy has not changed. We run multiple models running up to the guidance, which define the bottom, midpoint and the top end of the guidance and then we say it as we see it, right? So, at this point in time, this is what we are seeing in terms of guidance.
Rishi Jhunjhunwala
Got it. And just very quickly, given where your utilizat ion levels are right now, is it fair to assume that going forward, the hiring trends will largely reflec t how you end up growing on revenues as well since a lot of the moderation on utilization is probably behind us?
Jayesh Sanghrajka
That is right, Rishi, again. We have always maintai ned that 84%, 85% is our comfort level utilization. We are already above that. So, we do not think at this point in time, there is any significant headroom left on that. So, most of our volume growth w ould come from the net hiring going forward.
Moderator
The next question is from the line of Jamie Friedman from Susquehanna International Group.
Jamie Friedman

External Document © 2024 Infosys Limited Congratulations on the continued improvement. A number of the

questions you are getting there
about what your assumptions are about the seasonality of the year. I know you said in your previous answers that you expect the year is typi cally super seasonal in the first half.
In terms of what you are contemplating for the second half, if you could share maybe what your assumptions are on, say, the cost takeout narrative versus the discretionary narrative. Is that rate of change changing?
And maybe some color on the verticals because I see it is great to have the two consecutive quarters in banking, but the Retail was a little bit more vo latile than expected. So, any comments on the typical super seasonality and why this year looks a little heavier? thank you
Salil Parekh
The way we have seen it is there are two parts to it from what you mentioned. One, in building the outlook, we have taken a view of what we see today. So Financial Services discretionary, we saw positive. We have not seen as of now discretionary in the other industries. We saw the continued
weakness on Retail. And then we saw a little bi t new weakness on that automotive in Europe.
So, all that we took it together, then we creat ed guidance. So, we have not assumed, for example, that some new discretionary will be positive or negative in this Q3, Q4. And the other part of seasonality, what Jayesh shared earlier, one is t he furloughs in our Q3, then is the calendar days situation, both in Q3 and we have an additional little bit in Q4. So that is also adding to the way we have built this outlook for the full financial year.
Jamie Friedman
Perfect. Thanks for the context. I appreciate. I will drop back in the queue.
Moderator
Thank you. Next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan
Yeah, hi. Thank you for the opportunity. So, you m entioned that the deal pipeline for smaller deals which is below $50 mn has sort of improved in doubl e-digits. How has it been in terms of closures for current quarters? When the pipeline has improved, how is the closures doing in the current quarter? Have you seen that improve as well? that is the first question.

External Document © 2024 Infosys Limited The second question is around this cost of softwa re packages. That seems to have increased on a
sequential basis. How much of that would have been in third-party versus internal? Is there a significant pass-through revenue this quarter was the question around it. So, any color around that would be helpful.
Jayesh Sanghrajka
Yes. So Nitin, So, if you look at our large deal closures, I do no t think small deals or large deal closures, we have not really seen a significant change in the decision-m aking process per se. As Salil said earlier, both our large deals pipeline still remains strong and our smaller deal pipelines have increased double-digit over the last quarter.
But we have not really seen a change in the decis ion-making behavior. By nature, these deals remain lumpy, right? So you will see quarters where you will do more, and you wi ll see quarters where you will do lesser.
Nitin Padmanabhan
In terms of closures, there is no increase in clos ures in the current quarter. When the pipeline has improved, the closures on less than $50 mn had not r eally improved in the current quarter. Is that a

fair way to understand?
Jayesh Sanghrajka
I am saying the closure in terms of the time taken to decision has not changed. So, the decision-making process has not changed per se. There is no fu rther delay or delayed closure is what I meant, Nitin.
Nitin Padmanabhan
Yeah. What I was asking was in terms of the abso lute closures in the current quarter, have they improved sequentially or year-on-y ear is what I was trying to understand in terms of the smaller deals.
Jayesh Sanghrajka
Yes. So look, what we are talking about is Q3 pi peline, which has increased. So, we will have to see how the conversion of that increases. Bu

t if the pipeline increases, and the win rates remain the

External Document © 2024 Infosys Limited same the closure will definitely increase. Right now, we have not really given color on that Nitin. But
then what we are talking about is the pipeline, we s ee a significant increase at this point in time.
Nitin Padmanabhan
Got it.
Jayesh Sanghrajka
Coming to the second question on third party, Nitin, see, third party remains integral part of many of our large deals and especially the mega deals. When you take over a large project from a client where you are taking over people, te chnology, the whole solution, you will have third-party costs that you will incur, which could be hardware, software, licenses, etc., which will become cost to you and become part of the revenue for the client, right, and this is both of that, that third party, we take it from the third-party vendors and whatever cost that we incur as well. So, it is all of that. We do not really break up that cost further.
Nitin Padmanabhan
Sure that is helpful. Thank you so much. And all the best.
Jayesh Sanghrajka
Thank you.
Moderator
Thank you. Next question is from the line of A bhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar
Yeah. So I just wanted to double click on the nature of smaller deals. You had mentioned in the prepared remarks that discretionary spend is re stricted to certain sub-segments of Financial Services. So, in that context, are these smaller deals mostly in those subsectors or these deals are also non-discretionary, essentially, smaller POs that the client is releasing against a large lump-sum contract? That is my first question.
Jayesh Sanghrajka
Yes. So Abhishek, these are deals across various verticals and various types of deals. We do not really give further comment on tha t. Considering the fact that it wa s a significant movement in the

External Document © 2024 Infosys Limited overall deal pipeline, we di d call it out. But we are not really breaking it up into how much of that is
discretionary, etc.
Abhishek Kumar
All right. So okay. Second question is on wage hi ke. Could you quantify the impact that we should bake in from wage hikes in 4Q and in 1Q of next year?
Jayesh Sanghrajka
So again, Abhishek, we have not really broken that out. What we have said is we will do that in a phased manner as we have done in the earlier years as well. Part of the employees will get it on effective 1st January and the balance will get it effective 1st April.
Abhishek Kumar
Okay. Fair enough. Thank you and all the best.
Moderator
Thank you. Next question is from the line of Keith from BMO Capital. Please go ahead.
Keith
Hi. Thank you very much. I want to ask two questi ons, if I could? The first is for the annual guidance, what is the embedded expectations for the inorganic contributions for the year?
Jayesh Sanghrajka
So Keith, in the last quarter, when we changed our guidance, we had baked in the entire impact of the acquisitions in that. So just to clarify, this guidance range does not have any incremental change from the acquisition. This quarter, we got a benefit of 80 basis points from acquisition, which is pretty

much 2.5 months of the consolidation effect of th e acquisition. I mean it would be in similar range for Q3 and Q4.

Keith

Okay. Perfect. And my second question is, it is interesting what you said about discretionary spend coming back in the smaller deals contributing to TC V growth. I just wanted to get your perspective on why you think there was a change in this category. And the reason I ask is, as you said, these deals, all deals can be lumpy. And so I am trying to understand what do you think the durability is of

External Document © 2024 Infosys Limited the pipeline increasing in the small category? Do you think it is sustainable at this point or durable as we look out over the next number of quar ters? And that is it for me. Thank you.

Salil Parekh

Hi Keith. So first, I think just to make sure I un derstood the question. So there is a discretionary view and the small deals or deals smaller than $50 mn view. And they are let us say, somewhat distinct. There is an overlap, but they ar e two separate type of activities we have referenced in our comments. On the deals smaller than $50 mn as Jayesh shared, we saw good increase and thought so it is relevant in that point to share because that gives a different type of a look into the market from what we see today. We do not know if it is durable. Now we will get a sense over the next few quarters how it looks or the closing timeline of the deal and like does it stay or does it disappear. But just now, it is more to show like there was one of the changes which we felt would be something of interest to share like that.

Keith

Okay. But that is the category that I was interested in is the smaller deals. But no comments on whether you think it is durable or not, whether it stays in place. Okay. But was there any commonality in the type of deals in there? I know you said it was across the industry verticals. I heard that, but any commonality in the type of deals within that smaller category?

Salil Parekh

Nothing that we have sort of things that we would share more color on. We had some in terms of the areas and so on or which skills or which technologi es, but we are not sharing that at this stage.

Keith

Okay. All right. That is it for me. Many thanks.

Moderator

Thank you. Next question is from the line of Pr ashant Kothari from Pictet Asset Management. Please go ahead.

Prashant Kothari

Hi. Thanks for the opportunity. My question is around this side, like on the new deal wins. This was a bit of a soft quarter, but that is okay. I am more kind of concerned about the input on that which is

External Document © 2024 Infosys Limited when I look at the sales and support employees they have kind of gone down by 9% YoY. Can you just explain what is happening? Is it more on sales or on support side and whether it has been such a large reduction because I think that you still n eed to keep engagement with your customers high so that as and when the discretionary demand picks up then you can actually start winning projects also? So how do you kind of think about that, but is obviously the short-term kind of margin management which might have been the right time to do the reduction on the employee side?

Jayesh Sanghrajka

So Prashant, I think it is just a factor of some at trition, etc. We have a large pipeline of employees who are going to be joining us on the sales as well. So I do not think there is anything to do with margin program here. We will continue investin g into sales and as required in the business.

Prashant Kothari

So, this is more of a temporary blip, is it like t he number of sales people will actually increase in the coming quarters?

Jayesh Sanghrajka

Yes. And our sales cost has remained, in terms of the dollar value of the cost, it remained in the range of 4.5% over the many years. I think this is just a small blip.

Prashant Kothari

Okay. All right. Thank you very much.

Moderator

Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja

Thank you for the opportunity. Question was with r egards to the segmental margin performance. If you could help us understand the factors that have driven the sharp decline in margins in verticals like energy utilities, as well as other segment s and the improvement that we have seen on the manufacturing side?

Jayesh Sanghrajka

Hi. There will be multiple factors that will play out ac ross segments in terms of utilization, in terms of on-site mix, in terms of the kind of business mix, etc., the deals that will ramp up intra-quarter.

External Document © 2024 Infosys Limited So,there will be multiple factors that will play out. We do not se

e a significant change, if we look at it on a trend basis for a few quarters. But on a short-te rm quarter basis, you will see some of these factors playing out in terms of margins.

Manik Taneja

Sure. And the last one was with regards to wage hike s. While you suggested that they will be effective across two periods starting January 1. Could we get some sense on the quantum of wage hikes, the likely impact in Q4 and how is that split up across the workforce between January and April?

Jayesh Sanghrajka

Yes. So we have not really spelled out the quantum of the wage hike at this point in time. All we have said is it is going to be in 2 phases. Obviously, th e junior employees will get it in January, and the rest will get it in April. The majority of the employees should get it in January.

Manik Taneja

Thank you and all the best for the future. Moderator

Thank you. Next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah

Thanks for the opportunity, and congrats on a good execution. Most of my questions have been answered. Just wanted to understand, how to read th is double-digit increase in a smaller deal below $50 mn. Is it first broad-based across verticals? A nd can if it continues as a trend, can it be a precursor of a better demand in the calendar year 2025? Why I am asking this is one of the reasons for Infosys' better performance in FY'22 and FY' 23 has been a lot many conversion of deals which were below $50 mn in terms of faster conversion to revenue.

Jayesh Sanghrajka

So Sandeep, the purpose of sharing this, as I said ear lier, is we do share what we see. This was one of the interesting, one of the important things we thought is important for the investors to understand that we are seeing a change in the smaller deal pi pelines, which directly indirectly in some way represents the discretionary spend, et c. So that is point number one.

External Document © 2024 Infosys Limited The point number two, of course, if the win rate remains the same and we are able to convert that would reflect in terms of revenue in the near term. At this point in time, it is just one data point, very difficult to say whether it is going to become a tr end, become sustainable, etc. So I think we should, at this point in time, read it as one data point.

Sandeep Shah

Okay. And is it broad-based across verticals and markets? Jayesh Sanghrajka

Yes, it is. Sandeep Shah

Thanks and all the best.

Moderator

Thank you. Next question is from the line of Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai

Thanks for the opportunity, My first question is regarding mega deal s. Across the industry, even when I look at the peers, you have not seen any mega deals being signed. So are there similar number of mega deals in the pipeline compared to 2023? Or have the mega deal number kind of come down? That is my first question.

Salil Parekh

So on mega deals, we do not share specific data on what is in the pipeline and not. We only talk about the overall large deal approach.

Girish Pai

Okay. My second question, TCV to revenue conversion, has that changed versus what it was in the previous quarter or 6 months back? That is question number two. Question number three is you talked about value-based pricing being one of the key le vers in Project Maximus. Can you just give us some examples as to how th is is being practiced right now?

Jayesh Sanghrajka

External Document © 2024 Infosys Limited Yes. So Girish, coming to your first question on c onversion, we have not really seen any significant change in terms of signing or in terms of conversion at this point in time. We continue to gain market share consistently when we looked at it on a Q-on-Q basis. Coming to Project Maximus and the value-based selling, I think there are multiple tracks within that right from the new age pricing that tracks on getting the change request wh

erever we are el igible for getting the right rates, etc. There are multiple of those tracks within that. We ha ve not really shared data beyond this for obvious reasons. But as you could see, the track has contri buted significantly in terms of the realization and price realization.

Girish Pai

Thank you very much.

Moderator

Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to the management for closing comments.

Salil Parekh

Thank you, everyone. So first, I want to s hare in summary, we had a strong quarter on revenue growth, margins, cash collections, large deals. So, we feel good about that. That resulted in an increase in our revenue growth guidance for the fu ll year, which also gives us good confidence as we look into the future.

Clearly, Financial Services showing continued strength in discretionary spend, other segments remaining about the same with a comment on automotive in Europe becoming a bit slower. We have deep, deep capabilities in Generative AI, and these are things where we are building platforms, agent solutions, small language models that we believe wi ll be a huge impact with our clients. And we continue to see a strong focus on execution across our business, and that remains key for us as we go ahead. So, we remain optimistic as to how the year will play out.

Thank you everyone, for joining in and we look fo rward to catching up in the next quarterly discussion.

Moderator

Thank you very much members of the Managem ent. Ladies and gentlemen, on behalf of Infosys Limited, that concludes this conference call . Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2025

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

January 21, 2025
Dear Sir/ Madam,
Sub: Transcripts of the press conference an d earnings call conducted after the Meeting of Board of directors on January 16, 2025

Please find enclosed the transcripts of the press c onference and earnings call conducted after the Board meeting held on January 16, 2025, for your information and records. This information will also be hos ted on the Company's website, at

https://www.infosys.com/investors/reports-f ilings/quarterly-resu lts/2024-2025/q3.html .

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/r eports-filings/quarterly-results/2024-2025/q3.html.
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha

Company Secretary
ACS-21918

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Infosys Limited
Third Quarter Financial Results Conference Call
January 16, 2025

CORPORATE PARTICIPANTS:

Salil Parekh
Chief Executive Officer and Managing Director

Jayesh Sanghrajka
Chief Financial Officer
Rishi Basu
India Head - Corporate Communications

ANALYSTS

Ritu Singh
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Haripriya Sureban
NDTV Profit

Beena Parmar
The Economic Times

Veena Mani
The Times of India
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Moneycontrol

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Reuters Jas Bardia

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Sanjana B
The Hindu BusinessLine Rukmini Rao
Fortune India

External Document © 2025 Infosys Limited 2 Padmini Dhruvaraj
The Financial Express
Sonal Choudhary
Deccan Herald

External Document © 2025 Infosys Limited 3 Rishi Basu
A very good evening everyone and a very happy new year. Thank you for joining Infosys' Third Quarter Financial Results. My name is Rishi and on behal f of Infosys, I would like to welcome all of you today. I typically would have said, one ques tion per media house, should I say that?
With that, I invite our Chief Executive Officer, Mr. Salil Parekh for his opening remarks. Over to you, Salil.
Salil Parekh
Thanks, Rishi and good afternoon to all of you. Thank y ou for joining us here in person, a very Happy New Year to each one of you. Our revenue grew 1.7% quarter-on-quarter and 6.1% year-on-year in constant currency terms in Q3.
All verticals and most geographies grew year-on- year. We saw double-digit growth in Europe and India and in our manufacturing business. Large deals were at $2.5 bn, operating margin at 21.3%. Free cash flow for the quarter was at an all-time high of $1.26 bn. Headcount grew by over 5,000 sequentially we are now over 3 23,000 employees worldwide.
Financial Services in the U.S. continues to grow strongly in this quarter and over the past few quarters. We have seen a revival in European Fi nancial Services during Q3. We are seeing an improvement in Retail and consumer product industry in the US with discretionary pressures easing. Automotive sector in Europe continues to remain slow. In Generative AI, we have built four small language models for banking, for IT operations, for cybersecurity, and broadly for enterprises.
In Generative AI, we are also developing over 100 new agents. These agents are for deployment within our clients, many of t hem already using agents that we have developed. Based on our strong performance in this quarter and our view for the rest of this financial year, we are revising our revenue growth guidance to growth of 4.5%-5% in constant currency terms. Our operating margin guidance remains unchanged at 20%-22%.
With that, let us open it up for questions.
Rishi Basu
Thank you, Salil. We will now open the floor for questions. Joining Salil is Mr. Jayes

h Sanghrajka,
Chief Financial Officer, Infosys. The first question is from Ritu Singh, CNBC TV18.
Ritu Singh

External Document © 2025 Infosys Limited 4 Hi, Salil, hi Jayesh, happy new year. Let me just start with that revenue growth that you have posted
because Q3 is typically a seasonally weak quarter. The market estimates were about 1% growth, but you have been able to deliver 1.7%. Is the environment significantly better than what you saw three months ago, one, if you coul d give us a commentary on that.
On raising your revenue guidance to about 4.5%-5%, was in expected lines, but what is the implied

growth rate for the fourth quarter then? Are you expecting a de-growth of about 2.5% given these margins that you have given?

Also, your wage hikes, I think last time we asked you and you said, it may happen in the fourth quarter. If that is on track, and what will be t he impact on margins once you do undertake that and hiring again has been going up for the last two quarters. How should we read into that?

Again, coming back to your revenue question, if y ou are expecting a de-growth in the fourth quarter, will you continue the space of hiring? What is the demand outlook? And if I may add, you know, deal wins while they have been steady, they have not really accelerated. If you could give us a sense of what the pipeline looks lik e from here on? Thank you.

Salil Parekh

So, thanks. I will try and go through the questions and some Jayesh will also answer. On the first, I think the view in Q3, and it was the growth at 1.7%. What we saw was, the last quarter, we had seen discretionary becoming good in Financial Services in the US.

Now this quarter, we have seen Financial Services in Europe also, the discretionary is showing signs of improving. And on Retail and consumer products in the US, it is showing signs of improving. So that, coupled with how we delivered in the qua rter was the reason where we changed the guidance to increase.

Now the second, I think, was about if that is the guidance, what is the Q4 and so on? So there, first, as we have always shared, our Q1 and Q2 in a ty pical financial year are strong. Our Q3, Q4 are typically weak. So that is the sort of seasonality t hat we see in Q4, nothing more or less. Jayesh will give a little bit more color on some of these points.

On the hiring that you mentioned there, I will say a few words and I will pass it on to Jayesh. We have had a strong hiring in Q3 with this expansion of over 5,000 employees. And we see that based on some of the discretionary, this will continue, bu t it will have seasonality as we see in our revenue. For the next financial year, we are obvi ously not giving the growth guidance.

 But what we do see is that many of the things we have put in place across the whole company, focus on large deals, focused on small deals, focused on ar tificial intelligence, making sure, we are doing cost takeout for clients. All of th ese things combined are helping th e company to execute as well as it is doing. So let me pause here, if there is anything else.

Ritu Singh

How much of it was organic? How much inorganic because of the in-tech acquisition that as well?

Jayesh Sanghrajka

So, in-tech, let me just answer that and I will go back to other questions. in-tech was -- last quarter, we had pretty much 2.5 months of in-tech. So, this quarter, the in-tech was roughly around 20 bps in revenue.

Coming back to the other points, if you look at large deals, while the overall large deal number you will see is remaining same, within that, the net new has increased significant ly. So last quarter, our net new was 40%. This quarter, our net new is 60%, which means that the large deals per se or the net new TCV of the large deals have gone up 1.5 times between Q2 and Q3. Our large deal pipeline has become stronger as we see, so all of that has led to our increase in guida

nce, just to add to the points that Salil was making.

Coming to the other question on comp, we had announced earlier that comp will happen in two phases, one phase from 1st January, the other one will happen from 1st of April. We are on-track with that. The first part of the comp is getting ro lled out in this quarter and we are working with HR on that. So, the HR team is working on that.

Ritu Singh

The question rather was what will be the impact on margins?

Jayesh Sanghrajka

We do not define the impact on comp, I mean, exac t impact on the comp in terms of margins. So, we will have some headwinds coming from the comp in Q4 and Q1 based on it. But broadly, the comp that we are expecting is 6% to 8% in India and the overseas comps will be in line with the earlier comp reviews.

Ritu Singh

 I think, Salil, the question on discretionary spends on Hi-Tech, Telecom, some of these areas that you would continue to flag in the last quarter, if the outlook on that is improving? And if the BFSI momentum you expect to continue into the new year?

Salil Parekh

So, on Hi-Tech and on Telecom, we have not seen a change. What we have seen the change is really on Financial Services more in Europe and on Re tail consumer products in US, will it continue at this stage? That is what we are seeing in terms of what we saw in Q3. But we will wait and see how it looks beyond.

Rishi Basu
Thank you. The next question is from NDTV Profit, Haripriya.
Haripriya Sureban
Hi, Salil. On the discretionary spending part that yo u mentioned, is this kind of change that you are seeing only sentimental, or do you see this translating in the upcoming budgets for the companies across the sectors that you mentioned?
And also, with the new administration coming in t he US, what is the kind of impact that you are expecting from that? The market expects the stabili ty to bring in a lot more -- budgets to open up a lot more. And also on the employee headcount, the attr ition is also rising a little bit more if not gradually as well. So how do we read into that?
And on the margins, what is the kind of impac t the cross-currency headwi nds have had? There is a lot of movement that has happened in the currency. And also, would there be any furloughs or spillover?
And in the long term, you have had a guidance band for ma rgin and it is there, but also it is quite narrow. And so, in the long term, how is it that y ou choose to improve on the margin part, given that there is also a margin projec t improvement that you have?
Salil Parekh
So let me start off with some of them. The first one was on the discretionary. The budgets for our clients will be on a calendar year basis, which will start now. So, we will get a sense in this quarter itself. Our commentary is mainly on what we hav e seen in Q3 and how the discussions have been going and that seems to indicate the changes that I mentioned.

 In terms of the new changes in the US, we will wait and see how it goes. Generally speaking, most
people who are the economists and so on have a view t hat the economy there will do better. That is what our clients are saying, but we will wait and see how it goes. We have a business that works in those growth situations, in the cost situations. So , we are feeling quite confident in terms of the outlook there.
Haripriya Sureban
So, what is the dependency on the H1B visas? Do you see any impact there?
Jayesh Sanghrajka
Yes. I can answer that. So, if you look at ov er the years, our dependence on H1B visas have reduced significantly. First and foremost, our onsite mix has reduced significantly. We used to be in the 30% rate, but now we are at 24% rate. Within that, our nearshore has increased significantly.
And within the US onsite population that we have, our H1 independent folks are now 60 plus percent.
We have now built a pretty resil

ient model from t hat perspective. And we are therefore much more confident from where we are versus where we used to be earlier.
Jayesh Sanghrajka
Yes. So, coming back to your other questions – attriti on at this point in time has remained at 13.7%, which is one of the lower attritions that we have seen in the last multiple years. It is range-bound and we do not see a challenge there at this point in time. We have already added -- last two quarters, we have added net new employees. And our campus hiring program is also as per our plan. So, we do not really see a challenge there as well.
You had another question on margins. So, if you look at our margins this quarter, we have expanded our margins by 20 basis points during the quarter. And if I just take the puts-and-takes of that, 40 basis points came from currency benefit, both rupee depreciation as well as the cross-currencies.
30 basis points came from a maximus, mainly from the pricing benefit that we got, 20 basis points came from the expected credit loss provisions and lower provisions on post sale customer support, offset partly by higher third-party costs that we had. And the headwind of 70 basis points was furloughs and lower working days and other costs. So that is our margin walk for the quarter.
As we get into the next quarter, we will have headwinds coming from the compensation increase that we have rolled out already. So that would be a headw ind. Currency, we will have to see how it pans out at this point in time. Looks like currency will give us some benefit in terms of margin, but we will have to see how the currency pr ogresses through the quarter.

 Rishi Basu
Thank you. The next question is from The Economic Times, Beena.
Beena Parmar
Hi. I want to question on the hiring commitmen t. I think you had committed to 15,000 to 20,000 freshers, is that on track and how much have you hired so far under that? And what is the outlook for the next fiscal? And if you can just give us may be this calendar year as well, what is the sort of hiring that you are looking at, both freshers and overall hiring?
On the deal momentum, if you could just give us a s ense, which sectors are likely to grow in the next two quarters, while financial services is seeing a lot of pickup, could you delve into the other

segments as well?
And with the deal cycle closing, a lo t of other peers have said that - that is sort of shortening, if you could also give us some sense on how the cycle has been? And how is the large and mega deal pipeline going forward for the next near term, maybe next two quarters?
And the last thing, what sort of impact do you see because of the recent lawsuit that has been made public in one of your court filings, what is the business impact because of that lawsuit? And could you give us some color on the charges because I thin k some of it is very serious? So that’s it.
Jayesh Sanghrajka
Okay. So, if you look at the headcount, we are on-t rack in terms of headcount or the fresher hiring this year, we will be hiring 15,000 plus. We are ex pecting for FY26, at this point-in-time, 20,000 plus fresher hiring. We do not really give our outlook in terms of the lateral hiring, that is dependent on multiple factors, how the demand grows, how the attrit ion pans out, etc., etc. And it is also a factor that over the years, we have now moved to a very agi le hiring model. So, we can pretty much fill this in India in two to three months, onsite in less than a month in terms of the demand. So, we do not really therefore, give out an overview or outlook in terms of the latera l hiring. But in terms of freshers, 15,000 plus for this year and 20,000 next year is what we are looking at this point.
Salil Parekh
In terms of the industry and the next few quarters, as you mentioned, we do not give industry-specific views which are forward. We have that overall guidance, which we have inc

reased. We have given
a view more on what we have seen in Q3, and we think that is something that is a good sign because

 Financial Services, which was strong in the US, is now strong,the discreti onary has come back in
Europe and with the Retail and consumer products expanding.
Beyond that, Manufacturing still remains slow, and t he other industries are at the same place where they were. So that is the way we are looking at it. But incrementally, we see that it is a better situation in Q3 than what we saw in Q2.
In terms of the large deals and the pipeline, our pipel ine is strong. We typically do not give the value of it, but it is a strong pipeline with large deals and some mega deals. These are deals we feel good about, given the way that some of the conversions have happened. In terms of the timeline of the closure -- the deal timeline, we have seen essentially similar situation from what we saw in Q2. That
is where we are, except, which is not just on the la rge deals, it is on the discretionary, where in those few industries that I mentioned, the discretionary moves a little bit faster. But the large deal movement is about the same in the pipeline. And in terms of any of the legal things, we have no additional comments here.
Rishi Basu
Thank you. The next question is from the Times of India, Veena.
Veena Mani
Good evening, gentlemen, and happy new year. So, your contribution from the top five clients has dropped to 12.7 from 13.4 a year back and compar ed to the previous quarter 13.7. What are the reasons for that?
So, the street has been expecting a more nuanced metric for a call out on the gen AI business. So, what would those metrics be for Infosys?
And also, there is a term in the industry called AI washing, where people generally, you use AI to the bare minimum and then give it an AI tag, is that happening? And can you tell me a little bit about that?
And also, is the headcount growth, the same pac e going to continue with Generative AI being one of the main things being talked about in the indu stry? Also, one clarification, you mentioned 6% to 8% in India. So that is the quantum of hike or is that…
Jayesh Sanghrajka
Quantum of hike.

 Veena Parmar
That is the quantum of hike. Sure.
Jayesh Sanghrajka
Yes. So, if you look at the contribution from the top five clients, many of them had furloughs this quarter. And this is typically the seasonal quarter from a furlough perspective that has impacted the contribution from the top clients.
Salil Parekh
So, on Generative AI, I think you mentioned AI washing. So, I am not aware of that within Infosys, but you may be aware of that outside with some ot her companies. We are very clear on what we are doing on Generative AI. The small language model, just as an example, so today we have several discussions with clients, where they would like to use the smal l language models that we have built.

So how are they built? They are built by using the proprietary data that we have, let us say on banking or on IT operations. It then uses some very standar d industry or in this case, a horizontal data. And then the client builds their ow n into that small language model.
Some clients are asking us to, for them to build a small language model of their own. So, for example, with a telco client, they want to build their own. Let us say company X telco, their own small language model, which we are helping them because we have th e platform for it. And this is real Generative AI work that we are doing.
Then you look at agents. So to give you some exampl e, we have built for a client -- this is actual work, not just like a proof of concept where we hav e built a research agent for a client, a large tech company, where they are now using that in their pr oduct area to support how queries are looked at and where their own people and th

eir own customers c an look at this, use this agent. And some of
the statistics are quite impressive from going from something like 18 days of time to do things to 8 days of time to do things.
So, these are real examples. We see real benefit s with clients. Another example of an agent, we built an agent for audit work for a professional se rvices company. There are 3 different agents. They are now helping that company to more efficiently and with fewer errors do what they are doing in their audit activity.
So, the work we are doing in Generative AI, we feel, is leading in the industry. We are very clear in how it is being used across, because these are real projects with cl ients. Almost every discussion

 with clients has some element of it. So let us say t he overall work is large, but there is always some
element of Generative AI in that discussion that we are involved in.
Rishi Basu
Thank you. The next question is from Moneycontrol, Reshab.
Reshab Shaw
Thanks, Rishi. Happy new year, gentlemen, a couple of questions there. So, first of all, on the deal cycles, you highlighted that the North American ma rket is already better but even Europe is getting better. So, on that front, are you seeing these cycles getting shorter and shorter?
Second, on your trainees, the Mysore campus ca ses now. I think the Forest Department has said the leopard has not been spotted. So, when are tr ainees going to be back on the campus? I hear that they will be back by 25th or 26th.
Also, Bhupendra, a person who went out on LinkedIn and said a lot of things on the work culture, so what are your views on that?
Salil Parekh
So, first on the deal cycle, so where we have seen for example, the discretionary work coming back, where we talked about Financial Services or Reta il in the specific geographies. There, for the discretionary work, things move relatively quickly. Bu t the overall deal cycle, if you look at large deals has remained about the same.
In terms of our Mysore campus, with the sightin g of the leopard, we engaged with the Karnataka Forest Department now and made sure that the safe ty of our employees, and also to make sure there was no harm to the leopard, we have taken all the appropriate steps. In fact, all the employees, we moved them outside the campus.
As of today, the Karnataka Forest Department ha s had a view where there has been no sighting or signs or whatever indications of the leopard for several days. And now we are in the process of looking at what the next steps will be.
In terms of the employee question that you mentioned, within Infosys, we have a very clear approach to make sure that everyone is treated fairly. We have a well-defined process of looking at how the performance is driven. We have equal opportunity in making sure that everyone gets the benefits of that. And we hold ourselves to this high standard.

 Rishi Basu
Thank you.
Reshab Shaw
When will the trainees be back? Salil Parekh
So, we are now in the process of looking at t hat update and putting together the next steps for that.
Rishi Basu
Thanks, Reshab. The next question is from Reuters News, Hritam.
Hritam Mukherjee
Hi, gentlemen. Congratulations on a good set of numbers. Sir, I wanted to know what is the latest update on the McCamish Cybersecurity incident? We had a couple of banks coming up saying that they were impacted. If you can give us some color on what is the latest and if there is any estimated impact on top line from that?

And secondly, Mr. Parekh, you gave some comments about the U.S. economy. But I want to ask you if you are feeling particularly confident about Tr ump's return to Presidency and now that his inauguration is a few weeks away, how do you look at US economy now that Trump is back? That's all.

Salil Parekh

So, on the first point, we have made several disclosure

s on that in the past which hold. In addition, the eDiscovery process for that is complete. Rec ently in December there were six different class action suits that were filed. The court has decided at the end of December to club or join all of them and allow for what is called a mediation proces s and that is the step that is underway today.

In terms of the US, I think the US market, or the economy has done incredibly well in the past few quarters with the way it has been managed post the COVID situation. And everything we see in terms of what the outlook is especially with what we saw on the inflation and the interest rates, that gives us a view that the US will remain a very good and strong market for us.

Rishi Basu

 Thank you. The next question is from Mint, Jas.

Jas Bardia

Good evening. Three questions. If you can just throw a little more light on whether you are seeing deal tenures get shortened. Does this imply that ev ery year you are seeing more deal renewals come up than say in the last 36 months? Then if I look at the sequential figures, the client contribution not just to the top 5, but also to the top 10 and to p 25 clients from the top of those clients have been coming down, if you can help me explain that?

And third, are you seeing any sort of a pricing pr essure in your conversations with clients going forward? If yes, which businesses are most affected?

Salil Parekh

Let me start with the first one, Jayesh will have some points on the second and the third. On the deal cycles, we do not see a change from Q2 to Q3 as we have seen the market in what we are seeing on the large deals. We do see because the discreti onary is slightly better on Financial Services or Retail in different geographies. Those are typicall y deals which get done a little bit quicker, but if you take the appropriate deals for them, it is remaining the same in that.

Jayesh will handle the other two. I just want to sa y one thing on pricing. We have some very strong positive momentum in pricing, but Jayesh will share the details.

Jayesh Sanghrajka

Yes, if you look at our margin expansion program, one of the tracks there is value-based selling and that is pricing in a way and that has delivered great results. The nine months over nine months pricing has improved by 3.6%. That is one which has hel ped us expand margins. If you look at our margin expansion, nine months over nine mont hs has expanded by 30 basis points.

Despite the fact that we had multiple headwinds, headwinds coming from the comp increase that we did last year in November, so full year impact came this year. We had furloughs this quarter. We had impact of increased third-party costs. We had im pact coming from an acquisition that we did on account of the amortization of intangibles. So, we have subsumed all of that and despite that, we have been able to increase our margins. One of the reasons is the pricing benefit that we got.

 Coming to the next question, you asked about the redu ction in revenues in multiple brackets. I think it is the same answer. The furloughs do impact clients across multiple brackets and the clients in top 5 clients do reflect in top 10 and top 20. So that is the main reason of the reduction there.

Rishi Basu

Thank you. The next question is fr om the Hindu BusinessLine, Sanjana.

Sanjana B

Hello, gentlemen. So, I just wanted to understand w hat the demand trends are in key verticals like BFSI, Retail, Manufacturing because anal ysts had estimated that for Q3 , BFSI will aid growth while weakness in Manufacturing will weigh on this gr owth. But this is the opposite for you, where Manufacturing has done better than BFSI. So just w anted to understand how these dynamics played out?

And also, in a previous conversation with the company, I learned that Infosys Cloud arm Cobalt enjoys better margins than y

our conventional services. But with a lot of focus on AI, I just wanted to understand, do you think Topaz will sort of -- t he margins of Topaz will outpace this growth?

And another question, in Q2, you had mentioned that you had a double-digit growth in deals below \$50 mn. So, do you see existing and incoming cli ents shifting their preferences towards smaller

deals? Thank you.
Salil Parekh
I will take the second and the third then maybe Jayesh will go on the first one. On the margins, you know for cloud or other things within the company, we typically do not share that externally. So, we have no real view on that. However, the way Jayesh shared a little bit of that, we have a program where we look at margins across the company in different components.
So, all of those things are helping us to make sure that the margin appropriately is growing. And we have an ambition in the long term of having better and better margins. So that is something that we look at, but we do not have this sort of external sharing of the cloud and so on.
Jayesh Sanghrajka
So, if you look at industries, within industries, our Financial Services has continued to grow stronger, especially the US Financial Services. We are s eeing revived interest in the European Financial Services. In Retail we are seeing, again, better predi ctability in terms of US retail, especially the

 Retail and CPG on back of the better holiday seasons and better client sentiment. So those are the
positives that we are seeing.
Manufacturing, while it has delivered double-digit grow th, we still continue to see softness in Europe manufacturing, and that continues. Hi-Tech continues to remain soft for us. Communication, similar commentary, we are not seeing any challenge from that perspective.
Coming to geographies, the US has shown positive, year-on-year, grown posit ive year-on-year after four quarters of decline. Europe, as Salil said ea rlier, we have now had a double-digit, strong double-digit growth on back of multiple large deals. So ov erall, we do see those changes in the environment.
The question on smaller TCVs. So overall, smalle r deals, the deal pipeline has continued to remain stable. The large deal pipelines have grown, as Sal il said earlier. So over all, deal pipelines have become stronger between Q2 and Q3.
Rishi Basu
Thank you. The next question is from Fortune India, Rukmini. Rukmini Rao
Thank you. Salil, I have three questions. One, if we are to look at the corresponding quarter two fiscals ago, December 31st, 2022, if we are to look at the rate of growth of number of clients in the 1 mn bucket and the 50 mn bucket, it has been the fastest, about 85 and 10 odd clients. How do we read this -- are deals coming only in this kind of bucket now? And the $10 plus mn are the kind of deals that would have come are no longer there or there are fewer in the market itself.
And also, your days of outstanding sale on Dece mber 31st, 2022 was about 68 days, which is now up to 74 days, now six days of, I mean, and given t hat you have an improved cash flow now? Is it a lot of collections that have happened and that is reflecting in the free cash flow?
And third is, given that you have such excellent fr ee cash flow, would it make you guys a lot more adventurous, look for bigger ac quisitions, perhaps? Thank you.
Salil Parekh
I will take the first and the third and DSO Jayesh will look at. So, on the buckets of clients, I think the way you looked at it, so we have a strong focus on maki ng sure that all the different levels of clients we expand and some of that is what you are seeing in the data that you referenced. Now, the deal size is a slightly different parameter because the deal size will be like in a s pecific client, which will
be over multiple years. So, part of it will get refl ected into one specific year or a quarter or so on.

 So, the deal size, as Jayesh was sharing, there is, and even we shared last quarter, we saw a good increase in that smaller deal size, not the large deal only. And then this quarter, as Jayesh shared, we have seen also the larger deal pipeline becomi ng bigger. So, that is one huge positive that we are seeing in the change of the pipeline in the deal size.
And the earlier point was on the size of our clients. We want to make sure that at all levels, we have an approach that builds up the client because today w hen a client trusts us with X mn, tomorrow it could be 3x or 5x and that is something that grows year-over-year. And that is part of something we have done internally, which is being refl ected from the outside and the numbers.
So, typically there is a progression over time that happens. And part of some of the activities we do inside is to make sure that we share with our cli ents what other services we have that takes clients from that level to a different level once they become comfortable with it. Now, on the point on having so much cash and being adventurous, I think it is highly unlikely that we all be adventurous.
Jayesh Sanghrajka
Yes. Coming to the DSOs and the cash flow question, if you look at this quarter, we had -- as Salil said earlier, we had one of the highest cash generation, right? And that is on back of the multiple intervention that we have been doing for the last multiple quarters. We have had a razor sharp focus
on cash conversion. Our unbilled and unearned has come down significantly in this quarter. Our unbilled minus unearned has come down by $300 mn.

So, typically that first converts into AR and then c onverts into cash. So, while you see, you know, an
AR increase, if you look at AR, net of unbill ed and unearned has come down by six days. And that
has reflected in our cash flow. Of course, we also had a tax refund, which has helped our cash flow in the nine months. But even after that, adjusted for tax refund, our cash flow for the nine month
period has gone up by 50% on a nine month over similar nine months last year.
Rukmini Rao
Will the DSO days get reduced
Jayesh Sanghrajka
As we collect, start collect, that is the endeavor. Rishi Basu
Thank you, Rukmini. The next question is from the Financial Express, Padmini.

 Padmini Dhruvaraj
Hi. So, was your revenue contribution from the rest of the world and 10 mn to 20 mn category
customer affected due to dollar appreciation? And so, where is the India growth coming from and
why is the rest of the world declining? And are you seeing any challenges in contract renewals with
clients seeking expanded project scopes at same price and/or same scopes at reduced values? And
is there lumpiness in megadeals because of AI's fast evolution? And your nine-month margin
average is already above 21%. So, is there a pa rticular reason for retaining the guidance?
Salil Parekh
Let me start with some of them first, you can come back to Jayesh. The question around what we do
with the margin guidance, I think we will keep the sa me margin guidance, which is 20 to 22. We are
not changing the margin guidance, even as you ment ioned, with the nine month outlook. So, what
was the one before that?
Rishi Basu
Dollar appreciation.
Salil Parekh
Yes, rest of the world you can do that.
Jayesh Sanghrajka
I will answer that. So, if you look at the rest of t he world, the reason of decline in the rest of the world
was because we had some one time in the -- last year same quarter, which was the third-party related cost and therefore the revenue that we got out of that. So, that has helped those quarters.
Underlying growth has still remained strong for us and we do not see any challenge coming from
there.
Padmini Dhruvaraj Where is the India growth coming from?
Jayesh Sanghrajka
India is a very small segment for us. So, any smal l change there will show

large in percentage terms,
but it is a very small segment for us. So, these projects will have some spikes and bottoms with
depending on seasonality on those projects.

 Padmini Dhruvaraj
(Editor's comment – audio unclear)
Jayesh Sanghrajka
As I said earlier -- the client segmentation is mainly impacted by furloughs in this quarter.
Rishi Basu
Thank you. The next question is from the Deccan Herald, Sonal.
Sonal Choudhary Hello gentlemen, congratulations on the resu lt. A few questions here. One of your peers had
highlighted that CY'25 will be a better year. How are you looking at it? Also, how have third party or
pass through revenues been this quarter? Thirdly, al so on the median salary package, if you could
shed some light on that, has it increased for freshers? How has it been?
Salil Parekh
So, on the first one, we give our guidance for the financial year. And we have increased our guidance
for this financial year even with one quarter outstanding. We do not have a view beyond that, but what we are seeing is a clear change in the discre tionary activities in Financ ial Services, in Retail,
and consumer products.
So, it gives us a good confidence that overall we are executing very well within the company and
clients are seeing tremendous traction with us. So, we feel that as a positive thing, but we do not
have a view which is going beyond this financial year.
Jayesh Sanghrajka
And third-party cost has gone up. This is a seasonal quarter again, where the third-party cost of the
percentage of revenue goes up. It is gone up in line of that.
Sonal Choudhary
And also on the median salary package?
Salil Parekh

So on that, we have no change to announce at this stage, no comment on that.

 Rishi Basu
Thank you. With that, we come to the end of this press conference. We than k our friends from media for being here today. Thank you, Salil and thank you, Jayesh. Before we conclude, please note that the archive webcast of this pre ss conference will be available on the Infosys website and on our YouTube channel later today. Thank you and please join us for high tea outside.

Infosys Limited
Q3 FY'25 Earnings Conference Call
January 16, 2025

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SBI Pension Funds

 Moderator

Ladies and gentlemen, good day, and welcome to Info sys Limited Q3 FY'25 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep M ahindroo. Thank you, and over to you, Mr. Mahindroo.

Sandeep Mahindroo

Hello, everyone, and welcome to Infosys Earnings Call for Q3 FY'25. Let me start the call by wis

hing

everyone a very Happy New Year. Joining us on this call is CEO and MD, Mr. Salil Parekh; CFO, Mr. Jayesh Sanghrajka; and other members of the l eadership team. We will start the call with some remarks on the performance of the company. Subsequent to which, the call will be opened up for questions.

Please note that anything we say that refers to our outlook for the future is a forward-looking statement, which must be read in conjunction with the risks that the company faces. A complete statement and explanation of these risks is availabl e in our filings with the SEC, which can be found on www.sec.gov.

I would now like to pass on the call to Salil.

Salil Parekh

Thanks, Sandeep. Good morning and good evening to all of you. Wish you a Happy New Year. Thank you all for joining us on this call.

Our revenue grew 1.7% quarter-on-quarter and 6.1% y ear-on-year in constant currency terms in Q3. All verticals and most geographies grew year-on- year. We saw double-digit growth in Europe and India and in our Manufacturing business.

Large deals were at $2.5 bn, operating margin at 21.3%. Free cash flow for the quarter was at an all-time high of $1.26 bn. Headcount grew by over 5,000 sequentially to now over 323,000 employees worldwide.

Financial Services in the U.S. continues to gr ow strongly in this quarter and over the past few quarters. We have seen a revival in European Fi nancial Services during Q3. We are seeing an

 improvement in Retail and consum er product industry in the U.S. with discretionary pressures

easing. Automotive sector in Europe continues to remain slow.

Demand trends remain stable in other industries, with clients continuing to priori tize cost takeout over discretionary initiatives.

Clients are turning to us as their partner of choice when it comes to enterprise AI to transform their business for growth and to manage operations more ef ficiently. With Infosys Topaz, our Generative AI-powered services and solutions, we are deepening our enterprise AI capabilities. We have built 4 small language models for banking, for IT operati ons, for cyber and for enter prises broadly. These small language models have 2.5 bn parameters. These models are built using some of our proprietary data sets.

We are developing over 100 new Generative AI agents for deployment within our clients. We are working closely with our Generative AI partner ecosystem to dev elop joint solutions for our clients, several of them on the platforms of the partners.

Here are some examples of the work we are doi ng for our clients in the Generative AI area. We developed a Generative AI-powered research agent that generated comprehensive solutions within seconds for requests made for the product support t eams of a large technology company. We have

created 3 audit agents to intelligently automate mult iple tasks for a professional services company.
Based overall on our strong performance in this quarte r and our view for the rest of this financial year, we are revising our revenue growth guidance to growth of 4.5% to 5% in constant currency.
Our operating margin guidance remains unchanged at 20% to 22%.
With that, let me request Jayesh to share his views. Jayesh Sanghrajka
Thank you, Salil. Good morning, good evening everyone, and thank you for joining the call today. As well, wish you all a very Happy New Year.
We had another strong quarter of all-round growth ac ross verticals. This was backed by relentless execution resulting in improvements in multiple operating parameters leading to expansion in margin and cash conversion.
Here are some of the key highlights.
1. We had a strong all-around growth across vertic als of 6.1% year-on-year in constant currency terms.

 2. Among geographies, North America returned to pos itive growth trajectory after 4 quarters, growing at 4.8%. Europe grew at

12.2% YoY in constant currency terms, twice the company level.
3. Financial Services saw a thir d consecutive quarter of volume growth, reflecting continued positivity we are seeing in this sector.
4. Our $50 mn clients increased by 7. 5. Large deal TCV for the quarter was at $2.5 bn, 63 % of this being net new, which is an increase of 57% in net new deal TCV. Our large deal pipeline has become stronger in Q3.
6. Coming to margins, Q3 margins are at 21.3%, 20 bps higher sequentially after absorbing impact of furloughs and higher th ird-party costs. Margins were up 80 basis points year-on-year.
7. We saw double-digit YoY increase in EPS of 11.4% to INR16.43.
8. Our razer-sharp focus on cash flow resulted in very strong free cash flow of $1.2 bn for the quarter and $3.2 bn for 9 months. This is an increase of 90% on YoY basis and 57% on 9-month basis.
9. DSO was at 74 days. However, DSO incl uding unbilled net of unearned was down by 6 days at 86. Our net unbilled revenues declined by $323 mn sequentially to lowest level in last 12 quarters.
10. Net headcount addition continues for second consecutive quarter. We added 5,591 employees this quarter.
Let me now talk about some of this in greater detail.
We had a strong revenue growth of 1.7% sequentiall y and 6.1% on YoY basis in constant currency terms in a seasonally weak quarter. For the 9 mo nths, revenue grew by 3.9%, both in constant currency and reported terms, with doubl e-digit growth in Manufacturing.
Operating margins expanded to 21.3%, which is an increase of 20 bps sequentially and 80 bps year-on-year. The major components of sequential margin walk for the quarter are -
Tailwinds of
- 40 bps from currency movements
- 30 bps from Project Maximus - 20 bps from lower costs relating to provisio ns for post-sales customer support and expected credit loss provision, offset by higher third-party costs
Headwinds of

 - 70 bps from furloughs and lower working days, offset by higher leave utilization and others.
Utilization, excluding trainees, was strong at 86% despite the low volume growth environment.
We are very pleased with the continued success of Project Maximus, which has resulted in benefits across various tracks. One such area is realizat ion, which has increased by 3.6% over 9 months, resulting from strong performance emanating fr om value-based selling track. This has helped expand YTD margins by 30 basis points despite additional headwinds from FY'24 comp increase, higher variable payout, impact due to amortization of intangibles from recent acquisitions and large deal ramp-up.
Headcount at the end of quarter stood at 323,000, gr owing sequentially by approximately 5,600. This is the second consecutive quarter of headcount addition. Attrition remains low at 13.7%.
Coming to cash flows, our 9-month free cash flow has surpassed full year free cash flows for the last financial year. For the quarter, our free cash flow s were at $1.26 bn, up 51% over last quarter and up 90% over the same period last year. FCF as a percentage of net profit for 9 months was 136%.

Excluding income tax refunds, our free cash flow for the quarter was at $996 mn, up 27% over last quarter and up 50% over Q3'24. Our free cash fl ow, excluding tax refund as a percentage of net profit for the quarter, is at 123% and for the 9 mont hs, is 109%, which is the highest conversion in over two decades.
Yield on cash balance was 6.91% in Q3.
ETR was at 29.5% for both Q3 and 9 months.
We closed 17 large deals with a TCV of $2.5 bn, 63% of this was net new. Vertical-wise, we signed 5 deals in Financial Services, 4 in Communication, 3 in Manufacturing, 2 each in Retail and EURS and one in Hi-Tech. Region-wise, we signed 11 lar ge deals in America and 6 in Europe. This also includes a BOT deal with the client to set up a GCC in India.
For 9 months, large deal wins stood at 72 deals with T

CV of $9 bn and 55% of this is net new.
Coming to verticals,
Financial services in the U.S. continues to see discretionary spend increase in capital markets, mortgages, cards and payments, which led to another quarter of volume growth. We have also seen a revival in Europe leading to Q3 backed by some large deals. Our expansion beyond the U.S., specifically into Nordics, Middle East and Southeast As ia is also contributing positively to our growth. Clients have started to view IT investments mo re favorably post-election-related certainty and

 interest rate cuts in recent months. While the focus remains on cost optimization, spending towards
new growth areas like AI, cloud adoption, cy bersecurity, data and analytics is observed.
Manufacturing continues to see weakness in the autom otive in Europe. However, there is a continued momentum in areas such as engineering, IoT, s upply chain, cloud ERP and digital transformation. The benefits of vendor consolidation are being more apparent, contributing to the growth of existing accounts and the establishment of new relationships. The pipeline is healthy, with a mix of large and small deals and a focus on cost take out and portfolio rationalization.
We are seeing some signs of recovery in discreti onary spend in the Retail and CPG vertical in the U.S. There is a pickup in deal activity backed by improved cons umer sentiment and strong holiday season sales. Companies are looking at invest ing in brand and technology initiatives. S/4HANA migration deadline is driving budget allocation to make enterprise workload compliant. We are leveraging Infosys Topaz to showcase enhanced bus iness value in predictiv e analytics and real-time insights and strategic decision-making.
Communication sector continues to face volatile macro environment, leading to growth challenges and rising opex pressure. Discretionary spending c ontinues to be soft and current year growth is driven mainly by recent large deal wins focused on efficiency and consolidation.
In EURS sector, macro headwinds and supply-demand imbalances continue to influence spending patterns. Growth in demand for electricity to cate r to data centres is expected to bring in more investment in energy. Resources clients are more watchful about the changing geopolitical dynamics impacting the supply chain. Discretionary spend rema ins muted. Our investment in industry clouds and energy transition solutions have helped us win multiple deals.
Hi-Tech continues to remain soft. Some clients ar e reducing the run cost and pausing discretionary investments. We are seeing opportunities in cost takeout deals, including legacy product management and managed services based business operations. Programs are driven by cloud computing and new tech like AI and ML.
Driven by our performance and outlook for the rest of the year, we are revising our FY'25 revenue guidance to 4.5% to 5% in constant currency terms. Our operating margin guidance remains at 20% to 22%.
With that, we can open the floor for questions.
Moderator

 Thank you very much. We will now begin with the question-and-answer session. The first question
is from the line of Ankur Rudra from JP Morgan. Please go ahead.
Ankur Rudra
Thank you and nice print. Can you comment a bit ab out if there were any one-time items in your revenues or margins this time? I do notice that y our third-party costs moved up quite a bit perhaps ahead of revenue growth, and also volume growth was quite soft. So if you can talk a bit about how you think about volume growth into fiscal '26? I know you mentioned that you think it will be better than last year. And if there is any impact of AI impacting the volume of work? Thanks.
Jayesh Sanghrajka
Thanks, Ankur. So you are right, our third-party co sts were higher this quarter. There is a bit of

seasonality in every Q3

. But yes, even considering that, it was higher than that. And that has impacted both cost and revenue. In terms of volumes for FY'26, it is a little bit early , Ankur. As you know, we do get the visibility with clients in terms of budgets in February and March, and then it aligns with our annual cycle. So we would be able to give a clearer picture in April as we announce the guidance for the full year. There were no other one-offs either on revenue or costs in this quarter.

Ankur Rudra

Appreciate the color. Just if you can talk a bi t about the guide. Now the guide increase is positive, but if you look at the implied number for Q4, it implies a negative number. Is this primarily due to seasonality or also partly from t he third-party sales led business, which might shrink and which you have baked into the guide this time?

Jayesh Sanghrajka

Ankur, there are two parts, as you rightly said. O ne is, of course, the third-party seasonality, which is baked in Q4 guidance because Q3 was significant ly higher. And Q4 also has lower working days and calendar days. So that is a headwind that we face in Q4. So, both of that are baked in the guidance.

Ankur Rudra

Appreciate it. Just last question, you menti oned a lot about small language model and agentic AI. Can you talk a bit about how, on a structured basis, this might impact the volumes of your work, the

 need for productivity pass back and if this will be net additive or dilutive to the amount of work Infosys can do for its clients?

Salil Parekh

Hi Ankur, this is Salil. On the agents, there, w hat we are seeing is good traction with clients where we have already deployed. The couple of examples I mentioned, where ther e are several live or production examples, not just pr oof and concept. What we are seeing is the agents are helping clients to achieve benefit, whether time reduction, cost reduction or greater impact in their customer base and growth. And they are being done in a broad-based way within the client.

So the way we are seeing it today is, the areas which can be addressed by agents. We are building about 100 new agents which expands the opportunity that we have to do this sort of work. So at this stage, it looks to us like this will give us over time more growth.

On small language models, there, the usage of that small language model is to create some activity, sometimes software development, sometimes customer service, sometimes the knowledge objects within the client and make a positive impact in t hat. And those all have some elements for them to get additional market share and for them to be more e fficient. So the more they are deployed, again, for us, we see possibility of driving growth through that.

So one of the examples of a small language model, we are working with a client where they want to build their own small language model based on 1 of t he 4 that we build, the enterprise one. And that then translates into their industry and for them to drive it more within the company. So for us, it is like having the model as a service.

So for us, it is an expansion of work in the more of those that clients are looking at. So at this stage, we are seeing a broader set of opportunities, while over all scale is small but it is looking like there will be more opportunities in this area.

Ankur Rudra

Thank you. Would you classify this nature of work, Salil, under cost-oriented, efficiency-oriented work or is this more discretionary-oriented work?

Salil Parekh

So today, AI is something where many clients ar e doing different programs. So it is not like the traditional tech which had that sort of a view a nd when industries were getting back, the discretionary was increasing and otherwise, it was more cost. Today, we see the spend is broad-based. The end

 outcome sometimes could be the cost or their own growth

but it is not like that easily put into one of those buckets today, at least.

As it becomes more mainstream, we will be able to see how they use it. Today, there is a broader usage of AI within companies that is going on.

Ankur Rudra

Okay, appreciate it. Thank you and best of luck.

Moderator

Thank you. Next question is from the line of Y ogesh Aggarwal from HSBC Securities. Please go

ahead.
Yogesh Aggarwal
Hi, just have one question on the third-party item s, the pass-through revenues. Jayesh, you talked about seasonality, which is for the fourth quarter. But in general, if you step back, will this line item continue to grow with the top line? Or is there a limit like one can expect like around 9%, 10%, it will settle down? Or this is a new reality that for every new deal, new work, the pass-through revenue will grow in line with the overall revenues?
Jayesh Sanghrajka
So Yogesh, at this point in time, we do not expect this to change significantly but it is also a factor of the large deals or the megadeals that come in at ti mes, right? So it is dependent on, some of the large deals come in where you take over the tech , the process, people, technology from the client, and as a result, you do incur those costs on your P&L because you are providing an end-to-end solution to the client. So it is going to be a factor of that. But based on current visibility, we are not seeing any significant increas e from here in the next few quarters at least.
Yogesh Aggarwal
Got it. Thanks.
Moderator
Thank you. Next question is from the line of Bryan Bergin from TD Cowen. Please go ahead.
Bryan Bergin

 Hi, thank you for taking the question. I wanted to start on pricing. So I think you mentioned a 3.6%
9-month realization tailwind, is very solid. I am ju st curious how you think that progresses from here as you pursue this value-based pric ing strategy and what is a reasonable level of potential pricing impact you would expect going forward? And then just more broadly, can you comment on the competitive pricing situations in the market?
Jayesh Sanghrajka
So Bryan, as we had talked earlier, this is one of the pillars under our margin improvement program, and there were multiple tracks beneath that and those tracks are yielding results. It is difficult to predict from here, whether this kind of growth year-on-year wi ll be sustained or not. But our endeavor is to keep improving and keep getting better from where we are. So very difficult to give a guidance there.
Having said that, coming to your second question, the pricing environment per se across, at least what we are seeing in the industry is stable at this point in time.
Bryan Bergin
Okay. And then on utilization, remains m odestly above your normalized range around 86% ex trainees. Can you comment, is this a new normal? Wil l this move lower as hiring continues? Where do you see that progressing?
Jayesh Sanghrajka
Yes. So we have generally said 83%- 85% of utilizat ion is a range that we are more comfortable with. 86% is a little bit above our comfort level but we do not expect it to change significantly either way. So yes, 83%- 85% is where we would like to be.
Bryan Bergin
Okay. Thank you.
Moderator
Thank you. Next question is from the line of Rish i Jhunjhunwala from India Infoline. Please go ahead.
Rishi Jhunjhunwala
Yes, thanks for the opportunity. I am sorry, I had dr opped for a minute. So in case I am repeating the question. Just wanted to understand the growth in to p 5 clients, right? So it has declined pretty

 sharply in this quarter, down more than 6% QoQ in dollar terms. And even on a year-on-year basis,
there has not been much growth. So just trying to understand, what exactly is happening there?
Jayesh Sanghrajka
So, Rishi, the sequential change in the top 5 clie nts is pretty much furlou

ghs, largely because you do see furloughs impacting many of the large cli ents. And of course, these are also reported numbers, so there could be a bit of currency impac t as well depending on which geography the top 5 clients are.
The year-on-year will be client specific. There would be so me deals which would have ramped up, ramped down as we have seen. So there could be multiple reasons. I do not think there is anything sectoral here in a way to decipher from here, in my mind.

Rishi Jhunjhunwala
Okay. And just secondly, clearly, last year, we had a pretty big year in te rms of overall deal wins, almost $17.6 bn. This year, currently, we ar e annualizing at around $12 bn. Just wanted to understand, in terms of proportion of revenues that comes via pass-through, has that changed in the amount of deals that we have won in tota lity this year versus last year?
Jayesh Sanghrajka
No, not really, Rishi. If you look at last year, we had some of the megadeals in the deal signing which we had called out for as well. I think we had around 8 megadeals in the last year. So that has helped in the $17 bn TCV. But as you know, those deal s are volatile. Some quarters, you do have megadeals and some not. There will always be a spike in the megadeals.
Outside of the megadeals, the large deals, we hav e been consistently in the range of $2.5 bn to $3 bn. If you look at this quarter, $2.5 bn has 63% net new which means that the net new sequentially has grown by 50% quarter-on-quarter. We do not ex pect any significant impact from the deals that we signed this year on the third party.
Rishi Jhunjhunwala
Okay, thank you so much.
Moderator
Thank you. Next question is from the line of Jonathan Lee from Guggenheim Partners. Please go ahead.

 Jonathan Lee
Great, Happy New Year, thanks for taking our ques tions. Last quarter, you called out improvement in your smaller deal pipeline, but it does not sound like that continued into this quarter. What do you think is driving that difference, particularly give n some of the improvement you have called out in discretionary demand?
Jayesh Sanghrajka
So Jonathan, as we said, our overall deal pipeli ne has grown because this quarter, our large deal pipeline has also become stronger and the pipeline outside of the large deals has remained stable. So that has reflected in our overall deal pipeline which has grown. There is also a reflection of everything that Salil talked about in terms of the positivity in certain sectors that we are seeing, especially the Financial Services in the U.S. and Eur ope, the positivity in Retail in U.S. and the cost takeout opportunities in some of the other segments that continues.
Jonathan Lee
Appreciate that color. On the European BFSI fron t, can you help us unpack some of the strength you called out there? What is it that you are seeing in your conversations there? And how durable is that strength?
Jayesh Sanghrajka
Yes. So, it is across the deals that we have sign ed. I mean we are not seeing a sectoral change in a way, but we are seeing a large number of deals that we have signed benefiting us in terms of the positivity in the coming quarters. It is across cl oud deals and consolidation of some of the vendors that we have seen that should help us in coming quarters.
Jonathan Lee
Appreciate it, thanks for that level of detail.
Moderator
Thank you. Next question is from the line of Surendra Goel from Citigroup. Please go ahead.
Surendra Goel
Yes hi, good evening. One of the industry players called out AI-driven productivity pass back to a large client of theirs. Have you seen any such instances in any of your large clients?

 Salil Parekh
So on the AI-driven productivity point, in general, what we see is whenever there is a productivity benefit, there is always sharing with clients. So in the AI-driven or

the other, like outside of AI driven,
we are not seeing a difference in the way it is being treated. Many of these, like the examples I gave on agents or some of the examples we have done in the past where we have looked at the foundation models, doing software development or customer serv ice. Typically, some benefits will go with the client. And typically, we will get to keep some benefits.
Surendra Goel
Okay. Maybe I will ask the question more specifical ly. The top 5 client performance, has that been impacted by any such productivity pass-through?
Jayesh Sanghrajka
No, Suren. As I said earlier, it is more of furloughs this quarter. Some part of that is currency because

some of the clients are in the different geographi es, non-U.S. geographies. And if you look at year-on-year, I do not think there is any se ctoral behavior we are seeing there.
Surendra Goel
Sure. Thanks a lot.
Moderator
Thank you. Next question is from the line of Vi bhor Singhal from Nuvama Institutional Equities. Please go ahead.
Vibhor Singhal
Yes, hi. Thanks for taking my question. I had a c ouple of questions. So the first question is on the expected growth rate for Q4, which as per the guidance, comes in the negative territory. Now you alluded to the point that it is probably based on the s easonality. So should we assume that this is the reality for business now that the overall business mi x that we have at this point of time, in general, Q4 is going to be sharply, let us say, lower than what Q3 does?
Despite the fact that Q3 itself would be lower because of the furloughs and the holiday season that we see? If you can answer that, and then I have a follow-up question?
Jayesh Sanghrajka

 Yes. So Vibhor, if you look at, Q3 was benefited by so me of the third-party revenue, right? So to that
extent, there is an additional seasonality versus what we generally see in Q3 and Q4 as a seasonality. Historically, if you l ook at our first half, it is always been stronger than the second half, and within second half, depending on how the calendar days and working days play out, you would see one quarter better than the other quarter.
This year, we have lower working and calendar days , both in Q3 and Q4 and that does have Q3 and Q4 impacted. Plus, Q3 has larger furloughs. Q4 will have some furloughs. So you will see overall some furlough flushback offset by working day and calendar day impact and a reversal of the benefit that we got in terms of the third-party revenue.
Vibhor Singhal
Got it. And the third-party revenue will also have the seasonality of maybe peaking out in Q3 and then maybe tempering down in the following quarters? Is that also fair to believe?
Jayesh Sanghrajka
Yes. That is how generally is, right? In Q3, you do see many of these deals having a larger volume.
Vibhor Singhal
Got it. Fair point. Just one last question is on the Retail vertical. I am sorry if I missed out in the opening part. I mean what is our outlook in that vert ical overall that we ar e seeing? I mean you have alluded to discretionary spend picking up earlier. I thin k a couple of your com petitors also have had basically seen the vertical bottoming out. How is th is vertical playing out for us and our outlook for this in coming quarters?
Jayesh Sanghrajka
So Vibhor, what we have said is, we are seeing pos itivity in Retail and CPG in the U.S. That is reflecting from the fact that the sales in the holi day season is better. The consumer sentiment is getting positive. So all of that is starting to refl ect in the deal pipeline, etc. and the client's behavior in terms of decision-making, etc. So we are seeing that positivity and in the next 1 or 2 quarters, it should start reflecting in terms of volume.
Vibhor Singhal
And the deal pipeline in the vertical also remains strong?
Jayesh Sanghrajka

 Yes, deal

pipeline overall has remained strong. If we look at, again, in this quarter also, we did sign a couple of Retail deals as well.
Vibhor Singhal
Got it, sir. Thank you so much for taking my question and wish you all the best. Moderator
Thank you. Next question is from the line of As hwin Mehta from Ambit Capital. Please go ahead.
Ashwin Mehta
Yes, hi. Thanks for the opportunity. Just wanted to che ck in terms of impact of the wage hikes, will it be a full impact next quarter? Or w ill it be staggered? And what is the margin impact that you see of wage hikes?
Jayesh Sanghrajka
So Ashwin, as we have said earlier, our comp ro ll-out is going to happen in two phases. First phase starting 1st January and the second phase will star t from 1st April. The I ndia wage increases would be, on an average, 6% to 8%. Of course, the hi gher performers would get much higher, etc., and the

overseas would be low single digit. We have not re ally called out the margin impact on account of
that. Most of the employees will get comp increase in Q4.
Ashwin Mehta
Okay. Thanks. And just one follow-up to an earlier question. So you indicated that the top 5 client
decline was largely furlough led. So ideally, this should recover in the next quarter itself, right?
Jayesh Sanghrajka
Yes. I mean likely yes, Ashwin. We do not give the projections by the brackets of clients but furloughs
should reverse for sure.
Ashwin Mehta
Okay. So the decline is much higher - because y ou had almost a 1% drag because of these top 5
clients. And in terms of our guidance, there is a decent enough decline built in. So essentially, the
decline is much more. Is the understanding correct?
Jayesh Sanghrajka

 So Ashwin, as I said earlier, it is going to be furl oughs, it will be currency, plus it can also be factors
like third party, if one of those cl ients had third party last quarter ve rsus this quarter. So there could
be those things. I am not seeing any sectoral behavio r in those brackets, which is where the client is
behaving differently.
Ashwin Mehta
Okay. Thanks Jayesh. Thanks for the clarification.
Moderator
Thank you. Next question is from the line of Jamie Friedman from Susquehanna International Group.
Please go ahead.
Jamie Friedman
Hi. Good evening. Nice print. So Salil, how are y ou characterizing the linearity narrative now because
I see you are taking up the headcount, which seems quite constructive? I was wondering the
automation impact contemplati on relative to linearity?
Salil Parekh
So on linearity, we see currently there is benefit s coming as you stated from automation. There is
also benefits that Jayesh was sharing earlier from pricing. But broadly speaking, at the scale we are
operating at today, we still see benefits with the employee headcount increase.
So for us, that is a good signal on a net basis bec ause it is showing that we are expanding the work
that we are doing overall. In the medium, long term , there are different views that could develop. But
right now, we are positive with the employee grow th and we do see the pluses and the minuses with
some of those elements you referenced internally.
Jamie Friedman
Thank you. And a separate question with regard to the net new number, which was quite robust.
Does the net new reflect either t he similar like vertical operating gr oup or service lines as the current
base of business? Or is there something that is like net-net new going on in the new bookings?
Salil Parekh
So we are also positive on the net new. It demonstr ates an expansion of what we are doing typically
with existing or new clients. We do not, sort of detai l out the specific service line but at a macro level,

 sufficient to say that we see ve ry good traction on areas like cl oud. We see good traction in a small
way on what we were discussing earlier on Generative

AI.
We are seeing good traction on areas like SAP S/4H ANA. We are seeing good traction as Jayesh
shared earlier on broadly cost takeou t. So these are not, let us say, all net-net new Generative AI is,
but it is a mix of these things without sort of getting into the specifics on the 63%.
Jamie Friedman
Perfect. Thank you. I will join back in the queue.
Moderator
Thank you. Next question is from the line of Sandeep Shah from Equirus Securities. Please go
ahead.
Sandeep Shah
Yes. Thanks for the opportunity. Salil, just the first question. When we entered FY'25, we had a lot
of support of the megadeal, large deals which have ramped up in the first 9 months of FY'25. With
those largely into the ramp-up stage and might go on into steady state, do you believe FY'26 we may have to worry? Or do you believe FY'26, as some of the industry peers are calling out, better than
FY'25? So, do you believe that for the industry FY'26 could be better than FY'25?

Salil Parekh
So there as I think you know, we do not have a co mment externally on the ne xt financial year. What we are very clear is with this better view on Finan cial Services. So the first was U.S., now Financial Services Europe, the better view on Retail and cons umer products, U.S, we are starting to see some positivity on the discretionary. With a net new of 60% looking good, we will see where that brings us into the next cycle. And overall, going in with an increased guidance, we feel confident going into Q4.
We also see the deal pipeline for large deals looking more robust than it was at this time last quarter. So overall we see our execution of what we are dr iving and the traction that the clients are giving us is incredible. That is what we have to say becaus e we stop in terms of specific guidance at March 31. But generally speaking, what we are seeing underlying seems to be positive.
Sandeep Shah

 Okay. Just other questions. Any color in terms of deal pipeline below $50 mn which has grown 10%
QoQ in the 2Q? Any update on the same? Second, in terms of margin, Jayesh, do you believe the likely reversal in the third party would be enough to offset the wage hike impact in the third quarter?
And also in terms of the recruitment which we have done in this quarter, can you throw color, is it more fresher driven or is it more lateral driven?
Jayesh Sanghrajka
Sorry, Sandeep, what was your first question?
Sandeep Shah
Small deal pipeline?
Jayesh Sanghrajka
Yes, small deal pipeline. The smal l deal pipeline remained stable as compared to last quarter. As Salil said, our large deal pipeline ha s grown. So our overall pipeline, therefore, has become stronger. So that is the point number one. Point number two, we will have headwinds in terms of compensation. We will have tailwinds coming if the third-party cost is coming down and some bit of currency depending on how the currency plays out. But at this poi nt in time, where we are, there could be some benefits from there. So that is broadly the puts and takes. We do not really quantify each of them as we get into this quarter. So I would not get there.
Sandeep Shah
And the last question on recruitment?
Jayesh Sanghrajka
So I think recruitment is a combination of both freshers and laterals. Again, we have not broken up this number. But for the year, we will hire 15,000 pl us freshers in line with our original commentary. And for the next year we are expecting 20,000 plus.
Sandeep Shah
Okay. Thanks and all the best.
Moderator
Thank you. Next question is from the line of Sumeet Jain from CLSA India. Please go ahead.

 Sumeet Jain
Hi, thanks for the opportunity. If I recall correctly, last quarter you mentioned that sub-$20 mn (editor comment- reference is to sub-$50 mn deals) deals had a very strong pipeline. So can you just comment, did you actually see the positi

ve impact of that in 3Q? And how does that deal pipeline look like at this stage?
Jayesh Sanghrajka
So, Sumeet, what we said was the sub-$50 mn deals which had grown by double digits. We have not really called it out how much of that is conv erted, how much of that is not. And in any case, whatever we convert in this quarter will start showing up results in Q4 onwards. So that is how it runs out.
The idea of giving that data point last quarter wa s we saw a significant change there, which we thought it was important to share it with investors. But we are not breaking that up further as to how much of that got converted or not. At this point in time, we still continue to see that as stable. The large deal pipeline has become stronger.
Sumeet Jain
All right. Got it. That is helpful. And secondly in term s of -- sorry, actually I forgot my second question. Maybe I will come back in the queue.
Moderator
Thank you. Next question is from the line of Keith Bachman from BMO Capital. Please go ahead.

Keith Bachman
Hi, thank you very much. My question is on cost to serve your clients. And what I mean by that is, how is AI changing your cost to serve today? And I am not talking about AI deals. I am talking about the broader or questioning the broader portfolio. And how do you envision that changing, say, a year from now?
Salil Parekh
So, there in terms of AI and our cost to serve, w hat we are seeing, some of these elements we have discussed in the past at the level of what our acti vity is. We see applying, for example, some of the small language models and large l anguage models within the company for areas like software development.

 And we have seen some benefits accrue from tha t. Now the place where this becomes the most
relevant is when we have clients where there is a large common sort of foundation of approach, a common foundation of data infrastructure or, for example, where we have our own business of Finacle where we have started to apply these.
We are now rolling this out where we see comm on elements across our own internal business. And those are benefits that will support us and it will be one of the levers that will help us over time on our margin activity and is part of our program. We do not have an external quantification but that is something, that is one of the elements of t he approach we are driving through internally.
And as time goes on, you need some large common element, common data set to make impact on that area, on area of customer service and other areas where Gen AI can be applied within Infosys.
Keith Bachman
Okay. Let me ask my follow-up related to that. Y ou called out SAP as being a strong area for you. And I think it is candidly strong for a number of di fferent vendors or suppliers. Presumably, Gen AI will help with deployments over time because there is a notion of software development as the SAP ECC customers migrate to the cloud.
And so as that develops into more robust capabilities for Infosys, how does that change your pricing to the customers, say, a year from now for depl oyment of SAP work? Because if you are getting a benefit, presumably as the customers will want to share in that benefit. So how do you think, is it a source of deflation for you? Or how do you thin k that unfolds, particularly from the software development side?
Salil Parekh
So I think if I understood what you are asking, this is on SAP software development when we are doing it for our clients. In that instance, today, the demand, as we were sharing earlier on S/4HANA or even on RISE, which is the cloud migration piece, is strong in the SAP area. Now that work is more implementation or migration. So it is not typically software development.
Having said that, some elements of the agents that we discussed before, especially in the finance process, which is where we are seeing the biggest impact today, in lik

e invoicing and other finance
activities, we will see some impact and benefit.
However, stepping back all of that, let us say, benef it will eventually, at least from past experience is almost always shared with the client in some wa y. So I do not see that approach of sharing will change and which to us means we will get some benefit and the client will get some benefit.

 Keith Bachman
Okay, I will cede the floor. Thank you.
Moderator
Thank you. Next follow-up question is from the li ne of Sumeet Jain from CLSA India. Please go ahead.
Sumeet Jain
Yes hi. Thanks for the opportunity again. My second question is actually around the Retail vertical growth sustainability. I think last entire year, we mentioned that because of high interest rates and inflationary environment in the U.S., this vertic al had a pretty subdued growth. So we saw a pretty strong sequential growth here. How do you see the su stainability of growth in CY'25? And post the U.S. election outcome, do you see any client se ntiment changing particularly in this vertical?
Jayesh Sanghrajka
So Sumeet, the Q3 growth in Retail was also helped by some of the third-party deals that we talked about earlier. But as I said, and Salil said as well, the Retail and CPG in the U.S., we are seeing a revival in terms of growth on the back of the st rong holiday season sales as well as the consumer
sentiment changing. At this point in time, we are s eeing revival and interest from clients in terms of spending, which should ideally reflect in to growth in the next few quarters.

Sumeet Jain
Right. And secondly, in terms of the Gen AI rollou t, are you seeing any specific verticals where the impact is slightly higher in terms of volume gains or increase in pricing?
Salil Parekh
So Generative AI today is in discussion across almo st every industry, most clients. So some of the examples that we were discussing earlier like in a technology company, we are doing a lot of work in the telco area. And of course, in Financial Se rvices, where we discussed overall segment and the Retail point we discussed.
But Generative AI discussions are more broad-based. A lot of clients are quite actively looking at doing something. Most clients have some internal and then, with us, some external activity going on there.

 Sumeet Jain
Got it. That is helpful, Salil. And lastly, I just want to understand the 3.6% YoY increase in pricing you mentioned in the first 9 months. What has been the primary factor behind that very strong increase in pricing?
Jayesh Sanghrajka
So Sumeet, this is Jayesh here. This is the pr ogram that we have been running on margin expansion, and there is one dedicated pillar, which is value-ba sed selling, and there are multiple tracks beneath that. I think many of those tracks have started yi elding results, whether it is change request, whether it is differential pricing, etc.
And all of that has yielded results in multiple ways. Of course, even the lean automation is also reflected in pricing eventually, right? Because we are able to deliver the same output with lesser people, it will reflect in pricing. So all of that would show up in pricing.
Sumeet Jain
Alright, that is helpful. So that is all I had. Thanks for the opportunity again and all the best.
Moderator
Thank you. Next question is from the line of A bhinav Ganeshan from SBI Pension Funds. Please go ahead.
Abhinav Ganeshan
Hello. Thank you for the opportunity and congratulati ons on the great set of numbers. I just wanted some more clarity on this third-party software pa ckages which have risen to around 9.5% of revenue for the current quarter. I think in your comments, y ou alluded to Retail vertical taking up some of that. If you can give some more color, are there any more verticals you would like to call out and also geographies?
Jayesh Sangh

rajka
So Abhinav, we do not really split this by geogra phies and verticals. There was one specific question that Sumeet asked and I was responding to that question. But we cannot really break this by geography or verticals.
Abhinav Ganeshan

 Okay. Sorry to just follow up on this, but I just wa nted to understand, if you can give a broader color?
Now in the recent last 2 years, if you look at it, our cost takeout deals have gone up compared to the discretionary spend. Now discreti onary spends are returning. So this number has trended up from around 6% to 9.5%. So once discretionary comes back, do you feel that this will kind of stabilize and maybe then trend down later, if you can comment on that?
Jayesh Sanghrajka
So Abhinav, as I said earlier in the call as well , this is going to be dependent on many of the large deals that we sign and what are the contours of t hose large deals. If the large deals is a deal where we are taking over people, process, technology a nd providing an end-to-end solution to the client, it will come with some of these third-pa rty costs like hardware, software, etc.
And that will automatically show up on our books as cost. But, then we are providing an integrated solution to our clients, which is much more secure in the long term. So that is how it is. It is going to depend on, in the future, what part of the deals or the larger deals come through as a lock, stock, and barrel kind of a program that we are taking over everything from the client.
Abhinav Ganeshan
Got it, sir. I appreciate the same. One last question from my side. Now your utilization has reached around 86%, so just wanted to understand, what w ould be your comfort zone for the coming quarter and the coming year and how would we get there? If you can give some color? Thanks.
Jayesh Sanghrajka
Yes, as I said earlier as well, our utilization co mfort level is 83% to 85%. This quarter we are tad

above that. But yes, what would be more comfort able in a growth environment would be 83%- 85%.
Abhinav Ganeshan
I appreciate the color. That is all from my side. Thank you and all the best.
Moderator Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to the management for closing comments.
Salil Parekh

External Document © 2025 Infosys Limited Thank you. This is Salil. So firs t, thank you, everyone, for joining in. I just wanted to share a couple of observations.
Very strong growth in this quarter, especially Financial Services-U.S. Fi nancial Services-Europe now started to see traction in discretionary. Retail, co nsumer products - U.S., a ll of those are good signs for us. Extremely strong cash generation, good la rge deals with very good net new, continued deep sort of capability building and tracti on on Generative AI with our clients.
And with that, an increase in our growth guidance, th ird in 3 quarters. So we continue to see, as the environment starts to be more supportive in FS, Re tail, the execution that we are driving within Infosys resonating with our clients and we continue to see that traction with the increase in the guidance for the third consecutive quarter.
Thank you, everyone, and catch up wi th you at the next quarterly call.
Moderator
Thank you very much. Thank you, members of the management. Ladies and gentlemen, on behalf of Infosys Limited, that concludes this confer ence. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2025

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

April 22, 2025
Dear Sir/ Madam,
Sub: Transcripts of the press conference an d earnings call conducted after the Meeting of Board of directors on April 17, 2025

Please find enclosed the transcripts of the press c onference and earnings call conducted after the Board meeting held on April 17, 2025, for your information and records. This information will also be hos ted on the Company's website, at

https://www.infosys.com/investors/reports-f ilings/quarterly-resu lts/2024-2025/q4.html .

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/i nvestors/reports-filings /quarterly-results/2024-2025/q4.html.
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha

Company Secretary
ACS-21918

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Infosys Limited
Q4 FY25 Media Conference Call
April 17, 2025

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India Head - Corporate Communications

JOURNALISTS

Ritu Singh
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Haripriya Sureban
NDTV Profit
Chandra R. Srikanth Moneycontrol

Reshab Shaw
Moneycontrol
Shilpa Phadnis
The Times of India

Beena Parmar
The Economic Times

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The Hindu Businessline Sai Ishwarbharath

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External Document © 2025 Infosys Limited 3 Rishi Basu
A very good evening everyone and thank you for joining Infosys' Fourth Quarter Financial Results. My name is Rishi and on behalf of Infosys, I would li ke to welcome all of you. Before we begin, I know we are slightly delayed, apologies for that, but I do request one question from each media house. Though there are lots of news today , but let us see what we can do best.
With that, I would like to invite our Chief Executiv e Officer, Mr. Salil Parikh, for his opening remarks. Over to you, Salil.
Salil Parekh
Thanks, Rishi. Good evening and welcome. Thank y ou all for joining us. We have had an excellent year in financial year 2025 – 4.2% growth, cons tant currency terms, 21.1% operating margin, $4.1 bn free cash flow and $11.6 bn in large deals. We feel the performance has been solid all around across the year.
We are seeing growing demand from cl ients to partner with them on AI. They are moving from a use case approach to an AI-led transformation approach. This is using AI agents which are playing more and more of a critical role, and we believe we hav e a very leading position in AI agents with over 200 agents we have developed.
We continue with our strategic expansion and acquisi tion in the energy and consulting space in the U.S.; acquisition in cybersecurity space in Austra lia; and a new strategic partner becoming part of our joint venture in Japan. So, all three areas are areas where we strategically look to expand, and we are further committed with this expansion in the U.S. in a very critical area for that market.
We have a set of capabilities that support clients in t heir growth, whether it is AI or cloud or digital, and in their efficiency, whether it is automation, cost reduction, l ean and consolidation. So, we feel well positioned in this environment to look at both gr owth and both cost areas as clients look at them. Based on what we see in the environ

ment today and building on our large deal wins in the past
quarters, our guidance for growth in financial year 2026 is 0% to 3% in constant currency terms. The environment is uncertain, and we will execute our pl ans with agility while keeping a close watch on changes. Our margin guidance for the financial year 2026 is at 20% to 22%.
Thank you, and then let us open it up for questions. Rishi Basu

External Document © 2025 Infosys Limited 4 Thank you, Salil. Joining Salil is Mr. Jayesh San ghrajka, Chief Financial Officer, Infosys. With that,
the first question is from Ritu Singh from CNBC TV18.
Ritu Singh
Hi, Salil. Happy to be here. Jayesh, a quick word with your guidance of almost no growth in this year – 0% to 3%. If you could give us more in terms of commentary on what you are seeing? For instance, from TCS, we heard about delays in decision-mak ing. From Wipro yesterday, we heard one of the large clients paused a transformational deal. So, w hat are you hearing? Are there ramp downs? Are there delays? Are there any sort of cancellations in large deals?
Also, for Infosys, in the last 12 to 18 months, we have not seen any mega deals being announced. What is happening in the market? Are some of t hese large deals drying up? What is your sense, given that this puts larger reliance fo r you on discretionary spend picking up?
Also, in terms of sectors, where you started to see shoots of recovery, for instance, last quarter, you spoke about BFSI, etc. Is that continuing, or gi ven the uncertain environment, do you expect some sort of a reversal there?
And just one question on the hiring and wages. The w ages that were expected to be rolled out in the second phase in April – are you on track to do that? And your hiring plans for the year – 20,000 that you had indicated – if that is also on track? Thank you.
Salil Parekh
Okay, so thanks. A few questions. First on the envir onment, I think we see there is uncertainty in the environment. We have several deals that we closed in the last quarter and the quarters before. Those are today moving into the appropriate next phases. We have not seen a change in that. We are seeing in areas where there is focus on changes which may come. There could be, in industries where there are changes that could come because of the changes in the regulations, there could be an impact. Jayesh will comment a little bit about how we have constructed the guidance based on that.
In terms of mega deals, we had two mega deals in the last financial year. We have a pipeline of mega deals today. What is, sort of what we saw in the past when things of this nature happen, which is changes in the environment, there is also an in terest with clients on cost takeout, automation and efficiency and consolidation. We will see how it plays out because it is only a few days as clients have looked at it. But we have seen our large deals moving, meaning which we have closed, moving into the next phases as was evident.

External Document © 2025 Infosys Limited 5 Jayesh Sanghrajka
Yes, adding to what Salil said on the guidance – l ook, we run multiple models which run up to the guidance at various ends of the guidance, bottom end, middle end or the top end. The fact that we gave a 3-point guidance reflects t here is uncertainty in the environment. At the bottom end of the guidance, we have baked in some deterioration in the environment, some heightened uncertainty. At the top end of the guidance, we have assum ed steady to marginally improving environment at this point in time.
Coming to the second question on wages, we are on track on our wages – large part of the wage increments were rolled out in January and the balance is rolled out in April, effective 1st April. So we are on track on that. And in terms of FY'26 hiring, we are expecting to hire 20,000 plus freshers.
Ritu Singh
Sorry, can you clarify on the number of freshers?
Jayesh Sanghrajka
20,000

plus, what we had said earlier, we are on track of it.
Ritu Singh There were reports of Infosys laying off some of these fresh campus recrui ts because according to your own statement, there were 337 of these as opposed to media reports of 700 plus. And you said that was because of their weak performance. If you could clarify, what exactly happened there? Are you not able to find the right talent? Is the number still what you have said in your statement? Is it larger, just a statement from you on that?
Salil Parekh
So there, let me take that one. So first, we made some statements. So those are, we stand by those statements. In addition to that, within Infosys, we have an approach for making sure that we have a rigorous way to train and then to assess and test i ndividuals. This is a process that has been ongoing for the last 20 years within the company.
At every time that the training batch comes in, they have three opportunities for testing. And at each time, if they succeed in that, they stay on. After three attempts, we have now found a way that we have found other opportunities for them and also suppor ted them outside of Infosys in some training that can be offered to them. So that is the approach we have taken. In terms of the numbers, whatever the statements we have made in the past remain as they are.

External Document © 2025 Infosys Limited 6 Rishi Basu
Thanks, Ritu. The next question is from Haripriya Sureban from NDTV Profit.

Haripriya Sureban Hi ir. Salil, give us some idea on -- like you said, you remain confident on the current deal wins that you have, but do you see any kind of changes going fo rward in your conversations with the client? Any possibility of ramp downs or cancellations that you have visibility on right now? And on the fresh deal wins that you try to bank on fu rther, what kind of deal wins would mostly come in? Is this most towards the cost takeout side th at would be expecting? And what is your read on the discretionary spending? Do you see that go down at least in terms of the sentiment? And would it pick later towards the year? And also, how many quar ters are you expecting this uncertainty to stay on? Because one of your competitors said at least towards the second part of the year, things should get better. And Jayesh, on the margins, stayed on the narrow band, what are the levers that you would have going forward? How do you plan to -- what are the impact that this curren t environment will have? And how would that be baked in?

Salil Parekh

So on the environment, what we see is, it is an uncertain environment. And as Jayesh shared, we have taken different scenarios to look at the way we have put together the guidance. In terms of specifics, as of now, we have seen the deals that we have won in the recent quarters are now continuing to ramp.

My view is, we will see because of the changes in the economic outlook, there will be some discussions which will be focused on more consoli dation, more cost pressures with clients. But at this stage, we have not seen a change in that. However, the guidance has factored in what we anticipate in different scenarios, because all of this is happening in the last few days.

Jayesh Sanghrajka

On the margins, if you look at FY '25, we have expanded margins by 50 basis points. That is a clear reflection of our endeavor, which we had said at the beginning of the year to improve margins. We have improved margins, despite multiple headwinds. We had a full year impact of the comp that we did in the previous year in November. We have paid higher variable pay to our employees. We had many of the large deals ramping up during this period.

 We did an acquisition, so there was an acquisi tion-related impact. And despite all of those headwinds, we have been able to increase our margins by 50 basis points. So that is just a clear reflection of what we have been doing. A

nd we do s ee opportunities in terms of increasing from VBS in terms of pricing etc., in terms of lean automat ion of doing more productivity, increasing near shore and multiple of our geographies etc., so there are opportunities to improve margins from where we are today.

Rishi Basu

Thank you. The next question is from Chandra Srikanth from Moneycontrol.

Chandra Srikanth

Hi, Salil. Just wanted to understand the 0% to 3% guidance. Does it bake in impact of tariffs? How much of it is happening because of GCCs? Have there been any project delays, cancellations? If you can give us a sense of that. And are there vert icals or niche platforms that you are building which has outcome-based pricing? And is it time to let go of this 20% margin threshold? How are you sort of going to win deals in the current environment? And between U.S. and Europe, where do you see more uncertainty right now? Thanks.

Salil Parekh

So, on the guidance, Jayesh will give a view. On the platforms, let me start off and then we can come to the other ones. I think we are very clear with AI that there is a huge change in how agent-based platforms are being created. So, we have now work we are doing with clients where these are being leveraged. We have examples in telco clients. We have examples in financial services clients. We have examples in services companies. It is quit e broad-based what we are seeing on platforms. It is also building on the small language model that we have built in financial services, leveraging Finacle. We have also started to do work across other industries where we will build these sort of models. So, we see a lot of the platform activity expanding, and we think that that is something that we are well positioned to execute on.

On the guidance...

Jayesh Sanghrajka

Yes. So, on the guidance, as I said earlier, there are multiple models that we have built. At the bottom of the guidance, we have assumed heightened impac t from all the macro environment. And on the top end of the guidance, we have assumed steady to marginally improving environment. It is very difficult to split out how much of that is because of tariffs, how much of that is because of GCC. But

 on overall environment, when I look at, at the bottom of the guidance, we have factored in some increasing uncertainty.

Reshab Shaw

Hi Salil, Reshab here from Moneycontrol. So, in the la st fiscal you said you will hire 15,000 to 20,000 which you are on-track. And this year, we see that you have added over 6,000 personnel for this fiscal. So are you losing out middle management to GCCs, if you could add a color on that?

Jayesh Sanghrajka

Yes. So, overall headcount has increased by 6,000. We have hired 15,000 freshers. So, the balance is obviously the attrition at various levels that has happened. And the attrition is across multiple factors and multiple opportunities that people get out side. It could be GCCs, it could be competition, it could be employees going for further studies. Ther e are multiple of those factors that play out there.

Rishi Basu

Thank you. The next question is from Sh ilpa Phadnis from The Times of India.

Shilpa Phadnis Hello sir. We gather that Infosys has set up an in ternal business unit focus ed on GCCs specifically, it is called the Project Altius. C an you share more light on that? And we hear there is a new internal leader who is also going to be there.

The cost of deploying AI is also huge. And if you can talk about the economic benefit of AI has a longer gestation cycle. So, is it too early to read in to it whether there is an impact at the developer level and the project level? Can you throw some light on that?

And secondly, the gestation cycle, especially for productivity gains, more and more customers are demanding that. Is it putting pressure on IT companies , especially with forwar d pricing on productivity gains? More customers are asking

that this is goi ng to put more pressure on the run part of the business. Can you throw some light on that?

Salil Parekh

Let me start off with respect to GCC. Over the last several years, we have had attention on working very closely with GCCs and working with clients either to help to set up or to scale or do different models for GCCs. Recently, we announced a very large win in GCCs with a services business, with an airline business. So, we feel quite good. There is no new unit or anything. It is something which

 is there across all of our go-to-market areas and also with many of our service lines because the interaction with GCC is quite spread out.

Then I think the question was on the productivity. Most clients are looking for significant productivity benefits. Now, in the area of customer service, it is quite clear what that is and we are participating. We do not have a large voice business or anything. We are participating in a joint ops and tech projects with clients where those type of benefits ar e visible and we are in a position to commit. What we are doing is making sure we share with clients w hat we are able to deliver and what is visible for us. They might sometimes meet with or not m eet with what the clients are looking for.

On terms of the investments in AI, on the produc tivity of the developers and so on – so, there are some good examples. So if you look at Finacle, it is our own product. There we have seen, because the code base is very uniform and we built it ov er the years, in different places, 20% to 25% productivity benefit with tools that we have built on public models. We have also seen, for example, with some clients on user interface devel opment, similar types of benefits through AI.

So, we see a huge impact to that. Overall, it is di fferent because then we are working with different client situations. Sometimes it is higher, sometimes low, but we know that this sort of AI work, we have some great opportunity in. There are about 400 AI projects that we are working on, where we see a lot of these sorts of benefits th at we are sharing with clients.

Rishi Basu

Thank you. The next question is from Beena Parmar from The Economic Times.

Beena Parmar

Hi, Salil. A few things. You mentioned about produc tivity benefits being passed on. Could you tell us what kind of percentage of revenue cannibalization are you seeing because of that? You mentioned about mega deals as well. Which sectors and spaces ar e these in? And what is your outlook on the different sectors? Which sect ors are likely to be the most impacted because of the ongoing uncertainty?

Jayesh, you mentioned about increase in pricing, a pr obable increase in pricing that is still there for you. While you have seen active loss of clients in your number of clients, and this is also across most deal sizes, where do you see this increase in pricing that you are likely to see given the competitive environment and the uncertainties that continue? And lastly, what is the impact on the margins? What really led to the margin impact in this quarter? And what are the headwinds or tailwinds, rather headwinds in the quarter ahead?

 Salil Parekh

So, let me start off on the productivity side. I think there, there is no sort of number specifically in terms of what is changing in that. There are produc tivity benefits that we see, for example, in customer service in the range of 30% to 40% th at we mentioned. On software development, there are different ranges. And in each situation, clients look at it from a different perspective. Some of it becomes part of a discussion where they want to c onsolidate multiple partners. And there we are a beneficiary, that changes how much we can apply aut omation, lean or AI into that. But in general, we have seen last year 4% growth. So, when you put everything together w

ith all this, we have still seen growth and that is the sort of momentum that we have seen with the deals that we had. And then, we have then put together the guidance as Jayesh was sharing on what we look at different scenarios like that.

On the industries, Jayesh will share a little bit of how we see the perspective. What we do see, for example, with the current situation, there is starting to be some impac t that we will see in consumer products with what are the changes that are co ming about. However, we see in many of our industries, for example in energy utilities, we s ee continuation of what is going on; in Financial Services, we still see with deregulation and strong firs t quarter that the clients have had, the calendar first quarter, we see that continuing on. All of this, however, we will have to sort of watch on a regular basis because not all the analysis and decisions hav e been made. So, as those play out, we will see what other impact there is.

Jayesh Sanghrajka Yes, so if I go back to your other question on pricing, I think pricing is across all the sectors. It is about how do you price it? We have had multiple tr acks that we are running under the Project Maximus, whether it is about new age pricing, whether it is about change request, rotating our employees, deploying heightened lean automation in pr ojects to get better productivity, which will mean better pricing in a way.

So, all of that has reflected in the pricing. It is not necessarily going and asking a higher price of what we were doing yesterday. It is about all of this co ming together and reflecting in a pricing and that is what has helped, and we do see oppor tunity going forward as well.

On the margins for this quarter, our margins were 30 basis points lower quarter-on-quarter. The biggest headwind we had was because of the comp that we had announced, large part of our employees got compensation increase effective 1st of January and that impacted by 140 basis points. We had 40 basis points on account of amortiza tion of intangibles for the acquisition that we made. So, those were the headwinds that was offset by lower post-sale customer support - 80 basis

 points, 20 basis points on currency, 30 basis points on Project Maximus and 20 basis points because we had a lower third-party cost. So all of that put together reflected on 30 basis points decline on our margins.

Beena Parmar Outlook on margins? Jayesh Sanghrajka

Outlook on margins, as Salil said earlier, our margin band remains 20% to 22%. We ended the year with 21.1%, with an endeavor to increase margin going forward.

Rishi Basu

Thank you, Beena. The next question is from Jas Bardia from The Mint.

Jas Bardia

Good evening. Just a couple of questions. One, if I lo ok at your large deal TCV, it is down 34% year-on-year. Now, does it imply that FY'26 can be a li ttle choppy in terms of growth considering the company started off strong in terms of deal wins ? My question is on how India and growth markets kind of offset the slowdown blues for one of your peers? Now, suppose this happens in two of your largest geographies, say the U.S. and Europe. Is t here a plan B in place to keep the growth going for Infosys?

Salil Parekh

On the large deals, what we have seen in this past year is we have had $11.6 bn of large wins with 56% of net new wins. Now, what that translates to , as Jayesh was sharing in another point, one of the highest we have seen in several years and higher t han the previous year. So we feel it gives us some outlook into the future in this financial year with that sort of a win mix.

Having said that, again, as Jayesh was sharing earlier and I shared, on the guidance, we have taken a view on different scenarios, building from t he low to the high and slightly broadening, expanding to three points the range of the guidance. In term s of other markets, first, we had a very strong

growth in Europe in the year that is just fini shed. We see that we have increased the percentage of our revenue in Europe over the years.

We have made several investments and scaled up in different geographies in Europe. So that is a good market for us. With the changes in the envir onment, we will sort of see what develops. We have a good business in India, but it is a smal l business. And we have a good business in other

 markets, for example, in other parts of Asia, but relative to our overall size, still a small business. So the way the environment develops is what will driv e and as the range that we shared, how we have constructed the scenarios, will drive the guidance there.

Rishi Basu Thank you. The next question is from Avik Das from the Business Standard. Avik Das

Avik, this side. A couple of questions to you and a coupl e to Jayesh. Salil, if you can throw some light upon the BFSI business, while you did talk about some green shoots emerging in the third quarter, small deals coming back which shows discretionary s pend. Considering the impact of the tariffs, mainly perhaps on the manufacturing and the retail , do you see any impact on the BFSI market as well? It is turning conservative in terms of spendi ng, both in cost optimization as well as in the discretionary spending part. And also, as you bank on large deals and you have a pretty robust pipeline, given the uncertainties, do you think that lar ge deals, at least for this fiscal, will take longer time to actually materialize? Wi ll that going to be a challenge?

Jayesh, one question was, will margins come under pressure as vendor consolidation takes place in this uncertain environment? What sort of marg in pressure do you anticipate, if at all? And considering the guidance that you have provided and also you talked about hiring 20,000 freshers this fiscal, just trying to balance these like what gives you the confidence that you can actually go ahead with that strong hiring numbers for this year?

Salil Parekh

So on financial services, again, the first point is th at we are in an uncertain environment. Having said that, what financial services is for our end clients, their own results what have been declared, have been fairly strong. So in some ways, that volatility has helped some trading business and so on. We see from our client base, looki ng into the first quarter that there is activity, there is a good amount of work that we are seeing. So we are not seeing something that is changed in financial services. Now, as things stabilize on the overall economic environment, we will get a better sense of what the eventual full year will look like.

But this is what we see on financial services t oday. I think on the deals, typically, we have a good large deals pipeline. What typically we have seen in the way we built our business portfolio is, when there is high economic growth, we have digi tal, we have cloud, we have new AI now.

 When there is more cost focus, we have effici ency, automation, consolidation and productivity through AI. So we have both of those levers. And typi cally, when there is more cost attention as they might be in this environment, we will see large o pportunities for cost takeout and consolidation. And we feel quite well positioned, as we have done in the past to benefit from that.

So far, again, things have changed in a short period of time in terms of what can happen with the economic outlook. So in that period of time, we hav e not seen anything, but it is a very short period of time. So for us to get a sense, we will see how it goes. But sometimes, again, this is from the past when there is a cost imperative. Also, sometimes dec ision making is quicker to say, look, can we get a cost takeout done quickly. So we do not know, we will see how that plays out.

Jayesh Sanghrajka

On the other two qu

estions, I will answer the last o ne first, which is on the hiring. If you look at the 20,000 hiring that we are talking about, it is a combination of backfilling the attrition and the growth. We had 14% attrition this quarter. And if you look at the math, it adds up with the guidance that we have had. So we are very confident at this point in time of hiring 20,000 freshers through the year, in line with our guidance.

And on the vendor consolidation and the pricing impact, I think, if you look at the last few years, and we have been gaining market share, it is a clear refl ection that we have been on the positive side of the vendor consolidation and that gives us a confi dence that we would be able to retain the pricing and the pricing power there.

Rishi Basu Thank you, Jayesh. The next question is from Sanjana B. from The Hindu Businessline.

Sanjana B Hi, good evening, gentlemen. So, Salil, are you at all looking to reduce your reliance on the U.S. markets amid all the uncertainties that are prompt ed by the tariff discussion? If yes, what are some other geographies that you are concentrating on?

And from a sectoral perspective, are you at all s eeing some initial tailwinds? If yes, what are those? And while some of your peers reported some softness in Europe, you yourself said that you have seen some growth in the geography. Could you ela borate on what worked for you to prompt this growth? Thank you.

Salil Parekh

 So first on the U.S., I mean, we have just announced an acquisition in the U.S. in energy and in consulting. We remain, in a longer term view, positive on tech, technology changes and positive on the markets we are in. We may see some uneven activi ty in the shorter or medium term, but in the longer term, we do. And that is one of the si gnals for us that we made the acquisition.

Having said that, we are looking to expand in other geographies in addition to what we are doing in the U.S. For example, the Japan announcement we have a new partner who is joined our joint venture, or the acquisition in Australia. So we ar e quite positive in the medium to long term on technology, how it will change, how AI will impact it and our role in all of that. We will see how it develops with the current uncertainty and how long that takes to change.

On Europe, we also commented last quarter, which holds today that while Europe overall, we have done well for the year, the automotive sector in Europe, we had already talked about, we had seen some slowness. And that continues in what we are seeing, even as we see the outlook today.

Rishi Basu

Thank you. The next question is from Sai Ishwar from Reuters News.

Sai Ishwar Hi, gentlemen. My first question is that, I wanted to know why you have just given 4.2% CC growth last year. So it is kind of below the guidance. So I just wanted to know what went wrong in that aspect. So it is not met the guidance given last quarter. And also, it has been repeatedly asked, I just wanted to know, in terms of projects, have you seen any delays or paus es or any ramp downs or anything of that sort of cancellations? Thank you.

Salil Parekh

So I will start with the second one. At this stage, we have not seen. Having said that, all the changes have happened in a very short period of time, but the large deals that we won in the last few quarters are continuing in their trajectory as we had anticipated at this stage.

Jayesh Sanghrajka On the guidance, for this quarter we declined 3. 5%, which was obviously higher than what we anticipated at the beginning of the year. But large part of that was on the back of third-party costs and revenues because pretty much two-third of our decline was on the back of that. And those are the deals which typically happens towards the end of the quarter and some of them slipped through that. So that is what has reflected both in lower third-party costs and lower revenue fo

r us.

 Sai Ishwar

The revenue guidance of last year was 4.2%? Jayesh Sanghrajka That is what I am saying. So because you had a lower third-party cost, you had lower revenue towards that. So that was one reason. And the second reason was Q4 generally has a seasonality in terms of lower working and calendar days and the volumes were lower, but two-third of that 3.5% decline was on the back of lower third-party costs and revenue.

Rishi Basu

Thank you. The next question is from Padm ini Dhruvaraj from The Financial Express.

Padmini Dhruvaraj

Hi. So are you seeing any structural changes in large and mega deals in terms of tenure, scope or pricing, especially with Gen AI? And since this ta riff talk started, did you see any changes in your clients budget for CY'25?

Salil Parekh

On the large deals and Generative AI, so it is been, let us say, an ongoing change through the last several quarters where almost a lot of large deal di scussions have some part of Generative AI in it. So there is not now too many deals, large deals or any deals that we are doing, which has not got some part of Generative AI. So that is one sort of qualitative change, because it is part of every discussion, whether it is on productivity, whether it is on solving a specific area, which is related to process, on engineering, customer service. So a variety of elements, Generative AI is very much part of it. And they are making a big diff erence in how those deals are developed now.

In terms of the budget and the clients, there are cl ient discussions where clients are starting to see maybe some initial pressure. We have not seen any changes, but there are ongoing discussions on what could be the nature of those things. As it has been quite recent, as we see the time moving on, we will have a better view on it. But keeping that overall change in the economic environment is how we have built the guidance with the broader range that we have put in place.

Rishi Basu

Thank you. The next question is fr om Rukmini Rao from Fortune.

Rukmini Rao

 Gentlemen, a few questions. One, Salil, could y ou please call out, how much of business does Infosys do when it comes to public sector in the U.S. and current exposure, maybe in the quantum of revenues from the U.S. geography, how much of it is -- what kind of exposure you essentially have to public services cont racts with the U.S.?

And also given that we saw Accenture and othe rs probably contracts getting rescinded, are there any such fears and being a non-U.S. headquartered company, do you see any sort of disadvantage going forward in bidding for contracts which may invo lve U.S. government or in general, if there is any sort of disparaging, if it is going to be difficult for non-U.S. headquartered companies to compete?

And two, also, can you specifically call out wh ich are perhaps the gloomiest of the business segments, given the guidance? Are there any spec ific business segments that you see probably doing really badly in FY'26? Also, Jayesh, the technical subcontracting cost has gone up by about 3.5% year-on-year, right? Is that some sort of a strategy where your headcount remains low and as and when you require, you get people to do work that needs to be done? If some sort of color that you can give on the correlation, if there any exists?

And also, your top five client revenue has declined by about 50 bps. Any specific reason, is that like

a client specific thing or are there ramp downs or anything happening with those top five clients of yours? Thank you.
Salil Parekh Let me start off. I think we have a very small, almost immaterial in terms of public sector U.S. So, in that sense, we have, let us say, no impact from some of the things we have seen or read about other peers. We feel, in that sense, we do not have so mething -- something very small and therefore no im

pact on that at all.
Rukmini Rao (Editor comment - inaudible) U.S. as an Indian company, a non-U.S. company? Salil Parekh
So, we do not have a lot of those -- we do not have a lot of work in that area. We have a very, very small business in that area. So, it is not really material, whether the impact happens or not happen. So, we are not in that space that much.
Rukmini Rao

 Salil, also the U.S. subsidiary sort of services both U.S. as well as Canada, right? So would there be
need for any special subsidiary if you need to do business in Canada that needs to be set up now, given what is happening in both those countries?
Salil Parekh I think, so first, our structure is not exactly that, but our structure is well designed today to work with Canada and the U.S. and actually across North Am erica, because the individual is not one box, the structure we have set up, but it is not a subsidiary in that sense.
Jayesh Sanghrajka
On the subcontractor cost, I think the better way to look at it is on a full year basis. If you look at full year basis, our subcontractor cost has come down. If you look at percentage terms because our revenue has declined this quarter, you will se e a slightly distorted picture there.
But if you look at full year ba sis, our subcontractor cost has constantly been coming down, and that is been one of the tracks of Maximus that we have been driving as well. We use subcontractor pretty much where there are short-term projects or where there are niche skills, where the talent needs to be fulfilled. So, that is the reason we use s ubcontractor, and there is nothing more to it…
Rukmini Rao YoY top 5 clients?
Jayesh Sanghrajka
Yes. So, I will come to that. So, YoY top 5 clients – I do not think there is again anything specific to read that. It is again a factor of the lower revenue that we got because of seasonality or the third-party cost, but that is the reason why you would have seen similar drop in the top five clients as well.
Rishi Basu
Thank you Rukmini. The next question is from Uma Kannan from The New Indian Express.
Uma Kannan Hi, good evening. Given the present uncertainty and delayed transformation that you spoke about, are you finding it challenging to retain your exis ting clients? I mean, like number of projects from your existing clients? And another one, you spoke about SLM and agentic AI. So, I want to understand what kind of opportunities are you seeing and what is the overall scale of this? And what is the nature of work like, is it more di scretionary oriented or cost or efficiency?

 Salil Parekh
So, there -- first on the AI, I think there is a huge mo ve and we are part of it in terms of working with our clients on AI transformation, which is driven a lot by agents. We have built 200 agents, they are being deployed within clients. There are di fferent areas where these are being used.
So, take an example, we are doing somethi ng with a global company, a European-based company helping them look at AI as a platform across th eir entire workspace and l ooking at where they can improve or make benefits, which could be in the range of 70% in some of their processes.
We are working with a telco where we are doing th is, constructing a complete generative AI platform using agents that we have developed to make sure that the whole enterprise is improving its customer service activities. So, th e work we are doing in agents I feel is quite leading. It is part of our Infosys Topaz and we have a lot of attenti on with our clients where we are making those transformations. The other question…
Uma Kannan Other question was about like, are you finding it chall enging to retain more projec ts from your existing clients?
Salil Parekh
So, there we are working very well with our exis ting clients. The projects are going on. This change in the environment ha

s happened recently. We will se e there are discussions, as I mentioned, where
on anecdotal basis, clients are looking at how that wi ll impact their business. We want to make sure that we see that through as more clarity emerges on what the overall impact will be. But taking all that into account, we have made sure that we put that into the guidance that we provided.
Uma Kannan
Just one question on employees like, now 10 days of work from office is mandatory, right? So, are you planning to make it like five days like some of your competitors have done it? And what kind of

feedback that you are receiv ing from your employees?
Salil Parekh
So there, first, what we have done is there are seve ral clients of ours who have a different sort of prescription on work from home and work from office. At the company level, we are flexible with our employees on what they can do. There are some parts where there is a department or a division

 where we have given flexibility to that department to say that in certain projects, we would like to
have people coming in.
Having said all of that, the flexibility has been hugely appreciated by the employees. And we are seeing on a weekly, monthly, quarterly basis, an increase in the employees who are coming into campus and working. So, we feel good with the way we are progressing today.
Rishi Basu
Thank you, Uma. The next question is fr om Sonal Choudhary from the Deccan Herald.
Sonal Choudhary
Hello, Salil. Hello, Jayesh. I wanted to ask that even though you have given guidance and you will continue to watch out for whatever is going on in the macroeconomic environment, when do you foresee a recovery, if you could shed some light on that. You have said that there is no pressure in European markets or as per energy is also doing well?
However, will you play with caution given of what ever is going on right now? And on margins, again that would be hard to play out given that rupee is also depreciating and among other factors. Is there any strategy at play to make it better?
Salil Parekh
So, on the time horizon, what your first question is, so we do not have a view on it, but we will keep track of what is going on and how that plays out and how it affects economic growth or other factors which then will have an impact on our business. Bu t we do not have a view on the time horizon.
Jayesh Sanghrajka
On the margins, currency would ge nerally benefit. So, if rupee is depreciating in the short term, it does benefit. But outside of the currency, we have launched Project Maximus, as we have said earlier, and there are multiple tracks within that, right from value-based selling to efficient pyramid to challenging portfolio, etc.. All of those tracks ar e working well which has resulted in margin expansion this year of 50 basis points, and our endeavor is to improve marg ins from where we are today.
Sonal Choudhary
On the European market and any of the segments, if you would play with caution?
Salil Parekh

 On Europe, as I said, first we had good growth in t he financial year that just ended. We also shared
that there are areas, for example, automotive in Eu rope, where there is some slowing, so that we are watchful of. Outside of that, we have not made any other comments on that.
Sonal Choudhary Just one quick question. This is regarding layoffs and sort of a behavior that was called out by the employees who failed the test and were sent out? During the last quarter, Rishabh had asked you a question regarding one of the folks who had spoken so mething over LinkedIn and you had said that an equal treatment is given to everyone. But yes, the behavior here was entirely different. Anything that Infosys would like to comment on that?
Salil Parekh
So there, what we have had at Infosys over t he years has been an approach where we want to make sure that the

new employees that are joining fr om college get the appropriate training, and then they
have three attempts to make sure that they have taken that training in and then can contribute to our clients in the way we want that to happen.
As we have now looked at what has been going on with the employees, we have made sure that they have other opportunities, sometimes within Infosy s, and we have supported for them if we can find a way for them to do training outside Infosys. So, we are making sure that we do everything to get them ready and yet be at the standard that Infosys has kept and this has been going on for the past 20 years in the way the high quality of delivery that Infosys is known for and that our clients are expecting from us.
Rishi Basu
Thank you, Sonal. With that, we come to the end of this Q&A session. We thank our friends from media. Thank you, Salil and thank you, Jayesh. Before we conclude, pl ease note that the archived webcast of this press conference will be available on the Infosys webs ite and on our YouTube channel later today. Thank you, and please join us for some high tea outside.

Infosys Limited
Q4 FY'25 Earnings Conference Call
April 17, 2025

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Jayesh Sanghrajka
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Axis Capital

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 Moderator
Ladies and gentlemen, good day, and welcome to Info sys Limited Q4 FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep Mahi ndroo. Thank you and over to Mr. Mahindroo.
Sandeep Mahindroo
Hello everyone and welcome to Infosys Earnings Call for Q4 and FY'25. Joining us on this earnings call is CEO and MD, Mr. Salil Parekh; CFO, Mr . Jayesh Sanghrajka and other members of the leadership team. We will start the call with some remarks on the performance of the company, subsequent to which the call will be opened up for questions.
Kindly note that anything we say which refers to our outlook for the future is a forward-looking statement that must be read in conjunction with the risk that the company faces. A full statement and explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov.
I would now like to pass on the call to Salil.
Salil Parekh
Thanks, Sandeep. Good evening and good morning to all of you. Thank you for joining us on this call. We had an excellent financial year 2025. Our rev enues grew at 4.2% in constant currency terms. Our operating margin was 21.1%. We generated $4.1 bn in free cash flow and we had $11.6 bn in large deals.
In Q4, we had year-on-year growth of 4.8% and operating margin of 21%. We are seeing growing demand from clients to partner wi th them on AI, they are moving from a use case-base

d approach
to an AI-led transformational approach with AI agent s playing a critical role. We are working on AI projects by bringing Infosys Topaz, a generative and edge AI-powered services and solutions for their benefit. Our AI work spans a wide spectrum of priority areas like process improvement, engineering, customer service, cyber security and employee productivity.
We are helping a large U.S. financial services co mpany navigate the AI transformation to deliver hyperpersonalized conversational AI-powered custom er experience with accuracy of over 80%.

 We are working with a Europe-based company to creat e master solution, driving multiple AI-first
transformation projects, i.e. automati ng 70% of their process landscape.
We continue with our strategic expansion with acquisitions, one in energy consulting space in the U.S., one in cybersecurity in Australia and with a new strategic partner joining our joint venture in Japan. All of these are areas of interest and strategic focus for the company.
We have a set of capabilities that support our clients in their grow th areas related to AI, cloud and digital and in their efficiency areas related to aut omation, cost reduction, lean and consolidation.
Based on what we are seeing in the environment t oday and building on large deal wins in the past quarters, our guidance for growth for financial year '26 is 0% to 3% in const ant currency terms. The environment is uncertain and we will execute our plans with agility, while keeping a close watch on events as they unfold. Our margin guid ance for financial year 2026 is 20% to 22%.
With that, let me pass it on to Jayesh for his views.
Jayesh Sanghrajka
Thank you, Salil. Good morning, good evening, ever yone and thank you for joining the call today.
We entered financial year '25 with significant uncertaint ies relating to interest rates, elections in large geos and geopolitical situations. Over the course of the year, reduction in uncertainties, our strong market position, reflecting in robust deal wins and improvement in discre tionary spend in financial services led to better growth than our initial projections.
A year ago, I started my journey as the CFO of In fosys with a vision to increase our market share, strengthen collaboration with business, drive Pr oject Maximus to expand operating margins and improve cash flow. I am very glad that we have been able to achieve success in each of these parameters.
Let me start by talking about the key highlights for the quarter and the year.
1. We closed the year with revenues at $19.3 bn, a growth of 4.2% in constant currency terms and 3.9% in reported terms. Acquisitions contribu ted 80 basis points to the growth in financial

year '25.
2. Financial Services, EURS and Manufacturi ng grew above company average for the year.
3. I am particularly glad that operating margin s for the financial year improved 50 basis points
over FY'24 to 21.1% after absorbing multiple headwinds. This has been a key focus area over the last year and I will elaborate over this later.

External Document © 2025 Infosys Limited 4. Sequentially, revenue declined by 3.5% in co nstant currency terms due to reduction in third-
party costs and seasonal weakness. Approximat ely, two-third of the sequential revenue drop
was due to reduction in third party with the decli ne being higher than our expectation. Balance
one-third drop was due to volume decline and lowe r calendar and working day driven by Q4
seasonality.
5. Revenue increased by 4.8% on a year-on-year basis in constant currency terms in Q4.
Europe grew 3x of the company rate at 15% in constant currency terms driven by our focused
approach of client mining, ramp-up of lar ge deals and acquisitions. Europe now accounts for
30% of our revenues.
6. Financial Services and Manufacturing grew double digit year-on-year at 12.6% and 14%,
respectively in co

nst ant currency terms.
7. In Rupee terms, revenue growth for FY'25 was 6.1%.
8. Revenue growth accompanied by operating marg in expansion led to 8.3% growth in EPS on
a normalized basis, adjusting for interest on tax refunds for FY'24 and '25.
9. We closed 24 large deals in Q4 with a TCV of $2.6 bn, 63% of this was net new. For the full
year, we closed 96 deals with TCV of $11.6 bn and 56% net new.
10. DSO reduced by 5 days to 69 sequentially. Further, the DSO including unbilled net of
unearned reduced by 3 days to 83.
11. Free cash flow for FY'25 was highest ever at $4.1 bn, 129% of net profit. Adjusted for tax
refund, it stood at $3.5 bn, 112% of net profit.
12. Headcount at the end of the year was 323,578, an increase of ~6,000 year-on-year. Attrition
remained contained at 14.1%.
Operating margin for Q4 was at 21%, a decline of 30 basis points sequentially, bringing the financial
year margins at 21.1%, increase of 50 basis points from FY'24 level.
The major components of sequential margin change for the quarter are as follows:
Headwind of
- 140 basis points from compensation-related costs
- 40 basis points impact from acquisition, mainly on account of amortization of intangibles
Partly offset by a tailwind of
- 80 basis points from lower post-sale customer support
- 30 basis points from Maximus - 20 basis points from currency movement and
- 20 basis points from lower third-party costs.

External Document © 2025 Infosys Limited Higher travel and visa costs were offset by lowe r other costs leading to a decline of 30 basis points
sequentially.
Utilization, excluding trainees, stands at 84.9% . On-site mix further reduced to 23.6% .We hired
15,000 freshers this year and expect to hire over 20,000 freshers in FY'26.
EPS increased by 1.8% in financial year '25 in rupee terms on reported basis and 8.3% adjusted for
interest on tax refunds.
The increase in margins by 50 basis points over FY'24 was achieved, despite multiple headwinds
from salary increases, higher variable pay, impact from large deal ramp-ups and acquisition-related
amortization. These headwinds were more than offs et through combined benef its from various tracks
under Project Maximus, especially value-based selli ng, lean and automation, im provement in critical
portfolio, improvement in utilization, etc. We have been able to institutionalize these initiatives and
make a structural shift in our approach. We expe ct Project Maximus to further aid in margin
improvements from current levels.
Consolidated cash and cash equivalents stood at $5.56 bn at the end of the year. Yield on cash
balance was 7.13% in Q4 and ROE stood at 29%.
Coming to cash flows; FY'25 free cash flows are highest ever at $4.1 bn, increase of 42% year-on-
year. Free cash flow as a percentage of net profit for the financial year was 129%. We expect FY'26
free cash flows to be above 100% of net profit. Ex cluding income tax refunds, our free cash flows for
the year were at $3.5 bn, up 21% ye ar-on-year. Free cash flow as a percentage of net profit were at
112%.

We expect effective tax rate for financial year '26 to be in the range of 29% to 30%. The Board has proposed a final dividend of Rs. 22 for financial year '25. Including the interim
dividend, the total payout for FY'25 will be Rs. 43, an increase of 13.2% once the final dividend is approved by the shareholders.
We closed 24 deals in Q4 with a TCV of $2.6 bn, 63% of this net new. Vertical-wise, we signed 7 deals in Financial Services, 5 in EURS, 4 in Manuf acturing, 3 in Communication, 2 each in Hi-Tech and Life Sciences and 1 in Retail. Region-wise , we signed 12 large deals each in America and Europe.
Coming to verticals,

 In Financial Services, budgets are flat to slight ly higher in AI, regulatory compliance and cost
management. We anticipate steady growth in capita l markets and cards & payments in large

global
banks and U.S. regional banks. Mortgage sector will see an uptick in spend if interest rates reduce going forward. Our investment in AI-related proposit ions, regulatory compliances, risk mitigation and cost management is expected to create growth opportunities. We have been selected as an AI partner for many of our clients.
Manufacturing sector has grown dou ble digits over the last few years. For CY'25, budgets are lower for Auto and Industrial Manufacturing and flat for Aero . Recent challenges in terms of tariffs, market uncertainties and trade barriers are likely to lead to a subdued spend and delayed decision-making. Weakness in Auto, especially in Europe continues . We are helping clients in Aerospace resolve bottleneck in the supply chain. Pipeline remains health y with focus on cost takeouts, opportunities in infra transformation and consolidation and so me traction in ERP modernization programs.
Retail sector has been impacted by economic uncerta inty resulting in lower consumer spending in core markets. Due to recent tariff announcement s, client budgets are expected to be tightened and there is increased caution. Decision cycles are getting stretched for discretionary spend and large deals. Across geos, there is increased focus on A I, cloud, estate modernization, cost takeout and investing in core tech capabilities.
Energy Utilities Resources and Services sector c ontinues to grow and we see a strong pipeline of opportunities, both from existing and potential clients. Energy prices remain volatile, however, new markets in midstream and downstream energy are openi ng in the U.S. region. There is an increased M&A and tax-related work with services cli ents, focusing on cloud migration and vendor consolidation. Utilities is prio ritizing AI-driven enterprise transf ormation and services and is seeing traction in software, services and IP deals. T he acquisition that we announced today will strengthen our vertical expertise and open new buying center s in energy trading and risk management areas.
Communications sector continues to remain soft. Discretionary spend is under pressure with clients focusing on cutting costs, restructuring and consolidat ion deal. Our growth will be led by recent deal wins and opportunities in areas like cost redu ction, AI and database solutions and cybersecurity. Lower interest rates could improve the profitability of telco OEMs, which in turn can help increase IT budget.
In Hi-Tech, most clients remain cauti ous due to the macroeconomic headwind and tariff announcements, with discretionary spe nd still remaining under pressure. There is increased margin pressure on account of committed spend on data centers.

 Exiting FY'25, global uncertainties relating to tari ffs and impact of that on client sentiment and spend
are taking center stage. Basis our assessment of the current ma croeconomic environment and the visibility that we have today, we expect FY'26 grow th to be 0% to 3% in constant currency terms. This excludes the acquisition that we announced t oday and this assumes a reduction in third-party revenues versus FY'25 based on existing deals and t he new deals in pipeline that we have today. Our operating margin guidance for the year is 20% to 22%.
We will continue to keep a close watch on econ omic environment and its impact on client budgets and reassess our guidance as we progress during the year.
With that, we can open the floor for questions. Moderator
Thank you very much. We will now begin the questi on and answer session. The first question is from the line of Ankur Rudra from JPMorgan. Please go ahead.
Ankur Rudra
Thank you. On the fourth quarter, can you talk a bit about the linearity... Moderator
Ankur, sorry to interrupt you, your audio is not cl ear. Can I request you to come in a better reception area, please?
Ankur Rudra

Okay. So, question was in terms o

f the fourth quarter, can you talk a bit about the linearity? Did the
softness or the relative miss to guidance play out only in March or was there something you saw over the course of the quarter?
Jayesh Sanghrajka
Ankur as I said earlier, two-third of the decline was on account of third-party costs and the revenue related to that. Some of the deals that we had in the pipeline had slipped. So, the decline was higher than what we anticipated. And the balance was t he usual Q4 seasonality and the volume decline that we saw. So two-third of our 3.5% decline was on the back of third-party cost and revenue.
Ankur Rudra

 I appreciate it totally. I was curious if that played out more in March or if that played out over the
course of the entire quarter?
Jayesh Sanghrajka
Yes. So generally, these deals happen towards the end of the quarter and that is where it slipped from there.
Ankur Rudra
Okay, understood. If I talk a bit about the guidance, it seems to imply something like 0.8% to 1.9% ask rates for the rest of the year. Could you highlight if this will be a normal seasonality? Or is it going to be different given the heightened uncerta inty you might be seeing right now?
Sandeep Mahindroo
Ankur sorry, can you repeat the question? It was not very clear.
Ankur Rudra
The guidance, does it imply a normal seasonality for the year?
Jayesh Sanghrajka
Yes. So, as we said earlier, we do see a heightened uncertainty in the environment and that is the reason we have given a 3-point guidance band. So, depending on which end of the guidance you are looking at, the seasonality will also change, uncer tainty will also change. But outside of that, we are expecting normal seasonality.
Ankur Rudra
Okay, understood. Just the last question. You spok e a lot about the AI-led transformation that clients are expecting from you. Are you infusing AI into existing projects that might lead to any kind of revenue deflation which you have to overcome?
Salil Parekh
Hi Ankur, this is Salil. So first, AI is part of all the discussions on the new deals. We are using AI in many of our existing programs. But here, we ar e seeing benefits which relate to how we can now use AI with clients in different areas. So as a compos ite, what we saw last year, 4.2% growth we feel pretty confident that we will see benefits from it even as we see some productivity improvement. So, we do not see anything in terms of the revenue on that.

 Ankur Rudra
Okay, appreciate it. Thank you and best of luck.
Moderator
Thank you. Next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh
Hi, good evening and thank you for taking my question. My first question was, you spoke about that the third-party slipped towards the end of the qu arter. So, how was the volume trend during the quarter? And does that imply that as they co me back in the next quarter in the guidance you are expecting the third-party contribution to be higher in FY'26?
Jayesh Sanghrajka
If you look at what I said, we had a softer st art at the beginning of the quarter from volumes perspective, but we did see some recovery from t here in terms of volumes. But on the third-party, we are expecting for FY'26 to be lower than FY'25, considering the deals that we have signed and the deals that we have in the pipeline. So that is baked in.
Kumar Rakesh
And volume trend during the quarter?
Jayesh Sanghrajka
Yes. The volume trend during the quarter, we had a softer start in January, generally, the soft month and then the volumes start stacking up and we saw a similar trend this quarter as well.
Kumar Rakesh
Great, thanks. My second question was from a longer-ter m perspective. Over the last 2, 3 years, we

have seen all the froth which was created in many of the deals with very low ROIs being signed, they were reassess

ed by the clients and many of them were ramped down, and we saw the impact of that in terms of revenue growth. Do you see, there is st ill some scope left if clients start reassessing the projects again, if the macroeconomic uncertainty continues for a little longer, there is more of reassessment of the projects, which may again st art happening the way we have seen over the last year or two?

Salil Parekh

External Document © 2025 Infosys Limited Hi. First, the changes that we have seen in th e economic environment, impact have happened very recently and over a short span. Having said tha t, the discussions we have had, specifically on some of the deals we have signed in the recent quarters, we have not seen a change in that, like the trajectory that we were anticipating, at this stage. However, we will keep a look out on that as we develop.

Kumar Rakesh

Thanks for that Salil. Just a clarification. So, my question was more around that ROIs now that we are offering in terms of the deals which we are doi ng for the client. Now has it on a portfolio level, has it improved so that we are no longer in a risk if such a reassessment happens or you still see that there are some of the projects whic h is at a risk which could be reassessed?

Jayesh Sanghrajka

What we saw in the past was more of the discr etionary spend where the clients had put a stop or there were ramp-downs. If the environment deteriorate s, significantly from where we are, yes, the clients will relook at some of that. At this poi nt in time, we are not seeing any of that happening significantly for us.

Kumar Rakesh

Great. Thanks.

Moderator

Thank you. Next question is from the line of Abhis hek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak

Yes, hi. Thanks for the opportunity. So, my first question was, could you please just expand a bit on the underlying assumptions at the top end of our guidance? Do we assume an acceleration in deal wins for this to be achieved or do you think a bette r-than-expected ramp-ups could probably take us to 2%, 3%? That is one.

And the second question was – which I think is pr obably partly answered. But considering a few of your peers have called out some deferrals or at least some uncertainty in decision-making. How does the next immediate quarter looks in terms of, let us say deferrals or ramp-downs? And do you see any significant risk in the extreme short term?

External Document © 2025 Infosys Limited And lastly, do the current events kind of push-down the recovery in short cycle deals a bit more and do you feel short cycle deals are ag ain, something that will struggle to take-off? Thank you.

Jayesh Sanghrajka

Yes. So, leading up to guidance, we always run mult iple models that leads us to the top end, bottom end or the middle end of the guidance. That is the sa me process that we have followed even at this point in time. The reason that we gave a 3-point guidance band was because there is an uncertainty. So, at the lower end of the guidance, we have baked in some further deterioration in the environment. And at the top end of the guidance, we have baked in steady to marginally improving environment. So that is how the guidance has been panned out from the environment perspective.

Having said that, on the ramped downs, we have not really seen any major ramped downs at this point in time or major closures of the deals, we do see clients being cautious that decision making is delayed in pockets. But as I said, what we se e today has been baked in in the lower end of the guidance from the uncertainty perspective.

Moderator

Abhishek, do you have any follow-up question?

Abhishek Pathak

Yes, sorry. No, just the last bit on the wage hi ke impact for Q1 and how do we just model that in? Thanks.

Jayesh Sanghrajka

Yes. So, Abhishek, most of our employees got t he wage hikes in January and the middle level to senior level employees will ge

t wage hike, effectiv e 1st of April. The impact of that has been baked
in in the guidance range that we have given.
As you could see for the financial year '25, we have improved our margins by 50 basis points. We are now at 21.1%, despite all the headwinds, whether it was w age hike, whether it was higher variable pay, the large deal ramp-ups, acquisiti on-related costs and our endeavour going forward is to improve from where we ar e in the current environment.
Abhishek Pathak
Understood. Thanks a lot.

 Moderator
Thank you. Next question is from the line of Gaur av Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria
Hi, thanks for taking my question. My first question is on small deals...
Moderator
Gaurav, sorry to interrupt you, can I request you to speak little louder, please?
Gaurav Rateria
Am I audible now? Moderator
Yes, go ahead.
Gaurav Rateria
My first question is on small deal environment. Have you seen any change compared to a few months back? And is it fair to believe that the midpoint of guide assumes a stability in the environment on the small deal front?
Jayesh Sanghrajka
So, Gaurav as I said, there are various models that leads to multiple ends of the guidance. At the lower end, I will repeat, we have assumed deterio rating environment. And at the upper end, we have assumed steady to marginally im proving environment. So in t he middle is anywhere between the two.
Gaurav Rateria
Okay. Got it. Second question is on margins for FY'26. Normally, what we have always been hearing is that when growth improves, it creates an operating leverage and provides a cushion to improve margins. But if I take this midpoint of your gui de, it is kind of slowing compared to FY'25.
So is it fair to believe that kind of creates some operating deleverage and create some pressure on margin? So what would be the levers to offset t hat and still be -- stay within the band within FY'25 range? Thank you.

 Jayesh Sanghrajka
So Gaurav, if you look at the la st year also, we had a large comp impact coming into the year because we had the previous comp which was rolled out in November. So full year impact of that came into this year and then we had additional comp that we rolled out in January.
So there was a comp impact. There was an impact of the large deals that we signed in the previous year, 30bps of impact from the acquisition that we did and so on. And despite all of those headwinds, we have been able to improve margins by 50 basis poi nts by rewarding our employees better through a higher variable pay through the year.
So, we are confident at this point-in-time that there are opportunities where we can double down and improve margins. So at this point-in-time, the endeavour is to improve margins from where we are for FY'26.
Gaurav Rateria
Thank you. Moderator
Thank you. Next question is from the line of Jonathan Lee from Guggenheim. Please go ahead.
Jonathan Lee
Great. Thanks for taking my questi ons. First question, can you clarif y what the inor ganic contribution is that is contemplating your outlook for fiscal '26?
Jayesh Sanghrajka
So Jonathan, the guidance does not include the ac quisition that we announced today. We have not closed them yet. The Board has appr oved the acquisition. We still have to go through the closing formalities that will take a few weeks to maybe a month or so. So, depending on the closure, we will figure out in the next cycle on the guidance. So at th is point-in-time to clarify, the guidance does not include the acquisition that we announced today.
Jonathan Lee
Thanks for that clarification. Se cond, how would you characterize the pricing environment through the quarter? And how does that compare to what you have seen since the beginning of this fiscal year?

Jayesh Sanghrajka
We continue seeing stable pricing through the quar ter, generally at the ov erall business levels. Everything that has changed in the environment has been very recent. So we have not really seen any significant impact coming from them on the pricing environment.
Having said that, one of the key pillar on our cost optimization or the margin improvement program is the value-based selling, that is not only pricing, that is everyt hing around pricing, including getting the change request for the scope creeps, rotating our long-tenured employees across projects so that we get better pricing on them, having differentia ted pricing models for different services. So, all of that has helped in the last year and that endeavour continues in this year as well.
Jonathan Lee
Appreciate that colour, thank you. Moderator
Thank you. Next question is from the line of Keith from BMO Capital Markets. Please go ahead.
Keith Bachman
Hi. Thank you very much for taking the call. I wanted to return to AI on the delivery side. And really, I wanted to go back to the first question, which I was not sure, I understood your answer. But how is AI changing the nature of pricing discussions and/ or structure? And how do you think that is going to unfold in FY 2026? In other words, does the deflationary nature of AI, is that impacting your performance-based contracts or any structure that y ou are putting in the contract? And is it leading to any different price discussions?
And if you could also call out, is there an area whet her it is BPO or deployment or ADM that is being -- that you see using AI more in the delivery or is it all the different areas? Is there any one area specifically within your portfolio or solution portfolio that you think will be impacted more by delivery? Thank you very much.
Salil Parekh
So, on AI and pricing, what we are seeing is, ther e are areas where we have discussions with clients and this is building up through the last year, thro ugh the quarters and we anticipate seeing that going ahead as well. Where for example, if there are lar ge customer service programs, we see that there could be benefits to the clients of 20% to 40%. If there are different area s where Generative AI can be applied, those discussions are very mu ch at the forefront on clients minds.

 Sometimes, the client view are maybe larger than w hat we are seeing in realization and so, we have a choice to make there. Many times, they ar e aligned and AI is one component of automation, of lean, then AI and then consolidation, all of which give some benefits in a cumulative way to the clients. So, we see that ongoing.
And with that, we also see AI gives us some new opportunities; One, there are new projects we are doing, for example, in credit risk or AI platform, fo r a telco, these give us new areas for revenue as well. So as a cumulative, while all this was sti ll going on last year, we still saw 4.2% increase in revenue and that is the way we see it at a composite level.
Now on that, we superimpose the changes in the economic environment which is where we see some differences as Jayesh was sharing earlier in the range of the guidance, if that makes sense.
Keith Bachman
Okay. But just when, and for my follow-up when y ou mentioned there are some situations where AI is generating 20% to 40% efficiency gains, I think that is sort of similar to what IBM and Accenture have said. On a like-for-like pricing in that situation, wher e you can deliver such meaningful efficiency gains to the client, how are those efficiency gains shared with the customer? In other words, is your revenues go down by 20%, 40% or how is that shared in terms of just on a like-for-like basis for a given contract and that is it for me. Thank you.
Salil Parekh
So there, where we have seen that range has been mo re, for example, on customer service. We do not hav

e a large voice business. We typically bid on like a combination of technology and operations, and part of it could be that. So typically, these are not our existing book of business, that customer service is not something we hav e a large book of business in.
In terms of sharing, there are different ways. Th ese are shared depending on the client situation like there are situations where there is a consolidation activity with the client, where there is a share in some part where customer service is not within our portfolio and there is consolidation which gives us some benefits. So it is not like one number whic h gets shared then with clients. But it is shared, yes.
Keith Bachman

Okay. Many thanks for the answers and I wish you all the best of luck.

External Document © 2025 Infosys Limited Salil Parekh
Thank you.
Moderator
Thank you. Next question is from the line of Surendra Goyal from Citi. Please go ahead.
Surendra Goyal
Yes. Thanks a lot. Salil, Jayesh, just one questi on. You have been calli ng out improvement in discretionary spending through the course of FY'25. What did you see in the month of March and April so far and apologies if you have already answered this question before?
Jayesh Sanghrajka
So, Surendra, March month has been usual. I do not think we have seen a significant change either ways in the environment in terms of volumes. We did have positive volumes in March.
Surendra Goyal
Understood. Thank you.
Moderator
Thank you. Next question is from the line of A bhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar
Hi, good evening. Thanks for taking my question. I have a question on cost of third-party items. First is, when we say, some of the booking of the third-par ty item got spilled over. Does that mean that it will come back in Q1 and that will help Q1 revenue? And a related question is, is the visibility getting into Q1 similar to what we have seen maybe Q1 of last year; better, worse, any color on that? Thank you.
Jayesh Sanghrajka
Sorry. Abhishek, if you could repeat the first ques tion on the third-party, I did not get that well.
Abhishek Kumar

External Document © 2025 Infosys Limited Yes. So I mean we said that some of the weakness in Q4 was because some third-party item got spilled over. So is that just a deferral and it will co me back in Q1 or that is something that we have lost?
Jayesh Sanghrajka
So Abhishek, at this point-in-time the third-party co sts that, as I said earlier, two-third of our decline was because of the lower third-party costs and revenu e, some of those deals slipped. It is uncertain at this point in time if and when these deals come back. So, at this point-in-time, they are slipped. You should read that in conjunction of the fact that I also said FY'26 third-party cost and revenue are going to be lower than FY'25 third-party cost and revenue.
Abhishek Kumar
Okay. And maybe in that context, visibility overall for Q1, given we are in the midst of the uncertain macro, how are we looking at Q1 compared to previous years?
Jayesh Sanghrajka
Yes. So I think both the years have had unique factors that led to an uncertainty. I do not know if you can put in a quantifiable terms, whether it is similar or not. We started the year last time, there were uncertainties around interest rates, geopolitical tensi ons, half the world was going through elections. So there were uncertainties around that.
And today, we have uncertainties around tariffs. We do not know the rate to the extent to which countries will get impacted, how those countries will retaliate, the timing of that and the downstream impact of that. So, I think all of that is uncertai n as we speak, Abhishek. But the guidance that we have provided at this point-in-time is what we see today. Our philosophy on guidance has been to reduce asymmetry of information between us and our investors and we are guiding what we see today.

Abhishek Kumar
So, one quick question on margin. Two-third of 3.5% decline coming from third-party, but the margin uplift because of that has been very limited around 30 basis points. So, I was just trying to reconcile why the margin uplift is so low? Thank you.
Jayesh Sanghrajka
Abhishek, the margin uplift on that is around 20 basis points. If you look at, the reduction in third-party cost is $100 mn, obviously we make some margins on those deals as well. So, you will only

External Document © 2025 Infosys Limited get the benefit to the extent of the delta margin of the company versus those third-party deals and

that is where the margins were impacted.
Abhishek Kumar
Sure. Thank you. That is helpful and all the best. Moderator
Thank you. Next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah
Yes. Thanks for the opportunity. Salil, just wanted to understand in this uncer tain macro environment, if discretionary spend is difficult to predict whethe r -- but at the same time, clients may not postpone their AI-related investment. So is it fair to as sume client may start in terms of going doubling down on the outsourcing cost takeout kind of deals? Whet her same is coming into your discussion and is it fair to assume that the deal pipeline could improve on the cost takeout and the mega deals could be a part of the deal wins entering FY'26 as well?
Salil Parekh
So there, first, the changes in the economic envir onment are recent and also in a short period, so not everything is understood about that. Having said that, learning from the past, we typically see that this sort of an environment will provide mo re cost takeout opportunities, consolidation, automation, lean. We have also pivoted our sales ac tivities into focusing and building more proactive pitches to clients on that area.
We will now see how that executes and what is the dynamic of the economic environment. But in general, our portfolio has got that ability, which is also on AI, cloud and also on cost takeout. So now we are emphasizing much more on the cost takeout.
Sandeep Shah
Okay. And Jayesh or Salil, whoever can answer this, whether it is fair to assume the seasonality of 1H better than 2H may continue even in FY'26? Wh at are your guidance assumptions for the same?
Jayesh Sanghrajka

 So typically, our 2H is softer because you hav e furloughs, you have lower working and calendar
days, etc., etc., so that part of the seasonality wi ll remain. As we see today, I do not expect that seasonality to change. But beyond that, in an uncertain environment like this, it is very difficult to predict how the quarters will look like.
As I said earlier, at the bottom and the higher end of the guidance, we have factored various scenarios and depending on how that will play out, we will have to see how the quarters progress. But overall, we do not see a significant change in seasonality beyond the uncertainty.
Sandeep Shah
Okay. And just last bookkeeping question. In terms of your margin walk, you have said the M&A-related cost being 40 bps as a headwind to the margin. Is it one-off and may not reoccur in the first quarter of the coming financial year? And if I assu me both acquisitions being closed at the end of 1Q and maybe consolidated for 9 months, is it fair to assume it will add 40 bps, 50 bps to the revenue growth?
Jayesh Sanghrajka
So, that is right. The 40 bps of charge that we took on related to the acquisition is one-off in a way. If you recall, we had said earlier this year that the Automobile sector, especially in the German or European markets has been seeing softness. And t hat is why we have reassessed our customer intangibles, the value of customer intangibles a nd we had to take a charge on that. So, from that perspective, it is a one-off. Coming to the second question, what was the seco

nd question?
Sandeep Shah
The M&A?
Jayesh Sanghrajka
Yes, the acquisition. If we close in the Q1, th e benefit that we would get would be 40-to-50 basis points for the full year, which is not baked in the guidance.
Sandeep Shah
Okay. Thanks and all the best.
Jayesh Sanghrajka
Thank you.

 Moderator
The next question is from the line of Nitin Padmanabhan from Investec India. Please go ahead.
Nitin Padmanabhan
Yes, hi. Good evening. The JV that we signed with Mitsubishi, how is that different from the one that TCS signed in the early part of the last decade, if you could just give some context there?
Jayesh Sanghrajka

So Nitin, this is not a JV that we have signed. We have inducted Mitsubishi in the existing JV and we have diluted our share by 2%. So it is an existing JV where we have just i nducted a strategic partner in the JV. It is endeavour to build a long-term relationship with a large giant in Japan.

Nitin Padmanabhan

Got it. And then just one last question is, as we ent ered the last year, which is as we entered fiscal '25, we had a large order book of large deals whic h we had to execute, which sort of helped us in the first half of last year. As we enter this year, how would you contrast that in terms of the order backlog, relative to last year, right?

I am asking this considering that our organic grow th this year is possibly around 3.4% and in that context, our guidance at the top end is almost simila r. So just wanted some context in terms of how it was then and how it is now?

Jayesh Sanghrajka

So Nitin, you are right. If you look at just the purely, the quantum of the deals that were getting ramped up in Q4 of the previous year and compare that to quantum of deals that are getting ramped up, you will see a stark difference or you will see some difference. But we should also remember that many of those deals were in larger deals than a longer duration deals versus what we have today. So, there is a delta between the tenure of the deals and mega deals are generally a much longer tenure deal. You will see some of the filings with respect to the mega deals that we have done with SEBI also or stock exchanges also earlier. So, we should see that in that context.

Nitin Padmanabhan

So, it is not that these deals have any anniversary impact at the moment or if there is a continued ramp that you are sort of anticipating there?

 Jayesh Sanghrajka

So, if you look at most of the deals that we had talked about earlier, which was signed in FY'24, they had ramped up in the Q4 of FY'24, and then we saw the benefit of them in FY'25. So they are pretty much at a steady state at this point-in-time.

Nitin Padmanabhan

Got it. That is very helpful. Thank you so much and all the very best.

Jayesh Sanghrajka

Thank you.

Moderator

The next question is from the line of Vibhor Singhal from Nuvama. Please go ahead.

Vibhor Singhal

So my question was basically on the growth trajectory that we are expecting. For the last two years, our growth has been pretty much first half heavy and seasonality of industry and our own seasonality have been coming in Q3 and Q4. This time, a lot of our peers have called out weakness in Q1, especially because of the uncertain macro.

So do you believe that could impact the growth traj ectory that we see through the year, it could be more skewed towards, let us say, Q2 and Q3 or maybe the second half and the first half might not be as good as we have seen it over the past couple of years? Just some light on that will be really great.

Jayesh Sanghrajka

So Vibhor, as I said earlier from a seasonality perspective, the regular seasonality perspective, I do not see a change in seasonality. The working days, calendar days impact woul d be similar to earlier years, the furloughs will remain. The uncertainty is the only unknown factor, and we

will have to see

how that pans out in Q1, Q2 to see if – and the im plication of that to see whether Q1/Q2 is going to be better or worse versus earlier years.

So in short, the uncertainty remains. That is the reason why we have given a 3-point guidance. At the bottom end of our guidance, we expected higher uncertainty. At the top end of the guidance, if

 we end up there, then you will see a regular seasonality in H1 and H2. But yes, at the bottom end of

our guidance, it is going to be unpredictable.

Vibhor Singhal

Right, got it. So okay, let me just ask maybe just a follow-up on that. Are you expecting any, let us say, unexpected, extra weakness in Q1 because of the uncertain macro at this point-of-time?

Jayesh Sanghrajka

Vibhor, we do not give quarterly guidance. So, we are going to stick to our overall guidance and that is what we see today.

Vibhor Singhal

I was just trying my luck. Lastly, on the margin front, where do we stand on the Project Maximus benefit? Do you believe there are still some fruits to be plucked from that? Or are we mostly done with that project?

Jayesh Sanghrajka

So, if you look at this year, despite multiple headwinds, we have been able to improve margins by 50 basis points, right? We did absorb the comp that we did in the previous year. Full year impact of that came in FY'25. We gave higher variable pay to our employees. We have had ramp-ups of many of the mega deals, which obviously are lower margins in the beginning of the year. We had an impact from acquisition or intang ibles of the acquisition.

So, I think we have absorbed all of that and delivered 50 basis points of margin expansion. There are multiple tracks which are still underway under t he project, value-based selling is still delivering value. Lean automation is still creating value. So, I think there are opportunities that makes us believe that there is still opportunity to improve margins from where we are.

Vibhor Singhal

Got it. Great. Thank you so much for taking my questions and wish you all the best.

Jayesh Sanghrajka

Thank you, Vibhor.

Moderator

 Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja

Hi, thanks for the opportunity. You made a remark regarding the fact that we should probably be expecting some decline in the cost of pass-through revenues in FY'26. We have basically seen a very steady increase from this line item increasing from about 2% of revenues to about closer to 8% of revenues in FY'25.

Is there anything on the ground which is changing bec ause of this you envisage a lower level? this number essentially being a drag on revenue grow th? And how should we be thinking about this number playing out over the next 3, 4 years?

Jayesh Sanghrajka

Manik, this is the third-party costs which are typically the costs which are embedded in multiyear large transformation deals. And we know what the deals that we have signed in the year and we know what are the deals in pipeline. When we analyze those two components and when we estimate what the cost is going to be, at this point in ti me, looking at what we have signed and what we have in the pipeline, we expect FY'26 third-party costs to be lower than FY'25.

Manik Taneja

Do we envisage this going back to possibly where it used to be FY '21?

Jayesh Sanghrajka

Eventually, we will have to see w here we will end up. But once t he large and many of the mega deals that we have signed in the past, those transformation fi nishes, we will have significant reductions as well.

Manik Taneja

Sure. Thank you and all the best for the future. Moderator

Thank you. Next question is from the line of As hwin Mehta from Ambit Capital. Please go ahead.

Ashwin Mehta

 Hi, thanks for the opportunity. Jayesh, one clarific

ation. In our cost of sales line, we have almost Rs.

145 crores negative number for consultancy and professional charges, have not seen a negative number ever here. So, what is driving this?

Jayesh Sanghrajka

So Ashwin, this is an insurance claim that we got with respect to the cyber event that we had last year. So, this is a benefit of $20 mn that we got. I did not call it out in the margin walk because there were other negatives against that like utilizatio n etc., so those kind of offsetted each other.

Ashwin Mehta

And a follow-up in terms of the provision for post-sal e support as well, the reversal seems to be pretty high. So is that also related to this as well?

Jayesh Sanghrajka

No. The post-sale customer support - there is a seasonalit y there. So typically, if you look at last few years trend, you will see a reducti on in Q4 generally on that because m any of the projects typically come to an end with the financial year-end. So that is one reason.

The second reason is, of course, there is a lot of things which we are driv ing under Project Maximus, whether it is in terms of effort optimization, whet her it is in terms of c hange request, a tighter control of many of those projects, all of that reflects into lesser warranty in terms of SLAs, lesser warranty, lesser cost in future on many of those projects. So, all of that reflects in PSCS for us, post-sale customer support.

Ashwin Mehta

Thanks a lot for the clarification.

Jayesh Sanghrajka

Thank you. Moderator

Thank you. Next question is from the line of Giri sh Pai from BOB Capital Markets. Please go ahead.

Girish Pai

 Yes, thanks for the opportunity. Salil, are there any silver linings to the current macroeconomic situation around tariffs? Are you having any conv ersations with clients around the supply chain solutions or anything like that?

Salil Parekh

So what we see is we have a portfolio which has got bo th things for growth like AI, cloud, digital, but also very good solutions for cost and cost efficien cy, automation, productivity from AI, lean. We are making sure that those are getting already in the short time period from the changes in the economic outlook. We are making sure those are getting communi cated, discussed with clients. And my guess is, we do not know the impact yet, but we are going to make sure that if clients are looking for cost and efficiency we will be there.

On supply chain, we are working to make sure that we provide, because we have a consulting business, which can give some insights. We also have supply chain tech solutions, if clients are rerouting their supply chains or if they want to op timize it, how we can support them in it? So, we are positioning for it. We do not know right now like what is the potential impact benefit, but we are definitely positioning for the cost and these sort of activities.

Girish Pai

Okay. My second and last question has to do with AI and budgets around AI. Do clients have a separate budget for Gen AI or AI or is it coming from savings that you are doing on normal projects as things stand today?

Salil Parekh

Yes. If I look back at the last year, the overal l tech budgets are there. Now there are some cases where a client is doing large transformation, we ar e able to fund that transformation from, let us say, a large opportunity on consoli dation or cost efficiency.

In some cases, because at the start, AI was a little bit more distributed, not so much central. They were also some sort of distributed within the company, different divisions and budgets and so on. My guess is, it will become more and more one budget fo r the company from which there will be spend on our services for AI and so on. So we will see how that plays out, so that is what we anticipate.

Girish Pai

Okay. Thank you.

Moderator

 Thank you. Ladies and gentlemen, I n

ow hand the co nference over to the management for closing comments.

Salil Parekh

Thanks. Thank you everyone, and thank you for detai led set of questions. We can imagine with the changes, we are all looking for insights.

Conclusion from my side; first, we are delighted with the strong financial year '25 growth, margin, very good cash, large deals, net new. What we have built over the years is a balanced portfolio within the company with AI, cloud, digital for growth, cos t, automation, consolidation, lean for efficiency. And we find that this environment gives us a good ability to work on both and maybe do one more than the other, depending on how the environment will unfold. We will support our clients in that ability. We have also taken care to build guidanc e with how Jayesh described with different ends and assuming different scenarios.

We feel we are well positioned on the margin side with a lot of the work that is been done in our margin program. So overall, we remain quite confid ent to support our clients on what they want to drive and to deliver and execute on our business. T hank you everyone, and look forward to catching up in the quarter.

Jayesh Sanghrajka

Thank you. Moderator

Thank you very much, members of the managem ent. Ladies and gentlemen, on behalf of Infosys Limited, that concludes this conference call. T hank you all for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2025

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

July 28, 2025
Dear Sir/ Madam,
Sub: Transcripts of the press conference an d earnings call conducted after the Meeting of Board of directors on July 23, 2025

Please find enclosed the transcripts of the press c onference and earnings call conducted after the Board meeting held on July 23, 2025, for your information and records. This information will also be ho sted on the Company's website, at

https://www.infosys.com/investors/reports-fi lings/quarterly-results/ 2025-2026/q1.html

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/r eports-filings/quarterly-results/2025-2026/q1.html
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha

Company Secretary
Membership No: A21918

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Infosys Limited
Q1 FY26 Financial Result s Press Conference Call
July 23, 2025

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The Hindu Businessline
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External Document © 2025 Infosys Limited Rishi Basu
A very good evening, everyone, and thank you for join ing Infosys' first quarter financial results. My name is Rishi. And on behalf of Infosys, I would like to welcome you today.
As always, we request one question from each medi a house so that we can accommodate all of you over the next 45 minutes or so. With that, let me invi te our Chief Executive Officer, Mr. Salil Parekh, for his opening remarks. Over to you, Salil.
Salil Parekh
Thanks, Rishi. Good afternoon and thank you all for joining us. We had a strong start to our financial year. Our revenues grew 2.6% sequentially and 3.8% year-on-year in constant currency terms. Growth was broad-based with our large 5 industr y groups and our large geographies, growing year-on-year in constant currency.
Our large deals were at $3.8 bn. The main drivers of our growth were, leadership in enterprise AI and continued success in client selecting us fo r consolidations. We ar e seeing good demand for AI agents. We have built 300 agents across business operations and IT areas and they are now deployed within our clients. Horizontal and vert ical agents are helping our clients drive faster decisions, improve customer experienc e and improve operational efficiency.
Based on our performance in Q1 and our current out look, our guidance for growth for financial year 2026 is revised from where it was 0% to 3%, now it wi ll be 1% to 3% in constant currency terms. Our margin guidance remains unchanged at 20% to 22%.
With that, Rishi, let us open it up for questions.
Rishi Basu
Thank you, Salil. We will now open the floor for ques tions. Joining Salil is Mr. Jayesh Sanghrajka, Chief Financial Officer, Infosys. The first question is from Ritu Singh from CNBC TV18.
Ritu Singh
Hi, gentlemen. Thanks very much for the question. We are talking about how the numbers have been very strong. The performance has been good. The fi rst quarter revenue is above what the Street had factored in. Two questions on this; if the numbers are so good, why have you not raised the upper end of your guidance? Why just the marginal revision fr om 0-3% to 1% to 3%? And how much of this upward

revision that we are seeing, and including the kind of constant currency growth, 2.6% in this

External Document © 2025 Infosys Limited quarter, has come from your inorgan ic, from your acquisitions that you have made? That is one part of the question.
Also, how would you guide the Street to look at t hese numbers? Would you really say, this is a turn around that you are seeing in the current macro-environment that going ahead this kind of performance would be sustained? And a word, last time, we did not hear much from you on the whole tariff conundrum and how that is impacting discretionary spend, specific ally in sectors like Manufacturi ng, Retail, what is your sense on the clients, and if you could also add a word on y our hiring plans for the year? Thanks very much.
Salil Parekh
Thanks. So first, on the guidance, what we have seen this quarter is a strong performance in terms of where we have delivered the 2.6% growth, as you pointed out. With that and with the current outlook where we have seen a lot of the discuss ions on the economy worldwide having come to more stable situations, but still seeing that it is not fully settled.
Given that, we have increased the lower end of ou r guidance as we go closer, progress into the year, closer towards the end of the year, we typically narr ow our guidance. And that is the first part of what we have done, which is increase the lower end, but we still see things within our guidance where we look at some things which will give us good tr action. For example, what we have seen in the

consolidations, we have seen very strong work t hat we have done on AI with agents and we see that and we also see the economy globally, both in Europe, U.S. going through changes. So, keeping that in mind, we have narrowed the guidance and increased the lower end.
On the inorganic part, I will let Jayesh m ention how much of it is inorganic.
Jayesh Sanghrajka
Yes. So inorganic in this quarter has been around 40 basis points, within our 2.6% that we reported. And for the full year also, it will be a similar number.
Salil Parekh
And then back on the sort of economy, we talked about it last quarter and also in addressing it today. There are overall changes in the economic envir onment and we mentioned last quarter, we shared that again. We see some of that impact, for exam ple, in Logistics. We see some in Consumer products and some in Manufacturing.

 But equally, we have seen benefits, especially bec ause we have seen good traction with the work
we are doing with agents in AI and a benefit from c onsolidation that we have looked at, that the clients have looked at us and been positive, and that has given us some of the positive growth that we have seen in this quarter.
Ritu Singh
(Editors remark: Question inaudible)
Salil Parekh
So there, on the acquisition, as Jayesh shared, it is a small part of it, even if you keep that aside, we are well over 2%, 2.2% in terms of constant curr ency growth, in the quarter. The way I would look at it is, it is very differentiated performance because we have what we believe to be one of the best ways that we are deploying AI, enterprise AI into our clients.
So these are active projects w here we are using agents, different types of agents that clients are leveraging, whether it is in their supply chains, in their custom er experience, wher e they are getting productivity benefits, where they are getting improv ed customer service, that is one aspect of it.
And the other aspect is, we are seeing clients are se lecting us more and more when they are looking at consolidation because inherently, we see clients see, Infosys' delivery as very strong and stable and also providing new ideas, especially on AI for im provements into their business. So that is the differentiated performance that we are seeing in the way that we see it.
Ritu Singh
Hiring? Jayes

h Sanghrajka
So if you look at our hiring numbers, our overall headcount has remained constant at this point in time. Our utilization is at its peak at 85%. So, we will continue hiring, and we expect to continue hiring in line with what we have announced at the beginning of the year, there is no change there.
Rishi Basu
Thank you, Ritu. The next question is from Haripriya Suresh from Reuters News.
Haripriya Suresh

 Good evening, gentlemen. One quick, I wanted to understand, Americas growth has been flattish,
but Europe has done really well. Just some color on the specific markets. Is Europe client-specific, what is happening on that end?
And in terms of the employee headcount, like you ment ioned, I know it is been flat. I know there is a lot of talk about how Infosys is using AI, do you see -- if utilization at its peak, do you see productivity increasing where you do not need to hire as much goi ng forward? And will this sort of be the level that we will see it at? And I wanted to get some co lor on what the wage hike scenario will be for this quarter as well? Thank you.
Jayesh Sanghrajka
So, coming to your second question on headcount, as I said earlier, headcount has remained flat. Despite that, we have been able to deliver 2.6% on growth. Large part of that came from the RPP increase or the pricing increase that we got and the seasonality benefit that we got. 40 bps came from the acquisition and the balance came from the volume increases, which we have been able to
manage within our current headcount through utilization.
Now that we are at a peak, any further volume increas e will need to come from the hiring. So that is where we are.
In terms of U.S. and Europe, I think Europe has been strong footing for us for many quarters in the

past, that is on the back of the investment that we made a few years back in Europe. We had identified Europe as a geography to invest into. And all of that, I think, is working well across sectors.

Haripriya Suresh

(Editors remark: Question inaudible)

Jayesh Sanghrajka

Because Europe is growing faster vers us America, to that extent, it is changing, but still U.S. remains the largest sector for us, largest geography for us.

We did a wage hike already, first part of that was effective January, the second part already rolled out effective April. First, the impact of that is already baked in, in t he margin of this quarter. We had 100 basis points of impact on account of wage hike as well as the higher variable pay that we paid to our employees this quarter, so that is alread y done. Having done the wage hike very recently, next one, we will have to decide when.

Rishi Basu

 Thank you, Haripriya. Next question is fr om Beena Parmar from The Economic Times.

Beena Parmar

Hi, Salil. You mentioned about the revenue being st ronger. Some of your peers have pointed out that there has been some revenue cannibalization that they are seeing, are you also witnessing it? And are you seeing some productivity gains, benefit s that you are passing on to your customers? And is that also leading to change in pricing? I th ink we spoke about it briefly, but has there been any change in the first quarter?

And secondly, is that also impacting your margins? What were the factors that led to the margins, because I think it has declined.

Salil Parekh

Let me start on the revenue one. I think we are seeing, with AI a lot of productivity benefits. We also saw productivity benefits that we were already wo rking on from automation and lean, which were coming through. Typically all productivity benefits, a part of that is shared with clients and a part of that is shared with us. We see, if you look at t he overall level, what Jayesh was sharing, we have seen our productivity of our revenue, the way our own pricing is working, at a macro level improving

.

And this is more because we are doing work, wh ich is creating more impact in addition to the productivity, which is making some of that benefit bei ng shared with client. So, these are two different factors. But on balance, we see an impact into t he quality of the revenue that we are seeing now.

Beena Parmar

So, what kind of productivity gains you have been passing on? Salil Parekh

So there, we are not discussing the amounts we ar e passing on. But in terms of what we are seeing as a benefit, we are seeing between 5% and 15% th rough AI programs where we are working with clients, where typically there are disparate systems. Internally, there are some things we have done, which are slightly higher than that. But those are all internal. Like, if you look at our Finacle product, it is one uniform sort of a code base in which we can get better productivity.

Jayesh Sanghrajka Yes. And on the margin walk, the 20 basis points of decline, the puts and takes of that, 100 basis points of headwind came from compensation related fact ors, in hike that we gave in April, as well as

 the higher variable pay that we pay to our employees or we will pay to our employees for this quarter.

30 basis points was a headwind on account of cu rrency and 20 basis points for other factors.

This was offset by 70 basis points of pricing benefit that we got from both seasonality, as well as the benefit that Salil was talking about from producti vity and everything that we have been doing under Project Maximus. 40 basis points came because of the acquisition related impairment that we did in the last quarter, that was a one-off in the last quarter, so that was a benefit this quarter, and 20 basis points because our third-party cost was lower. So ju st to highlight, our 2.6% of growth was despite the fact that our third-party revenue and costs were lower by 60 basis points.

Beena Parmar Just one last question. Your conversations with the clients, has it improved in terms of the business demand? And are you seeing that tariff-related un certainty or the caution is now over?

Salil Parekh

So, on a macro basis, what we see is, all clients are quite focused on enterprise AI, where we can show what is working, where it is working, especially with agents. Then there are industries, specifically Logistics, Consumer product goods, Manufacturing, where we see the impact of the changes in the economic situation.

Where we were at this time last quarter, t here has also been several things which have been done, which gives more view and focus into what is goi ng on. And yet, there is still some open items which are going on. So we see, for exampl e, from clients, there is quite a lot of attention on cost and efficiency of their own operations, even if they are not impacted by the changes in the economy. So that is all going on, including some of the benef its that we are seeing from AI. And then finally, on a macro level, at this quarter, in our large de als, we have seen a lot of deals where we benefited from clients making cons olidation decisions.

Rishi Basu

Thanks, Beena. The next question is fr om Reshab Shaw from Moneycontrol.

Reshab Shaw

Hi, gentlemen. Congratulations on a good set of num bers in a difficult quarter, in a difficult macroeconomic environment. I have a couple of ques tions. First, on Financial Services, 2 fiscals back, you were close to 28%, now it is down to 27 %, so is this a new normal? Is this a change in composition or are you losing market share?

 Second, your active number of clients has reduced in the last 2 fiscals. And this comes on the back of revenue growth in this quarter. So, is ther e a pricing change? What are the benefits? What is driving this? And also, we have seen in the last 2 quarters that you have added in 3-digit numbers. So, is this a beginning of moving from py rami

d to IP-led businesses? Thank you.

Salil Parekh

So let me start with some of that, Jayesh will ad d in. I think Financial Serv ices, we are seeing a very strong traction. So, one of the things we have benefited from in Financial Services is, if you look at, let us say, our large 20 clients, in half of them, we are the AI partner of choice with those clients. In many of those clients, we see benef its from consolidation. In many of those clients, we are in the forefront when there is regulatory change or big transformation, which includes tech and Op. So, one sense is we are well positioned in financial services . We are starting to gain much more traction, and we have a broad set of coverage both in geography and in capabilities with in financial services.

Jayesh Sanghrajka

So, on the active clients, you always have a long tail and they come for small projects and some of them eventually become larger projects, some of them eventually fall out and after a few quarters, a few months, they come back in a way. So, I do not th ink the active client is a big metric. Of course, it is a metric to track, but more important in our mind is, the $100 mn, $50 mn clients, how they grow and how we mine that, once they become a sizable client.

Salil Parekh

On the IP, so there what we are seeing is there is definitely a growth focus in what we are driving. What Jayesh mentioned earlier, we have a clear plan of recruiting people into this year, in this financial year into the company, both from college, both laterally. But we are also seeing some of our programs, for example, what we are doing in our insurance platform, what we are doing in our Financial Services banking platform in Finacle, t hose are definitely areas where we see more and more IP.

Then we are also seeing places where, for example, in some of our work that we do in BPM, these are not IP but they are more outcome-driven. A nd so there, there is a difference between what happens in the rest of the company, which is much more headcount than outcome. But we do not see that there is a huge change in that. We still see t hat we have a plan of recruiting for this year, and we are on track with that.

Rishi Basu

 Thank you. The next question is from Jas Bardia from Mint.

Jas Bardia

Good evening. I have a couple of questions. O ne is, has there been some sort of revenue cannibalization or probably a res huffling of employees because of AI? Second is more on a macro scale. If you look at 8 years of your tenure and purely on Infosys, Infosys under you has performed better than the peers. And third consecutive year w here the industry has star ted to slow, including Infosys. Now considering there is been a dearth of mega deals for the company, has the company run out of steam? If so, what is it because of? macro uncertainty, client-specific issues or just AI in general?

Salil Parekh

So thank you. That is good to know. The large deals are working very well. So, I think for us, the $3.8

bn is incredible. We have so many deals in there, one mega deal. We have deals which are focused on AI, deals which are focused on transformation, deals which are focused on consolidation. So, my sense is that whole approach is in good shape. We re main, I would say, at the forefront with clients on that.

A part of where we see some of the changes is t he overall economic environment. And my sense is that when that is in a place where we see more and more of the AI movement, which is happening well and more of other work, which is digital tr ansformation, cloud, we are seeing, for example, tremendous traction on enterprise applications an d how they are being driven in new changes. Those are the ones that will support the future, the next stages.

AI itself, there is a whole piece which is around en terprise AI and productivity. But we are also seeing there are new things that we can do with enterpr

is e AI with clients. For example, much deeper level of analytics, much deeper level of assessments, much deeper work on how they can optimize the business, not just for productivity, but for growth . And those will give us new revenue streams.

So, there is a view that we have seen from the analysis internally, where some of the addressable market in those areas is growing and quite good. So we feel quite positive that over this approach that has worked, as you described for the last severa l years for Infosys, will continue to work for the next several years.

Rishi Basu

Thank you. The next question is from Veena Mani from The Times of India.

 Veena Mani

Good evening, gentlemen. A couple of questions he re. We have heard reports at the end of April and through May that there were more freshers fired from the Mysore campus. Were these from the 2022 batch, if there is any merit to that? And also, does it say anything about the quality of freshers coming out of colleges in the last couple of years?

Also, the second question is, Infosys moved to a hybrid form of interview process. Is that also related to how talent is being fleshed out from the market, lateral and freshers? Does it also have to do with the fact that because of virtual interviews, there have been people who misused that format?

Now TCS has made its bench policy a lot more stringent by saying that people can be on the bench only up to 35 days. Is Infosys heading there given that the market is not all that great?

Also, your ESG report had mentioned capability quotient, that Infosys is moving from a digital quotient to capability quotient to mark the progress of its employees. How will that have an impact on the appraisal, on the hikes and also the movement, through maybe IJPs, also taking up projects on Accelerate and other things, if you could help me with some of these?

And again, TCS, we have reported recently t hat there have been onboarding del ays for laterals. Is that something that we see even at Infosys given that the market is not all that great?

Salil Parekh

Thanks. So, there are several, I would like to get through them. The first one was on the Mysore. I think there, we have a rigorous process for hi ring college graduates. They then go through a very focused foundational training at the campus. And then we expect that they meet the internal assessment standards. So, all of the people who join us, they get three attempts to meet those standards. After the third attempt, if they do not meet, they do not continue with the company.

This is a process that has been in use for the last 20 years, and it is something that is important because we want to make sure that the quality that we are providing to our clients is based on these internal assessment standards that we have set. And that is the approach that we have followed there.

On the bench point, I think, was one of your ot her ones, we have no comment on the other company bench. At Infosys, the way we have looked at th is is, employees are pr ovided opportunities for training and learning projects and then they are depl oyed on to client projects when they are ready, and that is the process we follow all through, and we have been following for a long time now.

 Rishi Basu

Hybrid interview

Salil Parekh

There, I think we want to make sure that we put in place an approach that works well for the prospective employee and for the company. And that is in part why we made some of the changes keeping in mind. Even on our employee side, we have a very flexible approach with respect to where employees are coming in.

Every quarter, for the last many quarters, we hav e seen an increase in the number of employees on campus. But overall, at a company level, we have a flexible approach and that is one of the elements of that.

Jayesh Sanghrajka

So o

n the ESG report, the digital versus the capabi lities metrics that we have been using, I do not think that is something that we use for the IJPs, etc. That is a metric that is important from the ESG perspective, that is why we have started publishing that, but that is not necessarily imposing on the IJPs, etc., internally. The last question that yo u had was on the lateral hires. We have not stopped any of the laterals hires or deferred any of the lateral hires.

Rishi Basu

Thank you, Veena. The next question is fr om Avik Das from The Business Standard.

Avik Das

Hi, Salil, two questions and one for Jayesh. So M anufacturing seems to hav e really stood out in terms of the growth and you did point out that Manufacturing, Logistics as well as Consumer packaged goods seem to be under stress for all the obvious reasons. Now I just wanted to understand what really worked in your favor? Was it cl ient specific? and what really went your way? And if you can also provide some outlook on North America. Well, the growth has been nothing compared to Europe, but just wanted to get y our feedback on the biggest market, how is it performing, especially from the BFSI side? And on the margins front, while the guidance has been narrowed, the margins still remain the same. So are you anticipating any margin constraint or pressure going ahead? Thank you.

Salil Parekh

 So let me take the first question and Jayesh will al so comment a little bit more on the industry, let me start with the industry and North America. So Fi nancial Services and North America, we see very good traction across all businesses in Financial Services in all geographies.

And then just in North America, if you look acro ss all industries, while we have shown the growth where it is, we see that market, which is the lar gest for Infosys in a very strong position. So yes, there are changes in the economic situation. Bu t equally, there is good traction that we have.

We have several other industries outside of Logist ics, outside of Consumer product, where we see good activity. For example, in Energy, Utilities, for example, some of the work we are seeing in telco and so on. So, the market is quite strong. We see good traction with enterprise AI there as well and good traction in some of the consolidation wins that we have seen on the large deals which have come from that market.

Maybe on Manufacturing and margin

Jayesh Sanghrajka

Yes. So, on Manufacturing, while we have called out softness in some parts of the Manufacturing, especially the auto, industrial and Europe, I think we have benefited from the consolidation, and we have benefited from the large deals that we have won in the past. But we continue seeing softness or the concerns in terms of client spending in the areas that we have identified within Manufacturing.

On the margins, I did give a walk earlier in terms of the puts and takes of 20 basis point decline this quarter, 100 basis points was on account of comp and variable pay, 30 basis points was currency, 20 basis points was on account of investment that we made in sales, that was offset by the benefits that we got from Maximus, 70 basis points be cause of the pricing increase and the seasonality benefit, 40 basis points was one-off in the Q4 last quarter and 20 basis points was lower third party.

As we go forward, the Project Maximus is still r unning. The proof of that was you saw last year, we delivered 50 basis point expansion despite multiple headwinds. We still see the Project Maximus delivering on multiple counts. That will be offset by the headwinds like lower growth. We are now talking about 1% to 3% growth, so the fixed cost wi ll play out, the fixed cost of the growth areas will play out.

The compensation-related things will play out becaus e now we will have a full year impact of the compensation, etc. Some of the large deals will st art ramp

ing up, and there will be transition effort, etc., where we incur costs, but we do not get re venue in the first few months or weeks when the transition happens. So, all of that will be the puts and takes, we still aspire to increase margins from where we are.

 Rishi Basu

Thanks Avik. The next question is from Sanjana from the Hindu Businessline.
Sanjana B.
Good evening gentlemen. Do you see any change in projects either ramping up or ramping down due to the geopolitical uncertainties or any reasse ssment on the clients' end? And also, do you think that in FY26 third-party costs and revenues will be lower than in FY25 because I think it contributed to a significant decline, at least in the last fiscal or last quarter? And coming to hiring, I can see that the headcount has increased marginally between Q4 and Q1 this year. So, do you at all see any impact of AI and automation on hiring ? Yeah, just these, thank you.
Salil Parekh
So, on the first one, I think we see the changes in t he economic outlook, with all of the changes going on in U.S. and Europe, we have not seen any change in a specific client or a spec ific project situation. It is more overall what we were sharing earlier. Fi rst, there is more emphasis on cost and efficiency across, there is some impact at an industry level, if you look at Logistics or Consumer products or some parts of Manufacturing like auto. And then we see a lot of benefits in this like a cost or consolidation discussion quite a bit when clients have made some of those decisions. So there, we are okay from the overall perspective, whic h has partially helped us with the growth.
I think on the hiring, recruiting and people, so we fi rst have a plan for recruitment for this year for college and lateral avenue. With AI there has been benefit s that we see in terms of productivity. We see with AI, especially enterprise A I, that there is more things that we are doing with clients, even things like the cloud transitions get accelerat ed or data and analytics foundations get accelerated. And those programs are fundamental to making enterprise AI successf ul with clients.
So those things give us more newer work and on balance, we see that overall continues to be supporting our growth activity now, pl us the consolidation side, the co st efficiency side. So we will continue with our hiring plan for this year.
Rishi Basu
Thank you. The next question is from Ay anti Bera from the Financial Express.
Ayanti Bera
Hello hi, I don't know if this has been talked about already. Just give us the underlying reasons that encouraged you to increase the lower end of your revenue growth guidance?

 Jayesh Sanghrajka
Yes. So if you look at last guidance, we had clear ly called out that at the lower end of our guidance, we are expecting heightened uncertainty, in the environment. And at the upper end of the guidance, we are expecting steady to marg inally improving environment.
One quarter gone by, we have strong quarter, we have strong deal wins, that is the reason why we have increased our lower end from 0% to 1%. At the same time, on the upper end, we still see possible uncertainty on the back of tariff and on the whole of macro environment. But at the lower end, the quarter performance and the deals that we have won gives us better confidence at this point in time.
Rishi Basu
Thank you. With that, we come to the end of this press conference. We thank our friends from media for being here today. Thank you, Salil, and thank you, Jayesh. Before we conclude, please note that the archived webcast of this press conference will be available on the Infosys website and on our YouTube channel later today. Thank you, and please join us for some high tea outside.

Infosys Limited
Q1 FY26 Earnings Conference Call
July 23, 2025

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External Document © 2025 Infosys Limited 3 Moderator
Ladies and gentlemen, good day, and welcome to In fosys Limited Q1 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentati on concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Mahindroo. Thank you and over to you, Mr. Mahindroo.
Sandeep Mahindroo
Hello, everyone. Welcome to Infosys earnings call fo r the first quarter of FY26. Joining us on this call is CEO and MD, Mr. Salil Parekh; CFO, Mr. Jayesh Sanghrajka, and other mem bers of the leadership team. We will start the call with some remarks on the performance of the company, subsequent to which we will open up the call for questions.
Please note that anything we say that refers to our outlook for the future is a forward-looking statement, which must be read in conjunction with the risk that the company faces. A complete statement explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov.
I would now like to pass on the call to Salil. Salil Parekh
Thanks, Sandeep. Good evening, and good morning to al l of you. Thank you for joining us. We had a strong start to our financial year. Our revenues grew 2.6% sequentially and 3.8% year-on-year in constant currency terms.
Growth was broad-based with our large five indus try groups and our large geographies growing year-on-year in constant currency. Our large deals we re at $3.8 bn. Our operating margin was 20.8% and our free cash flow was at $884 mn.
The main drivers of our growth were our leadership in enterprise AI and our continued success in clients selecting us for consolidation. We ar e seeing good demand for AI agents. We built 300 agents across business operations and IT areas. Our horizontal and vertical agents are helping our clients drive faster decisions, improve customer ex perience and improve operational efficiency.

 Let me share with you some examples of where we are doing project work on enterprise AI for our
clients.
An oil and gas major is using Infosys AI agent s to enhance production quality in their refinery, orchestrate dynamic pricing in their retail stor es and automate their contract management system for efficient trading.
A leading global manufacturing com pany is using Infosys AI agents across their supply chain to unlock productivity and cost benefit s and using Infosys AI agents to efficiently resolve issues related to malfunctioning equipment.
A logistic company is using Infosys AI agents to transform customer care , operations and logistics and finance and accounting to become more efficient.
For a leading North American retailer, we are transfo rming in-store shopping into a frictionless data-driven experience, boosting cu

stomer satisfaction, loyalty and operational efficiency. This is being
done by integrating physical AI, through intelligent automation and edge-based computing vision.
A global financial services company is using Info sys Enterprise AI Solution with a fine-tuned large language model. This system translates code and automates documentation. The solution increased developer productivity by 25% and automated 50% of business requirement creation and support of the modernization plan.
Building on 19 leadership ratings we received in financial year 2025, we are now positioned additionally as leaders in Gartner's first Generat ive AI Consulting and implementation services quadrant. We are the only large India-based tec hnology services company to be positioned as a leader.
Based on our performance in Q1 and our current out look, our guidance for growth for financial year 2026 is revised. From the earlier guidance of 0% to 3%, now it is 1% to 3% growth in constant currency terms. Our margin guidanc e remains unchanged at 20% to 22%.
With that, I would like to invite Jayesh to share his comments.
Jayesh Sanghrajka
Thank you, Salil. Good morning, good evening, everyo ne, and thank you for joining the call today. We have been able to successfully navigate a quarter of global uncertainty, which is reflected in our holistic business performance. We delivered ma rket-leading sequential growth, robust large deal

 wins with strong net new, resilient operating ma rgins, high single-digit EPS growth, and another
quarter of free cash flow to net profit of over 100%.
Let me cover the key aspects of the results.
1. Growth was strong and broad-based, revenue up 2.6% sequentially (including 0.4% from

acquisitions) and 3.8% on a year-on-year in co nstant currency terms. Sequential revenue growth was achieved despite a significant reduction in thir d-party costs by 60 basis points to 7.3% of revenue.
2. Sequential growth was once again driven by incr ease in realization, thanks to progress under Project Maximus. Volume growth, while muted was positive.
3. Manufacturing grew in double di gits and FS and EURS grew about 5% year-on-year in constant currency terms.
4. Amongst geographies, North America grew ahead of the company at 2.9% sequentially in CC. On a year-on-year basis, Europe grew 12.3%, which is over 3x the company average.
5. Operating margins were at 20.8%, down 20 basis points QoQ and 30 basis points year-on-year. Sequential margin resilience was despite absor bing balance compensation hike, higher variable pay and investment in sales and marketing.
6. Utilization, excluding trainees, went up 30 basis points QoQ at 85.2% and including trainees, up 80 basis points to 82.7%.
7. EPS in rupee terms grew by 8.6% and in dollar terms grew by 5.8% YoY.
8. Our relentless focus on cash continues and is reflected in free cash flows of $884 mn, which is 109% of net profit. This is the fifth consecut ive quarter of free cash flow being over 100% of net profit. We expect FY26 free cash flows to be above 100% of net profit.
9. Consolidated cash and cash equivalents stood at $5.27 bn at the end of the quarter after paying out final dividend for FY25. Yield on cash balance was 7.2% in Q1.
10. ROE improved by 140 basis points to 30.4% due to dividend payouts.
11. Large deal wins were robust, comprising of 28 deals with a TCV of $3.8 bn, including 55% net new. This includes multiple vendor consolidat ion deals with a combined TCV of over $1 bn, including a mega deal with one of the largest gl obal banks. This reflects our deep-rooted client relationships and differentiated delivery capabilities.
12. Vertical-wise, we signed 9 deals in Communic ations, 6 in EURS, 5 in Manufacturing, 4 in Financial Services, 2 each in Hi-Tech and Retail. Region-wise, we signed 20 deals in America, 6 in Europe and 2 in ROW.
13. Headcount at the end of the quar

ter was 323,788. Attrition increased marginally to 14.4%.
Operating margin for Q1 was at 20.8%, decli ne of 20 basis points sequentially. The major components of sequential margin change for the quarter are as follows:

External Document © 2025 Infosys Limited Headwinds of
- 100 basis points from compensation increase, higher variable pay, partly offset by other salary-related items
- 30 basis points from currency movement - 20 basis points from sales investments
Partly offset by tailwinds of
- 70 basis points from increase in rea lization due to Maximus and seasonality
- 40 basis points on account of lower amortization cost on intangibles
- 20 basis points from lower third-party costs
leading to 20 basis point drop in operating margin sequentially.
ETR for the quarter was at 28.9%. We expect the effective ETR rate for the financial year'26 to be in the range of 29% to 30%.
While Q1 was steady, business environment remains uncertain due to lack of resolution on tariffs and geopolitical situation. Clients continue to be c autious in their discretionary spending decisions reflecting in delayed decision making.
Near-term visibility remains good, and we expect st ronger H1 compared to H2 on account of normal seasonality, as highlighted earlier.
Coming to verticals, Financial Services saw good momentum this quarter in U.S. with capital markets, commercial banking and wealth management seeing a lot of trans formation opportunities. Agentic AI is playing a pivotal role with focus on areas like KYC, onboarding and portfolio management. We are now the preferred AI partner for 10 of the top 20 clients in Financial Services with many initiatives getting from POC to production, especially in Agentic AI. We are partnering with GCCs, both in setup and growth-led deals. While pipeline is strong with new opportunities in vendor consolidation, cost optimization and simplification, clients are cautious about decis ion-making due to a volatile environment.
Manufacturing segment continues to face challenges in automotive, industrial and Europe with decision-making delays and soft disc retionary spends. While clients are re-evaluating their supply chains due to tariff uncertainty, we are helping them leverage technology across end-to-end lifecycle from Design to Manufacturing to Sales. Pipeline remains healthy with focus on cost takeout

External Document © 2025 Infosys Limited 7 opportunities. We won a large deal in this vertical in Q1 to help a client set up a GCC. In Auto, we are helping clients in rationalizing their footprints and in Industrial, we are helping them in cost optimization.

EURS vertical outlook remains mixed due to econom ic uncertainties. Pipeline for both large and mega deals remain strong. Our investment in Industry Cloud, Energy Transition and AI-driven operational efficiency are driving gr owth and differentiating us in la rge deals. In Energy, high-cost pressures due to oil price volatility are promptin g clients to consolidate vendors for savings. In Utilities, advancement in renewabl e energy, smart grid technology, and sustainability regulations are reshaping the market. In Services, clients remain cautious about spending across capex and opex.

In Retail , uncertainty around tariffs has led to mut ed spending in large geographies, supply chain impact and procurement disruptions. Budgets remain tight and decision cycles elongated. There is a slowdown amongst clients on discretionary spend though our pipeline is strong. We are seeing strong commitment from clients to engage us as tr usted partners for AI first, outsourcing, and transformation deals in both IT and BPM services. Enhanced interest in AI is resulting in budget reallocation with discretionary spend expected to be self-funded through AI-led productivity benefits. Deals in the sector continue to leverage T opaz and AI Next platform capabilities.

Communications is facing grow

th challenges and increased opex pressures amidst volatile macroeconomic and political landscape. Client s are focusing on cost takeouts and vendor consolidation. There is strong focus on AI and cu stomization to monetize 5G use cases, though ROI concerns are delaying newer investments. OEMs ar e aiming for profitable growth and are exploring all levers, including tighter and reduced IT budgets, and leveraging AI and automation. Growth for us is led by ramp-up of pr eviously won large deals.

Clients in Hi-Tech remain cautious due to macro headwi nds and geopolitical tensions, leading to cost pressures and budget cuts. Discretionary programs are paused bec ause of significant investments in Gen AI GPU and AI.

Driven by our Q1 performance and our current assessm ent of the rest of the year, we have revised our FY26 revenue guidance to 1% to 3% in constant currency terms. This continues to assume a reduction in third-party revenues versus FY25 bas ed on existing deals and new deals in the pipeline.

Our operating margin guidance for the year is 20% to 22%.

We will continue to keep a close watch in econom ic environment and its impact on client budgets and reassess our guidance as we progress during the year.

With that, we can open the floor for questions.

External Document © 2025 Infosys Limited 8 Moderator

Thank you very much. We will now begin the quest ion-and-answer session. The first question is from Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra Hi, thank you. So I mean, clearly, good to see a refreshing revenue print here. Key question is on your organic growth momentum. On a year-over-year bas is for the quarter, it is quite strong, probably 3.5%, 3.4%. Overall growth was about 5% last quarter.

So the question is, why are you still guiding for like 2% at the midpoint? What is it that you are seeing that makes you feel that the year-over-year growth trajectory on constant currency will weaken, given the solid signings you have had? Or asked anothe r way, why you dropped the upper end of the guide here? Thank you.

Jayesh Sanghrajka

Hi Ankur, this is Jayesh here. As we had said at the beginning of the year, at the lower end of the guidance, we had baked in heightened uncertainty. At the higher end of the guidance, we had baked in steady to improving environment. While Q1 was strong, if you look at the environment, underlying has not really changed. Q2, we are not really seei ng signs of significant environment changes. Tariff situation still remains escalated. The geopolitical si tuation has not really changed. And this is the part of the year, Q1 and Q2 put together, is t he strongest part of our year seasonally, right? So looking into all of that, our current guidance at the bottom end expects continuing or elevated uncertainty, and the upper end bakes in a steady envir onment at this point in time. This is based on what we see today.

Ankur Rudra

Okay. Appreciate it. Maybe a couple of questions on A I. Are there any kind of margin or pricing trade-offs you see when you engage with clients on renewals or maybe even out of turn where the expectation is some of the benefits of AI is baked into their contracts? Are you also proactively taking this to clients? That is part number one.

Part number two is, there seems to be a lot of signif icant increase in vendor consolidation, and I think

AI is part of those contracts as well. Do you think that is potentially increasing the replaceability of vendors such as yourselves because of more use of Generative AI? Thank you.

Salil Parekh

 Hi, Ankur. This is Salil. I think on the first part, w hat we see with enterprise AI now is, there are areas where there is good productivity benefits and espec ially as we are deploying agents or setting up whole enterprise AI platforms for clients using foundation models. And then there are some areas where we are seeing n

ew opportunities for revenue.

So on the first part, typically, there are productivi ty gains, and those are shared between clients and ourselves. In many cases, those ar e situations where either the cli ents are seeking it themselves or we are bringing it to clients in a view to make th ings more efficient. And in doing so, we typically get an ability because I think our enterprise AI work is quite solid to do other things, both in enterprise AI, but in other areas with the clients. So that is how we are seeing that piece of the work going on.

Ankur Rudra

The other question, Salil, do you think there is any kind of increase in replaceability of vendors because we hear a lot more of vendor consolidation now? And is that helped by AI in any way?

Salil Parekh

So there, what we are seeing is, at least in th e ones that we have benefited from, of which Jayesh mentioned, a good number of them are in the Q1 larg e deals. And just looking at those as a sample set, we see that clients have looked at where they have seen companies are not bringing them good AI solutions in the recent past, solid delivery or where they are looking at some of the smaller companies coming out.

So those are the areas where, because of our strengt h of delivery, we feel quite positive that we, on net, are benefiting from it. I do not think it is making it easier or more difficu lt. But that track record, whether you brought that AI innovation to the cli ent, whether you have delivered in a way that has worked for them over the past, and whether you have scale to do a lot of different things because clients are looking at multiservice capability. Th at is helping with the large clients for us.

Ankur Rudra Thank you. Appreciate it. Best of luck.

Moderator

Thank you. Next question is from Kuma r Rakesh, BNP Paribas. Please go ahead.

Kumar Rakesh

 Hi, good evening and thank you for taking my question. Be fore I get to the question, just a clarification on the guidance part, which you spoke about, Jayesh , just now. So your revision of guidance, especially the top end of the organic growth, it is just a reflection of change in the macroeconomic environment assumptions and not necessarily how you look at the deals ramping up or the impact of third party or any of the operational related issues, right?

Jayesh Sanghrajka

Yes. I mean, see, at the beginning of the year, we had already called out lower third party. So that factor does not change. As we had also called out, at the top end of the guidance, we expect steady to marginally improving environment. Now we have not seen the environm ent improving in Q1. Almost one month of Q2 is gone.

The challenges with respect to tariffs, the cha llenges with respect to geopolitical environment continue. Clients still remain on a wait and watch with respect to discretionary spend or whether it comes through deal signing, the cycles remain elongated. So I think from all of that perspective, what we are seeing now is at the upper end of the gu idance, we are expecting a steady environment, and that is what is baked in the guidance.

Having said that, just to clarify, if you look at Q1 and YoY on Q1, the third-party cost on a YoY basis was flattish. So when you compare a YoY growth and then extrapolate that for the full year, there would be a headwind from that perspective when you look at a full-year basis growth on the third-party part.

Kumar Rakesh

Got it. Thanks. And just the first question around t he revenue piece. So in this quarter, you spoke about that there has been pricing and productivity benefit of about 70 bps in the first quarter. Can you just give some details around that? Where ar e we getting that? And through the year, you spoke about that the third party will come down on a full-yea r basis further. But from first quarter level, will it further come down from these levels?

Jayesh Sanghrajka
So

if you look at the pricing, we have spoken about it earlier in terms of the Project Maximus, the value-based selling within Project Maximus. There ar e multiple tracks within Project Maximus. And I think they have helped. The 70 basis points is a combination of both the benefit on back of Project Maximus as well as some part of seasonality bec ause in this quarter, you have higher working calendar days, given some part of furlough flush back also happens. So you do get that benefit also.

 So partly, it is on account of seasonality. Partly, it is on account of the Project Maximus that has helped. But when you look at a full-year basis, last year, we did talk about 3.5% on terms of pricing benefit that we got. Of course, there were also lo w-hanging fruits that we captured. But in my mind, the Project Maximus is continui ng contribution on this side.

On the third party, I do not think we are giving quar terly color on this. All we have said is looking at the deals we have signed and the deals in the pipeline, we expect FY '26 third party to be lower than FY'25 third party.

Kumar Rakesh

Thanks for that. My second question was on Europe per formance. For the last four or five quarters, Europe has been constantly outperforming your overal l growth. So, what is driving that? And, how sustainable do you think this outperformance c ould be or just a strong growth could be?

Jayesh Sanghrajka

So, I think the growth in Europe in last multiple quarters and years is on back of a few things. We are one of the first companies a few years back to call out Europe as an opportunity. We have made, on back of that hypothesis, investments in Europe. A nd that has helped us win some of the very, very large and mega deals in Europe. So that has definitel y helped from the growth in Europe perspective. There are consolidation deals that we have won as well in Europe. So that has helped. And over a period of time, Europe is also opening up from out sourcing perspective. So that is also helping in growth perspective.

Kumar Rakesh

And going forward, sustainability of this strong grow th in Europe, do you remain confident on that?

Jayesh Sanghrajka

I think there are enough opportunities in Europe. Now whether it will continue growing beyond the company growth or not, I do not think we are gi ving a guide on that. But where we are standing today, we are seeing opportunity in Europe. And many of the large deals are sitting in Europe as well as the pipeline contain a good amount of large deals in Europe.

Kumar Rakesh

Great. Thanks a lot.

 Moderator

Thank you. Next question is from the line of A bhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar

Yes. Good evening. Thanks for taking my question. I have a question on vendor consolidation. This has been going on for last at least a couple of year s now. Do you think there has been a shift in the vendors we are competing with? Maybe earlier, it wa s the longer tail of small vendors, which these enterprises had added post-COVID. And you think now it has shifted to more larger, like, peers, and therefore, the fight to hold on to your turf and add more becomes a bit more challenging and kind of puts pressure on our margins?

Salil Parekh

Hi. this is Salil. I think first on vendor consolidati on, what we are seeing is, there is a range of options that clients have. And in that sense, it is something that is been ongoing for some time even beyond the last two or three years. But now, what we ar e seeing is Infosys is benefiting from this from a perspective of the type of work we are bringing to clients and especially what we have done in the last couple of years in enterprise AI and the consis tent delivery that we have shown across all of our other offerings over that time frame. That, in the past, we have talked about.

We also have to

day Automation and Lean. All of those elements come together, and that is where we see clients selecting us. And these are with respect to some large other companies and some midsized, small other companies as well.

In terms of pricing, we see that there is usual appr oach, which is focused on productivity. So it is not any different when there is a consolidation or wher e there is something new. But over time, there is

an expectation of productivity improvement, and we are in that discussion quite mindful of what are the benefits we can provide through Automation, Lean and all the enterprise AI work we are doing.
Abhishek Kumar
My second question is on your seasonality. You are probably the only company who is saying that H2 will be weaker than H1. Most of the others are hopeful of a rebound in second half. So is it just seasonality that is driving this kind of a view? Or do you think some of the large deals, which are helping us in sectors like Communication, they kind of get into steady state and therefore, the visibility, given the large deals last year were weak er than the year before, the visibility from deals ramping up in the second half is lower?

 Jayesh Sanghrajka
So Abhishek, it is also a factor of what you deliver in H1. So if your H1 is relatively in line with what you are expecting, then the usual seasonality will come in. If you have seen a higher pressure on H1, then your hope on H2 is better. So, I think you will have to see all of those commentary in line of the performance of H1 and H2. I think our Q1 has been strong. If you look at compared to all the results in the market, I think we have delivered st rong performance. And that makes us believe that we would have a usual seasonality in the model.
Abhishek Kumar
Thank you, and all the best. Moderator
Thank you. Next question is from the line of Bryan from TD Cowen. Please go ahead.
Bryan Bergin
Hi. Thank you for taking the question. I wanted to ask on geographies. So Europe obviously, very strong, while North America was up slightly. Can you comment on North America? Do you have visibility to an improv ement in growth there?
Jayesh Sanghrajka
Bryan, I think North America remains an important part of our business. It is the largest geography for us. At this point in time, we are seeing opportunit y in pockets, especially in the Financial Services in North America, etc. But there are pockets of geographies of Manufacturing, Retail, etc., which all remain challenging.
At the same time, when you look at the large deal wins that we signed this quarter, 20 of them came from North America, 6 in Europe and 2 in ROW. We do see opportunities, both in terms of large deals, cost takeout as well as consolidation in North America.
Bryan Bergin
Okay. And then as it relates to the smaller deal s, in the past, you have commented on small deal activity. Can you just give some comment s on how that progressed during the quarter?
Jayesh Sanghrajka

 We do not comment on small deals on a regular basis. There was one quarter where we saw a
heightened activity in the small deals. That is why we did call that out because we thought it was relevant information from an investor perspective. At this point in time, our overall pipeline continues
to remain strong. Within that, the large deal pipe line is also strong. We have delivered $3.8 bn, which is 44% increase on a sequential basis, 55% net new. So , I think all of those are positive aspects of the deals and pipeline.
Bryan Bergin
Okay, understood. Thank you. Moderator
Thank you. Next question is from the line of Jonathan Lee from Guggenheim Partners. Please go ahead.
Jonathan Lee
Great. Thanks for taking our questions. Just a clarification on what you had called out earlier in terms of what is contemplated in the range of outcomes. Is it fair to assume that t

he midpoint of your outlook
contemplates a slight dete rioration in demand environment?
Jayesh Sanghrajka
So Jonathan, as I said earlier, we build multiple models that lead us to multiple ends of the guidance, right? These models are not built to converge on a mi dpoint of the guidance. That is an outcome of it. At the lower end of the guidance, we have baked in higher uncertainty from where we are today. At the upper end of the guidance, we have baked in a stable environment. And there will be multiple models that will lead us to vari ous middle points of the guidance in between. And that is how the guidance band has arrived as always. The midpoint ju st becomes an outcome of the two ends of the

guidance.
Jonathan Lee
Thank you for that color. And just as a follow up, can you help decompose what you saw in terms of client demand as you progressed from April thr ough June and whether any of those trends have continued into July?
Salil Parekh

External Document © 2025 Infosys Limited Hi. This is Salil. I think on cli ent demand, what we see is huge inte rest in AI and especially what we are providing as agents and what we are able to do wi th large enterprise AI platforms, what we are doing with small language models. Those are places where there is discussions and then actual project work everywhere as part of larger programs. Then we saw more and more interest in the consolidation that we have already discussed. We have seen good attention on cost and efficiency. We have seen strong interest, for example, in the foundations of enterprise AI, on cloud and data and analytics type of areas, especially some of t he newer areas on the new SaaS data platforms. Then we have seen very good traction on enterprise application areas where there is movement to new generations of SaaS pla tforms on enterprise scale.

So those are the things where we are seeing some interest. And then because of the economic environment, especially if you look at logistic s or consumer products or some aspects of manufacturing, auto and so on, we see some constraints that have come in, in this current environment. So, it is been a mix of those sorts of things.
Jonathan Lee
Thanks for the color, Salil.
Moderator
Thank you. Next question is from the line of Surendra Goyal from Citi. Please go ahead.
Surendra Goyal
Yes. Hi, Salil, Jayesh, good evening. Just one question, and sorry to kind of focus on the same point. So the slight lowering of the upper end of the organic guidance, is it due to taking a more conservative view of the environment or something that you actually saw on the busi ness ramp down, slower ramp-ups, discretionary declining faster, not picking up, something on the business, or is just taking a more cautious conservative view of the environment? Thank you.
Jayesh Sanghrajka
No, Suren, I think it goes back to the commentary I gave in the beginning of Q1. We did say that the upper end of the guidance does bake in a slightly improving environment. Having had a benefit of one quarter gone and a stronger visibility of Q2, we do not see the environment changing significantly. And that is also visi ble from all other results. So all of that is baked in, in the upper end of the guidance today.

External Document © 2025 Infosys Limited Today, what we have baked in at the upper end of the guidance is a steady environment. And as I said earlier, the H1 is stronger for us than H2. So once the stronger part of the period is gone, in an uncertain environment, our ability to change the gui dance in a positive manner at the upper end gets much more restrained.
Surendra Goyal
Yeah. No, so I understand that, but it is a lowering that I am talking of. Like how did you kind of arrive at that conclusion? What did you see which tells y ou that the environment is not improving? I am just trying to understand the data points behind that.
Jayesh Sanghrajka
Yeah.

So same thing, right? The client behaviour in terms of decision-ma king, the discretionary spends that is happening on the various accounts. So all of those are anecdote data points that we get when we do a ground-up model in terms of where we stand.
Surendra Goyal
Understood. Thank you. Moderator
Thank you. Next question is from the line of Rishi Jhunjhunwala from IIFL. Please go ahead.
Rishi Jhunjhunwala
Yeah, thanks for the opportunity. Two questions here. Firstly, if you look at the overall wage hike impact that has played out over the past two quarters , almost 240 basis points, it seems like it is relatively higher than where the industry has been . And of course, the growth has been fairly muted for us and for the industry as well. So I just wanted to understand the thought process behind that

kind of wage hike. And is it fair to assume that wi th that, we would not see any other action in FY26?
Jayesh Sanghrajka
So Rishi, the wage hike has been phased out, as you know, and it is as you mentioned into two phases. Large part of our organization up to middle le vel of the employees got a wage hike in January and the rest of the employees got the wage hike effective April 1. What I called out, 100 basis points in this quarter is a combination of wage hikes as we ll as the higher variable pay that we paid to our employees. So that is a combination of both of those factors.

 We have not really split that out, but that is the overall wage hike. The wage hike, as we said at the
beginning of the year, are relatively similar to the wage hikes that we have done in the earlier years in terms of percentages, etc.
And coming to the second part of your question, I think too early. We just have begun the year. We have had the wage hike effective this quarter. We have not really decided 'when' about the next wage hike at this point in time. We take multiple factors when we consider the wage hikes, including market scenario, inflation, peer practices, etc., et c. We will take a call at the appropriate time.
Rishi Jhunjhunwala
Fair enough. And the second question is, some of these vendor consolidation and GCC kind of deals that we have won, just wanted to understand, are these any different in nature when it comes to the kind of upfront investments that are required either on the P&L side or on the balance sheet side versus, say, some of the large deals we have done a few years ago?
Jayesh Sanghrajka
See, if you look at the commentary that I gave in term s of cash flows, we are still continuing to believe that we will generate 100% plus conversion of our fr ee cash flow to net profit. We have already had five very strong quarters of cash generation, and we are still expecting to that continue for the rest of the year. So obviously, these are not impacti ng our balance sheet or cash flow from that perspective. We expect these to be the regular deals with the regular contours of the deals. So these are not significantly differ ent from that perspective.
Rishi Jhunjhunwala
Understood. All right. Thank you so much.
Moderator
Thank you. Next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah
Yeah. Thanks for the opportunity and congratulati ons on a very solid quarter. Salil, wanted to understand the commentary about vendor consolidation deals, it has been bullish, not by just you or others. And it seems that INFY is winning higher share versus some of the peers. So, considering that, and this may continue going forward, one can assume that TCV can continue to remain healthier in the coming quarter as well because vendor consolidation deals are larger in size?

 Salil Parekh
Hi. This is Salil. I think typically, we do not give a comment on the large deals value in the future quarters. As Jayesh was sharing earlier, the p

ipeli ne for large deals is in a good place. We see that
we are benefiting from, as you were describing, on consolidation and then some of the other areas on AI, enterprise AI. So, we do not have like a view on what that value will be for the next three quarters, by quarter. But overall, we feel good in where the pipeline is. We see mega deals in that pipeline. But that is where we would leave it.
Sandeep Shah
Okay. Fair enough. What will change for clients to start spending on discretionary apart from improving macro? Any discussion with the clients implies or gives you any hope for green shoots possible on the discretionary side, may not be near term, but maybe by the fag end of FY26?
Salil Parekh
So there, again, we have not, in that sense, have a view on where or when that would happen. What we do see is clients are quite comfortable in work ing with us on enterprise AI programs, on cloud, on data analytics, on enterprise applications, and what we have discussed a little bit in more depth, on the consolidation programs. There is still quite a lot of attention on cost and efficiency. So we will see how and when the clients change their thinking on some of the other points you mentioned.
Sandeep Shah
Okay. And the last question is, I think in the press, you also mentioned that the aspiration to improve

EBIT margin in this year over last year continues to remain. With the 1Q being lower than 21.1%, which was the margin in FY25, is it fair to assume we can still aspire to improve margin QoQ in the rest of the three quarters that will take us to better margin on a YoY in FY26? So what would be the
levers apart from likely decline in the th ird-party equipment for service delivery?
Jayesh Sanghrajka
So, Sandeep, it is only one-fourth of the year wh ich has gone behind. This is a part of the quarter or part of the year where we also have rolled out a compensation increase. So that is a large headwind that we have absorbed in the quarter as we got into the year. As we go further down, there are multiple tailwinds in terms of Project Maximus, va lue-based selling, etc. So that will help for sure. The third party as it reduces, will help on margins.

 At the same time, there will be headwinds from t he mega deals or the deals that will ramp up, in
terms of transition activities that we will incur, where we do not get revenue, but we incur costs, etc. So these are factors that one will have to balance as we go through the year. At this point in time, as I said earlier, in the press also, our aspiration remains to improve margin from where we are.
Sandeep Shah
Okay. Thanks, and all the best.
Moderator
Thank you. The next question is from the line of Vibhor Singhal from Nuvama. Please go ahead.
Vibhor Singhal
Thanks for taking my question and congrats again for a solid growth in this quarter. So Salil, my question was on basically the outlook that you pr ovided, that we have not seen much things improving, and that is why the gui dance stands where it is. Now, in y our conversation with the clients, what is the deduction that we have that, look, the tariff was probably one of the most important reasons that we had in the guidance when we gave at the end of Q4?
But July 9 deadline has come and passed, now we are looking at the August 1 deadline. We have a trade deal with Japan. Do you think that over the next few months or quarters, maybe if these trade deals get finalized, the client spending could come back quickly, and basically, they might look at restarting the discretionary spend also or do you think it is more structural in nature?
It will also be weighed down upon how the U.S. ec onomy growth picks up, how basically clients are looking to spend on all the other factors? Is it a mix of all? Or do you th ink an improvement in the tariff scenario could restart the spend that have been put on hold?
Salil Parekh
I think

those are sort of important questions. What we see is, there is an interest with clients across industries to essentially leverage massively the new enterprise AI technology. A lot of that for productivity, a lot of that for new ways of doing bus iness, which will spur their own growth and spur and expand revenue for us. The foundation of that is much more attention to be on the cloud, much more attention to have a strong sort of data infrastructure, and then much more attention to have even enterprise apps onto the cloud environments.
So all that, like interest is there. And then there is also the view of various GDP growth and economic activity go. And so our view is to make sure that there is an interest in cost and efficiency. We see

 some benefits of consolidation. We play that as an activity because we have strength there in
addition to enterprise AI and the other areas. And we try to make sure that we are well positioned for that.
The other points in terms of timelines, we look at it for this year based on what we see. And at the end of next quarter and so on, every quarter as we s ee things which are different or the same. So we then update what we are looking at in terms of the overall activity.
Vibhor Singhal
Got it. Just one last one bit from my side since you touched upon the interest in AI. Is the current AI cycle very similar in nature to the digital adoptio n cycle that we saw in 2015-16? Do you think the level of interest of clients is pretty much the same?
The trajectory that the industry took at that point of time, in the sense that initially, the industry's IMS and other revenues were cannibalized by the cl oud adoption, and then gradually, it picked up momentum. Do you think the AI cycle could also play out in a similar manner? Any thoughts on that would be really helpful.
Salil Parekh

So there, my view is, every big technology shift has a way for enterprise clients making decisions in different ways. So, whether it is that cycle or t he one before that, with everything on the internet or the one before that, each tech cycle has had a way of playing out. So one of the factors we see, because large enterprises have alr eady a landscape of different technologies. So for anything to make a big impact, it needs the technology to be distin ctive, which we think enterprise AI is. And it has to then work with the ecosystem and then make an impact there.
So I do not have a view on, will that be looking like th e one in the past or how similar or different it is. But what we do have a view on is we see a trem endous interest in enterprise AI from clients. We see foundational capabilities that they need, which we are good at, cloud, data, etc., which we think will help. And we are also pretty good in enterpr ise AI. So we are more prepared as that plays out.
Now like the timeline of that and the scale, at the end, the enterprise tech, let us say, landscape is much larger today than it was in 10 year ago peri od. So there is a lot more things, which need a change. So generally speaking, that gives me a good sort of feeling about the future. But to try to put that as it is similar or diff erent is more difficult for me.
Vibhor Singhal

 Got it. Thank you so much for that compr ehensive answer, and I wish you all the best.
Moderator
Thank you. Next question is from the line of Apur va Prasad from Franklin Templeton. Please go ahead.
Apurva Prasad
So Salil, I am asking if the impli ed outlook for the remaining part of the year, is this more a function of macro and client tech overall spend related uncert ainty that you are referring to? Or is it more of the structural AI-related productivity pass back? You did share some numbers of 5% to 15% related benefits that are being passed in, through AI programs.
Jayesh Sanghrajka
Hi. This is Jayesh here. This is more a

bout the macro uncertainty that we are seeing. As I talked earlier, we have not really seen the environment improving from where we were at the beginning of the year. The tariff-related uncertainties still conti nue. The geopolitical uncertainty is still there. The client behaviour has not changed.
Many of the clients are still in a wait and watc h mode when it comes to discretionary spending, etc. So, we have not really seen the environment changi ng, in the most strong part of the period, seasonally strong part of our business.
Apurva Prasad
All right. And if I still want to understand the AI-rela ted productivity - the impact that you are facing already. Is there any geo or vertical specific tr end that you see here, perhaps more maybe on North America and Hi-Tech? Is there any such trend across geographies and verticals?
Salil Parekh
On the AI, we see good adoption in many places. So there is not like one thing which will stand out. But one of the sort of comments we shared earlier wa s in Financial Services. If you look at our largest clients, half of them now, we have become the AI st rategic partner. It is a key, I would say, positional advantage that I think Infosys has.
Apurva Prasad
All right.

 Moderator
Thank you. Next question is from Ashwin Mehta from Ambit Capital. Please go ahead.
Ashwin Mehta
Hi. Thanks for the opportunity. Two questions. One, Jayesh, in terms of the depreciation and amortization going down to almost 50 bps, what has been the driver of that? And the second is in terms of SG&A bump up that we have seen, which is almost 90 bps this quarter. So is it more sales addition that is driving it? Or are there any, say, one-off events which possibly led to a material bump up?
Jayesh Sanghrajka
Yes. On the depreciation and amortization, if yo u recollect last quarter, we had a one-off on account of amortization of intangibles with respect to on e of our acquisitions that is impacted by 40 basis points. Not the reversal of it, but the lack of it this quarter-on-quarter walk, shows up as 40 bps delta. And the balance has some part of the currency impact as well.

On the SG&A, it is multiple factors. Comp increase that we did in Q1 has an impact. The variable pay that we did has an impact. The hiring for the S&M mainly to improve our growth trajectory, which is what I called out as 20 basis point sales invest ment in the margin walk. So that has an impact. The investment that we have done in terms of brand building, and we had some events this quarter. So that also had an impact. So I think all of that is reflected in SG&A.

Ashwin Mehta

Okay, thanks sir, and all the best for the next quarter. Moderator

Thank you. Next question is from the line of Abhi shek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak

Yes, hi, team. Morning, and congrats on a good quarte r. A couple of questions. Just firstly, on the inorganic contribution. So the 40 bp s impact that you are referring to , is this entirely from the acquisitions consolidated in this quarter? Because if I were to assume some residual impact from in-tech, the full year inorganic number comes out to be sl ightly higher? So just that clarification will be helpful.

 And the second question is, there was a comment ary around how discretionary spends are being kind of bank rolled entirely by the sa vings made by AI. So just wondering, is this going to be sort of a structural trend where there is going to be a cannibalization going forward regardless of how the demand improves? Will the clients expect us to ju st keep self-funding the discretionary initiatives based on these gains or is there sort of a more structural demand recovery built in, let us say, post the next 12 to 18 months, where the clients do need a serious amount of investment in their data and their tec

h stack to basically moderniz e? So those are two questions. Thank you.

Jayesh Sanghrajka

So Abhishek, the 40 basis points t hat I talked about is sequential. So 2.6% includes 40 basis points of on account of acquisitions. These are the acquisit ions that we made in this quarter, the MRE and The Missing Link in Australia. So that has c ontributed around 40 basis points out of the 2.6%.

Abhishek Pathak

Right. I think I was just referring to your comment on the press conference that you said, even the full-year impact will be 40 bps and hence, the confusion.

Jayesh Sanghrajka

Yes. So in-tech was pretty much 9 out of the 12 mont hs in the last year. So if you look at full-year basis, it is not significant. So that is the reason I said it is simi lar impact on a full-year basis. If you add 3.5 months of in-tech and 11 months of MRE and Missing Link.

Abhishek Pathak

Yes, got it. Thanks. Moderator

Thank you. Next question is from the line of Bachman from BMO. Please go ahead.

Keith Bachman

Hi, thank you. This is Keith Bachman from Bank of Montreal. My firs t question is, your headcount was relatively flat quarter-on-quarter, includi ng software professionals. How do you think about headcount trends through the year?

Jayesh Sanghrajka

 So Keith, we were able to increase our utilization this quarter by 30 basis points. So that helped. Part of our growth, as I mentioned earlier, came on back of the pricing increase, including the seasonality in the business. So that has helped as well.

But as we go forward, whatever volume growth will come in, considering that we are operating at a peak headcount, that would need additional head count either through subcontractors or our own employees in terms of efforts.

Keith Bachman

Okay. Perfect. And then my second question is, the reason I said headcount, I just did not know if you had been able to break the cycle a little bit on growing headcount faster than effort because AI might help you, but it sounds like in the next couple of quarter interest, no.

The second question is related to your delivery m odel. How do you think about your delivery model changing over the next year or so in terms of having, A) FTE base versus B), more success base or more fixed price contracts? Do you think your delivery model may change, enabled by or may be caused by the advent of more AI capabilities?

Jayesh Sanghrajka

So Keith, if you look at the delivery model, I do not think delivery model will change in a short period of a couple of quarters. Over a l onger period of time, on the back of AI, etc., we may expect some part of newer pricing models em erging. It could be outcome-based pricing model. It could be pod-based or studio-based pricing model, etc. So there are various new pricing models that are emerging as we speak, I do not think over the next year or so , the entire model is going to change. The change will happen gradually in my mind.

Keith Bachman

Okay. Many thanks. Best of luck.

Moderator

Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to the management for closing comments.

Salil Parekh

Thank you, everyone, for joining us. It is been a f antastic quarter for us, strong growth, large deals, a very good focus on enterprise AI consolidation, but also good on cloud and data work. We see this

 as a differentiated performance with what we have done, which is helping positioning Infosys in that leadership area. And we look forward to a good re st of financial year'26 and connecting with you through the quarter and at the end of this quarter as well.

Thanks, everyone. Take care. Bye.

Moderator

Thank you very much, members of the managem ent. Ladies and gentlemen, on behalf of Infosys, that concludes this conference. Thank you for jo ining us, and you may n

ow disconnect your lines.

Thank you.

Call: Oct 2025

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

October 21, 2025
Dear Sir/ Madam,
Sub: Transcripts of the press conference and earnings call conducted after the Meeting of Board of directors on October 16, 2025

Please find enclosed the transcripts of the press conference and earnings call conducted after the Board meeting held on October 16, 2025, for your information and records.

This information will also be hosted on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2025-2026/q2.html

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2025-2026/q2.html
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha
Company Secretary
Membership No: A21918

Infosys Limited
Q2 FY26 Financial Result s Press Conference Call
October 16, 2025

CORPORATE PARTICIPANTS:

Salil Parekh
Chief Executive Officer and Managing Director

Jayesh Sanghrajka
Chief Financial Officer

Rishi Basu
Associate Vice President and Global Head - Corporate Communications

JOURNALISTS

Ritu Singh
CNBC TV18

Jude Sannith
ET Now

Uma Kannan
Deccan Herald

Beena Parmar
The Economic Times

Jas Bardia

Mint

Veena Mani
The Times of India

Rukmini Rao
Fortune India
Sanjana B
The Hindu BusinessLine

 Rishi Basu

A very good evening, everyone, and thank you for jo ining Infosys' second quarter financial results. My name is Rishi and on behalf of Infosys, I would like to welcome all of you. As always, we request one question. And with that, let me invite our Chief Executive Officer, Mr. Salil Parekh, for his opening remarks. Over to you, Salil.

Salil Parekh

Thanks, Rishi. Good afternoon. Welcome everyone to the campus here, and welcome to our press conference event. We had a strong performance in Q2. Our revenues for the quarter grew 2.2% sequentially and 2.9% year-on-year in constant currency terms. Our operating margin was 21%. Our large deals were at $3.1 bn, out of which 67% was net new work.

In addition, we announced a mega deal worth $1.6 bn after the close of the quarter, but before our results announcement. We have added 8,000 employees during the quarter. Our client interactions are showing a strong focus on deploying AI across the enterprise, both for growth and for cost efficiency programs.

In doing this, we are continuing to scale our team of forward deployed engineers. With a strong performance in Q2, we changed our revenue grow th guidance for the financial year. The new guidance is growth between 2% and 3% in consta nt currency terms for the full year. And our operating margin guidance remains the same as in the past quarter at 20% to 22% for the full year. With that, let us open it up for questions.

Rishi Basu

Thank you, Salil. We will now open the floor for ques tions. Joining Salil is Mr. Jayesh Sanghrajka, Chief Financial Officer, Infosys. The first question is from Ritu Singh from CNBC TV18.

Ritu Singh

Thank you. Hi Salil. Hi Jayesh. Salil, firstly, on the guidance, the fact that you have tightened it, but not really increased it, from 1% to 3%, you have gone to 2% to 3%. And with a 2.2% growth this quarter as well, at the current run rate, you will at mo st have a flat growth for the rest of the year for Q3 and Q4 with the current guidance, you will easily get to the top end.

So I wanted to understand, are you not seeing a m eaningful recovery, especially when it comes to your Manufacturing, Retail, these kin

d of vertical s? What kind of headwinds do you continue to see?

Because for Infosys, the contribution to revenues is slightly larger than that of peers. That was one.

 Also on the H-1B visa issue, if you could give us some details on how ma ny employees you deployed

on this visa for this year and the previous maybe a couple of years? And whether you see now this as being something unviable, sending fresher s on H-1B visas to work in the U.S.

If I may also ask, your peers like HCL Tech have also started to quantify their AI revenues. We have been asking you this for several quarters now, and we understand AI cuts across services and sectors. Could you give us a sense of what exac tly you are seeing there? And finally, the Versent Group acquisition, what exactly was the contribu tion to revenues and whether you are looking at further M&A in the region or outside? Thank you.

Salil Parekh

So let me start, and Jayesh will add in a couple of things. First, on the guidance and the environment.

So in the guidance, typically, second half of the year is slower than the first half. That is the normal pattern. So we have continued with that pattern. Having said that, we have seen good traction, and that is how we have actually increased the guidance.

The previous guidance was 1% to 3%, and now it is 2% to 3%. So, in a sense, we have much more confidence with the lower end being increased in w hat we see into the outlook for the year.

In terms of the specific indus tries you mentioned, we had a good pe rformance in Manufacturing, in Financial Services. We still see constraints in Re tail. We do see a good pipeline there, and we will see how that plays out in the coming quarters. K eeping all those things in mind and the global environment in terms of the macro, we decided to keep the guidance at 2% to 3% with all of those factors that I mentioned.

On the H-1B visa, what we have shared in the pas t, what we have shared recently, first, our U.S. workforce, the number of people that require Infosy s sponsorship for immigration is a minority. So, the majority of the people do not re quire it from our perspective.

Second, we have built a large number of cent ers and hubs, which are focused on digital, on innovation, on technology and AI in the U.S. We hav e relationships with universities. We have a training facility there. With all of that in mind, we are clear today t hat we will work with our clients without any disruption to their services and into t he future. We do not have any specific information to share on the numbers that you had suggested.

Ritu Singh

When you say a minority was dependent on the H-1B vi sa, could you give us in percentage terms,
how many of your employees that you were sending abroad were on these visas? And when you say there will not be any disruption, how exactly would that play out?

Salil Parekh

So there, we do not share the specific numbers, but the majority of our employees in the U.S. are employees who do not require any Infosys immigrat ion support. The way we are working with our clients, we reached out to each of them and made sure that we see and they see how their delivery continuity becomes on track and remains the way it is right now.

Then on Versent, so first, there is nothing in this quarter. They are going through regulatory approvals and so on which is a normal process. We anticipate it would come sometime in the coming months.

Yes, we are very much looking at other acquisiti ons. We have a good pipeline. We do not know when those will materialize, but there are some opportunities there which we are looking at.

Ritu Singh

Sorry, the question on Versent was going forward, what kind of contribution to revenue do you expect? And in M&A, what are the areas? What ar e the geographies where you are looking to fill the gaps?

Salil Parek

h

On the contribution, we do not have anything to s hare now. When it closes, we will be in a position to give that information. Is there anything more on Versent?

Jayesh Sanghrajka

I think we have given the last year's numbers of Versent already in the Stock Exchange filings that we did last time when we announced that. So you can make an estimate based on that. But just to add to what Salil was saying on the guidance as well, if you look at the commentary last time when
we gave a guidance, we very clearly said that the upper end of the guidance is where we are expecting stability in the environment and the lowe r end of the guidance is where we are expecting worsening in the environment.

As we stand today, the environment still remains uncertain. And despite that, on the back of Q2 performance, we have tightened our guidance, where agai n, we are very clearly saying that at the lower end, we expect the worsening of the environm ent and the upper end, we are expecting stability in the environment.

Salil Parekh

On AI, I think we are scaling up massively on AI. We have a large team of FDEs. We are doing a lot of projects on enterprise AI with clients, on growth, which is focused, like in the sales function or marketing function, on cost, which is focused on many of their processes, optimizing them on customer service, on code development.

So, there is a broad set of AI work that we are do ing with our clients. There is a large number of clients for which Infosys is today the AI partner of choice. So we are going quite well. We have strong partnerships with a lot of different large tech companies. We believe there is a huge amount of opportunity in the enterprise AI space. And with our experience on how to navigate within the enterprise landscape, we are quite we ll positioned to help with that.

Rishi Basu

Thank you. The next question is from Jude from ET Now.

Jude Sannith
Hi Salil, good to meet you here and congratulat ions on that performance. You spoke about scaling up on the AI front. Could I get you to throw some li ght on what those specific deals are like? What is the AI order book shaping up to be at this point in time?
And more importantly, what will y our hiring trends be like for the rest of FY'26? And I know for a fact that you have the confidence, which is why you ha ve raised the lower end of the guidance, but what is the overall demand environment shapi ng up to be like for the fiscal?
Salil Parekh
So on AI, I think what we see today is a lot of inte rest where there is deep work going on, whether it is on a specific knowledge process or it is in credit risk or there is work doing on software development or there is work going on, on customer service. So a broad area of AI projects that we are working on.
In some cases, we are working across an enterpr ise on transforming that enterprise from an AI perspective and making them the lead ing enterprise in their industry in AI. So good traction there. In fact, we have more and more of this that we want to start to share in the sense of what are the approach that we are taking, how it is working, and you will see that as we go through in the next few months.

 On the environment, as Jayesh was sharing, the env ironment is still uncertain. And what we see
today is some changes in where the global environm ent macro is looking. We still see in some of our large markets that there is grow th, but there is also some inflati on, there is job creation, which is constrained.
In some other markets, there are cost constraints, some industries are seeing that. So that is a mix. Equally, we are seeing a lot of strength, for exampl e, in Financial Services our client base is doing very well. We see extremely good growth. We hav e seen good growth in Manufacturing in this quarter. We have a portfolio where we are ac

ross all of these different industries, which helps us to
deliver the kind of performance that we have delivered for this quarter.
Jayesh Sanghrajka
So if you look at our hiring for this quarter, our net addition is already at 8,000. We had given a guidance in terms of the fresh hiring for the year, and we had said 20,000 is what we expect. We have hired in the first half, 12,000-plus freshers al ready. So we are well on our track to hire close to 20,000 this year.
Rishi Basu
Thank you. The next question is from Uma Kannan from Deccan Herald
Uma Kannan
Good evening. In the last couple of years, Euro pe has been constantly outperforming for you. So what are the factors driving that? And can y ou give us some update on Project Maximus and its impact on your performance? And one more on fr esher hiring, have you on-boarded all freshers whom you have offered?
Salil Parekh
On the Maximus and the hiring, Jayesh will come back. On Europe, I think Europe has done extremely well for us. We made some good investm ents in different countries across Europe. We have seen also, especially in the time you mention ed the past 2 years, there has been a lot of opening up of companies in Europe in different countries to look ing at the sort of services that we are offering to, looking at both transformation and cost efficiency . And there, we have played quite well in those markets.

 Having said that, we still see the U.S. market is also a very good market, and we will continue to
grow. We will continue to make acquisitions. We wi ll continue to invest in both of those markets and other markets around the world.
Jayesh Sanghrajka
Yes. So on hiring, as I said earlier, we have hired net 8,000 employees, and we have hired 12,000 freshers this half already, and they are already be ing on-boarded as we speak. In terms of Project Maximus, I think Project Maximus is continuing to deliver. If you look at last year, we expanded margins by 50 basis points despite multiple headwinds, including compensation related. We had a higher variable pay. We had impact coming from t he acquisition and multiple mega deals that we signed in the year before, they were ramping up.

So we absorbed all of those headwinds and we were able to expand margin by 50 basis points. Even this quarter, if you look at, we expanded margin by 20 basis points sequentially and the Project Maximus has delivered 30 basis points out of that, where pricing gave us a tailwind and that was offset by higher subcon and lower onsite utilization. So the project is in works.

Rishi Basu

Thank you. The next question is from Beena Parmar from The Economic Times.

Beena Parmar

Salil, you have seen some reduction in your contri bution from your top 5 and 10 clients. Could you give us some sense why that is happening? And how do you see that in the next 2 quarters? And in terms of the hiring, what sort of outlook do you ha ve overall for, say, cam pus and off-campus hiring, especially because of the way things are movi ng, while deal pipeline has been strong, market continues to remain uncertain.

And secondly, in terms of the pipeline, where is t he growth -- where is the deal pipeline coming from? Which sectors is it coming from and which geographies ? And lastly, in terms of the margins, what are the levers given that you have already done wi th your wage hikes and you also plan to onboard freshers?

Salil Parekh

So let me start with the pipeline view and some of the others, Jayesh will look at, so you can combine those. So our pipeline remains very strong right now on large deals. What we are seeing is a lot of

 our clients are quite focused on cost optimiz ation, consolidation. We are benefiting from consolidation plays, on automation and on using AI for efficiency.

That is the big focus that we see from our clients across industries,

and I will come to the specific industries. And then we see some attention to using AI for some of their gr owth activities and what we can do with an AI transformation.

Now, within all of that, we see some of our i ndustry segments with the pi peline doing well. There are some places, for example, in Financial Services, where we see good traction with clients. We see good traction in Manufacturing. Our pipeline in Reta il is looking good, and we are looking to see how that can be now converted. The overall sentiment though is a good large deal pipeline with a view to much more focus on cost efficiency and automation and those types of activities.

Jayesh Sanghrajka

Yes. So if you look at client contribution, I thin k that those changes are very marginal. There is not too much to read in that because there are always ce rtain projects that ramp up, ramp down. So that is what it is. It is not anything to note there. In terms of margin tailwinds and headwinds, if you look at as we get into the second part of the year, wh ich is seasonally softer part of the year, we have lower working days, furloughs, etc., which will come as a headwind.

We also have Project Maximus and multiple tracks of Project Maximus that will continue delivering. There is pricing, which is a trac k there. There is lean and automation, which continues to deliver value there. There are large portfolio, large progra ms that we are running. We continue optimizing them. So there are multiple tracks that we run t here, which will become a tailwind in a way. The freshers that we have hired once they start ge tting on-boarded on the projects, the pyramid starts giving benefit as well. So I think all of those will become a tailwind.

Beena Parmar

In terms of the acquisitions, how much has it contributed? And how much will it contribute in terms of the guidance that you have given?

Jayesh Sanghrajka

So this quarter, it is only 20 bps out of the 2.2% because 2 months we already had last quarter, 2 months baked in already. So that is already baked in, in the guidance. There is nothing additional that is newly baking in the guidance. The project Versent that we talked about, the JV in Australia that will only get baked in as and when we close it.

 Beena Parmar

In the guidance also, you expect it to be around 20 bps in the Q3 and Q4?

Jayesh Sanghrajka

No. That is already in the run rate. There is no thing additional that we are baking in from that perspective.

Beena Parmar

One last thing. In terms of the AI talk that is going on, your larger rival has kind of announced their

AI -- sorry, your immediate smaller rival has an nounced AI contribution to the revenue. Could you tell us if you would be looking at anything of this sort this year in the next quarter or fourth quarter? And when do you see that happening, if at all?

Salil Parekh

So there, our focus has been to mainly share what we are doing on AI externally, and that is what we are doing. We, of course, track all of that inter nally and as the right time comes, we will start to share that externally.

Rishi Basu

The next question is from Jas Bardia from Mint.

Jas Bardia

Good evening. Just a couple of questions. As per your AI strategy, would you continue with the current asset-light model of embed ding AI in your software services or are you looking at entering the AI infrastructure play and probably deploying huge amounts of capital? Second question, as part of the legacy modernization deals, are you seeing more business on a net-net basis because of AI tools being used to modernize those applications?

Salil Parekh

So on the modernization first, I think, in fact, mo dernization is a huge opportunity because of AI. So what is happening with modernization is, in the past, without the AI tools, you could do modernization, but clients needed a longer time horizon. With some of the AI tools, the time h

orizon becomes less
and as a consequence, the ROI for the client on that program is much better.

 So what we anticipate now is, as the AI tools ma ture, we will see more and more of them being
deployed on the modernization programs. On the fi rst part, I think we are comfortable with the strategy that we have today.

Rishi Basu

The next question is from Veena M ani from The Times of India.

Veena Mani

Good evening, gentlemen. I want to understand in the backdrop of the H-1B issue. So for the last few years itself, Infosys has been strengthening its nearshore centers. If you could give me a sense on how it has grown? And at this point in time, how many of your employ ees are based in nearshore locations? And what is your nearshore strategy goi ng to be given that now the U.S. has made H-1B norms a lot more stricter now?

Also, you talked about the mega deal, if you could give us a sense of which sector it is and what is the AI element embedded in it? And on the fresher hi ring, you mentioned 12,000. Out of them, what proportion of the freshers are premium talent in the sense that they are already skilled in something and not just vanilla talent?

Salil Parekh

So on the mega deal first, I think there, we have alre ady announced it. It is with U.K. NHS. That is the one you are referring to. We made the announcement just after the close of the quarter. It is a complete transformation of what they are doing. We are supporting it with many new technologies, and AI is very much part of it. It is a huge program in the way that they have trusted us to deliver it. And we work with many different partners to make sure that all of this is delivered effectively for them, but it is just the start. As we go through it, more of that will become public. On the nearshore, so nearshore has been a huge success for us. Many y ears ago, we started the approach within our strategy of localization in each of our geographies, in Europe, in Australia, in U.S. and that has really matured a lot. So part of that is we are hiring local people in each of the geography. And part of that is we are building the nearshore centers, whether those are in the U.S. and around the U.S. like Canada or Mexico or other places in Latin America or in Europe and so on. So that part has really gone extremely well, and we feel quite confident that, that will scale even further with all the changes there.

Jayesh Sanghrajka

 Yes. So on the freshers, we do not really split out how many of them are higher skills and how many
of them are the regular skills, but every fresher w ill go through the certain trainings depending on the requirement and depending on the skill set. So we will execute on that.

Rishi Basu

Thank you, Veena. The next question is from Rukmini Rao from Fortune India.

Rukmini Rao

Salil, at the Board level, I wanted to understand, in extreme uncertain condi tions where you do not know what is going to happen tomorrow, for l eaders, what kind of drawing is happening at the boardroom table on how to deal with it? And also, is t here some sort of additions to your contingency plans?

The other one was, you have also disclosed the DOJ investigation happening on H-1B and you are also internally investigating, some sense of clar ity on what is happening, the kind of inquiry that you are doing within the company? And also on the AI piece, with the partnerships that all of you are all doing with hyperscalers, looking at what happened with Deloitte, in terms of these partnerships, right and given that these technologies are still so newer . Is what sort of indemnity comes in these contracts where if something goes wrong with, let us say, any of the hyperscaler platforms that you are working on? I mean, is the entir e risk on you or do they also ta ke up any risk, because if things go wrong, it can be huge moneta

ry risk that can be posed to any of the players? Thank you.

Salil Parekh

So on the first one, I think we are fortunate with our Board to have people, of course, with Nandan there, who are really very experie nced in looking at global situations and looking at things over the years. So the Board is quite well prepared. T he type of environment is different. But equally, the Board is well prepared to understand and work with what those uncertainties are. The Board looks at different ways and scenarios of what could play out, not from a quarterly business perspective, but much more from how we should look at overall.

We, of course, have a risk committee that works extr emely well. And in that, many of these different scenarios are looked at carefully and evaluated on a r egular basis, but with a lot of attention, as I said with someone like Nandan being on the Board and many of the other Board members that we have.

On the partnerships, so there is a lot of new th ings happening in AI and the questions that you ask on liabilities and so on are still not fully clarifie d from a legal perspective. So we have been quite

 clear and careful in making sure that we can take on the responsibility for what we have control for.

Beyond that, it is difficult to say. Whether it is in a discussion with the client or with the partner, that is the sort of guideline that we use. And on the investigation, we have no comments at this stage.

Rishi Basu

Thank you Rukmini. The next question is fr om Sanjana from the Hindu BusinessLine.

Sanjana B

Good evening, gentlemen. So just wanted to under stand, you have made quite a few acquisitions in this calendar year alone. Some commentary on the kind of inorgani c moves you are examining and contributions from such moves to the overall grow th? And also, some of your peers as well as you who announced a mega deal in the public sector, so me of your peers are also announcing a lot of deals.

Do you think that you will be exam ining this particular sector more closely across your geographies? And also pertaining to the recent buyback announc ement, if you could elaborate on the contours of the announcement. How was the size and the pricing got determined and also some commentary on the outlook for H2 FY'26? Thank you.

Salil Parekh

Okay. Let me start with those. I think on the public sector first, we have always had a good attention to it. Now we are even more focused on it in diffe rent markets. We have done pretty well in the public sector in the Australian market. We have a pretty decent small business in the U.S. market. With this, we start to expand more in the U.K. market. So we absolutely have a focus on it. We also find public sector is opening up to this sort of change and the sort of capabilities that we bring that they have much more interest to.

Of course, in India itself, we do, I think, quite in credible work with the In come Tax, with the GSTN and so on. So we have pretty good experience in that, which we can leverage now globally.

The inorganic, I think our focus is very much on ma king sure that we have a business that is growing well organically and then we have a st rategic view on what we should look at in terms of acquisitions. So acquisitions are not the main driver in that se nse of our growth, but where we see something that can add to our capability either in an industry or in a skill area like a service line or in a geography where we want to expand. Those are the ones that we have done, whether it was energy and consulting, whether it wa s cybersecurity, whether this one, wh ich is focused on digital and AI and

 cloud. So those are the types of areas we are focused on and we will continue

in that sort of a scale
where the primary, of course, is we want to work in the organic sense with our clients.
Sanjana B
The buyb

ack? Salil Parekh
The buyback, yes, let me just start and you can add. So the primary approach, we have a capital return policy and that guides all of our decision-ma king on that. So in that, we have a policy where we return 85% of our free cash flow over a 5-y ear period. And then we have in that each year, our regular dividend and then we have other ways of return ing. So that is the guideline. And then Jayesh, you can add more.
Jayesh Sanghrajka
Yes. So within that guideline, if you look at we are in the second year right now. Last year, we had a very strong cash flow on the back of tax refunds that we got. So we had a headroom in terms of returning additional capital back to the shareholders. An d as part of that, we looked at various options and one of that was buyback, which is what we are executing. The amount is INR 18,000 crores at INR 1,800 which we will be executing. At this poi nt in time, we are awaiting shareholder approval. The postal ballot is already out.
Ritu Singh
Salil, Ritu again from CNBC. Since we have not got a very clear response in terms of your outlook for what happens with these H-1B visas. I mean, ve ry simply to just answer the question, do you think it is viable to continue sending your employ ees on these visas? Are y ou going to participate in the next cycle or is there going to be a significant pullback even in this minority number that you currently have?
Salil Parekh
So there, what I shared earlier, what we have t oday in the U.S., we have the majority of our people who are not requiring any Infosys immigration suppor t. What we will do in the future will be guided by how we work with our clients, how we scale up, what we have been doing there in terms of the discussion we had on nearshore, in the local hiring, the localization that we have been working on. So that is the approach that we will take. And we have been working with our clients over the last few weeks to make sure that the service deliver y continuity, business continuity remains current.

 Ritu Singh
Are you as a company, is it viable to pay that large sum of money to send your employees to the U.S. anymore?
Salil Parekh
On the H-1B visa, the response that I have is what I have shared earlier and that is what we can share.
Rukmini Rao
You have incorporated a subsidiary in Egypt, is that anything got to do with North Africa market or just broadly wanted to understand why that? And also , Jayesh, the subcontracting cost has gone up. So is that very niche? Is that AI skill sort of guys that you have added to this, just to understand?
Jayesh Sanghrajka
So the Egypt subsidiary is a particular requirement for a particular project. That is where we had to set up an entity because the client is based in Egypt and we had to send some people and that is how we expand across the globe. So that is where it is. Subcontractor cost keeps going up and down depending on the requirement, how we see the de mand environment and how we have the talent that we fulfill. Part of that could be new age skills li ke AI skills, etc. Part of that could be the regular demand that we need to meet depending on the project and the location requirements.
Veena Mani Hi. Your fact sheet, yes, your voluntary attriti on has marginally dropped from the previous quarter. But if you look at it from the prev ious year, it has increased. In this sort of a market, what is leading to this increase in the voluntary attrition? That is number one. The other th ing is about your Hubli campus. You have been giving your employees SOPs to cash incent ives to move to the Hubli campus. But have you directly recruited there? From what I hear is that Infosys is not directly hiring at the Hubli campus and is going to wait until the next year to get peopl e locally into that campus. If you could tell me a little bit about that?
Jayesh Sanghrajka
Yes. So in terms of t

he campus movement, you always need to have certain senior people move to those campus so that you start meeting the deman d requirement. And that is how you incentivize people to move to certain campuses and then you start building the team below that. So that is where

External Document © 2025 Infosys Limited 15 we have made incentives to certain employees to move to those campuses. There is nothing beyond
that. And we have and we will continue hiring locally in the Hubli as well.
Veena Mani
Not yet hiring locally? Jayesh Sanghrajka
We have. We have hired few people in Hubli.
Veena Mani
At what seniority? Jayesh Sanghrajka
We do not give out numbers by campus.
Ritu Singh
And also January and April?
Jayesh Sanghrajka
So yes, we just did it in January and April. We will decide soon. It is generally an annual cycle. So we will look at it in future. We have not decided anything for this year at this point.
Rishi Basu
Thank you. With that, we come to the end of th is Q&A session and the press conference. We thank our friends from media. Thank y ou, Salil, and thank you, Jayesh. Before we conclude, please note that the archived webcast of this press conference will be avail able on the Infosys website and on our YouTube channel later today. Thank you and pl ease join us for some high tea outside.

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Infosys Limited
Q2 FY26 Earnings Conference Call
October 16, 2025

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Chief Financial Officer

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Chief Delivery Officer
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Abhishek Kumar
JM Financial

Sandeep Shah
Equirus Securities

 Moderator
Ladies and gentlemen, good day, and welcome to Info sys Limited Q2 FY '26 Earnings Conference Call.
As a reminder, all participants' li nes will be in the listen-only mo de and there will be an opportunity for you to ask questions after the presentati on concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep M ahindroo. Thank you, and over to you, Mr. Mahindroo.
Sandeep Mahindroo
Hello, everyone, and welcome to Infosys Earnings Call for Q2 FY '26. Joining us on this call is CEO and MD – Mr. Salil Parekh, CFO – Mr. Jayesh Sanghr ajka, CDO – Mr. Satish H.C., along with other members of the leadership team.
We will start the call with some remarks on the performance of the company, subsequent to which we will open up the call for questions.
Kindly note that anything we say, which refers to our future outlook is a forward-looking statement that must be read in conjunction with the risk that the company faces. A full statement and explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov .
I would now like to pass on the call to Salil.
Salil Parekh
Thanks, Sandeep. Good evening and good morning to all of you on the call. We had a strong performance in Q2 with increased ma rket share gains. Our revenues for the quarter
grew 2.2% sequentially and 2. 9% year-on-year in cons tant currency terms. 4 of our large 5 industry verticals and 3 of our 4 geographies grew y ear-on-year in constant currency terms.
Operating margins expanded by 20 basis points sequentially. We had an excellent outcome in cash generation with free c

ash flow of $1.1 bn. Our large deals were at $3.1 bn with 67% net new. In

 addition, we announced a mega deal worth $1.6 bn afte r the close of the quarter but before today's
results announcement.
We added 8,000 employees during the quarter. Our client interactions show strong focus on deploying AI across the enterprise for growth a nd on cost efficiency programs. In doing this, we continue to scale our team of forward-deployed engineers. Our re sults and pipeline of deals reflect the trust our clients have in our ability to help them bring AI to their enterprises.
For example, we are partnering with an apparel co mpany with generative AI and AI Ops technologies to help them modernize their core operations, simplify their IT, a nd unlock greater value from their data.
For a telecom client, we are infusing advanced intelli gence across their operations to accelerate the pace of innovation and help them to deliver com pelling digital experiences for their customers.
As a result of our investments, we have emerged as the leading enterprise AI services and solutions provider. We would like to take this opportunity and give you an update on how our investments in AI have positioned us as the preferred services pa rtner for large-scale enter prise AI transformation program today.
Satish, our Chief Delivery Officer, will share th is update later in the call with all of you.
We continue our strategic approach to acquisitions with the joint venture announcement of Versent in Australia.
With a strong performance in Q2, we changed our revenue growth guidance for the financial year. The new guidance is 2% to 3% growth in consta nt currency terms. Our operating margin guidance for the financial year remains the same at 20% to 22%.
With that, let me hand it over to Jayesh.
Jayesh Sanghrajka
Thank you, Salil. Good morning, good evening everyone, and thank you for joining the call today. I am pleased to report that we had another quart er of robust all-around performance despite an
uncertain environment. We cont inued our strong growth momentum for the second consecutive quarters, accompanied by higher margins, led by fo cus on client relevance and rigor on execution.

External Document © 2025 Infosys Limited We are making necessary investment in technology, people and in sales engine to future proof our
business.
Let me cover key aspects of our results: 1. Quarterly revenues crossed $5 bn in Q2 ' 26 and $10 bn for the half year. Revenue grew 2.2%
sequentially in Q2, including 20 bps from acquisitions in constant currency terms.
2. Growth in Q2 was on back of the 2.6% sequentia l growth in Q1. H1 revenues, therefore, grew at 3.3%.
3. Volumes continue to remain soft with bulk of the revenue growth driven by realization increase.
4. Amongst large verticals, Financial Services and Manufacturing grew above 5% year-on-year in constant currency, both in Q2 and H1.
5. Europe also grew greater than 5% yea r-on-year in constant currency terms.
6. H1 gross margin remained resilient at 30.8%, flat year-on-year after absorbing compensation headwinds, reflecting the progress of Project Maximus.
7. Operating margin expanded by 20 bps sequentially to 21%. H1 margins were 20.9% versus 21.1% in H1 '25. We continue to invest in sales and marketing, which is reflected in 12.8% growth in S&M cost, H1 over H1.
8. Utilization, excluding trai nees, remained stable at 85%, which is within our comfort range.
9. Onsite mix reduced by 40 basis points for the quarter and 60 basis points for the half year.
10. We continue to invest in talent and have hired over 12,000 freshers in the last 6 months. Total employee headcount was at 332,000, an increase of over 8,000 in Q2. Attrition remains low at 14.3%.
11. DSO is down 2 days to 71 days and DSO including net unbilled is down by 5 days to 87 on a year-on-year basis.
12. Cash flow generation rem

ained strong. Free cash flow stood at $1.1 bn, which is 131% of the net profit and is well above 100% for the 6th c onsecutive quarter, bolstered by tax refunds. H1 free cash flow conversion is at 120%.
13. Large deal TCV for Q2 was at $3.1 bn, which is with 67% net new. H1 deal wins at $6.9 bn with net new at 60% plus. This does not include the mega deal announcement this week with NHS.
14. Q2 EPS in rupee terms grew by 13% year-on-year to Rs. 17.6.

Operating margin for Q2 was at 21%, increase of 20 basis points sequentially. The major components of sequential margin change for the quarter were:
Tailwinds of
■ 60 basis points from currency movement

External Document © 2025 Infosys Limited ■ 30 basis points from Project Maximus emanati ng from RPP increase from value-based selling
and lean in automation partly offset by increase in subcon and lower onsite utilization
Offset by
■ 70 basis points of impact from higher post- sale customer support on a sequential basis and other expenses.

Consolidated cash and investments were at $6.2 bn at the end of quarter. Yield on cash balance was at 6.98% and ROE stood at 29.1%.

We have taken several strategic steps in the pa st few years to reduce our dependence on work visa, especially H-1Bs in the U.S. This includes reduct ion in onsite mix, increased focus on near-shoring, increased local hiring, university partnerships, a nd creation of local hubs. We currently have several delivery centers across the U.S. to serve cli ents and leverage local talent. These hubs focus on emerging technologies, such as arti ficial intelligence, machine lear ning, cloud computing, big data, and user experience design.

In line with our capital allocation policy, during the quarter, we announced Rs. 18,000 crores buyback through tender route at Rs. 1,800 per share. Buyback is expected to be completed in Q3, subject to shareholder approval.

The Board approved Rs. 23 interim dividend, which is 9.5% higher than the FY '25 interim dividend.

We signed 23 large deals during the quarter, 6 in Financial Services, 4 eac h in Manufacturing, Communication and Retail, 3 in EURS and 1 each in Hi-tech and others. Region-wise, we signed 14 deals in America, 7 in Europe, 1 each in ROW and India.

Coming to verticals:

In Financial Services , clients are actively planning moderniza tion and AI-driven initiatives with a clear focus on cost efficiency, enhanced cu stomer experience, and strategic business transformation. We see strong momentum in mo rtgages, capital markets, commercial banking, and wealth management areas. While macro uncertainty and volatility is impacting spends, there is some acceleration in mortgage sector with recent reduct ion in interest rates. Overall pipeline and signing remains strong, which is visible in 6 large deals si gning this quarter. Banks have spent significantly to build AI infrastructure. Many initiatives are progr essing from proof of concept s to full-scale projects with notable traction in Agentic AI.

External Document © 2025 Infosys Limited Manufacturing segment continues to face trade and macro un certainties, which is creating pressure on discretionary spend, specifically in automotive se ctor. We continue to help our clients in digital initiatives and rationalizing their applications and infr astructure footprints. We are at the forefront of leveraging AI and automation to increase productivi ty and offset pricing deflation. In Aero, we have seen opportunities to help clients navigate headwinds by helping them resolve bottlenecks in their supply chain, using technologies and products. Over 90% of large deal TCV for Q2 was net new, which should help drive growth going forward.

Clients in EURS have strong focus on cost reduction, operat ional efficiency, and cash preservation, which helps open doors for vendor consolidation. In resources while large-scale Gen AI deployment are limited, agentic AI adoption is growing in tech operations to reduce cost. With rapid construction of data centers, utility companies are looking for partners to meet the accelerating electricity demand, creating opportunities in areas like renewable integrat ion, grid modernization, AI-driven optimization, etc. Year-on-year growth was impacted due to sign ificantly higher third-party revenues in Q2 '25.

Retail clients continue to remain cautious on account of ongoing tariff-related uncertainties. Across geos, there is an increased focus on AI, cloud, esta te modernization, derisking and cost takeout. There is a growing sense of urge ncy to improve the productivity of operating models to offset inflationary pressures. Deal pipelines remain strong, but decision cycle remains elongated. We continue to leverage our Topaz and AI Next platform capabilities, showcasing our enhanced customer and employee experience through digital marketing, pr edictive analytics and real-time insights.

Communications continued to face growth headwinds coupled with high opex pressures. Discretionary spending remains subdued with inve stment prioritization in AI, automation, and consumer experience. GCCs ar e becoming key buying centers and opportunities are emerging for IT companies to support their transition. While lower interest rates offer cautious optimism, geopolitical tensions and tariff risk add to uncertainty.

In Hi-Tech , there has been significant focus on cost reduction leading to budget cuts and program closures. However, there are oppor tunities emerging in areas like se miconductors with a strong focus on leveraging Gen AI.

Our H1 performance reflects resili ence of our business model and agility of our execution capabilities. As we enter H2, we expect seasonal factors to impact growth - lower working days, furloughs, onset of new calendar year.

External Document © 2025 Infosys Limited Hence, we have revised our revenue guidance to 2% to 3%. This does not include any revenues from the joint venture with Telstra, which we ex pect to close later this year. Our margin guidance remains at 20% to 22%.

With that, let me hand over to Satish to talk about our AI capabilities.

Satish H. C.

Thanks, Jayesh. Good day, ladies, and gentlemen.

I am pleased to share that we have emerged as t he industry-leading enterprise AI services and solutions provider. 8 industry ana lyst firms have ranked Infosys as a global leader in 20 separate AI rankings over the last 12 months . We are delivering more than 2,500 Generative AI and AI projects and 200-plus agentic AI projects for our clients.

Let me outline the key pillars of our strategic focus: The first one is making Infosys AI-first: We embarked on our AI-first journey in 2023. On the people front, we are committed to making our employees AI amplified. About 90% of our empl oyees are AI aware, equipped to collaborate with and leverage AI tools responsib ly in their daily work.

The next tier is the AI builders 10% of our top technology talent pool are engaged in highly innovative proj ects and solution building with AI. The top tier, the AI masters and amongs t them, the forward-deploy ed engineers are driving the AI momentum for our clients by solving the tough industry challenges.

On the process front We are reimagining the way we work with AI. Fo r example, AI code assistants accelerate our development life cycle. Our developers have pr oduced more than 25 mn lines of code using generative AI.
We have deployed AI agents across our internal operations. Our multi-agent invoice automation solution alone unlocked $50 mn in incremental cash flow, directly improving our free cash flow conversion.

 We have deployed AI to accelerate our compliance pr ocesses. In some of the use cases, we have seen over 20x gains for specific ac tivities and an overall end-to-end process productivity in the range of 40% to

50%.
Now coming to our industry-leading AI offerings
We have built capabilities in AI, applied them ac ross our own operations and now we deliver these innovations to clients through Infosys Topaz, a hol istic suite of generative and agentic AI-powered services and solutions.
We deliver value through 2 strategic fr ameworks, services.ai and client.ai. In services.ai , we build a foundation for better business services for our cli ents by accelerating IT capabilities and operations, both our own and our clients.
Our integrated services stack, a composable set of AI services and agents contextualized for every client and industry integrates human and AI agents to reimagine IT services and operations with greater velocity, productivity, and quality.
On client.ai, We focus on business transformation to de liver sustained enterprise-wide impact for our clients like revenue growth, efficiency, and productivity improvements. We have 22 industry blueprints and more than 400 agents tailored to specif ic verticals to accelerate value from AI-led transformation. We also use power vibing to rapidly build proofs of value and iterate business solution prototypes to client problems.
In terms of delivering enterprise value to surmount pilot paralysis
The challenge of extracting value from enterprise AI investments and pilots continues to be the biggest priority for global enterpris es. We have expertise in delivering that through 5 key levers.
With Infosys forward-deployed engineers , we have the specialized engineering talent, which is deeply embedded within client busi nesses, delivering enterprise scal e value from AI. For a global logistics leader, our forward deployed engineers co-c reated a solution that uses real-time data streams and AI to accurately predict shipment li fe cycles across regi ons and operating companies. This platform delivers 400 mn messages daily wi th sub-minute latency and operates uninterrupted 24/7, resulting in $1.5 mn in immediate benefits, $8 mn in annual savings and 12% reduction in customer service call volumes.
With our Infosys Topaz data workbench , we have an expansive portfolio of solutions for data preparation, engineering, and governance. For a leadi ng industrial manufacturer, we built a unified

 data fabric powered by 100-plus domain-driven multimodal data products centered on equipment operations covering more than 10 petabytes of stru ctured and unstructured data to power 30-plus AI companions across business functions driving more than 90% boost in precision, performance and productivity.
With our Infosys SLM , we are able to deliver small languag e models, which are key for context engineering of agentic AI solutions, which are adapted for enterprise's specific need. We have built 4 small language models for banking, IT operations, cyber and enterprises broadly for rapid value delivery. We also offer these models as services to keep businesses securely build their own custom AI models. A good example is how our SLM is used by clients to run their banks on Infosys Finacle to launch new contextual banki ng experiences and innovations.
With our Infosys Responsible AI Office , we have now become an industry pioneer in setting up a Responsible AI Office. We are amongst the first companies to be certified on ISO 42001:2023 for management systems implementing Responsible AI projects. Our Responsible AI toolkit ensures that clients have the defense and the technical guardrails to address AI-related risks.
With our Infosys Polydelivery AI model , the high dependence on AI key providers is a key concern that we address. Our hybrid or flexible poly AI helps them avoid vendor lock-in as they scale their AI transformation. Using this model , we helped a bank in Europe establish their AI innovation lab to create a pipeline of AI-first business initiati ves. They have now deployed 13 AI and agentic AI sol

utions, and there are several more in developm ent. This has delivered substantial financial gains and earned our client the honor of being #1 in their region of an AI-first bank.

Building an AI ecosystem for our clients, we have established strategic alliances with Nvidia, Microsoft, AWS, Intel, Meta, Google Cloud, and others to enhance their capabilities.

Infosys is among the first and largest enterprises to deploy GitHub Copilot at scale. We have over 22,000 developers on board. In collaboration with Google Cloud, we have developed more than 200 enterprise-grade AI agents. These partnerships, combined with open source solutions enable Infosys to deliver flexible vendor-agnostic AI ecosystems.

Through our Infosys Innovation Network, we engage with AI start-ups across A I, cybersecurity, data management, and other emerging domai ns to accelerate client adoption of cutting-edge solutions.

Our academic collaborations with institutions li ke Cambridge, Columbia, Cornell, Stanford HAI, and MIT fuel our advanced AI research and give our innovations practical enterprise application.

 We also contribute to shaping global AI standards like partnering with OWASP on LLM security. We are also advising policymakers, and we are also collaborating with regulators in shaping emerging standards.

To summarize, our clients value our differentiated capabilities that we have built on the success of our own AI-first journey. They trus t us to navigate them with a clear practical road map to transform their business and deliver sustai ned enterprise scale value. This proven capability has translated into robust growth and notable gains in market share over the past several quarters, underscoring the impact of our strategic approach.

This includes amplifying people, implementing advanced AI solutions, co-creating AI projects from the ground up for success and fostering an effective ecosystem of partners. We are focused on empowering our clients to conquer the pilot par alysis and achieve enterprise scale advantage.

Sandeep Mahindroo

We can now open up the call for questions.

Moderator

Thank you very much. We will now begin with the question and answer session. The first question is from the line of Kumar Rakesh fr om BNP Paribas. Please go ahead.

Kumar Rakesh

Salil, my first question was a little of medium to l ong term. So, there is a lot of companies who have announced their capex plans for setting up the AI dat a centers. And many of these companies are our ecosystem partners. We do go to market along wi th them. We partner with them in many of the projects.

In all these conversations of these capacity exp ansion and potential modernization in the future, are we having any conversation with them how Infosys can partner with them in the future for implementation and inference work potentially in t he future? Any of your conversation which is happening with them that you can share?

Salil Parekh

If I understood that, the question was t here are partners of Infosys who ar e building large AI capability and are we partnering with them?

 So, yes, we are partnering with them.

So, you look at any of the large players who are build ing out AI capability today. And it is at different levels - we are looking from the chip to the infras tructure to the models to basically deployment. So, there are different layers of that. And in each of those, we have, as Satish was just pointing out, several partnerships, which are going pretty well. Is that what you are asking?

Kumar Rakesh

So, my question was that at some stage, they wi ll start looking at modernization, enterprise implementation of inferences on those large capaci ties. Will we be participating in any of those, any of the conversation happening on the modernization side in the future and Infosys participation in that?

Salil Parekh

So, on the enterprise side, we will participate, but the modernization is a big part of our play. So, what is happening there, in fact, is the enterprise modernization business will get a huge benefit from AI. So, before the AI, the enterprise modernization , legacy modernization had a certain time duration and a certain ROI. With many of the AI tools, that is improving quite dramat ically. So, once those AI tools are in good shape and stable and so on, we see modernization as a big growth opportunity.

Kumar Rakesh

Just to be clear that I have got it right, that once enterprises start using thes e capacities for their own modernization, there is a play for Infosys to participate with them and help them in that modernization.
Salil Parekh
Absolutely. So, there are some AI companies wh ich are very good with enterprise AI. Most people are focused on consumer AI. So, if you look at an enterprise AI company, they are building solutions which are focused in sales or marketing for growth or revenue of the end client or cost reduction through process or customer servic e in those areas. And one of those areas is this modernization. There are some others. And to make it happen, Infosy s is a partner that those AI companies will use where we have the knowledge, because of the know ledge we have in the landscape of the client, which is a large complex landscape. So, how to deploy AI into it and make it successful, those are some of the skills that we will bring to it.
Kumar Rakesh

External Document © 2025 Infosys Limited My second question was more of a near term. So, over the last 2 quarters, we have seen the large
deal TCV has picked up and you have been reporti ng above $3 bn of large deal TCV. And you have also spoken about vendor consolidation being one of the trends which is driving the deal signings. Looking at these large deals which you have won, how comfortable you are of their margin as they ramp up and start contributing into your revenue?
Salil Parekh
Large deals, we don't disclose the margins separately, as you know. But what we are clear on, is that we have a fairly disciplined approach as we take them on. And there, in many ways, what Satish was sharing with you, we have our Chief Delivery O fficer, Dinesh, they are both involved actively at the very start of many of all of the large deals to make sure that before we go into it, we understand what the issues are as best as possible and maintain that margin profile at the start and through the program itself. So, we are comfortable. We don't disclose the margin separately, but we don't see some unusual margin impact because of that also.
Moderator
Next question is from the line of Bryan Bergin from TD Cowen. Please go ahead.
Bryan Bergin
I wanted to ask on deal activity and kind of average sizes. Can you comment on what you are seeing in some of the smaller deal activity? Any changes there versus the prior quarter? And then just on the signings, so the TCV has been healthy now for 2 quarters. Can you comment on just how ACV levels in new work that you are booking may be trending?
Salil Parekh
So, on the smaller deals, no real change, it is simi lar to what we have been seeing so far. On the large deals, the vast majority of them is focused on cost reduction, vendor consolidation, using AI for productivity, lean automation, those sort of areas.
On ACV, again, no real comment. We don't see a change that this quarter's large deal had a different type of ACV than last quarter, essentially a simila r type of structure. But again, we don't share the ACV numbers separately.
Bryan Bergin

External Document © 2025 Infosys Limited And then my follow-up on the delivery and the operat ing model. So, I am curious how you may see
the delivery mix changing beyond Fiscal '26 when you consider navigating the visa changes next year. Just understanding you have a majority of your employee base in the U.S. tha

t are not on visas.
But as we look at the numbers, subcon mix, pi cked up here in the quarter, while your offshore mix also rose. So, I am curious if you think those two trends will continue? And where do you think the potential ceilings of those are as it relates to offshore mix and subcon usage?
Salil Parekh
So, on the subcon, I don't think that is a long-term lever in terms of how we will change the mix. There will be ups and downs as we go through the next few phases of this . The approach we are taking is, we built over the years what we call lo calization in all of our geographies outside India and especially in the U.S., and that comprises of buildi ng local technology up, so local recruiting, near-shore centers, which are ones ar ound, for example, Canada, Mexico, other places in South America and then offshore.
Now, it will be a combination of these that we are us ing or we will use further in the future to make sure that essentially our overall delivery approach remains consistent for the clients. We don't have

a view on where the offshore ratio will end, but we do see from some early cl ient discussions that there will be an increase over time in what they want to offshore.

Moderator

Next question is from the line of Jonathan Lee from Guggenheim Partners. Please go ahead.

Jonathan Lee

Can you help us unpack the step down in utilizat ion despite the step-up of subcontractor usage? Where are the potential skill gaps or pyramid gaps that you are looking to fill by using your subcontractors?

Jayesh Sanghrajka

So, if you look at our subcon a couple of quarters back (editor comment – few years back), it was in the range of 11%. It has come down now to 8.5%. So , there has been a consistent effort to bring it down on a long-term basis.

Having said that, on a quarter-to-quarter basis, there could be ups and downs depending on the demand that we have, the skills that we have, at which location the skills are and you would dip into

 subcon or you would wind down subcon accordingly. So , that is how the subcons typically are there.

Typically, the subcons are used to bridge the skill gaps across the projects that we deliver for the clients. We don't expect at this point in time the subcons to increase signifi cantly from the current levels.

Jonathan Lee

Appreciate that color. And secondly, this may be the first time we have heard you mention forward-deployed engineers. Can you unpack how they compar e relative to the teams of forward-deployed engineers that software companies are scaling? Pot entially how those pools of talent are competing and whether there are higher costs associated with your forward-deployed engineers versus your traditional engineer?

Salil Parekh

So, there, Satish should also add a little bit. Let me start off. We have been using the capability of the forward-deployed engineers across our AI landscape for some time. We want to make sure that that is something we share externally.

We are not commenting on the cost or nature of t hose, but they are different groups within the company in the past as well, for example, we ha ve other groups called power programmers and so on, which have different costs within our delivery st ructure. And so, we will use the appropriate level of cost depending on which market those engineers are oper ating in to fulfill that work for our clients.

Satish H. C.

Thanks, Salil. So, I guess the opportunity with AI is that we are developing a new breed of services stack or software stack for our clients, which is never done before. So, this is reimagining of either how we run business or how we even deliver services.

So, given that this is a different paradigm, the onus is on co-creation with our clients, which is why I think there is a sharper pivot to the leverage of forward-deployed engineers to work very closely with our clients. And as we move from POCs to enterpr is

e scale adoption, we see that there will be a lot more need for forward-deployed engineers to work with our clients to drive this co-creation of the new breed of software stack.

Moderator

Next question is from the line of Vibhor Singhal from Nuvama. Please go ahead.

 Vibhor Singhal

Salil, just a question on the overall uncertainty that we are facing in the environment, especially in the light of the recent H-1B visa hike. So, just wanted to pick your brain as to, first of all, I mean, in the near term, let's say, in the last couple of week s or few weeks that that event has passed by, did we see a heightened level of uncertainty, which ma ybe might have led to some of the deals being pushed off and some of the concerns cropping up from the clients?

And from a longer-term point of view, I know we and many, most of the industry experts have basically explained that this should not be a big det errent in terms of our business model. But how do you see this change changing the business model? I m ean, do we believe that there is a possibility of higher offshoring that can be done now with this when companies try to av oid the higher H-1B visa fee and clients would also be amenable to that? C ould that be, let's say, an unintended benefit that could actually trickle by because of this event that took place?

Salil Parekh

So, on the short term, I am not sure I followed ever ything, but basically, we have not seen any change if that was the question in the short term.
On the medium, long term, the model will change as we were discussing earlier, which is essentially, we have been working on localization for quite some y ears in most of our markets outside India, so U.S. also. So, there will be more work in our tech nology hubs and centers there with local employees. There will be more nearshore work. There will be more offshore work . And that is the approach that we will put in place, essentially ensuring that the client delivery remains in a good place. So, that is what we see.
If you are looking at like, let's say, some percentages and so on, we don't have that sort of a view, but that is the general approach and the model change that we see coming.
Vibhor Singhal
A bit farfetched maybe, but let's say, if we try to do more of nearshoring and offshoring, do you think clients would be okay with this? Because let's be hones t. I mean, I am assuming that at this point of time before, let's say, the announcement, we were operating at a specific onsite to offshore ratio, which we would have tried to optimize by ourselves. So, if there was a specific onsite presence, it would have been maybe requirement of the client, maybe requirement of regulator or our own requirements. So, would it be easy to get this th rough to move that business? There will be some

External Document © 2025 Infosys Limited part, as you rightly said, that you will have local hi res. But the part that we are planning to move to nearshore and offshore, how easy or difficult will it be for clients to accept that?
Salil Parekh
So, this is a broad approach. We will work jointly with each client to define specifically how it will work for the client. It is a little bit if you go back to the time when there was the COVID, everyone was working remotely for so much time, and we just figured it out. We were quite adept at it at that time. So, now there is a model that we have built. We are working with clients. What we do feel is quite comfortable that we will not have any constraints in client delivery through different levers in the model. It is not that one lever. Some clients ma y have a different lever and some may have another type of lever, but we feel comfortable with that.
Jayesh Sanghrajka
Vibhor, if I could just add, if you look at pre-COVI D, we were at close to 30% onsite, 70% offshore. And every year, the needle used to move by 20 to 30 bp

s. Post-COVID, it changed significantly by 3% to 4% or more in a year's time. And that is what I think Salil is referring to. When a constraint comes in, both we and client work together, and we have been able to reach a model that works, and I am sure we will be able to do that this time as well.
Vibhor Singhal
And just last question on that part since you have come in, I know it might sound too optimistic. Could it actually lead to an unintended benefit that we do more of nearshoring and offshoring and that could possibly be a margin lever for us or for the industry?
Jayesh Sanghrajka
Difficult to say at this point in time. But I mean, mathematically, if you do more nearshoring and more offshoring, it should mean more margin, but it depends on to what extent you are able to do offshoring, nearshoring and to what ext ent we will end up doing more local hiring.
So, I think it is going to be a balanced act there.
Moderator
Next question is from the line of James Fri edman from Susquehanna International. Please go ahead.

External Document © 2025 Infosys Limited James Friedman
Jayesh, in your prepared remarks, you called out a 70-basis point impact from higher post-sale customer support, I am just reading from the transcrip t. Is that a normal thing? Or is that something different? What is that about?
Jayesh Sanghrajka
So, James, if you recollect last quarter, we had a benefit on this. So, on a quarter-on-quarter basis, it is an impact from a margin walk perspective. This quarter, it is at a normalized level. So, last quarter is where we had a benefit.
James Friedman
Now I remember. I apologize. I got it. And then in terms of your offshore/onsite, what you are contemplating longer term, I was just wondering, how do you think about AI delivery impacting the regionalization of your headcount, AI delivery? And does AI impact where your people need to be?

Salil Parekh
Hi, this is Salil addressing that point. I think we already see projects where we have agents, which is with AI working alongside the people on the project. So , that will also be part of this new delivery model. There is one change which is based on the vi sa discussion we were having. And everything with or without the visa will be changed with the agent s and how that will work over time. So, those are two different sorts of trends, but they will both come together and sort of the ratios and so on will develop as we build out the business.
Moderator
Next question is from the line of Sumeet Jain from CLSA India. Please go ahead.
Sumeet Jain
Firstly, I want to understand the impact of AI on your and IT services industry's revenue growth profile. Do you think the deflationary impact is higher than the volume growth opportunity? And maybe if you can give us a sense on your renewed deal s, how much is compression due to AI versus incremental scope expansion?
Salil Parekh

 This is Salil. So, there, we see 2 types of thin gs for AI. One, growth opportunities, where we see
clients are starting to look at leveraging AI, whether it is in their sales function, their marketing function, how they can drive growth from it. And t he second, as you point out, is more productivity or efficiency for different processes and activities within their company.
Today, with the economic environment where it is, there is a lot of interest and focus on cost reduction, and that is where we see a lot of the initial work coming in. Some of the things that we are seeing, for example, the discussion we had a litt le while ago on modernization. Those discussions are much more about growth because it is not somethi ng that the company, a client is doing at all. It is a question of how they will do it, how it will be leveraged. So, at this stage, I don't have a view on which of these two factors will be larger or smalle r, but we certainly see a lot of growth opportunities
fr

om what we can deliver with AI.
Sumeet Jain
So, maybe, Salil, prodding it further, do you think the IT service budgets of your clients are expanding due to AI?
Salil Parekh
So, there, what we see now is, a lot of companies ar e in mode of a lot of cost control with the changes in the economic environment. So, it is difficult to ascertain what they will use it for in different economic environments.
So, today, if I look at it, whether it is AI or non-AI, meaning we do a lot of work on, let's say, consolidation. We do a lot of work on automation, non- AI automation. So, there is a real interest from clients that, look, can you help us through these ot her techniques, also reduce cost. And that is the predominant way that we are looking, we are seeing some of the large deals come about.
My sense is as there are AI approaches, which are showing clients where they can impact the business on the growth side and where the economic environment supports it, we will see more and more of those opportunities.
Sumeet Jain
That is helpful. And maybe my second question is ar ound, of course, this year, macro is pretty weak because of tariff-related uncertainty. But if the ma cro improves next year due to tariff uncertainty going away, do you think the IT services industry gr owth would be higher next year compared to this year, ignoring how AI will play around?

 Salil Parekh
That is a very good question, if I could answer that. It is difficult to say from our side, meaning we think basically that when the macro improves, the tech improves. But now, we will see how that plays out. That's typically been our experience from the pas t, but I don't have a view like for next year, how it will look.
Moderator
Next question is from the line of Nitin Padm anabhan from Investec India. Please go ahead.
Nitin Padmanabhan
So, a couple of questions. So, one is you spoke about volumes being sort of flattish where realizations being a bigger driver of growth. If you could help context ualize what is driving that? So, that is the first one.

The second is any color you can give on the Versent JV , both in terms of when it could sort of accrue the kind of revenue or margins there?
And finally, your thoughts on how do you see furloughs this time versus last year? And in terms of smaller deals, do you see any pickup?
Jayesh Sanghrajka
So, Nitin, this is Jayesh here. Let me take that. We did say that volumes were softer and the large part of the growth came from the RPP expansion. Part of that was because we had a higher working day and calendar day this quarter, which reflects in pr icing in a way. The part of that is also Project Maximus, where we have been trying to drive or getting the effective pricing increases through various levers within that, and that is where it has helped in terms of revenue.
Your second question was on Versent. We haven't been able to close that yet because it is pending for few of the regulatory approvals. So, as, and when we get the approvals, we will announce the closure. At this point in time, we do not know. We expect it to be closed in this year, but we do not know the exact timelines, and therefore, it is not baked in the guidance at this point in time.
The last year revenue was around Australian $210 mn. So, that is all I can give you as a reference to put in an estimate once it is closed. You have one more question.
Nitin Padmanabhan

 Any color on margins for Versent? And the other one was, other questions were on furloughs versus
last year and any pickup in small deals?
Jayesh Sanghrajka
So, furloughs at this point in time, we do not expec t to be significantly different than the last year.
And we do not disclose margins of the acquisitions.
Nitin Padmanabhan
Perfect. Any pickup in small deals that you have seen?
Jayesh Sanghrajka
I think small deals have

remained similar as compared to last year. The overall pipeline continues to remain strong. There is nothing unusual to call out there.
Moderator
Next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar
I have a question on your second half outlook. Now we understand the seasonal factors and probably that is what is driving decline at the midpoint of the implied guidance. But I just wanted to get a sense that this year, deal wins has been strong, then yo u have closed $1.6 bn deal, which if my calculation is right, is a $100 mn-plus ACV deal. So, is it just y our conservatism at this stage, given Q4 generally is weaker? Or is there anything else that is rest ricting you from raising the upper end of the guidance?
Jayesh Sanghrajka
So, Abhishek, like we have always said, the way we look at guidance is to reduce the asymmetry of information between us and the investor community . At this point in time, based on the various models that we run, that leads us to various leve ls of guidance, and that is how we have arrived at the guidance.
Like what we have been saying for the last couple of quarters, at the lower end of the guidance, we have baked in elevated level of uncertainty and at the upper end of the guidance, we have baked in a stable environment.

 Having said that, as you know, H2 is softer from a seasonality perspective. We have lower working
days, lower calendar days, higher impact from furloughs , etc. So, all of that impacts our H2 versus H1. And we also need to remember that we have del ivered a stronger H1 vers us many of our peers. So, from that perspective, the H2 automatically gets impacted.
Abhishek Kumar
So, maybe a quick follow-up on the mega deal you ju st announced. Is it expected to start ramping up this fiscal year? And what would be net new contribution, if you can call that out?
Jayesh Sanghrajka
Abhishek, the deal that we have announced is complete ly 100% net new, and it will start ramping up this year.
Moderator
Next question is from the line of Sandeep S hah from Equirus Securities. Please go ahead.

Sandeep Shah
Jayesh, just wanted to understand, in your guidanc e assumption for the second half, are you also expecting further lower pass-through, the third-party it em sales? Because in the first half, it has been 7.4% versus 8.2% for the whole year last y ear. And generally, Q3 sees seasonal strength on the third-party items. So this time, you believe it c ould not show the strength, and it could be further down from 7.4% in the 1H versus what you expect in 2H?
Jayesh Sanghrajka
Yes. So, Sandeep, like we said at the beginning of the year, this year, we expect the third party to be lower than what we had last year, and we expect the similar trend to continue. So, we do not expect unusual growth or unusual el evation in third party in Q3.
Sandeep Shah
And second, just the follow-up. In terms of seasonal softness, which is reflec ting in your 2H implied guidance, what was the urgency to deploy 8,000 net additions in the employee side? Can you explain the high recruitment versus seasonal softness in the 2H?
Jayesh Sanghrajka

External Document © 2025 Infosys Limited 22 So, Sandeep, it is a factor of the demand and supply environment. We are already at 85% utilization.
And we also onboarded 12,000 freshers. So, that just talks about the visibility that we have in our business.
Moderator
Thank you very much. That will be the last question for t oday. I now hand the conference over to the management for closing comments.
Salil Parekh
Thank you. Thanks, everyone, for joining in. Ju st wanted to summarize, we had a strong Q2, very good large deals, one mega deal after the quarter, so even better. We spent a lot of time sharing with you our leadership in enterprise AI and fo rward-deployed engineering capability and the growth of that. We feel

we have a really strong position in this area, and we continue to lead in many places here.
We have an increase in our guidance for revenue gr owth, the new guidance being 2% to 3% for the full financial year. With all of this, we look forw ard to a strong Q3 and Q4 and look forward to interacting with you at the end of next quarter. Thank you. Take care.
Moderator
Thank you very much, members of the management. Ladies and gentlemen, on behalf of Infosys Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jan 2026

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

January 19, 2026
Dear Sir/ Madam,
Sub: Transcripts of the press conference and earnings call conducted after the Meeting of Board of directors on January 14, 2026

Please find enclosed the transcripts of the press conference and earnings call conducted after the Board meeting held on January 14, 2026 , for your information and records.
This information will also be hosted on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2025-2026/q3 .html

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/reports -filings/quarterly -results/2025-2026/q3 .html
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha
Company Secretary
Membership No: A21918

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Infosys Limited
Press Conference Call
January 14, 2026
CORPORATE PARTICIPANTS:

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Chief Executive Officer and Managing Director

Jayesh Sanghrajka Chief Financial Officer

Rishi Basu
Associate Vice President and Global Head - Corporate Communications

ANALYSTS

Ritu Singh
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Mansee Dave
ET Now Shristi Achar
The Economic Times

Chandra R. Srikanth
Moneycontrol

Haripriya Suresh Reuters
Avik Das
Business Standard

Sanjana B.
The Hindu BusinessLine

Jas Bardia
Mint

Poulomi Chatterjee Financial Express
Uma Kannan
Deccan Herald

Padmini Dhruvaraj The New Indian Express

Rishi Basu
A very good evening, everyone, and wishing you al l a very Happy New Year. Thank you for joining us today. My name is Rishi. And on behalf of Infosys, I would like to welcome all of you. As always, since this is the New Year, my rules do not rea lly change, one question from each media house. We try our best.

But with that, let me invite our Chief Executive Officer, Mr. Salil Parekh, for his opening remarks. Over to you, Salil.

Salil Parekh Thanks, Rishi. It is good to see that you are very cons istent, and I am sure the media team is as well. Good afternoon, everyone, and thank you for being here. Warm wishes for the new year to all of you.

We have had a strong performance in Q3. Our revenue grew 0.6% sequentially and 1.7% year-on-year in constant currency terms. Our large deals were at $4.8 bn, with 57% net new. This was across 26 deals.

Our adjusted operating margin was 21.2%. We generated free cash flow of $915 mn. One of the most significant large deals we won was with the National Health Service in the U.K. This $1.6 bn deal expands our work in the healthcare sector . We will help NHS leverage AI to streamline operations and improve patient care for U.K. citizens.

We have deepened our Topaz AI capability with an agent services suite called Topaz Fabric. This suite helps our clients manage and implement AI agents across t he enterprise. We had strong momentum in AI adoption across our client base. T oday, we work with 90% of our largest 200 clients to unlock value with AI. We are currently work ing on 4,600 AI projects. Our teams have generated over 28 mn lines of code using AI. We have bu ilt over 500 agents. We are scaling our forward deployed engineer team.

We are now witnessing six AI-led value pools emerging that could unloc k a large incremental opportunity. We also see productivity-led benefits th at compress some legacy areas. The six large AI-led value pools are:

- AI engineering services,
- Data for AI,
- Agents for operations, - AI software development and legacy modernization,

 - AI deployed in physical devices and
- AI tr

ust and risk services

We believe we are uniquely positioned to capture market share across these value pools and emerge as the leading AI value creator for global enterpris es. We will share a comprehensive view of our approach at an investor day later this quarter.

With a strong performance in this quarter, we have revised our revenue growth guidance for the financial year. The new revenue growth guidance for th is financial year is 3% to 3.5% growth in constant currency. Our operating margin guidance for the financial year remains the same at 20% to 22%.

With that, let us open it up for questions.

Rishi Basu Thank you, Salil. We will now open the floor for ques tions. Joining Salil is Mr. Jayesh Sanghrajka, Chief Financial Officer, Infosys. The first question is from Ritu Singh from CNBC TV18.

Ritu Singh Hi. Thank you. Rishi, sorry, this is our only c hance to speak with the management every quarter. So we will have to exceed that one question limit. With that, Salil and Jayesh, to begin with, I wanted to start with your headcount number. We have seen an increase of 13,246 over the last two quarters. And this is interesting because it is coming at a time when your peer, TCS, is cutting 30,000 jobs. How should we read into this? I mean, is this a re al indicator of how you see the demand environment improving?

And with that, I wanted to get to your guidance figur e being raised to 3% to 3.5%. How much of that

upgrade is because of large deals like NHS bei ng factored in? How much of the Versent acquisition, which is yet to be completed as we understand, is baked into that number? And, last quarter, you were telling us, for instance, there are segments like Retail that remain the weakest link, so where are you seeing improvement that has led you to upgrade your guidance? That is one.
Also, sequentially, we have seen a bit of a marginal di p in your margins that is to 20.8%. This is at a time when there are tailwinds emerging from the r upee depreciation. So if you could break down why that has been the case? And while you continue to tell us about how you are uniquely placed to exploit that AI opportunity, and the likes of HCLTech and TCS have been giving us concrete numbers. Why does Infosys refrai n from doing so? Thank you.

 Salil Parekh
So let me start. On margin, Jayesh might have some points.
I think the first part, I missed a little bit, it was the headcount increase, right? Yes, so on the headcount increase, I think it demonstrates that we have conf idence in where the market is and what we are seeing in terms of the demand. And that also feeds in, in a way to the second point you had in terms of how are we raising the growth guidance.
So first, in terms of the growth guidance, we are just finishing the third quarter, so only one quarter is left. We have had a lot of large deals in the pr evious few quarters. Plus we had a very strong execution in this quarter.
You asked a little bit about the industries. We have seen, for example, in Financial services, and we have seen in Energy, Utilities, Resources, Servic es, we see that the way the deals have come, the way we have become AI partner of choice with our largest clients, we see a good outlook even as we look into the next financial year. And that in part helped us to increase the guidance, which is only for this financial year, wh ich is ending in March.
Jayesh Sanghrajka
So first of all, very Happy New Year to all of you. Before I come to margin, I just wanted to also touch upon the headcount part. If you recollect last year, we had called out that we are going to hire 20,000 freshers this year. We have onboarded roughly around 18,000 freshers, and we are well on our way to finish our 20,000 number for this year, which, in a way, reflects in a headcount also because many of them are under training. And if you look at our utilization, incl uding trainees, has

come down. So,
that is our investment into building capacity for future in a way. So that is on the headcount.
If you look at margins, we have expanded our margin this quarter by 20 basis points versus the last quarter. We are now on a nine-month basis at 21% margin, which is midpoint of the guidance that we have given. The puts and takes of 20 basis point expansion this quarter is 40 basis points came from currency, 50 basis points came from the Pr oject Maximus, mainly on account of value-based
selling and the lean & automation that we have done on multiple projects, offset by the furloughs and lower working days that we had. We also accru ed a higher variable pay compared to last quarter, which was offset by some of the one-offs that we got. So that is the broad margin walk in a way.
But if you look at the nine months period margin, which is 21%, we have invested in our sales and marketing, which has gone up by 50 basis points on a year-on-year basis. So that has been absorbed in the margin. The lower utilization of almost 1% has been absorbed in our margin. So this margin is

 after absorbing all of that, where on one side, we ar e building capacity for future, on the other side,
we are investing in sales and marketing, and we still had a stable margin plan.
Ritu Singh
Do you have an outlook for next year now that you are completing this 20,000 for the year? You have had a lower attrition as well this quarter.
Jayesh Sanghrajka
We will have an outlook once we give our guidance for next year in April. Ritu Singh
And also the wage hikes, what is planned for the year and what kind of impact that could have on the margins from here on?
Jayesh Sanghrajka
So we just finished one cycle of our wage, which was in two parts in January and April. We have not yet decided on the next part yet. We w ill decide on that as we progress.
Salil Parekh
On AI, I think one of the points I shared, and we have a lot of that sort of information was with our largest 200 clients, with over 90% of them, we ar e doing AI work. What we are doing in AI is unique AI services with clients. And also, we have reshaped all of our existing services, leveraging AI in. For

example, we are using agents in several of our service lines to help enhance either growth or productivity. So that is what we are s haring in terms of what our impact is.

Rishi Basu

Thank you, Ritu. The next question is from Mansee Dave from ET Now.

Mansee Dave

Good afternoon, Salil and Jayesh. This is Mans ee Dave from ET Now, ET Now Swadesh. My question is on demand visibility, tech spending and AI adoption. Now looking at the constant currency growth scenarios and commentary around fewer billin g days and deal timing, how are clients thinking about calendar year 2026 tech spending, especially discretionary versus transformational-led programs? And at the same time, pace of enterpr ise AI adoption as well as tech spending outlook

are amongst the key monitorables which we were l ooking towards. How does the scenario look like?

And how are the pricing models evolving according to you?

Salil Parekh

So I will start with that, maybe a little bit on the pricing, Jayesh might have some views.

On the demand, we see good demand outlook, we hav e had strong large deals. Our large deals pipeline remains healthy. And we are seeing in th e two industries that I mentioned, on Financial services, on Energy Resources, Util ity, Services, a way that our work on AI is going and the way the deals have shaped up, we see a good outlook as we look even beyond this financial year into the next financial year.

On Financial services, specifically, we see di scretionary spend and good traction in what we are seeing across the market. Having said that, overall, we want to still see all of the other industries and segments start to show that. But these two ar e definitely something that we are seeing today.

Jayesh Sanghrajka And on the pricing, I think as the newer and newer technology evolve, every time there is a change like that, you see a new pricing model evolving as well. We are seeing mu ltiple new pricing models evolving. Some of them are being led by us, whether it is outcome-based pricing or whether it is pricing, which is specific to agents, etc. So a little early in my mind in terms of calling out specifically what are the pricing models going to evolve on this. But everybody is testing new pricing models at this point in time.

Rishi Basu

Thank you. The next question is from Sh risti Achar from The Economic Times.

Shristi Achar Hi. Happy New Year to all of you. So a couple of quick questions on, one, I wanted to know on the sharp decline in operating margins that we are seeing. So I want to know if the impact is beyond the labor code charges that the company has taken.

And I also wanted to know, there has also been a sequential decline in your revenue contribution from your top 5 and top 10 clients. So can you gi ve us a sense of why that is happening? And what the next couple of quarters look like on that?

On the third, sorry, this is the last one. So, I al so wanted to know on the whole H-1B row that is going on. So, this morning also, we saw some claims of employees being deported on the same as well.

So I wanted to just know what is going on around that.

Salil Parekh You want to start on the labor code? Jayesh Sanghrajka

Yes, so if you look at the margins, if you are l ooking at reported margins, yes, the reported margins were impacted because of labor code. But if you look at the adjusted margins, as we have called it out also, the adjusted margins have actually ex panded. If you exclude the impact of labor codes, adjusted margins have expanded by 20 basis points sequentially. And on a full year basis, it has remained 21%, which is similar to our last year margin.

And that, as I said earlier, that was after absorbing the investment that we have done in sales and marketing, which would have impacted margins by 50 basis points, after absorbing the impact of lower utilization, which is building capacity for future. So after absorbing both of that, we have been able to maintain margins. You had a second question?

Rishi Basu

Client contribution.

Jayesh Sanghrajka Yes. Client contribution. I think sequentially, client contribution is not a way to see in my mind because there is a seasonality involved. Every Q3 , you typically have furloughs, etc., which would have impacted certain specific clients and larger the cl ients, larger will be the impact of furloughs if there is one in that account. Typically, you will see that year-on-year, and we do not really see a

significant change in the year -on-year client metrics.
Salil Parekh
On your last question, I just want to read out, no Infosys employee has been apprehended by any U.S. authority. A few months ago, one of our employees was denied entry into the U.S. and was sent back to India.
Rishi Basu

 Thank you. The next question is from Chandra Srikanth from Moneycontrol.
Chandra Srikanth
Hi, Salil. Just a follow-on to that, so this employee who was not allowed and sent back, are you contesting that in any form? Secondly, one of the big trends this quarter we have seen is a big acquisition from Coforge, where t hey acquired Encora for $2.35 bn; TCS has acquired Coastal Cloud for $700 mn. So, can we expect more action on the M&A front? Are there assets that are attractive, if you can take us through your M&A strategy? Thank you.
Salil Parekh
On M&A, as we have looked at over the last few quarters, we have done acquisitions on cyber, on consulting and energy services. And we will conti nue with that sort of an approach. We have a good pipeline of pos

sible companies that we are look ing at and discussions. We have strong support in terms of our balance sheet. So, we will continue with that. It is not something that is different in that sense from what we were doing in the past. We have a set of areas we are also looking in geographies which are new we are looking at expandi ng in some service areas where we can go deeper. So that will continue on.
Chandra Srikanth
On the ICE, any other details that you can share?
Salil Parekh That is what I have to share.
Chandra Srikanth
Okay. Jayesh, sorry, just one thing on the labor code. So, according to your fact sheet, Infosys has incurred `1,289 crores on account of labor codes. So, has the full impact been absorbed? Or will it sort of be staggered? How will that work?
Jayesh Sanghrajka
So, whatever is to be accrued till this quar ter end has been accrued in the books. Labor code has impact across multiple aspects, whether it is gratui ty, whether it is other aspects of wage, and that has been accrued. There will be an ongoing impact of roughly around 15 basis points. That will happen on an annual basis. That is a regular impact of the labor code as we go ahead.

 Rishi Basu
Thanks, Chandra. The next question is from Haripriya Suresh from Reuters News.
Haripriya Suresh
Good evening. A few questions. One, on the H-1B front, will you be looking at making new applications? Or is it primarily just hiring in t he U.S. and the employees that you have already? In Retail, is there specific softness because of how Am erica is right now? And when do you sort of see that recovery? And third is, Salil, your term for a CEO ends in March 2027. That is the five-year term. What is succession plan? Has that started? A nd what is that looking like? Thank you.
Salil Parekh On the first one, on H-1 and what the recruiting is. So, our approach is very clear. We have, as we have shared in the past, majority of our employees in the U.S. who are not requiring any visa, we are continuing with our depl oyments and our delivery using a mix of what we have work in the U.S. and work in India. So, no changes to that approach. At this stage, we are continuing with our process because there is an existing set. We will examine it as it comes up in the future.
On Retail, what we are seeing is there are some places where we see positives, there are some places where we see different client situations, which are under some cost containment for that subvertical within that. So, we are waiting and we ar e pushing to make sure that the Retail pipeline, which is growing, becomes converted into what we drive into the Retail growth.
On my own situation, no comment.
Haripriya Suresh Like overall as a company.
Salil Parekh Yes. No comment from my side. Rishi Basu
Thank you, Haripriya. The next question is from Avik Das from The Business Standard.
Avik Das

External Document © 2026 Infosys Limited 10 Thank you. Quick questions. One, a little bit mo re on the BFSI commentary because what we
understand that Financial services, BFSI, overal l has been improving in the North American geography. So which sectors or which sub-segments within that sector is actual ly growing, if you can just throw some more light, Salil?
And North America seems to have de-grown in a constant currency basis. Any reason? Was it a client specific? Or was it any sector specific? May be Retail that pulled it down, if you can just throw some more light?
And Jayesh, there seems to be that idea that new large deals will be smaller or maybe far and few to come by as more AI-led deals sort of take the center stage. Keeping that in consideration, how do you think the margins are going to play out across the industry and for you in specific in the long run? Thank you.
Salil Parekh
So, I will start off on Financial services, we see a good traction across most of the subverticals we have with

in Financial services, we are seeing good traction with retail banks. We are seeing good traction with what are considered mid-market banks. We are seeing good traction on payments. We are seeing good traction in the mortgage area. So over all, pretty strong. Some are stronger, some are less strong. But overall, we see a good demand environment. There is good adoption of AI across the spectrum with our large financial services clients. We recently announced, for example, a
partnership with Cognition, which is very strong, and we are working with them jointly in some of the financial services companies.
On North America, nothing very specific. It is a mix of different industrie s and different plays. The overall situation on Energy, Utilities, on Financial services remains strong, on some of our other verticals remains something that is coming back over time, but not yet.
Avik Das
On the third on the margin?
Jayesh Sanghrajka Yes. On the large deals, if you look at the deals that we have signed, we have signed $4.8 bn this quarter if you look at it even on a nine-month basis, co mpared to the last year, our deals, large deal signings have gone up. So, while there is always a productivity ask that goes up because of AI, etc., there is also a lot of deals that are getting structur ed because of cost optimization, cost takeout, etc., from the client side. So, a lot is getting bundled when you look at it.

External Document © 2026 Infosys Limited 11 And on the margin side, large deals always have sl ightly lower margin than the company average.
But as a portfolio, you always make up on a margin because the new work that comes up, comes up at a better margin, etc., so that is a trend that we have seen. We have not seen a change in the
trend from that perspective.
Rishi Basu
Thank you, Avik. The next question is fr om Sanjana from The Hindu BusinessLine.
Sanjana B.
Hi. Good evening, gentlemen. So Manufacturing and Europe they have grown si gnificantly for Infosys this quarter. Both of these were previously seei ng some softness. So can you expand on what were some factors contributing to this growth? And also, I think the tech budgets for the calendar year 2026 are expected to be rolled out soon. Based on c lient conversations, what are you hearing? Is there any sign of uptick in discretionary spending?
And also, the guidance was raised upwards despite s easonalities and uncertainties. Any reasons for this? And the last question, regardi ng the collaboration with Cognition, which is an AI startup, what were the gaps in your AI portfolio that you were looking to bridge with this particular collaboration? How is this contributing to your whole AI momentum? Thank you.
Salil Parekh
So starting on Manufacturing and Europe. Firstly, I think Europe has been in a good position for us for many quarters. And actually, even Manufacturing has had a strong activity across the board, we have seen good traction. There are pieces within t he Manufacturing client base, which are benefiting massively from the AI growth. For example, we work with companies that provide power solutions. We work with companies that provide manufactu ring into those solutions that provide engine capacity, that provide generating capacity. So there is a lot of those pieces which are doing well, those client industry components, which are doing we ll and where our team is really active on that. We have also got some good traction within Manufacturing on the engineering part of the work, engineering services part of the work.
Rishi Basu Guided tech budgets for 2026. Discretionary spend.

Salil Parekh

External Document © 2026 Infosys Limited On the discretionary spend overall. So first, on Financial services, we are definitely seeing that what
we shared earlier. We are seeing a good set of deals which have happened, and then we see that with the AI traction we have in that industry, the next financ

ial year, we will have better outcomes
than this financial year on that, and Financi al services, is going well this year.
Similarly, on Energy and Utilities, we are seei ng a good set of deals that have come together across the whole industry vertical, and that is helping us with that momentum. So, those are the ones we are seeing.
On the others, we are not seeing any deterioration, so which is one sign. And we see overall, the macro environment seems to be wher e people are expecting maybe some interest rate cuts. So we will see if that happens, especially in the U.S. A nd then some of the other expansions we are doing, for example, we have a program where we are worki ng with some of our smaller sets of clients, and those are growing pretty well. So overall, we feel that as we look out into the next year, these are things that support our growth.
Then on AI itself, we are seeing what I shared ear lier in these six areas, where we see a potential good growth over the next several years, not just in the next year, and as we start to execute on that, that will help us.
Rishi Basu Cognition.
Salil Parekh
On Cognition, so it is not so much a gap. So wh at the Cognition people are doi ng is they have built an agent which is working to do software developmen t. And we are working with our clients as a partner with them, where we are building agent capac ity, and we are enabling those agents to work in a client environment.
So, the advantage is that we have a detailed underst anding of how the client technology landscape is set up and we have a good understanding of what are the industry constr aints or opportunities are. And that, combined with the software a gent with Cognition, becomes a very powerful combination in many clients. So, that is something that will expand quite nicely.
Rishi Basu
Thank you. The next question is fr om Jas Bardia from The Mint.
Jas Bardia

External Document © 2026 Infosys Limited Good evening, sir. Just two-pronged questions. In what segments and for what clients will you all be
using these AI software engineers? A nd how will this impact delivery? How will this impact billing? And more importantly, how will it impact future hiring? That is FY-'27 onwards, considering you are using a lot of these AI software engineers to work in client projects actively.
Salil Parekh
So, what we see there first, where will it be used? My sense is as I have interacted with our clients and with some of these partner companies, the usage is going to be across essentially every industry, every client over time. So, it is a function of what is the client lands cape and what it is that they want to achieve.
My sense is there are, for exampl e, in those six that I described ear lier, there are places where the economics have changed completely from a client perspective. If you take legacy modernization, here, if you use software agents, plus our experti se, plus our knowledge, the whole economics from a client perspective becomes much better, and that allows a lot of these projects, which were not happening before to start happening.
So, it is not the case of something which was being done, which is now being done differently, that will also happen. But this is more a case of something which was not being done, which will now start to happen. So in that light, we will continue to hire. As Jayesh mentioned earlier, we will announce as we do in April, our plan for next year, we are going to hire on campus. We know that. And this year till today, we have done 18,000. We will do 20,000 campus hires and we will continue in that sort of a range for next year because these are new areas of demand. A nd so it is incremental to what we are doing. And we will have our people working and these software agents, which makes the overall economics for the client much better.
Jas Bardia
The billing? Salil Parekh
The value that we create will driv e the billing. So, lo

t of these things will be based on the traditional
ways, as Jayesh was saying on billing. And a lot over time, will change as the AI market itself develops. So today, there is not any immediat e change. But over time, we will see that.

Rishi Basu

Thank you, Jas. The next question is from Poulomi Chatterjee from The Financial Express.

 Poulomi Chatterjee

Good evening. So, I wanted to ask, recently, we have seen across Indian IT, there has been a slew of like AI-related acquisitions. So, what is your approach with regard s to that? And also IT companies are now competitively hi ring specialized AI talent among fresher s who are getting paid significantly more. So, what does the talent pool look like? And what are you looking at when you are hiring these set of people?

Salil Parekh

So, in terms of acquisitions, in the landscape, ther e are not so many AI se rvices companies today that we see. What we do see are companies where we are partnering, which are really AI, whether they build agents or models or foundational tool s, which exists, and those are the ones we are partnering with. We will look in an acquisition approach to AI as they start to appear as larger AI services companies. And we have some that we are looking at, which is part of our overall acquisition, meaning there are other th ings in the acquisition as well.

In terms of the compensation, I think Infosys has always been a leader in making sure that we put new constructs in regard to our employees and t he new people we recruit. What we have now done with the most recent approach and launch is put together an approach for very good software engineers who will work in AI and who will have t hat level of expertise to be specialized engineers within our structure and with different and higher or much higher compensation levels.

So, in the AI world, there will be different types of people working jointly with AI agents with different levels of training. And we want to make sure that we remain in the leading position in that recruitment environment. And with that, what we have launch ed for specialized engineers, that is the approach we have put in place.

Rishi Basu

Thank you, Poulomi. The next question is from Uma Kannan from Deccan Herald.

Uma Kannan

Good evening, gentlemen. So last year, you announced AI-first GCC model. So, I want to understand how it is shaping up? And a follow-up question on partnership. This month alone, you have announced a couple of partnerships. Going forward, will there be more AI-native collaboration?

 And one more question. Some of your peers have m ade it mandatory to stay at the office for six
hours. So, do you have any plans when it comes to offi ce hours' requirement or will you continue the present hybrid flexible model? Thank you.

Salil Parekh So, on the GCC, we have, as you mentioned, launched the AI-specific approach. We have a lot of client activity in that. We have some clients we are already working on that. There are several others which are in the pipeline for large AI-specific ca pability building in GCC. So beyond regular GCC work that we are doing, and that is going pretty well at this stage.

In terms of partnerships, we wi ll have a number of different part nerships because there are several companies, smaller companies, but with great c apability on AI on the fo undation model, on coding, on agent development, on customer service. So, we will continue with that because those are the areas which our clients are most interested in, and we will continue. We are already working with those companies, but we will have these sort of st rategic announcements as well. And the third one?

Rishi Basu

Work from home.

Salil Parekh

Work from home. No, we are not making any change to our approach. We will remain flexible in the way we are today and the way that our employees are
interacting with the company and with our
clients.

Rishi Basu Thank you, Uma. The next question is from Padmini Dhruvaraj from The New Indian Express.

Padmini Dhruvaraj Hi. Good evening. Sorry if these questions have bee n already asked. So one is, going forward, do you see labor code having an impact on profit ma rgins? And do you see this having an impact on your appraisals going forward? And the U.S. government plans to cap the credit card limit, interest limit at 10%. So do you see this also having an impact?

Salil Parekh

 So let me start with the second one, Labor code, Jayesh mentioned, I can also mention on the appraisal. On the U.S. credit card, what you ment ioned, that is something that the U.S. banking system will look at and how they have to implement it. What we do with our clients, with the large banks is help them as they have to go through diff erent regulatory changes. And if that requires our help and support, we will continue to do that. On the margin impact, Jayesh mentioned the number and on the appraisals, there will be no change in our appraisal approach.

Jayesh Sanghrajka

Yes. So on the labor code, whatever is the impact till December end is alre ady taken in our financial statement. That is a one-time impact because the regulation has changed, and there is an impact for the number of years that empl oyees would have served for us, etc. So that impact has already been taken in the financial statement s. There will also be an ongoing impact because of the wage code that has changed, and that will be taken as and when we go through that. That is approximately 15 basis points on an annual basis.

Rishi Basu

Thank you, Padmini. Thank you. With that, we come to the end of this press conference. We thank our friends from media. Thank y ou, Salil, and thank you, Jayesh.

Before we conclude, please note that the archived w ebcast of this press conference will be available on the Infosys website and on our YouTube channel later today. Thank you very much, and please join us for high tea outside.

Infosys Limited

Q3 FY'26 Earnings Conference Call

January 14, 2026

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Moderator
Ladies and gentlemen, good day, and welcome to Info sys Limited Q3 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep M ahindroo. Thank you, and over to you, Mr. Mahindroo.
Sandeep Mahindroo
Hello everyone, and welcome to Infosys earnings call for Q3 FY'26. Let me start by wishing all of you a very Happy New Year. Joining us on this call is CEO and MD, Mr. Salil Parekh, CFO, Mr. Jayesh Sanghrajka, along with other members of the leadersh ip team. We will start the call with some remarks on the performance of the company, s ubsequent to which the call will be opened up for questions.
Please note that anything we say

that refers to our future outlook is a forward-looking statement that
must be read in conjunction with the risks that the company faces. A complete statement and explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov.
I would now like to pass on the call to Salil.
Salil Parekh
Thanks, Sandeep. Good evening and good morning to everyone on the call. Thank you for joining us. Warm wishes to you for the new year.
We had a strong performance in Q3. Our revenues gr ew 0.6% sequentially and 1.7% year-on-year in constant currency terms. Our large deals were at $4.8 bn with 57% net new. This was across 26 deals. Our adjusted operating margin was 21.2%. We generated free cash flow of $915 mn.
One of the most significant large deals we won was with the National Health Service in the U.K. This $1.6 bn deal expands our work in the Healthcare sector . We will help NHS leverage AI to streamline operations and improve patient care for U.K. citizens. We have deepened our Topaz AI capability

External Document © 2026 Infosys Limited 3 with an agent services suite called Topaz Fabric. This suite helps our clients manage and implement
AI agents across the enterprise.
We are expanding our strategic partnerships wi th AI companies. We recently announced a partnership with Cognition. Here, we will comb ine Cognition's Devin software agent with Infosys' knowledge of the client landscape a nd industry expertise. We are alr eady working with them across clients.
Industry analysts recognize Infosys for its leadership in AI. In financial year 2026, we were recognized as a leader across 12 ratings. We had stro ng momentum in AI adoption across our client base. Today, we work with 90% of our 200 largest clients to unlock value with AI. We are currently working on 4,600 AI projects. Our teams have generat ed over 28 mn lines of code using AI. We have built over 500 agents. We are scaling our forward deployed engineer team.
Our clients are turning to us as trusted partners to drive value realization from AI investments. Some of the areas they focus on are fragmented dat a, legacy application landscape and business workflows that are not conducive for AI. We bring together a deep understanding of clients' technology landscape, strong data engineering and pr ocess reimagination capabilities to help them capture value at scale from AI.
We aspire to make AI work for clients delivering business outcomes for cost, revenue growth and innovation. We are witnessing six AI-led value pool s emerging that could unlock a large incremental opportunity for us. We also see productivity-l ed benefits that compress some legacy areas.
The six value pools of opportunity in AI services we see are,
- AI engineering services,

- Data for AI,
- Agents for operations,
- AI software development and legacy modernization, - AI and physical devices and - AI trust and risk services

We believe we are uniquely positioned to capture market share across these value pools and emerge as the leading AI value creator for global enterp rises. We will share a comprehensive view on our approach at an Investor Day later this quarter.

In Financial services, we see good traction in la rge deals and discretionary pr ojects. In Financial services and in Energy, Utilities, Resources and Services verticals, we expect acceleration in

 financial year 2027 over financial year 2026. This is based on good deal wins and AI preferred partner status with 15 of our largest 25 clients in each of these verticals.

With the strong performance in this quarter, we have revised our revenue guidance for the financial year. The new revenue growth guidance for this financi al year is 3% to 3.5% growth in constant currency. Our operating margin guidance for the financ ial year remains the same at 20% to 22%.

With that, let me hand it over to Jayesh for h

is update.

Jayesh Sanghrajka

Thank you, Salil. Good morning, good evening, ever yone, and thank you for joining the call today.

First of all, a very Happy New Year to all of you.

Coming to the quarter, our Q3 performance demonstr ates continued momentum we saw in the last two quarters, underscoring re silience of our business model, relevance of our offerings and our disciplined execution.

We had another quarter of growth, despite seasonal weakness and reduction in third party costs.

The results for Q3 FY'26 include a charge associated with change in labor codes in India, which had an impact on operating profit, net profit, EPS and free cash flow for the quarter. Reference to the adjusted numbers exclude t he impact from the same.

Revenue for Q3 was $5.1 bn, up 0.6% sequentially and 1. 7% year-on-year basis in constant currency terms. Operating margins including the impact of change in labor codes stands at 18.4%, adjusting for the same, it is at 21.2%.

Key highlights of the quarter are as follows: 1. We achieved strong revenue growth despite seas onality and lower third-party costs. Third-party as a percentage of revenue reduced by 0.3% sequentially and approximately 2.4% on a year-on-year basis.

2. With three strong quarters of performance, our revenue growth in 9 months stood at 2.8%, which is at the higher end of our earlier guided range. Th is is despite the lower third party, which has reduced by approximately 1% compared to the same period last year and now stands at 7.3%.

3. Momentum in Financial Services continues with 3.9% year-on-y ear growth in constant currency terms.

4. Among geos, Europe continued to lead the growth by 7.2% year-on-year in constant currency terms.

5. Volumes continue to remain soft for the quarter and the year.

 6. On a 9-month basis, RPP increased, reflec ting continued momentum of value-based selling and productivity increases that we have achieved.

7. Adjusted operating margins increased by 20 basis points sequentially to 21.2%.

8. We continue our investments in sales and mark eting, which has increas ed by double digits this year to date and impacting margin s by approximately 50 basis points

9. Utilization, excluding trainees was down by 1% sequentially at 84.1% and including trainees, was down by 2.2% to 80% as we continue to cr eate capacity for future growth opportunities.

10. Our adjusted margins for 9 months are at 21% at midpoint of guidance after absorbing accelerated investment in sales and market ing as well as lower utilization.

11. On-site mix further reduced by 10 basis points in Q3 and by 70 basis points in 9 months FY'26.

12. Investment in talent continues. Net headc ount increased by 5,000 to 337,000 employees. LTM attrition declined by 2% sequentially and 1.4% on a year-on-year basis, reflecting both market conditions and our focus on employee retention and upskilling.

13. Large deal TCV was robust at $4.8 bn in Q3 with 57% net new. Total large deal TCV for 9 months stood at $11.7 bn, exceeding the total large deal TC V of full year FY'25. Net new deal TCV for 9 months was up by 40% as compared to the same period last year. Large deal pipeline continues

to be healthy.
14. Our razor-sharp focus aided by the deployment of AI agents on our order to receivable cycle has resulted in decline of 5 days in DSO, including net unbilled to 82 days sequentially.
15. Driven by strong collections, free cash flow generation adjusted for labor codes remained robust at $965 mn, which is 113% of adjusted net profit. Ad justed free cash flow conversion for 9 months stood at 118%.
16. Adjusted EPS in rupee terms for 9 months FY'26 grew at double digits at 11.5%.
17. During the quarter, we successfully complet ed our largest ever buyback, returning INR18,000 crores to our shareholders, which will help EPS accretion. We also paid out interim dividend for FY'26 in line with

our capital allocation policy.
Adjusted operating margins for Q3 expanded by 20 basis points to 21.2% sequentially. Major components of changes are as below:
Tailwinds of
- 40 basis points from currency movement,
- 40 basis points from Maximus comprising primarily of value-based selling, critical portfolios and lean & automation,
offset by

 - 70 basis point impact from furloughs and lower working days.
The impact of higher variable pay was partly offset by one-off benefits during the quarter.
Consolidated cash and investments were at $3.9 bn at the end of the quarter after returning $3 bn to the shareholders in the form of dividend and buyback.
Yield on cash balance was at 6.19% and ROE stood at 32.8%. We signed 26 large deals during the quarter, including two mega deals. This includes 10 in Financial
services, 4 in Retail, 3 each in Life Sciences and Manufacturing, 2 each in Communication, EURS and Hi-tech. Region-wise, we signed 16 deals in Am erica, 9 in Europe and 1 in Rest of World.
Coming to verticals.
We see continued momentum in Financial services with approximately 5% gr owth in last 9 months, led by large deal wins and uptick in discretionary s pends across sub-verticals like banking, payments, mortgages, along with asset and wealth managemen t. There is elevated interest in AI-led transformation, platform moderni zation and vendor consolidation. We are seeing a shift from compliance to business growth. Significant core tran sformation across all FS sub-vertical is creating strong long-term strategic pipeline, providing good IP platform partner opportunities. We are now a preferred AI partner for top 15 out of 25 banki ng clients. Uptick in discretionary spend in aforementioned sub-verticals and deal wins in recent quarters positions us favorably for better growth in FY'27.
Manufacturing vertical is also impacted by tariff uncer tainties, which is preventing clients from committing to long-term investments. Discretionary spend is under pressure and decision-making is slow. Industrial and Aero are doing well, but Auto se ctor remains challenged. Clients are prioritizing cost discipline, consolidation and efficien cy, and we are supporting them through digital rationalizations and AI-led productivity initiatives. Overall pipeline remains healthy and focus on cost takeouts, infra consolidat ion and ERP modernization.
EURS companies are increasingly al locating budgets towards AI infrastructure, data readiness, cloud and software platforms. There is demand for setti ng up GCCs across sectors with most clients looking at SIs to complement their GCC strategy. We are a preferred AI partner for top 15 out of top 25 clients. We are seeing an increase in discre tionary demand in Utilities and Energy, which should lead to growth acceleration in FY'27. Utility sector is witnessing in crease in demand driven by massive investments in infra and AI data centers. While discretionary demand in energy sector is focused on decarbonization and low-carbon solutions, there is also focus on cost optimization and consolidation due to enterprise AI adoption.

 Retail and CPG clients continue to experience uncertain ty due to the ongoing tariff negotiations and
evolving geopolitical equations. Clients are priori tizing cost takeouts and AI-led productivity deals while discretionary spends remains soft apart from SAP, DNA, testing and AI augmented services.
We continue to leverage Topaz and our AI Next platform to deliver measurable business value with robust guardrails around privac y, governance and augmenting custom er and employee experiences.
Communication sector continues to be impacted by geopolit ical uncertainty. However, our deal wins in prior quarters are helping us driving growth acceleration yea r-on-year over last few quarters.

Telcos are prioritizing AI aut

omation and transform ation productivity increase s, while traditionally IT
remains under pressure. Clients are increasingly seeking partnerships with SIs for scaling and innovation within complex ecosystems. Focus is on outcome-based engagement models rather than traditional effort-based pricing model. Our stellar execution in a seasonally weak quarter is a clear reflection of our ability to navigate the uncertain environment effectively.
Strong year-to-date performance and robust deal wi ns have enabled us to revise our revenue guidance for FY'26 upward to 3% to 3.5%. This does not include any revenues from the joint venture with Telstra as we still await the regulatory approvals. Our oper ating margin guidance remains at 20% to 22%.
With that, we can open up for the questions.
Moderator
Thank you very much. We will now begin the quest ion-and-answer session. The first question is from the line of Ankur Rudra from JP Morgan. Please go ahead.
Ankur Rudra Hi. Thank you, and Happy New Year to you too. Good to see a nice print here. Just first couple of questions on the revenue and the demand side. You k now, the signs have been quite strong for the last couple of quarters. And momentum has been quite strong as well.
I am just curious why the outlook, the implied outlo ok for fourth quarter cannot be stronger than it is.
And secondly, I just want to confirm that your comm ent is for a growth acceleration in FY '27 for the overall business and not for a segment alone?
And are you seeing any signs of short-cycle pr ojects or discretionary spending expanding beyond financial services and energy also, especiall y when you think about FY '27? Thank you.
Salil Parekh

 So first, on what we are seeing in terms of the momentum and the deals, all of that has led to the
increase in the guidance keeping in mind the overall pi cture. So Jayesh mentioned a little bit about financial services, about energy, utilities, the overall deals.
And then if you look at some of our other sectors, we are still seeing those sectors starting to come up, but not at that level. So, keeping all of that in mind, we have increased the guidance for what we see in Q4.
On the numbers for next year – so, what we have shared today is in the two verticals, Energy, Utilities, Resources and Services, and in Financial services, we see that the growth on financial year '27 to '26 will be good. And that is because of the dea ls we have won large and other deals and the AI where we have partners with 15 of our large 25 clients.
So those two things especially are giving us that view. We are not making a comment on the overall business. We are not saying anything on the overall at this stage.
Ankur Rudra Appreciate that. Thank you so much.
Jayesh Sanghrajka
Ankur, if I can just add to what Salil was sayi ng on guidance and your question on why Q4 guidance cannot be elevated more. You should also remember that there is a lower working day / calendar day impact in this quarter, which is usually seasonal ly there. So, that is also a headwind from the guidance perspective.
Ankur Rudra Appreciate it. Just a question for you, Jayesh, as well on the margin side. Margins appear to be down 20 basis points if I adjust the gains from the property sale this time. Could you highlight if you are seeing any kind of pricing pressu re? And also, how do you see the puts and takes going forward?
Also, given a lot more disclosure on the AI side, wh ich is appreciated, I am curious if AI is a headwind or a tailwind on your margins w hen you do these 4,600 AI projects.
Jayesh Sanghrajka
Yes. So you are right, there was a benefit that we got this quarter, and I did call that out that benefit was largely offset by the higher variable pay that we also provided in the financial statements this quarter. So that is the put and take of the margin.

 On the pricing, if you look at our consistent pric ing commentary has been that our pricing is accretive.
We have seen consistently our pr icing going up on back of various fa ctors, including AI, including Project Maximus. New gen pricing is part of the Project Maximus, which in cludes how do you price these new AI projects, etc.,. So, we do not real ly see an impact or a headwind coming because of the AI projects on pricing, especially.

Ankur Rudra
Understood. Thank you and best of luck.
Moderator
Thank you. Next question is from the line of Bryan from TD Cowen. Please go ahead.
Bryan Bergin
Hi, good evening. Thank you. I wanted to ask on Nort h America. So just your comment on your view going forward here, at least in the coming quarters, y ou see it just dipped down to a contraction of minus 1% on a year-on-year basis. Was that due to any particular industries? And just how do you see that progressing here as you go through March and beyond?
Jayesh Sanghrajka
Yes so, this is what we had called out at the be ginning of the year when we provided our original guidance that looking at the deals in the pipeline, look ing at the projects that we have and the projects or large deals that were under execution.
We expected this year, the third-party cost and th erefore, the third-party revenue to be lower than the last year. It is across segments. Of course, t he impact of it by segment could vary, but the impact is across segments.
Bryan Bergin Okay understood. And then just as it relates to the commentary on budgets going forward, can you just comment on the conversations you are having with enterprises now as it relates to their calendar '26 budgets. As you think about this right now vers us this time last year, any key changes worth noting?
Salil Parekh

 I think what we see now is, first, the comment that we made earlier on Energy, Utilities vertical and
Financial services. In Financial services, we also se e discretionary work that is more prevalent. And then we see much more activity on AI. And in the AI area, what we are starting to identify as the six value pools areas where we c an drive faster growth. We are seeing traction on that.
And with some of the partnerships we have announc ed and some others that we are already working with companies on, we see good momentum. So, thos e are the two things that we are seeing. Some of the discretionary in FS, good momentum in those two Energy Utilities and Financial services. And then in AI, more activity, which is diffe rent from this time of last year.
Bryan Bergin Thank you.
Moderator Thank you. Next question is from the line of As hwin Mehta from Ambit Capital. Please go ahead.
Ashwin Mehta Yes, hi. So just one question in terms of healthcare. It seems to have done pretty well this quarter, almost $44 mn of incremental revenues, which is nearly double of our over all incremental revenues.
So, what is the driver of the healthcare growth? And secondly, was there any contribution from the NHS deal in this quarter?
Jayesh Sanghrajka Yes, Ashwin, healthcare did benefit from the cont ribution from the NHS deal that we signed.
Ashwin Mehta
And we expect residual contribution as you get into the next quarter or this is kind of scaled up?
Jayesh Sanghrajka
Ashwin, we do not provide deal by deal revenue estimates per se, right? But yes, healthcare did benefit from the NHS.
Ashwin Mehta
Fair. And the second question is in terms of w age hikes. I missed the initial comments, but any decision in terms of the wage hikes? And are they expected in 4Q?

 Jayesh Sanghrajka
So on the wage hike, whenever we decide that we have always considered multiple factors; when was the last wage hike was done, what are the market scenarios, the inflation, etc. If you look at this calendar, we have already rolled out wage hikes in two sta

ges, effective - one part was effective
January, the other one was effective April, like we always do. So, we have not decided the next cycle yet.
Ashwin Mehta
Okay. Fair enough. Thanks a lot, and all the best.
Moderator Thank you. Next question is from the line of Abhi shek Pathak from Motilal Oswal. Please go ahead.
Abhishek Pathak
Hi, team, congrats on a good quarter. So, a couple of q uestions. Firstly, do you think this is the year when clients kind of move from the AI strategy be ing good to have to something of a necessity, right,

which means that, is this a year when foundational AI work starts getting taken seriously across verticals? That is the first one.
And secondly, on the Cognition deal, being a very inte resting sort of partnership. Very curious to know how you are pricing this, how you are taking it to clients? I mean, is Devin kind of initially leading to a bit of cannibalization in revenues? A nd how are those contracts structured? And over the next 1 to 2 years, how do you expect a typica l deal with, let us say, an agent like Devin and yourself sort of structured? So those are two questions.
Salil Parekh
So, on the first one, what we are seeing is there is mo re and more interest in AI work across different industries. So, we will continue to see that going through the year. We will now watch and see because every quarter so far and especially in Q3, we have seen that interest, our pipeline, the number of projects, our penetration of our large 200 clie nts with AI work, all of that is going up, and it is across those different verticals.
There is much more activity there, which we called out in financial services, but we also see that in Telco, we see that in pharma, healthcare, we see that in Energy, Utilities. We see a little bit in Life sciences. So, it is not like only one sector. But yes, in FS, it is quite a bit more.

 On Cognition, the way that works is basically the Devin software agent and our work, we are doing
joint work in clients already today. So, what tends to happen is there are certain sets of activity. For example, we see some things on legacy moderniz ation where in the past, that was a large long commitment for clients. With this combinat ion between a software agent and Infosys and our knowledge of the client landscape and of the indu stry - things become much more addressable.
And so those newer areas, those are the six value pools that I referenced earlier. This is one of them. Those are the new areas that start to come into play . And in this particular case with Devin, that is one example. There are other s where that agent can be used in diffe rent places. And that is the type of growth we are seeing because that is new wo rk that would ordinarily not have been done at all, but now can be attempted in a combination.
Abhishek Pathak
Got it. Thanks, and all the best.
Moderator
Thank you very much. Next question is from the line of Jonathan Lee from Guggenheim Securities. Please go ahead.
Jonathan Lee
Great. Happy New Year and thanks for taking my questions. Can you speak to the level of visibility and certainty you have in your implied fiscal 4Q rev enue growth relative to the visibility you have had in prior years around this time?
Jayesh Sanghrajka Hi, Jonathan, this is Jayesh here. I mean, whenev er we have looked at the guidance, we do take into account multiple factors, the deals that we have signed, the deals that are ramping up and the usual factors affecting the quarter li ke calendar days, working days, etc. So, I think that is what has gone into guidance this time as well. What I can tell you is at the lower end we have baked in a higher amount of uncertainty. And at the higher end, we have baked in a better macro environment
Jonathan Lee
That is good color. Thank you. And a follow-up, can you help us reconcile what you are seeing around subcontractor usage in the qu

arter versus the downtick in utilization you are seeing? Is there a skill gap that you might be facing and how s hould we think about that dynamic going forward?

 Jayesh Sanghrajka
Yes, so subcon historically, you are right, is alwa ys a factor of where the skill gaps are, where the skills that you need depending on the geography, depending on the tenure of the requirement, etc.
And that is how the subcon uptick or downtick happens in the market in our scenario and that is what has happened this quarter as well. There are some of the large deals, there are some of the deals which would have started ramping up and we needed to dip into the subcontractors to fulfill those requirements, which is what is reflected in the uptick.
Jonathan Lee Appreciate that. Thank you. Moderator
Thank you very much. Next question is from t he line of Vibhor Singhal from Nuvama. Please go ahead.
Vibhor Singhal Hi, thanks for taking my question and congrats on a solid performance. Salil, my question was on two key verticals, Manufacturing and the Hi-Tech divi sion. So Manufacturing, just wanted to pick your

brains on how are you seeing the traction in this vertical, given the kind of headwinds the Auto companies are seeing globally in te rms of their EV rollouts and the competition. How are different parts of the Manufacturing vertical looking like at th is point of time and do you expect the momentum to pick up in that?

On the Hi-Tech vertical, just again I think we sa w a sharp drop in this quarter, might have been due to seasonality of furloughs, but anything that yo u are looking at? This vertical has been around $370 mn, $380 mn kind of run rate for us for quite a while now. What are you looking at in this vertical in terms of next drivers of growth and are we seei ng any momentum building up in this in the near future?

Salil Parekh

On Manufacturing, as you mentioned, there is weaknes s in automotive and in some parts of industrial across Europe. We see some strength in some el ements in Manufacturing and this is partially in U.S., partially in Europe, is supplying capability, wh ich is coming for the build-out of the data centers and so on. So, there are some of those companies which are benefiting from that.

 But, the automotive side, as you mentioned, we see that continuing to be weak. We are focused on expanding our base there. So, we are looking at t hat and have successfully worked now with multiple automotive companies. We also see that going beyond automotive in the broader manufacturing, which is supplying capabilities to the boom in AI and data center activity, not the services, is what is going to help us in Manufacturing.

On Hi-Tech, similarly, there is groups of compani es which are strong, there are groups which need more attention and we have a portfolio of those companies . Overall, there is still cost pressure in Hi-Tech and we will push. There is a lot of productivity activity that is going on there where clients are looking for productivity benefits.

And they are also looking some of them for where t hey will get their growth into. Again, some of the companies which are supplying server s, etc., we are seeing those ar e doing pretty well with the AI boom. The others are looking for where are the grow th elements that are going to come and we are supporting that work. And Hi-Tech also at this sta ge, we see some constraints in that industry.

Vibhor Singhal

But just to further on that. Do you see this vertic al maybe picking up for us, not in immediate term, but let us say, in the medium to long term, gi ven that the widespread adoption of AI should be and some of these companies should be at the forefront of that. Do you think this vertical could be a good growth driver for us ma ybe sometime down the line?

Salil Parekh

So, I think in the medium term or longer, my s ense is Hi-Tech is a good industry. We are very comfortable to be in it, as you pointed out. With differ ent ways of AI impacting it across different value pools, they will also go through those changes.

But we have to make sure that we are providing t hem the services that they are looking for and in a way that they have a lot of cost pressures today that becomes manageable in their cost structure. There is no timeline in my mind. But yes, in the medium term or beyond, Hi-Tech is a good industry for us.

Vibhor Singhal

Got it.. Just one last question for Jayesh. Jayesh, as this quarter we took this exceptional item on the labor law impact. I would assume that the entire impact that we had to take has been taken. And from next quarter, there would not be any excepti onal item anymore. And what would be the recurring impact of this new labor laws on our P&L in terms of margins?

 Jayesh Sanghrajka

Yes. So, whatever is known at th is point in time on back of the r egulation that has changed is being taken this quarter. We do not expect, unless, of course, there are changes in the regulation, we do not expect any further impact going forward as one- off. The recurring impact of this would be 15 basis points on an ongoing basis approximately.

Vibhor Singhal

Got it, got it. Great, that is it. Thank you so mu ch for taking my question and wish you all the best.

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Moderator

Thank you very much. Next question is from the line of Keith Bachman from BMO Capital. Please go ahead.

Keith Bachman
Yes. Thank you very much. Could you speak on how you anticipate revenue per employee changing over the next couple of years and the spirit of the question is driven by trying to better understand how you see Infosys in the industry. One of t he core value propositions has been managing people and growing in terms of managing agents instead of managing people?

Jayesh Sanghrajka
Yes. So, Keith, it is similar to what we have se en in any other technology wave. If you are ahead of the curve, you will see an increase in your producti vity because of the premium that you can keep with you. If you are behind the curve, then you probably will see a dip. The only measurement that would change here is the premium is measured now in terms of produc tivity. So, if you are delivering better productivity, you would be able to keep some of t hat with you, which will get reflected in better pricing.

If you are behind the curve in delivering the productivi ty, you would see a dip in pricing. So that is how you will see in a traditional environment, the only change I would say is the pricing models per se are also changing and emerging. There are newer and newer pricing models emerging, how do you price agents, how do you price the underlying platfo rm, etc. But early days to say at this point in time, how will that reflect in te rms of linearity or non-linearity.

Keith Bachman

Okay. And the second one is more micro - there's been some recent press reports about your relationship with Daimler in terms of maybe that moving away. Could you speak on anything you could comment on Daimler and/or is the Q4 guidance reflecting any attrition in contracts, large contracts?

Or should we be thinking about if we look over t he horizon into FY'27, should we be considering any major attrition from any major contracts? And that's it for me. Thank you.

Jayesh Sanghrajka
Yes. So Keith, our current contracts are valid till December end, till December '26. So, we don't really see any contracts within that expiring at this point in time. Beyond that, we don't really give a color on a client-specific or a pr oject-specific details.

Keith Bachman Okay. All right. Thank you.

Operator Thank you. Next question is from the line of G aurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria
Yes, hi. My question is on the de

al renewal cycle. Y our comment did allude to significant productivity benefit on the legacy services. So anything that you could share from what you have seen on the renewals of your larger deals, specifically using some of the AI tools? What has been the learning there? Has there been some amount of l eakage, which has been higher than usual?

Salil Parekh
So, on the large deals, we are typically seeing, w hether it's renewals or also deals which we are winning from other companies where we are beneficiaries of consolidation. Typically, across the Board, there is a large expectation from clients on AI productivity benefits.

What we have done is we have modeled in what we ar e seeing today and built a path to that because these are typically three-five year deals. But we are also not in a position where sometimes the client expectations over five y ears are very different.

So, we have what we are seeing and there we can view what that sort of a benefit is that we can provide because these ar e multiyear deals.

In fact, we are winning large deals quite a lot. If you look at the numbers in the three quarters, we have done more than the full year of the previous year. And Q3 was already $4.8 bn. We've seen some net new deals, for example, NHS.

So yes, there is that productivity. But yes, we are also benefiting from consolidation and winning things across the Board, where my sense is we are gaining on the market share side.

Gaurav Rateria
Got it. My next question on your visibility for CY ' 26, fair to say that looks better than the last year because last year, you entered into the year wher e you had a big decline in the fourth quarter because of some specific issues. A nd this year, your guidance alludes to kind of a much better fourth quarter outlook.

So your exit rate is much better than the last y ear. Does it mean that it gives you a little bit of a

tailwind when you get into the FY'27 compared to la st year when you got into FY'26? Thank you.
Salil Parekh
I think the way you have described it, you have done the maths on that one because what we can see is, our guidance for the full year, we have t he range, which gives us a good traction on Q4 with a lot of the good deals that have come and what we sa w in Q3. Then, we are seeing the discretionary coming back in Financial services. Then we are seeing Energy, Utilities and Financial services looking better in the next financial year than this fi nancial year. And then we are seeing in AI services, the six value pools where we see a good growth opportunity. So all in all, that gives us a good, let us say, good view of next year.
Gaurav Rateria
Thank you, Salil. Moderator
Thank you very much. Next question is from t he line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah
Yes. Thanks for the opportunity and congrats on a good se t of numbers. Salil, first question, are you witnessing the average size of AI-led deals going up materially on a Y-o-Y basis across sectors?

 And just a follow-up, if answer to this is being yes, one can see clients are now in a state of mind where they do not fear in terms of modernization of legacy applications. And if that is true, can it lead to a better discretionary spend on that side of the services in CY '26 versus last year?
Salil Parekh On the AI part, so there are two things. One is t here are, like, deals which are only AI. One is where AI is pervasive in every service we are offering. So, it is difficult, ther efore, to say the size of the deal. But in general, the usage of AI is much more across all our services. And the actual, only AI, if you can call it like that, deals are also going better. So that is what is happening.
I think on that modernization, if I understood, yes, we are seeing that across the Board because AI can open up that and make i

t a little bit more efficient for the client and therefore, they will have a better return on that. And then will the discretionary come after that? That one, we do not know, meaning it depends on the industry situation also for that.
Like what we see right now is in Financial services, we are seeing it. But the other industries, we will see how they play out as each on e we have given some color. That will be different for different industries is what we think.
Sandeep Shah
Okay. And just a follow-up to this. Is there a tr action in terms of number of deals below $50 mn has now started increasing and this could be a trend to continue rather than volatile trend earlier? And just two questions to Jayesh.
Is it fair to assume third-party items as their co st line, as a percentage to revenue for this year, which we guided at the start of the year, may be stable here on or may further decline beyond FY'26. And Jayesh, this INR165 crores profit on property, pl ant and equipment, will it be a headwind in the fourth quarter?
Salil Parekh
Let me start on the first piece. Typically, below that $50 mn, we are not sharing because only the large deals data we are sharing externally. The only comment we can share is, overall, our wins are looking good. And also, we are doing work with smaller accounts, which is not to comment on the overall $50 mn below deal, but on smaller account s, there we are also seeing some good growth. And then Jayesh, on the other parts?
Jayesh Sanghrajka

 Yes. So, Sandeep, this is Jayesh here. If you look at the third-party deals this year, beginning of the year, we had said we expect the third-party cost to be lower than the previous year on back of the deals that we signed in last year that were getting ramped up, the deals that we saw in the pipeline. So that is a combination that we need to look out for when we guide for that. We do not have all the details at this point in time for the next year. We will get into next year, and we will let you know on that at that point in time. So that was one. You had a second question on the INR165 crores. I did not get the exact question on that, if you could repeat.
Sandeep Shah Yes. What I meant is these kind of a line item may not reoccur every quar ter. So is it fair to assume 35, 36 bps, which has been a benefit in this quarter could be a headwind in next quarter?
Jayesh Sanghrajka Yes. So there are always some one-offs, righ t, that you get some headwinds, some tailwinds.

Sometimes, it is in revenue line item, sometimes it is a cost line item for a company of this size. So that is always there. As I talked about in my margin walk also, this was largely or more than offset by the increase in variable pay as well.
Sandeep Shah
Okay. Thanks and all the best.
. Moderator
Thank you very much. Next question is from the line of Jamie Friedman from Susquehanna International. Please go ahead.
Jamie Friedman
Hi. Good evening. I had two questions. I will just ask them upfront. Salil, it is great to see the improvement in discretionary an d financial services. I was wonderi ng if you have any comment as to whether you are seeing that or anticipating th at expand into other verticals. And you mentioned Energy and Resources.
And then my second question is, in terms of y our thinking about the journey between AI and agentification, it seems like your thinking has evol ved more towards the agentification. I imagine you

 will address this at the Analyst Day, but if you could describe how you are thinking about the
productization of your AI initiatives relative to those two dimensions. So first, AI and then agentification? Thank you very much.
Salil Parekh So, on the first, I think on Financial services, we are absolutely seeing that, which we shared. On Energy Utilities, because of the deals and the fact that we are in the

top 15 of 25 clients doing AI
work, we see clearly next financial y ear will be growth over this fi nancial year. We are looking in other places as that discretionary will start to come back. And as it does, we will absolutely share that.
We do feel that overall, from what we see on A I, what we see with possibilities on the economic growth, GDP growth and so on in the U.S. that t hose signs will give the cl ients the ability to spend on tech. But as we see it, we will share that for sure on the other industries.
On AI, so first, agents are very much in a big play today. So, we are absolutely on the forefront of that. So, what we have built within Topaz is fabric, Topaz Fabric, as we call it, is a set of purpose-built agents, which work with many different nativ e AI companies interfaces and can support a lot of different functions within clients, horizontal and vert ical. So that suite is going to be our agent suite. Then there are agents of the other companies, whic h we will integrate, implement, expand, make it work because we know the tech landscape of a cli ent, and we know the industry depth. So there, we feel quite good that we are in a better position than many people to put that.
In terms of productization, we have built four small language models. In our own product suite, in Finacle, we will be much more AI orientated. Bu t we are not at today's stage planning to do large-scale foundational model work. We are going to do small language model work. We will do other things. For example, there are a set of AI wrappers or orchestration modules that we can build, which will enable clients to switch between foundation m odels, switch between agents, do a selection of agents, so that is a different type of pr oduct platform, which is all in Topaz.
So that is the way we are thinking about it today. We may, in the future, have something more, but that is like the current view.
Moderator
Sir, the line for the participant dropped. We move to the next participant. Next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

 Dipesh Mehta
Yes. Thanks for the opportunity. Two questions. Firs t about the six areas of AI services pool, which you referred to. Can you provide some sense about the potential growth opportunities? And where, let us say, Infosys is currently and how you expect it to evolve in maybe next three to five years? Maybe if you can share some participation metric s, where we are and how you expect it to evolve?
Second question is on the CY '26 budget. If you can prov ide some early indication on how you expect it to shape up? Thank you.
Salil Parekh
So on the first one, what we are thinking is in t hat six areas, today, we are starting to do work in many of those areas. But what we want to do is in our Investor Day, go into a little bit more depth. For example, we will shar e, like in several industries, what we are doing in some of the areas. We will share like we have AI labs on campus, and we want to do a little walk through to show like

actually the work that is going on. And we will also share like the scale of what we think that opportunity is and the possible growth dynamics in tha t. So, that is our planning for that Investor Day. And the second one, what did you ask?

Dipesh Mehta

CY '26 budget.

Salil Parekh So, that we will come to it in the April time fram e, when we finish the year. We are now in the process of working on that. We will share that in that April call.

Dipesh Mehta

Okay. Thanks. Moderator Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to the management for closing comments.

Salil Parekh

Okay. Thank you, everyone for joining and for such a detailed and insightful set of questions. I just want to leave a few comments. We have had a strong quarter, good large deals, increase in our

 guidance. Our nine-month margin sits at 21%. We have actually done that after absorbing a very strong increase in our sales cost of 50 basis point s and with some lower utilization, which we are building capacity for the future. We also see a huge shift on AI, which we shared in some of the six areas plus some of the partnerships.

We start to see discretionary coming back in Financ ial services. And in Energy, Utilities and Financial services, we start to see that next year looking be tter than this year. So overall, we feel good as we go into the fourth quarter with our increase in gu idance. Thank you, everyone, and catch you at the next quarterly call.

Moderator Thank you very much. Thank you, members of the management. Ladies and gentlemen, on behalf of Infosys Limited, that concludes this confer ence. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

TO ALL STOCK EXCHANGES

BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

February 24, 2026

Dear Sir/ Madam,

Sub: Transcript of the Infosys Limited Investor AI Day 2026

In continuation to our letter dated January 23, 2026 and February 17, 2026 regarding Investor AI Day 2026, p lease find enclosed transcript of the event .

This information will also be hosted on the Company's website, at https://www.infosys.com/investors/news -events/analyst -meet/2026/india/main.html .

The audio/video recordings are also made available on the Company's website, at https://www.infosys.com/investors/news -events/analyst -meet/2026/india/main.html .

This is for your information and records.

Thanking you,

Yours sincerely,
For Infosys Limited

A.G.S. Manikantha
Company Secretary
Membership no: A21918
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Investor AI Day 2026
Februar
y 17, 2026
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Chief Delivery O fficer
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Chief M arketing O fficer

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Thank you, and great to have you all here in these tumultuous times. Today, I will talk about tech transitions. I have had the fortune or misfortune of being in this industry for more than 40 years and have seen a lot of transitions. So I thought I will talk less about that and more about why this time it is different and what are the implications of this transition.

Now safe harbor clause.

Now we have seen technology shifts for centuries, whether printing press or telegraph, but over the last 60, 70 years, we have seen a much faster change in PCs, cloud, GenAI, Agentic AI and so on. So change of technology and the speed of change has been a constant for many decades now. And each time there is a change, the way we address that change has been different.

So we went from mainframes to mini computers to PCs, client server, LAN, web computing, mobile, enterprise apps, big data. And each time, we had to think of it in different ways, how do you think of it in terms of making it globally available through Internet or how do you do enterprise IT. So, each time there was a tech transition, it had certain implications for us. And firms like Infosys had to deal with what was new. So we are used to the fact that each time there is something different.

This time, the AI transition has been much faster than earlier transitions. If you look at the number of years it took to reach 1 billion users, Internet took more than 10 years, smartphones took 5 years, AI is taking a couple of years. Now , you have to realize that the AI speed is because of the first 2 things.

Internet was already ubiquitous. Smartphones were already ubiquitous. It therefore allowed people to distribute a ChatGPT or Gemini or Claude very easily. So in some sense, the speed of AI is also because of the infrastructure of the previous era.

Now what has happened this time, is that this is a much more fundamental change to the way businesses will operate. So this is not a layer of technology. When smartphones came, we could build applications where instead of having a PC, you did it on the phone, like putting a front -end to an existing application. When cloud came, we could do a lift and shift. You could take the app from your in- prem and move it to the cloud. So you could do a lot of things to get going. But this time, it is not that. This is a fundamental change in the way we do things. Obviously, there is a technology dimension and it is all about having AI native architecture. But there is a whole business dimension to this. We cannot run business the old way, and businesses have to change, the customer journeys have to change, all those things have to change.

It is a huge challenge for talent. Talent will have to deal with a world where writing code will not be the goal. It will be actually making AI work, orchestration and those kind of things. So the jobs will change. And operating model, how do we make this at scale? How do you get a firm with hundreds of employees to change all the things and make it work? And of course, our mental models have to External Document © 2026 Infosys Limited change, because technology was always deterministic. You said A plus B equal to C. So no matter how many times you said A plus B, the answer was C. In this AI world, every time you give a prompt, you will probably get a different answer. And therefore, how do you deal with this non- deterministic world. But how do you make sure what you build has the robustness, reliability and resilience of the deterministic world. That is what the challenge is for everybody.

So this is a fundamental root and branch surgery of the way business is done, which is why this technology transition is so dramatically different from anything else that we have seen.

Now one clear learning we have is modernization of legacy systems cannot be deferred anymore. What happened over the last 60, 70 years is people would not replace the legacy system, they just added to it.

So if you go and look under the hood of a large enterprise, they will have mainframes from 1960, they will have mini computers from 1980, they will have LAN from 2000, they will have all kinds of things, and all coexisting in silos. That is over. If you really want a firm to take advantage of AI, you have to fundamentally clean this up. So this is a massive, massive cleanup job, which everybody is dealing with.

There are reasons for that. One is the financial drain. Many large companies are spending 60% to 80% of their IT spend on maintaining systems. There is no business value out of that. They want to go from 60% or 70% maintenance and 30% new systems to 30% or 40% maintenance and 60%, 70% new systems. They want to flip the way they spend money, but they cannot do that with that fundamental cleanup they need.

Moreover, many of these systems were designed in an era before you could have online attacks and so on. So security breaches, which you see every day, are just going up everywhere, and they are more state and non- state actors who are getting better at it using AI. So security is a huge problem for everyone. We have seen so many cases in the last few months.

And because the data is all in silos, you can t even innovate fast. So there are fundamental structural issues today we have. So demand side is absolutely demanding modernization. But the good news is, for the first time, because of AI, we have the tools now to do modernization fast and very quickly and at a much more economic way. So we have a huge demand, and we have the ability now to do it, and perhaps our team will talk about that.

So fundamentally, accumulated tech debt over decades must be paid. You no longer have the option

to defer this. And this is a huge, huge requirement. And obviously, it is a huge opportunity for us.
Now the other thing which is there is, as AI becomes a bigger part of the spend, the balance of
advantage is moving towards ‘build ’ rather than ‘buy’. If you see some of the concerns about what
External Document © 2026 Infosys Limited will happen to SaaS companies and all that, it is because of this, that building applications has
become so simple

that very often you may just build or you may replace something that you have,
which you bought, with something to be built. And that again actually benefits folks like us, because they are about building. And who i s going to build it for them? It is going to be us only who will build
it for them. So fundamentally, it is good for us.
And the other thing which is there is that our view is that foundational systems will increasingly
become systems of record. But the interface will be agentic, because agentic interface makes a lot of sense. Agentic interface allows people to produce something which is designed pro consumer or
pro user. And agentic interface enables you to take out the complexity and hide it behind the agent,
so the agent is simple to use. It is a very simple idea.
Now enterprises will, therefore, want to put agentic layers on top of all their applications even if they
leave the system of record the same. And that is something which will be a combination of bought out agents as well as building their own agents, because finally, the agents have to be composable
in a customer journey which is seamless, which is a mix of agents which are your own or from
somebody else. Again, that requires orchestration and work which somebody has to do. So there is
a huge amount of work required once they go towards ‘ build ’ rather than ‘buy’.
Now the other thing is, the pace of change is something which obviously we have not seen. We all
know about the trillions of dollars being spent and all that. But even the technology can change. I
mean, 2023, foundation/frontier model had 100 billion parameters. Today, it has 1 trillion parameter.
There were only 10 to 12 agent networks. There are 60 agent networks. So this is only going to go up. In the U.S. alone, there are at least 5 frontier models. In China, there are big 4 or big 5. So this is only going to go up. In India, we have seen so much action, and you will see some big
announcements this week on Indian- based sovereign models.
So I think this is something, there are certain implications of this, because if I am a businessman and
I have to choose my technology, how do I make sure I do not make the wrong choice, because
something which I invest in today may have fallen behind tomorrow. Already people are facing this reality. And therefore, how do you architect your technology, so that you can deal with this rapid change, is a very fundamental and structural need for enterprises. And again, they need help on that
from somebody who has done this in 2,000 locations and understands the pros and cons of every approach.
But the main thing is that the technology is far ahead of its deployment. Because of this race and
spending billions and some AGI and all that, the technology is moving faster than the ability of enterprises to deploy it. If you look at this chart, you can see that the model performance is going
up, but the progress in implementing is not really, because implementing this is hard stuff.
External Document © 2026 Infosys Limited Fundamentally, it is about organizational change, business change, retraining your people, thinking
about nondeterministic approaches, changing your data so it is no longer in silos. So fundamentally,
we have a situation where there is a deployment gap between the power of the technology and the
capacity of businesses to use this. So if you guys think that some better product has come, nothing
is going to happen, because the problem is here, not there. You get it. It is about how fast companies
can implement. So you have to look at that.
And we call this the deployment gap, but this is actually a concept by Professor Clayton Christensen
Harvard 25 years back. He called it technology overshoot, where technology gets ahead of the need. And in fact, he argues that that is how newcomers come, because newcomers can then launch new
products that are not as sophisticated, but good enough for customers. An

d Satya in his recent blog
talked about model overhang, which is the same idea. Fundamentally, the tech will keep getting better and better because billions are going to be poured into it, there is a massive competition, but
enterprise deployment is not going to go up. And this deployment gap is what we can help to address.
So again, it is a very important point.
Now, I think talent transformation is huge. It is not that you will not need, you will need talent, but it
will go from QA testing or development. We have all kinds of new roles, AI engineers, forward
deployment engineers, AI leads, forensic analysts, data analysts. So fundamentally, the challenge will b e how do you take your workforce and make sure that they are reskilled and ready for the new
business. And that is really the challenge that all the firms will face. So there will be roles. Now the
way you hire will change, the way you train will change, the way you deploy will change. All that is going to happen. And I think we will have sessions on that. But fundamentally, there will be a need
for people, but they will be doing different things.
Also, a lot of the talk of productivity is greenfield. Writing greenfield is not a big deal. I can take a tool
and give it to a kid and he will generate a million lines of code. But that is not the real world. The real
world is the fact that companies have trillions of dollars invested in their systems. They have technical

debt. They have data silos. They do not have documents.

Somebody was telling me the other day that there are some old systems and, on contract, they have guys as old as me, 70, 75- year-old guys, because nobody else knows what the hell is going on. And then when there is a crisis to be sorted out, they are pulled in from Phoenix or Florida or wherever they are, and they have to solve the problem, and nobody else knows how to solve. So we have that kind of situation out there, undocumented dependencies.

So taking brownfield systems and modernizing them is a hell of a lot more difficult than doing greenfield development. And a lot of us get biased, because all the guys who talk about productivity are talking about greenfield development. And therefore, getting these large enterprise organizations productivity going is very, very different from individual tasks. It is a lot more complicated.

External Document © 2026 Infosys Limited Also, AI implementation requires laser focus. The very fact that you can generate stuff means you can generate slop. In fact, five years from now, there will be more AI legacy system than any other legacy system and all kind of stuff will have been generated and we will have to clean that up also.

And you can have this fake productivity.

Let us say there are two guys and they are having a fight. One guy will draft an email, which will be one paragraph. He will give it to AI to make it into a 10- paragraph email, because he wants to impress the other guy. The other guy will take the 10- paragraph email and summarize it to one paragraph.

So both have used AI, but what have we achieved? Nothing. So how do we make sure AI is used?

And therefore, you need usage guidelines, you need quality gates, you need explainability. So how do you make sure that AI investments lead to real performance and productivity and not just some make- believe stuff. This is something which is very important.

So what still matters? First , principle thinking. One of the things when we train people is they have to learn to do this without tools, because all of us learned to do this without tools. So when we got the tools, we knew how to use those tools better. But if you start by teaching them tools and everything is a black box, then it is like the guy who never knows how to calculate because he was born with a calculator. So first principle thinking is very important, all the more important as you think about strategic transformation of large enterprises.

First principle thinking is very important.

Second, understanding enterprise context. Every company is different. Every company has a different legacy. Every company has different systems. Some of them have come from acquisition. Some have come because they have five business units, all buying their own version of technology.

All kinds of reasons. Everybody has a complex estate of systems. And context is essential to being successful at AI deployment. And each context is different. And it is the dealing with these contexts that is the hard part, which is where, again, we believe we have a way of doing that.

I will give you an example. The self -driving cars, the first DARPA challenge was 2004. The first time they rolled out was 2007 , 20 years back. Then everybody said, oh yes, by next year, we will have self-driving cars. It is 20 years later, all we have is a few cities in America where there are self -driving cars, because the context is different, every city is different, every road is different. And by the time they come to Bengaluru, it will be 2047, because dealing with Bengaluru traffic will be a different level of context. So enterprise context is so important, and that is something which cannot be done by a tool. It has to be done by capturing implicit knowledge and making it explicit.

Agnostic design. Again, what I mean here is, do not get locked into a tool, because that tool may no longer be -- it may be , bsolete in two years. So how do you design for agnostic that you can choose any system. Getting the house in order , we talked about removing technical debt. We have to make the house in order for this whole thing. And then massive change management . You are changing External Document © 2026 Infosys Limited organization, business sector, people. I mean, this is like unbelievable change management. So unless you have leaders who can do effective change, nothing is going to happen.

It is also about strong collaboration across firms. The firms have to , because all the knowledge is implicit in the heads of different people, how do you make that explicit in one customer journey.

Focus on productivity. It is not about using AI tools. It is about productivity out of those tools.

Otherwise, you will get false productivity, which leads to more complications. And then this is an engineering game. AI engineering is a whole way of doing things. And that is part of your change management and transition that you have to do. And that is a big thing.

So my view is there is no opportunity gap. If anything, the opportunity is bigger than ever before. So do not get distracted by that. You should still ask the question, what is the firm doing to take advantage of this? What is the firm doing to transform its talent for this new world? What is the firm doing to design the services and products for this new world? What are they doing to tell the customer in a way that it resonates? What are they doing to make sure that the front -end conversations with clients are done properly ? These are all the issues.

And I am sure everybody will not execute the same way. So there is an execution risk in doing that.

So it is not an opportunity risk, it is an execution risk. You get it? And therefore, the balance of assessment is how do we know that each firm has the execution plan ready to get to where they have to get? Are they able to do it well? Are they able to do it with speed? Are they able to do it with scale? Are they able to do it with new mindsets? That is really the question of the day that all of you

need to ask.
So I am hoping that today, you will hear from our team and it will give you some reassurance that we are on the right track. Thank you very much.
External Document © 2026 Infosys LimitedSalil Parekh
So good morning, and welcome. I think with that session from Nandan, I am sure you have a lot of clarity and a vision of where the industry is going, where AI is going and

what are the real issues that one needs to look at. I want to share, in the next few minutes, where we see the opportunity today in AI services and how we are planning to go after it. In fact, already how we are going after it, and give you examples of that.
So first, one of the things we have learned again and again is what we see from our clients is that our clients trust Infosys in driving and delivering AI work. And throughout the day, we want to share with you several client examples. Here are a few quotes, the first one from the CEO of a large telco, where we are doing extensive amount of AI work and how he sees the value that Infosys brings, another one from a COO, another one from a CIO. And these are the sorts of examples that drive how we have built our approach, how we are executing on the AI journey.
So today, we are doing AI work for 90% of our large 200 clients. So this is not something which is just here and there in pilots. In terms of the scale, it is across many things. It is small and large parts of large programs with large clients. What we have now done is introduced a way to look at what we are doing through an AI -first value framework. And this framework we are putting together in this Hexagon, which I will share in a few minutes in some detail what we are driving through with it.
We essentially see six large areas where there is growth opportunity for AI services. And I will go through this in a little bit. We will also have each of our different leaders, from their different perspectives, give you specific examples in each area.
First, AI strategy and engineering. This is really the area where we do a lot of strategic work. You will, in fact, see one of the client examples I shared where the CEO is engaging with us. There are several others we will share later. And you will see some videos of this as well. So we are doing a lot more AI strategy work. Infosys is a lot more engaged at that level, because AI is central in that sense to all of those conversations. But the building of agents, the orchestrating of what the platfor ms are, what the agents are, which are agents which are built by Infosys, which are agents built by clients, which are agents built by third party, and how to make all of that come together.
Second is data for AI. Data is absolutely critical. As I am sure most of you already have seen, each large enterprise is protecting its data. No one in the enterprise world, unlike in the consumer world, is sharing data broadly with the AI foundation models. Everyone is building their own data, and there is a lot of work to be done to make enterprise data ready for AI in this new era.
The third is process where a lot of business process that exists today, whether it was technology enabled or whether it was not, is being driven by agents into new worlds. One of the biggest areas External Document © 2026 Infosys Limitedwe see here, of course, is customer service and the customer service business case is driving huge change in how process is going to change with the AI world.
The next, again, you heard from Nandan, the legacy modernization piece. This is a massive, large opportunity that we are seeing. In addition to customer service, one of the largest opportunities, where we are essentially taking large legacy organizations. We will actually share a couple of examples of this, of the work we are doing at scale and bringing them away from the legacy landscape into the modern landscape.
Physical AI is something quite new where AI software is embedded into devices, and that is becoming a growth area because everything will have AI built into it.
And then AI trust, which is both about the trust and cyber, but it is also about responsible AI, which is something where Infosys is leading in making sure that things are built with a view to keep responsibility in mind in the scaling of IT systems.
So these are the six new areas that we are seeing. This is

a large opportunity set, and this is where we see a lot of the growth coming.
Now here are some examples of clients we are already working with. Throughout the day, in a little bit more depth, each of the leaders from Infosys will share one or two client examples. We will also have some videos to have the client share, from their perspective, how Infosys has supported them in this AI journey.
So what I am showing you in the Hexagon in the AI value framework is not theoretical. These are things that are actually happening on the ground with Infosys. This is what we are executing. And this for us today represents 5.5% of our revenue in Q3, and it is growing at a robust pace. And this is something which is extremely dynamic. It is something that is working extremely well with our clients.
Now, this at the high level of six big blocks is something that we have as a visual of Hexagon. But within the company, we then break it down to 30 offerings, and then those get broken down to 100 sub-offerings. And each of those are things that are being enabled with our engineers and wit h agents built on Topaz, which we will talk a little bit more about later on. And with partnerships, you saw one of the announcements this morning but we are working with each of the large AI players in

very close coordination to make our clients more successful.
And all of this is the way we are now going to our clients. So each client discussion today is focused on the Hexagon plus the 30 plus the 100. And what is it that we can now work with you as a client executive to make it real for you the AI benefit, whether it is for revenue growth, whether it is for cost optimization, whether it is for innovation. So our entire go- to-market team, all of our segment leaders,
External Document © 2026 Infosys Limitedall of our practice sales leadership are working with clients with this format to make sure that the AI becomes more and more embedded into the work that we are doing with clients.
And this is pulling back a little bit. We have always talked about Navigate Your Next. This is how we are looking at the journey. The Navigate Your Next has changed, because technology changes, and this Next is about AI. It was different in the previous Navigate Your Next, but the Navigate Your Next concept, the client relevance remains the same. Where we are coming from today, the issues that Nandan shared, where we are going in the future, what the opportunities are, and what are our strengths.
Our strength is absolutely clear - the understanding of what the client landscape is. There are some clients that we work with where we have probably as good understanding of their landscape as some of the client teams have. And this makes a huge difference in how we navigate through that , through our AI toolkit. Our domain knowledge, our engineering talent, which, with our training, I have always believed is one of the best that there is, and the platform and IP that we have built, which again, we will hig hlight a little bit later today.
Now there is a dynamic s in AI services, which all of you know and we understand. One, there is a huge opportunity. The one that I mentioned, the 6 areas with an external analysis, we understand that the opportunity is between $300 bn and $400 bn in the year getting to 2030, so over that time frame at that time in 2030. At the same time, we have several entities, have made estimates. We have our own views. The AI productivity leads to compression in IT services. However, today, we have a clear view that the opportunity is massive and large and that will become the driving force of what we will grow and drive through in the next coming years.
Now in putting all this together, we have created our own playbook, and this is essentially what we want to share with you in depth today in each segment of the day. Of course, my vision and objective is that we unlock all of the AI value for our clients, and we are

absolutely on our path to drive that. There is one set of discussions on the new services, what we are calling AI first. So with our delivery leadership, with our segment leadership, we will share with you what it means, where we are doing it, what are the examples, what are the benefits.
Then we have AI augmented services, where we are taking all of our services and making sure that AI is infused into it to become even more relevant for clients. And again, our delivery leadership will share with you some examples of where that is working and how we are doing that.
And then we have foundational components, our platform, our IP, what we built in Topaz Fabric, which we want to share with you in a little bit more detail. We have a set of agents that we have
External Document © 2026 Infosys Limitedalready built that are ready to deploy. We have things that we can drive with our clients to build their own platforms, so showcase that.
Our partnership ecosystem - this is extremely critical in this new era. And the partners are not only the partners that existed in the past. There are some new partners, both large and small, that are extremely relevant, and we already have a very strong ecosystem and a way to go to market with those partners.
Our talent and culture, which we think is critical and how we are reshaping it. We are going through a huge reskilling process. As you have seen from the announcements over the last several quarters, our approach has always been on reskilling and making sure that our team that we have builds up to the new, and we are recruiting.
We continue with our recruitment. We have recruited 20,000 college graduates this year and through March, that will be the number. And next financial year, we also have a plan to recruit 20,000 college graduates, we want to talk about the talent and culture approach we have.
And then on the brand, we have a leading brand in the market. Our brand is one of the fastest growing. And what are we doing to keep that or do even better in the brand in the AI world. That is how we are actually getting a lot more connects with the CEO client base, which is what you need to succeed in the AI world. So that is our playbook, and we will showcase that to you throughout the day.
With that, I will close, and I will pass it on to our delivery leadership team to go ahead with the rest of the presentations. We will, of course, come back at the end of the day, Jayesh and I, to discuss your questions and give you some more views on where I see things are going. Thank you for that.
External Document © 2023 Infosys Limited Satish H.C.
Let me set the context before we deep dive into our Infosys AI Playbook . Every tech shift, whether it is PCs, i nternet, cloud, digital, each one of them led to rewiring of enterprise work and workflows.
And AI is the next rewrite. Here is a typical enterprise landscape - sounds complex , this is one of the simpler ones. A typical enterprise will be far more complex because of the scale, because of the fragmentation, internal and external, the heterogeneity and the divergence of the operating model and the regulation with which it operates in, which is by design by the way, and of course, the

technology debt.
So, AI in enterprise is not just about low -hanging fruits like localized efficiency or user productivity. Integrating AI in an enterprise is not just a software upgrade or a plug -in. If it was that simple in such a huge complexity, no surprise that AI projects fail. Then what is it about ? It is about harnessing the full potential. It is about re -imagination of systems, processes and deeply embedded ways of working and rewiring legacy power structures. So, Infosys has done this enterprise rewrite with each of the past tech shifts, and we are now doing the next enterprise rewrite with AI.
So let us look at how is the enterprise tech stack changing. Typically, it consists of the systems of record,

which deliver deterministic, programmatic capabilities, which are codified, structured processes and enforce policies and this delivers governance, accountability and compliance. We have systems of intelligence which facilitate engagement, collaboration, transactions, but usually, it is the humans who engage with data and the workflows.
Above the enterprise stack , lies a vast non-deterministic or non- programmed flows , these are unique, unstructured , they need novel problem solving. It needs experience, gut feel and is usually handled by humans. This is the layer, which is under served today, and this is ripe for AI- led transformation.
So, it is a myth that enterprises need just 2 layers, which is AI and data, it is enterprise and algorithm.
How should we harness AI then? AI is not the end game of tech transformations. It is just another one, but it is a giant leap in raw capability, and it is not system complete. So, we need a multilayer transformational approach and purposeful orchestration to harness the potential of AI. This is why AI diffusion in an enterprise lacks the rate of AI adoption, and it needs time.
So how is AI transforming the enterprise stack? What does this enterprise rewrite about? The core intelligence of humans plus machines will be seamlessly shared across the layers, so that every layer gets reinforced within the enterprise stack. The systems of record need acceleration, so that the business and operational processes can become more efficient.
The systems of intelligence needs a seamless integration of structured and unstructured data, so that intelligence can be wired into user journeys , business processes, transactions and decision-
External Document © 2023 Infosys Limited making. It is estimated that 60% of effort in an AI project goes into doing this. The models will come in later a nd this requires deep industry knowledge and context of the enterprise.
Encoding intelligence and AI in the flows leads to more automation and autonomy . And t his is leading to the development of a new layer within an enterprise stack, which is what we call as the systems of cognitive work within an enterprise.
As an outcome, humans will shift from acting on data directly to a governance and oversight role on flows and decisions. All the new AI tools that keep coming at us at fast pace will get plugged into the systems of new cognitive work, and it will accelerate the re- imagination of an enterprise or its flows and decisions. Infosys will unlock tech debt and complexity and harness the power of AI to be enterprise grade and bridge the evolution adoption gap and expand our addressable market.
So how do we monetize this? Our playbook reflects the structural changes necessary in our industry, so that we drive value at the intersection of intelligence, engineering and domain. With AI, capability is a commodity, because it is available to all.
Sustainable mode for an enterprise can be created by deep integration in specialized workflows and unlocking unique organization knowledge and context. So every enterprise has got unique data processes, risks and complexity, and AI will not unlock uniformly across the enterprises because of this variance. So our client intimacy and deep understanding of our client context will help us, mitigate this and unlock value and also drive culture and change.
So we have built an engineering approach in our delivery where we can codify enterprise context, which will help accelerating scaling of AI. And this also enables enterprises to retain and protect this unique enterprise context within their four walls of the enterprise, so that they can keep their competitive differentiation, and this is not diffused into the AI models. Our depth in engineering and frameworks on IP and patents will accelerate AI readiness and adoption with our Topaz Fabric and our specializ ed talent in the form of full stack and FDEs.
For a financial services clie

nt, they were looking for an AI partner. When we started talking to them, we realized that they have a very strong enterprise AI platform that they have built. But then what we realized was they had an adoption gap, and we pulled out our agent control framework, as we call it, which would address the quality of code that is being generated, which would address the AI slop, which led to a poor adoption within their organization. So now we are working with them on taking our framework and fortifying their enterprise AI platform, so that we can accelerate that journey.
We have embarked on a talent transformation journey to build an ambidextrous workforce, which is deep in engineering and creative in reimagining work and workflows from first principles. We see new opportunities with domain stack. We have over 25 years of industry -focused experience and
External Document © 2023 Infosys Limited when core intelligence connects with agentic economy, the play of AI elevates from how work is done to new outcomes that are possible. S o we are invested in building the domain stack powered

by our depth in domain and knowledge of how to deeply integrate AI tools and plug- ins into the flow.
We have created strong differentiation in our services stack. AI is now integral to how we deliver
every service. Our services stack is powered by Topaz Fabric. We now have an approach to productize and reimagine work and workflows that will lead to a human plus agent model. We are
also seeing momentum with new deal archetypes, legacy modernization with reduced risk, higher predictability on cost and accelerated timeline, large deals with integrated ops tech and
transformation wired in, organization transformation encompassing enterprise stack and people.
This includes the AI -first DCC approach, which we have pioneered in the market. We have also
elevated our play to take end- to-end accountability from strategy to actionable roadmap to execution
and eventually outcomes. We have expertise in delivering both above the line, which is business value and below the line, which is efficiency. Infosys is best equipped to deliver enterprise AI ambition
with the power of our client intimacy and our AI playbook.
A quick example. Here is a client, a CPG, who had an ambition of clocking about growing their
revenue to $7 bn. They came to us to bridge their ambition and deliver an AI operating model, so
that we will have an actionable roadmap and execute to it with executive AI value office, along with
managing risk, governance and assurance . We use d our Infosys IP and built their unified data
foundation. We build their enterprise Agentic AI platform with the requisite guardrails. This enables
them to rapidly innovate and diffuse AI across their functions. Today, they have 10 Agentic AI
products in the business across different functions from R&D, sales, marketing.
Above the line, with the agents that we developed in R&D for product formulation, they now have
line of sight to $50 mn revenue, which they did not have before. Below the line, we have been able
to unlock $25 mn cost savings through just optimizing operational work. And then beyond this, we were also able to deliver 40% of business productivity improvement in functions like procurement and marketing. Thank you.
External Document © 2026 Infosys Limited Dinesh Rao
Thank you, Simran, and good morning, ladies and gentlemen. Thank you very much for sparing your
time here today. As we navigate the landscape changes with respect to AI, I think our priority in the
last 6 months to 1 year has been how do we accelerate our customers from experimentation to really
looking at an AI scalable at industry level.
Now AI as a technology is as good as what it can really understand from orchestration across
systems of record, which Satish alluded to, ability to really understand the complex business
processes and navigate. And most importantly, how does it even get

to understand the deep- seated
legacy systems that are there. And frankly, looking at all the complexities that we had with respect to some of the estates that we have been working as well as with the customers, we decided to
codify our entire services across 6 strategic pillars. And these 6 strategic pillars are all integrated. In a way, a customer who wants to start the journey of AI adoption has to look at each one of them .
Our intent is to take this strategic pillar to walk them through this entire journey of scaling the AI.
Now let me start with the pillar n umber 1, the AI strategy and engineering. Nandan alluded to it, so
as Salil. Organizations are extremely complex. One needs to really look at the top down, looking at how do I really create an AI blueprint, a need of really setting up an AI transformation office. What would that mean? I need to first understand which business units, which business processes that I would be able to unlock the AI value. You cannot really be spraying across the AI in multiple different
busines s units. Now that is a very key thing because that is where the value realization framework
of Infosys comes to bear to look at how do I map the process to the value that it actually arrives with.
Now the second key thing is how do I change the ways of working. Because you have so many
models, so many platforms that have come by, one needs to really put together a very technology -
centric AI platform with the models that it needs to go with, the governance that it has to happen and how do we make sure that we diffuse this particular platform across multiple layers of the
organization, so that we have one standard way of really looking at how do I scale the AI.
The third layer, obviously, is to really look at the entire governance model that you need to put
together. In a way, this AI has gone very strongly. The last one, obviously, is to really look at a purposeful selection of an AI infrastructure where you also need to continuously keep an eye on
what would happen to my AI Ops.
Very recently, we have been working with the CEO as well as the Board of Danske Bank, where we
really started working with them to looking at how do I enable this bank towards the journey of being
AI first and digital first. So we set up an AI office along with the Board, working along with the CEO to really put together a strategy all the way to engineering, augmented that with innovation labs as
well as identification of core processes like KYC, the fraud detection, credit and what not. So in a
External Document © 2026 Infosys Limited way, the journey is just not that I would start doing software development, but it needs to have a top-
down view of really setting up the strategy for an organization.
Now the second pillar, my friends, data is everything that AI needs. Today, organizations have
multiple pools of data sitting. It is just not structured data. It is, in fact, even unstructured data, multiple
modes in terms of videos, in terms of speeches and what not to an extent of about 60% to 80%. And
today, the most of the time is spent on data in all our projects. Data is one which accelerates your AI
journey or potentially could also decelerate your entire velocity of how you are going to do it.

So our framework here today is to really look at help our customers try and harness the data, transform the data, bring them all under one uniform data fabric. And it just does not sit there. At the end of the day, data also have to drive intelligence. The intelligence can be driven only by connecting the semantics and the ontology on top of it. And that is a very elaborate process one needs to go through, because the processes are different by region, by business units, and it has been all codified in syst ems of records as well as in systems of experience. And that is a humongous job.

The third layer there is to really look at how do I govern the data, because the data fingerpr

inting is extremely critical as you really look at who would get the access of data, so that in some sense, there is a framework if you really look at. So in one of the large industrial manufacturers, there was 10 petabyte of data that we had to really bring in all together, harness it as well as create the semantic ontology today, help them actually drive the supply chain optimization by over 20% to 30%.

Now the third pillar, Nandan alluded to this, this is all of reimagining the entire business processes. Most of the large enterprises today have point -to-point solution. One need to really look at in the context of domain and reimagine the entire business processes. And these processes have to be reimagined with respect to how the human intuition works along with the AI and agents. And it is extremely critical that every workflow by persona has to be reimagined and has to be codified the way AI would actually come by.

Now this also has to be contextual to the business and the regions where you really work by. You just cannot take a sourcing and a procurement process and say that it is a domain that it could be applied to every industry. It has to really be contextualized to the industry and the business that you are really looking at. And most importantly, since it is going to change and touch every one of us, it has to also be looked at how do I operationalize the entire workflow, the technology and the change managemen t, all put together to really help realize the end- to-end value.

We have been now with Toyota Motors Europe working through a supply chain transformation process, where we took our industry asset of automobile on top of it, the entire agentic playbook, really looked at by persona of a buyer, a planner or a customer service agent and really double - clicked to look at what does this transformation really mean. And just to look at one critical process External Document © 2026 Infosys Limited of drop ship, which is so critical for an automobile -- is to really bring in agent and orchestration there to really take away all the manual work and bring in much better inventory visibility.

Now the fourth pillar, obviously, is modernization and everybody has talked about it. It is the an Achilles' heel of our large organizations. Today, there is so much of tech debt sitting there. The code is obsolete. There is no written documentations. There are no availability of SMEs today. And it is not that the customers did not really try to do the legacy modernization, but the ROI and the time it took never stacked up in the past technologies. So what AI models as well as powered by our Topaz Fabric today enables is to make sure that we transition some of these large legacy, both on the data as well as on process side, into the most modern cloud- based microservices architecture. And today, it does stack up, and you would hear one of the examples very soon.

Now physical AI is something we believe is at the cusp of really accelerating the AI journey. Whatever intelligence that we all thought and built as a part of the digital workflow is finally now moving towards the actual physical objects. And this, friends, helps the acceleration of AI in a lot of the products that we really look at. Some of the key cases that we really look at is -- and in terms of data first, the new product introduction, wherein the entire process would be reimagined as well as infused w ith AI, the products have to be defined or designed with AI in the front. And with more and more products with the software bomb being larger than actually the physical and the mechanical, we have a huge play in terms of embedding the AI as we look ahead.

The second case is the intelligence today; the real -time intelligence is moving from cloud to the edge. Now this will help accelerate the decision- making at the edge, which means vehicles, the industry operations, running infrastructure, all of this would actually increase

the advancement and usage of AI. And lastly, the autonomous systems today, the prevalence in a lot of industries as well as areas is continuously keeping on increasing. Towards that, we see that we accelerated the journey of actually infusing the AI in the physical.

And here, I also want to draw your attention to the two acquisitions that we did, one InSemi, which meant the silicon design as well as validation. The other one in- tech, on the automobile, directly fits exactly into this particular pillar where it would help us bring more context as well as acceleration in terms of enabling the physical AI.

The last, ladies and gentlemen, is not the least and the most important is the trust and the governance.

If I today ask everybody here, who has used the AI? I am sure that all of you would raise your hand, but how many of you really trust the output that came by. I am not sure whether everybody would raise their hand, because there are hallucinations, there are model breaches, and there are also governance issues with respect to the new AI Act and etc, coming in. So in a way, the trust has to External Document © 2026 Infosys Limited permeate through all the other 5 layers for us to really make sure that we have the output that comes in an enterprise, which is trustworthy. To me, the trustworthy AI in every enterprise would be a huge differentiator. So we want to build the trust to our customers, and we want to monetize the trust for our customers.

Now having looked at all these 6 important strategic pillars, right, I just want to dwell on one of the cases, Nova Chemicals. They are a large petrochemical manufacturer based out of Canada and U.S., and it is very asset intensive. As you know, the industrial operations is extremely complex. If an asset goes down, they would have an impact on the top line and the bottom line. In the current context, most of what they were doing with respect to maintenance was all manual, logs and etcetera.

So we were invited to a program in smart maintenance, where we actually brought in the data acrosstheir machinery, their OEM manuals, their maintenance manual, the historical data, the log data andetcetera, to help a planner to really, with a simple NLP on a chatbot would be able to guide them onwhat part of the industrial operations have to really go through a maintenance.

And most importantly, we were also able to actually bring in orchestration with agent AI, where the OT systems and the IT systems come together. So seamlessly, we were able to really move towards actually creating the entire work order process, the planning process, which actually moves over from OT systems to the SAP or the ERP that we have. And we see the impact of bringing huge planning efficiency, asset utilization and etcetera. Of course, here, we partner with Microsoft, and we used all the stack of the entire Azure to really make it come to life.

The last case I want to really dwell is about Hertz. I am sure all of you know it is a very large mobility organization where we are today, as we speak, embarking on really modernizing their entire reservation, their fleet management, their pricing and the whole thing, which today is approximately 3 million lines of code actually sitting on a tandem computer. And I would like to here play the video, let us hear from the customer on what their experience has been and what we have done with respect to this journey.

So the important point to note is, models are there, I think workflows are there, but our context of Hertz in terms of what their processes are, how the code has been written, how the existing architecture is and what is the new modular architecture that we need to really help them migrate to is the context that this iLEAD brings to bear. And that is very critical as we really look at this entire legacy modernization.

So that, ladies and gentlemen, summarizes the six value pools that we are talking about, and thank you so much.

External Document © 2026 Infosys Limited Balakrishna D.R

So my colleagues, Dinesh and Satish, talked about AI -first services, which is new value pool that is being created out of AI. What I am going to be talking about is AI augmented services. What we mean by that is taking our traditional services and infusing AI in that, and we want to be a leader in this space as well, and I will talk about how we are doing that.

So we have taken each of our services that we actually traditionally provide, whether it is application development, testing, modernization, migration, engineering services, business operations. So 20 plus services that we actually provide, a nd we have created detailed playbooks of how we can use AI in transforming the way we deliver these services.

When we are doing this, we are partnering with the best of the technology that is out there. We are working with leading models from Anthropic, from OpenAI, from Gemini, from Amazon Nova. And in fact, we are also working with open-source models , like DeepSeek, Llama, and we have even created our own coding model in this space, perhaps the only GSI that has actually created a coding model. So we use a combination of these models that in our engagements.

So in the Hertz example that you actually saw, we, used two models. We used a Claude model that actually generates the code. And one of the things about LLMs are they are better in critiquing output than generating output. So we used an OpenAI model to critique that output, and that is how we actually improved the accuracy.

So one is the models. The second is the tools. And in the tools, we are working again with the leading tools. GitHub Copilot was the first, and it had almost 100% of the market share. 2 years back, we set up a GitHub COE that was inaugurated by the CEO of GitHub. And then we are still ranked the number 1 GSI in terms of GitHub adoption. Just a few months back, we got this award as the leading GSI for working on GitHub.

But just not GitHub, we are working with Anthropic, we are working with Gemini , we are working on , on the models from Anthropic CLI. We are working on the new age models , Devin from Cognition, also we are working with Cursor.ai that you would have recently seen. So we are working with the leading models. We are working with the leading tools.

But then, again, as my colleagues also talked about, a lot of these models do not understand the enterprise context. They do not understand the standards that are there in the enterprise. They do not know other libraries that are there, other programs that are there. So we have to do a lot to actually bring that context into the tools that we are actually using . So, we do that by creating MCP registries. We create a knowledge graph of the enterprise context and we combine that. In the recent release that we just did with Anthropic, you hear Dario talking about that. They need Infosys to bring the enterprise context onto the models, and that is what we actually do.

External Document © 2026 Infosys Limited In addition to that, we have actually created agents specifically for each kind of services. So in application development, we have taken the life cycle and said we need agents for requirements, design, architecture, etc. And we have created 100 such agents that we are using in each of our services. In addition to that, we have to create other tools . You saw in the Hertz example, the LLM models cannot digest huge pieces of code at one time. Some of these enterprises that we work with have millions of lines of code. If you give that to the LLM, they start to hallucinate. So , you have to shrink the code, you have to create graphs, call graphs on how these are actually associated, and that is when you get better output from LLM. So we have created all of these assets that are part of our Topaz Fabric, which my colleague, Rafee will actually talk about in more detail in the next section

.

In spite of doing all this, we need talent . And sometimes people ask me, if LLMs are generating code, why do you need people? Why do you need developers anymore? And I think they asked the same question to Boris Charney from Anthropic, because Anthropic is continuing to hire developers. So somebody on X asked him, if Claude code can actually generate code, why are you still hiring software developers? And his response was that engineering is changing, but great engineers are a requirement still and in fact, the most important requirement going ahead. And that is something that we also actually believe.

The way that we actually deliver code or the way we support applications may change, but still you need great talent. And so what we are doing is to take each of our developers and training them on AI. So we have 90% of our developers that have been trained on AI. It will never become 100% since we are always hiring new people into the stream. But our intent is to actually have everybody be able to use AI in their daily work.

In addition, we need specialized roles, like forward deployment engineers that will create the platforms that the teams will actually use. And then we have created COEs for each of the partnerships that we have. So it is a combination of all of these that actually helps us deliver our AI - induced serv ices.

It is the blueprint , it is the technology, our own technology plus the leading technology that is out there and the people that we actually create. The way we are going to market is also, as you saw in the Hertz example, is not about PPTs anymore, it is about actual demos, and that is what we see creates the impact, and that is how we actually go to market in all of our large deals.

I will talk about a couple of examples of how we are using it in actual programs that we are executing. What better example than Microsoft, who is in the leading edge of this kind of technology adoption, creating the technologies and also adopting this technology. So in Microsoft, we have a 360 -degrees partnership. What we mean by that is that we go to mark et with Microsoft, w e are one of the big customers of Microsoft , Microsoft is our customer. We provided services to Microsoft and we do multiple engagements with them, but I will give you a couple of examples of what we are doing.

External Document © 2026 Infosys Limited Microsoft themselves are going through a big transformation. F rom enterprise agreements, they are going to what they call MCAs, Master Customer Agreements. What this means is that through the master customer agreement, they want to eliminate all the paperwork that they had to deal with in the enterprise agreement. They also are talking about evergreening the licenses. So enterprise agreements had only 2 years' timeframe. This is perpetual agreement that you can use for multiple years. Enterprise agreements had a minimum seat count of 250. This actually has no minimum seat count. In addition, in MCAs, you are able to monitor your usage, adapt your usage, you are billed based on your usage, you get a very flexible billing. So multiple advantages for the customers of Microsoft by using this agreement.

And also for Microsoft itself, because you are not having papers and documents anymore, it eliminates and accelerates the way they go to market and also the operations that they have , On this engagement, they had to build the IT system to manage all of this. So Infosys is actually working with them to build that. We used all the technologies that I actually talked about, and we are getting 2x developer velocity and 35% improvement in th e time to market.

The other engagement that we are working with Microsoft is on their Intelligent Cloud. So, as you know, this includes Azure and Microsoft Office. They carry a lot of mission- critical systems of Microsoft customers on these clouds . And it is important for Microsoft that for these mission- critical app

lications that there is no downtime and then it is actually trustworthy . So, Infosys is again providing support for Microsoft on this. And the way that we have used AI , is that AI agents today monitor the logs and predict issues before they actually happen. And they give all of this intelligence, which we call triaging, and then we route it to a specific support engineer with the information, so that they can actually work on it before the issue actually happens. So this is for both reactive and proactive issues. And so you can see that we get 40% improvement in the incident response and 10x improvement in the RCA turnaround.

So there are several such examples . The other example that I have here is Danske. Danske has a Forward '28 Strategy where they are looking at modernizing their entire landscape. They want to

bring process efficiency and they want to completely create it as a digital bank. So you must have seen the press release where they have chosen Infosys for this transformation, and we are helping them on the AI strategy and transformation as well. And we are doing everything from AI strategy to implementation. We have set up an innovation lab for them, and we are creating multiple AI solution work streams.
So we are using Agentic AI in the code development, more than 2 m illion lines of code that we have generated. But then again, these lines of code that we generate has to be validated, and that is what our engineers have been trained to actually do. And 97% of the engineers are using that. In addition, we have created multiple AI solutions. They wanted to use ChatGPT, but they wanted the guardrails.
External Document © 2026 Infosys Limited So we created enterprise ChatGPT, which has over 16,000 users. They created other solutions on risk and HR, which have been quite successful.
External Document © 2026 Infosys LimitedMohammed Rafee Tarafdar
Over the next 10 minutes, I will cover how we are going to power AI -first services and AI augmented services using our IP and platforms. Now earlier during the day, we heard about the complexity with enterprise landscapes. And when I think about enterprise landscapes, I think about city maps. Every city is different. The map for each of these cities are very different.
Now if I bring any AI model, any tool any platform, the only way to accelerate is by creating runways within an enterprise that can help us accelerate AI adoption from pilots to hundreds of projects, and that is where Infosys Topaz comes in. And we do it in 5 different ways.
First, we have created a rapid experimentation and innovation infrastructure where our teams working with our clients evaluate the latest developments that are happening in the AI space. They look at all the noise that is happening and identify tech that is relevant. They then build proof of values that are very relevant for their business and then they demonstrate the art of possible in a veryrapid manner. And today, there are about 39 such innovation labs that we are running with our clients across the gl obe.
Second, we take a very value- centric approach in how we look at the end- to-end process, because over the last few years, we have realized that use cases cannot deliver significant value. And this is where we are bringing the 25- plus industry blueprints we have in order , to come with already reimagined business and IT workflows that we can use with our clients to accelerate. So today, when our consulting teams, what they do is they sit with our clients, they understand the problems.
Then they use the product discovery and vibing tool from our Topaz fabric to very quickly identify good solutions, build a prototype, and then using exponential engineering, they actually create a production scale application by end of the day. And then us ing this, they are able to demonstrate how we can reimagine the complete workflow.
The third, Nandan talked about creating an architecture that i

s very evolvable. Now what we have done is, the way we have designed our IP and platforms is to make sure that we give optionality to our clients. They can pick any model they want. They can pick any agent framework they want. They can run on any AI platform. They can run on any AI cloud, and we can integrate with any AI -native tool that they have partnered with. And today, in most of our production deployments, we have a number of varieties that today we are already supporting.
The fourth runway is to build that enterprise context. Now here, we are doing 2 things. One, based on the work that we are already doing with most of our clients, we have built an enterprise context. Think of it like a map. Whenever I want to navigate in a city, you need a map which tells you how to go faster. So we have built this enterprise context or map that tells me how the systems work, what
External Document © 2026 Infosys Limited the infrastructure looks like, where the apps are running, where the data resides, and how they all connect.
And on top of it, we are building an industry context. The industry context tells us what happens within a retail, within a bank, within a CPG context. And these are the models that we are bringing out of the box through a graph technology, and we are building these enterprise twins. And this is what will enable us to accelerate. Eventually, in most enterprises, to drive projects at scale, they need multispeed IT governance projects, so that they can onboard these AI tools at speed. They need to put these guardrails, and that is why we are building a lot of tooling that enables them to deliver these AI solutions in a very trusted manner. And all of this comes through Infosys Topaz.
Now in the IP and platforms that we have been building at Infosys, we have always kept our customer needs in mind. So if a customer comes and says, look I want an end-to -end vertically integrated AI and agentic platform, then we use AI Next as a platform to accelerate value. Or if the customer says, look, I have already made some investments, I want a composable modular agentic and AI platform which can help accelerate my own AI journey at speed, then we essentially bring the Infosys Topaz Fabric. So with the combination of these, we are able to meet most of the demands of what our enterprise customers have.
Now let me talk about Topaz Fabric itself because over the last few months, we are starting to integrate all the different IP that we have at Infosys , into one common way through which we can deliver our services. Topaz Fabric enables 5 key capabilities. The first is this builds on our customers' existing investments. So this is not about replacing what they have. So this works above their model layer, above their platforms, and above their enterprise systems. And Fabric can integrate with any

model, any framework, anything that they have. So that is the abstraction that we have already built
within this.
Second, it provides close to 600 agents, which have been purpose -built for different AI -first services,
AI augmented services and also for industry -specific flows. So this is something that we bring out of
the box to accelerate the journey for our customers. Third, what we have also done is, we said we will create out -of-box integration. So we have out -of-box integration with most of the coding tools , .
We have out -of-box integration with different models. We have out -of-box integration, with business
platforms like SAP, Oracle, Salesforce. We have out -of-box integration, with data platforms like
Snowflake and Databricks and with enterprise platforms with ServiceNow.
Now what this enables is it enables us to deliver value to our customers quickly. Now in all of these,
it is also about bringing the enterprise context and hybrid intelligence. So the way we are doing is we are starting to build a number of different ontologies and models that comes pre- packaged as
part of ou

r Topaz Fabric, and that is something that we bring out of the box. And as we deploy it, we
External Document © 2026 Infosys Limited learn from the data, we learn from the processes. And this is how we create a closed feedback loop
where the context keeps improving as it gets used over a period of time.
Now lot of our clients also want to use a lot more predictability in the way AI is deployed. This is
where we bring a lot of deterministic rules, couple it with AI models, and we also bring our own small
language models in order to create a right value proposition from cost as well as from a time- to-
market standpoint. Now all of these is backed by a lot of deep research and patents that we have
filed over the years.
Now while we are doing a lot of innovation internally inside within Infosys, we also acknowledge that
there is a lot of innovation happening outside. So we are working with AI native partners in 3 different ways. One, if they have a platform that is really good at doing something, then we are leveraging it
for the tasks that are relevant to enterprise. For example, Nandan talked about brownfield. So our Cognition partnership is largely to use Devin for a lot of brownfield engineering, because we find that, that is really good at it.
Second, we are building embedded agents that can work within our partner tooling. So today, we
have built agents in Fabric that can run within Claude Code, that can run within GitHub Copilot, that can run within ServiceNow. So whichever platform the client has, these agents work within that
environment.
And third, we have integrated with their tooling, so that we can cover the end- to-end value chain that
is required to accelerate the journey. The next is also we are focused on where the industry is
heading on AI, and this is where we are working with universities to do joint research. We do today on agentic technology, on also scaling, and on trust with Cambridge, with Columbia and Cornell. And we are also doing this a lot more with the research centers that we have set within Infosys. This is to make sure that we continue to build on what will come next.
Now let me bring all of this to life with an example where for one of our logistics client, they were
finding that the customers were able to process the orders and bookings in a lot more accelerated manner, and this was creating an issue for them. And they said, we want to be able to process these customer ca re services in a much more accelerated manner. This is where we took AI Next as a
platform, because they had already tried with multiple platforms and they did not work. And we said,
we will use AI Next first to uncover the existing knowledge, because they had rules that are very
specific to each customer. So we pulled out close to about 8,000 different rules that exist there.
The second innovation that we brought here is that we automated the entire workflow. So when we
started, the extent of automation was about 0% to 10%. We took them to about 70% automation in their entire workflow. What this meant is the turnaround time reduced from 24 hours to about 30
minutes. The next is , they also were very concerned with the sovereignty of the stack. So what we
External Document © 2026 Infosys Limited did in this case is we used the Mistral and Pixtral models to make sure that it addresses the
sovereignty needs that they had. And this today supports orders or bookings from 116 different countries, and it supports 15 different languages. That is the power of what this could do.
And eventually, as we started scaling, cost became an important driver. So we had to bring in a lot
of optimizations to reduce the cost significantly for that customer. And this is something that we did over the last 1 year, and today, this is live. Now you can see a lot of these IP platforms as you come to our living labs, and I encourage all of you to please spend some time and experience these technologies that we are

talking about. Thank you very much.
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nand Swaminathan
So let me share a few things in the next 10 minutes, particularly around what is driving AI demand in
the communications, media and the tech business. And what is the value that we are seeing when
we work with our clients on AI. And I will also give you one concrete example where we have
delivered AI at scale. AI is no more an experimentation with many of the telecom, media and the
tech companies. They are looking at making AI a core operating model on which they want to drive customer experience, engineering and network resilience, as well as operational efficiency.
So the communications, media and the tech business spans across the semiconductor companies,

the OEM platforms, to the hyperscalers and the media and entertainment companies. There are 6 defining themes that are driving the demand for AI. First is if you look at the telecom companies, they
are facing a huge growth challenge. There are only so many consumers to buy mobiles and each consumer can only buy so many mobiles. Then if you look at the B2B business, which has
traditionally been a challenge for the telecom companies, it is not growing at a good rate for them.
So with the B2B and B2C growth issues, AI is giving them a breather.
Now companies are reimagining their customer journeys using AI. And on the B2B, they are
rethinking how should they go to market. In one particular case, we have done a joint venture with
an Australian company called Telstra, where we own the majority stake and we will jointly be
responsible for taking the B2B non- connectivity solutions to the Australian market. And we are
engaged with a variety of our telco clients doing a lot of B2B and B2C work. Sovereign and sovereign
cloud is a big opportunity for the telecom companies.
Now outside of U.S., every country is really looking at telecom companies to provide for the AI
infrastructure, to provide for data residency, to provide for cyber resilience and to be able to operate, within the country, the required AI apparatus to keep the businesses going. So that is a big
opportunity.
Third one is around the productivity expectations. They have to bring down their unit costs. And the
huge challenge for them is the traditional productivity factors are not enough. So they are looking at
step change in productivity improvements. And again, here, AI is a huge factor. On the other side, if you look at the tech and the media side, we are all seeing the huge spending surge that is going on
with AI in terms of expanding the AI farm. But the issue has been that most of the AI is actually sold
within the tech companies in terms of model building, model training and is not really getting diffused
to other verticals or other industries.
So, the opportunity for Infosys is actually to bring our domain knowledge across the different
industries and really work with the tech companies and make sure that we are able to take the
External Document © 2026 Infosys Limited products and services and actually do the implementations. So this is one reason why many of the
tech companies want to work with Infosys because of our native understanding of many of these industries.
And finally, there is a huge race across the tech companies towards gaining AI market share, and
that is opening up a lot of opportunities for us in terms of working with them on the engineering spend as well as in enabling them in terms of creating new channels, either on the sales or on the partner side.
To participate in the AI opportunity, two things are very important. One is trust with the clients and
second is the scale. So if you look at the telecom, media and the tech business today, it is a very concentrated segment where there are very few big companies and then a long tail of small companies. So we have deliberately developed a long-standing relationship with some of the leaders
in this indu

stry. And that is evidenced by the fact that almost 60% plus of our revenues come from
the top 15 clients.
Now what it means is these are the clients with whom we have the level of trust and advocacy to
work with them on their AI road map. And with each of these clients, we actually are engaged in one or more of these opportunities today. So where we see, again, AI getting deployed and value getting created , three broad areas. First is customer experience. Now Nandan touched upon it, talking about
customer reimagination of processes. It starts with that, whether it is a B2B or a B2C. And how do
we rethink the process in an agentic world and how do we improve the customer satisfaction and customer retention. So that is a big opportunity.
But along with that, it is not as simple as that because you have a lot of legacy tech in many of these
companies. Many of these tech gear there is end of life or end of support. So there is a big question about, are we going to buy new platforms? Or are we going to just build the platforms? And the
obvious answer now seems to be going towards building platforms in an agentic AI framework. And that gives companies like us a huge opportunity. And we are seeing an additional improvement or an incremental of about 30% on the Net Promoter Score in many cases.
So when it comes to network resilience or engineering reliability, so we have a solution framework
called Infosys Smart Network Assurance, which is today part of the Topaz suite of products. Using
this, working across many telcos globally, we have been able to improve the network resilience and
bring down outages significantly. Now as far as the operations are concerned, it is about really
applying Agentic AI in a way where we are working on a human plus agent model to drive the unit economics and be more efficient for our customers.
So let me talk about one particular example where we have really scaled AI across a large enterprise.
So Liberty Global is a leading broadband and mobile , fixed/mobile broadband communications
External Document © 2026 Infosys Limited company based in Europe. They operate across many European countries and with about 10 million
subscribers subscribing to their entertainment and connectivity platform.
Infosys today owns and operates the entire stack of hardware, software and services for Liberty
Global. And this engagement is built on a per subscriber basis. The fee is based on per subscriber.
So as the subscriber count changes, Infosys fee also changes. So what we have been able to do in
a situation like this is using the Agentic AI framework, unlock value in the software stack, which is something that traditionally

has not been done by many of the service companies.
So when we took over this undertaking of completely owning a 10 million subscriber platform, which
is a highly critical platform, the big question was how are we going to deal with hardware and software, but that is what is giving us the biggest opportunity to unlock savings today. Now also applying a very unified Agentic AI thinking for the entire platform, we have been able to improve customer experience.
In one case, for example, where if you imagine a customer at home who has an option to use an
Apple remote or some other device to interact with the TV, we are giving better features or richer features using the entertainment platform at Liberty through our Agentic AI framework, where through a natural language, the subscriber can speak to the television and get the shows he wants instead of doing a search with a clunky device. Now this improves engagement of the subscriber to Liberty as a brand as against going via some other brand.
Similarly, we have improved network resilience in this company, and you can see the metrics out
there and as well as many of the other important critical elements like improving their own employee experience by bringing Agentic AI.
Thank you very much
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26 Infosys Limited Jasmeet Singh
Well, hello, everyone. I am delighted to share with you today what we see is happening in
Manufacturing on AI and how are we capitalizing on this opportunity. Leading manufacturers are
leveraging AI, embedding it into their product, embedding it into their workflows. They are driving
agentic execution to unlock value. In fact, in our recently published Manufacturing tech index, 75%
of the manufacturers embed AI into their enterprise strategy.
Now we see three big areas of opportunity for us. Number one, everything is getting connected. And
what that means is , it is driving investments into smarter products, smarter operations and as -a-
service models. Now it has been talked about before, but the industry has got a rigid tech stack. That
is leading to and driving AI -led modernization. That is opportunity number two. Now AI lives on data.
And manufacturers have a treasure trove of data. They have it in the smarter products across operations. And so that is opportunity number three.
Now as we look at the manufacturing value chain from design to service, we are obviously seeing a
huge amount of applicability of AI. But let me talk about the make part of AI. Now it makes sense that I talk about this because this has the potential to drive operational performance improvements and agility.
As an example, for a leading industrial manufacturer, we are leveraging computer vision and AI to
assess product quality in their manufacturing operations. This is driving a 10% increase in
throughput. Now it is not only across the value chain. We see now that we are able to solve much
more complex problems leveraging AI, and we are unlocking a lot more value. And this is cutting
across also the horizontal areas like finance, HR and legal.
Now let me make it real with a couple of examples. This is a mission- critical process at Rolls -Royce.
You know Rolls -Royce manufactures and sells aircraft engines on a power -by-the-hour basis.
Engines require maintenance. They need to come into the shop for overhaul, for maintenance, and they come to the Rolls -Royce MRO facilities for that. Every time an engine comes, it means that
aircraft or the airlines could be facing an aircraft on -ground situation and Rolls -Royce could be losing
revenues. So you can understand that the imperative is to try and get the engine back on wing and not idle as quickly as possible. The process in question is the reviewing and authoring of the repair
procedures of every engine that comes in. Now each engine is unique because it has its own unique operating parameters.
The multi- agentic solution that we have developed for Rolls -Royce i s
delivering significant benefits, a 40% reduction in engineering effort. First -time right rates are
increasing from under 40% to 75%. And because we are able to accelerate the entire process, it is providing a multimillion -pound revenue uplift for Rolls -Royce.
External Document © 2026 Infosys Limited In the words of Declan, as you can see, Infosys has successfully operationalized the Agentic AI
solution. It is an approved EASA, which is the regulator. Remember, this process is manual. It is
highly regulated and safety first. It is an EASA approved European Union Aviation Safety Agency
approved solution. And that means we can now scale it across Rolls -Royce.
The second example is on GE Vernova. It has been referenced before. Now GE Vernova is a $40
bn in revenues company. It is a leader in power, wind and electrification. They are at the forefront of
the energy transition, and their aim is to electrify the world while simultaneously decarbonizing it. They selected us as the AI strategy partner for them. This is from strategy all the way to execution.
The reason why they selected us was because of what they saw we were doing internally to become
an AI -first company. We are able to bring together not only the AI expertise, but the knowledge that
we have in

product engineering, in business process as well as in IT, seamlessly to deliver this
significant transformation at scale. We have already delivered over 25- plus agents, multi -agent use
cases for GE Vernova in production. We are delighted to be a partner to GE Vernova on this exciting
journey.
I want to leave you with three key takeaways from manufacturing. Number one, the AI opportunity
for manufacturing is massive, and we are already delivering value at scale. Number two, we have the depth and breadth in not only in AI expertise, but the knowledge in product engineering, in

business process as well as IT to again drive this transformation. And lastly, as you heard in the video, we have the capabilities to drive this from AI strategy to scaled execution. Thank you.
External Document © 2026 Infosys Limited Dennis Gada
Hello, everyone. First of all, I have to say , I really feel at home talking about the impact of AI in Financial services to an audience which is largely full of people who come from the financial services industry and understand some of the nuances and challenges. What we see in the industry today is that financial services is really at the forefront in terms of adopting and scaling with AI. And this is different from some of the previous tech shifts, for example, cloud or even digitization, where there was a little bit of lag effect or catch -up for the financial services industry. But this is different.
Financial services firms, whether it is banks, asset and wealth managers, custodians, card providers are really leaning in and leading with AI. I think the reason for that is that this is one technology and business shift that firms see, which can simultaneously bend the cost curve as well as the growth curve and also help in managing risk and compliance, which is, of course, very important in this industry.
So, this has a lot of conviction with the CXOs. As you can see, many of the quotes from the CEOs around using AI for augmented intelligence, using AI not just for efficiency, but really driving large - scale transformation within the bank and looking beyond productivity to growth. So the good news for us with all of this is what we see is a significant increase in spend towards AI initiatives. And we are well positioned to benefit from that, both in terms of the AI -first services as well as the AI augmented services that we talked about.
But it also does come with some of the constraints and challenges . It is not a technology or a use case challenge, but more around regulations, data privacy and most importantly, change management and adoption, which is where we see a huge opportunity to continue to expand. In fact, one of the CIOs of a large banking organization we spoke to, talked a similar concept to the deployment gap that Nandan mentioned. Even if AI technology were to stop evolving today, there is still so much to be done for financial services firms to benefit from and leverage what is already there.
We also see a diffusion of AI use cases across all the sub- verticals . We are working, for example, significantly on fraud prevention in the payment space, in the consumer banking space. And already, there was a lot of work done on machine learning models in the past, but AI provides a lot more capabilities to take it to the next level. Similarly, there is a lot of work on customer experience through contact centers, through UI/UX, but also beyond that . For many relationship managers in commercial banking or advisers in asset and wealth management or financial analysts like many of you in the room today, AI provides much more of data and insights and helps with the productivity, so that these relationship managers and advisers can spend more time with their end clients.
We also think that agentic commerce and payments will take off significan tly. It is still at the starting point, and that will result in a lot of unlock of new business opportunitie

s for financial services clients.
External Document © 2026 Infosys Limited All of this is, of course, on the foundation of AI -based software engineering, AI -based process orchestration and data transformation that we spoke about earlier today.
So, I will talk about one of our flagship client examples in financial services, Citizens Bank. It is a top 15 bank in the US and has grown significantly over the last several years, both organically and through acquisitions. And they have just embarked upon a program called 'Reimagine the Bank ', where the main objective is to use the power of AI to significantly grow and expand the services that the bank provides as well as drive efficiency. Infosys has been selected as the strategic partner to help the bank in this ' Reimagine the Bank ' initiative. In fact, just a couple of weeks back, we opened an AI innovation hub dedicated to support Citizens Bank in this initiative right here in Bangal ore.
And this has been an ongoing journey. We have helped Citizens Bank move 100% to the cloud, one of the few financial services institutions in the world that has achieved that. We have already built some industry -leading platforms on the cloud. And then with this foundation now, we are helping them accelerate the AI journey. Using our Topaz Fabric suite of agents, we are helping them build their own Agentic AI and GenAI platform, which will help across the bank to deploy several use cases.
Some of them are already in production. For example, we see a 44% reduction in calls to the contact center generated from the mobile app. And more broadly, the bank has talked about a $450 mn cost run rate reduction target as part of this ' Reimagine the Bank ' program. This is not just about cost efficiency, but this shows the power of AI to drive structural transformation in a leading bank like Citizens . So that is an example of a first -of-its-kind innovation hub right here Bangal ore for Citizens Bank dedicated to support their ' Reimagine the Bank ' program.
Now beyond Citizens , if you look at the financial services industry, as you know, it is the largest segment for us at Infosys. And we work with organizations across the spectrum, from the large global banks to the regional banks, to card providers, asset and wealth management firms and so on. And we are seeing a huge amount of increase in work that we do with them on AI. In fact, 15 of the top 25 financial services clients have selected us as their strategic partner. We work with all of them, but for 15 of them, we are specifically been selected as a strategic partner for AI services.
If I take a couple of other quick examples, for our top 3 card providers, we have been working with them on the modernization journey for their core cards platform . This is 40 million lines of code written over the last several decades, and we are using AI to do this modernization. With that, we are seeing a 50% reduction in the

time taken to do the modernization and significant efficiency benefits. The beauty of this is, with the success of this program, this particular client now wants us to do 2, 3 more
of these modernizations, which were almost impossible to do in the past . So it just shows how much
velocity this creates based on success of delivery on some of these programs.
External Document © 2026 Infosys Limited Similarly, for one of the large global wealth management firms, we are helping them build the Agentic
AI platform , support a lot of initiatives for the financial advisers to get better data insights, higher
productivity, so they can focus on their end clients.
In summary, financial services industry, as all of you know very well, is very complex. There is a lot
of legacy , there is a lot of regulatory oversight , but has also always faced a bit of a growth and a cost
challenge. And I think , AI is a catalyst that can really help accelerate some of those mitigations and
drive the organizations forw

ard. At Infosys, we have deep expertise in the industry vertical. It is our
largest segment. We have strong capabilities that we talked about earlier today.
And also, most importantly, we have the depth of the relationships . Many of these organizations, we
have been working for more than a decade, and that gives us a lot of institutional knowledge and
context, which we can use to help them on the AI journey. We really see this as a huge opportunity
to bring the hybrid intelligence, human plus AI, and help these organizations become truly AI -
powered and pivot to a completely new operating model for the future. There is a lot of work to be
done. We are excited. We are just getting started, and we think we will be super successful. Thank you.
External Document © 2026 Infosys Limited Ashiss Kumar Dash
H
ello. Hello and good afternoon. I hope you had a good session in the Living Labs. And you could
see some of the things in action.
Now over the next 10 minutes, I am going to talk about an interesting segment called energy, utilities,
resources and services, and I call this interesting because AI has created a circular economy in
energy, utilities and resources sector. While these sectors are heavy users and consumers of AI,
they are also critical enablers of AI. If you look at utilities today, particularly electric utilities, they power and decide where the next data center should be and how fast the AI data centers can grow.
In fact, there are views that electricity is the only limiting factor in growth of AI. So they have a
massive, role to play. A data point here, the projection for data centers to consume about 10% to
12% global electricity by 2030 is almost four times the current level. So that is the amount of growth
that we will see in the electricity sector. Oil and gas have always underwritten the global energy and stability of supply of energy. Now with data centers, natural gas and CNG are becoming the transient
fuel so that we bring more reliability and load balancing to the grid, we can dispatch the load when
the wind is not blowing and the sun is not shining. R esources, interestingly, are the providers for raw
materials that AI runs on. So the new metals; copper, lithium, nickel, cobalt, rare earth materials and aluminum are very core to scaling AI anywhere in the world.
Now with that kind of an interdependency, we are seeing circularity in action here. Energy decides
the physical scalability of AI ; utilities decide the reliability and sustainability of AI ; Resources decide
the material availability of AI because of the materials they supply. And services continue to be the big consumers of AI when it comes to inferences because of primarily the B2C nature of their business.
What we are seeing in the sectors across these different sectors in the segment is that demand has
gone up, digital intensity is at an all -time high. T here is not only growth, there is also margin
expansion for these players because of what AI is creating for them. AI is also becoming the operating system for many of the industrial implementations, whether it is subsurface computing, whether it is digital mining or remote mining, whether it is grid reliability and prediction of the load on
the grid, AI is sitting right at the heart of it.
My colleagues, Dinesh and Satish spoke about this earlier. This is an asset heavy and ERP heavy
industry. So ERP is all over the place. There are a lot of business rules, data, compliance, regulation
that has been built in the ERP systems over decades. T hat, in a way, has created this opportunity
where we can put AI to unlock value from the data and also create an orchestration layer for a better
human experience. That creates a unique opportunity for SIs like ourselves to go in and look at the
ERP landscape and see how we can get the best value out of it. Obviously, we are helping clients
External Document © 2026 Infosys Limited move their opex savings bec

ause of AI to do a lot more discretionary projects, a lot more
transformational projects that AI has unlocked for them.
What differentiates us is a triangulation of our deep understanding of the client's context, our
extremely rich domain consulting skills and engineering AI at an enterprise scale. When we
triangulate these three, it has put Infosys in a pole position when it comes to AI. And the proof of the
pudding is we are the AI partners for 15 of our top 25 clients in this segment. We do work across the AI framework.
We have created digital twins for a very large oil and gas major to take asset telemetry and make
the assets more intelligent, more automated, reduce their downtime. We have worked in AI -grade
data engineering for a very large electricity provider to predict the load on the grid and ensure they invest on the grid where there is congestion to provide electricity to the data centers. These are mathematical problems that could not have been solved at a granular level that we are doing today.

We are working with helping 20 plus of our clients reimagine their business processes -F&A, customer service that Salil talked about. This is unlocking new opportunities for us to bring AI at an enterprise level and then commit to the outcomes that the client desires for -growth in revenue, reduction of costs which is expansion of margins and customer satisfaction and innovation?
Another example is the agentic AI platform, where we are building enterprise- level agentic AI platforms to drive significant change in the way client imagines their workflows and then make the agents, more of a co -worker with our clients' employees. We have done 15 plus such implementations in this segment.
Of course, also the full stack modernization of clients' legacy systems, which is a huge opportunity. You saw the example of Hertz. We are doing 15 plus different ways and different flavors of bringing in AI to modernize assets that have been sitting there for the last 15, 20, 30 years, where clients can immediately unlock value. A great example is a very large airline, where we deployed agentic AI to modernize their systems to give better customer experience and predict the delivery of baggage to the customers on time.
Let me bring this to life with two examples. This is a mega deal that we signed with BP, a super major. The challenge was to enhance enterprise- wide adoption of AI. Here, we are talking about massive scale that cuts across all of the value chain elements , starting from production and optimization to dynamic pricing in their retail & convenience stores, contract automation for the thousands of contracts that they sign, IT operations and corporate functions. We picked 50 plus AI and agentic AI initiatives and then brought in our partnerships. The technology stack that we used here was on Azure Foundry , OpenAI stack. F or the developer productivity, we used GitHub Copilots at a very, very large enterprise scale. The outcomes were measurable - 18%-year one improvement External Document © 2026 Infosys Limited in IT operations efficiency, 50% faster contract validation, which is something that we are very proud of and 95% payment accuracy. The proof of the pudding is in a statement that the CEO made in their Investor Day, which said Infosys and Palantir are their top two partners who are making AI real for the entire company, and he calls it super cool. And the other quote is from the ex -CIO.
Let me give you another example. And this example is about scale. This is an example about complexity. This is an example about also not having fragmented but unified implementation of AI.
This is for the largest oil and gas upstream operator in Australia. Their challenge was to bring in and build an enterprise AI platform that cuts across different parts of their organization, starting from their production and operations, contracting, procurement, finance, HR and IT Ops. We identified 16 plus high- value AI use cases for implementation, and we used Amazon Bedrock as the agentic AI for upstream functions and then Azure OpenAI foundry for corporate functions.
The way we approached this is on four value vectors. The bottom of this, the foundation layer is the enterprise- grade platform that we build for them. On top of it, we built agents for intelligence and insights to their operations, agents for employee experience improvement, agents for asset operations . The results are visible - 20% to 35% efficiency gains in upstream value chain and 15% to 20% productivity gains in just improving the employee experience on a day -to-day basis because when they deployed this and they picked the corporate functions for agentification, this was one of the goals that we picked with them. We are bringing an outcome focused Responsible AI framework that is working at scale, at speed. I am very very excited for doing this for so many clients across the sector
Thank you
External Document © 2026 Infosys Limited Ambeshwar Nath
Good afternoon. Let me start off by walking you through the market outlook and the role that AI has for our clients.
If you look at the quotes from market leaders in our industry, there is a common trend that is emerging -AI is no longer just about pilots. Today AI is embedded deep into our clients' operations that is helping them improve their revenue, efficiency and driving better customer value.
If you look at the sub -verticals that we operate in, within consumer goods, we are seeing a significant impact of AI in multiple business use cases. We are seeing precision revenue growth management being one of the key levers, where millions of data point s regarding demand, price, promotion, channel is ingested near real -time to determine whether value is being created or lost. This is creating a potential of an improvement of 3% to 5% in the overall gross profit. There is a significant focus of applying A I for hyper -personalized marketing, driving deep individualized consumer campaigns as well as driving AI planogramming compliance.
Within the retail sector, we are seeing evolution of large language models for loyalty programs. As of 2026, 70% of all loyalty programs we will engage in will have an AI component in them. We have seen the evolution of camera vision in stores to help store operations and we are seeing a strong evolution of agentic commerce.
Within logistics, we are seeing AI evolve in terms of doing demand sensing, route optimization as well as leveraging it for waste reduction, that is resulting in benefits of 15% to 30% in terms of overall cost reduction.
So all in all, we are seeing an extensive use of AI for business outcomes and business use cases for business relevant problems for our clients. As Infosys, we are uniquely positioned because we

bring in deep domain expertise, a strong understanding of data, a strong understanding of AI technology capabilities and governance to bring it all together to deliver meaningful outcomes.
Let me talk about two specific examples of how we are bringing some of these business relevant capabilities to bear.
The first one, and I would believe that most of you have seen this in the Living Labs a short time back . Ralph Lauren is one of the leading high- end fashion and apparel companies across the world.
They are also, as of today, one of the fastest growing companies. But one of the uniqueness about why they are growing this fast is because they are true innovators. They were one of the first companies to evolve into going online for digital sales when e -commerce was just evolving. Today they are looking at how they can bring fashion and technology at an intersection to drive more meaningful conversations and path to purchase with their consumers. Clearly, one of the key

External Document © 2026 Infosys Limited elements they are looking at is how can they replicate the whole concept of stylists which happen in stores and how can they bring that same culture online. I n store, there are always challenges. You do a lot of manual merchandising, there is a lot of interaction with individual consumers. But the beauty is, if you do it online, even if there are millions of consumers engaging, each consumer is a separate segment in itself. You can do hyper -personalization at scale as if you have got a merchandiser working with you to style your exact outfit the way you want it.
The third element, which is extremely important is to reduce the path to purchase, how do you ensure that you are able to connect to real -time inventory so that the actual order can get placed. That is also a significantly complex puzzle as part of these engagements.
As part of what we did, and this was an engagement we did jointly with Ralph Lauren and Microsoft, first thing we did was we ingested 50 years of Ralph Lauren archives and lookbooks. So all that information was fed in, and then we created a whole natural language processing capability which allowed consumers to engage in a manner which is similar to the way you would engage with a human being. So you are engaging with an AI capability, but it felt very similar. So if you wanted to choose an outfit of the nature you want or you wanted for a specific occasion, it is happening as if you a re talking in real life. It drove significant hyper -personalization. The path to purchase on an online setup was, if you can imagine, you search for an item, then you browse the item, then you click it in the shopping cart. It is a long- established process, but this was a seamless process because you were connecting to inventory, you could cut the path to purchase to something which is very immediate.
This has resulted into significant benefits, and this is just the start of the journey because this is evolving. But today, this has led to a 50% increase in interactions of styling queries that are coming in. The overall results of Ralph Lauren showed a 12.2% increase in revenue. A lot of that, a significant amount was contributed through their online and digital capabilities. So this is one of our best examples in the industry where we are driving hyper -personalization at scale, leveraging the power of AI.
Moving on, I would like to now talk about a second example. We talked about a global high- end fashion apparel retailer in my first example. I want to move gears and talk about a regional player because that is very important as a lot of our regional players are also leveraging the power of AI.
Posti is Finland's logistics leader. It is a legacy organization, 400 years old. It has a legacy of over 40 years. Its primary business many years back was just the postal business, but they have evolved over a period of time to get into parcels, into supply chain, into warehousing. So now they are an end-to-end logistics player.

External Document © 2026 Infosys Limited As the postal volumes are declining which is true for the entire industry, they have been focused on how can they pivot to the new, how can they move from being a player that has legacy debt to a player that can drive new -age capabilities, who can focus on the run -to-growth element and pivot themselves into building differentiated capabilities.
Infosys is an end -to-end partner for them. We are the single partner that is doing entire IT services for them. As part of that entire exercise, we have evolved an AI- first operating model, which is really across run and transform. So how do we bring in AI in every part of the Infosys set of engagements that we work on. Today, we are running with over 20 plus initiatives on AI across their postal business, across their parcel business and their freight business. So we are cutting the entire value chain and applying AI at all points of the ecosystem. The whole focus is around run- to-growth. So how do we reduce the run cost and then push them into growth initiatives that can allow them to be a leader within the Nordics market.
Lastly, they have not gone with one solution. We are the single partner who are driving AI orchestration for them. They are working with a variety of AI toolsets, and we are ensuring that we are orchestrating it to deliver outcomes. Now what this has resulted in. It has resulted in a 50% software generation by AI tools , it has led to a 35% improvement in productivity and the mean time to recover considering that they had a large amount of legacy systems, has been improved by 70%. So this has created a massive impact.
I would like to just summarize by highlighting two points. One is the fact that we are seeing AI evolve within our client landscape. It is critical, it is a true game changer for our industry. Second, together

with our clients, we are working on a number of business -enabling capabilities all centered around having AI at the center and this is helping us create differentiated value and long- term association with our clients
Thank you.
External Document © 2026 Infosys Limited Anand Swaminathan
At
this time, I think you should have gotten a fair idea about, one, the opportunity in front of us, and it is more the execution risk that can hold any IT service company back. It is not the opportunity itself. Then if you looked at the AI value framework that Salil unveiled, one of the main components on that is the partnership ecosystem. It makes it even more important now that we have a very strong set of partners to be able to go to market.
As the AI evolution was taking place, one of the things we did was to really rethink our partner strategy and construct a partner ecosystem that really got us thinking about the future and will help us to actually cross the chasm because the AI stack has to be reflected in how we are going to get the partnerships done
Today morning, we announced a big partnership with Anthropic is an example of how we are moving this forward. So we need model companies , we need infrastructure companies that actually are investing in terms of AI transformation. Similarly, a set of companies around the chips to application layer to infrastructure to cybersecurity, to model are all part of the AI stack.
Normally, people are equating AI to one particular company or one particular category of company. It is not. It is a very complex set of components you need to make AI come to life. Enterprises want the stack to be governed which is very complex. It is not easy to manage the contracts or manage the performance obligations of these companies or to get the business outcomes they want unless they have somebody who is going to take ultimate accountability for it. So where we come in is we
are at the center of t his.
Yes, AI is reshaping the IT services value chain. But we are in the middle of it . We are orchestrating outcomes for our clients and managing risks for them, not just emanating from us, but also from the ecosystem of partners we have. So all the partnerships that we have been announcing and we have announced are a very carefully curated set of partners who will actually make the needle move for our clients.
These are partners that will help us with specific industry workloads rather than generally come with one specific set of capabilities. T hat is what differentiates Infosys as against other companies in terms of how we look at these partnerships.
So if you see the AI value framework, across the framework, already, we have started executing some really solid programs in AI that is giving us referenceable templates to actually take it to more clients.
So in the case of the first component, which is the AI strategy and engineering, with a leading investment management firm, we help them to actually work with an NVIDIA stack, where their
External Document © 2026 Infosys Limited onboarding of investors accelerated by about 30%. T his is an in

vestment firm that has more than
5,000 plus rules, regulations . I do not need to explain that to you this particular group of people as you might understand how it works in your world. We were able to bring in NVIDIA as a center point on the stack and be able to drive that change.
In another case with a leading telco, we were able to create a digital sales assistant where 95% of their fiber sales was done by the digital set of agents instead of human- powered selling. Now that is the power of the partnerships that we have because in order to bring this to life, you need pre - established relationships, training between companies and contracts so that the friction to market is less. W e also have that way a mutual understanding of how will we manage together the total risk that needs to be spread between us and the partners.
Similarly, on the data for AI, a lot of examples have already been taken by my colleagues. They all talked about many of the examples, including the Polo Ralph Lauren example, which is an amazing one. But in addition to that, we have actually delivered a variety of work in terms of actually helping the clients to get the data ready for the AI world. T hat is about moving it into a place where it is easily retrievable and is curated and it actually can deliver insights.
On the process AI, one of the areas where we see most of impact with the AI and the opportunity is really bringing AI into our BPM plus IT stack. When Rafee spoke, he announced one of the AI products from Infosys is AI Next. So if somebody wants a full platform, they can actually get AI Next from us. AI Next, in this particular case, with one of the leading restaurant chain has actually enabled
them to faster processing of their vendor invoices. Similarly, there was an example you must have heard about one of our clients in which AI Next played a very crucial role in accelerating the supply chain.
On the legacy modernization, one other area of this value framework, which is another area where we see a huge amount of opportunity. Bali spoke about a few opportunities there. Our partners together with us, have created a set of accelerators that are enabling our clients to move from legacy architecture to the AI architecture faster. One example is a mainframe modernization program that we have done for Hertz . You saw the Hertz customer come and speak. Similarly, we have many
other examples of where we have really taken this to our clients and getting them the benefits.

On physical AI, Dinesh spoke about some of the examples on physical AI, which is around how do
we really bring the AI in terms of the robotics and other physical products and make sure that they are actually getting ready for the AI world. T hose examples are also building.
What I would like to sort of sum up is to say that the opportunity is really in front of us. T here is no
question about that. We have the conviction on that. But at the same time, we also acknowledge that
this requires complex execution across multiple components. One of the key components is the
External Document © 2026 Infosys Limited partnership ecosystem. As an organization, we have invested heavily and really brought in a set of
partners that will help us to transcend this to a position where we can be a leading AI player.
I would like to conclude this with an announcement we made with Anthropic today. And one of the
Anthropic execs says the following about us. So can we please roll the video?
So in summary, we think trust, scale and partnerships are going to be the three pillars in which this
transformation needs to happen. And we have the trust with the clients and the partners. We have
the scale, and we have also a fantastic partner ecosystem that will help us to actually carry our clients
on this transformation journey
Thank you.
External Document © 2026 Infosys Limited Shaji Mathew
Good afternoon, everyone. Through the day today, we heard how AI i

s transforming the industry,
how it is reshaping the work all of us do. That necessitates a complete transformation in our
workforce as well. I believe in the saying that it is not the organizations, which has got the best
technology that will win, but those are the organizations which prepare their workforce to embrace
that technology that is going to win.
Our AI transformation strategy is built on three pillars. We have seen today in the map that there are
AI-first services, there are AI augmented services. So we need to augment everybody in the
organization with AI. At the same time, we also have to create the deep engineering and domain
skills, which are required to execute the AI- first services. And this duality is what we call the
ambidextrous organization.
So the first pillar is, therefore, a new talent operating model. Once we have this dual architecture, it
is important to have a career architecture, which can hold this talent. Therefore, the need to create
a new career model as well. And of course, the most important part, in my mind, is how do we develop the talent to have an AI -first mindset . So what we will do now is to double- click on each one
of this very quickly.
In an ambidextrous organization, we need to enable all the people in the organization. We also need
to create the deep engineering and the domain expertise. So here, what we will talk about is how we
are going to create this deep expertise. That is through channels. One is by external hiring. Recently,
you would have seen an advertisement where Infosys is now recruiting fresh engineers up to INR21
lakh salary per annum.
And that is really towards developing this deep engineering talent. We go to some of the best
engineering colleges in the country, the IITs and NITs. We have a differentiated assessment to get
these people in. We are also doubling down on our full stack engineers. We are doubling down on
getting domain experts from the market.
But all of us know that this technology is changing at such a rapid pace, and we do not have enough
AI experts in the market. Therefore, the success of the organization will lie on who are able to develop this talent internally. So we have created the bridge programs, and these are real hands -on training
programs, working on sandbox environments. And once someone has gone to this bridge program, we would do the assessment.
The assessment center of excellence that we have does the assessment on a 5- point scale all the
way up to AI -led simulations. And we also know that, in a new AI world, the skill is the new currency,
not necessarily the jobs and the roles. So the CQ, which is our Capability Quotient, which really
assess the skill of the employee has got four dimensions. It assesses people on technology , it assess
External Document © 2026 Infosys Limited people on domain, looks at people on the foundational skills as well as on societal skills. It is a
comprehensive framework that we have to assess people on their skill.
And the business incubator series is a new way of identifying the best of the best ideas, AI -focused
ideas from the company. Last time when we ran this, we had 1,000 ideas and the selected ideas will
get funding from the organization. They will also get mentorship. And this is a way to develop
entrepreneurial skill within the organization as well as to develop deep AI engineering talents within the organization, which will culminate in certain platforms and systems.
Now coming to the next part of the pillar , the strategy, the second pillar, which is the career track.
Once we have an ambidextrous organization, it is important to have a career model, which can encapsulate this new organization. Traditionally, we have a unidimensional career architecture. We will have people joining us as software engineers at the bottom of the spectrum. They will go through
the career trajectory and become all the way t ill the Executive Vice President.

In the new career model that we are working on now, people actually branch out in this Y architecture.
The one on the left side are all the people in the company who are enabled on the AI. But on the right side are the people who once take the bridge program and when they get assessed and then they get moved to the specialist frame. And these are the deep engineering or the domain experts that we have , we are creating within the organization. Also on the far right, what you see is the expert -
led organization. This is a flat organization structure that we have. They bring in really deep engineering expertise to the organization. They act as the catalyst of the accelerators around which the larger specialist ecosystem work around them. And it has got roles lik e distinguished technology, engineers and so on and so forth.
This career architecture also look s at another angle that is in a human plus AI paradigm, humans will do some part of the work, AI agents will do some part of the work. Therefore, there is a need for us to look at our job roles to redesign, so that it works in the new human plus AI paradigm. Also, the career architecture enablement looks at introducing some of these new roles, which are not existing earlier, like the ones that we heard earlier, AI strategists, responsible AI engineers and so on and so forth.
Now coming to the third pillar, which, like I said, is probably the most critical and the most difficult one to do. We look at our talent from multiple spectrum. At the bottom that we see, these are the consumers of AI. Everybody in the organization are consumers of AI, whether they are from the software engineering discipline or they are from HR, from legal, everyone are consumers of AI. And therefore, we are enabling everybody in the organization on AI. Today, about 90% of the organization is enabled on A I.
External Document © 2026 Infosys Limited Then we have a set of people who work on AI models, who are developing the AI agents and so on
and so forth , these are the AI builders. Obviously, they are trained and developed in a different way. They have more deeper expertise. Then at the top of the spectrum are the AI masters. These are the people who work with the large language models, who create our own sm all language models and so on and so forth, who set the vision, who sets the direction. And they obviously have quite a much- differentiated enablement program.
Now the forward deployed engineers are the ones who are embedded in the client's organization. They are at the intersection of consulting, technology as well as the client context. Now there is a much more deeper program to enable them as well as to assess them. The 5- point assessment mechanism that I spoke about, which culminates with AI -led simulation and case study -based assessment, that complete spectrum is used to assess the forward deployed engineers.
So this is for the larger cross -section of the company, in fact, pretty much for everybody. But the picture is complete when we look at the entry -level folks as well as the senior most leaders in the company. Now you must be familiar with the Global Education Center that we have set up in Mysore, where all the fresh engineers from the campuses come and get their training done. The complete foundation program has been revamped now to enable AI, to make AI -based training program , so
that every engineer who comes to the doors of Infosys from day one, they all get enabled on AI.
On the other side, the leaders, it is critical that leaders lead from the front with this entire AI vision that we are talking about. As we speak, this week, we have a program that is going on in our Mysore campus in collaboration with Harvard Business University, where most of our executive vice presidents are going through an AI immersion program.
We also had a similar program last month for all our senior vice presidents in Mysore campus again, and that was in

collaboration with MIT. So that kind of completes the entire breadth and length of the talent that we have in the organization. And like I said, we have a differentiated program for everyone in the organization, and that is how we are preparing for the future.
So in summary, from an AI transformation perspective, we are doing three things. First, we are building deep engineering and domain expertise. Second, we are redesigning our career architecture to future -proof the company for the years to come. And third, we are developing a future-ready
workforce, leveraging the best -in-class training infrastructure that we have, both from a physical perspective as well as from a digital perspective.
So I will summarize by saying that this AI transformation is bringing a lot of challenges in front of all of us. But I think we are very confident with the transformation that we are doing within the organization, we are ready to embrace this challenge as well as to leverage all the opportunities that
is lying ahead of us. Thank you.
External Document © 2026 Infosys Limited Sumit Virmani
Good afternoon, everyone. I know it is been an intense day of learning. And first of all, thank you for really taking the time and spending this entire day with us. Now I am quite pleased to actually talk to you about the role of the brand in the larger AI journey that we are on. As most of you know, mindshare leads market share. Now that is something we have heard as an adage.
For many, brand is a nebulous concept. But for this audience in the room, the financial analysts, I am sure you realize that a well -managed brand can indeed drive much stronger impact on the business, be it on the revenue dimension, the market share dimension or the shareholder value dimension.
And what you are seeing on your slide out there is how brands not just across categories, well - managed brands drive a revenue and a market share uplift , but even if you look at the data to the right, well- managed brands across decades outperform not just the industry, but the market as well.

So with that as a philosophy with which how we nurture our brand, I want to actually give you an example. Just like any other strong brand, we follow a multi -channel, multi- offering, multi -segment approach to marketing. But we attempt to do it with a little bit of disruption and a little bit of a twist. And what you are seeing out there on the screen is an example of how we think about our strategic partnerships. Some of the brands that you are seeing on the screen are possibly one or some of the largest brands in the world, but there is a consistency in all of them. They actually play at the intersection of passion and executive participation. And for decades, brands have leveraged these kinds of partnerships to showcase their reach to the world. But when we think about these platforms, we think of them not just as a platform to showcase brand visibility to billions around the world, but to also ensure that these platforms are becoming better, more disruptive to their end consumers by leveraging Infosys cutting- edge technology. That is the magic in the partnership because it becomes a showcase to a billion people in the world what Infosys AI can do.

Well that in itself sounds wonderful. I guess the natural question would be, how has it tangibly impacted the brand? So let us take a look at that.

What you are seeing on your right is a ranking by Brand Finance, a leading brand consultancy firm based out of London. T hey have seen Infosys as the fastest -growing brand in its category around the world six years -- for the last six years. To your left is another highlight of Kantar BrandZ T op 100 brands results and Infosys for several years in a row is now being rated as a T op 100 brand, not just in the IT industry, but across categories.

External Document © 2026 Infosys Limited How is that larger brand awareness translating into enterpris

e AI resonance? And what you are seeing at the bottom of the screen are some of the initiatives we have undertaken to really drive strong association with enterprise AI. To begin with, we were the first in the industry to launch an AI services brand called Infosys Topaz. We then went around with multiple channels, whether it is enterprise AI conversations or enterprise AI World Tour around the world where just in the last 12 months alone, 700 of our clients have interacted and understood our approach to enterprise AI.

We even invested in expanding the Infosys Knowledge Institute to really drive research on where AI is headed, whether it is the enterprise AI radar or whether it is AI indexes across different verticals.

The idea simply is how can we be the engine of knowledge awareness and brand awareness in the enterprise AI category.

And that is why what you see to your left is how Infosys is being seen from an enterprise association platform when it comes to the entire industry. This is the research that we undertake quarter -on-quarter because this is a space that is changing quite rapidly. And we would like to know how brand Infosys is faring on the Enterprise AI association. And clearly as you can see across the last year alone, we are at the top of the stack.

You saw multiple client stories played out over the last few hours. And that is a metric that we track very, very closely because we believe that the biggest proof of our success is our client voice. And that is the word of mouth that you are seeing consistently rising. What is to the bottom right is how the focused effort on thought leadership is driving media share of volumes around the world. And again as you can see year -on-year, we are almost growing that by over 100%.

And this is not just how Infosys see it inside out, this is also how one of the stakeholders that all of you track very, very closely, the industry analysts, they are acknowledging it as well. Whether it is across the digital ratings or whether it is across AI ratings, Infosys has consistently been on top when it comes to leadership rankings. And I will bring the conversation back to where I started, which is how has all that translated into business impact for Infosys. It has not just helped us stay ahead on the revenue curve vis -à-vis the market, it is also demonstrated tangible impact on the market share gains.

So the question then in front of us is what is next? And how are we thinking about our brand going forward. What we intend doing clearly is to really live the promise of ‘ navigate your next ’ as our clients' transition through another big turn of technology. But to really bring this promise to life is how we are going to do it is to unlocking AI value. And that is going to be the endeavou r of the brand over the foreseeable future. Thank you very much.

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Investor AI Day 2026

February 17, 2026

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Sandeep Shah
Equirus
Kawaljeet Saluja
Kotak
Shaan Chugh
Capital Group

 Moderator

Thank you, Sumit. For our last session, please welcome Salil Parekh, Chief Executive Officer and Managing Director and Jayesh Sanghrajka, Chief Financial Officer, to summarize the day, followed by question and answers. For Q&A please raise your hand. A mic runner will reach you.

Kindly state
your name and organization before your question. To keep things efficient please keep to one concise question. And hand your mic back after asking the question. Salil, over to you.

Salil Parekh

Good afternoon. I think the good news is most of you look like you are awake. So hopefully, the day has been exciting, interesting and a lot of depth from our side. Let me maybe spend just about a minute or so with a summary, and then Jayesh and I can answer questions. I know at lunch we had a few discussions and there are a lot of questions on your mind.

So first, my sense is we have a really comprehensive set of AI offerings. You have seen the Hexagon. You have seen that beyond that, we have 30 offerings, 100 sub offerings. And you have seen examples across each of the six areas, which give you a view of what is going on with the new services, and you have seen all of our augmented services and the impact that is on them.

Second, the opportunity is huge. I think we started that discussion with what Nandan shared. I gave an indication of what we see external analysts quantifying these opportunities as . These are large value streams , and as we go through over the next few months and quarters, we will dig into many of these individually to share with you what the value looks like, how we are going after it to make it more real for all of you as you look at Infosys.

Third, I think it is quite clear that large enterprise clients trust Infosys. You saw some of the videos and you have seen videos of client executives, CEOs, CIOs, COOs, very senior executives really

mentioning the word trust and looking at Infosys as a strong partner there. We are working with so many of our clients across the Hexagon in each of the big areas. So, it is not theoretical anymore. It is really practical. It is happening in the field, and we have examples of that. We have examples of large del ivery teams working on that.
Then we spent a bit of time on the platform itself, whether you look at what we built with the Topaz Fabric capability, what we built with AI Next and the individual agents that we built within that and how we can integrate across with different platforms, client platforms, third -party platforms.
You heard a lot about our talent, deep engineering talent and actually even the culture, which is much more of innovation within the company, how can we do something new? We are not a company simply of break and fix. We are a company of innovation, and tha t helps in AI because there are new ways of doing things and our engineering culture and mindset is a big advantage for us.

 And then the partnerships, of course, we announced a very large one today, but we have several of these. And it is very clear from how the partners are looking at Infosys that it is a joint work activity. You heard from one of the videos from one of our partners, the depth of knowledge that we have, the depth of talent that we have and the capability that the partner brings, that really makes a difference with our clients.
We have already put in place a very good go- to-market, which is really take everything we have on the Hexagon, the 30, the 100 and start to meet all of our large clients to see where AI can start working with them for them and make an impact.
And then we have an incredible brand that is working well. It is growing very fast, and you can see the elevation of the sorts of relationships that Infosys has in part because of the strong brand that we have built, and we will continue to build.
So that in a sort of brief way is the summary. And with that, let me request Jayesh to join me here, and then we can go through with the Q&A here.
Ankur Rudra
So, the first question is, you highlighted in the morning that the net new opportunity from AI will be $300 bn to $400 bn. Could you also elaborate what do you think is the incremental o

pportunity is
$300 bn to $400 bn on new services. Could you elaborate what would be the potential for the net opportunity adjusting for the compression that you might see in many of these services? A lot of examples through the day highlighted that everything can be done faster, fewer resources or from months to weeks. What does that mean from a compression perspective? And what are we looking at on a net basis?
Salil Parekh
So, what you are saying is we have talked about the growth expansion and what is the net number.
So there, what we have shared in the morning is really on the six areas, what we see as the expansion from what we have seen externally, the $300 bn to $400 bn quantification from a couple of sources. On the compression, we have talked about, again, what we understand to be where the compression is coming from, whether it is on application development, whether it is on infrastructure. We have not quantified that number for any external use at this stage. We have said that the expansion number from what we see today looks larger than the compression number.
Kumar Rakesh
Hi. Thank you for hosting us and taking us through in detail through your verticals and service wise capabilities. What I have understood is that you spoke about one of the key advantages Infosys has

 is strong understanding of clients' data estate and the context of the client. Now that would be something which many of your peers would also claim to be having.
The second part is the partner ecosystem, which you are developing and building strong relationships. Again, that is something which here or there, put together your competitors also would potentially say that they have. So what exactly in terms of delta or incremental capability that you see that Infosys has that helps you to have a better right to win wh en going for enterprise implementation of AI tools?
Salil Parekh
So there, the focus in addition to the points you mentioned is one on the platform and Topaz Fabric capability that we build, where we built our own agents and we can integrate other agents. The other is the way we have identified clearly what the six areas of growth look like and how we are executing on that, working with our clients to make sure that we are positioned in that by reskilling our people, by building investments in those capabilities and making sure that each client, we are building that capability to grow into those areas. That is where the real difference, the execution is where the real difference will come.
Aditi Patel

Has our pipeline to TCV conversion timelines improved, because now leveraging AI, we are able to build prototypes or working models much faster and clients are able to view the ROIs much faster?

Jayesh Sanghrajka

So, if you look at the large deals that we have signed in the last few years and last few quarters, we have not really seen the timeline of those large deals shrinking at this point in time. We have seen the deal timelines remaining similar based on what we have signed till now. Of course, the future is yet to be seen as we sign. But at this point in time, we have majorly, we have not seen the deal timeline shrinking significantly.

Sudheer Guntupalli

Hi, Salil. Yes, thanks for the insightful presentation. So recently, one of your competitors had made a comment that many ERP migration programs are seeing a significant compression in time from years earlier to weeks. So do you see that practically happening? Or you think it is probably a corner use case in a specific context and that might not be extrapolatable to the entire ERP implementations or migrations as such? Thank you.

Salil Parekh

On ERP migration, we have not seen that, that specific point is valid. So what is valid is what I think some of our leaders talked about, which is when you look at modernization, which is not only an ERP migration, but it is an overall modernization approach from old legacy landscape to a more current landscape. There, we see that the speed or the timeline is much more compressed. And of course, the cost is much more reduced.

Vibhor Singhal

Yes, hi, Salil. Just in response to the first question that you answered that we are kind of quantifying the compression factor. If I were to take a look at it, let us say, direction- wise, let u s and compare this to the earlier digital cycle. There also, we saw an initial compression in the IMS and some parts of our business. And then, of course, the new opportunity took place. So we generally see a compression, then that followed by the opportunity that comes in.

In terms of relative comparison, where are we in the cycle at this point of time? Have we seen the peak cannibalization of revenues? Do you think we can further go down? Or do you think from here, we are more closer to the inflection point where the net revenue from GenAI becomes positive? So in the entire adoption cycle of this technology, where would you place us at this point of time?

Salil Parekh

So there, if you step back a little bit, there are usually multiple dynamics that are at play. Typically, if there is nothing else changing, the macro is one important factor for Infosys for IT services revenue growth. And then there is a change of technol ogy, which is going on, which is another factor. So what we see today is that in many ways, for us, the macro is improving. If you look at what we see in the large markets we are operating in, for example, in the U.S., we see overall with the changes in regulations with tax reduction and maybe an impact on interest rates, we see some move on the macro.

On the tech cycle, it i s difficult to say where we are because each of the six areas are different in the way that will play out. So for example, some of the things on process can go very fast. For example, in customer service today, there is a huge move. And there, we will be going after areas that we are not today currently in our revenue base. So this is all incremental for us. But we have the technology, we have the partnership, we have the capability.

In some of the other areas like modernization, we have a lot of good technology. It i s something that will again be incremental now. Some of the others, maybe as the timeline flows out, we will see how they play out. Data is happening very much more quickly at this stage. In terms of the compression, those are things that, as we mentioned throughout the day, we see that visible, but it is not something which is la rge and it i s not something that is insignificant. But we do not see an acceleration of that either at this stage.

So my sense is if you look at our current business situation, next year, we definitely see in F inancial Services a strong growth , we see in E nergy and Utilities, a strong growth compared to this year. So we are already seeing signs of visibility. It is a function of AI leverage, meaning more AI being used. It is a function of macro and it is a function of the compression. So these are a little bit more intertwined than would otherwise be.

Moderator

I would request to give your name and the name of your organization since we are webcasting this session.

Jonathan Lee

Hi. This is Jonathan Lee from Guggenheim. Thanks for hosting us today. A lot to be excited about here around the AI opportunity. Can you help us understand the level of investment necessary there to reskill and hire laterally to meet the opportunity in hand? And how should we think about the impact to margins there ex potenti al currency benefit?

Salil Parekh

So there, I will start off , Jayesh may have some things to add. One of the things we have been very clear about is we want to make sure we invest in this AI capability build- out, AI Topaz

Fabric and platform and other tools that we have built to invest in scaling that up, scaling up the go- to-market and scaling up what we need to do in terms of training.

We have also put in place some years ago, a very strong program to support our margin and make sure our cost is more and more efficient. So , our view for the period in the future is we will maintain our margin guidance, and we will take all of that, that we save, which is quite substantial from our margin program and invest that into scaling up AI even faster. So we are ready with that from the operating, from the income statement point of view.

From the balance sheet, we are also ready to make as required, appropriate acquisitions, which will fit our overall value framework, which is what we have done in the past. With that sort of a mindset, we will continue using the balance sheet as well.

Jayesh Sanghrajka

Yes. Just to add to what Salil was saying, if you look at this year, 9 months into the year, we have been able to maintain our margins stable. That was on the back of FY ' 25 where we expanded our margins by 50 basis points. All of this is after absorbing all the investments that we saw through the day today, whether it was partnerships, whether it was tech investments, whether it was training investments, the sales and mark eting investments that you see in our P&L already which has

 impacted, you know, 50 basis points. So we have absorbed all of that and delivered on our margins and maintained the margins stability. As Salil said, our endeavour is to ensure that, you know, all the investments come out of our margin guidance.

Pankaj Murarka

Hi. This is Pankaj Murarka from Renaissance. Salil, I have two questions. One, when you called out that we have 5.5% revenues coming from AI and in the context of, you know, that is still I think a small number, while we have seen a lot of use cases today, but in the context of, you know, the Fortune 2000 clients, I still think there are few and even the deal sizes seem to be small. So my assessment is that probably average deal size is about $4 mn to $5 mn or something like that. So how far are we where we start seeing $50 mn, $100 mn deals and where the adoption really becomes accelerated?.

Salil Parekh

So there, I think one of the reasons , what we shared today in terms of AI is to give a real depth on what we are doing on AI. Now as you rightly pointed out, we shared the number of 5.5%. We still have a lot of other work that we do within Infosys, which is making up the other parts of the business.

What we see in this AI activity is it is going across many things in the areas that we described and becoming part of almost every discussion.

And so our sense is it will now continue to grow. We will see how that growth is but starting at that sort of a level, there is a long runway because essentially over the next several years there will be a shift. If you sort of look back a few years, we started to call out our digital numbers when they were around 25% or 20% , something like that , and we had a shift over 3, 4, 5 years where it became 65% to 70%.

And so that is the sort of a play that you have. We do not know if this is going to go in that sort of a range in 18 months or will it take 7 years, but we are well on our way with what we have created to start to play it as our clients are absorbing it. And even if it goes faster, we are ready, even if it goes at that pace, we are ready.

Pankaj Murarka

Sure. One of the most important things that we learned during the discussion today is the context. So in the context of, you know, what you laid out, the new opportunities of $300- odd bn over the next 5-6 years, for a long- term stakeholder or an investor in Infosys, how should one think , what are the three or four things that will change from a financial matrices perspective probably 5 years out as we

navigate this journey from where we are today?

 Salil Parekh

From the financial metrics?

Pankaj Murarka

Yes. That is right. From where Infosys is today, as we navigate this journey, let us say over a period

of five years, you know, i f you could put that in context?
Jayesh Sanghrajka
So, if you look at, you know, every tech cycle, and this is no different from a cycle perspective, of course the metrics can be different. But the way we have always articulated it is, if you are riding the tech wave and ahead of the curve, it should reflect into better growth, better RPP and therefore better margins . We said that in the digital era, we are saying the same thing today. If you look at our RPP for last 2 years, we have delivered, you know, superior RPP. Our RPP has grown 3% both FY '25 and FY '26. If you look at margins, it is showing resilience. We grew margins by 50 basis points last year. We are stable margins this year despite all the investments that we talked about. So I think that is exactly what is going to boil down to, if you are looking at, you know, any tech cycle in my mind,
from a services perspective.
Aditya Chandrasekar
Hi. This is Aditya from UBS. Just a couple of questions. So you guys have spoken a lot about Topaz and it is good to see, I think it is moved beyond, you know, those pilot use cases to more enterprise - wide use cases. But if you could also touch a little bit on how we should think about the pricing models there? Because for example, in the walkthroughs we learned that some of the projects that needed huge team sizes have now, you know, been compressed to just use of the platf orm and maybe a very lean team.
How should we think about how the pricing is evolving in or pricing model rather is evolving in those kind of projects and any rough or, you know, a framework at least to think about margins as well in those kind of projects? That is the first question.
And sec ondly on headcount, I think you have given a plan on how you will be reskilling talent and hiring more specialized talent etc. But as of today you do have a wide kind of a fresher or bottom of the pyramid talent. How should we think about the utilization of that workforce now because
incrementally we will be getting i nto more and more projects where we will have leaner team sizes and maybe just more specialized workforce rather than the kind of fresher coders, to put it simplistically? These are the two ques tions . Thank you.
Jayesh Sanghrajka

 So, I will start with pricing. So if you look at the pricing models today, the models are evolving, right?
You have various examples of outcome -based pricing, you have examples of pricing which is combination of outcome- based pricing plus an agent pricing or a platform pricing. But I do not think there is going to be one model that is going to apply to every client. It will depend on the client context, what does the client want and how well we are able to justify the value that we are creating for the clie nt.
So it is always going to be the combination like it is always been in the past, you know, we did not have just one model. There were various models that worked and depending on the client's context you close on the pricing model and I think that is how it i s going to remain on that.
Salil Parekh
On the utilization and the specialized talent, I think , we will see more and more of that happening, but equally we will also see, and I think , somewhere in the day we did mentioned that , there will be recruitment with college hires, with freshers and making sure that they learn without the tools and with the tools as they can develop their own experience, and know when it is appropriate to use tools, when it is appropriate and how to assess code that is generated by the model.
So those skills will still remain quite impor

tant and in that context, even if we have more specialized
talent, utilization as a metric will still remain pretty important, that will be a driver in a different way there are, depending on the specialized tal ent and the scale and size, there are different levels of utilization but it will still remain an important metric.
Jayesh Sanghrajka
Yes, and if I can just add to what Salil was saying, if you look at even in the digital cycle, when we started the cycle with 25% digital, we are now at, you know, pretty much 65% plus of our revenue coming from digital, we retrained our employee base from what were digital at that point in time ,
which was representing only 25% of our revenue , to more than two -thirds of our revenue today . So we have a strong training culture, and that is what we have always dipped into, to retrain and repurpose our employee s.
Gaurav Rateria
Hi. Gaurav from Morgan Stanley. Nandan made a comment in his presentation about build versus buy. Do you think the lines between software and services are now getting blurred, and what does it mean from addressable market per spective for service providers?

 And second is a question related to the evolution of pricing model that you talked about. If it creat es room for non -linearity, what i s the headroom that you get from investment point of view to accelerate your journey in AI? Thank you.

Salil Parekh

On the first one, I think my understanding of that is essentially it expands massively the amount of work that we can do , if we can look at some of those. And I t hink there it will probably be some of the things on the edge, maybe not the core sort of systems of record and so on. But you could imagine some of the things on the edge which could be more easily built, as Nandan was saying, in the build as opposed to the buy. And then if that is readily doable, and it is effec tive for the client, then there wil l be multiple, it is not going to be one thing for every client . And so there is going to be different builds for different clients which my sense is will be a larger opportunity for Infosys.

Jayesh Sanghrajka

Yes. On the pricing you are right, if you are able to have a larger part of revenue enabled through platform or agents, it will create to that extent a non- linearity. At this point in time , as I said earlier , these are early days, right? So everybody is testing new models, but to that extent yes it will create a little bit of a non -linearity.

Surendra Goyal

Yes hi. Surendra from Citi. So through the day across the presentations we heard a lot about value generation, savings, productivity. So my question is, is there a way for Infosys to capture that value better? And does AI kind of result in any change to that, either for good or for worse or it really does not matter? Because one of the key issues has been that like over the years we have seen a lot of presentations across the industry , talking about millions and hundreds of millions of dollars of value, but again it seems like a most of that goes back to the customer. So any way to kind of capture the value better? Thanks.

Salil Parekh

I think there, there was some discussion in some of the client examples on outcome based. Now if we managed to do some of those with some sharing, we might see some of the benefits of it. Today, if you -- in one of the earlier charts , we sort of showed the model is mov ing faster than the reality at the enterprise. So what tends to happen is the enterprise people at a more discussion level are expecting the model type of benefit in the pricing or the cost and we ar e not able to make that happen. So today it is not more equitable, but in the future when it becomes more aligned, the model and what i s in the enterprise , then you could see that part of it could be there. And if some of the outcome-

 based works you could imagine that, some more comes . However it is not visible today, so it is not something that we are looking for example in the coming year, but it is something which is in our mind as Jayesh was saying there is still early days, we will see how the pricing approach will develop.

Jayesh Sanghrajka

Again if I can just add to what Salil was saying, there are also indirect ways to capture the benefit . Like again throug h the presentation you would have seen, multiple sectors, 15 out of the top 25 clients, we are the AI strategic partner. Now that only comes in, when you have created significant value for the client . You saw in Anand' s presentation that, large part of the Telcos we are large players. That only comes again when you have created significant value for the client and you become the strategic partners for the client. So those are the other benefits of creating that value for the client, it is not just that everything gets passed on to the client, you also get a lion's share of the clients landscape.

Kunal Tayal

Kunal from Bank of America. Given all your investments into small language models as well as proprietary solutions, I was wondering if there is a bigger opportunity that you foresee in either of mid-market customers or then emerging market kind of customer base? Mid- market because , I wonder if there can be larger turnkey programs that can come your way and emerging markets because if it is not going to be a labour -intensive model, can the profitability of these projects now meet thresholds better than earli er?

Salil Parekh

So there, first the small language model , I think for us , is a very good indication of the depth we have, and it is very useful on a limited data set in a large client already today. So we are seeing some benefit of that whether it is more for alignment or more even for code development. You heard I think , in one of the sessions the discussion on our own model for code development into that. We have not looked right now at the mid- market because the cost of sales is very different. So we have to figure out if that will work in that market.

And emerging markets, we have not looked beyond, I mean , I would not call them emerging markets , and there are growth markets that we have looked at. For example, we think, markets in the Middle East are very strong. But it is not like an emerging market but it is a growth market , where we will look for some of these models but right now the adoption, it also depends on the adoption in that environment, in that geography, before we can go and adoption in the mid- market as a client base also.

Sandeep Shah

External Document © 2026 Infosys Limited 13 Yes. Once the enterprise clients enter the post AI adoption where most of the application modernize, data layer has been created, cloud migration has happened. In that phase the investor worries the terminal growth rates could be much lower because of the applic ations , data could have been modernized.

Salil Parekh

So there, I think in terms of what happens in the post -AI world, of course that seems a little bit far away today but what we think is, I was with one of the people who was building the foundation model a couple of weeks ago, and they gave a good sort of example. They said that the amount of software demand that is there for writing software is becoming 100x in terms of the size. So even if you go into the post -AI world, there is productivity impact, we still see a huge amount even if you assume a 10x productivity benefit to a developer of what is available in terms of what is to be developed, what is to be built. So the post -AI world in my mind is not a static world where everything is done, it is a world where there are large enterprises starting to use agents in many areas, having very strong platforms, using for example Topaz Fabric as a capability but also building new funct

ions, new features, managing things. It is much like what we have today where there are new things happening even on platforms, older platforms , which let us call it are somewhat stable today in terms of they are implemented. But there is always new work that people are looking for. But that is the nature of the economic growth where there is always new features, functions that tech is driving and more tech across the enterprise which can give you different areas to work on. So my sense is in the post -AI, of course the transition is very exciting with all the work we will do, but there is even more work , because there will be more and more things that will be going on in that post -AI era.

Moderator

We have time for just the last two questions.

Kawaljeet Saluja

Hey hi. It is Kawaljeet from Kotak. Thanks a lot for the presentation which was quite insightful, Salil and Jayesh. I have a few specific questions. The first question is that for AI agents that you are deploying in a client environment, are those homegrown or are those of frontier model companies?

Salil Parekh

So on agents there are multiple people who are building agents. So first we are building agents. Second, some of the foundation model people are building they are a little bit more broad -based. Then there are third- party companies that are also building agents. And then of course the public

External Document © 2026 Infosys Limited 14 cloud players are building agents of their own, and other third- party agents that they are providing.
So there will be a host of those agents from which some selections will be done. And of course clients are also building agents.

Kawaljeet Saluja

Right. And Salil, for agents of third party, let us say what is the services intensity? So for example, let us say a dollar is spent on a third- party model, and you basically customize it and configure it for the client environment, then what is the services revenue that you get versus a dollar which is captured by let us say a frontier model company or an external third- party agent provider?

Salil Parekh

So there, we do not have very deep exact stats on that that we can share. What we see is different , because if you look at a software development lifecycle part of it as you know is the cost of building the software . So, in this case the agent , but there is a significant part beyond that which is integrating it into the environment, making sure that it is working in that environment and the performance attributes and then the security attributes.
So we have got some examples of what we have done as we shared today in these situations, but we do not have a statistic that we can share that one equals X because of the ratio. As we go through the next few quarters , we will definitely internally build up a larger data set on that , and then we will see, if that becomes something that we can share publicly here.

Shaan Chugh

Hey Salil and Jayesh. Thanks for organizing today. This is Shaan from Capital Group. I guess just a quick one, you know, for the last many quarters our sort of net headcount has been pretty flattish as we have muddled through sort of the macro challenges and so on. I mean with the AI services picking up, are you internally gearing up for sort of net headc ount to start ticking up again?
I know we are hiring sort of a lot of freshers and we also have that counterbalance with some internal efficiencies and of course just natural attrition. So when you factor all of that in on a net basis, is that something you are gearing up for this year or should we expect that to still take some time given the AI-centric efficiencies that you are factoring in?

Salil Parekh
For the year , we have added ~13,000 net headcount for the first three quarters. My sense is , we will continue to add headcount as we go through. And it sort of comes back a little bit to an earlier discussion , we were having,

which is there is a macro element and there is an AI element. And we will see, my sense is the macro will potentially be better , and of course we have a very good sense

of the AI opportunity set. So when you put both of those together, if in the last three quarters we have done ~13,000 net headcount increase, my sense is we will continue with the headcount increase in the coming quarters as well.

Moderator
Thank you. That brings us to the end of the Q&A. Thank you Salil and Jayesh. Thank you everyone.

Salil Parekh
Thanks. Thank you everyone.

Jayesh Sanghrajka
Thank you,

Call: Apr 2026

(no extractable text — likely a scanned image PDF)

Call: Jul 2026

TO ALL STOCK EXCHANGES
BSE LIMITED
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
NEW YORK STOCK EXCHANGE

July 28, 2026
Dear Sir/ Madam,
Sub: Transcripts of the press conference an d earnings call conducted after the Meeting of Board of directors on July 23, 2026

Please find enclosed the transcripts of the press c onference and earnings call conducted after the Board meeting held on July 23, 2026, for your information and records. This information will also be ho sted on the Company's website, at
https://www.infosys.com/investors/reports-f ilings/quarterly-resu lts/2026-2027/q1.html

The audio/video recordings of the press conference and earnings call are also made available on the Company's website, at https://www.infosys.com/investors/r eports-filings/quarterly-results/2026-2027/q1.html
This is for your information and records.
Yours Sincerely,
For Infosys Limited

A.G.S. Manikantha

Company Secretary
Membership No: A21918

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Infosys Limited
Media Conference Call
July 23, 202 6

CORPORATE PARTICIPANTS:

Nandan Nilekani
Co-Founder and Chairman of the Board

Salil Parekh
Chief Executive Officer and Managing Director

Jayesh Sanghrajka
Chief Financial Officer

Rishi Basu
AVP and Global Head - Corporate Communications

JOURNALISTS:

Ritu Singh
CNBC TV18

Reshab Shaw
Moneycontrol

Mansee Dave
ET Now
Shilpa Phadnis
The Times of India

Avik Das
Business Standard

Haripriya Suresh
Reuters

Beena Parmar
The Economic Times

Sanjana B .
The Hindu BusinessLine

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Deccan Herald

Rohit Chintapali
Businessworld

Poulomi Chatterjee The Financial Express

Jas Bardia
The Mint
Rukmini Rao
Fortune India

External Document © 202 5 Infosys Limited 3 Rishi Basu

A very good evening, everyone and thank you for joining Infosys' first quarter financial results. My name is Rishi. And on behalf of Infosys, I would like to welcome all of you today. I would first like to invite our Chairman, Mr. Nandan Nilekani and our Chief Executive Officer, Mr. Salil Parekh for an important announcement which will then be followed by our business updates. Kindly note, Nandan will not be taking any questions. Sirs, over to you.

Nandan Nilekani

Thank you, Rishi and it is great to be here with all of you. I thought I would take this opportunity to make an important announcement. As you know, Salil has been CEO of Infosys for almost 10 years. He came, I do not know how many of you were here 10 years back, but he came at a time when things were slightly unstable. And he brought in calmness, focus , took the company from $10 bn to $20 bn, completely did the transformation for the digital era and started the AI differentiation and implementation. Salil’s term comes to an end on March 31, 2027.

Infosys has been looking at his succession. And today, I am delighted to tell you that the Board has appointed his s uccessor, our new CEO, who will take over on April 1, 2027. He is from Infosys. He has been somebody who is a true- blue Infos cion. He has worked in Infosys for 31 years. He has worked in every part of Infosys, be it in delivery, be it in sales, be it in account management, starting a new DC in Bhubaneswar, everything. And he is someone who I think everybody likes, respects, is an uncomplicated guy who focuses on what needs to be done. His name is Ashiss Dash. So Ashiss is based out of L.A. He has been there for some time. He will move back to India and in the next 2-3 months, he will do some CEO coaching a nd then from October 1, Salil will take him on as his mentee and prepare him for the role, so that he can take on this role of

managing a complex $20 bn
company in a very transformational time.

So, I just wanted to let you know that Ashiss will be the new CEO a nd I would now like to request

Salil to say a few words about Ashiss.
Salil Parekh
Thanks, Nandan. So first welcome, everyone. This is an incredible time for us, as Nandan shared, I have known Dash for a very long time working closely with him , a huge congratulations to him and in making sure everything he does works well into the future. He has had an amazing portfolio, the way he has built it, the way he has crafted it in terms of the clients he has worked with, in terms of the people he has worked with.

External Document © 202 5 Infosys Limited 4 And there is a tremendous set of opportunities from that on to the overall company, the learnings
from that as we apply to the overall company. Ashiss Dash, also a very collaborative individual working well with all of the various components within Infosys and having been here for a long time, has made sure he has learned everything and also understood how all different parts of the company work. So huge, huge congratulations to him and looking forward to working with him as we do the transition over the next few months.
Rishi Basu
I now invite Jayesh to join Salil on stage to commence the quarter updates. As always, for this section, I will request one question from each media house. But with that, let me invite Salil for his remarks. Over to you, Salil.
Salil Parekh
Thanks, Rishi, and thanks Nandan. So good afternoon, everyone. Thank you for being here.
Our revenue growth for Q1 was at 2.4% Y-on-Y and 1% Q -on-Q in constant currency terms. We had a one-time revenue impact of a client decision during the quarter. Our AI services revenue was 8.2% of overall revenue in Q1. Our large deals, $3.6 bn at 61% net new, operating margin at 21.1%, free cash flow at $955 mn . Earnings per share were up 15% Y-on-Y in rupee terms.
We saw a strong acceleration in our AI work, as I shared earlier, with AI revenues at 8.2%. This is growing at double-digit Q-on-Q for the last several quarters. With this momentum, we see long-term relevance of our services for our clients, which are all driven through AI. From our delivery team, over 80,000 employees are working on coding tools such as Claude Code or Codex or several others for our clients, for our work inside. We see strong traction across the six areas of new growth that we see in AI, our Hexagon for AI strategy.
We see client work, for example in building agents for processes, work on data, modernization and using coding tools. We are building a team of frontier engineers to support our client work. Our plan is to have 6,000 Frontier Engineers over the next few years. We have built a platform, Topaz Fabric that enables our clients to get the benefits of AI while keeping the sovereignty of their own data within
their company.
Our clients are able to work with any foundation model , closed, open-weight or on the cloud on their own servers. Our clients are able to optimize token cost, which has become very critical now to make sure its appropriate for the type of work they are doing and not out of hand.

External Document © 202 5 Infosys Limited 5 Overall, we continue to see the macro environment remaining uncertain. With our Q1 results and a
view for the rest of the financial year, we are changing our revenue growth guidance to 1.5% to 3% Y-on-Y growth in constant currency terms. Our operating margin guidance remains the same at 20% to 22% operating margin.
Thank you. And with that, let's open it up for questions.
Rishi Basu
Thank you, Salil. We will now open the floor for questions. The first question is from Ritu Singh from CNBC TV18.
Ritu Singh
Thank you very much. I know you have asked for one question. But if I may, Salil, you have given us a big news in this quarter. To begin with, since you speak about how you brought in and Mr. Nilekan

i spoke about how you brought in calmness at a time when the company was going through quite a bit.
Even now you are speaking of this global uncertainty because of which you have had to, again, pull down your guidance as well. Why decide to leave at a time like now , instead of perhaps looking at an extension? I wanted to understand. And with the new CEO coming in, any mandate for the new CEO that you could highlight for us more clearly? And perhaps that is something the investors would also want to know ?
And then on the earnings, of course, the reason for this revision downwards, if you could give us a little more colou r on what you are seeing in the environment, where is the weakness? Where is momentum picking up?
Some of your competitors like Tech M have been talking about irrational competitive pricing. Wipro has also spoken about that a bit. So what are you seeing in the environment? And with a 1% kind of growth in the first quarter, do we assume the second half will be meaningfully better if you were to

reach that upper end of the 3% guidance you are speaking about?
And just on AI, if you could update us how the revenue is moving? Is it proceeding as per what your expectations were? Any updates you could share on that front as well , as far as revenue contribution from AI is concerned?
Salil Parekh
So let me start with the first one.

 I think you had that question collectively for some time now. We have the answer. As I look at it, I am
really delighted with the role I have played here. We have taken the business, as Nandan said from $10 bn to $20 bn. It is working very well , the digital transformation and now the AI transformation is launched. So, I am really delighted that it is working well with our clients and with an incredible team that we have inside. So that is what I would like to say on the first one.
On the second, I think what we are seeing is an environment, where a little bit sort of combining the third piece as well, AI services is growing extremely well, double-digit growth, if you look at it like Q-on-Q , if you look at it over several quarters in the past. We see that those 6 areas that we have identified like the process, the agents, the data, the engineering, all of those are working extremely well with our clients. So we are now looking at revenue growth in each of those areas.
Our pipeline is even larger than the 8%, which is the revenue today. So we see good traction in that. Therefore, we feel there is a good long-term relevance of our services to our clients because this is going to continue to grow as we look out into the future.
Now the question on the guidance, we had a one-time impact that I shared with a client decision. There are factors related to what is going on in the macro environment, which we talked about. There are factors related to the volumes in the quarter. But we look at the large deal number, $3.6 bn, 61% net new, so we see a lot of support in that. I think there are 5 (Editor's comment) of those deals
which are consolidation deals that we have been the beneficiary in, as an example. There are 3 (Editor's comment) deals which are just under the $500 m n range. So just like a mega deal. So we see really good traction. The pipeline there is looking good.
So all that when we balance, we decided to look at our guidance in a different way. The upper end of the guidance was really based on if the macro was improving, we now see the macro, it may improve, but not at the level that we were thinking initially. And so that is how we really constructed the guidance. But we have tremendous view that this is a good place for Infosys to operate, with AI the way it is looking and all of the work that we are doing on large deals gives us continued traction.
Ritu Singh
[Inaudible] . The question of why you didn't decide to stay on and what the mandates are and you know better. I

f you could clarify all of those points ?
Salil Parekh So there I think, as I shared earlier, my sense is , I have been fortunate to have a tremendous opportunity and what we have done in Infosys over the last many years and having taken the

 business from about $10 bn to $20 bn . So it is been an incredible journey. And that with the team
we have and with the client work we have done, that is been a fantastic outcome.
On the mandate, I think as AI strategy is put together , and Dash has been part of that, our thinking is the strategy we want to execute on. Of course, there will be some things which we will look at in terms of fine -tuning but that is a natural course of evolution. But the strategy is very well in place to make sure that it goes into the next phase, making sure the partnerships we have with the various models, the Topaz Fabric that we built. Today on AI, it is important that clients see that their own data remains sovereign to them. And the way we built Topaz Fabric , it allows the clients to do that no matter which model they are using. And that is a very big differentiator we have. For example, in AI, the token cost that will be an important factor we think in the future.
And we have built Topaz Fabric in a way that, depending on the task you are using the foundation model for, it will use the right model. So you do not have to pay for the most simple task like an expensive token cost and so on. So we think we are in good position in that.
In terms of second half, first half, I think we have the guidance for the full year. We expect the normal seasonality that will come. We are not expecting anything unusual there.
Ritu Singh
Competitive pricing in the market that some of your peers have spoken about?
Salil Parekh
Yes. So maybe they are seeing that, you should check with them.
Rishi Basu
Thanks Ritu. The next question is from Reshab Shaw from Moneycontrol.
Reshab Shaw
Salil, if you could tell us your biggest achievement and what will you miss the most and what is next coming for you? On the quarterly performance, how has been the TCV conversion because that is a worry that investors have? And the third question is , two of your peers have highlighted that AI

revenue is slightly lumpy and it could be 1 or 2 quarters post which you will have to go and get those deals again. So is that something that Infosys is also seeing?
Salil Parekh
So let me start with the second one, I will come back to the first.

External Document © 202 5 Infosys Limited 8 On TCV conversion, we see a pretty good way of converting now. What tends to happen is like,
when you have a consolidation deal, the conversion comes a little bit quicker . When you have a transformation deal, it is a little bit spread out, but that is the normal sort of conversion we see. We do not see that it has suddenly changed like in the last quarter or a couple of quarters or so on.
On the AI revenue, I think it is moving so quickly that it is a bit up and down on a quarter -by-quarter basis. So our thought is , that is why we are saying like look at over the last several quarters, we see that double- digit type of growth Q -on-Q.
And we will see sometimes it could be a little bit faster but it is growing nonetheless, meaning if you look at the secular trend, we see that is pretty strong, and that gives us a view that long term, there is a relevance of what we are doing on AI for the clients.
For me, I think , I am very focused on what we have to do here at Infosys. We have a lot of things to get done. I want to make sure we remain in the leadership position. We win in the market, we are leading in AI and I get a smooth transition done. So that is really my focus. And after that, I will see what else happens.
Rishi Basu
Thanks, Reshabh. The next question is from Mansee Dave from ET Now.
Mansee Dave
Hello, good afternoon, Salil and

Jayesh. Nice talking to you. Salil, my questions are on client spending, large deals and competitive positioning. So talking about the client spending, client budgets remain selective across industries. Have you started seeing any improvement in discretionary technology spending? Or are enterprises still prioritizing cost optimization over transformation? Talking about the large deals, Infosys has maintained a healthy large deal pipeline. So how confident are you that these deals will convert into faster revenue growth?
Also, every global IT company today is talking about AI. What would you say is Infosys' biggest competitive advantage in this AI-led technology cycle? And please start with this one, which moment during your tenure best reflects the values and culture of Infosys? Thank you.
Salil Parekh
Okay. There w ere a few , so I will start the first was a conversion of the TCV discussion. We see that the large deals, we see a good traction of those values over the last few quarters have been strong, this quarter was pretty good. We see the pipeline to be pretty good on the large deals, and we feel

External Document © 202 5 Infosys Limited 9 there is a benefit of the consolidation that we are seeing in some of the large deals, which is definitely
helping us as we go through it.
The conversion, whether it is faster or slower, I think it is at the same type of a level and we will convert those into revenue with 61% net new , it already looks pretty strong in terms of the net new work, which we will see. And obviously, the renewals are going pretty okay as well.
On AI, I think there is a huge differentiation that I find from what we are working on. First, we have a very clear AI strategy with the 6 areas of focus. We are investing in it. We have actually taken and Jayesh has shared in the past, he will share also today , we have invested in building out AI capability.
We have, as I shared earlier, 8% revenue, growing double-digit Q -on-Q over the last several quarters. We have a good pipeline in that area. Then you look at some of the stats, we have 80,000 people working on the tools today for client work. It is not just training and so on.
Then what we built with Infosys Topaz Fabric, I feel is very differentiated because it allows clients to maintain control of their data, maintain control of what they want to do with the AI and still use the different models, and lower cost. We have a harness through which they can leverage what they
want to achieve with the foundation model. So that is a significant move up in terms of differentiation that we have seen here.
I think in terms of values, my sense has always been Infosys has incredible values and it has really been sort of a privilege to be associated with that and learn from it and contribute to it. So, in many ways, it is a great, fortunate thing that could happen in the way that it has happened.
Rishi Basu
Thank you. The next question is from Shilpa Phadnis from The Times of India.
Shilpa Phadnis Can you please give us some colou r on how your GCC portfolio is doing because some of your peers who are slightly late starters , are catching up. They are already looking at $1 bn in revenue run rate. So I just wanted to understand from you, how it is doing? I mean is there a milestone that you have touched?
And secondly, there is also a concern with Vanguard and Daimler and a lot of other companies are chipping into the space. They are setting up their own GCCs. How much of that compression are

you seeing in the market?
Salil Parekh

External Document © 202 5 Infosys Limited So, in GCC, in fact, my sense is you might have seen that we launched an AI GCC concept some
time ago. We had a client event a few months ago, where all the leading GCCs of the country, their leadership teams were here in Bangalore on our campus, and we did a 1-day session sharing with them what the latest developments were in overall

and also in the AI GCC. So, our traction on GCC
is looking very strong.
We do not externally share the milestone, but our revenue growth is good. Our work with them is good. In the GCC, there is always a life cycle. So, there are some which are expanding well. And there are some in the past where they have exited and we have sometimes participated in that and so on. And that continues , but the overall GCC like work both within the GCC and like the work we are doing with them, I think both are growing well .
Shilpa Phadnis
I have two questions, sir. When do you think AI-led revenues will be material enough to offset productivity -led compression that customers are seeing in the market?
Salil Parekh
I think, my sense is the AI-led revenues are extremely significant at 8% already. And if you look at the growth trajectory and if we execute on that well and the growth trajectory continues, we can see now long-term relevance of AI revenues to our clients from what we are doing.
The productivity will also continue. But I think it is both of those things because when we share our strategy and that Hexagon, we had outlined a $300 bn market opportunity, addressable market, s o that is all new revenue. And also the productivity will happen, but the significance, I think already we can start to see here.
Jayesh Sanghrajka
And if I can just add, if you look at when we launched our Hexagon in February of this year, our AI revenue for Q3 was 5.5% of our revenue. Today, it is already at 8.2%. So , it is growing at a very fast double-digit over double- digit growth. And at that pace, it is already becoming a growth engine in a way. So that it is becoming a long-term play in the way.
Shilpa Phadnis
This is not reclassification in any format?
Jayesh Sanghrajka
No.

External Document © 202 5 Infosys Limited Shilpa Phadnis
One last thing, sir. On the status of hikes, Infosys has not called that out yet. So where are you on that? And secondly, also on Forward Deployed Engineers, there is a lot of talk in the tech ecosystem about this. But how difficult is it for a services company to sort of plug FDEs into the existing workflows ? There are several challenges that companies are facing.
Salil Parekh
Let me start with the second one. We will come back to the first. On Frontier Engineers, we now have a very good plan, which has been put in place some time ago to scale that up. We have a lot of capability within Infosys, which are doing similar work. We are making sure that it works in the way that the Frontier Engineer needs to work with clients today. We have set the objective of 6,000 to make sure that the teams can work with different clients to make the impact.
We feel we have a good understanding of how that works because the capability is really the engineering plus the business context. And that is something that Infosys was good at , even before the AI wave of work had started. And we are making sure that becomes very much part of the future .
On the compensation increases, we will roll out our compensation increases in October and January in 2 parts and that is part of something internal that we have announced now.
Jayesh Sanghrajka
Yes, with most of the employees getting an increase in October and the senior employees will get it in January.
Rishi Basu
Thanks, Shilpa. The next question is from Avik Das from Business Standard.
Avik Das
Salil, good afternoon. Just 3 quick questions and one for Jayesh. You talked about how the macro perhaps has not improved over the last 3 months that you perhaps would have wanted to. Just wanted to understand, which are some of those parts of the macro that led you to first to increase it between 1.5% to 3.5% , now you sort of cut it down to 3% . So which are some of those areas which did not really work according to y our expectations?
Number 2 is that, would Infy ever at all, at least in the near future, would you want the company

to
move into the AI infrastructure business, data center, something that HCL and TCS has already
done?

External Document © 202 5 Infosys Limited And the last question is, what would you classify at least in your tenure as the most challenging
period? Was it the COVID or is it the AI-led transformation for Infosys?
And Jayesh, one question on the margins. Once you obviously roll out the hikes and with the growth projections tapered now, do you think you would be able to maintain the 20% to 22% band at least for this year? Just wanted to know that. Thank you.
Salil Parekh
Let me start off on the first one. I think a little bit later , Jayesh can also add a bit of colour. I think on the macro, what we see in the environment, we have had a sense that the macro was settling down. So, we had a guidance where the upper end looked at maybe things would settle down in the second half. Things are a little bit more uneven.
But at the same time, it could easily stabilize over time. So, we have kept the option, and we always have that ability because tech spending, discretionary spending can also come back if that happens. So, we are sharing more what we see today as opposed to like a prediction of what is going to happen exactly in a certain timeframe.
On the data center piece, so in fact, we have internally reviewed what we want to do in terms of our balance sheet. We have had a discussion with the management team and also with our Board. And we have decided to not do anything in that space at this stage.
What was the third?
Rishi Basu
Margin.
Salil Parekh
I think my focus in that is , making sure that we are very much focused today on what we need to do for this part of the work that I have to finish. I am very much enjoying that, and we will come to that at the right time in terms of what was in terms of the tenure and so on.
On the margin, Jayesh will have it, but yes, we will hold the guidance.
Jayesh Sanghrajka
So at this point in time, we have given a guidance of 20% to 22%. If you look at our first quarter, we are at 21.1%, right? If you look at puts -and-takes of where we are, the currency will be a tailwind at least where we see today, Project Maximus is working well.

External Document © 202 5 Infosys Limited If you look at the last three-year period, we have been consistently able to hold or improve our
margins despite investment in business, whether it is AI, whether it is talent or whether it is sales and marketing and we believe the project will continue to deliver value from pricing, from utilization, etc. So of course, we will have a headwind coming from the compensation in the second half of the year. But we are very confident at this point in time of the guidance band that we have given.
Rishi Basu
Thank you, Avik. The next question is from Haripriya Suresh from Reuters.
Haripriya Suresh Good evening, gentlemen. One is I wanted to get some colour on each of the verticals as well within Financial Services , Retail has seen some sort of hit this quarter as well. Some of your peers have called out some percentage of AI deflation in their portfolio. I mean, obviously, there is growth coming from AI, but also existing portfolio see some sort of deflation. If there is any number, you can provide for that?
And also, is outcome-based pricing becoming a larger part of your portfolio? And are there certain deals that tend to see more outcome-based pricing than others? Is there any kind of quantification you could offer, that would be very helpful?
Salil Parekh
I will start on the industries. Jayesh will add a little bit. And then let me address the other one, which is on, what we see on the outcome-based pricing and the compression piece that you mentioned there.
On the industries, what we see right now is, for example, Financial Services, we see the growth in that part of our business will be higher than the average growth within the company.
In En

ergy, Utilities part of our business, we will see something similar. We still see, for example, in Retail, some constraints in terms of the growth that we are not yet seeing the pickup in that. And there might be other things that Jayesh will add.
On the c ompression, I said in the past, we do see that in some places across our portfolio, but we have not externally quantified that c ompression at this stage.
On Outcome-Based Pricing, we see clients have a stronger interest in that. But typically, it is not so much that it is become a large part of our activity, but there is definitely more discussions on it. And typically, when the investment needs are heavy for transformation, it becomes more part of that

External Document © 202 5 Infosys Limited 14 discussion. But it is not that we are like shifting massively to it, but there is definitely more discussion
on it.
Haripriya Suresh
[Inaudible]
Salil Parekh
There is no particular type. It is more, I think, a function of other clients going through a transformation. And is there a need for some upfront investment, which can then translate into a transformation and then the outcome gives a benefit of that transformation.
Jayesh Sanghrajka
So just to add to what Salil was saying on segments. Financial Services and EURS , both we expect to deliver higher than the company average going forward or for the rest of the year.
Manufacturing, while we had an impact coming from one of the clients which we had called out last quarter as well , despite that Manufacturing has grown very well at close to 1.5% or slightly over 1.5% (Editor's comment: CC growth 1%) . So, I think that is commendable considering the headwind that the sector has seen.
Life Sciences, we will see benefit coming on the back of the acquisition in Healthcare and Life Sciences. So only two segments that continue to see challenges is Communication and Retail from that perspective.
And just to add on the outcome-based pricing, that is one of the specific tracks within Project Maximus as well. So, there is a leader at the organization level who is working with all the segments and driving outcome-based pricing and we have a very specific focus on that.
Rishi Basu
Thanks, Haripriya. The next question is from Beena Parmar from The Economic Times.
Beena Parmar
Just a bit on the consolidation deals, the six consolidation deals, which spaces are these in? And how many of these are large deals? And secondly, Infosys has lost some of the existing renewals, at least three in the know. What are the factors that led to that? What are your reasons?

External Document © 202 5 Infosys Limited 15 On the guidance also, if you could just extend a little bit on the colour on why really the upper limit
was reduced? Do you see macroeconomic environment further worsening o r do you see that conversations have been a little different from last quarter? And secondly, are you still looking at acquisitions and investments and which spaces will these be in? And lastly, what next for Salil Parekh?
Salil Parekh
So on the first one, I think the consolidation deals, the ones I was referring to, are all in the large deals. So those are not the ones , we were only saying, like, within the large deal, we see those many consolidation deals . We are not specifying in which areas, but these are typically in the bigger industries that we operate in. And there are big companies who are looking to consolidate across partners. And that is where we have seen it. But we are not specifying where we see that.
Beena Parmar
You lost some renewals ?
Salil Parekh
Yes. So, we do not comment on any specific deals in the environment, in any case. However, we are quite clear that our focus overall is to make sure that we are working with clients on projects and contracts that make economic sense to us. But no specific comment beyond that. We want to make sure that economically, it makes sense

to us in some of these situations as well.
The guidance, I will also request Jayesh. I have also said a few things that he will add to it. What we see is given where we were in Q1, which is the outcome that we had with one of the delivery client decisions that I shared, w e want to make sure that we have a guidance that reflects all of that.
And then looking at the changes, whether i t is in volumes, whether i t is in some level of pricing mix that is how we built the guidance. As we go through the year, we typically reduce the band as well, so instead of 2 points, i t is now like a 1.5 point band as we go through the quarters. And that is how we built the guidance. Jayesh will add to it.
To your other question, I think for me really the attention is , on what we are driving through for this year, making sure that we continue to lead in AI, making sure that we continue to win market share and making sure that we have an absolutely smooth transition. I very much enjoy what I am doing, and I am sure once all of this is done, I will have time to focus on what is next.
Acquisitions, we are continuing to look at acquisitions. We have a good pipeline in that. We did the acquisition on Life Sciences , Healthcare. We did the acquisition on Insurance. We have other areas

External Document © 202 5 Infosys Limited 16 that we have an interest in. So, we have a view in geography that we are looking at some
geographies where we could do more work, and those are good geographies. We could do more in

some of the other industries as well . For example, we are not doing anything, but we have seen that there could be things we could do in Telco and Financial Services, a little bit more in H ealthcare. There are areas that we could do, which are more s ervice -line oriented. We think there is good traction in where AI can be leveraged into processes and agent building. But there is a pipeline and we will continue with the acquisitions.

Jayesh Sanghrajka

Just to add to what Salil was saying and I will come to g uidance in a bit. On the consolidation deal of the six deals that we have won, i t is a $700 mn of net new business that we have won. So, we have seen positive impact coming out of the consolidation deal and we have been on the positive side of the market share.

On the g uidance, whatever happens in Q1 typically has a cascading impact on the whole year. While we will see benefit coming out of the acquisition that we completed in Q1, the one-off impact that we had in Q1, the softer -than-expected volume and price that we got in Q1 will have a cascading effect on the rest of the year in terms of guidance.

In terms of the large deal that we talked about with the European client where we decided to not bid beyond the point because it did not make commercial sense or economic sense as Salil said, that will have an additional impact in Q4 as the deal comes to a closure in December. So, that is also baked in our guidance.

And if you compare to last year, we have additional headwinds coming from the lower on-site mix, as I called out in the last quarter because of our conscious decision of derisking our business model . Deals that we lost in the last quarter from the same European manufacturing client and that impact, which was baked in the original guidance as well.

So, all of this cumulatively results in our guidance, there are multiple models that leads to the lower end and the upper end of the guidance and that is how the guidance is baked in.

Rishi Basu

Thank you. The next question is from Sanjana from The Hindu Business Line.

Sanjana B

Good evening, gentlemen. Just two questions. Coming to rupee depreciation, how much of a tailwind has that provided to your margins in Q1 or going ahead, how do you see that panning out? And the

 other one is, how is AI improving or what kind of impact does it have on your employee productivi

ty?

And how is this affecting the revenue per employee metric? Just these two questions. Thank you.

Salil Parekh

I will start on the second one and Jayesh will come on the first. So if you look at not this quarter, but the previous several quarters, we have had a good improvement in revenue productivity. We generally speaking, see overall that there is a benefit from that productivity coming.

Having said that, we are recruiting. We have recruited 20,000 college graduates last year . This year, we have a plan to recruit 20,000 college graduates. We have already done almost 4,000 in the first quarter. But equally, we see that there is a productivity benefit, that will continue to come through. Then, of course, you also have pricing issues within the market, so those sometimes balance out. But if I look back, not this quarter with the previous several quarters, we have seen a continuous expansion of that.

Jayesh Sanghrajka

And on rupee depreciation, every 1% change in the currency or depreciation in dollar typically gives you anywhere between 15 to 17 bps on margin. But the important thing to note also is whenever dollar appreciates against rupee, it generally appreciates against most of the currency also. And we have roughly 45% of revenue coming from non -U.S. geography and that kind of offsets some part of the rupee depreciation benefit.

Rishi Basu

Thank you. The next question is from Uma Kannan from Deccan Herald.

Uma Kannan

Good evening gentlemen. With the rise in security incidents around autonomous AI agents and recent breach at model hosting platform, it is about OpenAI hack. How are you updating your approach to safety and security ? Just adding on to it, using cross domain network, is it not a risk for your client database as AI tools will have full access to it? And also tell us about the guardrails you have put in place for AI systems ?

Salil Parekh

 So on the cyber, I think what we have done is , made sure that, for example, when there was a whole
discussion some time ago with Mythos, we had worked with the previous model, OPUS 4.7, made
sure that we got an understanding of some of the security protocols beyond that and build an approach that enabled o ur clients to have an understanding of the vulnerability and how to protect

against it. And that is some work that we are doing with several clients.
So, our approach across cyber encompasses that, related to the point that you made. I think each client environment has to have that sort of a cyber defence buil t and we have a way to support our clients when we work with them on the cyber area beyond working just on the foundation model area.
Our own approach to cyber within the Infosys incorporates that as well. And then that translates to, when we do work for our clients through our security operation centers and so on. So that is broadly the approach we have.
Uma Kannan
So just one more question. You spoke about acquisition plans. One of your peers has invested in Indian AI firm. So do you have plans to invest especially in Indian AI firms?
Salil Parekh
So we , generally speaking, have a view on what we have, an innovation fund which invests in companies which are in very early stage and where we do not have essentially majority interest, we have a small minority interest in that, more from the perspective of seeing if that early or new technology can be deployed across our client base or can be leveraged in some way , so that is the way the innovation fund is working.
We have several investments into that over the past years, a lot into data and analytics, but now in many other technologies. So in that light, we will look at all opportunities that are there without specifically saying, yes or no to what you are suggesting. But in that broad context of the innovation fund, we will look at it.
Rishi Basu
Thanks Uma. Next question is from Rohit Ch

intapali from Businessworld.
Rohit Chintapali
Hi Salil. Give us an idea about the large deal TCV which was about $3.6 bn with 61% net new. How much of this pipeline was tied to Agentic AI and Infosys Topaz? And the second part of the question

 is, what is the typical time lag when it comes to converting this TCV signing, AI-led deals, the
recognition of these AI deals?
Salil Parekh
So what has happened today with clients discussions is almost every discussion has some element of AI and of Topaz Fabric because Topaz Fabric is like a foundational thing. Many clients come use it here, experiment with it and are using it. And we use Topaz across all of the work we are doing.
So it is not like what is the total TCV is for AI, but without AI, we are not able to participate because that is integral to the work that we are doing.
The conversion is the same in the sense of when the deals are signed, typically, depending on the type of deals if there are deals where we have some level of transfer, consolidation that ramp up pretty quickly and there are some deals which have a transformation and that activity starts and then the deals ramp up. So, it is not like one thing for all the deals, but it is the similar thing of what we
have seen over the past several quarters, not like suddenly the TCV has come and the ramp-up has not happened for a long period and so on.
Rohit Chintapali
Also, on the transition , does this transition all about strategic continuity? How should investors kind of read into it? What do you want to see?
Salil Parekh
We have well -defined AI strategy today. We have looked at the Hexagon with the 6 areas of the addressable market. We are seeing good growth, the 8% of our revenue, the double-digit Q-on-Q growth. So that i s the strategy we will continue with as we go through into the next phase. And then, of course, I will work with Dash very closely on the transition as well.
Rishi Basu
Thanks, Rohit. The next question is from Poulomi Chatterjee from Financial Express.
Poulomi Chatterjee
Good evening. Just a couple of questions. You mentioned just now that the new kinds of AI deals are also a mix of the more traditional ones and pure-play AI. How do you see the margins of the new buckets of AI deals essentially evolving?

 And also, I am curious, Infosys had offerings for small language models, speci alized models in
banking and IT -Ops, how is the demand for these models? And has there been an uptick, especially since enterprises are moving more towards a more mixed model kind of?
Salil Parekh
Absolutely. I think that i s exactly what we are seeing for the small language model for the banking is getting good traction. It is based on our Finacle product set. So, for a lot of the clients there, it is an easy way to leverage a small language model .in The parameter set is smaller , the cost of running it

is smaller, the token usage is more efficient and so on. The same for the IT -Ops. So that is all part of scaling.
On the AI deals itself, we do not comment separately on the margin in terms of the quantitative value but we are quite comfortable with the margin we are seeing here.
Rishi Basu Thank you. The next question is from Jas Bardia from Mint.
Jas Bardia
Good evening. So in response to a previous question, on the mandate for the new CEO D esignate, you said there were some things that you would fine-tune. Could you just shed some more light on what these things would be?
Second, amid all this talk of rising data center demand and slowdown in mainframe modernization, are you seeing clients spend more on memory chips, GPU? And if yes, are you seeing that lead to some sort of a slowdown in the traditional infra management work?
If I may squeeze a third question in , when it comes to deals and the demand environment, are you seeing AI, kind of, make the mar

ket a little more competitive between the mid-caps and the large caps such as yourself?
Salil Parekh
So on the first one, let me say this. I think our AI strategy is well defined. We are focused on the 6 areas and that will continue. We see good traction in that, we see good growth in that. It is now becoming a large part of our revenue with 8% ,and so that will continue and that is the driving part of it. The approach that we will take is always look at what is going on in the environment.

 We see, for example, today, there is a tremendous attention to token cost. There is a tremendous
attention to ensuring there is a sovereignty of data within a client environment. But the overall strategy remains the same. Those sorts of things, we will evolve as we go along.
Related to the i nfra environment, the costs, as you mentioned of memory chips and so on, I think in general, these are all areas, whether it is Infra, other areas where there i s always a need for efficiency. And that is the overarching theme that we see, whether there are productivity improvements, a lot of our large deals look at cost and so on, and that is primarily the environment that we are in. Having said that, we are still seeing tremendous growth that I shared earlier in AI, which is absolutely the new things that we are driving toward s.
Rishi Basu
There was a question on deals and demand environment.
Salil Parekh
We see a few companies where we compete given our client base. And those are the ones that we look at as an essential differentiator on AI that I shared earlier . Also on the quality of delivery and the depth of delivery which is massive and it i s at least in my view, very difficult for too many or for any company to really match up with that.
Rishi Basu
Thank you, Jas. The next question is from Rukmini Rao from Fortune India.
Rukmini R
Thanks, Rishi. Salil, given that if you are looking at Microsoft, which recently launched their frontier company and Anthropic looking at Claude, with big tech getting into AI services space. Are they going to be competitors where probably you and your peers may someday become just vendors giving in your engineers , given that partnership that you have with many of them, where your training lakhs of people on these models, right? Will Indian IT companies end up becoming subcontractors at the end of the day, if these guys get into the game?
Two, if that happens, will that rob you from, say, the bigger opportunities that all of you have been talking about in the AI space that the massive opportunity that all of you think is going to be? But if the big boys get into this entire services space, is the future opportunity that you are talking about getting squeezed?

 And second one, in conjuncture with all the problems in terms of the cybersecurity part of these LLM
models, right? When large corporations are looking at their own agentic environment, given your conversations with clients, are large companies okay to be under the umbrella of just one ecosystem, let us say, just a Claude Enterprise kind of adoption, which we saw ? I mean what happened with
SaaS given the problems that is with these LLMs, will they ever be like an entire, let us say, Copilot environment in which any enterprise would be okay to work , or just an OpenAI environment given the cybersecurity problems that are cropping up at very nascent stage of the adoption? Thank you.
Salil Parekh
So on the first one, if there are companies that want to enter the services space, so that AI can be made to work , it is actually a huge positive for Infosys because that means that, what we do will continue to be done because that is what we do every day. Our job is to make AI work as services for clients. It now so happens that we have over 300,000 people doing that. We work with some 1,800 clients. So the

scale, the context that we have with our clients is completely different. So to
me, it is a huge positive. Of course, we are happy to work with other companies, partner with them.
That goes on in many different ways across time. But the first big thing for me is, at least if someone
new is entering services means there is a very good future for services that they can see and
therefore we can see it.
On the Cyber, I think, absolutely, not just cyber actually, the data part also, so many large companies
and clients want to be mindful of how they look at what is happening with their own data or even beyond that, what is the essence of the company, how they are making sure it just does not go
outside and they lose some of their competitive differentiation.
So, one of the things we have done in Topaz Fabric is enabled the large company client to keep that
within themselves. It is not even with us in that sense on Topaz Fabric is not with the foundation
model company. So that allows them to keep what is essential for them with themselves. And that to me is a huge differentiator for us, and I think may become even more and more important as time
goes on.
Rukmini Rao
Salil, just to clarify, when you say great opportunity, is it like, again, the whole subcontracting vendor
kind of opportunity that you are talking about or probably the big contracts that Microsoft would end
up winning if they are AI services company and you end up getting like a chunk of it and everybody
else goes about the same way now , and then vendor consolidation deal coming in about 5 years
later, is that what you say when you are saying that you are optimistic about the opportunity?
Salil Parekh

External Document © 202 5 Infosys Limited 23 No, no. I am more looking at it like if someone with a few hundred people or a few thousand people
can get excited about services. We with 300,000 people will be very excited about services.
Rukmini R ao
[Inaudible]
Salil Parekh
So my sense is like where we have understanding of our client and the context of that client. I think
we are extremely well positioned in those places. I would say, better than maybe anyone else.
Rishi Basu Thank you. With that, we come to the end of this press conference. We thank our friends from media.
Thank you, Salil, and thank you, Jayesh. Before we conclude, please note that the archived webcast
of the press conference will be available on the Infosys website and on our YouTube channel later
today. Thank you and please join us for h igh tea outside.

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Infosys Limited
Q1 FY27 Earnings Conference Call
July 23, 2026

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Chief Executive Officer and Managing Director

Jayesh Sanghrajka Chief Financial Officer

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External Document © 2026 Infosys Limited James Friedman
Susquehanna

External Document © 2026 Infosys Limited Moderator
Ladies and gentlemen greetings and welcome to Info sys Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation conc ludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over

to Mr. Sandeep Mahi ndroo. Thank you and over to Mr. Mahindroo.
Sandeep Mahindroo
Thank you everyone, and welcome to this earnings ca ll to discuss Infosys Q1 FY27 financial results. Joining us on this call is Chairman of the B oard, Mr. Nandan Nilekani, CEO Mr. Salil Parekh, CFO Mr. Jayesh Sanghrajka, along with other members of the leadership team.
We will start the call with some remarks by N andan, followed by remarks by Salil and Jayesh on the performance. Subsequent to that, we will open up t he call for questions with Salil and Jayesh. Kindly note that anything we say which refers to our future outlook is a forward-looking statement that must be read in conjunction with the risk that the company faces. A full statement and explanation of these risks is available in our filings with the SEC, which can be found on www.sec.gov.
I would now like to pass on the call to Nandan.
Nandan Nilekani
Thank you, Sandeep and it is really a pleasure to talk to all of you. I joined this call to make an important announcement. As you know, Salil has done a stellar job as the CEO for almost 10 years. And under his leadership, the company has grown fr om $10 bn to $20 bn. He has done the transition to the digital era and he has laid the foundation for a differentiated AI strategy, which will serve the company in good stead for many more years.
However, his term is coming to an end on March 31, 2027 and the Board has decided today to appoint a new CEO who is coming from inside Infosy s, from within, an internal candidate. His name

is Ashiss Dash.
Ashiss Dash has been in Infosys for more than 31 years. He joined as a software engineer from IIT Kharagpur and he has all-around experienc e of Infosys. He has worked in delivery for many years, he has worked on account management, he has been invo lved in starting a DC in Bhubaneswar, he has been in sales. And of course, he has been a Segment Head for many years running the EURS

 practice, which has many sub-verticals and he is an outstanding person. He is very good at his job,
he is very collegial, He is very good and collaborativ e, he is accepted and liked by everybody in the company. He has quintessential Infosys values, at the same time, he is focused on the market and being able to get good deals, at good revenue and good margin.
And because of his technical background, he underst ands AI, what is happening in AI and that will help him in the future. So the Board has appointed Mr. Dash as the next CEO, Designate. He will work with Salil over the next few months. Next 2-3 months, he will focus on getting more coaching and training on being a CEO. And then for 6 m onths, he will work as a mentee under Salil's leadership, who will groom him for the comple x job of managing a $20 bn company at a very transformational time. So we are all very excited by the choice. He has got a very good response internally and with cust omers. And you will get to see him in a few months, so you can maybe keep that in mind.
I will ask Salil to add a few words on Dash.
Salil Parekh
Thanks, Nandan. Good morning, good evening, everyone. It is an absolute pleasure for me to have Dash be the next CEO of the company. I have had the opportunity to work with him over the last several years. In my mind, he is a fantastic leader and very good with the people around. He has worked very closely with clients and built a portfolio which is, I think, quite strong and exceptional on the growth dimension and the way it is mana ged operationally and economically, so all of the ingredients which make for a successful business.
In addition to his leadership, Dash is a very good friend and I am delighted wi th this. Congratulations to him. I look forward to working with him ov er the course of the next few months, as Nandan mentioned, in the way we transition there. So l ook forward to all of that. And as Nandan said, you will

get to meet Dash in the coming quarters as well.
Nandan Nilekani
So thank you, and I will excuse myself and Salil and Jayesh and the team will continue the quarterly call. Thank you very much.
Salil Parekh
Thanks Nandan. Good evening and good morning to everyo ne on the call. Thank you for joining us. Let me start off with the update for the business in this quarter.

 Our revenue growth for Q1 was 2.4% Y-on-Y and 1% Q-on-Q in constant currency terms. We had a
onetime revenue impact of a client decision during this quarter.
Our AI services revenue was 8.2% of overall re venue. Our large deals were $3.6 bn with a net new of 61%. Our operating margin was 21.1%. Free cash flow at $955 mn. And our earnings per share were higher by 15% in Q1, in rupee terms.
We saw a strong acceleration in our AI business, as I shared earlier, with AI revenues for the quarter at 8.2%. This is growing at double-digit Q-on-Q over the last several quarters.
With this momentum, we see long-term relevance of our services for our clients. From our delivery team, over 80,000 employees are working today on coding tools su ch as Claude Code or Codex for our clients and for some projects inside. We saw strong traction across the 6 areas of growth in our AI strategy, Hexagon. We see client work, for exam ple, in building agents for processes, work on data, in AI, in modernization and of course, in coding tools.
For a health care company, we implemented AI agents to automate medicaid eligibility verification and operation support. The solution reduced eligibilit y verification time from about 6 to 8 days to approximately 4 minutes.
We are building a team of frontier engineers to s upport our client work. Our plan is to have 6,000 frontier engineers over the next few years.
We have built a platform, Topaz Fabr ic that allows our clients to get benefits of AI, while keeping the sovereignty of their data and company knowledge with themselves. Our clients are able to work with any foundation model closed, open weight, on cloud, on their server. Topaz Fabric provides a

harness to a client to enable them to more full y deploy the benefits of the foundation models into their organization.
Our clients are also able to optim ize their token cost by ensuring appropriate models are used for appropriate tasks. Overall, we see a good pipeline fo r AI services, and that gives us a good view for continued AI work with our clients.
Outside of that, we continue to see the macro-env ironment remaining uncertain. With our Q1 results and a view of the rest of the financial year, we have changed our revenue growth guidance to 1.5% to 3% Y-on-Y growth in constant currency term s. Our operating margin guidance remains the same at 20% to 22%. Thank you.
And with that, let me hand it over to Jayesh for his update.

External Document © 2026 Infosys Limited Jayesh Sanghrajka
Thank you, Salil. Good morning, good evening everyone and thank you for joining the call today.
We entered FY27 against a backdrop of a dynami c and evolving business environment, which is reflected in lower-than expected volumes. Client s continue to prioritize investments in AI, modernization, cloud and productivity initiatives whil e remaining selective in discretionary spending.
Our focus remains on disciplined execution supporting clients' transformation agenda and delivering sustainable financial performance.
Q1 revenues were at $5,082 mn, increase of 1% s equentially and 2.4% Y-on-Y in constant currency terms. Acquisitions contributed approximately 1.1% sequentially.
Our AI revenue momentum is very strong with AI revenues at 8.2% of our overall revenues, growing at a strong double-digit sequentially over the last many quarters. We are seeing strong traction across all 6 value pools with higher share of re venues coming from process AI, AI strategy and engineering and Data for AI.

Q1 revenue growth was lower than our expectations, mainly due to
- one-off 50 basis point impact on account of progr am termination by an EURS client during the quarter. This was not factored in the earlier guidance.
- Volumes were soft and weaker than expectation s and also versus the historical Q1 trends
- Additionally, client expectation on productivity, along with high competitive intensity is resulting in softer increase in price versus our expectations.

Sequential revenue growth was also impacted by higher offshoring to der isk our business model, along with lower revenues from a European Manufacturi ng client, as I mentioned in the last earnings call.
Despite lower-than-expected growth, gross margin s improved by 60 bps sequentially. Operating margin improved by 20 bps sequentially to 21.1%. Major components of the change are as below-
Tailwinds of
- 70 bps from rupee depreciation,
- 20 bps from Project Maximus, - 10 bps (Editor's comment) net benefit due to amortiza tion of costs on intangibles incurred in Q4,

offset by impact of new acquisitions in Q1
Headwinds of

External Document © 2026 Infosys Limited - 50 bps from investment in AI sales and marketing,
- 40 bps from onetime revenue impact aris ing out of program termination.

We also had onetime cost benefit of approximately 30 bps, which was offset by 20 bps due to increase in various other expenses.
Our tight focus on improving operational efficiency led to utilization, excluding trainees, improving by 1.9% to 84.9%.
Onsite mix, excluding new acqui sitions, dropped by 30 bps, however including acquisitions, it remained flat. We expect Onsite mix excluding new acquisitions to reduce by 75 bps to 1% for the year.
DSO reduced by 4 days sequentially to 63. DSO, including unbilled net of unearned was 76 days versus 78 in Q4. Headcount reduced by 500 empl oyees after adding over 2,000 employees from acquisitions.
Attrition increased slightly to 13% versus 12.6% seq uentially, in-line with Q1 seasonality. We plan to give salary hikes to most of our employees effectiv e October while the rest of the employees will be covered in January '27.
We expect effective tax rate for the year to be in the range of 29% to 30%.
EPS for the quarter stood at INR19.19, up approximately 15% year-on-year.

Q1 yield on cash investment balance was at 6.8%. Our balance sheet continues to be strong and debt -free. Consolidated cash and cash equivalents
were at $3.9 bn at the end of the quarter after returning more than $1 bn to the shareholders through dividends. Free cash flow was strong at $955 mn at 116.5% of net profit.
Large deal wins were strong at $3.6 bn with high net new of 61%, reflecting the relevance of our value proposition. Out of the 22 large deal won, we had three deals worth $400 mn each. We have been on the positive side of vendor consolidation with 20% of the total large deal TCV being from new vendor consolidation deals.
Vertical-wise, we won 5 deals in Financial Serv ices and Communications, 4 in EURS, 3 in Manufacturing, 2 in Retail, 1 each in Life Scienc e, HiTech and others. Region-wise, we signed 11 deals in North America, 8 in Europe and 3 in the Rest of the world.
Coming to Verticals;

 In Financial Services, uncertainty and geopolitical in stability is causing some client' hesitancy as
spending patterns are taking a more cautious approach. Client priorities are centered on efficiency, productivity and modernization with discretionary spend being evaluated more carefully. We see momentum across banking, payments, capital markets and wealth management. AI adoption has been incremental additive with client s increasingly engaging us to s upport their AI journeys across
strategy, platforms, engineering and operations. This is reflected in our strong deal wins this quarter with approximately $1 bn in large deal net new TC V. GCCs continue

to expand and we are partnering
with our clients both in setup and growth of GCCs.
Growth in Manufacturing continues to be impacted due to lower revenue from a large client. Clients remain cautious on discretionary spend and decisi on making is elongated, especially in European auto. The impact of tariffs, geopolitical uncerta inty and energy cost is keeping budgets tightly controlled. While AI adoption is creating new oppor tunity areas, it is also raising productivity expectations from clients. We are getting better pricing on AI skills and consulting. We remain focused on supporting clients through digital, AI modernization and consolidation initiatives while balancing growth opportunities with discipli ned deal selection and sustainable pricing.
EURS segment was impacted by one-off client termi nation, adjusted for which the growth was strong. Macroeconomic uncertainty continues to infl uence client spending patterns and decision-making timelines. Clients are driving business priorities, including cost optimization, operational resilience, productivity improvements and regulat ory compliance. Generative AI is emerging as a strong growth catalyst, driving process re-im agination and productivity initiative s. Our partnerships with hyper-scalers and AI native compani es is allowing us to experiment and ideate faster.
In Retail and CPG, consumer spend remains muted and budgets are tightly controlled due to geopolitics, inflation and tariffs. Spend is shifti ng towards AI modernization and productivity-led programs funded through operational efficiency and cost optimization. Clients are asking for AI-led productivity commitments leading to new pricing structures. We ar e leveraging our native knowledge of the clients' business processes and technol ogy landscapes and augmenting it with AI. Large deal pipeline is healthy, but decision cycles are longer.
In Communications, operating environment remain s challenging as clients continue to exercise discipline on discretionary spending and closely scru tinize investment decisions. AI is reshaping spending patterns, enterprises are increasingly prio ritizing initiatives that deliver near-term gains. Telcom is undergoing significant transformation with consoli dation and M&A with increased investments, especially for OEMs. We remain fo cused on aligning our offerings to these evolving client priorities and helping enterprise realize measurable business outcomes.

 Considering lower-than-expected Q1 revenues and revi sed view of the rest of the year, we are
revising our revenue guidance to 1.5% to 3%. This includes
- approximately 1.7% contribution from recently closed acquisitions of Optimum Healthcare and Stratus
- slightly over 1% impact from large a European Manufacturing client due to reduced client spend along with our conscious decision to not pursue certain deals that were not aligned to our return expectations
- approximately 0.75% to 1% impac t from shift towards offshore.
Overall business environment continues to remain volatile. The lower end of the guidance assumes further deterioration in macro. Top end of t he guidance assumes an improvement in macro, though

lower than what we had assumed in April guidance . FS and EURS are expected to grow higher than the company average.
The underlying fundamentals of our business remain strong. We continue to see healthy client engagements leading to a robust pipeline.
We are taking decisive actions to capitalize on the opportunities ahead, espec ially on 6 identified AI value pools. Spending is shifting towards areas with clear business cases such as, AI-led Modernization, Cost Transformation, Cybersecuri ty, Cloud Optimization and Vendor Consolidation.
As we look at the rest of the year, we remain co nfident in our strategy, di scipline in our investments and focus on delivering stronger performance. Margin guidance is

maintained at 20% to 22%. This
assumes headwind from wage hikes productivity pa ss-throughs, AI investments and 50 basis point impact from acquisitions of Optimum Healthcare and Stratus. These headwinds will be partly offset by initiatives under Project Maximus and currency benefits.
With that, we can open up for the questions. Thank you.
Moderator
Thank you very much. We will now begin with the question-and-answer session. First question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh
Hi, good evening and thank you for taking my question. My first question was a bit of a clarification around the guidance, especially the like-to-like guidanc e what we had given last quarter versus this quarter. If I am looking at the new guidance that is at the midpoint, suggesting 2.25% sort of growth,

 which I understand you indicated includes acquisiti on of about 1.7%. So that would imply an organic
growth of about 0.5% or slightly higher than that versus 2.5%, which was in the last quarter. So, is that about 2 percentage point of cut at the midpoint in the guidance or am I reading that wrong?
Jayesh Sanghrajka
Hi, Kumar. So, the last quarter midpoint would be around 2.2%. In the guidance because, as you remember, we had said 20 bps was the Stratus which was already baked in, in the guidance, which was 1.5% to 3.5%.
Kumar Rakesh
Okay. Got that. So in that case, like-to-like this time, it would be about 0.8% sort of a number, excluding the incremental acquisition that we have baked in?
Jayesh Sanghrajka
Yes.
Kumar Rakesh
Got that. And looking into the second quarter, giv en some of the impact that we have seen in this quarter with lower-than-expected volume and one-time client-related decision as well, how much of that you are expecting that to flow into second quarter as well? And how you are looking at the demand environment and the growth momentum?
Jayesh Sanghrajka
So Kumar, as you know. typically, whatever happens in Q1, it will have a cascading effect in Q2. And especially if the volumes have been softer through the Q1, automatically, it will have some impact on Q2 and therefore, the rest of the year. T hat kind of largely explains the guidance change.
As I said earlier, the multiple reasons on the change in guidance is, first of all, one-off that we had in one of the EURS client, the volumes that were softe r with the cascading effect, the ask of productivity from clients and increased competitiveness, competit ion in pricing that reflected in a lower-than-expected pricing this quarter, which will again have effect on the rest of the year.
And as I had called out at the beginning of the year , we expect our onsite mix to be lower by roughly around 0.75% to 1%, which will have impact on a year -to-year comparison, if you are doing. We had called out a European manufacturing client’s impact between 0.75% to 1% last time which is now

 clearly above 1% as we have progressed on certain other deals as well, so that is an additional
headwind as well. So all of that is baked in, in the revised guidance.
Kumar Rakesh
Thanks a lot Jayesh for that. Just one clarificat ion around the one time client decision which you spoke about, if you could give some context to tha t, that would be great. That is all from my side. Thank you.
Jayesh Sanghrajka

Thanks so much. So, this is with respect to a cl ient, which has terminated a project in the EURS vertical.

Kumar Rakesh

Got it. Thank you.

Moderator

Thank you. Next question is from the line of Jonathan Lee from Guggenheim. Please go ahead.

Jonathan Lee

Great. Thanks for taking my question. You mentioned that softer volumes and pricing contributed to Q1 alongside the program termin ation and at the upper end of the prior guide assumed macro stabilization that is not materialized.

Can you walk

us through how the quar ter progressed relative to inter nal expectations, whether April, May and June trended differently w hen the program termination was communicated to you and whether decision-making velocity and discreti onary spend deteriorated or stabilized through the quarter? And what have you seen in the first 2 week s of July that may inform your shape of Q2?

Jayesh Sanghrajka

So Jonathan, sorry I was not very clear with the question, but from whatever I understood the question is, whether we saw the change through the quarter and the increase in volatility.

The softness that we saw in terms of volumes was through the quarter, the one-off impact that we saw was mainly on account of a client termination, which happened towards the end of the quarter. And the deal that we talked about, European client that was also towards the end of the quarter. So

I think all of those factors reflected in the revi sed guidance, if that is what you are looking at.

 Jonathan Lee

Thanks for that color. And given your commentary on pricing, particularly around the competition has been building for several quarters and Maximus expl icitly includes value-based selling, why were pricing headwinds not more fully contemplated in the April outlook what has changed over the last three months? Is the pressure concentrated in specif ic verticals or deal types of renewals versus the new? And what gives you visibility that pricing may actually stabilize from here?

Jayesh Sanghrajka

Jonathan, we are not saying that we are not seei ng a price increase. What I am saying here is, we have not seen as much price increase that we env isaged at the beginning of the year on the back of the AI productivity ask of the clients, plus the in tensifying competitiveness in the market. But we are still seeing a net increase in the pricing.

Jonathan Lee

I appreciate that clarification. Moderator

Thank you very much. Next question is from the lin e of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria

Hi, thank you for taking my question. My first question is on the multip le client-specific issues, one is the European automotive that we highlighted last quarter than this quarter on the EURS vertical. How should we think about all these like our co mpletely disconnected issues and just happened to take place at the same time coincidentally or t here are certain common link s, which basically could be early renewals, competitive pricing, et c., going on because of the technology change?

So just trying to understand how much of it is led by underlying changes in technology happening and driving clients to take these decisions and creat ing competitiveness in the market or are they completely disconnected events?

Jayesh Sanghrajka

So Gaurav, there are two parts of the question, one is, the European manufacturing client that you talked about it, we knew certain part of the deals at the beginning of the year, which was in April, and there was additional deals that happened in Q1 of this year. Both of these were the deals where

 we decided not to pursue the deals beyond a certain point because it did not make economic sense

for us, a commercial sense for ourselves, and that is the reason that has nothing to do with the client behaviour in terms of AI, etc..

The other deal is a contract where the client has te rminated the contract for various reasons. Again, nothing to do with AI here. It is a termination of the contract and therefore, a reduction in revenue.

Gaurav Rateria

Got it. My second question is on your margin outl ook. I know that you maintained your outlook on the band, but now that you have announced the wage hike for second half for the company as a whole. So there will be increm ental headwinds around that. So just wanted to understand what would be some levers that will help y

ou to offset these pressures in the second half? And would it be fair
to say that our aspiration will be to just hold on the margin level compared to the last year and this year? Thank you.
Jayesh Sanghrajka
So Gaurav, at this point in time, we have given a guidance of 20% to 22% let me say that at the outset, we are very confident of that guidance. Of c ourse, as I called out at the beginning of the year, we will have a headwind coming out from the acquisi tion that we have done in terms of amortization of intangibles and retention pay out to the founder s or the management team, etc., of the acquired entities.
But we also have tailwinds coming from currency coming from Project Maximus. As you see this quarter also, we have got 20 bps of tailwinds from Project Maximus, 70 bps of currency, so all of those are tailwinds. As we look forwar d, as I said earlier as well in the call, we will have 0.75% to 1% reduction in onsite mix, so that is the tailwind. So all of those are tailwinds , puts-and-takes all of that put together, we are still very confident of maintaining our margin guidance.
Gaurav Rateria
Thank you. All the best.
Jayesh Sanghrajka
Thank you. Moderator
Thank you. Next question is from the line of Abhishek from Motilal Oswal. Please go ahead.

 Abhishek Pathak
Yes, hi. So, I think my question is on deal wins. It does look like we have had a pretty decent quarter on deal TCV, net new seems to be decently strong as well as compared to historical levels. But clearly, that is not kind of translating into guidance.
So how is the TCV versus ACV dynamic playin g out? Are we seeing extended TCV or extended 10 years right now, which is leading to lower ACV or are we seeing sort of delayed ramp-ups, but clients are still committing to spends, that will be very help ful to understand with regards to the conversion of the deals that we are winning.
Jayesh Sanghrajka
So, Abhishek, if you look at the deal wins, typically the terms of the large deals have not gone up. They still remain between on an average between 3 to 5 years. Of course, when you look at some of the mega deals, the terms could be longer. But in the current year, we have most of the deals which are not mega deals. The deals that we si gned, while most of them were less than $500 mn, we did have some deals between $400 mn to $500 mn, 3 of them.
What we also need to remember is, whenever t he deal comes up for renewal, we always used to have the additional productivity ask from the client, wh ich is how traditionally this industry has been. On the back of AI, there is an additional deflation or the AI led deflation as we call it. So that is a headwind that is there. That is not only on the lar ge deal portion, that is also there on the non-large deal portion. So that is what is getting offs et by the net new business that we are seeing.
Abhishek Pathak
Understood. And could you quantify the deflation, if you can? I know it is so dynamic, but just a quantification about the deflation entails would be helpful. And lastly, how do we define AI-led revenues? Is this AI implementation or AI infused, ju st a broad sense of that will also be very helpful. Thanks. That is from my side.
Salil Parekh
Hi, this is Salil. On the AI, and I will come to the other one after that. I think what we are seeing on the AI revenues is, these are revenues which are coming from the strategic framework we described at the Investor Day, which are the 6 areas that we see new growth, the new addressable market of $300 bn. For example, process AI, for example, ma king AI engineering strategy work. For example, data, which is needed, the data layer for AI. And each of those 6 areas, we see a good growth. This

 revenue is 8.2%, growing double-digit Q-on-Q over t he last several quarters.
And that is the primary
AI revenue.
Internally

, we also look at AI revenue, which you referenced like infused, augmented or where AI is and part of an existing work stream that becomes mo re AI. But this specific one that we shared externally is, what we see from th e AI strategy that we put together.
On the quantification, we do not quantify that comp ression part externally, but we acknowledge of course there is a compression and internally, we trac k it to see how that work s. Now in many cases, when there is the compression, we typically, giv en the work we are doing with clients, have the opportunity to do more work in other areas. So the contract terms, scope, etc., gets redefined.
And in many cases, we see adjacent to that other pieces of work, not related to that, which come through. So it is not easy to simply say like-for-lik e in many cases, but they are definitely we see a compression.
Jayesh Sanghrajka
So Abhishek, just to add to what Salil was saying, the AI first revenue is everything that is around the Hexagon and AI augmented revenue is what we pres ented on the AI Day also. That is not part of this. While we track it internal ly, that is still not part of this.
So AI first is everything that we do in terms of Hexagon and the subservices that we called out at Hexagon. We have a very robust process inside the company of identifying these at a child / subproject level and tracking it and monitoring it. It is growing at a very strong double-digit growth.
Abhishek Pathak
Thank you. And that is all from my side. All the best.
Moderator
Thank you very much. Next question is from t he line of Ankur Rudra from JP Morgan. Please go ahead.
Ankur Rudra
So my question was on the worsening demand envir onment from an AI productivity passthrough perspective. How secular is this across indus tries and geographies? And how often do clients ask for productivity increases in the middle of a contract as opposed to on renewal?

 Salil Parekh
Hi. This is Salil. Ankur, I think, what we are s eeing is, there is a demand for AI productivity, which is across most industries. Now if you look at wher e AI is most getting used, we probably see Telcos, we see Financial Services. We see even on Retail, Util ities, that is where t heir usage is pretty high, especially with the foundation models, the modernization, the coding tools.
On the productivity side, it is a broad coverage that we see. And it typically at least in the recent past has come up, as there is progress made by t he AI foundation model companies or there is a perception that, that sort of a benefit can be achiev ed, the discussion starts. And of course, at the renewal time, it is definitely there. Sometimes it d oes come in between the timeframe of the contracts' renewal as well.
Ankur Rudra
Okay. Thanks for clarifying that. I just wanted to sort of follow-up on AI revenues, which have been growing at a very high pace like you have been highlighti ng. If we think this out a few years, at what size of your overall portfolio do AI revenues have to be, so that you can overcome the AI deflation or the compression in the rest of the portfolio? any thoughts there?
Salil Parekh
So we do not have a view in that sense externally on what you are referencing. But I think if we are able to execute on this AI transformation, as we have done in the last few quarters, we get this momentum. It is not that difficult to see that in the coming few quarters, it will start to become more and more larger part of our overall revenue and that will drive the growth of the overall company.
If I go back to how we saw it, not that it is the sa me thing, but there is some lessons maybe on the digital, we saw that there was a way that at one stage, we were at 20% and then over a few years, we then went to 60% of our revenue becoming digita l. So if that path becomes followed, we can see a big transformation and a long-term support to t

he vi ew that what we are doing remains relevant in terms of services for our clients.
Now here, there are strong partnerships with the foundation model companies. There is extremely strong internal work on Topaz Fabric. We are bui lding things where clients can use multi-model scenarios within our Topaz Fabric, where they can use different mode ls for different types of work, so the token cost is optimized. We have an ability to provide a harness so that they can build what they want to build and keep the sovereignty of the data and like the knowledge of the company more within themselves.

 So to me, all of that points to that, it is a nice growth area for the long term. And

we are now looking
at 8%. It is fairly sizable and we are looking at it becoming more and more sizable in the quarters to come.
Jayesh Sanghrajka
Ankur, just one additional data point I would want to add is, if you remember in February, we talked about our AI revenue, which was 5.5% for Q3. And in 2 quarters, it is already become 8.2%. So you can imagine the rate at which is growing and even if you look at a longer 5, 6-quarter view, it is growing at a strong double-digit and that gives us the confidence that this is becoming our growth engine.
Ankur Rudra
I appreciate it. Maybe just one clarification, Jaye sh. Can you confirm that the program termination was fully absorbed in Q1 or will it have an impact in the second quarter also from a sequential basis?
Jayesh Sanghrajka
So Ankur, the program has been terminated. What we know has obviously been taken in Q1 at this point in time.
Ankur Rudra
So, no follow-through in Q2 in term s of that program specifically?
Jayesh Sanghrajka
Yes. What we know at this point in time has been considered in Q1.
Ankur Rudra
Okay. Thank you and best of luck.
Moderator
Thank you very much. Next question is from Br yan Bergin from TD Cowen. Please go ahead.
Bryan Bergin
Hi thank you. Good evening. And first Salil congrats to you and congrats to Ashiss Dash. My first question is on AI talent and in competition. I am cu rious what your view is on Hyperscalers like AWS,

 Microsoft recently announcing new investment in t heir own FTE practices. Just considering their
historic use of the services c hannel around cloud deployment, they seem to be a bit more surprising and OpenAI or Anthropic doing it. So, what are your thoughts there?
And you have announced plans to add 6,000 Frontier Engi neers, but it seems everyone is looking to add that base of talent. So, can you just talk about how you plan to navigate that elevated competition for top tier talent?
Salil Parekh
So first, thank you. I think, with other compani es launching services companies to help large enterprises with making AI work. At a high level, I see that as a positive for Infosys because it reconfirms that what we do and now with the AI re venue growth that we are demonstrating, that we have sort of relevance, for the long term for our clients.
What I think works for us is we have over 300,000 employees. We have deep knowledge and context of the select clients that we work with and that becomes the way to really ensure that AI gets leveraged into that environment, wh ich is typically quite complex.
We are also in a position where we are partner ing with some of the companies you named and I have spoken with them as they have launched their programs. And the intent and the idea is really, in terms of scale, a few hundred or a couple of thousand is not going to be the same as 300,000 from Infosys. But there is a way to partner and make all of that work for the benefit of the client. That is how at least we are looking at it for now. A nd there are similar type of models existed, as you probably know well in the past, when there were software companies, whic h have their own small services busi

nesses.
In terms of talent, first, we have already people wi thin Infosys who are operating at the level of Frontier Engineers. And so, we have put together a pr ogram to bring all of that together to make them at the same type of a global level. Then we hav e training for the people that we will recruit and build out to be like that Frontier Engineers.
And then, of course, we will look externally but t he primary method is recruitment in college training and taking internal people who are doing some of that type of work and making sure they are fully deployed into the Frontier Engineer work.
So, we feel that we have a decent start to it. It is not that we are going to, tomorrow morning, recruit 6,000 from the outside. But equally, we also have, as has been always the case with Infosys, the approach of training the people from gr ound up, so building out that skillset, which is slightly longer,

 and that is why I have said, it is over a few years. We want to build it out and make sure that we
support our clients in that.
Bryan Bergin
Okay. That is clear. My follow- up on AI productivity, can you just gi ve us a sense of how much of your existing backlog has been re-priced under the hi gher levels of market productivity? I am trying to understand how long the company may face outsi zed compression, as you renew the installed base of work where there was not any meani ngful GenAI-driven efficiencies before?
Salil Parekh
So, as you can imagine, it is something we look at internally, but it is not something we share externally.
Bryan Bergin
Okay. Understood. Thank you.
Moderator
Thank you very much. Next question is from t he line of Vibhor Singhal from Nuvama. Please go ahead.
Vibhor Singhal
Yes, hi. Thanks for taking my questions. Just tw o questions from my side. One question, Salil, basically the overall environment in which we are operating, some of our peers have kind of called out, and I think it is kind of what is also the concept which is gaini ng traction is that, more and more belief that enterprises might not just basically lo ok to deploy the premier large language models for their enterprise needs and they might be now goi ng more towards more like customized small language models, the SLMs, the which can be basi cally cater to their own specific needs.
And to that extent, more and more deals and large deals specifically are a ll basically making their way into the market towards the players. Is that also that we are also seeing our conversation with the clients? Do we see some of those kind of deals on the horizon? And do you see that basically playing out over the next few quarters?
Salil Parekh

 So, I think the way you describe it, what we are se eing it is, the large companies, large enterprises
are becoming more sensitive to, what is the foundation model like best equipped for and for the various tasks and activities and processes that they have inside the company, which model should be used for which thing.
So like a company might think can we use, like a less parameter model, also less expensive model or like even an older version of some of the big company models for some task and the most recent one for like some very specific, let us say, high-end type of task, which needs it. So that optimization is going on. And that is where we think what we have built in Topaz Fabric, allows the company to do this in a very efficient way.
Then companies are also looking at, okay, I will use for the simpler task, a slightly older model or less expensive. Then let me also then look at the cost of token usage for that model. And even there, if there is a way for the same effectiveness, you can get a lower token cost approach in the model.
So this whole approach of this multi-model is critic al for the task and the cost. At least we are seeing the large comp

anies are being sensitive to that. An d that is where what we have built and how we can work with them today, we are working in Fabr ic Topaz with 15 different models. So, let us say, you come as a large company, Global 100 and you want to do something, you do not even have to decide by looking at the task we will decide betw een the 15, where to put it and give you the most
efficient outcome. So things like that will help the companies to do the things in a better way we feel.
Vibhor Singhal
Got it. So overall, this should basically, if I were to, let us say, take a top view of this, this would mean that there is an increasing level of customization that or, let us say, a specific requirement that each client would require rather than more of a standardization to begin with?
Salil Parekh
It depends also a little bit, like some companies might say, look, I want Model X. I want to build deep capability in that. Like company X will have thr ee models. They can go with an older model in the company X. It is not like there is one answer, me aning people are all doing different things, but the flexibility exists today. So, depending on how the company wants to do it.
Vibhor Singhal
Got it. Just one last question on the margins front. So Jayesh, if I could just bother you on that? In FY26, we had the wage hike, which was spread over Q4 FY25 and Q1 FY26. So, we just probably had basically half of the impact of the wage hike in FY 26. In FY27, we are able to give the wage hike

External Document © 2026 Infosys Limited in Q3 and Q4. So, the entire impact is going to be absorbed by in this year itself, plus we have the
acquisition impact, which you called out in the call.
So, are we looking at more headwinds this year on the margins than FY26? I know we are in that same guided range of 20% to 22%, but vis-à-vis FY 26 are we looking at more headwinds than FY26?
Jayesh Sanghrajka
So Vibhor, if you look at FY26, we had a full year impact of the wage hike that we gave in January as well as in April. Of course, whatever we gave in January, the flow-through of that was for 3 quarters. But whatever we gave in April, the full year impact of that came in the year versus in FY27, we have only half year impact of whatever we will do in October and 1 quarter impact of what we will do in January.
So to that extent, the relative impact is going to be lower in FY27 versus FY26. And of course, there will be a 50 bps impact on account of the acquisitions that we have called out. But, if you look at the tailwinds that I called out, there is a currency tailwind, at least as we stand today versus the last year, the Project Maximus is still creating value.
We have seen pricing benefit, albeit little lesser t han what we estimated at the beginning of the year. Utilization has gone up Q-on-Q significantly. Our Onsi te mix is going to go down. So, I think there are puts-and-takes on both sides.
Vibhor Singhal
Got it, got it. Got the math. Thanks a lot for taking my questions and wish you all the best.
Jayesh Sanghrajka
Thank you. Moderator
Thank you very much. Next question is from the li ne of Bachman from BMO Capital Markets. Please go ahead.
Keith Bachman
Good evening, good morning. I wanted to ask about your thoughts on headcount growth trends through FY27. And I am not looking for specifics, but just generalities. Is headcount going to grow,

External Document © 2026 Infosys Limited be flat, reduce as you look at the next 12 months? And even if you find on the next few years, how
do you see the headcount growth in relation to revenue growth?
Salil Parekh
Hi, this is Salil. So first, what we saw in the la st financial year as you know, is we recruited 20,000 college graduates for the full year. This year, we have a plan to recruit 20,000 college graduates. In the first quarter, we have recruited over 4,000 already.
Our plan is to continue to bring in talent, make them m

ore and more AI well-versed and then have
them work with our clients. What we are seeing wi th the 8% revenue of the AI is that to make many of these things work, it is a combination of foundation model, agents and people. Of course, there is more efficiency. So, the same amount of work can be done maybe with fewer people, but there is more work. So overall, at leas t right now, we are seeing that.
We do not have an exact external view on the end year headcount, but we continue to look at recruitment. We think it looks like headcount will be part of our future as our revenue grows as well.
Keith Bachman
Okay. And it will be interesting to see how, I under stand the recruitment process. It will be interesting to see how your net headcount trends unfold. C an I go to the next question? You talked about 20% of your TCV was vendor consolidation deals. Could you provide some context on really the economics associated with those deals, what I m ean by what was the leverage that enabled you to win those deals?
In particular, you talked about price was a little mo re aggressive this quarter. How are pricing trends,
enabling you to win those deals? Just any kind of attributes that you could throw out such as was it more competitive or was price down, anything alo ng those lines? That is, it for me. Many thanks.
Salil Parekh
I will start, and Jayesh will add a little bit more to it.
What we saw like in the reasons for winning a consol idation deal. Typically, what we are noticing is there is a complex tech environment, and the cli ents are seeing that what we have done for them over the past in terms of delivering value is very significant, more reliable and that is typically when we are the beneficiaries of the consolidation deals.

 In terms of pricing for those specific deals there is always productivity benefits because that is in the nature of the discussion in this period. But the r eason primarily for the wins are more about the depth of delivery, understanding of technology.

Jayesh Sanghrajka

Just to add to this, what Salil said, on an aggregate level, all of these consolidated deals came at a very healthy margins even when you compare to our overall large deals portfolio. As I said earlier, we will compete aggressively in the marke t, but we are not going to underwrite uneconomic productivity assumptions. And in those cases, we would prefer to not pursue those deals further when it does not make economic sense to us.

Keith Bachman

Okay, perfect. Many thanks. Moderator

Thank you. Next question is from the line of Jamie Friedman from Susquehanna. Please go ahead.

James Friedman

Hi, good evening. Salil, well done piloting the co mpany and Dash we look forward to working together. I had a bigger picture question back to the strategy Hexagon, I'll be interested in your perspective on the supply side, what reskilling does that require?

And on the demand side, Salil, you mentioned what you are finding is resonating most obviously, is performing well. Is there anything though t hat needs to be adjusted? So, supply and demand question about the strategy and Hexagon? Thank you.

Salil Parekh

Thank you for that. On the supply side, first, we hav e taken a view, and I am sure you know that. We have not done any staff restructuring in the compan y, we have done essentially all reskilling. And that is a significant work for the company. But I think we see a benefit of that over time.

What we are seeing is and has another reason fo r doing the college graduate hiring because what we see from colleges up, people coming in with a lot more native understanding of the AI landscape and the toolset. And then training them on our Fabric and Topaz is the next step after that and also training them on our tools, which are pre-AI so that they have a sense of how software development works. So, we think we will be able to manage a lot of th

at supply side with the people we bring in.

 But there are also specialized th ings where there will be some ac celerations needed, a specific tool is very much in demand. And for that, of course, we have some recruitment, which is more lateral as well. Even there, we need a little bit of reskilli ng or training but not massive. There is good understanding. But that, of course, is in short supply. So, we will still rely more heavily on the bringing in from college training, which is by design is a longer duration process.

On the demand side, we are now tracking each of t he 6 areas pretty granularly as Jayesh mentioned earlier. We have good traction on the process AI side, it is going pretty well. On the AI engineering, it is going pretty well, meaning in terms of scale, all of them are growing very fast, but those things are pretty scaled already. The data AI part is goi ng pretty well. And so, the whole work of building agents, doing the coding, doing the modernization, doi ng the data, those things are really scaling up, meaning have a decent scale today and we thin k those will continue going pretty well.

James Friedman Okay, thank you. So, I will jump back in the queue.

Moderator

Thank you very much. Ladies and gentle men, we will take that as the last question. With this, I now hand the conference over to the management for closing comments.

Salil Parekh

Thank you. So first, thanks, everyone, for joining. A couple of points to summarize from my side. Overall in the quarter, we had neutral revenues, strong margins, strong free cash flow and very strong large deals. The more critical thing, our AI services revenue, 8.2%, growing across quarters, Q-on-Q, double digit and becoming more and more o ff-scale for us and showing us therefore, that there is a long-term relevance of what we are doi ng for our clients. And that gives us a tremendous benefit given the client connects that we have acro ss the different industries and across the different markets. So, thank you all for joining in, and we will catch up at the next quarterly call.

Moderator

Thank you very much, members of the management. And ladies and gentlemen, on behalf of Infosys Limited, that concludes this conference call . Thank you all for joining us, and you may now disconnect your lines. Thank you.